GS FOUNDATION · ECONOMY

ECONOMY

Poverty, Money, Prices, External Sector and the Budget



A study companion built from the Sarrthi IAS Economy handouts, with every Prelims and Mains PYQ from the Saarthi subject-wise sheets

UPSC CIVIL SERVICES EXAMINATION 2027 · PERSONAL STUDY EDITION

ECONOMY

Poverty, Money, Prices, External Sector and the Budget

Personal Study Edition, 2026

Prepared for the UPSC Civil Services Examination 2027 and APPSC Group 1, General Studies Economy.

Source material: Sarrthi IAS Economy handouts (13 chapters), NCERT Class XI Indian Economic Development and Class XII Introductory Macroeconomics and Microeconomics (integrated inside the matching chapters as peach boxes), and the Saarthi subject-wise Prelims and Mains PYQ sheets. The facts printed here are the source documents' own; no outside facts have been added. Copyright in the source material belongs to Sarrthi IAS, Saarthi IAS and NCERT.

The wide margin on every page is left blank on purpose: use it for current affairs, related data and value-addition points.

How to use this book

Block	What it gives you
Exam lens	Priority (High, Medium, Low), the PYQs quoted for the chapter, and the Prelims and Mains hooks.
In simple words	The chapter in a few plain lines, with the key terms explained.
Memory visuals	A mnemonic, mind map, decision fork or flow chain that fixes the chapter in your head.
Chapter notes	The complete content in source order: bullets, tables, figures.
Past-year questions	Every Prelims and Mains PYQ mapped to the chapter, grouped by topic. Mains questions carry keyword chips: solid = the keyword is in this chapter's notes, outline = taken from the question.
Recall and drill	Cover-and-answer questions, exam traps and a short quiz to close each chapter.
My notes column	The ruled panel on the right of every page is yours: current affairs, data, value additions.

HIGH 15 or more PYQs map to the chapter MEDIUM 6 to 14 LIGHT fewer than 6

MY NOTES

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MY NOTES

PART 1

Poverty, inequality and employment

Poverty, inequality and unemployment: how well-being is measured and shared

CHAPTER 1 · HANDOUT PP. 2-26

01 Poverty: Meaning, Measurement and India's Progress

LIGHT PRIORITY Mains PYQs quoted: **none in the sheets**

Prelims PYQs: **2012, 2019**

EXAM LENS

Prelims hooks

- committee, year and what each one added (table in section 4)
- the World Bank line names and values
- PPP versus market exchange rate
- HCR versus PGI versus SPG
- the 12 indicators and their dimensions
- MPI = H x A
- the states with the highest MPI and the biggest falls

Mains hooks

- why measure poverty at all
- absolute versus relative
- why consumption not income
- why a money line misses deprivation and how MPI fixes it
- why the headcount ratio hides depth
- why India's fast fall still leaves a "dignity deficit"

poverty is deprivation in well-being; every measure (line, index, gap) is a normative yardstick used to judge progress, so always say which yardstick a number comes from.

IN SIMPLE WORDS

- **Poverty** means not having enough well-being: low income, poor health and education, poor water and sanitation, no security, no voice, no chance to improve.
- We measure it to **judge progress**, not to pick beneficiaries. The tool is a **poverty line** on **consumption**, and the **headcount ratio (HCR)** is the share below it.
- India's line evolved through five committees. **Tendulkar (2009) is still the official line**
- Rangarajan's was not accepted. India has had **no poverty line since 2014**
- The World Bank uses **PPP** and three lines: **$3.00, $4.20 and $8.30** a day. India is 5.3%, 24% and over 80% poor at those lines.
- A money line misses deprivation. **MPI = H x A** counts it directly: the National MPI has **12 indicators** and a **33% cut-off**.

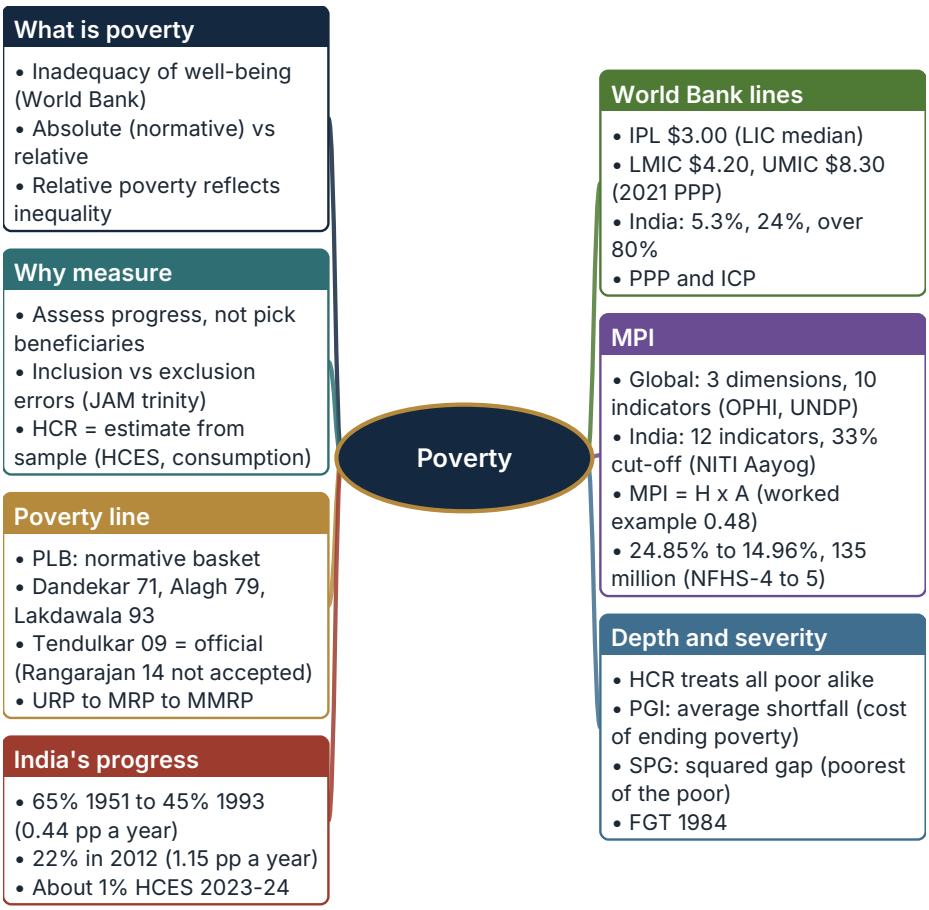
MY NOTES

- HCR treats all poor alike. **PGI** shows how far below the line, and **SPG** gives extra weight to the poorest.

Key term	In plain words
Well-being	How well a person is doing across life dimensions; poverty is its inadequacy.
Absolute (normative) poverty	Poor by a standard set by experts.
Relative poverty	Poor compared with others; it reflects inequality.
Exclusion / inclusion error	A deserving person left out of the list / an undeserving person put on it.
Poverty line basket (PLB)	Goods and services an expert thinks are needed for a life of basic dignity.
Headcount ratio (HCR)	Share of the population below the poverty line; an estimate, not a count.
HCES	NSSO's Household Consumption Expenditure Survey, the source of standard estimates.
MMRP	Modified mixed recall period: 7 or 30 days for frequent items, 365 days for less frequent ones.
International Poverty Line (IPL)	The World Bank line from the median of low-income countries' national lines: $3.00.
PPP	A conversion rate that equalises what money buys in different countries.
Multidimensional poverty	Deprivation measured directly in health, education and standard of living.
Deprivation score	A household's weighted share of deprivations; above 33% means poor in the National MPI.
Headcount (H) and intensity (A)	H: how many are poor. A: how poor the poor are. MPI = H x A.
Poverty Gap Index (PGI)	Average shortfall from the poverty line, a measure of depth.
Squared Poverty Gap (SPG)	Each gap squared, so larger gaps weigh more; a measure of severity.

MY NOTES

CHAPTER MAP



REMEMBER IT AS Measure to judge progress: line, then HCR, then MPI for what money misses, then PGI and SPG for how far below.

EXAM LENS: WHAT THE HANDOUT STRESSES

SOURCE NOTE

This chapter comes from the handout only. No class slides, no teacher ink and no PYQ section came with it, so nothing here is marked by a teacher and no past-year question is quoted.

PYQs quoted in the material: **none quoted in the material.** The priority below is built only from what the handout itself stresses.

What the handout itself stresses

Signal in the handout	Where	Why it matters
"Rangarajan's PL was not accepted & **Tendulkar continued to be our official PL**"	Section 4 (handout p6)	The handout flags this with asterisks. A classic one-line Prelims fact.
"Understand the 'why' to know the 'how'": poverty estimation is **for assessing progress, not for picking beneficiaries**	Section 3 (p3-4)	The handout repeats this twice. Mains-style reasoning.

MY NOTES

Signal in the handout	Where	Why it matters
SDG 1.1 (end extreme poverty by 2030) and SDG 1.2 (halve poverty in all dimensions by 2030)	Sections 6 and 9	Both targets are named with their wording.
World Bank lines: $3.00, $4.20 and $8.30 a day (2021 PPP, June 2025)	Sections 6 and 7	Three lines, three economic groups, three very different Indian poverty rates.
National MPI: 12 indicators, 33% cut-off, MPI = H x A, NFHS-4 versus NFHS-5	Sections 9 and 10	The handout spends the most space here, with a worked example and state data.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Light. 4 Prelims and 0 Mains questions map to this chapter.

Most-asked topics: India's progress on reducing poverty (2 Prelims, 0 Mains); The poverty line basket and the committees (1 Prelims, 0 Mains); Why a money line is not enough: multidimensional poverty (1 Prelims, 0 Mains).

Prelims years: 2012, 2019. Mains: none in the sheets.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

START HERE: 60 SECONDS, KEY WORDS, NCERT MAP

THE WHOLE CHAPTER IN 60 SECONDS

- **Meaning**: poverty = inadequacy of well-being: money, health, education, water, security, voice
- **Two kinds**: absolute (fixed expert bar) versus relative (compared with others, a mirror of inequality)
- **Money line**: price a basket of necessities: the poverty line; count the share below it: HCR
- **Progress**: slow fall before the 2000s, fast fall after; Tendulkar line is still official
- **Beyond money**: National MPI: 12 indicators, poor above a 33% score, MPI = H × A
- **Depth**: HCR says how many, PGI how far, SPG who is furthest (FGT measures)

Word	Meaning
Well-being	how well a person is doing: body, mind, relationships, money, surroundings
Poverty line (PL)	the money value of a basket of necessities; below it means deprivation

MY NOTES

Word	Meaning
Headcount ratio (HCR)	the share of the population below the poverty line
PPP	a conversion rate that counts what money buys, not what the market exchange rate says
Deprivation score	the weighted share of the 12 indicators in which a household is lacking
Headcount (H)	what share of people are multidimensionally poor
Intensity (A)	on average, how deprived the poor are
Poverty gap	how far a poor person's income is below the line, as a share of the line

📘 READ NCERT FIRST: WHERE EACH NCERT PART FITS THIS CHAPTER

NCERT part	Handout section	What it adds
Class XI Ch 4 §4.4 Human capital and human development	1	Two views of why health and education matter
Class XI Ch 5 §5.3 Jan-Dhan Yojana	3	What the account gives; the J of JAM
Glossary: Poverty Line, Consumption Basket; Ch 2 §2.2	4	NCERT's calorie definition; NSSO basket; Planning Commission
Ch 1 colonial period; Ch 4 Table 4.1; Ch 2 §2.3; Ch 3 §3.2	5	Starting point, social indicators 1951 to 2018-22, cheaper food, 1991 background
Ch 8 §8.5-8.6 and Table 8.5	7, 8	India, China, Pakistan side by side; liberty indicators
Ch 5 §5.1-5.2; Ch 6 §6.9	10	Rural needs list; employment programmes against poverty
Ch 7 §7.3-7.4	11	Poverty-induced degradation; basic needs of all
No NCERT text	2, 6, 9, 12	Relative poverty, PPP, the national MPI and the FGT measures are in the handout only

MY NOTES

1 · WHAT IS POVERTY? WELL-BEING AND DEPRIVATION

🧠 **UNDERSTAND IT FIRST**

Picture a health report card with several rows: body, feelings, friends, money, mind, purpose and surroundings. A person doing badly on one row is not necessarily poor. Poverty, the World Bank says, is pronounced deprivation in well-being across many rows: low income, but also low health and education, no clean water or sanitation, no security and no voice. Money is one row, an important one, but not the whole card.

✏ **EXAMPLE**

The handout's table lists seven dimensions of well-being (physical, emotional, social, financial, intellectual, spiritual, environmental) and notes the list is not exhaustive. For the financial one it says financial stress ranks as a top source of anxiety.

Everyone knows what poverty is, but defining it is harder. Is it too little income? Not reaching basic necessities? Poor health and education? Missing opportunities? The **World Bank** gives the broad answer: poverty is **inadequacy of well-being**. So the first question is what well-being is.

Dimensions of well-being (the handout says the list is not exhaustive)

Dimension	Focus	Key elements
Physical	Caring for your body so it works well	Regular activity, balanced nutrition, sleep, proactive healthcare
Emotional	Understanding and managing feelings	Healthy coping, managing stress, emotional intelligence
Social	A healthy support network	Meaningful relationships, community participation, belonging
Financial	Stability and peace of mind about material resources	Income balanced with spending, assets and savings, planning. Financial stress ranks as a top source of anxiety
Intellectual	Creative and mentally stimulating activity	Continuous learning, new hobbies, problem-solving
Spiritual	Meaning and purpose	Living by core values, purpose, mindfulness (religion, meditation or nature)
Environmental	The effect of your surroundings on health	Safe, organised spaces, time in nature, sustainable living

WORLD BANK DEFINITION

Poverty is pronounced deprivation in well-being, and comprises many dimensions. It includes low incomes and the inability to acquire the basic goods and services needed for survival with dignity. It also covers low levels of health and education, poor access to clean water

MY NOTES

and sanitation, inadequate physical security, lack of voice, and insufficient capacity and opportunity to better one's life.

In general, poverty is the state of not having enough material possessions or income for basic needs. It can have **social, economic and political** elements. It includes lack of income for basic facilities, lack of healthcare, education, drinking water and sanitation, lack of physical and social security, and lack of opportunities to improve one's life.

MEMORY AID · WHAT POVERTY TAKES AWAY (WORLD BANK)

V O I C E S

Poverty silences VOICES: each letter is something the poor are short of.

- **V** Voice: lack of say
- **O** Opportunity and capacity to better one's life, insufficient
- **I** Income low; basics for survival with dignity out of reach
- **C** Clean water and sanitation, poor access
- **E** Education and health at low levels
- **S** Security, physical, inadequate

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 4 §4.4 HUMAN CAPITAL AND HUMAN DEVELOPMENT

In plain words: The handout says poverty is inadequacy of well-being. NCERT asks a sharper question: do we value health and education only for the extra output they bring, or for their own sake? Two terms that sound alike answer this differently.

Link to the handout: Handout section 1: the World Bank list counts low health and education as part of poverty itself. That matches the human development view in the table below.

Two terms, side by side

	Human capital	Human development
Idea	Education and health raise labour productivity	Education and health are part of human well-being
Education and health are...	a means to an end (more output)	ends in themselves

MY NOTES

	Human capital	Human development
If output does not rise	investment is unproductive	still important; basic education and basic health matter irrespective of their contribution to labour productivity
Reasoning	treats human beings as a means to increase productivity	only when people can read and write and lead a long and healthy life can they make other choices they value; every individual has a right to be literate and lead a healthy life

⭐ **REMEMBER**

Poverty = inadequacy of well-being. Many dimensions, not just income.

🧠 **MEMORY AID · SEVEN DIMENSIONS OF WELL-BEING (ORDER AS IN THE HANDOUT)**

People Expect Safety, Food, Income, Schooling, Environment

P Physical	**E** Emotional
S Social	**F** Financial
I Intellectual	**S** Spiritual
E Environmental	

Own memory aid (not from the handout): the sentence initials follow the handout's table order.

2 · TWO WAYS TO ASSESS POVERTY: ABSOLUTE AND RELATIVE

🧠 **UNDERSTAND IT FIRST**

Two ways to call someone poor. Absolute: experts draw a fixed finish line and anyone short of it is poor, like a height bar at a fairground. Relative: you compare people with each other, so someone is poor if they fall below the average. A person can pass the fixed bar and still be poor next to their neighbours, which is why relative poverty is a reflection of inequality.

MY NOTES

✏ EXAMPLE

The handout's examples: absolute poverty means you cannot afford the expert's basket of goods; relative poverty means your income is below the population average.

	Absolute poverty	Relative poverty
Basis	A standard criterion used to separate poor from non-poor	Comparison with others
Who decides	Experts suggest a **normative** criterion (their opinion), so it is also called **normative poverty**	Mean or median income of the population, or another person or group
Example	Cannot afford the expert's basket of goods	A person is relatively poor if income is below the population average
Link	A person who is not poor by the absolute standard may still be poor relative to others	**Relative poverty is a reflection of inequality**

⭐ REMEMBER

Absolute = normative bar (experts). Relative = comparison, mirror of inequality.

3 · WHY MEASURE POVERTY? UNDERSTAND THE "WHY" TO KNOW THE "HOW"

🧠 UNDERSTAND IT FIRST

There are two different jobs here. Job one is delivery: a scheme needs a list of names, and every list makes two mistakes, leaving out a deserving person (exclusion) or admitting an undeserving one (inclusion). Fixing one worsens the other, so governments reduce exclusion first. Job two is judging progress: set a milestone, check a representative sample, and say what share is below it. The first is a ration queue, the second is a class pass-rate. The poor are not the beneficiaries on the lists.

✏ EXAMPLE

The handout's example: if 20% of a representative sample is below the PL, the population is assumed to have around 20% below the line. It is an estimate, not a count. Poverty is assessed on consumption expenditure, not income, because income is less truthfully revealed and more volatile.

MY NOTES

📐 Formulas of this section

HEADCOUNT RATIO (HCR)

HCR = people below the PL ÷ total population

from a representative sample; 20% of sample → about 20% of population

The poor must be identified so that they can get benefits from anti-poverty programmes. Each scheme has its own beneficiary criteria, and the aim is to minimise two errors:

- **Exclusion error:** a deserving person is left out of the list.
- **Inclusion error:** an undeserving person is put on the list.
- There is a **trade-off** between the two, so governments try to **minimise exclusion errors first.**
- Technology helps: the **JAM trinity** (Jan Dhan accounts, Aadhaar-based identification, Mobile for instant communication). The trade-off will always remain.

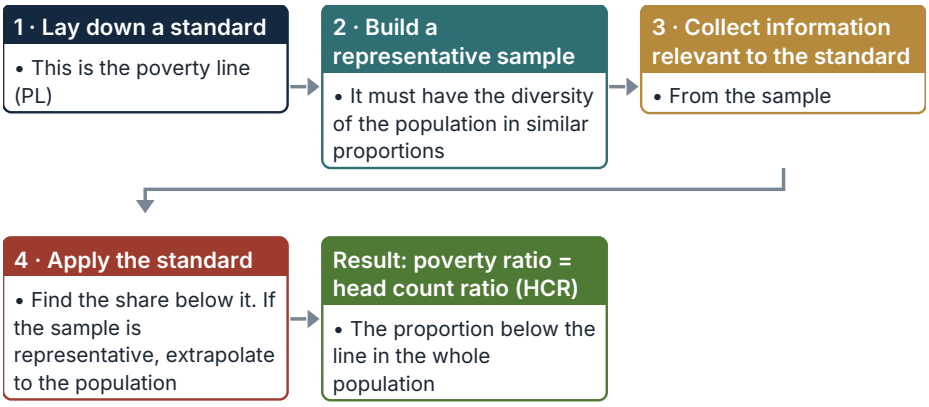
HANDOUT ALERT: BENEFICIARIES ARE NOT THE POOR

Counting everyone on all beneficiary lists does not give the number of poor. At best it is an estimate of **beneficiaries.** The lists are hard to revise and only grow, since few people give up benefits when they become better off.

So we do not, cannot and should not estimate poverty by counting unique beneficiaries.

The real purpose of poverty measurement is **not** identification for benefits. It is to **assess the progress of the country**: is the money spent on schemes improving people's standard of living and well-being? For that we need a normative standard, a milestone, and we ask how many were below it then and how many are below it now. It also allows a fair comparison across regions, for example across states.

THE FIVE-STEP PROCESS OF MEASURING POVERTY



- Example: if 20% of a representative sample is below the PL, the population is assumed to have around 20% below the line. **This is an estimate, not a count.**

MY NOTES

- The handout calls poverty estimation "a purely academic exercise". The poor have nothing to do with it and may not even know the criteria, since it has no bearing on their well-being. It is a tool to judge success in improving well-being.
- Standard estimates come from **NSSO** through the **Household Consumption Expenditure Survey (HCES).**
- Poverty is assessed on **consumption expenditure (CE), not income,** because income is less truthfully revealed and more volatile.

📘 **FROM NCERT · CLASS XI IED, CH 5 §5.3 CREDIT AND MARKETING IN RURAL AREAS (JAN-DHAN YOJANA)**

In plain words: The handout's JAM trinity starts with J for Jan Dhan. This box says, in NCERT's words, what the account actually gives a poor household.

Link to the handout: Handout section 3: technology (Jan Dhan, Aadhaar, Mobile) helps reduce inclusion and exclusion errors. Jan Dhan is also the MPI indicator 12, bank account (section 9).

What an account holder gets

- All adults are encouraged to open bank accounts under the Jan-Dhan Yojana.
- Accidental insurance cover of Rs. 1-2 lakh and overdraft facilities for Rs. 10,000.
- Wages from government jobs and works under MNREGA (NCERT names it Viksit Bharat – Guarantee for Rozgar and Ajeevika Mission [Gramin], VB-G RAM G) come into the account.
- Old age pension and other social security payments of the government are transferred to bank accounts. There is no need to keep a minimum bank balance.

What NCERT says it has done

- More than 50 crore people have opened bank accounts.
- Indirectly it has promoted a thrift habit and efficient allocation of financial resources, particularly in rural areas.
- Banks mobilised funds of more than Rs. 2,00,000 crores through these accounts.

⭐ **REMEMBER**

Beneficiaries ≠ the poor. Exclusion versus inclusion error. Estimation judges progress; HCR = estimate, not a count.

MY NOTES

4 · THE POVERTY LINE BASKET AND THE COMMITTEES

🧠 **UNDERSTAND IT FIRST**

A poverty line is an expert's shopping list for a life of basic dignity, priced in the market. Each committee made the list longer: first only calories, then separate rural and urban lists, then state lists, then health, education, water and sanitation, and finally what poor people actually spend on. The list is normative, so experts differ and views change as living standards improve.

✏ **EXAMPLE**

The handout's numbers: Dandekar and Rath (1971) 2250 calories a day; Alagh (1979) 2400 rural and 2100 urban; Lakdawala (1993) state-specific lines; Tendulkar (2009) adds health, education, water and sanitation; Rangarajan (2014) adds a behavioural part (alcohol, tobacco and so on) for a household of 5.

📐 Formulas of this section

RANGARAJAN BASKET

PL basket = normative food + normative non-food + behavioural

household of 5; Tendulkar still official

An expert builds a poverty line by constructing a **poverty line basket (PLB):** the goods and services the expert thinks must be consumed to live a life of basic dignity. Not being able to afford the basket means pronounced deprivation. The PLB is **normative:** experts differ, and an expert's view can change as living standards improve. The idea stays the same: everybody should be able to afford some basket of goods and services (G&S) for a life of basic dignity.

The price of the basket is collected from the relevant market, and its total value becomes a **consumption-based poverty line.**

Before independence, scientific efforts to measure poverty were made by **Dadabhai Naoroji** ("Poverty & Un-British Rule in India", 1906), the **National Planning Committee (1938)** and the **Bombay Plan (1944)**, among others. **After independence** the Planning Commission was given the job and, from the 1970s, set up expert committees.

Evolution of the poverty line in India

Committee	What it added	Detail
Dandekar and Rath (1971)	Laid the foundation of a **calorie-based** PL	Poverty = inability to get a minimum of **2250 calories** per person per day. The PLB had food and non-food parts.

MY NOTES

Committee	What it added	Detail
YK Alagh (1979)	Split the PL into **rural and urban**	Minimum energy **2400 (rural) versus 2100 (urban)** calories. Baskets reflected different consumption patterns, with prices from relevant markets.
Lakdawala (1993)	**State-specific** PLs	Reflected differences in consumption pattern and prices across states. Calorie requirement kept the same. Suggested updating the PL with a relevant **inflation index.**
Tendulkar (2009)	Added **health, education, drinking water and sanitation**	Earlier committees assumed the government paid for these on behalf of the poor, so they had minimal or no value in the PL. Tendulkar observed HCES data and added normative expenses on them. Still calorie-based, but the non-food part grew, so **the PL rose.**
Rangarajan (2014)	Added a **behavioural** component	Counted actual spending on items like alcohol, tobacco, entertainment, behavioural health and education, since the poor do spend on them.

MEMORY AID · POVERTY LINE COMMITTEES, IN ORDER

Dal Always Lifts Tired Runners

- **D** Dandekar and Rath (1971): 2250 calories a day
- **A** Alagh (1979): rural and urban lines
- **L** Lakdawala (1993): state-specific lines
- **T** Tendulkar (2009): health, education, water, sanitation; still official
- **R** Rangarajan (2014): behavioural part; not accepted

Memory aid for the order of the handout's table; the sentence initials follow the committee names.

Rangarajan's basket in three parts

Part	Contents
Normative: food	Based on **ICMRguidelines** (calories, fat, protein) for the age-sex mix of an average household of **5** (for example grandmother, parents, 2 children)
Normative: non-food	Housing, clothing, transport, health, education and so on
Behavioural	Alcohol, tobacco, behavioural health and education and so on

HANDOUT FLAG (ASTERISKED)

Rangarajan's PL was not accepted and Tendulkar continued to be our official PL.

MY NOTES

To improve data accuracy, Tendulkar and then Rangarajan suggested that NSSO use **multiple recall periods** for items with different frequencies of consumption.

HOW THE RECALL PERIOD CHANGED

URP · uniform recall period → **MRP · mixed recall period** → **MMRP · modified mixed recall period**

- Today's method: 7-day or 30-day recall for frequently consumed items, 365 days for less frequent items

📘 FROM NCERT · CLASS XI IED, GLOSSARY (POVERTY LINE, CONSUMPTION BASKET, PLANNING COMMISSION); CH 2 §2.2

In plain words: NCERT's own definition of the poverty line is short and calorie-based. It matches one committee in the handout's table, not the latest. The glossary also explains a word the handout uses: basket.

Link to the handout: Handout section 4: Alagh (1979) set 2400 calories rural and 2100 urban. The Planning Commission is the body the handout says took up the job after independence.

Step 1: NCERT's definition

- Poverty Line: the per capita expenditure on certain minimum needs of a person including food intake of a daily average of 2,400 calories in rural areas and 2,100 calories in urban areas.

Step 2: what a consumption basket is

- Consumption Basket: group of goods and services consumed by a household. NSSO has identified 19 groups of items; some are cereals, pulses, milk and milk products, edible oil, vegetables, fuel and light and clothing.
- In the handout, the poverty line basket is the expert's list of what must be consumed. The NSSO basket is what households actually consume and is surveyed.

Step 3: who drew the line

- The Planning Commission was set up in 1950 with the Prime Minister as its Chairperson (Ch 2 §2.2).
- NCERT's glossary: it assesses all resources of the country, augments deficient resources, formulates plans for the most effective and balanced use of resources and determines priorities.

NCERT differs: NCERT's glossary gives one calorie line (2,400 rural, 2,100 urban). The handout shows the line changed: 2250

MY NOTES

(Dandekar and Rath, 1971), then 2400 and 2100 (Alagh, 1979), then later committees. Use the handout's list in class. *(handout/teacher wins in class)*

⭐ **REMEMBER**

Order: Dandekar, Alagh, Lakdawala, Tendulkar, Rangarajan. Rangarajan not accepted; Tendulkar stays official.

5 · INDIA'S PROGRESS ON REDUCING POVERTY

🧠 **UNDERSTAND IT FIRST**

The fall in poverty ran at two speeds. Before the 2000s it was a slow walk, and because the population was growing faster the number of poor people actually rose. After the 2000s growth almost doubled and the fall tripled in pace. The handout also warns that one year can carry several poverty numbers because each uses a different yardstick, so always name the yardstick.

✏ **EXAMPLE**

The handout's arithmetic: HCR from about 65% (1951) to about 45% (1993) is about 20 percentage points in about 45 years = 0.44 pp a year. Then about 45% to about 22% (2012) is about 23 pp in 20 years = 1.15 pp a year, thrice the earlier pace. Growth rose from 3.5% to 6.5%.

📐 Formulas of this section

PACE OF FALL

pp a year = fall in HCR ÷ years

about 20 ÷ 45 = 0.44; about 23 ÷ 20 = 1.15

The handout uses the Tendulkar line to compare progress since Independence and splits the period into two phases.

Phase	What happened	The arithmetic in the handout
Slow reduction (before 2000s)	HCR fell from about **65% in 1951** to about **45% in 1993**	About 20 percentage points (pp) in about 45 years = **0.44 pp a year.** The number of poor still rose because population grew faster. Compare China.
Fast reduction (after 2000s)	Growth almost doubled, from **3.5% to 6.5%.** HCR was about **22% in 2012**	A fall of about 23 pp (45 to 22) in 20 years = **1.15 pp a year, thrice the earlier pace.**
Latest (HCES 2023-24)	HCR about **1%**	Almost **2 pp a year** over the last decade, so the pace has been exceptionally rapid.

MY NOTES

HANDOUT ALERT: THREE DIFFERENT NUMBERS FOR ABOUT 2011-12

The handout quotes several poverty rates for the same years because each uses a different yardstick. **Always name the yardstick.**

Yardstick	Year	Figure	Where
Tendulkar line (HCR)	2012	Around **22%**	Section 5
India's latest national line (announced 2014)	2011-12	Nearly **30%** (the handout adds "or at least a third": the wording is loose)	Section 6
World Bank extreme poverty line ($3, 2021 PPP)	2011-12	**27.1%**	Summary, section 11
World Bank extreme poverty line ($3, 2021 PPP)	2022-23	**5.3%**	Sections 7 and 11
HCES latest (Tendulkar-based comparison)	2023-24	Around **1%**	Section 5

Because of population growth, the **absolute number** of poor in India rose until the 2000s to around **530 million** and then fell sharply. The handout explains that the 1970s saw the fastest population growth since Independence, with low economic growth at the same time.

📘 FROM NCERT · CLASS XI IED, CH 1 (COLONIAL PERIOD), CH 3 §3.2, CH 4 TABLE 4.1

In plain words: The handout gives the poverty rate from 1951 onwards. NCERT adds what life looked like at the start and what moved beside it in health, schooling and income.

Link to the handout: Handout section 5: HCR about 65% in 1951. Read the table as the non-money side of the same decades.

Step 1: the starting point (Ch 1)

- NCERT says that in the absence of reliable data it is difficult to specify the extent of poverty then, but there is no doubt that extensive poverty prevailed in India during the colonial period.
- Overall literacy was less than 16 per cent; female literacy about seven per cent.
- Infant mortality was about 218 per thousand (NCERT's present figure in that chapter: 28). Life expectancy was 32 years (NCERT's present figure: 70).

MY NOTES

Step 2: NCERT's own table 4.1, 1951 to 2018-22

Particulars	1951	1981	1991	2001	2018-22
Real per capita income (Rs)	7,651	12,174	15,748	23,095	94,054
Crude death rate (per 1,000)	25.1	12.5	9.8	8.1	6.0
Infant mortality rate	146	110	80	63	28
Life expectancy, male (years)	37.2	54.1	59.7	63.9	68.6
Life expectancy, female (years)	36.2	54.7	60.9	66.9	71.4
Literacy rate (%)	16.67	43.57	52.21	65.20	78

Step 3: the 1991 background (Ch 3 §3.2)

- Development policies required the government to overshoot its revenue to meet challenges like unemployment, poverty and population explosion. The continued spending on development programmes did not generate additional revenue.

NCERT differs: NCERT gives infant mortality 218 per thousand for the colonial period (Ch 1) and 146 for 1951 (Table 4.1). These are different dates, not a conflict. *(handout/teacher wins in class)*

📘 FROM NCERT · CLASS XI IED, CH 2 §2.3 GREEN REVOLUTION

In plain words: The handout says poverty fell faster after the 2000s. NCERT gives one concrete route by which farm output helped poor households earlier: cheaper food.

Link to the handout: Handout section 5: the two speeds of poverty reduction. This is a channel, not a number.

How cheaper food reached the poor, step by step

- 1. High yielding variety (HYV) seeds, especially for wheat and rice, raised foodgrain output a great deal.
- 2. A good proportion became marketed surplus: the part of farm produce that farmers sell in the market.
- 3. The price of foodgrains declined relative to other items of consumption.
- 4. Low-income groups, who spend a large percentage of their income on food, benefited from this decline.

MY NOTES

- 5. The government could procure enough foodgrains to build a stock for times of shortage.

⭐ REMEMBER

0.44 pp a year (slow) → 1.15 pp a year (fast). Name the yardstick for every figure.

6 · WORLD BANK POVERTY LINES, PPP AND HOW INDIA'S RATE IS COMPUTED

🧠 UNDERSTAND IT FIRST

The World Bank draws three lines from the national lines of groups of countries: low-income, lower-middle-income (India's group) and upper-middle-income. Money in different countries buys different amounts, so every line is converted by PPP, a price-tag translator. Think of it as asking how many rupees buy in India what one dollar buys in the US, not what the money market says.

✏ EXAMPLE

The handout's PPP example: a basket costs $100 in the US and Rs 2000 in India, so the PPP conversion factor for India is 20. Apples at ₹100 a kg in India and $5 a kg in the US mean ₹100 has the same purchasing power as $5. The three lines (2021 PPP): $3.00, $4.20, $8.30 a day.

📐 Formulas of this section

PPP CONVERSION FACTOR

PPP factor = local price of basket ÷ US$ price of basket

Rs 2000 ÷ $100 = 20 (handout)

LINE IN RUPEES

₹ line ≈ PPP factor × $ line

about ₹62 = 20.6 × $3 (handout summary)

The World Bank uses **group-specific** poverty lines based on **GNI per capita.** The line for **low-income countries (LIC)** is the **Extreme** or **International Poverty Line (EPL or IPL).** A person in a non-LIC who spends below the line would be poor not only at home but in an LIC as well. So the IPL is the basis of development goals: under **SDG 1.1** countries must **eliminate extreme poverty by 2030.**

MY NOTES

The three lines (June 2025, 2021 PPP)

Line	How it is set	Value per person per day	In rupees (handout)
International Poverty Line (extreme)	Median of national lines of **low-income** countries	**$3.00**	About **₹60** (₹62 in the summary, at PPP 20.6)
LMIC line	Median of national lines of **lower-middle-income** countries. India is in this group	**$4.20**	About **₹84**
UMIC line	Median of national lines of **upper-middle-income** countries (for example China, Mexico, Indonesia, South Africa)	**$8.30**	Not given

PURCHASING POWER PARITY (PPP)

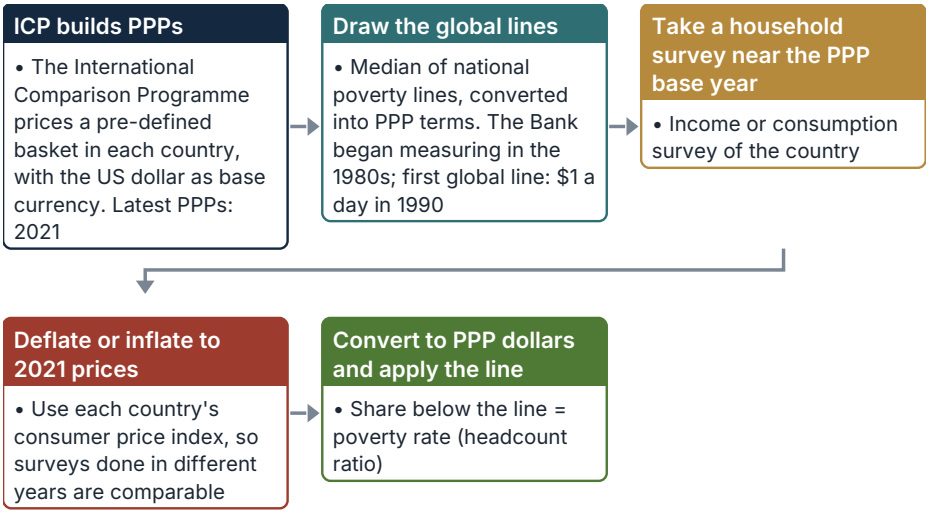
- PPP is a theory that tries to equate the purchasing power of a sum of money at one place with the amount needed to buy the same goods elsewhere. **Example in the handout:** apples at ₹100/kg in India and $5/kg in the US mean ₹100 has the same purchasing power as $5.
- PPPs are **rates of currency conversion** that equalise purchasing power by removing price-level differences between countries.
- Why it is needed: in 2023 GDP per capita was about **205,000 rupees** in India, **89,000 yuan** in China and **83,000 dollars** in the US. In local currency these say nothing about how they compare. PPP adjusts for the higher cost of living in some countries.
- Market exchange rates do not help: US$1 may convert to Rs 90 in the market, but something costing $1 in the US cannot be bought at Rs 90 in India.

> **HANDOUT EXAMPLE: PPP FACTOR**
>
> A basket of daily needs costs **$100 in the US** and **Rs 2000 in India.** With the dollar as benchmark ($1 PPP = US$1), what $1 buys in the US can be bought for **Rs 20** in India. So the **PPP conversion factor for India is 20**, different from the market exchange rate.

MY NOTES

HOW THE WORLD BANK ESTIMATES POVERTY

FROM NATIONAL SURVEY TO A GLOBAL POVERTY RATE



HOW INDIA'S RATE IS CALCULATED

- India built national lines several times from the 1970s to the 2010s. The latest was announced in **2014** and applied to **2011-12** data: nearly 30% poor.
- **Since 2014 India has had no poverty line,** so the World Bank's current global lines are computed without an Indian line. The Bank still estimates India's rate with its international lines.
- NSO ran a nationally representative **HCES in 2022-23 after an 11-year gap.** It records all monetary spending on domestic consumption and values the **subsidised goods** consumed.
- The Bank converted the cost of the pre-defined basket (the "welfare aggregate") from survey-time prices to **2021 prices** using India's CPI, expressed it in a common currency with **2021 PPPs**, got the distribution of households by PPP-adjusted real consumption, and applied the global lines.

> ⭐ **REMEMBER**
> **Three lines: $3.00 (IPL), $4.20 (LMIC, India's group), $8.30 (UMIC). PPP factor = local price ÷ dollar price.**

MY NOTES

7 · WHAT THE WORLD BANK SAYS ABOUT INDIA (LATEST ESTIMATES)

🧠 **UNDERSTAND IT FIRST**

Take one Indian and measure him against three lines and you get three answers: he is rarely poor by the lowest line, sometimes by the middle one and nearly always by the highest. The message is that few Indians are in extreme poverty now, but most of the rest are not far above the line and would count as poor in middle-income countries.

✏ **EXAMPLE**

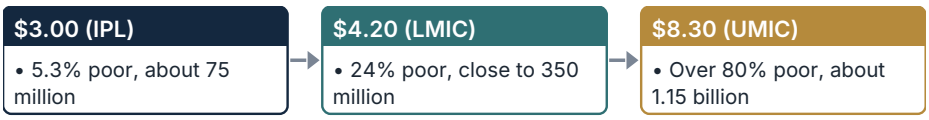
The handout's numbers: at $3.00, 5.3% (about 75 million in 2022); at $4.20, 24% (close to 350 million); at $8.30, more than 80%. World extreme poverty is 10.8% against India's 5.3%, the first time India is below the world average.

The Bank estimates India's poverty fell from **one in two people in the 1970s to one in twenty by 2022.** (The handout heads this part "Dec 2025 estimates"; the lines themselves are the June 2025 ones.)

India at each line

Line	Share of India poor	Number	Remark
$3.00 (extreme)	**5.3%** (one in twenty)	About **75 million** in 2022	More than a quarter were in extreme poverty in 2011; the majority in 1977. Fastest fall after 2004.
$4.20 (LMIC)	**24%** in 2022 (nearly one in four)	Close to **350 million**	Seen as the more appropriate line for India, a lower-middle-income country.
$8.30 (UMIC)	More than **80%** (four in five)	A little over **1.15 billion**	Only about one in five in China and Viet Nam.

ONE PERSON, THREE LINES, THREE RATES



INDIA COMPARED WITH OTHERS

- Extreme poverty: **world 10.8%, India 5.3%.** This is the **first time India is below the global average.**
- Bangladesh is similar (5.9%). **China and Viet Nam have eradicated extreme poverty.**
- At the LMIC line, India's rate is **still higher than the world average.**

MY NOTES

- India's fall in extreme poverty was **slower than China and Viet Nam, faster than Nigeria and Kenya.**
- China's rates were higher than India's until the 2000s. By **2020** it had ended extreme poverty and lifted the whole country above the LMIC line.
- Global extreme poverty is concentrated in **Sub-Saharan Africa**
- South Asia holds a large share of the poor when measured at middle-income lines
- India's share of the world's extreme poor fell from **27% in the 2000s to about 9% in 2022.** Before the 2000s India had more poor than Sub-Saharan Africa.
- The message: few Indians are in extreme poverty now, but most of the rest are **not very rich either** and live in conditions that would count as poverty in middle-income countries.

HANDOUT ALERT: CONFLICTING FIGURES INSIDE THE HANDOUT

LMIC line: section 7 says **$4.20** (2021 PPP, about ₹84), but the summary at the end says "lower-middle-income benchmark **$3.65**/day". Use **$4.20**: it is stated with the date, PPP year and rupee value. Check your notebook for $3.65.

IPL in rupees: about **₹60** in section 7 and about **₹62** in the summary (PPP 20.6 x $3). Say "about ₹60-62 a day".

Rule for the exam hall: quote the dollar value and PPP year, and avoid committing to a rupee figure unless asked.

📘 FROM NCERT · CLASS XI IED, CH 8 §8.5 INDICATORS OF HUMAN DEVELOPMENT, TABLE 8.5; §8.6

In plain words: The handout compares India with the world, China and Bangladesh. NCERT compares India with China and Pakistan in one table and explains how each got there. Read in order: table, what NCERT concludes, how, then the warnings.

Link to the handout: Handout section 7 (India compared with others): China has ended extreme poverty; India is below the world average. NCERT's numbers use different yardsticks, so do not mix them.

Step 1: NCERT's Table 8.5 (HDR 2025 and WDI 2024, 2017-2023)

Item	India	China	Pakistan
HDI value	0.685	0.797	0.544
HDI rank	130	78	168
Life expectancy at birth (years)	72.0	78.0	67.6

MY NOTES

Item	India	China	Pakistan
Mean years of schooling (15+)	6.9	8.0	4.3
GNI per capita (PPP US $)	9,047	22,029	5,501
People below poverty line (%, national)	21.9 (2019-21)	0.0 (2023)	21.9 (2023)
Infant mortality (per 1000 live births)	25.5	4.8	51
Maternal mortality (per 1 lakh births)	103	23	154
Basic sanitation (% of population)	78	96	71
Basic drinking water (% of population)	93	98	91
Undernourishment (% of population)	17	3	19

Step 2: what NCERT concludes

- China is moving ahead of India and Pakistan on many indicators: GDP per capita, the proportion below the poverty line, mortality, sanitation, literacy, life expectancy, malnourishment.
- India and Pakistan have not been able to save women from maternal mortality: 23 women die per lakh births in China against 103 in India and 154 in Pakistan.
- All three report improved drinking water for most of their population. China has the smallest share of poor among the three.

Step 3: how China got there (NCERT's explanation)

- Reforms began in 1978. In agriculture, commune lands were divided into small plots allocated (for use, not ownership) to households, which could keep income after taxes.
- NCERT says handing over plots brought prosperity to a vast number of poor people.
- Before the reforms: basic health services had spread in rural areas and the commune system gave more equitable distribution of foodgrains. Education and health infrastructure, land reforms, decentralised planning and small enterprises helped the social and income indicators.
- The Recap says these improvements are attributed not to the reform process but to the strategies China adopted in the pre-reform period.

MY NOTES

Step 4: Pakistan's poverty (NCERT's explanation)

- NCERT's reason: agricultural growth and food supply rested not on an institutionalised process of technical change but on good harvests. When the harvest was good the economy was good; when not, indicators stagnated.

Period	Proportion of poor in Pakistan (official data)
1960s	more than 40 per cent
1980s	25 per cent
Recent decades	started rising again

NCERT differs: NCERT prints India 21.9 and Pakistan 21.9 in the same row, yet its text says China and Pakistan are ahead of India in reducing the share below the poverty line, and Exercise 17(c) asks where the share is more. The table itself shows them equal (India 2019-21, Pakistan 2023). Treat it as an NCERT inconsistency. (*handout/teacher wins in class*)

NCERT differs: NCERT's 21.9% for India (2019-21, national line) is not the handout's number. The handout gives MPI headcount 14.96% (2019-21), World Bank extreme rate 5.3% (2022-23) and Tendulkar HCR about 1% (2023-24). Different yardsticks. The handout wins in class; always name the yardstick. (*handout/teacher wins in class*)

NCERT differs: The row "Mean years of schooling (aged 15 and above) in %" prints a percent sign for what are years (6.9, 8.0, 4.3). Read them as years: a printing slip. (*handout/teacher wins in class*)

⭐ **REMEMBER**

5.3% → 24% → over 80%: one person, three lines, three rates. Use $4.20 for India.

8 · WHY A MONEY LINE IS NOT ENOUGH: MULTIDIMENSIONAL POVERTY

🧠 **UNDERSTAND IT FIRST**

A money line asks whether you can afford the basics. The multidimensional approach asks whether you actually have them. A family may have money on paper but no clean cooking fuel, toilet or school nearby. So deprivation is checked directly, indicator by indicator. The global MPI uses three dimensions (health, education, standard of living) and 10 indicators.

MY NOTES

✏ EXAMPLE

The handout's example: a household is deprived of cooking fuel if it uses solid fuel such as tree bark or cow dung and has no modern fuel such as LPG or kerosene. A household deprived on 3 or more of the 10 indicators is poor in the global version.

📐 Formulas of this section

GLOBAL MPI POOR

deprived on 3 or more of the 10 indicators

national MPI differs: score above 33% on 12 indicators

The conventional approach (consumption-based lines) does include deprivation, but it checks it through the **ability to spend** a normative amount. So deprivation is judged in money terms. A person may be able to spend on necessities and still be deprived because those necessities are **not regularly available or accessible.** Such deprivation is assessed **directly and explicitly** through **multidimensional poverty.**

- The **standard (global) MPI** was proposed by **OPHI (Oxford Poverty & Human Development Initiative)** to **UNDP**, which publishes the global MPI report.
- It looks at **three dimensions: health, education and standard of living,** using **10 indicators,** each with a deprivation criterion (malnourishment, mortality, attendance, drinking water, cooking fuel and so on). Each criterion links to an SDG.
- Example: a household is deprived of cooking fuel if it uses solid fuel such as tree bark or cow dung and has no modern fuel such as LPG or kerosene.
- A household deprived on **3 or more of the 10 indicators** is multidimensionally poor (as the handout states for the global version).
- The **MPI was developed by Sabina Alkire and James Foster** and adopted by UNDP in its Human Development Report in **2010.** It captures overlapping deprivations in health, education and living standards.

📘 FROM NCERT · CLASS XI IED, CH 8 §8.5 (LIBERTY INDICATORS); CH 8 RECAP

In plain words: The MPI counts direct deprivations in health, education and living standards. NCERT adds a warning that even such lists are not enough: freedoms also matter. It calls them liberty indicators.

Link to the handout: Handout section 8: MPI looks beyond money. NCERT's liberty indicators look beyond MPI-type lists. The handout's Chapter 2 point on rule of law is the same family.

MY NOTES

What NCERT says, step by step

- The indicators in Table 8.5 are extremely important but not sufficient. We also need what may be called liberty indicators.
- One such indicator, the extent of democratic participation in social and political decision-making, has been added but given no extra weight.
- Obvious liberty indicators not yet introduced: the extent of constitutional protection given to the rights of citizens, and the extent of constitutional protection of the independence of the judiciary and the rule of law.
- Without including these and giving them overriding importance, a human development index may be said to be incomplete and its usefulness limited.
- NCERT's conclusion on China: the lack of political freedom and its implications for human rights are major concerns.

⭐ **REMEMBER**

Money line = can you buy it? MPI = do you have it? Global: 10 indicators, 3 or more.

9 · INDIA'S NATIONAL MPI: METHOD, INDICATORS AND THE WORKED EXAMPLE

🧠 **UNDERSTAND IT FIRST**

Give every household a score out of 100% for how many weighted things it lacks. Above 33% it counts as poor. Then ask two questions of the whole population: how many people are poor (H), and how badly off are the poor on average (A). Multiply to get one number, MPI = H × A. Only people in poor households count, so a household under the cut-off is simply left out of both questions.

✏ **EXAMPLE**

The handout's worked example: HH1 has 7 members and score 72.8%, HH2 has 5 and 52.6%, HH3 has 4 and 21.4% (not poor). H = 12 ÷ 16 = 0.75; A = 0.64; MPI = 0.75 × 0.64 = 0.48. So 75% of individuals are poor and each is deprived in 64% of the weighted indicators on average.

MY NOTES

📐 Formulas of this section

POOR HOUSEHOLD
deprivation score > 33%
12 indicators, weights 1/3 per dimension

HEADCOUNT (H)
H = poor persons ÷ total persons
12 ÷ 16 = 0.75

INTENSITY (A)
A = sum of weighted scores of the poor ÷ number of poor
(7 × 0.728 + 5 × 0.526) ÷ 12 = 0.64

MPI
MPI = H × A
0.75 × 0.64 = 0.48

- NITI Aayog, with **UNDP and OPHI,** developed the **National MPI.** It complements income poverty by measuring deprivations directly, and can monitor poverty at **national, state and district** levels.
- It contributes to **SDG target 1.2:** reduce **at least by half** the proportion of men, women and children of all ages living in poverty in all its dimensions according to national definitions, **by 2030.**
- The **Progress Review 2023** gives estimates for **36 States and UTs and 707 administrative districts** on **12 indicators,** from **NFHS-5 (2019-21),** and changes since **NFHS-4 (2015-16).** It gives both **how many are poor (headcount)** and **how poor the poor are (intensity).**
- **Method:** the **dual-cutoff approach of Alkire-Foster (AF)**, as in the Global MPI. India kept the **10** global indicators and added **2: Maternal Health** (in Health) and **Bank Account** (in Standard of Living).

MY NOTES

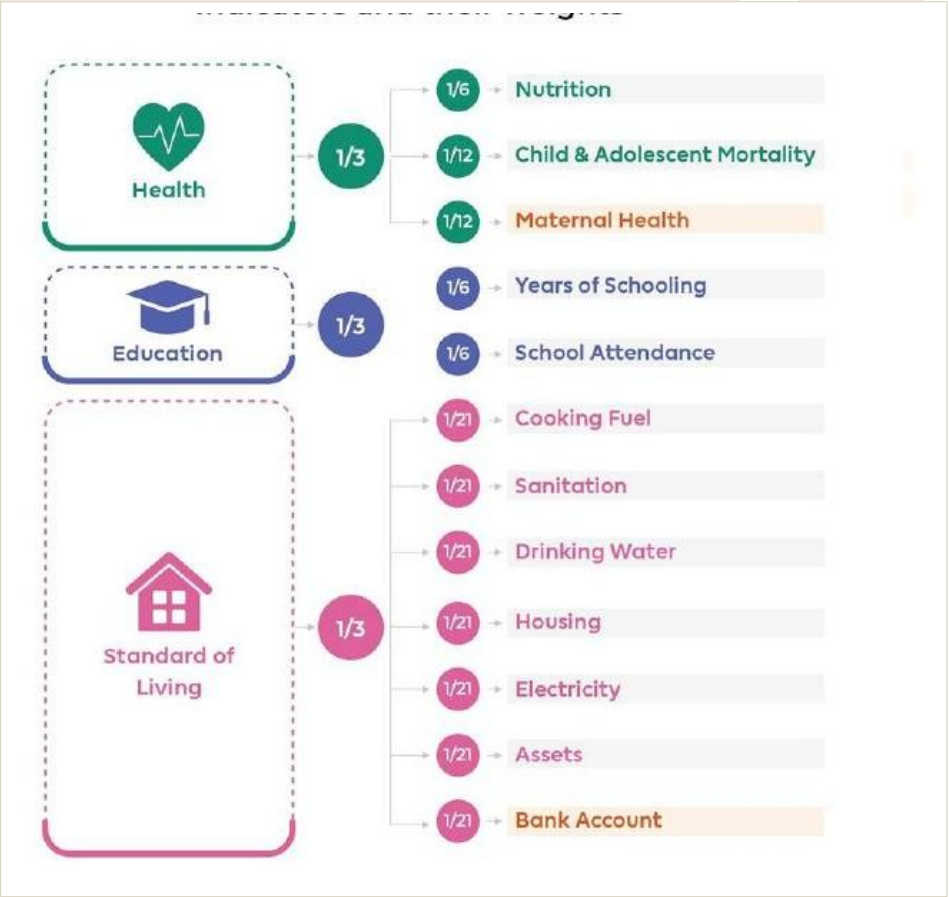


Figure. Indicators and their weights: Health 1/3 (Nutrition 1/6, Child and Adolescent Mortality 1/12, Maternal Health 1/12); Education 1/3 (Years of Schooling 1/6, School Attendance 1/6); Standard of Living 1/3 (Cooking Fuel, Sanitation, Drinking Water, Housing, Electricity, Assets, Bank Account, 1/21 each).

COMPUTING THE NATIONAL MPI

1 · Deprivation profile
- Each household gets a deprivation score from its deprivations in the 12 indicators

2 · Identify the poor
- If the household's deprivation score is above 33%, it is multidimensionally poor

3a · Headcount ratio (H): how many are poor?
- Multidimensionally poor persons divided by total population

3b · Intensity (A): how poor are the poor?
- Sum of weighted deprivation scores of all the poor divided by the number of poor people

MPI = H x A
- Headcount ratio multiplied by intensity of poverty

MY NOTES

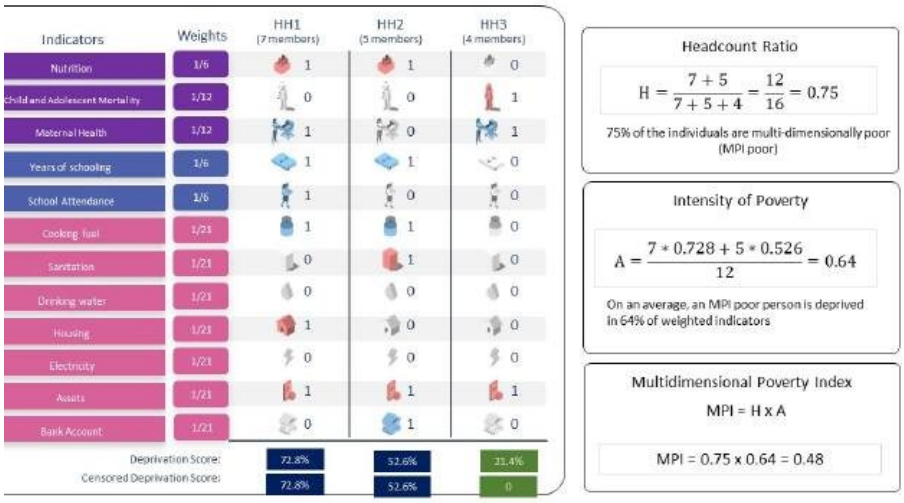


Figure. Worked example from the handout: three households (HH1 with 7 members and deprivation score 72.8%, HH2 with 5 members and 52.6%, HH3 with 4 members and 21.4%). HH3 is not poor (score below 33%). H = (7+5)/(7+5+4) = 12/16 = 0.75. A = (7 x 0.728 + 5 × 0.526)/12 = 0.64. MPI = 0.75 × 0.64 = 0.48.

READING THE EXAMPLE

Only **persons in poor households** count in H, so HH3's 4 members stay out. **A** averages the scores of the poor only (12 people), weighted by household size. So **75% of individuals are MPI poor and, on average, each is deprived in 64% of the weighted indicators.**

The 12 indicators and their deprivation definitions

Dimension	Indicator	A household is deprived if...
Health	1 · Nutrition	any child (0-59 months), woman (15-49 years) or man (15-54 years) with nutrition information is undernourished
Health	2 · Child-adolescent mortality	any child or adolescent under 18 died in the household in the five years before the survey
Health	3 · Maternal health	any woman who gave birth in the last 5 years did not get at least **4 antenatal visits** for the latest birth, or no trained skilled help at the latest childbirth
Education	4 · Years of schooling	no member aged **10 or above** has completed **six years** of schooling
Education	5 · School attendance	any school-aged child is not attending school up to the age at which he or she would complete class (the handout text is cut off here)
Standard of living	6 · Cooking fuel	cooks with dung, agricultural crops, shrubs, wood, charcoal or coal
Standard of living	7 · Sanitation	unimproved or no sanitation facility, or improved but **shared** with other households

MY NOTES

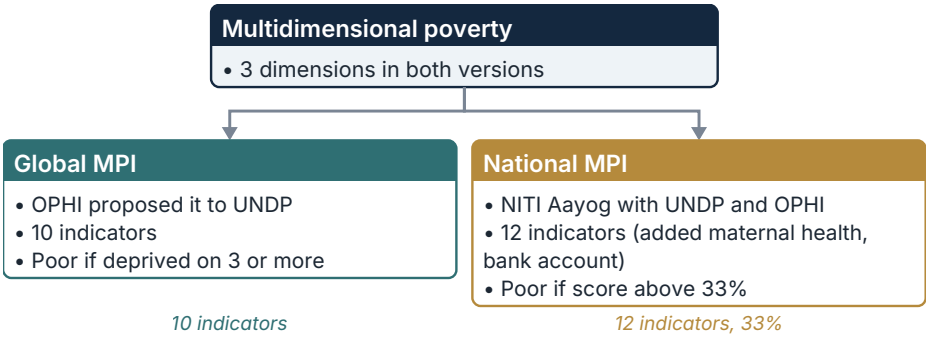
Dimension	Indicator	A household is deprived if...
Standard of living	8 · Drinking water	no improved or safe drinking water, or safe water is at least a **30-minute walk** (round trip)
Standard of living	9 · Housing	floor of natural materials, or roof or wall of rudimentary materials
Standard of living	10 · Electricity	no electricity
Standard of living	11 · Assets	does not own more than one of radio, TV, telephone, computer, animal cart, bicycle, motorbike, refrigerator, and does not own a car or truck
Standard of living	12 · Bank account	no household member has a bank or post office account

HANDOUT ALERT: TWO THRESHOLDS, TWO VERSIONS

The handout says the **global** MPI treats a household as poor if deprived on **3 or more of 10 indicators,** and the **national** MPI uses a deprivation score **above 33%** on **12 indicators.** Do not mix them up.

Rule for the exam hall: "33%, 12 indicators" means India's National MPI; "10 indicators" means the global MPI. Both have 3 dimensions.

GLOBAL MPI VERSUS INDIA'S NATIONAL MPI



Why MPI helps (handout conclusion)

Benefit	Meaning
Complements money statistics	Shows non-monetary deprivation directly
Monitors single indicators and dimensions	Overlaps with several SDGs
Breaks down by state and district	Better policy focus
Enables integrated policy	Cross-sectoral action

⭐ **REMEMBER**

National: 12 indicators, 33%. Global: 10 indicators. MPI = H × A. Three dimensions at 1/3 each.

MY NOTES

10 · INDIA'S PROGRESS ON MULTIDIMENSIONAL POVERTY (NFHS-4 TO NFHS-5)

🧠 UNDERSTAND IT FIRST

Between the two NFHS rounds India's MPI nearly halved. Fewer people were poor (H fell) and the poor were slightly less deprived (A fell a little). The fall was fastest in rural areas, where poverty was highest, so the rural-urban gap narrowed in absolute terms, though it remains. The biggest gains came where schemes reached households directly: sanitation and cooking fuel.

✏ EXAMPLE

The handout's numbers: MPI 0.117 (NFHS-4) to 0.066 (NFHS-5); H 24.85% to 14.96%; A 47.14% to 44.39%. Rural H 32.59% to 19.28%; urban 8.65% to 5.27%. 135 million escaped. Falls: sanitation 21.8 pp, cooking fuel 14.6 pp. Highest H: Bihar 33.76%.



Figure. Handout infographic: poverty headcount ratio fell from 24.85% (2015-16) to 14.96% (2019-21); 135 million (13.5 crore) escaped multidimensional poverty; India on track for SDG target 1.2; all 12 indicators improved; fastest fall in rural areas (32.59% to 19.28%); urban 8.65% to 5.27%; intensity 47.14% to 44.39%; UP, Bihar, MP, Odisha and Rajasthan had the steepest fall in number of MPI poor.

National figures

Survey	MPI	Headcount ratio (H)	Intensity (A)
NFHS-5 (2019-21)	0.066	14.96%	44.39%
NFHS-4 (2015-16)	0.117	24.85%	47.14%

MY NOTES

Rural and urban

Survey	Rural MPI	Rural H	Rural A	Urban MPI	Urban H	Urban A
NFHS-5 (2019-21)	0.085	19.28%	44.55%	0.023	5.27%	43.10%
NFHS-4 (2015-16)	0.154	32.59%	47.38%	0.039	8.65%	45.27%

- **135 million** people escaped multidimensional poverty in the five years. India is on track for **SDG 1.2** (halve poverty in all forms by 2030).
- The **MPI value nearly halved** (0.117 to 0.066). Intensity fell from about 47.14% to 44.39%.
- Rural-urban gap remains (**19.28% rural versus 5.27% urban in 2021**), but the fall was **pro-poor in absolute terms:** rural areas saw the fastest fall.
- All **12 indicators** improved, with statistically significant reductions. **Biggest falls: sanitation (21.8 pp) and cooking fuel (14.6 pp).**
- Highest headcount: **Bihar 33.76%, then Jharkhand 28.81%.**
- Biggest fall in incidence: **Bihar (18.13 pp), Madhya Pradesh (15.94 pp), Uttar Pradesh (14.75 pp).**
- District-level estimates let governments and organisations see specific challenges and target interventions.

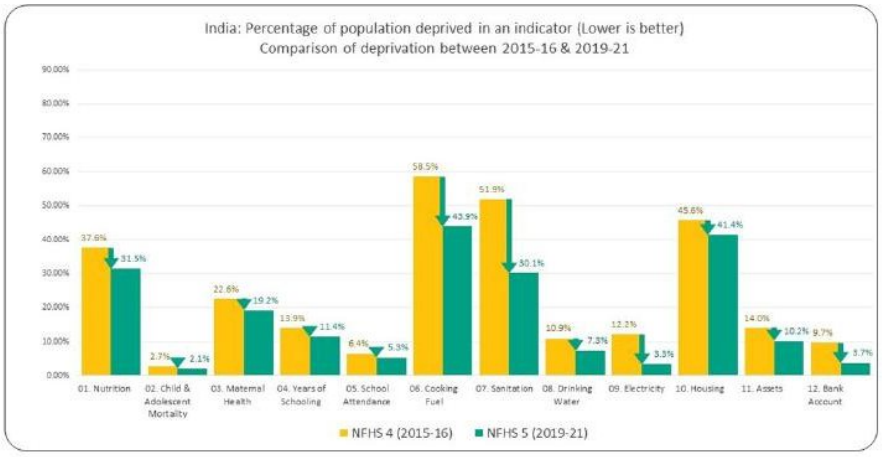


Figure. Percentage of India's population deprived in each of the 12 indicators, NFHS-4 (2015-16) versus NFHS-5 (2019-21). Lower is better. Cooking fuel and sanitation show the biggest drops.

MY NOTES

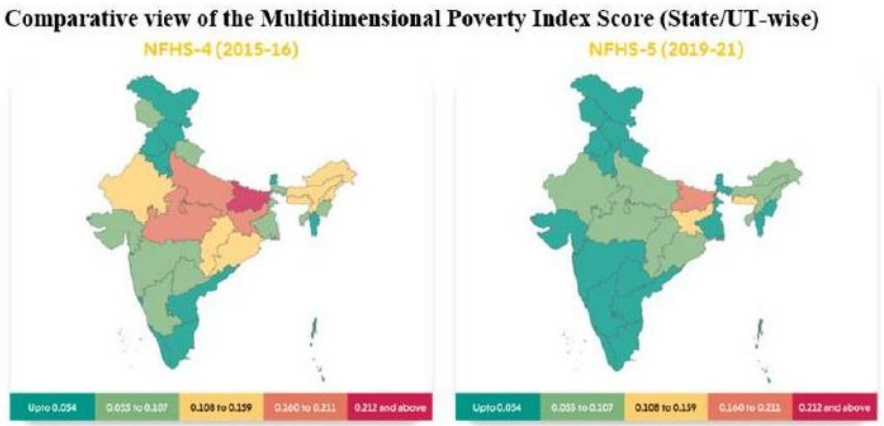


Figure. State and UT maps of the MPI score for NFHS-4 and NFHS-5: green is a low score (less poverty), red is a high score. The colours move from red towards green between the two rounds.

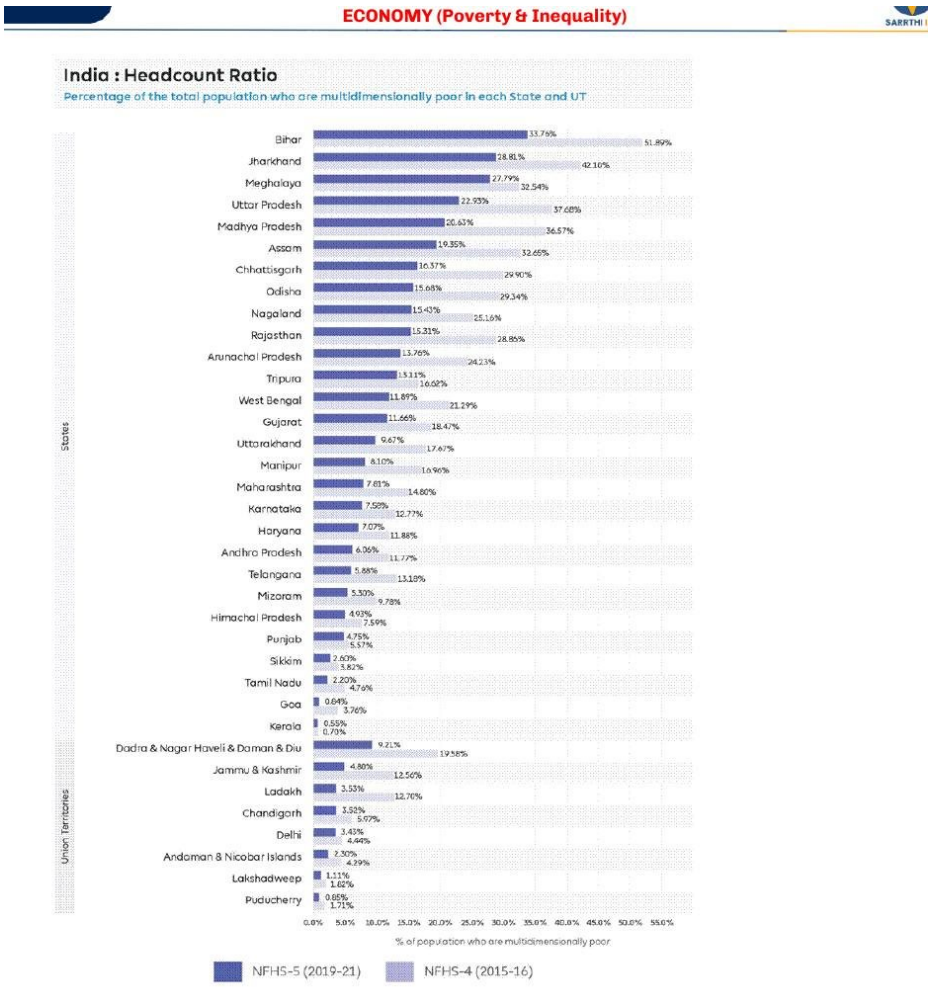


Figure. Headcount ratio by state and UT, NFHS-5 versus NFHS-4. Bihar and Jharkhand are highest; Kerala, Goa and Sikkim are among the lowest.

MY NOTES

POLICY PUSH BEHIND THE FALL

- The handout credits investment in education, nutrition, water, sanitation, cooking fuel, electricity and housing.
- Schemes named: **Swachh Bharat Mission (SBM), Jal Jeevan Mission (JJM), Poshan Abhiyan, Samagra Shiksha, Saubhagya (PM Sahaj Bijli Har Ghar Yojana), PM Ujjwala Yojana (PMUY), PM Jan Dhan Yojana (PMJDY), PM Awas Yojana (PMAY).**
- Several **MPICC meetings** were held after the baseline report to prepare **Reform Action Plans. More than 50 reform actions in 16 reform areas** (nutrition, financial inclusion, education, rural development, housing and more) were identified.
- The second edition of the National MPI helps states track hotspots down to the district level. NITI Aayog supports states in making reform plans.

📘 FROM NCERT · CLASS XI IED, CH 5 §5.1-5.2 RURAL DEVELOPMENT; CH 6 §6.9 GOVERNMENT AND EMPLOYMENT GENERATION

In plain words: The handout lists the schemes behind the MPI fall. NCERT lists what rural India needs, which shows why the schemes aim at education, health, sanitation, electricity and credit. It also says how employment programmes fight poverty.

Link to the handout: Handout "Policy push behind the fall": schemes for nutrition, water, sanitation, cooking fuel, electricity, housing. The handout's rural fall (32.59% to 19.28%) is where NCERT says most of the poor live.

Step 1: why rural

- The majority of the poor live in rural areas, where they do not have access to the basic necessities of life.
- More than two-third of India's population depends on agriculture, which is yet to become productive enough; one-fourth of rural India still lives in abject poverty.

Step 2: areas needing fresh initiatives (NCERT's list)

Area	What it includes
Human resources	literacy (more specifically female literacy), education and skill development; health, addressing both sanitation and public health
Land reforms	
Productive resources of each locality	

MY NOTES

Area	What it includes
Infrastructure	electricity, irrigation, credit, marketing, transport including village roads and feeder roads; agriculture research and extension; information dissemination
Poverty alleviation	special measures and significant improvement in living conditions of the weaker sections, emphasising access to productive employment opportunities

Step 3: employment programmes as poverty programmes (Ch 6)

- Many programmes aimed at alleviating poverty work through employment generation. They aim to provide not only employment but also services: primary health, primary education, rural drinking water, nutrition, assistance to buy income and employment generating assets, community assets built through wage employment, houses and sanitation, rural roads, development of wastelands and degraded lands.
- The Mahatma Gandhi National Rural Employment Guarantee Act 2005 promises 100 days of guaranteed wage employment to all rural households who volunteer to do unskilled manual work.

⭐ **REMEMBER**

MPI 0.117 → 0.066. H 24.85 → 14.96. 135 million out. Sanitation and cooking fuel led.

11 · SUMMARY OF INDIA'S PROGRESS AND WHAT IS STILL MISSING

🧠 **UNDERSTAND IT FIRST**

The summary is a scorecard with wins and gaps. The wins are large drops in extreme poverty, multidimensional poverty and the consumption Gini. The gaps are about dignity and fairness: a line that still looks too low for a decent life, a wide earnings gap, fewer women in paid work, young people without jobs, hunger and low development scores. The handout uses different line values here, so keep the figures with their dates.

✏ **EXAMPLE**

The handout's numbers: extreme poverty 27.1% (2011-12) to 5.3% (2022-23); rural 18.4% to 2.8%; urban 10.7% to 1.1%; rural-urban gap 7.7 pp to 1.7 pp; MPI 55.34% (2005-06) to 14.96% (2019-21); Gini 28.8 to 25.5. Dignity deficit: ₹62 a day, while one litre of Amul milk cost ₹63 in 2022.

MY NOTES

HANDOUT ALERT: THE SUMMARY USES ITS OWN LINE VALUES

This part of the handout restates the lines: IPL raised **from $2.15 a day (2017 PPP) to $3.00 (2021 PPP);** a lower-middle-income benchmark of **$3.65** (conflicts with the $4.20 above, see section 7); PPP about **20.6** in 2025 so $3 is about **₹62.** It also says much of the **upward revision is due to changes in the underlying national poverty lines,** not just price inflation.

Key triumphs: a decade of decline

Measure	Then	Now
Extreme poverty rate (national)	**27.1%** (2011-12)	**5.3%** (2022-23)
Rural extreme poverty	18.4%	2.8%
Urban extreme poverty	10.7%	1.1%
Rural-urban gap	7.7 pp	**1.7 pp**
Multidimensional poverty (12-indicator NITI index)	**55.34%** (2005-06)	**14.96%** (2019-21)
Consumption-based Gini	**28.8** (2011-12)	**25.5** (2022-23)

- **Five populous states** (UP, Maharashtra, Bihar, West Bengal, MP) held **65%** of India's extreme poor in 2011-12 and drove **two-thirds** of the national fall.
- **Drivers:** Jan Dhan, PM Kisan Samman Nidhi, and foodgrain distribution to **80 crore** people. Methodology also changed with the 2022-23 consumption survey (better tracking of food and non-food spending).

Persistent challenges (the "dignity deficit" and more)

Challenge	Figure in the handout
Dignity deficit	₹62 ($3) a day is widely seen as too little for a life with dignity. One litre of Amul milk cost **₹63 in 2022.**
Income inequality (2023-24)	Median earnings of the **top 10% are 13 times** those of the bottom 10%
Gender gap in jobs	**234 million more men** than women in paid jobs
Youth unemployment	**13.3%,** rising to **29%** for graduates with tertiary education
Global Hunger Index	Rank **105**, with **35.5% stunting** and **18.7% child wasting**
World Happiness Report	Rank **118**
Inequality and human development	India loses **over 30%** of its HDI score to inequality

MY NOTES

📘 **FROM NCERT · CLASS XI IED, CH 7 §7.3-7.4 SUSTAINABLE DEVELOPMENT**

In plain words: The handout's list of what is still missing is about dignity, jobs and hunger. NCERT adds one more link: poverty and the environment push each other, and meeting the needs of the poor is part of the definition of sustainable development.

Link to the handout: Handout section 11: persistent challenges. This box is the NCERT view of the poor's place in long-term development.

Two threats, as NCERT states them

- The threat to India's environment poses a dichotomy: poverty-induced environmental degradation and, at the same time, pollution from affluence and a rapidly growing industrial sector.
- Poverty of the agriculture-dependent people is listed among the causes of land degradation.

The poor inside the definition of sustainable development

- Brundtland Commission: sustainable development means meeting the basic needs of all and extending to all the opportunity to satisfy their aspirations for a better life. Meeting the needs of all requires redistributing resources and is hence a moral issue.
- Edward Barbier: sustainable development is concerned with increasing the material standard of living of the poor at the grass root level, measured by increased income, real income, educational services, health care, sanitation, water supply and so on. It aims at decreasing the absolute poverty of the poor by providing lasting and secure livelihoods that minimise resource depletion, environmental degradation, cultural disruption and social instability.

⭐ **REMEMBER**

Wins: 27.1 → 5.3, 55.34 → 14.96, Gini 28.8 → 25.5. Gaps: dignity, jobs, hunger, inequality.

MY NOTES

12 · DEPTH AND SEVERITY OF POVERTY: HCR, PGI AND SPG

🧠 **UNDERSTAND IT FIRST**

The headcount ratio is like counting who failed an exam: it treats someone one mark short the same as someone who scored zero. Depth asks how far below the line the poor are (PGI), and severity squares each gap so the people furthest away count most (SPG). Helping people just under the line improves the headcount but barely moves the squared gap.

✏ **EXAMPLE**

The handout's example: HCR cannot tell someone ₹1 below the line from someone with zero income. PGI × poverty line × total population = the money needed to lift every poor person exactly to the line, with perfectly targeted transfers. FGT measures were developed in 1984.

📐 Formulas of this section

COST OF ENDING POVERTY

PGI × poverty line × total population

with perfectly targeted transfers

SQUARED POVERTY GAP

SPG = average of (poverty gap)²

FGT2: more weight on larger gaps

The headcount ratio counts the share below the line, but it has a flaw: **it treats all poor people equally.** It cannot tell someone ₹1 below the line from someone with zero income. To see how poor the poor are, economists use **depth and severity.**

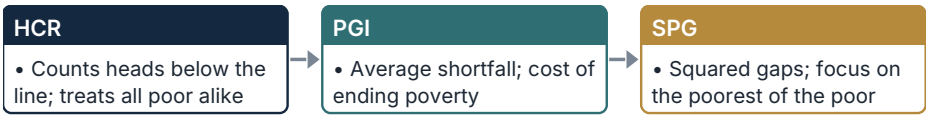
These were developed in **1984** by **James Foster, Joel Greer and Erik Thorbecke,** so they are called the **FGT class** of poverty measures (specifically **FGT1 and FGT2**). The World Bank and the UN adopted them as standard tools. Governments use them to work out how much cash transfer programmes need and to check whether growth reaches the poorest.

	Poverty Gap Index (PGI): depth	Squared Poverty Gap (SPG): severity
What it measures	The **average shortfall** of the population from the poverty line	Severity of poverty, and **inequality among the poor**
How it works	Distance between a poor person's income and the line, as a **percentage of the line.** Non-poor count as gap **zero**	Take each person's poverty gap, **square it,** then average across the population

MY NOTES

	Poverty Gap Index (PGI): depth	Squared Poverty Gap (SPG): severity
Why it is useful	Gives the **minimum cost of eliminating poverty:** PGI x poverty line x total population = money to lift every poor person exactly to the line (with perfectly targeted transfers)	Squaring puts **more weight on larger gaps,** so society is penalised for people far below the line. It forces focus on the **"poorest of the poor"**
Limit	Ignores inequality among the poor. Two districts can have the same PGI, one with extreme destitutes and the other with people just below the line	Drops sharply only when programmes reach the most deeply destitute. Helping only those near the line improves the HCR but barely moves the SPG

HOW MANY, HOW FAR, WHO IS FURTHEST



HANDOUT ALERT: ONE MEASURE, TWO NAMES

The handout calls the SPG "**the Sen index,** named after Prof. Amartya Sen" in the same passage that labels it **FGT2.** If a question asks for "Sen index", link it to the squared poverty gap as the handout does, and check your class notes for any difference.

Next, the handout turns to **inequality** to understand the relative side of poverty. See Chapter 2.

⭐ **REMEMBER**

HCR = how many. PGI = how far. SPG = who is furthest. FGT1 and FGT2.

MY NOTES

FORMULA SHEET, NUMBER CARD AND DRILLS

📐 FORMULA SHEET: COVER THE THIRD COLUMN, SAY THE FORMULA, THEN CHECK

Where	Name	Formula	Source
Sec 3	Headcount ratio (HCR)	**HCR = people below the PL ÷ total population**	handout
Sec 4	Rangarajan basket	**PL basket = normative food + normative non-food + behavioural**	handout
Sec 5	Pace of fall	**pp a year = fall in HCR ÷ years**	handout
Sec 6	PPP conversion factor	**PPP factor = local price of basket ÷ US$ price of basket**	handout
Sec 6	Line in rupees	**₹ line ≈ PPP factor × $ line**	handout
Sec 8	Global MPI poor	**deprived on 3 or more of the 10 indicators**	handout
Sec 9	Poor household	**deprivation score > 33%**	handout
Sec 9	Headcount (H)	**H = poor persons ÷ total persons**	handout
Sec 9	Intensity (A)	**A = sum of weighted scores of the poor ÷ number of poor**	handout
Sec 9	MPI	**MPI = H × A**	handout
Sec 12	Cost of ending poverty	**PGI × poverty line × total population**	handout
Sec 12	Squared poverty gap	**SPG = average of (poverty gap)²**	handout

MY NOTES

🔢 NUMBER CARD: FIGURES TO HOLD

- **65% → 45%** HCR 1951 to 1993 (about 0.44 pp a year)
- **45% → 22%** HCR 1993 to 2012 (1.15 pp a year)
- **2250; 2400/2100** calories: Dandekar and Rath; Alagh rural/urban
- **$3.00 / $4.20 / $8.30** World Bank lines, 2021 PPP, June 2025
- **20** PPP factor in the handout example ($100 basket = Rs 2000)
- **5.3% / 24% / over 80%** India at the three lines
- **10 / 12** indicators in the global MPI / national MPI
- **33%** deprivation cut-off for the national MPI
- **0.75 × 0.64 = 0.48** H × A = MPI in the worked example
- **0.117 → 0.066** national MPI, NFHS-4 to NFHS-5
- **135 million** escaped multidimensional poverty
- **27.1% → 5.3%** extreme poverty 2011-12 to 2022-23
- **28.8 → 25.5** consumption Gini 2011-12 to 2022-23
- **1984** FGT measures (depth and severity)

✏ BLANK-PAGE DRILL: DRAW THESE FROM MEMORY, THEN CHECK

- Redraw the handout's five-step flow for measuring poverty (section 3) and add one number to each box.
- Redraw the handout's worked MPI example with three households (section 9) and compute H, A and MPI from memory.
- Write the five poverty line committees in order with one fact each, then the three World Bank lines with India's rate at each.

NCERT CHECKLIST: END BOXES, QUESTIONS, KEY CONCEPTS

📘 NCERT PARTS WITH NO MATCHING HANDOUT SECTION (READ THEM FROM NCERT)

- **Class XI Ch 8 §8.2-8.4, 8.7**: Development paths of China and Pakistan, demographic Table 8.1, GDP and sector Tables 8.2-8.4
- **Class XI Ch 4 §4.2-4.3, 4.5-4.8**: Human capital formation, education sector expenditure and attainment (used in Chapter 2)
- **Class XI Ch 5 §5.4-5.6**: Agricultural marketing, diversification, organic farming

MY NOTES

- **Class XI Ch 6**: Workforce, informalisation, unemployment types
- **Class XI Ch 2 §2.4-2.6**: Industry, trade policy and public sector 1950-90
- **Class XI Ch 3**: Liberalisation, privatisation, globalisation (except the critics' view used in Chapter 2)

📘 NCERT KEY CONCEPTS: TICK EACH WHEN YOU CAN DEFINE IT

☐ Poverty line ☐ Consumption basket ☐ Planning Commission
☐ Human capital ☐ Human development ☐ Liberty indicators
☐ Human Development Index ☐ Marketed surplus
☐ Employment generation programmes
☐ Self-Help Groups (micro-credit) ☐ Jan-Dhan Yojana
☐ Sustainable development ☐ Brundtland Commission

📘 NCERT'S OWN END-OF-CHAPTER QUESTIONS: CAN YOU ANSWER EACH FROM THESE NOTES?

NCERT question	Answer lives in
Ch 4 Exercise 4-5: Differences between human capital and human development; why development is the broader term	Section 1 box
Ch 8 Exercise 11: Define the liberty indicator. Give some examples	Section 8 box
Ch 8 Exercise 14: Reasons for slow growth and re-emergence of poverty in Pakistan	Section 7 box, step 4 (and NCERT §8.6)
Ch 8 Exercise 15: Compare India, China and Pakistan on salient human development indicators	Section 7 box, steps 1-2
Ch 8 Exercise 17(c): Proportion of people below poverty line is more in (India/Pakistan)	Section 7 box: the table shows 21.9 for both; see the conflict note
Ch 7 Exercise 16: India's environmental problems are poverty induced and also due to affluence: is this true?	Section 11 box
Ch 7 Exercise 17: What is sustainable development?	Section 11 box

ABBREVIATION COLUMN

Every short form used in this chapter, expanded.

MY NOTES

NCERT = National Council of Educational Research and Training — publisher of the school textbooks the teacher calls "very, very important"

MPI = Multidimensional Poverty Index — poverty measured by health, education and living standards

PPP = Public-Private Partnership — joint working of government and private firms (also purchasing power parity elsewhere)

HCR = Headcount Ratio — share of people below the line

PL = Poverty Line — money value of a basket of necessities

US = United States — a country

PGI = Poverty Gap Index — average distance of the poor below the line

NFHS-4 = National Family Health Survey, round 4 — survey of 2015-16 used as the MPI baseline

NFHS-5 = National Family Health Survey, round 5 — survey of 2019-21 used for the latest MPI

SPG = Squared Poverty Gap — poverty gap that gives more weight to the poorest

IED = Indian Economic Development — the NCERT Class XI economics book

SDG = Sustainable Development Goals — UN's 17 goals to be reached by 2030

LMIC = Lower-Middle-Income Country — World Bank group that includes India

FGT = Foster-Greer-Thorbecke — family of poverty measures of depth and severity

HCES = Household Consumption Expenditure Survey — survey of what households spend

IPL = International Poverty Line — World Bank extreme line, $3.00 a day

NSSO = National Sample Survey Office — runs household surveys

FGT2 = Foster-Greer-Thorbecke, second measure — the squared poverty gap

HH3 = Household 3 — third household in the worked example

PPPs = Purchasing Power Parities — plural of PPP

GDP = Gross Domestic Product — value of all final goods and services produced inside a country in a year

HDI = Human Development Index — a score of health, education and income used to rank countries

JAM = Jan Dhan, Aadhaar, Mobile — trinity used to deliver benefits directly

LIC = Low-Income Country — lowest World Bank income group

NITI = National Institution for Transforming India — think tank that replaced the Planning Commission

PLB = Poverty Line Basket — the expert's list of goods and services for a life of dignity

UMIC = Upper-Middle-Income Country — World Bank group such as China and Mexico

UNDP = United Nations Development Programme — UN body that publishes the Human Development Report

FGT1 = Foster-Greer-Thorbecke, first measure — the poverty gap index

GNI = Gross National Income — income earned by a country's residents, used to group countries by income

HH1 = Household 1 — first household in the worked example

HH2 = Household 2 — second household in the worked example

LPG = Liberalisation, Privatisation, Globalisation — 1991 reforms

MY NOTES

MP = Madhya Pradesh — Indian state

OPHI = Oxford Poverty and Human Development Initiative — research centre that built the MPI

UT = Union Territory — centrally administered area

AF = Alkire-Foster — dual-cutoff method behind the MPI

CE = Consumption Expenditure — what households spend, the base for measuring inequality

CPI = Consumer Price Index — tracks the price of a retail basket of goods and services that households buy

EPL = Extreme Poverty Line — another name for the International Poverty Line

G&S = Goods and Services — things people consume

HDR = Human Development Report — UNDP's yearly report that publishes the HDI

HYV = High Yielding Variety — improved seeds that give much higher crop output

ICP = International Comparison Programme — prices a basket in each country to build PPPs

JJM = Jal Jeevan Mission — drinking water mission

MMRP = Modified Mixed Recall Period — today's recall method

MNREGA = Mahatma Gandhi National Rural Employment Guarantee Act — law promising 100 days of wage work

MPICC = MPI Coordination Committee — committee that prepares reform action plans

MRP = Maximum Retail Price — printed price ceiling

NFHS = National Family Health Survey — household survey on health, nutrition and living conditions

NSO = National Statistical Office — under MoSPI; compiles CPI and national accounts

PLs = Poverty Lines — plural of PL

PMAY = PM Awas Yojana — housing scheme

PMJDY = Pradhan Mantri Jan Dhan Yojana — national scheme for zero-balance bank accounts

PMUY = PM Ujjwala Yojana — cooking gas for poor households

RAM = Rozgar and Ajeevika Mission — part of the NCERT name VB-G RAM G

SBM = Swachh Bharat Mission — sanitation mission

SDGs = Sustainable Development Goals — UN goals for 2030

UN = United Nations — world body of states founded in 1945

URP = Uniform Recall Period — old consumption-survey recall method

UTs = Union Territories — centrally administered areas

VB-G = Viksit Bharat – Guarantee — first part of the NCERT name VB-G RAM G

WDI = World Development Indicators — World Bank's database of country statistics

YK = Y.K. (Alagh) — initials of the committee head, YK Alagh

Meanings are plain-language aids; verify before quoting in an answer.

CURRENT AFFAIRS

District Mineral Foundations (DMF) and PMKKKY

September 2026 Prelims · Mains

MY NOTES

The CAG flagged irregularities in DMF functioning and PMKKKY implementation in Odisha.

DMF: non-profit trust set up by States in every mining-affected district. Legal basis: Section 9B of the MMDR Act, **1957** (inserted by the **2015** Amendment). Funding: **30%** of royalty (leases before 12 January **2015**) or **10%** (auction leases after that date). Two tiers: Governing Council and Managing Committee. Guided by the Fifth and Sixth Schedules, PESA **1996** and FRA **2006**.

Status: DMFs in 656 districts of 23 States; over **Rs 1.30 lakh crore** collected; top States Odisha, Jharkhand, Chhattisgarh.

PMKKKY (2015, Ministry of Mines): implemented by DMFs using DMF funds. At least **70%** to high-priority sectors (drinking water, pollution control); up to **30%** to other priority sectors (infrastructure, irrigation); at least **70%** of funds in directly affected areas.

CAG concerns: diversion to ineligible items (wage payments under MGNREGS, government vehicles); no perspective or annual plans; endowment funds not created; about **54%** fund utilisation; no social audits.

Way forward: rule-based allocation; perspective and annual plans; link DMF portals with WAMIS; collect dues with penal interest; mandatory social audits.

PRELIMS FODDER

MMDR Act, 1957: Union regulates major minerals; States regulate minor minerals (sand, gravel) by rules. National Mineral Exploration and Development Trust set up under the **2015** Amendment.

MAINS FODDER

Principle: those who bear the costs of mining should share its benefits. Cases: Project SAMARTHYA (Gujarat, youth training), Project Aangan-Chatra (Jharkhand, 40 anganwadis).

Keywords District Mineral Foundation · Royalty · Social audit · Endowment fund

Defining Urban Areas in India

September 2026 Prelims · Mains

*MoHUA told a parliamentary panel that census-town criteria do not capture the scale of urbanisation. The Registrar General of India will keep the existing framework for Census **2027**.*

Statutory towns: notified under law by the State/UT, irrespective of census thresholds; they have municipalities, corporations or cantonment boards.

Census towns must meet all three: population at least 5,000; density at least 400 persons/km2; **75%** of the male main working population in non-agricultural work. They may stay under rural local governance but count as urban in Census statistics.

MY NOTES

Measures differ: national definition **31.2%** (**2011**), UN estimate **35.7%** (**2025**); Agglomeration Index **55.3%** (**2010**) lived in urban-like areas; DEGURBA (UN-endorsed, 1 km2 grids, rural-urban continuum).

Limits: male-only occupational test excludes women; large revenue-village boundaries lower density; uniform thresholds miss small hill and north-eastern settlements; no commuting or functional linkage test.

Effects: hidden urbanisation; governance mismatch (rural bodies facing drainage, waste, land use needs); planning and funding gaps in peri-urban zones; political economy of reclassification (fear of losing rural scheme benefits, new municipal taxes).

PRELIMS FODDER

Peri-urban area: rural-urban transition zone, also called rurban.

RGI is an office under the MHA.

Agglomeration Index was developed for the World Bank World Development Report.

Other countries: Canada (1,000 people and 400/km2), USA (2,000 housing units or 5,000 people).

MAINS FODDER

Way forward: review the male-only test and thresholds; use grids, satellite mapping and commuting data; clear procedure for statutory recognition with staff and finance; transition funding, including the Sixteenth Finance Commission Urbanisation Premium; coordinate municipal and panchayat plans.

Line to use: India's cities are growing faster than its definitions; an outdated definition is a governance deficit.

Keywords Hidden urbanisation · Census town · Peri-urban belts · Urbanisation Premium

World Bank: India made "remarkable progress" in reducing poverty

October 2026 Prelims · Mains

*The World Bank's October **2026** Poverty and Equity Brief for India says the country saw one of the fastest reductions in poverty in the world over the last decade, in both monetary and non-monetary dimensions.*

Monetary poverty, 2011 to 2023: the share of the population below the Lower Middle-Income Country line (**$4.2**/day) fell from **57.7%** to **16.1%**, lifting an estimated **496 million** people out of poverty.

Extreme poverty (**$3.00**/day) declined from **27.1%** to **2.6%** over the same period.

The report projects poverty to keep declining, "albeit more gradually".

Non-monetary poverty: on the Oxford Poverty and Human Development Initiative (OPHI) Multidimensional Poverty Index (MPI),

MY NOTES

poverty fell sharply from **53.8%** in **2005-06** to **16.4%** in **2019-21**; the World Bank MPI measure is **15.5%** in **2022-23**.

Geography: living standards improved across most States, but poverty has become increasingly concentrated. Households in a contiguous belt from Uttar Pradesh to West Bengal account for about **57%** of India's poor population.

Finance Minister Nirmala Sitharaman said the Bank identifies strong consumption growth, rising employment (especially among women) and expanded social transfers, including food subsidies, as the major drivers.

Source conflict: the Chapter 1 handout gives **5.3%** (at **$3.00**), **24%** (at **$4.20**) and over **80%** (at **$8.30**) on the **2021** PPP lines; this report gives **2.6%** at **$3.00** and **16.1%** at **$4.20** for **2023**. They are different years or estimates. Exam-hall rule: always quote the figure with its year and source.

PRELIMS FODDER

Two World Bank lines in the report: **$3.00**/day (extreme poverty; the International Poverty Line in the handout) and **$4.2**/day (Lower Middle-Income Country line).

Two ways to measure: monetary (consumption line) and non-monetary (MPI). The report quotes both OPHI's MPI and the World Bank's MPI measure.

MAINS FODDER

Fast fall in poverty but concentration in a UP to West Bengal belt: a case for place-based policy.

Drivers named by the Finance Minister: consumption growth, employment (women), social transfers and food subsidies.

Why monetary and multidimensional measures must be read together.

Keywords Poverty and Equity Brief · Lower Middle-Income line $4.2 · Extreme poverty $3.00 · 496 million · OPHI MPI · Geographic concentration · Social transfers

TIMELINE AND NUMBERS

When	What
1906	Dadabhai Naoroji, "Poverty & Un-British Rule in India": an early scientific effort to measure poverty ★
1938	National Planning Committee: another pre-independence effort
1944	Bombay Plan: another pre-independence effort
1951	India's HCR about 65%
1971	Dandekar and Rath: calorie-based PL, 2250 calories per person per day ★
1979	YK Alagh: separate rural (2400) and urban (2100) calorie lines ★

MY NOTES

When	What
1984	FGT measures (Foster, Greer, Thorbecke) for depth and severity
1990	World Bank's first global poverty line: $1 a day
1993	Lakdawala: state-specific PLs, inflation-indexed. HCR about 45% ★
2009	Tendulkar: adds health, education, water and sanitation. Still India's official PL ★
2010	MPI (Alkire and Foster) adopted by UNDP in the Human Development Report
2011-12	National line: nearly 30% poor. World Bank extreme rate 27.1%
2012	India's HCR about 22% (Tendulkar basis)
2014	Rangarajan's behavioural PL (not accepted). India's latest national line announced; India has had no PL since ★
2015-16	NFHS-4: MPI 0.117, H 24.85%, A 47.14%
2019-21	NFHS-5: MPI 0.066, H 14.96%, A 44.39%. 135 million escape MPI poverty ★
2022-23	HCES after an 11-year gap. World Bank extreme rate 5.3%
2023	NITI Aayog National MPI Progress Review 2023 (36 States and UTs, 707 districts)
June 2025	World Bank lines: $3.00, $4.20, $8.30 (2021 PPP) ★
2030	SDG 1.1 (end extreme poverty) and SDG 1.2 (halve multidimensional poverty) target year

CONNECTS TO OTHER CHAPTERS

Where	Why
Chapter 2: Inequality	The handout ends Chapter 1 by turning to inequality, "the relative aspect of poverty". Relative poverty is a reflection of inequality, and the PGI limit (ignores inequality among the poor) leads straight into it.
Unemployment handout (next in your PDF)	The summary here cites youth unemployment of 13.3% and 29% for graduates. The Unemployment handout explains the structure behind those numbers and lists schemes (PMKVY, Jan Dhan, Mudra are also named for inclusive growth in Chapter 2).
National Income Accounting handout	Uses PPP to compare GDP per capita across countries, and covers the Inequality-adjusted HDI (IHDI), which discounts HDI for inequality in health, education and income. Same PPP idea as section 6.
Banking and NBFCs handout	PM Jan Dhan Yojana (2014) shifted financial inclusion from area-focused to person-focused. Here it is part of the JAM trinity and the MPI "bank account" indicator.

MY NOTES

Where	Why
Budget and Fiscal Policy handout	Debates free foodgrains to 75% of the population versus only those strictly below the poverty line. Connects to the beneficiaries-versus-poor point in section 3.

MAINS ANSWER SKELETONS

WHY SHOULD POVERTY ESTIMATION NOT BE BASED ON COUNTING THE BENEFICIARIES OF GOVERNMENT SCHEMES? WHAT SHOULD IT BE USED FOR?

Intro: Beneficiary lists are built for delivery, poverty estimates are built for judging progress.

- Every scheme has its own criteria and suffers inclusion and exclusion errors; there is always a trade-off (JAM only reduces it).
- Lists are hard to revise and only grow, since few give up benefits.
- Estimation uses a normative poverty line, a representative sample and the headcount ratio, an estimate not a count.
- Its purpose: assess progress over time and compare regions fairly, on consumption expenditure.

Close: Beneficiaries are a count of who is helped; poverty is an estimate of who is below a standard.

TRACE THE EVOLUTION OF INDIA'S POVERTY LINE. WHY DID THE TENDULKAR LINE INCREASE THE ESTIMATE OF POVERTY?

Intro: The line moved from a single calorie norm to a broader basket of necessities.

- Dandekar and Rath 1971: 2250 calories. Alagh 1979: rural 2400, urban 2100. Lakdawala 1993: state lines, inflation index.
- Tendulkar 2009: added normative spending on health, education, water and sanitation, which earlier committees assumed the state paid for.
- The non-food part expanded, so the line rose.
- Rangarajan 2014 added a behavioural part but was not accepted; Tendulkar stays official.

Close: Each committee widened what counts as a life of basic dignity.

EXPLAIN PPP AND WHY THE WORLD BANK USES IT. WHY DO INDIA'S POVERTY RATES DIFFER SO MUCH AT $3, $4.20 AND $8.30?

Intro: Market exchange rates hide price differences, so PPP converts lines into what money actually buys.

- PPP equalises purchasing power (Rs 2000 versus $100 basket gives 20).
- The Bank takes medians of national lines of low, lower-middle and upper-middle-income countries.
- India: 5.3% at $3, 24% at $4.20, over 80% at $8.30.
- So few Indians are extremely poor, but most are not far above the line.

MY NOTES

Close: The number depends on the yardstick, so always state the line and PPP year.

WHY IS A MONEY-BASED POVERTY LINE NOT ENOUGH? HOW DOES THE NATIONAL MPI IMPROVE ON IT?

Intro: A household can afford necessities on paper yet not have them available.

- Consumption lines judge deprivation by ability to spend.
- MPI measures deprivations directly: 3 dimensions, 12 indicators, 33% cut-off, MPI = H x A.
- It gives headcount and intensity, and breaks down by state and district.
- Result: MPI 0.117 to 0.066, 135 million out, sanitation and cooking fuel leading.

Close: Money tells you what a household can buy; MPI tells you what it actually has.

THE HEADCOUNT RATIO CANNOT SHOW HOW POOR THE POOR ARE. EXPLAIN HOW PGI AND SPG FIX THIS.

Intro: HCR counts heads, not distance from the line.

- HCR treats someone ₹1 below the line like someone with zero income.
- PGI: average shortfall as a share of the line; gives the cost of ending poverty; ignores inequality among the poor.
- SPG: squared gaps give more weight to the poorest; improves only when the deeply destitute are reached.
- FGT measures are standard tools of the World Bank and UN.

Close: Headcount says how many, gap says how far, squared gap says who is furthest.

PAST-YEAR QUESTIONS · 4 PRELIMS AND 0 MAINS QUESTIONS FROM THE SAARTHI SUBJECT-WISE SHEETS

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question

4 · THE POVERTY LINE BASKET AND THE COMMITTEES

1 Prelims · 0 Mains

Prelims 2019

In a given year in India, official poverty lines are higher in some States than in others because:

(a) poverty rates vary from State to State.
(b) price levels vary from State to State.
(c) Gross State Product varies from State to State.
(d) quality of public distribution varies from State.

Answer: **(b)** price levels vary from State to State.

MY NOTES

5 · INDIA'S PROGRESS ON REDUCING POVERTY 2 Prelims · 0 Mains

Prelims 2012

How do District Rural Development Agencies (DRDAs) help in the reduction of rural poverty in India?

1. DRDAs act as Panchayati Raj Institutions in certain specified backward regions of the country.
2. DRDAs undertake area-specific scientific study of the causes of poverty and malnutrition and prepare detailed remedial measures.
3. DRDAs secure inter-sectoral and inter-departmental coordination and cooperation for effective implementation of anti-poverty programmes.
4. DRDAs watch over and ensure effective utilization of the funds intended for anti-poverty programmes.

Which of the statements given above is/are correct?

(a) 1, 2 and 3 only
(b) 3 and 4 only
(c) 4 only
(d) 1, 2, 3 and 4

Answer: **(b)** 3 and 4 only

Prelims 2012

How does the National Rural Livelihood Mission seek to improve livelihood options of rural poor?

1. By setting up a large number of new manufacturing industries and agribusiness centres in rural areas
2. By strengthening 'Self-Help Groups' and providing skill development
3. By supplying seeds, fertilizers, diesel pump-sets and micro-irrigation equipment free of cost to farmers

Select the correct answer using the code given below:

(a) 1 and 2 only
(b) 2 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(b)** 2 only

8 · WHY A MONEY LINE IS NOT ENOUGH: MULTIDIMENSIONAL POVERTY 1 Prelims · 0 Mains

Prelims 2012

The Multi-dimensional Poverty Index developed by Oxford Poverty and Human Development Initiative with UNDP support covers which of the following?

1. Deprivation of education, health, assets and services at household level
2. Purchasing power parity at national level
3. Extent of budget deficit and GDP growth rate at national level

Select the correct answer using the code given below:

(a) 1 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(a)** 1 only

MY NOTES

END OF CHAPTER · RECALL AND DRILL

RECALL SHEET: COVER THE RIGHT COLUMN AND ANSWER

World Bank definition of poverty?	Pronounced deprivation in well-being, with many dimensions: low income, poor health and education, poor water and sanitation, no physical security, no voice, no opportunity.
Relative poverty reflects...?	Inequality.
JAM trinity?	Jan Dhan accounts, Aadhaar-based identification, Mobile.
Main purpose of poverty estimation?	Assess progress over time (and compare regions).
HCR stands for?	Head count ratio: the share of people below the poverty line (an estimate, not a count).
Poverty line basket?	The goods and services an expert considers necessary for a life of basic dignity.
Alagh (1979)?	Rural and urban lines: 2400 versus 2100 calories.
Tendulkar (2009)?	Added normative spending on health, education, drinking water, sanitation; the line rose. Official PL.
Recall period sequence?	URP to MRP to MMRP (7 or 30 days for frequent items, 365 days for less frequent).
India's HCR in 2012 and the pace after 2000?	About 22%; 1.15 pp a year, thrice the earlier pace.
LMIC and UMIC lines?	$4.20 and $8.30 a day (2021 PPP).
World extreme poverty rate versus India's?	10.8% versus 5.3%: first time India is below the world average.
PPP conversion example?	A $100 basket that costs Rs 2000 in India gives a PPP factor of 20.
Global MPI proposed by? Structure?	OPHI to UNDP. 3 dimensions (health, education, standard of living), 10 indicators.

Prelims trap · Tendulkar is official, not Rangarajan

Rangarajan (2014) added a behavioural part, but his line was not accepted. Tendulkar continued as the official poverty line. *Rule: official line = Tendulkar; Rangarajan = behavioural, not accepted.*

MY NOTES

Concept trap · Beneficiaries are not the poor

Beneficiary lists are hard to revise and only grow. Counting them gives beneficiaries, not poverty, which is an estimate from a representative sample. *Rule: poverty is estimated to judge progress, never by counting beneficiaries.*

Handout alert · Three numbers for about 2011-12

Tendulkar gives about 22% (2012), India's national line nearly 30% (2011-12), and the World Bank extreme line 27.1%. Each uses a different yardstick. *Rule: always name the yardstick before quoting a poverty rate.*

Handout alert · $4.20 or $3.65

Section 7 gives the LMIC line as $4.20 (2021 PPP, about Rs 84) but the end summary says $3.65. *Rule: use $4.20 and check your notebook for $3.65.*

Handout alert · Two MPI thresholds

The global MPI calls a household poor if deprived on 3 or more of 10 indicators. India's National MPI uses a score above 33% on 12 indicators. *Rule: 12 indicators and 33% = India; 10 indicators = global.*

Handout alert · SPG is also called the Sen index

The handout calls the squared poverty gap both FGT2 and the Sen index, named after Amartya Sen. *Rule: link 'Sen index' to the SPG as the handout does, and check class notes.*

QUICK QUIZ

Q1. According to the handout, why do we measure poverty?

1. To identify beneficiaries for government schemes
2. To assess progress in people's well-being against a normative standard
3. To count the exact number of poor people
4. To set the wages of workers

Q2. Why is poverty generally assessed on consumption expenditure rather than income?

1. Income is less truthfully revealed and more volatile
2. Consumption is always higher than income
3. Income cannot be measured by any survey
4. Consumption data comes from the census

Q3. Which committee laid the foundation of a calorie-based poverty line (2250 calories per person per day)?

1. Lakdawala (1993)
2. Tendulkar (2009)
3. Dandekar and Rath (1971)
4. Rangarajan (2014)

Q4. Which committee first made separate rural and urban poverty lines (2400 and 2100 calories)?

1. YK Alagh (1979)
2. Lakdawala (1993)
3. Dandekar and Rath (1971)
4. Tendulkar (2009)

MY NOTES

Q5. What did the Tendulkar committee add to the poverty line?

1. Alcohol and tobacco spending
2. State-specific lines
3. Normative spending on health, education, drinking water and sanitation
4. A multidimensional index

Q6. Whose poverty line is India's official line, according to the handout?

1. Rangarajan's
2. Tendulkar's
3. Lakdawala's
4. Alagh's

Q7. The "behavioural" component in Rangarajan's basket covers...

1. food based on ICMR norms
2. actual spending on items like alcohol, tobacco and entertainment
3. housing and transport
4. subsidised grain

Q8. The World Bank's International Poverty Line is set as...

1. the median of national lines of low-income countries
2. the mean of all national lines
3. the median of lines of upper-middle-income countries
4. India's national line

Answers: Q1 b, Q2 a, Q3 c, Q4 a, Q5 c, Q6 b, Q7 b, Q8 a

MY NOTES

CHAPTER 2 · HANDOUT PP. 27-35

02 Inequality: Measures, Causes and Growth Models

MEDIUM PRIORITY Mains PYQs quoted: **2014, 2016, 2017, 2019, 2020, 2021**

Prelims PYQs: **2011, 2012, 2014**

EXAM LENS

Prelims hooks

- Kuznets versus Lorenz
- the Lorenz plotting steps and what the equality line OP and the line QP mean
- the Gini formula and range
- the four Gini shortcomings
- the four conditions for trickle-down
- the two pillars of inclusive growth

Mains hooks

- causes of inequality (natural, Marxist, modern)
- why growth causes inequality
- why trickle-down fails
- why inclusive growth is about claim, not charity
- the rule-of-law argument

some inequality comes with growth, but its kind decides the outcome. Good inequality (earned by fair means under rule of law) is tolerable; bad inequality (from connections and weak law) hurts everyone.

IN SIMPLE WORDS

- **Inequality** is differences in attainment of well-being. It is measured mostly through **consumption expenditure**, the most objective choice.
- The **Kuznets curve** is a **theory**: inequality rises, stabilises, then corrects. The **Lorenz curve** is **data-based**, and **Gini = A / (A + B)** runs from 0 to 1.
- Inequality comes from **natural advantages**, from capital versus labour (**Marx**), and from the **nature** of inequality, which the **rule of law** decides.
- **Growth, by design, causes inequality** because resources go where growth potential is higher.
- **Trickle-down** works only if four conditions hold. **Inclusive growth** rests on **capability** and **opportunity**, so the bottom becomes a contributor with a rightful claim.

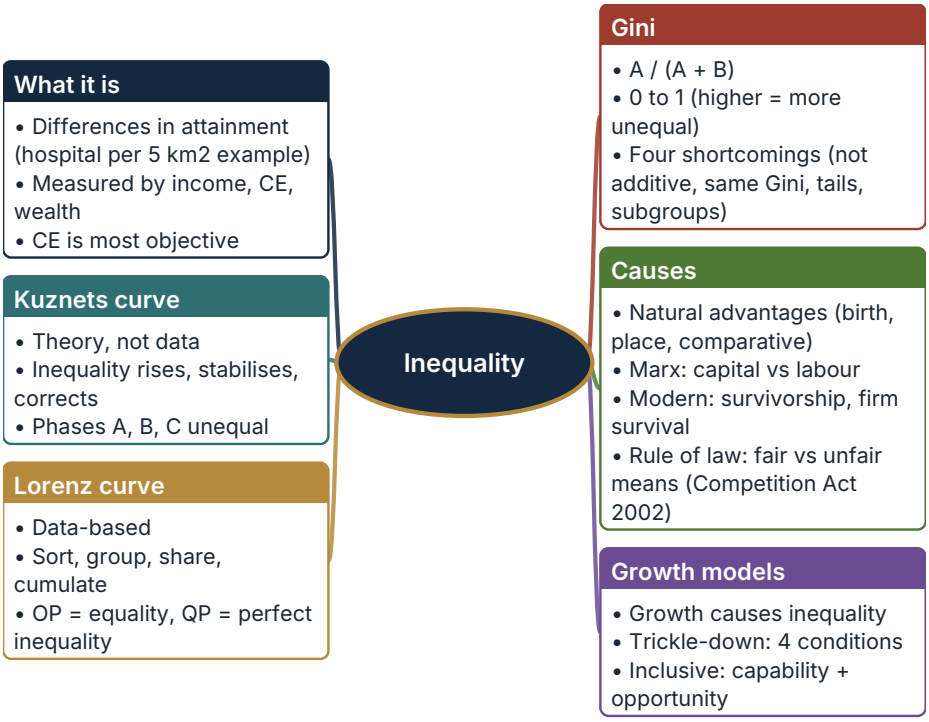
Key term	In plain words
Inequality	Differences in the degree of attainment on aspects of well-being.

MY NOTES

Key term	In plain words
Consumption expenditure (CE)	The preferred, most objective base for measuring inequality.
Kuznets curve	A theoretical expectation: inequality rises, stabilises, then corrects as incomes rise.
Lorenz curve (LC)	A data-based picture of inequality from cumulative shares of income, CE or wealth.
Line of perfect equality (OP)	The x = y line where every group has the same share.
Line of perfect inequality (QP)	Runs along the x-axis, then rises vertically at the last point.
Gini coefficient	A / (A + B), calculated from the Lorenz curve; higher means more inequality.
Natural advantages	Accidents of birth or location that give some people a better chance.
Survivorship bias	Using only the visible information, such as the profits of surviving firms.
Rule of law	A collective environment of competent, fair institutions that frame, execute and adjudicate laws.
Trickle-down	Focus resources on high-growth sectors and let benefits reach the bottom.
Inclusive growth	Broad-based growth that includes the bottom as active contributors.
Capability	Pillar 1: skills, basic healthcare and quality education.
Opportunity	Pillar 2: jobs, entrepreneurship, ease of doing business and access to capital.

MY NOTES

CHAPTER MAP



REMEMBER IT AS Kuznets is theory, Lorenz is data, Gini is A over A plus B. Growth causes inequality; trickle-down needs four conditions, inclusive growth needs capability and opportunity.

EXAM LENS: WHAT THE HANDOUT STRESSES

SOURCE NOTE

This chapter comes from the handout only. No class slides, no teacher ink and no PYQ section came with it. PYQs quoted in the material: **none quoted in the material.**

What the handout itself stresses

Signal in the handout	Where	Why it matters
Kuznets curve is "**not a data-based curve,** merely a theoretical expectation"; Lorenz curve **is** data-based	Section 2	A clean statement trap: theory versus data.
Gini ranges 0 (perfect equality) to 1 (perfect inequality); a higher Gini means more inequality. **Four shortcomings** listed	Section 4	The handout gives each with "The Concept" and "The Explanation".
Modern reasoning: it is about the **nature** of inequality, and the **rule of law** decides it	Section 5	A Mains theme. The handout stresses that rule of law is more than a law.
Trickle-down works only if four conditions hold; inclusive growth rests on **capability and opportunity**	Sections 7-8	A compare-and-contrast Mains question. The handout says the two are "essentially the same" with different emphasis.

MY NOTES

Signal in the handout	Where	Why it matters
Skill and inclusion readings named: National Skill Development Programme, PMKVY, Jan Dhan, Mudra, Economic Survey 2025-26	Section 8	The handout points to these for further reading.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Medium. 3 Prelims and 6 Mains questions map to this chapter.

Most-asked topics: Inclusive growth (3 Prelims, 6 Mains).

Prelims years: 2011, 2012, 2014. Mains years: 2014, 2016, 2017, 2019, 2020, 2021.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

START HERE: 60 SECONDS, KEY WORDS, NCERT MAP

THE WHOLE CHAPTER IN 60 SECONDS

- **Meaning**: inequality = differences in attainment of well-being; poverty is the floor, inequality is the gaps above it
- **Two curves**: Kuznets = theory (inverted U); Lorenz = data-based picture
- **One number**: Gini = A ÷ (A + B), from 0 (equal) to 1 (unequal), with four shortcomings
- **Why it exists**: natural advantages, Marx (capital versus labour), modern view (survival, rule of law)
- **Growth**: growth by design concentrates resources, so it causes inequality
- **Two models**: trickle-down (four conditions) versus inclusive growth (capability + opportunity)

Word	Meaning
Inequality	differences in how well people are doing, measured mostly through consumption
Lorenz curve	a data-based curve of cumulative income shares against cumulative population
Gini coefficient	one number from the Lorenz curve: the share of the triangle between equality and the curve
Kuznets curve	a theoretical inverted U: inequality rises, stabilises, then corrects as incomes rise
Survivorship bias	judging only by the winners that remain and ignoring those that vanished
Rule of law	a whole environment of competent, fair institutions that frame, execute and judge laws

MY NOTES

Word	Meaning
Trickle-down	focus growth on a few sectors and hope or arrange for benefits to flow down
Inclusive growth	broad-based growth where the bottom contributes and so has a rightful claim

📘 READ NCERT FIRST: WHERE EACH NCERT PART FITS THIS CHAPTER

NCERT part	Handout section	What it adds
Class XII Macro Ch 2 §2.5; Class XI Ch 2 §2.2, Box 2.1	1	GDP can rise while most are worse off; equity as a goal; why markets leave the poor out
Class XI Ch 2 §2.3, §2.4-2.5; Glossary	5	Land reform and its loopholes; licensing misuse as unfair means
Class XI Ch 2 §2.3; Ch 3 §3.7	6	Green revolution and disparity; critics of globalisation
Class XII Macro Ch 5 §5.1	7	Redistribution function; pro-gressive taxes; Rs 3.65 per Re 1
Class XI Ch 4 §4.4-4.8; Ch 5 §5.3	8	Education and health gaps; SHGs, Kudumbashree, Jan Dhan
Class XI Ch 7 §7.4	end	Sustainable development and redistribution
No NCERT text	2, 3, 4	The words Kuznets, Lorenz and Gini do not occur in the NCERT books; Marx, survivorship bias and rule of law are handout-only

1 · WHAT IS INEQUALITY?

🧠 UNDERSTAND IT FIRST

Poverty is a floor; inequality is the staircase above it. Two people can both be well clear of deprivation and still differ in how well they are doing. Inequality can be economic, social or political, but we measure the economic kind. Wealth would show the biggest gaps, yet wealth and income are less truthfully revealed and jumpy, so consumption expenditure (CE) is the steadier, more objective yardstick even though it shows a lower gap.

MY NOTES

✏ EXAMPLE

The handout's example: one person lives where there is one hospital per 5 km² and another where there are two. Neither is probably facing pronounced deprivation, but the second's attainment is better. That is inequality.

Inequality is differences in the degree of attainment on various aspects of well-being. Example: one person lives where there is one hospital per 5 km² and another where there are two. Neither is probably facing pronounced deprivation, but the second's attainment is better than the first's. That is inequality. (Poverty is about a floor; inequality is about differences above it.)

- It can be economic, social or political, but it is generally **measured through economic differences:** income, expenditure and wealth.
- Like poverty, the preferred method is **consumption expenditure (CE).**
- Inequality measured through **wealth** is generally higher. But wealth and income are less truthfully revealed and highly volatile, so **CE-based inequality, even though lower, is generally the most objective.**
- The government generally measures **consumption inequality** because it lacks verifiable, regularly collected data on other measures.

📘 FROM NCERT · CLASS XII MACROECONOMICS, CH 2 §2.5 GDP AND WELFARE (DISTRIBUTION OF GDP)

In plain words: The handout says inequality is a difference in well-being. NCERT's cleanest example shows how a country's GDP can rise while most people are worse off, because the gains went to a few.

Link to the handout: Handout section 1 (differences in well-being) and section 6 (growth causes inequality). This is one of NCERT's three reasons why GDP is not a measure of welfare.

NCERT's imaginary country, step by step

- GDP is higher by Rs 10, yet 90 per cent of the people saw a drop of 10 per cent in real income (Rs 10 to Rs 9), while only 10 per cent gained 100 per cent (Rs 10 to Rs 20).
- NCERT's verdict: 90 per cent of the people are worse off though GDP has gone up. If welfare is related to the percentage of people who are better off, GDP is not a good index.

MY NOTES

- NCERT's margin question: how uniform is the distribution of GDP? It still seems that a majority of the people are poor and a few benefited.

GDP IN 2001

90 × Rs 9 + 10 × Rs 20 = Rs 810 + Rs 200 = Rs 1,010

no change in prices, so real incomes moved with these numbers

Year	People	Income each	GDP part
2000	100	Rs 10	Rs 1,000
2001	90	Rs 9	Rs 810
2001	10	Rs 20	Rs 200
2001 total	100		Rs 1,010

📘 FROM NCERT · CLASS XI IED, CH 2 §2.2 THE GOALS OF FIVE YEAR PLANS (EQUITY); BOX 2.1

In plain words: NCERT's word for the handout's "less inequality" is equity, one of four goals of the five year plans. It also gives a simple reason why markets alone leave some people out.

Link to the handout: Handout section 1 (inequality) and section 8 (inclusive growth as a rightful claim).

Step 1: the four goals

- Growth, modernisation, self-reliance and equity. Plans did not give equal importance to all four, and goals may conflict.

Step 2: equity in NCERT's words

- A country can have high growth and the most modern technology and still have most of its people living in poverty.
- So benefits of economic prosperity must reach the poor sections instead of being enjoyed only by the rich.
- Every Indian should be able to meet basic needs such as food, a decent house, education and health care, and inequality in the distribution of wealth should be reduced.
- NCERT's picture: GDP is a cake and growth is an increase in its size; if the cake is larger, more people can enjoy it.

MY NOTES

Step 3: why a market alone leaves some out (Box 2.1)

System	Goods go to...	Example in NCERT
Market economy (capitalism)	those with purchasing power, not those with need	Low cost housing for the poor is much needed but does not count as demand because the poor lack purchasing power
Socialist	distribution based on need, not what people can afford	free health care to all citizens
Mixed economy	market provides what it can produce well; government provides essential goods the market fails to	India's choice (Nehru did not want the great majority left behind)

NCERT differs: NCERT speaks of inequality in the distribution of wealth; the handout measures inequality through consumption (CE) because wealth data are less truthfully revealed. Both are inequality; the handout's measurement point wins in class. *(handout/teacher wins in class)*

⭐ REMEMBER

Inequality = differences above the floor. Measured by CE: lower than wealth inequality but most objective.

2 · KUZNETS CURVE: A THEORY

🧠 UNDERSTAND IT FIRST

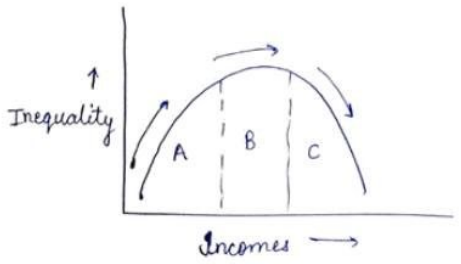
Kuznets drew a story, not a photograph. As a society gets richer, some people's incomes race ahead, so inequality first climbs; then it levels off; and eventually it corrects, giving an upside-down U. Nobody measured this curve. It is a theoretical expectation, and the three phases need not be equal in length.

✏ EXAMPLE

The handout's sketch: inequality on the vertical axis, income on the horizontal, an inverted U with phases A, B and C marked. It does not define each phase separately.

The Kuznets curve is a **theoretical prediction** about how inequality relates to incomes in a society over time. Kuznets predicts that **as incomes rise, inequality first rises** (incomes of some grow faster than others), then **stabilises,** and eventually **corrects.**

MY NOTES



Kuznet predicts that as incomes rise, initially there would be a rise in inequality (incomes of some increase faster than others), then a stabilization and eventually a correction.

Figure. Hand-drawn Kuznets curve: inequality on the vertical axis, income on the horizontal axis. An inverted U with three phases marked A, B and C.

- It is **not a data-based curve,** only a theoretical expectation.
- The phases **A, B, C are not necessarily of equal or proportional lengths.**

HANDOUT ALERT: WHAT THE CURVE SHOWS

The handout gives the shape as rise, stabilise, correct. It labels the phases A, B, C on the sketch but does not define each one separately. **Rule for the exam hall:** call it a theoretical, inverted-U expectation, never a measured curve.

⭐ **REMEMBER**

Kuznets = theory, inverted U: rises, stabilises, corrects. Phases A, B, C unequal.

3 · LORENZ CURVE: A DATA-BASED PICTURE

🧠 **UNDERSTAND IT FIRST**

Line up everyone from the poorest to the richest, cut them into equal-sized groups and add up the income of each group from the bottom. Plot the running totals and join the dots: that is the Lorenz curve, a photograph of inequality. If everyone had equal shares it would be a straight diagonal. If one person had everything it would hug the floor and shoot up at the very end. Real countries lie in between.

✏ **EXAMPLE**

The handout's example: bottom 20% have 3%, the next 20% have 7%, so the bottom 40% have a cumulative 10%. The two pictures in the handout use different illustrations (50% versus 40% for the bottom 80%), so do not quote them; explain the method and the two extreme lines.

MY NOTES

📐 Formulas of this section

PERFECT EQUALITY

Lorenz curve = line OP (x = y)

every group has the same share as any group of the same size

PERFECT INEQUALITY

Lorenz curve = OQP

one person has all the income, the rest zero

The Lorenz curve (LC) is a **data-based representation** of existing inequality in income, CE or wealth.

HOW TO PLOT THE LORENZ CURVE

1 · Collect data
- Income, CE or wealth, from the population or a sample

2 · Sort it
- Generally in descending order (the handout's wording)

3 · Divide into equal-sized groups
- For example 5 groups of 20% of the population

4 · Find each group's share
- Total income of the group, hence its share in total income

5 · Plot cumulative shares
- Example: bottom 20% have 3%, next 20% have 7%, so bottom 40% have a cumulative 10%. Join the points

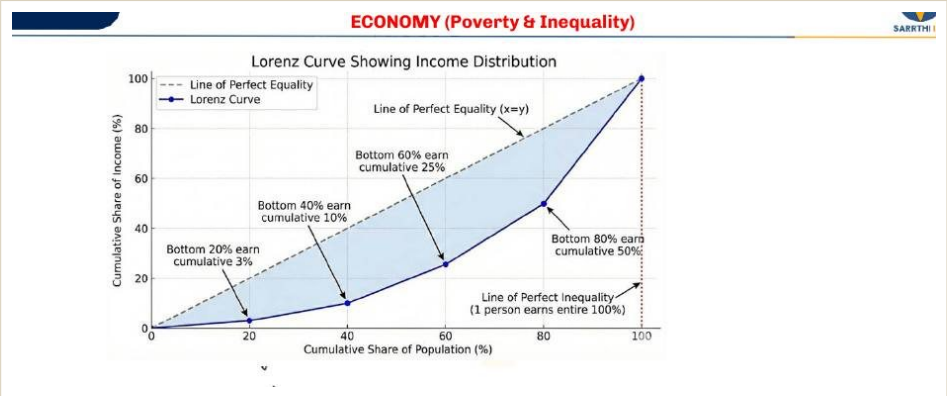
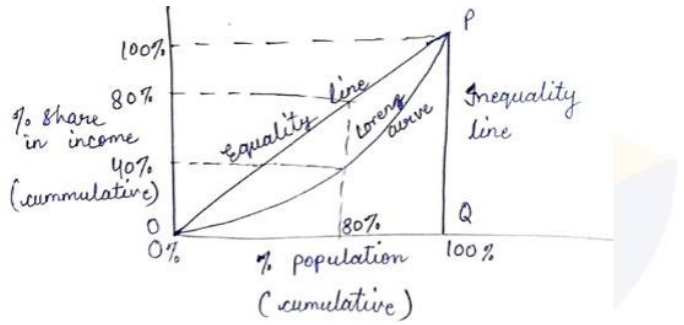


Figure. Lorenz curve of income distribution. The diagonal is the line of perfect equality. Points: bottom 20% earn 3% cumulative, bottom 40% earn 10%, bottom 60% earn 25%, bottom 80% earn 50% (in this chart the last point shown is 50%).

MY NOTES



For example, in the above Lorenz curve, the bottom 80% have a share of 40% in total

Figure. Hand-drawn sketch from the handout: the equality line OP, the Lorenz curve, and the right-angle line OQP for perfect inequality. Example: the bottom 80% have a share of 40% of total income.

HANDOUT ALERT: TWO EXAMPLES, DIFFERENT NUMBERS

The text example says bottom 20% have 3%, bottom 40% have 10%. The chart printed beside it labels bottom 80% as 50% cumulative, while the written example beneath the sketch says bottom 80% have **40%.** They are two different illustrations. **Rule for the exam hall:** do not quote a number from these pictures; explain the method and the two extreme lines.

Reading the curve

Case	What the LC looks like
Perfect equality	Every group has the same share as any other group of the same size. The LC is the **x = y line, OP:** the **line of perfect equality**
Perfect inequality	One person has all the income, so the rest have zero. The LC runs along the **x-axis** until the very last point, then rises vertically: **OQP, or simply QP**
A real country	Lies between the two. **The closer to the equality line, the more equal;** the farther away, the less equal

KUZNETS CURVE VERSUS LORENZ CURVE

Picturing inequality
- Two curves, two natures

Kuznets curve
- Theoretical expectation
- Rises, stabilises, corrects
- Phases A, B, C unequal

Theory, not data

Lorenz curve
- Built from income, CE or wealth
- Sort, group, cumulate shares
- OP equality, QP perfect inequality

Data-based

⭐ **REMEMBER**

Lorenz = data-based. Equality line OP; perfect inequality OQP (QP). The farther from OP, the less equal.

MY NOTES

4 · GINI COEFFICIENT AND ITS FOUR SHORTCOMINGS

MY NOTES

🧠 **UNDERSTAND IT FIRST**

The Gini squeezes the Lorenz picture into one number: how big is the gap area A between the equality line and the curve, compared with the whole triangle A + B. Zero gap means perfect equality (0); no area under the curve means perfect inequality (1). It is handy, but a single number hides the shape of a society and the people in it. That is the four shortcomings: like a thermometer, not a diagnosis.

✏ **EXAMPLE**

The handout's examples: States A and B with Ginis 0.3 and 0.4 do not combine to 0.35. Two societies can both score 0.40 (one with a starving lower class and a wealthy middle, one with a comfortable middle and a few trillionaires). A ₹10,000 gift between two middle-class people moves the Gini; a multi-billionaire taking ₹10,000 from a beggar barely does.

📐 Formulas of this section

GINI COEFFICIENT

Gini = A ÷ (A + B)

A = area between equality line and Lorenz curve; B = area below the curve

RANGE

0 (A = 0) ≤ Gini ≤ 1 (B = 0)

higher Gini = more inequality

The Gini coefficient is a statistical measure of inequality calculated using the Lorenz curve. Let **A** be the area between the line of equality and the Lorenz curve, and **B** the area below the Lorenz curve.



Figure. Lorenz curve with areas A (between the equality line and the curve) and B (below the curve). Gini = A / (A + B).

FORMULA

Gini (GC) = Area between equality line and Lorenz curve / Area between equality line and inequality line = A / (A + B).

FROM LORENZ CURVE TO GINI



- **Range:** 0 when A = 0 (perfect equality) to 1 when B = 0 (perfect inequality).
- **An increase in Gini means an increase in inequality.**

Shortcomings of the Gini (the handout's four)

Shortcoming	The concept	The handout's explanation
1 · Not easily decomposable or additive	You cannot do simple maths with Ginis to see the bigger picture	Average incomes of two states combine easily into one average. Ginis do not: State A at 0.3 and State B at 0.4 do **not** combine to 0.35. The maths is complex, so policymakers cannot easily say which region or sector drives overall inequality
2 · Different distributions can give the same Gini	One number hides the **shape** of society	Society A: starving lower class, wealthy middle class, no billionaires. Society B: comfortable lower and middle class, but a few trillionaires hoarding half the wealth. Both could score **0.40,** yet feel completely different
3 · Reacts differently to transfers at the tails than in the middle	Over-sensitive to the middle class, somewhat **blind to the extremes**	A ₹10,000 gift between two middle-class people visibly improves the Gini. A multi-billionaire taking ₹10,000 from a destitute beggar (a transfer at the tails) barely moves it. It misses rising concentration at the very top
4 · Hides demographic variation among subgroups	Blind to **who** the rich and poor are	A "low" Gini cannot show whether the old hold 90% of the wealth while youth face poverty, or whether one racial group or caste earns far less. It throws everyone into one pot

MEMORY AID · FOUR SHORTCOMINGS OF THE GINI

H **A** **T** **S**

The Gini wears four HATS that hide the real picture of society.

- **H** Hides demographic variation among subgroups
- **A** Adding Ginis fails: not easily decomposable
- **T** Tails: transfers at the extremes barely register
- **S** Same Gini can come from different distributions

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

MY NOTES

⭐ **REMEMBER**

Gini = A ÷ (A + B), 0 to 1. Higher = more unequal. HATS: four shortcomings.

5 · WHY DOES INEQUALITY EXIST?

🧠 **UNDERSTAND IT FIRST**

Three layers of explanation. First, accidents of birth and place: family, status, networks, geography. They explain most inequality but not why siblings differ, which comparative advantages explain. Second, Marx: capital is scarce and concentrated, labour is abundant, so labour bargains badly and profit's share compounds. Third, the modern view: Marx only sees the surviving firms; most new firms close, so what matters is survival and market share, and the means firms choose (fair or unfair) set the nature of inequality. A strong rule of law pushes firms to fair means.

✏ **EXAMPLE**

The handout's examples: an elder sibling given responsibility earlier is better prepared for such roles; a younger sibling may lean to art. Most firms that start today shut down within 10 years. The Competition Act, 2002 is only one part of the rule of law; how it is applied decides whether the rule of law exists.

(1) NATURAL ADVANTAGES

These are **accidents of birth or location** that give some people a better chance at well-being: birth in a family of means or higher social status, better networks, inherited wealth. A place with better geography and fewer adverse events has better access to health, education and livelihood. **Most inequalities can be explained by natural advantages or disadvantages,** and they cannot be wished away.

But they cannot explain everything. Siblings in the same household can have very different outcomes. That is explained by **comparative advantages and disadvantages:** also natural, but not apparent at first. Example: an elder sibling is given responsibility earlier and is better prepared for such roles; a younger sibling may lean toward artistic or talent-based pursuits.

(2) ECONOMIC REASONS: THE MARXIST VIEW

- Marx: inequality results from **differences in the ability of different groups to enforce their interests.** The groups are those with **capital** and those with **labour,** and the interest is to take a larger share of revenue as **profits versus wages.**

MY NOTES

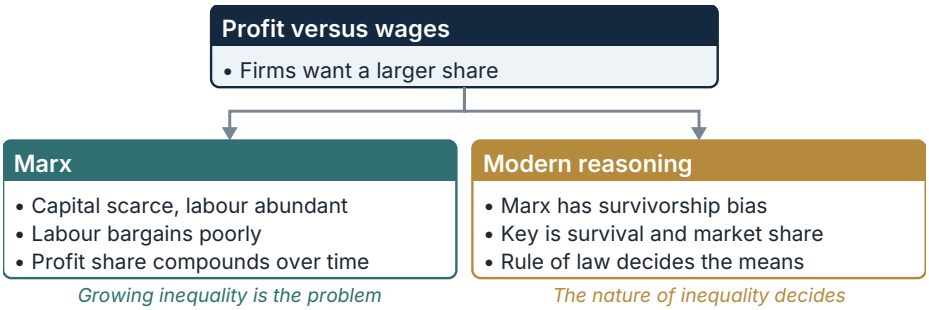
- A firm gets factors of production as capital (entrepreneurship, capital, land) and labour. Revenue is split into wages and the retained profit. Both sides want a larger share.
- **Capital is scarce and labour abundant,** so labour's ability to bargain is low. Capital is concentrated in few hands, so providers keep a larger share as profit.
- To some extent this is fair: capital takes greater risk and deserves higher reward. But as revenue rises, **profit's share keeps increasing while wages rise slowly,** so initial inequalities **compound** over time. That growing inequality is the problem, according to Marx.

(3) MODERN REASONING

a. A critique of the Marxist view. The handout says Marxist reasoning has **survivorship bias:** it uses only the information that is visible.

- Profits do rise faster than wages at a broad level. But adjust profits for the **losses of firms that shut down** and the growth rate is not very different.
- **Most firms that start today shut down within 10 years.** Marxist reasoning considers only profit, which belongs to the firm that survives.
- There are periods when profits decline but wages do not. Over a longer term, **profits and wages grow at a similar rate.**
- Why do profits still rise quickly? Surviving firms grow because of market growth **and** because of **larger market share after other firms close.** Wages grow only with market size, since the number of workers stays mostly stable.
- Marxism is "obviously not wrong" (it rightly points to unequal ability to enforce interests) but it underplays the **low survival rate of firms** versus a stable worker count.
- So firms see that the key to exceptional profit is **survival and market share.** The **means** they choose decide the kind of inequality a society has.

WHY INEQUALITY: MARX VERSUS MODERN REASONING



MY NOTES

b. The political-legal system: the rule of law. Every firm wants to survive and to monopolise; when market share rises, profits rise sharply. There are two routes to more share:

	Fair means	Unfair means
What firms do	Better goods and services through **R&D,** risk-taking, innovation, hiring skilled workers and paying them well	Exploit position and **connections with lawmakers and enforcers,** making it hard for others to compete
Under a **strong** rule of law	Firms are pushed to this route, since connections are not exploited and violators are punished	Strong disincentive
Under a **weak** rule of law	Fair players fall; wrongdoers get away	Firms lack integrity and ignore workers, consumers, minority shareholders and society
Outcome	They still monopolise and inequalities emerge, but society benefits. Such inequality is tolerable and "**good**"	Everyone loses except the owners (and only briefly). Inequality gives **bad** outcomes

THE MODERN POINT

Modern reasoning is less about why inequality exists anywhere and more about why a certain kind of inequality exists in some places that gives the worst outcomes for everyone. It is about its nature.

WHAT IS "RULE OF LAW"?

It is **not merely a law or some laws.** It is a **collective environment of institutions** that frame, execute and adjudicate the laws. The people and institutions must be competent **and** act fairly and without bias.

Example: the **Competition Act, 2002** aims to prevent monopolies through unfair practices. But many entities decide what a monopoly is, what is fair, and what to do about it. The Act is **one aspect** of the rule of law; how it is applied decides whether the rule of law exists.

📘 FROM NCERT · CLASS XI IED, CH 2 §2.3 LAND REFORMS AND BOX 2.5

In plain words: The handout asks why inequality exists and says a law alone is not the rule of law. Land reform is NCERT's main Indian case: good intentions, laws made, results uneven.

Link to the handout: Handout section 5: natural advantages (birth, inherited assets) and the rule-of-law point that how a law is applied decides the outcome.

MY NOTES

Step 1: the inequality at the start

- At independence the land tenure system was characterised by intermediaries (zamindars, jagirdars) who merely collected rent from the actual tillers without contributing to improvements. Productivity was low and India imported food from the USA.

Step 2: the two policies

Policy	Aim	What happened
Abolition of intermediaries ("land to the tiller")	Make tillers the owners; ownership gives incentive to invest and raise output (Box 2.5)	Some 200 lakh tenants came into direct contact with the government, freed from exploitation by zamindars; ownership gave incentive to increase output
Land ceiling	Fix the maximum size of land one individual may own, to reduce concentration of ownership in a few hands	Hurdles: big landlords challenged the law in court and delayed it

Step 3: why equity was only partly served

- In some areas former zamindars kept large areas by using loopholes in the legislation.
- Tenants were evicted and landowners claimed to be self-cultivators (the actual tillers).
- Even when tillers got ownership, the poorest (sharecroppers and landless labourers) did not benefit.
- Big landlords used the court delay to register their lands in the names of close relatives, escaping the legislation.

Step 4: where it worked

- Land reforms were successful in Kerala and West Bengal because these states had governments committed to the policy of land to the tiller. Other states lacked the same commitment and vast inequality in landholding continues to this day.
- Box 2.5's idea: tenants have no incentive to improve land because the landowner gains more from higher output. NCERT's example is Soviet farmers who packed rotten fruit with fresh fruit because they neither owned the land nor shared profit or loss.

NCERT differs: NCERT also calls the result "abolition of the hated zamindari system" (conclusion) while saying the equity

MY NOTES

goal was not fully served. Both statements are in NCERT; use both. (*handout/teacher wins in class*)

📘 FROM NCERT · CLASS XI IED, CH 2 §2.4-2.5 (LICENSING); GLOSSARY (PERMIT LICENSE RAJ, MRTP ACT)

In plain words: The handout says firms that choose unfair means use connections with lawmakers and enforcers to make competition hard. NCERT gives a real Indian case from 1950-90.

Link to the handout: Handout section 5(3)b: fair versus unfair means, and weak rule of law.

What NCERT says

- A licence was needed to start an industry. It was misused by industrial houses: a big industrialist would get a licence not for starting a new firm but to prevent competitors from starting new firms.
- More time was spent by industrialists obtaining licences or lobbying ministries than thinking about how to improve their products.
- Protection from foreign competition left producers with a captive market and no incentive to improve quality.

Two glossary terms

Term	NCERT's definition
Permit License Raj	The rules and regulations framed by the government to start, run and operate an enterprise for production of goods and services in India
MRTP Act	Monopolies Restrictive Trade Practices Act: framed to prevent monopolistic practices and regulate the conduct or business practices of firms that are not in public interest

NCERT differs: NCERT treats licensing as a policy failure that led to the 1991 reforms. The handout uses the same kind of fact as an example of unfair means under weak enforcement and names the Competition Act, 2002, which NCERT does not mention. Handout wins for the framing. (*handout/teacher wins in class*)

MY NOTES

⭐ REMEMBER

Natural → Marx → Modern. Modern asks about the nature of inequality; rule of law decides it.

6 · GROWTH AND INEQUALITY

🧠 UNDERSTAND IT FIRST

Growth works by sending scarce resources where they will be used best. That is exactly what makes it unequal: the favoured sectors, regions and industries grow faster and their incomes pull ahead. Growth also brings jobs and a faster fall in poverty, so we want it. The policy models that follow try to get fast growth with less inequality, and the handout stresses they are policy approaches, not mathematical models.

✏ EXAMPLE

The handout's reasoning: faster growth means more employment and a faster fall in poverty. But if resources focus on certain sectors, regions or industries, their incomes grow faster, so inequality rises. Growth is not without its costs.

- **Growth, by its design, is inequality-causing.** Faster growth happens when limited resources go where growth potential is higher, in sectors or places that can use them more efficiently.
- Faster growth means **more employment and a faster fall in poverty,** which is desirable.
- But if resources are focused on certain sectors, regions or industries, the incomes of those grow faster, so **inequality rises.** Growth is "not without its costs".
- To correct this, governments have tried models of growth that aim for **faster growth with less inequality.** The handout stresses these are **not mathematical models** but **general policy approaches,** and by the end you see both are **essentially the same,** differing in emphasis.

📘 FROM NCERT · CLASS XI IED, CH 2 §2.3 GREEN REVOLUTION AND THE DEBATE OVER SUBSIDIES

In plain words: The handout says growth sends resources where potential is highest and so causes inequality. NCERT's green revolution is a ready case: it began in a few places, risked widening the gap, and the state stepped in.

MY NOTES

Link to the handout: Handout section 6 (growth and inequality) and section 7 (trickle-down needs government to redistribute and deliver).

Step 1: where it began

Phase	Where the new seeds spread
First (about mid-1960s to mid-1970s)	restricted to the more affluent states such as Punjab, Andhra Pradesh and Tamil Nadu; primarily benefited wheat-growing regions only
Second (mid-1970s to mid-1980s)	spread to a larger number of states and benefited more variety of crops

Step 2: the risk to equity

- The technology could increase disparities between small and big farmers, since only big farmers could afford the required inputs and so reaped most benefits.
- HYV crops were also more prone to pest attack, and small farmers who adopted them could lose everything.

Step 3: what the state did

- Loans at a low interest rate to small farmers and subsidised fertilisers.
- Research institutes' services reduced the pest risk.
- Result: output on small farms equalled output on large farms in the course of time, and the green revolution benefited small as well as rich farmers.
- NCERT: the green revolution would have favoured the rich farmers only if the state did not play an extensive role in ensuring that the small farmer also gains.

Step 4: the debate over subsidies

- NCERT also notes that between 1950 and 1990 the share of GDP from agriculture declined significantly but not the share of population depending on it (67.5 per cent in 1950 to 64.9 per cent by 1990). Many economists call this an important failure of the policies of 1950-1990.

Remove subsidies	Continue subsidies
Purpose served once technology is profitable and widely adopted	Farming is a risky business; most farmers are very poor and cannot afford inputs without subsidies

MY NOTES

Remove subsidies	Continue subsidies
Fertiliser subsidy benefits the fertiliser industry; among farmers it largely benefits the more prosperous regions	Eliminating subsidies will increase inequality between rich and poor farmers and violate equity
A huge burden on government finances	Correct policy: ensure that only poor farmers enjoy the benefits

📘 **FROM NCERT · CLASS XI IED, CH 3 §3.7 CONCLUSION (THE CRITICS' VIEW)**

In plain words: The handout says growth by design is unequal. NCERT records what critics say about the 1991 reforms and globalisation.

Link to the handout: Handout section 6: growth is not without its costs.

What critics say, as NCERT reports it

- Globalisation is a strategy of developed countries to expand their markets; it has compromised the welfare and identity of people in poor countries and, being market-driven, has widened economic disparities among nations and people.
- In the Indian context, some studies say the early 1990s crisis was an outcome of deep-rooted inequalities in Indian society, and that the reform policies, a response to the crisis with an externally advised package, further aggravated inequalities.
- Critics add that reforms raised the income and quality of consumption of only high-income groups and that growth was concentrated in some services (telecommunication, information technology, finance, entertainment, travel and hospitality, real estate, trade) rather than agriculture and industry, which provide livelihoods to millions.

NCERT differs: These are views of "critics" and "some studies" reported by NCERT, not facts NCERT states itself. Use as a counter-view in Mains, not as a fact. *(handout/teacher wins in class)*

⭐ **REMEMBER**

Growth by design causes inequality, but also jobs and poverty fall. Two models follow: trickle-down, inclusive.

MY NOTES

7 · TRICKLE-DOWN APPROACH

🧠 **UNDERSTAND IT FIRST**

Trickle-down is a water-pipe plan: pour resources into a high-potential sector, let it pull the economy up, and move some of the gains down to people left out. For the water to reach the bottom four things must all work: the sector grows, the government collects tax from that growth, it chooses to spend on those left out, and the spending reaches them. If any link breaks, the inequality becomes permanent. It is not anti-poor, but a well-meant pursuit of growth creates inequality.

✏ **EXAMPLE**

The handout's contrast: evenly spread resources give only an average growth rate, while focus aims at a multiplier effect where one sector grows and pulls the whole economy up. Benefits may trickle down naturally but it may take a long time, so the government speeds it by redistributing.

📐 Formulas of this section

TRICKLE-DOWN WORKS IF

sector grows AND tax efficiency AND decision to redistribute AND redistribution efficiency

any one fails → inequality becomes permanent

The intent is **focus:** maximum output in least time. The government focuses scarce economic, technological, human and natural resources, through policy, on sectors or regions with potential for faster growth. The expectation is a **multiplier effect:** one sector grows and pulls the whole economy up, while evenly spread resources would give only an average rate.

- Benefits **can trickle down** naturally to nearby areas, sectors and people, but it may take a long time, and those left out just keep waiting.
- So the government **accelerates** it by **redistributing** benefits to those at the bottom.

Four conditions for trickle-down to work

#	Condition
1	**The chosen sector grows**
2	The government is able to collect more **taxes** from that growth (**high taxation efficiency**)
3	The government **decides to redistribute,** i.e. spends on those left out instead of reinvesting in the same or a related sector

MY NOTES

#	Condition
4	**Efficiency of redistribution is high:** benefits reach the intended beneficiaries

MEMORY AID · TRICKLE-DOWN: FOUR CONDITIONS

S **E** **E** **D**

Plant a SEED at the top; it feeds the bottom only if all four conditions hold.

- **S** Sector chosen grows
- **E** Efficient tax collection from that growth
- **E** Efficient redistribution reaching beneficiaries
- **D** Decides to redistribute, not reinvest in the same sector

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

WHY IT OFTEN FAILS

If any condition fails, trickle-down does not happen and the inequalities created **become permanent.** More often than not these assumptions fail, so inequalities persist and are even **created by the approach.** It is **not an anti-poor model,** but a well-meant pursuit of growth ends up creating more inequality. This leads to the inclusive approach.

📘 FROM NCERT · CLASS XII MACROECONOMICS, CH 5 §5.1.1 REDISTRIBUTION FUNCTION; §5.1.2 RECEIPTS; DEFICIT REDUCTION

In plain words: Trickle-down conditions 2, 3 and 4 are about the budget: collect tax, decide to redistribute, deliver. NCERT gives the budget's own words for this and one hard number on delivery.

Link to the handout: Handout section 7: condition 2 (tax collection), 3 (decision to redistribute), 4 (efficiency of redistribution).

Step 1: the redistribution function (NCERT)

- National income goes either to the private sector (private income) or the government (public income). Out of private income, what reaches households is personal income; what can be spent is personal disposable income.
- The government affects personal disposable income by making transfers and collecting taxes. Through this it can change the distribution of income to one that society considers fair.

MY NOTES

Step 2: how taxes carry the aim

Tax	NCERT's rule
Personal income tax	Progressive: the higher the income, the higher the tax rate
Firms (corporation tax)	Proportional: the rate is a particular proportion of profits
Excise taxes	Necessities of life exempted or taxed at low rates; comforts and semi-luxuries moderately; luxuries, tobacco and petroleum products heavily
Wealth tax, gift tax, estate duty	Never brought in large revenue, so called "paper taxes" (NCERT says they are now abolished)

Step 3: condition 4, does the benefit arrive?

- NCERT draws the conclusion that cash transfers would lead to an increase in welfare.
- Worked out here (arithmetic, not NCERT's sentence): Rs 3.65 spent for each Re 1 received means Rs 2.65 is lost on the way.

COST OF A RUPEE DELIVERED

Rs 3.65 of food subsidy per Re 1 reaching the poor

a Planning Commission study, as NCERT reports it

NCERT differs: NCERT calls indirect taxes "regressive in nature" because they "impact all income groups equally". That reason is NCERT's own wording and is a little loose; the handout is silent on it. *(handout/teacher wins in class)*

⭐ REMEMBER

Four conditions: sector grows; tax efficiency; decision to redistribute; efficiency of redistribution. Any one fails, inequality stays.

8 · INCLUSIVE GROWTH

🧠 UNDERSTAND IT FIRST

Trickle-down makes the poor wait for the government's gift. Inclusive growth turns them into contributors with a rightful claim. It stands on two pillars: capability (find who is poor and why, then give skills, health and education that fit changing industry) and opportunity (jobs, entrepreneurship, easier business, shared risk, access to capital). Interventions must also recognise behaviour: asking why children are not in school matters more than just building a school.

MY NOTES

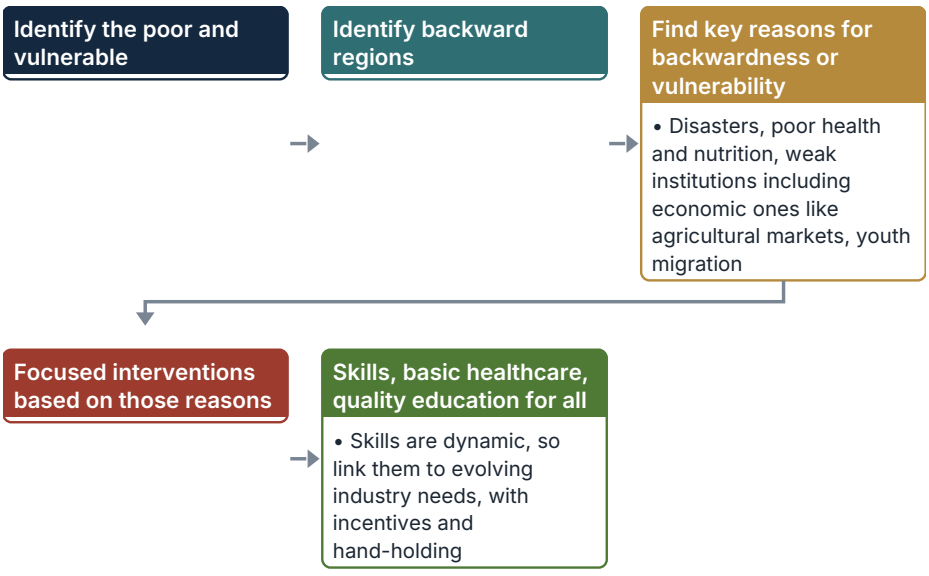
✏ EXAMPLE

The handout's behavioural example: not just build more schools; ask whether teachers are skilled and qualified, whether there are separate girls' washrooms and whether poor families can afford incidental costs. Reading named: National Skill Development Programme, PMKVY, Jan Dhan, Mudra, Economic Survey 2025-26.

The handout calls trickle-down a **pro-poor** model that relies on the government moving the benefits of growth to the bottom. Being "brutally honest": the benefits do not **rightfully** belong to the bottom, since they did not contribute to growth, which is driven largely by those at the top. The top contributes and so **keeps most of the benefits.** The bottom's only "sacrifice" was not getting special policy focus, and schemes for the poor are a payment for it. So the poor get benefits only at the **government's discretion,** transfers often fail and inequality stays.

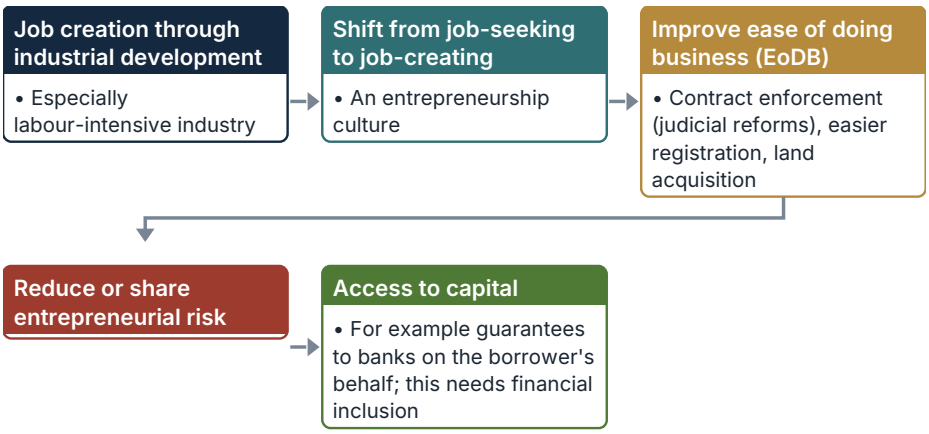
Inclusive growth is based on the premise that growth should be **broad-based:** it must include as many sections of society and the economy as possible, driven not only by the top but also by the bottom. The aim is to move those at the bottom from **passive recipients** of growth's benefits to **active contributors,** with a rightful claim on its fruits. It has **two pillars:**

PILLAR 1 · CAPABILITY



MY NOTES

PILLAR 2 · OPPORTUNITY



BEHAVIOURAL POINT

Interventions must recognise **behaviour.** "The government should build more schools" is not enough. Ask why children are not going to school. Are teachers skilled and qualified? Are there separate girls' washrooms? Can poor families afford the incidental costs?

Skills are dynamic, so link them to evolving industry requirements and recognise the need for **incentives and hand-holding.**

Trickle-down versus inclusive growth

	Trickle-down	Inclusive growth
Idea	Focus resources on high-growth sectors; let benefits reach the bottom	Broad-based growth that includes the bottom as **contributors**
Bottom's position	Passive recipient of benefits	Active contributor with a rightful claim
Role of government	Redistributes benefits (at its discretion)	Builds **capability** and provides **opportunity**
Weakness	Fails if any of four conditions fails; inequality becomes permanent	Takes effort on skills, institutions, credit and enterprise

READING NAMED IN THE HANDOUT

Students may refer to the **National Skill Development Programme, PMKVY** and the **Economic Survey 2025-26** discussion on skill development, health and education.

For opportunities, refer to **Jan Dhan Yojana, Mudra Yojana** and Economic Survey 2025-26 on support to industry.

Important note: the handout says it will return to inequality when it turns to different kinds of economies, and will discuss inclusive growth much more in later chapters. "This is just the beginning."

📘 FROM NCERT · CLASS XI IED, CH 4 §4.4-4.8 HUMAN CAPITAL FORMATION (TABLES 4.1-4.2)

MY NOTES

In plain words: Capability, the first pillar, says skills, basic health and quality education for all. NCERT shows who is left behind, why the state must step in and what happens after education.

Link to the handout: Handout section 8, Pillar 1 (capability) and the behavioural point (who is not in school and why).

Step 1: why the state must step in

- In a developing country with a large section of the population below the poverty line, many people cannot afford basic education and health care, and many cannot afford super specialty care and higher education.
- Spending on education and health has substantial long-term impact and cannot be easily reversed, so government intervention is essential. Both create private and social benefits.
- When basic education and health care are a right of citizens, the government should provide them free for deserving citizens and those from the socially oppressed classes.

Step 2: who is left behind, NCERT's Table 4.2

- NCERT: the differences in literacy between males and females are narrowing, a positive development in gender equity, but we cannot be complacent. Women's education improves economic independence and social status and has a favourable impact on fertility rate and health care of women and children.

Indicator (%)	1990	2000	2011	2017-18
Adult literacy, male	61.9	68.4	79	82
Adult literacy, female	37.9	45.4	59	66
Primary completion, male	78	85	92	93
Primary completion, female	61	69	94	96
Youth literacy, male	76.6	79.7	90	93
Youth literacy, female	54.2	64.8	82	90

Step 3: the regional gap

- In 2020-21 per capita public expenditure on elementary education ranged from as high as Rs 96,968 in Sikkim to as low as Rs 10,710 in Bihar, leading to differences in educational opportunities and attainments across states.

Step 4: money and law behind it

- Education Commission (1964-66): at least 6 per cent of GDP should be spent on education.

MY NOTES

- During 1952-2020 education expenditure rose from 7.92 to 16.54 per cent of total government expenditure and from 0.64 to 4.47 per cent of GDP.
- The Right of Children to Free and Compulsory Education Act, 2009 made free education a fundamental right of children aged 6-14 years. A 2 per cent education cess on all Union taxes is earmarked for elementary education.

Step 5: the catch, education does not always mean a job

- The Indian education pyramid is steep; unemployment among educated youth is the highest. NSSO 2011-12: unemployment among graduate rural young males 19 per cent, urban 16 per cent, young rural female graduates nearly 30 per cent, against only about 3-6 per cent for primary-educated youth.
- The situation improved moderately in PLFS 2023-24. NCERT says institutions must impart employable skills.
- NEP 2020 (as NCERT states it): many unskilled jobs worldwide may be taken over by machines while the need for a skilled workforce grows.

Step 6: NCERT on education and inequality between countries

- In analysing education, health and real per capita income across countries NCERT finds convergence in the measures of human capital but no sign of convergence in per capita real income: human capital grew faster in developing countries but per capita real income not as fast.
- NCERT adds that it is difficult to establish cause and effect between human capital and growth; causality flows in either direction.

NCERT differs: NCERT's graduate unemployment figures (19, 16 and about 30 per cent) are NSSO 2011-12. The handout quotes World Bank brief figures (youth 14.6% to 15.9%; graduates 29%). Different years and sources; name the source. *(handout/teacher wins in class)*

📘 FROM NCERT · CLASS XI IED, CH 5 §5.3 CREDIT AND MARKETING IN RURAL AREAS; BOX 5.1

In plain words: Opportunity, the second pillar, needs access to capital, and the handout says that needs financial inclusion. NCERT tells the same story from the poor borrower's side.

MY NOTES

Link to the handout: Handout section 8, Pillar 2 (access to capital) and the Banking handout's PM Jan Dhan Yojana.

Step 1: the problem

- At independence moneylenders and traders exploited small and marginal farmers and landless labourers with high interest rates and manipulated accounts that kept them in a debt-trap.

Step 2: the steps taken, in order

When	Step
After 1969	Social banking and multi-agency approach to meet rural credit needs
1982	NABARD set up as apex body to coordinate rural financing institutions
After the Green Revolution	Rural credit diversified towards production-oriented lending
Today	Multi-agency set: commercial banks, regional rural banks (RRBs), cooperatives and land development banks

Step 3: why Self-Help Groups (SHGs)

- Formal credit proved inadequate and was not fully integrated with rural community development. Since some collateral is required, a vast proportion of poor rural households were automatically out of the credit network.
- SHGs promote thrift through a minimum contribution from each member; from the pooled money credit is given to needy members, repayable in small instalments at reasonable interest. Such provisions are called micro-credit programmes.
- By May 2019, nearly 6 crore women were members of 54 lakh women SHGs. SHGs have helped the empowerment of women, though it is alleged that borrowings are mainly for consumption.
- Box 5.1, Kudumbashree (Kerala): a women-oriented community-based poverty reduction programme; a thrift and credit society started in 1995 mobilised Rs 1 crore as thrift savings and has been acclaimed as the largest informal bank in Asia in terms of participation and savings mobilised.

Step 4: Jan Dhan (NCERT's account)

- Accounts bring accidental insurance of Rs. 1-2 lakh and overdraft facilities of Rs. 10,000; wages and pensions are trans-

MY NOTES

ferred into them with no minimum balance. More than 50 crore people opened accounts.

⭐ **REMEMBER**

Inclusive = capability + opportunity; poor become active contributors with a rightful claim. Same family as trickle-down, different emphasis.

🧠 **MEMORY AID · PILLAR 1 · CAPABILITY, IN ORDER**

Identify Individuals, Find Fixes, Skill-up

I Identify the poor and vulnerable	**I** Identify backward regions
F Find key reasons for backwardness	**F** Focused interventions based on those reasons
S Skills, basic healthcare, quality education	

Own memory aid (not from the handout): the sentence initials follow the five capability steps in the handout's order.

FORMULA SHEET, NUMBER CARD AND DRILLS

📐 **FORMULA SHEET: COVER THE THIRD COLUMN, SAY THE FORMULA, THEN CHECK**

Where	Name	Formula	Source
Sec 4	Gini coefficient	**Gini = A ÷ (A + B)**	handout
Sec 4	Range	**0 (A = 0) ≤ Gini ≤ 1 (B = 0)**	handout
Sec 3	Perfect equality	**Lorenz curve = line OP (x = y)**	handout
Sec 3	Perfect inequality	**Lorenz curve = OQP**	handout
Sec 7	Trickle-down works if	**sector grows AND tax efficiency AND decision to redistribute AND redistribution efficiency**	handout
Sec 1	GDP in 2001	**90 × Rs 9 + 10 × Rs 20 = Rs 810 + Rs 200 = Rs 1,010**	NCERT
Sec 7	Cost of a rupee delivered	**Rs 3.65 of food subsidy per Re 1 reaching the poor**	NCERT

MY NOTES

🔢 NUMBER CARD: FIGURES TO HOLD

- **0 to 1** Gini range: 0 perfect equality, 1 perfect inequality
- **A ÷ (A + B)** Gini formula
- **4** shortcomings of the Gini; four conditions of trickle-down
- **0.3 and 0.4** two States' Ginis, not combinable to 0.35
- **0.40** two different societies can share this Gini
- **₹10,000** transfer in the handout's tails-versus-middle example
- **10 years** most new firms shut down within this time
- **2002** Competition Act, one part of the rule of law
- **3% and 10%** bottom 20% and bottom 40% cumulative shares in the handout's example
- **2 pillars** capability and opportunity
- **28.8 → 25.5** consumption Gini 2011-12 to 2022-23
- **13 times** top 10% median earnings versus bottom 10% (2023-24)

✏ BLANK-PAGE DRILL: DRAW THESE FROM MEMORY, THEN CHECK

- Redraw the handout's Kuznets sketch (inverted U with phases A, B, C) and write "theory, not data" beside it (section 2).
- Redraw the handout's Lorenz sketch with OP, the curve and OQP, shade A and B, and write Gini = A ÷ (A + B) (sections 3 and 4).
- Write the four trickle-down conditions, the four Gini shortcomings and the two inclusive-growth pillars with five steps each.

NCERT CHECKLIST: END BOXES, QUESTIONS, KEY CONCEPTS

📘 FROM NCERT · CLASS XI IED, CH 7 §7.4 SUSTAINABLE DEVELOPMENT

In plain words: One more NCERT link between inequality and policy: meeting everyone's needs is, in NCERT's words, a question of redistribution and fairness to future generations.

Link to the handout: Handout section 7-8: redistribution and rightful claim.

MY NOTES

What NCERT says

- The Brundtland report explained sustainable development as meeting the basic needs of all and extending to all the opportunity to satisfy their aspirations for a better life. Meeting the needs of all requires redistributing resources and is hence a moral issue.
- The Brundtland Commission emphasises protecting the future generation (intergenerational equity).
- NCERT: India's environmental threat has two dimensions, poverty-induced degradation and pollution from affluence.

📘 NCERT PARTS WITH NO MATCHING HANDOUT SECTION (READ THEM FROM NCERT)

- **Class XI Ch 4 §4.2-4.3**: Sources and nature of human capital formation
- **Class XI Ch 2 §2.1, 2.6**: Planning, mixed economy, public sector
- **Class XI Ch 5 §5.4-5.6**: Agricultural marketing, diversification, organic farming
- **Class XI Ch 8**: China and Pakistan comparison (poverty data used in Chapter 1)
- **Class XII Macro Ch 5 §5.2-5.3**: Deficits and public debt

📘 NCERT KEY CONCEPTS: TICK EACH WHEN YOU CAN DEFINE IT

☐ Equity ☐ Land reforms ☐ Land ceiling
☐ Abolition of intermediaries ☐ Green revolution
☐ Marketed surplus ☐ Permit License Raj ☐ MRTP Act
☐ Redistribution function ☐ Progressive tax ☐ Human capital
☐ Self-Help Groups ☐ Micro-credit ☐ Sustainable development

📘 NCERT'S OWN END-OF-CHAPTER QUESTIONS: CAN YOU ANSWER EACH FROM THESE NOTES?

NCERT question	Answer lives in
Class XI Ch 2 Exercise 8: Explain growth with equity as a planning objective	Section 1 box (equity)
Class XI Ch 2 Exercise 6: Explain the need and type of land reforms	Section 5 box
Class XI Ch 2 Exercise 14: Usefulness of subsidies given the burden on finances	Section 6 box, step 4

MY NOTES

NCERT question	Answer lives in
Class XI Ch 4 Exercise 12: "There is a downward trend in inequality world-wide with a rise in the average education levels": comment	Section 8 box, step 6
Class XI Ch 4 Exercise 17: Need for promoting women's education	Section 8 box, step 2
Class XI Ch 4 Exercise 18: Need for government intervention in education and health	Section 8 box, step 1
Class XI Ch 5 Exercise 3: Role of micro-credit in meeting credit needs of the poor	Section 8 box (credit), step 3

ABBREVIATION COLUMN

Every short form used in this chapter, expanded.

NCERT = National Council of Educational Research and Training — publisher of the school textbooks the teacher calls "very, very important"

GDP = Gross Domestic Product — value of all final goods and services produced inside a country in a year

IED = Indian Economic Development — the NCERT Class XI economics book

OP = Line OP — the line of perfect equality on the Lorenz diagram

CE = Consumption Expenditure — what households spend, the base for measuring inequality

OQP = Line OQP — the right-angle line of perfect inequality

SHGs = Self-Help Groups — small groups that pool savings and lend to members

LC = Lorenz Curve — data-based curve of cumulative income shares

MRTP = Monopolies and Restrictive Trade Practices — Act against monopolistic practices

PMKVY = Pradhan Mantri Kaushal Vikas Yojana — national skill training scheme

QP = Line QP — the part of OQP that rises at the end

NSSO = National Sample Survey Office — runs household surveys

EoDB = Ease of Doing Business — how easy it is to start and run a business

GC = Gini Coefficient — inequality measure A ÷ (A + B)

HATS = Hides, Adding, Tails, Same — memory word for the four Gini shortcomings

HYV = High Yielding Variety — improved seeds that give much higher crop output

NABARD = National Bank for Agriculture and Rural Development — apex bank for agriculture and rural credit

NEP = National Education Policy — policy document of 2020

PLFS = Periodic Labour Force Survey — official survey of jobs and unemployment

R&D = Research and Development — spending on new products and processes

RRBs = Regional Rural Banks — rural banks

MY NOTES

USA = United States of America — country

Meanings are plain-language aids; verify before quoting in an answer.

CURRENT AFFAIRS

World Bank brief: jobs, youth unemployment and wage gaps

October 2026 Prelims · Mains

The same World Bank brief reports a large rise in employment, a rise in youth unemployment and sharp wage disparities.

Employment rose by about **134 million** people between **2017** and **2023**, nearly twice the growth of the working-age population. Much of the gain came from rural women entering paid work and raising the number of earners per household.

Youth unemployment rose from **14.6%** to **15.9%** between the two quarters Q1 FY2026 and Q1 FY2027, particularly among rural young women.

Real earnings remained broadly unchanged; employment growth was concentrated in relatively low-productivity activities.

Wage disparities remain pronounced: in **2023**, median earnings among the top **10%** of workers were about 13 times those of the bottom **10%**.

PRELIMS FODDER

Employment grew nearly twice as fast as the working-age population (**2017-2023**): about **134 million** more people employed.

Youth unemployment: **14.6%** to **15.9%** between Q1 FY2026 and Q1 FY2027.

MAINS FODDER

Jobs are growing but earnings are flat and the jobs are in low-productivity activities.

Rural women entering paid work: the main source of the employment gain, yet rural young women face rising unemployment.

Top-decile to bottom-decile earnings ratio of about 13 as a measure of inequality.

Keywords Employment growth · Rural women · Earners per household · Low-productivity jobs · Youth unemployment · Wage disparity · 13 times

TIMELINE AND NUMBERS

When	What
2002	Competition Act: the handout's example of a law that is only one part of the rule of law

MY NOTES

When	What
2011-12	Consumption-based Gini 28.8 (from the handout's summary in Chapter 1)
2022-23	Consumption-based Gini 25.5
2023-24	Median earnings of the top 10% are 13 times those of the bottom 10% ★
2025-26	Economic Survey 2025-26: the handout's pointer for skills, health, education and support to industry

CONNECTS TO OTHER CHAPTERS

Where	Why
Chapter 1: Poverty	Relative poverty reflects inequality; the PGI ignores inequality among the poor; the Gini fell from 28.8 to 25.5 (2011-12 to 2022-23) in the Chapter 1 summary.
Unemployment handout (next in your PDF)	Refers back to "our discussion on inclusive growth" and to the same schemes. The capability pillar (skills) and opportunity pillar (jobs) are the structure behind youth unemployment.
National Income Accounting handout	Covers the Inequality-adjusted HDI (IHDI), which discounts HDI for inequality in health, education and income: the Gini and Lorenz ideas at work in a development index.
Banking and NBFCs handout	Financial inclusion (PM Jan Dhan Yojana, 2014) is the "access to capital" requirement of the opportunity pillar.
Budget and Fiscal Policy handout	Redistribution, taxation and who should receive free foodgrains are the fiscal side of trickle-down conditions 2 to 4.

MAINS ANSWER SKELETONS

DISTINGUISH THE KUZNETS CURVE FROM THE LORENZ CURVE. HOW IS THE GINI COEFFICIENT DERIVED FROM THE LATTER?

Intro: One is a theory about how inequality moves with income, the other is a picture of inequality at a point in time.

- Kuznets: theoretical, not data-based; inequality rises, stabilises, corrects; phases unequal.
- Lorenz: data-based; sort, group, find shares, plot cumulative shares.
- Equality line OP; perfect inequality QP.
- Gini = A/(A+B), range 0 to 1.

Close: Kuznets tells a story, Lorenz shows the facts, and Gini compresses the facts into a number.

"THE GINI COEFFICIENT ALONE CANNOT DESCRIBE INEQUALITY." DISCUSS.

Intro: A single number can hide the shape and the people behind it.

- Not decomposable: states' Ginis cannot be simply averaged.
- Same Gini, different societies (0.40 example).

MY NOTES

- Insensitive to transfers at the tails; sensitive in the middle.
- Blind to age, race, caste and other subgroups.
- So use Lorenz, subgroup data and wealth concentration along with it.

Close: Use Gini as a thermometer, not a diagnosis.

WHY DOES INEQUALITY EXIST? COMPARE THE MARXIST AND MODERN EXPLANATIONS.

Intro: Inequality has natural, economic and institutional roots.

- Natural advantages: birth, place, comparative advantages between siblings.
- Marx: capital versus labour bargaining; profits compound.
- Modern: survivorship bias; firms seek survival and market share.
- Means chosen decide the nature of inequality: fair versus unfair, set by rule of law (Competition Act 2002 is one part only).

Close: The question is not whether inequality exists but what kind.

WHY DOES GROWTH CAUSE INEQUALITY? WHY DOES TRICKLE-DOWN OFTEN FAIL?

Intro: Growth concentrates scarce resources where returns are highest.

- Focus on high-potential sectors raises their incomes faster.
- Trickle-down needs four conditions: sector grows, tax efficiency, decision to redistribute, redistribution efficiency.
- When one fails, inequality becomes permanent.
- Benefits reach the poor only at government discretion.

Close: Trickle-down hopes the benefit flows down; it has no way to make it.

EXPLAIN INCLUSIVE GROWTH. HOW DOES IT IMPROVE ON THE TRICKLE-DOWN APPROACH?

Intro: Inclusive growth makes the poor contributors to growth, not recipients of charity.

- Premise: broad-based growth with a rightful claim for all.
- Capability: identify poor and regions, causes, focused interventions, skills, health, education, recognising behaviour.
- Opportunity: labour-intensive jobs, entrepreneurship, EoDB, risk sharing, access to capital (financial inclusion).
- Both approaches are essentially the same with different emphasis.

Close: Growth is inclusive when the bottom helps make it and so rightfully shares it.

PAST-YEAR QUESTIONS · 3 PRELIMS AND 6 MAINS QUESTIONS FROM THE SAARTHI SUBJECT-WISE SHEETS

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question

MY NOTES

8 · INCLUSIVE GROWTH 3 Prelims · 6 Mains

Prelims 2014

The main objective of the 12th Five-Year Plan is:

(a) inclusive growth and poverty reduction
(b) inclusive and sustainable growth
(c) sustainable and inclusive growth to reduce unemployment
(d) faster, sustainable, and more inclusive growth

Answer: **(d)** faster, sustainable, and more inclusive growth

Prelims 2012

Which of the following can be said to be essentially the parts of 'Inclusive Governance'?

1. Permitting the Non-Banking Financial Companies to do banking
2. Establishing effective District Planning Committees in all the districts
3. Increasing the government spending on public health
4. Strengthening the Mid-day Meal Scheme

Select the correct answer using the code given below:

(a) 1 and 2 only
(b) 3 and 4 only
(c) 2, 3 and 4 only
(d) 1, 2, 3 and 4

Answer: **(c)** 2, 3 and 4 only

Prelims 2011

Which of the following can aid in furthering the Government's objective of inclusive growth?

1. Promoting Self-Help Groups
2. Promoting Micro, Small and Medium Enterprises
3. Implementing the Right to Education Act

Select the correct answer using the code given below:

(a) 1 only
(b) 1 and 2 only
(c) 2 and 3 only
(d) 1, 2 and 3

Answer: **(d)** 1, 2 and 3

Mains 2021 15 marks Infrastructure & Inclusive Growth

"Investment in infrastructure is essential for more rapid and inclusive economic growth. "Discuss in the light of India's experience

KEYWORDS: inclusive growth | capital formation | infrastructure | investment

Mains 2020 10 marks Intergenerational Equity

Explain intra-generational and inter-generational issues of equity from the perspective of inclusive growth and sustainable development.

KEYWORDS: sustainable development | inclusive growth | equity

Mains 2019 15 marks Inclusive Growth & Sustainability

It is argued that the strategy of inclusive growth is intended to meet the objectives of inclusiveness and sustainability together. Comment on this statement.

KEYWORDS: inclusive growth | sustainable development | sustainability | inclusiveness

MY NOTES

Mains 2017 15 marks Inclusive Growth Metrics

What are the salient features of 'inclusive growth'? Has India been experiencing such a growth process? Analyze and suggest measures for inclusive growth.

KEYWORDS: inclusive growth | poverty | inequality | salient features | measures

Mains 2016 12.5 marks Skill Deficit & Inclusive Growth

Comment on the challenges for inclusive growth which include careless and useless manpower in the Indian context. Suggest measures to be taken for facing these challenges.

KEYWORDS: inclusive growth | manpower | challenges | measures

Mains 2014 12.5 marks Capitalism vs Inclusive Growth

Capitalism has guided the world economy to unprecedented prosperity. However, it often encourages shortsightedness and contributes to wide disparities between the rich and the poor. In this light, would it be correct to believe and adopt capitalism driving inclusive growth in India? Discuss.

KEYWORDS: capitalism | inclusive growth | disparities | rich and poor | trickle-down | redistribution | shortsightedness

MY NOTES

END OF CHAPTER · RECALL AND DRILL

RECALL SHEET: COVER THE RIGHT COLUMN AND ANSWER

Define inequality.	Differences in the degree of attainment on various aspects of well-being.
Is inequality higher on wealth or consumption?	Higher on wealth; CE-based inequality is lower but most objective.
Kuznets phases A, B, C?	Not necessarily equal or proportional in length.
Steps to plot a Lorenz curve?	Collect data, sort, divide into equal groups, find each group's share, plot cumulative shares.
Line QP (OQP)?	Perfect inequality: zero share until the last point, then vertical.
Gini range and direction?	0 (perfect equality) to 1 (perfect inequality); higher means more inequality.
Gini shortcoming 2?	Different distributions can have the same Gini (0.40 example).
Gini shortcoming 4?	Does not show demographic variations among subgroups.
Marxist explanation?	Capital versus labour ability to enforce interests; scarce concentrated capital keeps profit; inequality compounds.

Why do profits rise fast?	Market growth plus more market share after rivals close; wages grow only with market size.
What decides which route firms take?	The strength of the rule of law.
Is rule of law just a law?	No: a collective environment of institutions that frame, execute and adjudicate laws, acting fairly and without bias.
Why does growth cause inequality?	Resources focus on high-potential sectors or regions, whose incomes rise faster.
Four conditions for trickle-down?	Sector grows; tax efficiency high; government decides to redistribute; redistribution efficient.

Prelims trap · Kuznets is theory, Lorenz is data

The handout says the Kuznets curve is not a data-based curve, only a theoretical expectation. The Lorenz curve is a data-based representation. *Rule: Kuznets = theoretical inverted U; Lorenz = built from data.*

Handout alert · Two Lorenz examples, two numbers

The chart labels the bottom 80% as 50%, while the written example under the sketch says the bottom 80% have 40%. *Rule: do not quote numbers from these pictures; explain the method and the two extreme lines.*

Concept trap · Ginis do not simply average

State A at 0.3 and State B at 0.4 do not combine to 0.35. The Gini is not easily decomposable or additive. *Rule: never average Ginis; say the maths is complex.*

Concept trap · Gini barely sees the tails

A Rs 10,000 gift between middle-class people visibly moves the Gini, but a billionaire taking Rs 10,000 from a beggar barely does. *Rule: Gini is sensitive to the middle and nearly blind to the extremes.*

Concept trap · Rule of law is not just a law

It is a collective environment of institutions. The Competition Act, 2002 is only one aspect; how it is applied decides whether the rule of law exists. *Rule: law plus competent, unbiased institutions.*

Concept trap · Trickle-down is not anti-poor

The handout calls it a pro-poor model. It fails when any of four conditions fails, and then inequalities become permanent. *Rule: not anti-poor, but it needs all four conditions.*

MY NOTES

QUICK QUIZ

Q1. Which statement about the Kuznets curve is correct, according to the handout?

1. It is plotted from survey data
2. It is a theoretical expectation, not a data-based curve
3. It shows the share of income of each population group
4. It is a measure of the gap between the rich and the poor

Q2. The Lorenz curve is...

1. a theoretical prediction
2. a data-based representation of existing inequality
3. a measure of poverty depth
4. a price index

Q3. In a Lorenz diagram, perfect equality is shown by...

1. the x-axis
2. the x = y line OP
3. the vertical line at 100%
4. any curve below OP

Q4. Perfect inequality (one person has everything) makes the Lorenz curve...

1. run along the x-axis and then rise vertically (QP)
2. coincide with the diagonal
3. run along the y-axis
4. become a straight line with slope 2

Q5. Gini coefficient is calculated as...

1. B / (A + B)
2. A / (A + B)
3. A x B
4. A - B

Q6. The Gini coefficient varies between...

1. -1 and 1
2. 0 and 100
3. 0 (perfect equality) and 1 (perfect inequality)
4. 1 and 10

Q7. State A has Gini 0.3 and State B has 0.4. Combined, the Gini is...

1. exactly 0.35
2. not simply an average: Gini is not easily decomposable
3. always 0.4
4. always 0.3

Q8. A multi-billionaire takes ₹10,000 from a destitute person. The Gini will...

1. rise sharply
2. fall sharply
3. barely change
4. become zero

Answers: Q1 b, Q2 b, Q3 b, Q4 a, Q5 b, Q6 c, Q7 b, Q8 c

MY NOTES

CHAPTER 3 · HANDOUT PP. 1-34

03 Unemployment: Measures, Types, Causes and Labour Market

HIGH PRIORITY Mains PYQs quoted: **2014, 2015, 2016, 2022, 2023, 2024**

Prelims PYQs: **2011, 2012, 2013, 2017, 2018, 2019, 2021, 2022, 2024**

EXAM LENS

Prelims hooks

- the definition set (WAP, dependents, dependency ratio, labour force, LFPR, UR, WPR)
- working age 15-64 versus 15+
- US (PS+SS) versus CWS and which gives the higher rate
- PS 183 days, SS 30 days, CWS 1 hour in 7 days
- the types of unemployment (above all disguised UE with MPL zero)
- floor, minimum, fair and living wage order
- NRU and NAIRU
- employment elasticity
- organised versus unorganised and formal versus informal
- the four Labour Codes
- fixed-term employment and gratuity after 1 year
- the schemes and their problems

Mains hooks

- why UR is falling but not for the right reasons
- jobless growth versus the numbers
- skill mismatch and the youth-education paradox
- informalisation and the compliance burden
- productivity versus employment as a false choice
- gig workers and the new codes

India's problem is not too little growth or too few jobs. It is a mismatch between aspirations and skills, and a labour market split between protected and unprotected workers.

IN SIMPLE WORDS

- An **unemployed** person is able and willing to work, is looking, and cannot find work. **UR = UE ÷ labour force**, not ÷ population.
- The **PLFS** counts in two ways. **Usual Status** uses one year (**183 days** for principal status, **30 days** for subsidiary) and the headline is **PS+SS**. **CWS** uses the last 7 days (**1 hour** of work) and usually gives a higher rate.

MY NOTES

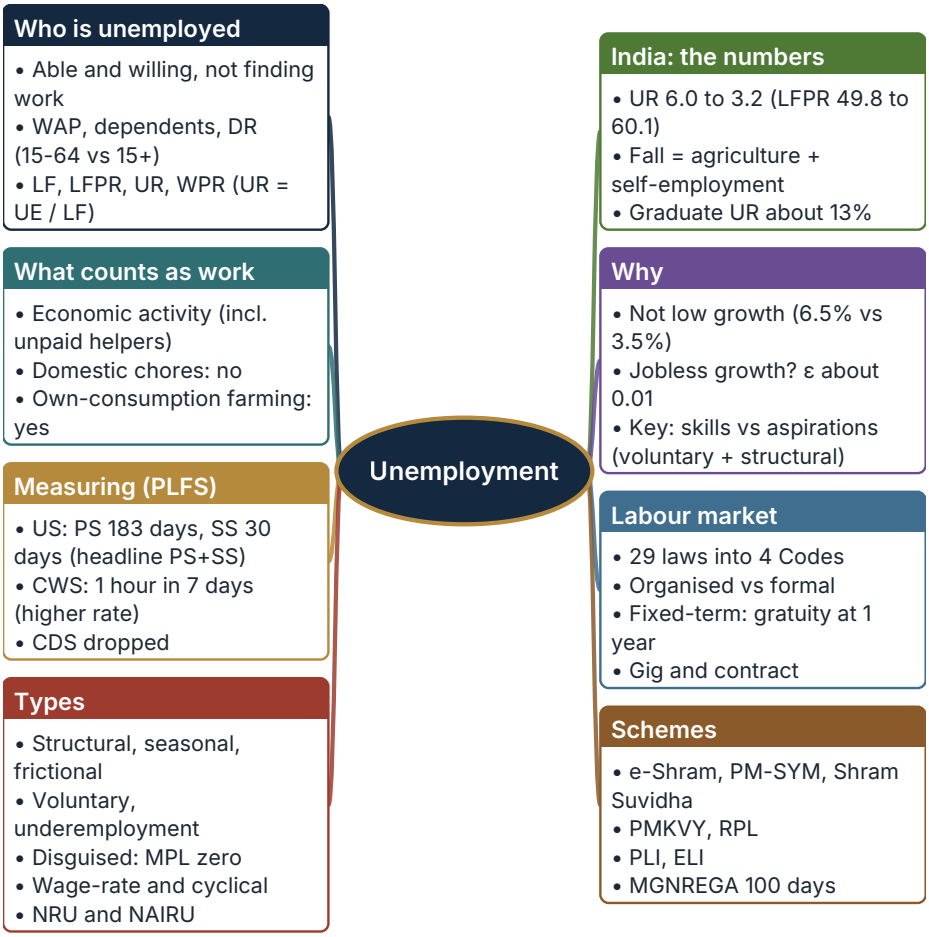
- Types: **structural, seasonal, frictional, voluntary, disguised** (marginal product zero), **wage-rate** and **cyclical**. **Underemployment** is counted as employed.
- India's UR fell from **6.0% to 3.2%** while LFPR rose to **60.1%** (2017-18 to 2023-24). But the fall came mostly from **agriculture and self-employment**.
- The handout's key cause is a **mismatch of aspirations and skills**, not low growth. Growth is about 6.5%, and employment growth still beats labour-force growth.
- **29 labour laws became 4 Codes.** Organised vs unorganised is about the **firm**
- Formal vs informal is about the **worker**. Fixed-term staff get gratuity after **1 year**

Key term	In plain words
Working Age Population (WAP)	People in the age group fit for economic activity: 15+ in PLFS, 15-64 for demographics.
Dependency Ratio	Dependents (0-14 and 65+) divided by people aged 15-64, times 100.
Labour Force (LF)	People who are working or looking for work; employed plus unemployed.
LFPR	Labour force in a group as a share of the total population of that group.
Unemployment Rate (UR)	Unemployed divided by labour force (Emp + UE); a share of the labour force.
Worker Population Ratio (WPR)	Employed persons divided by total population.
Principal Status (PS)	In the labour force for 183 days or more; employed if working for most of those days.
Subsidiary Status (SS)	A person with at least 30 days of work in the year is employed on SS.
UPSS	Usual Principal and Subsidiary Status; employed if a worker in either capacity. PS+SS is the headline rate.
Current Weekly Status (CWS)	Look at the last 7 days; one hour of work on any day counts as employed.
Disguised unemployment	Extra workers whose marginal product of labour is zero; recorded as employed.
Underemployment	Employed, but the job does not use the person's skills or hours on offer.
Natural rate (NRU)	UR with no wage-rate and no cyclical unemployment; full employment, which is not zero.

MY NOTES

Key term	In plain words
Employment elasticity	% change in employment divided by % change in output.
Gig and platform workers	Treated as independent contractors by platforms; outside the employer-employee relationship.
Fixed-term employment	Direct hiring for a set period on a written contract, with parity of wages and benefits.

CHAPTER MAP



REMEMBER IT AS Count in the labour force first, then by usual status or the weekly status. India's UR fell, but the cause is skills against aspirations and jobs in agriculture and self-employment.

MY NOTES

EXAM LENS: WHAT THE HANDOUT STRESSES

SOURCE NOTE

This chapter comes from the handout only. No class slides and no teacher ink came with it. The handout ends with a **UPSC Prelims PYQs** section of **10 questions** (years quoted: 2011, 2012, 2013 twice, 2017, 2018 twice, 2020, 2021, 2022). **Mains PYQs: none quoted in the material.**

Priority here comes from the handout's own signals: the 10 PYQs, the "Crucial Prelims Fact" on gratuity, and the "do not memorise, just understand" note on NSSO definitions.

Prelims PYQs quoted in the handout (answers as printed in the handout)

Year	What was asked	Answer in handout	Trap / where covered
2022	Which body compiles information on industrial disputes, closures, retrenchments and layoffs in factories?	(c) Labour Bureau	Handout gives only the answer. The body is not discussed in the chapter text
2021	Casual workers: EPF for all, regular hours and overtime for all, wages through bank account by notification	(b) 2 and 3 only	Word "all" in statements 1 and 2. Handout gives only the answer. Related: Section 8 (labour laws, Code on Wages)
2020	Post-1991: worker productivity, rural share of workforce, non-farm economy, rural employment growth	(b) 3 and 4 only	Handout gives only the answer. Related: Section 6 (employment share of agriculture)
2018	Rise in real GNP does not mean higher development if...	(c) poverty and unemployment increase	Links Chapter 1 and this chapter
2018	PM Kaushal Vikas Yojana: flagship of Ministry of Labour and Employment? soft skills, entrepreneurship, digital literacy? align the unregulated workforce to the NSQF?	(c) 2 and 3 only	Statement 1 is the trap. Related: Section 9 (PMKVY)
2017	National Career Services: initiative of DoPT? launched in mission mode for uneducated youth?	(d) Neither 1 nor 2	Handout gives only the answer. Not in the chapter text
2013	Disguised unemployment generally means...	(c) marginal productivity of labour is zero	**Direct hit:** Section 4, disguised UE

MY NOTES

Year	What was asked	Answer in handout	Trap / where covered
2013	Economic growth in country X will necessarily occur if...	(c) there is capital formation in X	Handout gives only the answer. Not discussed in the chapter text
2012	How does the National Rural Livelihood Mission seek to improve livelihoods of the rural poor?	(b) 2 only (strengthening SHGs and skill development)	Not in the chapter text. Statement 3 (free inputs) is the trap
2011	Who is eligible for MGNREGA?	(d) Adult members of any household	Section 9 says it guarantees 100 days to rural households that demand unskilled manual work

HOW THE YEARS WERE COUNTED

The list above is the ten questions printed in the handout. The years are "years quoted": 2013 and 2018 each appear twice. Only 2013 (disguised UE), 2018 (PMKVY) and the schemes sit squarely inside the chapter text. Several PYQs (Labour Bureau, NCS, NRLM, capital formation) are quoted **without any explanation** in this handout, so their answers are carried from the handout and not explained.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: High. 12 Prelims and 8 Mains questions map to this chapter.

Most-asked topics: Nature of employment: labour laws, formal and informal work (6 Prelims, 2 Mains); Schemes: the problem each one fixes (3 Prelims, 1 Mains); Why is there unemployment in India? Low growth, jobless growth, or skills? (0 Prelims, 3 Mains).

Prelims years: 2011, 2012, 2013, 2017, 2018, 2019, 2021, 2022, 2024. Mains years: 2014, 2015, 2016, 2022, 2023, 2024.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

MY NOTES

START HERE: 60 SECONDS, KEY WORDS, NCERT MAP

THE WHOLE CHAPTER IN 60 SECONDS

- **Unemployed**: able, willing and actively looking: a subset of "not working"
- **Measured by**: PLFS: Usual Status (one year, 183 days) and Current Weekly Status (7 days)
- **Headline rate**: UR (PS+SS) = unemployed ÷ labour force; 3.2% in 2023-24
- **Types**: structural, seasonal, frictional, voluntary, wage-rate, cyclical; disguised and under-employment sit inside "employed"
- **India story**: UR 6.0% to 3.2% and LFPR 49.8% to 60.1%, but the fall came from agriculture and self-employment
- **Cure**: skills plus formal, decent jobs: Labour Codes, PMKVY, ELI, PLI, MGNREGA

Word	Meaning
Labour force	everyone who is working or looking for work: employed plus unemployed
Working age population	people in the age group fit for economic activity (15+ for PLFS, 15-64 for demography)
LFPR	what share of a group is in the labour force
Marginal product of labour	the extra output the next worker adds
Disguised unemployment	extra hands on a job who add no output, yet are counted as employed
Natural rate (NRU)	the unemployment left when wages are at equilibrium and the cycle is neutral
Employment elasticity	how many per cent jobs grow for each 1% growth in output
Informal worker	a worker with no written contract and no social security from the employer

📘 READ NCERT FIRST: WHERE EACH NCERT PART FITS THIS CHAPTER

NCERT part	Handout section	What it adds
XI Ch 6 §6.1-6.4 Workers, participation, status	1, 2	Who is a worker; WPR and Table 6.1; self-employed, casual, regular salaried; Charts 6.1-6.2; Table 6.3 status trend

MY NOTES

NCERT part	Handout section	What it adds
XI Ch 6 §6.5-6.6 Industries and the changing structure	7, 8	Table 6.2 and 6.3 by sector; Chart 6.3 growth of employment and GDP; jobless growth
XI Ch 6 §6.7 Informalisation; Box 6.1, 6.2	9	Formal and informal; 11% vs 89%; Ahmedabad
XI Ch 6 §6.8 Unemployment	3, 4	NSO definition; four sources of data; open, disguised, seasonal
XI Ch 6 §6.9-6.10 Government and employment; conclusion	9, 10	Direct and indirect job creation; outsourcing; MGNREGA
XI Ch 4 §4.7; Ch 5 §5.3, 5.5; Ch 8 Table 8.3	4, 8, 10, 7	Educated unemployment (2011-12); non-farm jobs; Jan-Dhan; India, China, Pakistan
XII Macro Ch 1, 4, 5	1, 6	Unemployment rate and the Great Depression; full employment; deficient and excess demand; stabilisation
XII Micro Ch 3, Ch 5	4, 5	Marginal product table; equilibrium sum; wage determination; price floor and minimum wage

1 · WHO IS UNEMPLOYED? THE DEMOGRAPHIC DIVISIONS

🧠 **UNDERSTAND IT FIRST**

Picture the whole population as a crowd. Take out the children and the elderly dependents and you have the working-age crowd. Inside it, only those who are working or hunting for work form the labour force. A grandparent, a student or a homemaker who is not looking is "not working" but is not unemployed either. The unemployed are only those who are able, willing and have actively searched for work.

✏ **EXAMPLE**

The handout's own building blocks: UR = UE ÷ LF and LF = Emp + UE, so it is a share of the labour force, not of the population. Which working age? Demography (dependency ratio, demographic dividend) uses 15-64; PLFS measures (LFPR, UR, WPR) use 15 years and above.

MY NOTES

📐 Formulas of this section

DEPENDENCY RATIO
DR = [Pop(0-14) + Pop(65+)] ÷ Pop(15-64) × 100
DR uses 15-64

LABOUR FORCE
LF = Emp + UE
employed plus unemployed

UNEMPLOYMENT RATE
UR = UE ÷ LF = UE ÷ (Emp + UE)
a share of the labour force, not of the population

LFPR
LFPR = labour force of a cohort ÷ total population of the cohort × 100
PLFS reports it for age 15+

WPR
WPR = employed persons ÷ total population
handout: expressed per 1000 persons

The standard definition: **unemployment is "a situation where someone who is able as well as willing to work, is unable to find work".** The handout quotes Mankiw, Samuelson-Nordhaus and Blanchard: the unemployed have no job, are available for work and have actively looked for work in the previous four weeks. "Not working" is a large set; "unemployed" is a **subset** of it, because the grandparent, the young child or the homemaker who is not looking is not unemployed.

The main source for Indian definitions is the **Periodic Labour Force Survey (PLFS)** of the NSSO. The RBI and the Ministry of Labour generally align with it; the **ILO** sets the global standard.

The building blocks

Term	Meaning in the handout
Working Age Population (WAP)	People in the age group considered fit for economic activity. In India (NSSO/PLFS) this is typically **15 years and above**. The ILO often uses **15-64**
Dependents	Those not in the WAP: **children (0-14)** and, in many contexts, **senior citizens (65+)**. The word is reserved for the non-working-age population
Dependency Ratio (DR)	Dependents ÷ people of working age × 100. DR = [Population (0-14) + Population (65+)] ÷ Population (15-64) × 100
Labour Force (LF)	People who are **working or looking for work**: both able and willing. Splits into the employed and the unemployed
Not in Labour Force	Unable or unwilling to work: students, rentiers, the disabled, those in domestic duties
Able to work	Physical and mental capacity. Age is only a filter applied later

MY NOTES

Term	Meaning in the handout
Willing to work	A genuine effort: the **active search** criterion (applying for jobs, registering at exchanges) in the reference period
LFPR	Labour force in a cohort ÷ total population of the cohort × 100. Can be crude (whole population), 15+ (the commonly reported one) or for a specific group such as married women aged 21-30
Unemployment rate (UR)	**n(UE) ÷ n(LF)**, and n(LF) = n(Emp) + n(UE). So UR = UE ÷ (Emp + UE). It is a share of the labour force, **not** of the population
Worker Population Ratio (WPR)	Employed persons ÷ total population. Expressed per 1000 persons

HANDOUT STRESS: WHICH WORKING AGE?

The handout spends a page on one exam trap: the **working age.** If the question is about **demographics** (demographic dividend, population pyramids, dependency ratio) the answer is **15-64**, because at 65 people are globally classified as elderly dependents.

If the question is about **India's NSSO/PLFS metrics** (LFPR, UR, WPR) the answer is **15 years and above**, because India's informal sector lacks universal social security and a 70-year-old farmer cannot afford to retire. The handout says the first reading is "not wrong"; the second "becomes more right" in this context.

HANDOUT ALERT: FORMULA WORDING

The handout writes the dependency ratio's denominator as "people in the working age" and then as 15-64 in the formula, while its PLFS tables use 15+. **Rule for the exam hall:** DR uses 15-64; LFPR, UR and WPR as reported by the PLFS use 15+.

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 6 §6.2-6.3, AND GLOSSARY

In plain words: The handout told you who is unemployed. NCERT first tells you who is a **worker** and gives the first real numbers on how many people work. Read it as the "employed" side of the fraction UR = UE ÷ (Emp + UE).

Link to the handout: Handout section 1: worker population ratio (WPR) and section 2: what counts as employment.

Step 1 · Who is a worker (NCERT's words)

- Activities that contribute to the gross national product are **economic activities**. All those engaged in economic activities, "in whatever capacity — high or low", are workers.

MY NOTES

- People who temporarily stay away from work because of illness, injury or other physical disability, bad weather, festivals, social or religious functions are still workers.
- Workers also include all those who **help the main workers**. Those who are self-employed are workers too: not only people paid by an employer.

Step 2 · Worker-population ratio (WPR)

- Why it is useful: it shows what share of the population is actively contributing to the production of goods and services. A higher ratio means greater engagement; a low ratio means a very high proportion of the population is not directly in economic activity.
- NCERT's workforce figure: about 545 million in 2022-23; about 77 per cent of workers are men; rural workers are about two-thirds of the total. Women are about one-fourth of the rural workforce and about one-fifth of the urban workforce.

WPR (NCERT)

WPR = number of workers ÷ population × 100

expressed in percentage; NCERT's Glossary

Step 3 · NCERT Table 6.1: WPR in India, 2023–24

- Reading it: for every 100 urban women only about 21 are in economic activity; for every 100 rural women about 35.
- NCERT's reasons: rural people have limited resources and many leave school early to join the workforce, while urban people can study longer and look for a job to suit their skills. Where men earn high incomes, families discourage women from taking jobs. Many household activities of women are not recognised as productive work, so the number of women workers is under-counted.

Sex	Total	Rural	Urban
Men	56.4	56.3	56.4
Women	30.7	34.8	20.7
Total	43.7	45.6	38.9

NCERT differs: NCERT's own text says about 41 (41.1) of every 100 persons are workers, urban about 38 and rural about 42, but its Table 6.1 (2023–24) prints 43.7, 38.9 and 45.6. The text is from an older table: use the table. *(handout/teacher wins in class)*

NCERT differs: NCERT's WPR is workers ÷ population × 100. The handout's PLFS figures (WPR 46.8% to 58.2%) use age 15

MY NOTES

and above. Do not compare NCERT's 43.7 with the handout's 58.2%: the base is different. *(handout/teacher wins in class)*

📘 **FROM NCERT · CLASS XII MACROECONOMICS, CH 1 §1.1 AND GLOSSARY**

In plain words: The same fraction UR = UE ÷ LF appears in NCERT's Class XII book. The wording is slightly different, so know both.

Link to the handout: Handout section 1: UR = n(UE) ÷ n(LF), LF = Emp + UE.

NCERT's definition of the unemployment rate

- NCERT's example: in the USA, between 1929 and 1933 the unemployment rate rose from 3 per cent to 25 per cent, while aggregate output fell by about 33 per cent (the Great Depression).

UNEMPLOYMENT RATE (CH 1 TEXT)

people not working and looking for jobs ÷ people working or looking for jobs

same as the handout: UE ÷ labour force

NCERT differs: NCERT's Glossary words the denominator as "total number of people who were looking for jobs", which is not the labour force. Use the Chapter 1 text and the handout: denominator = employed + unemployed. *(handout/teacher wins in class)*

⭐ **REMEMBER**

UR = UE ÷ (Emp + UE). Demography: 15-64. PLFS: 15+.

2 · WHAT COUNTS AS EMPLOYMENT

🧠 **UNDERSTAND IT FIRST**

Employment is anything that adds to national output inside the national-accounts boundary, whether or not a salary arrives. A child helping in a parent's shop counts; the same child's mother cooking for her own family does not, because that is not market activity; but a paid cook in someone else's home does. Pay can come in food, shares, or swapped labour.

MY NOTES

✏ EXAMPLE

The handout's table: running a business for profit Yes; unpaid work in a family shop Yes; farming for own consumption Yes; domestic work for own family No; paid domestic work for others Yes; NGO volunteering No. A 13-year-old at a tea stall is counted as employed in the raw data.

Employment is **not just a 9-to-5 job.** The NSSO defines it through **economic activities**, using the System of National Accounts (SNA) boundary (SNA is covered in the National Income Accounting handout). A salary is not mandatory.

- **Self-employment:** own-account workers (a street vendor, a consultant) and employers.
- **Unpaid family helpers:** a child helping in a parent's kirana store counts as employed even without cash.
- **Casual labour:** daily-wage work in construction or agriculture.
- **Regular salaried:** employees with a contract and monthly pay.
- **Remuneration can be in kind** (food, clothing, a place to stay), **in assets** (shares or equity), or **exchange labour** (two farmers working each other's fields).

Economic or not?

Activity	Employed?	Why
Running a business for profit	Yes	Economic activity for profit
Working in a family shop (unpaid)	Yes	Contributing to a family economic enterprise
Farming for own consumption	Yes	Production of goods for self-consumption (inside the SNA boundary)
Domestic work for own family	No	Non-economic, non-market activity
Paid domestic work for others	Yes	Market activity for remuneration
Volunteer work for an NGO	No	Usually excluded: no remuneration or profit intent

NSSO wording (the handout says understand, do not memorise). Workers: persons engaged in any economic activity, or who despite attachment to it abstained for illness, injury, disability, bad weather, festivals or other contingencies. Unemployed: persons who, owing to lack of work, had not worked but sought work (exchanges, intermediaries, friends or relatives, applications) or expressed willingness or availability for work. "Able to work" is purely physical and mental capacity: the NSSO has a code (**Code 95**) for those not able to work owing to disability and does

MY NOTES

not use age. A 13-year-old working at a tea stall is counted as employed in the raw data.

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 6 §6.4 AND GLOSSARY

In plain words: The handout lists self-employed, casual, regular salaried and unpaid helpers. NCERT gives each its plain definition, a worked example and the data: who is where, and how the mix has changed.

Link to the handout: Handout section 2 bullet list: self-employment, unpaid family helpers, casual labour, regular salaried.

Step 1 · The three statuses (NCERT's own example: three workers in the construction industry)

- Two Glossary terms: **employers** = self-employed workers who run their enterprises by hiring labourers; **family worker** = a member who works without receiving wages in cash or kind in a family farm, industry, business or trade (the handout's "unpaid family helper").
- NCERT says the status shows one dimension of the **quality of employment**: the attachment a worker has to the job and the authority over the enterprise and co-workers. Casual wage labourers are the most vulnerable.

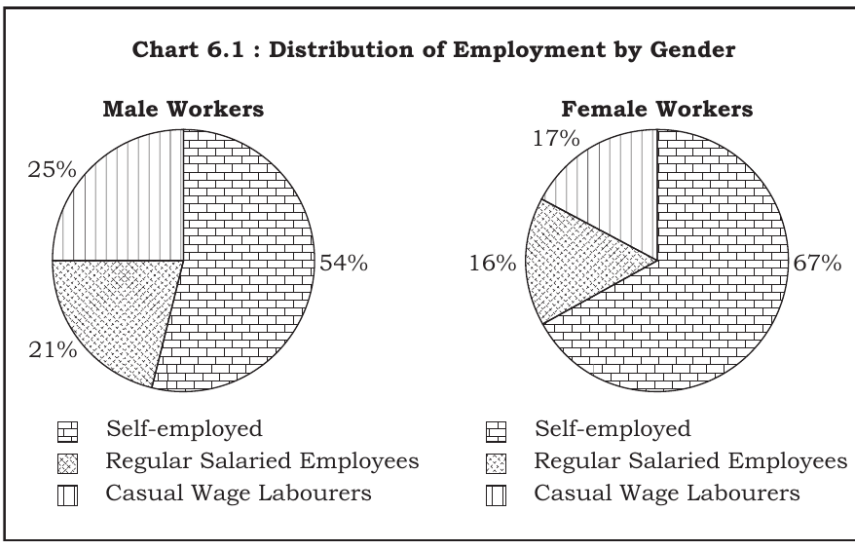
Status	NCERT's definition	NCERT's example	Share of workforce (NCERT)
Self-employed	Workers who own and operate an enterprise to earn their livelihood	Cement shop owner	about 58 per cent
Casual wage labourer	Casually engaged in others' farms or non-farm enterprises; paid wages by the terms of a daily or periodic work contract	Construction worker	about 20 per cent
Regular salaried employee	Engaged by someone or an enterprise and paid wages on a regular basis	Civil engineer in a construction company	about 22 per cent

Step 2 · Who is where (NCERT Charts 6.1 and 6.2)

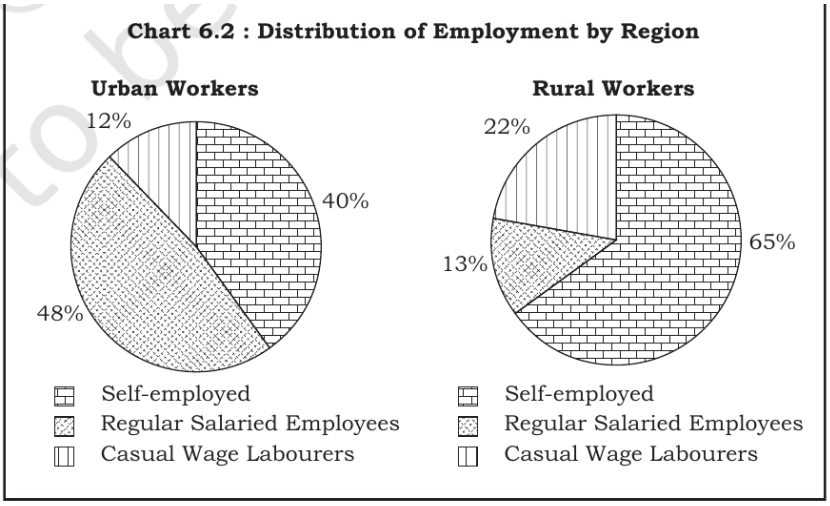
- Self-employment is the major source of livelihood for both men and women (more than 50 per cent). Casual work is the second major source for women. In regular salaried jobs men are 21 per cent and women 16 per cent.

MY NOTES

- Self-employed are more in rural areas (most farmers own their plots). In urban areas regular salaried jobs are greater because enterprises there need workers on a regular basis.



NCERT Chart 6.1, original: distribution of employment by gender (self-employed, regular salaried, casual wage labourers). How to read: in each pie, self-employment is the biggest slice; women have the larger self-employed share and men the larger casual share.



NCERT Chart 6.2, original: distribution of employment by region. How to read: rural workers are mostly self-employed; the biggest urban slice is regular salaried.

Step 3 · NCERT Table 6.3 (status-wise), % of workforce

- NCERT's name for moving from self-employment and regular jobs to casual wage work is **casualisation**; it makes workers highly vulnerable. NCERT also notes a moderate rise in the share of regular salaried employees in 2017-24.

MY NOTES

Status	1972-73	1993-94	2011-2012	2017-2018	2023–24
Self-employed	61.4	54.6	52.0	55.6	58.4
Regular salaried employ-ees	15.4	13.6	18.0	21.1	21.7
Casual wage labourers	23.2	31.8	30.0	23.3	19.9

NCERT differs: NCERT's text says that over 1972-2024 people moved from self-employment and regular jobs to casual wage work, but its own Table 6.3 shows the casual share rising to 31.8 in 1993-94 and then falling to 19.9 in 2023–24, below its 1972-73 level of 23.2. The claim fits the period to 1993-94 only. (*handout/teacher wins in class*)

NCERT differs: NCERT leaves open whether women's unpaid household work should count ("what do you think?"). The handout's rule is clear: domestic work for the own family is not employment. A housewife who also works in her husband's shop (NCERT Q9) counts for the shop work, as an unpaid family helper. (*handout/teacher wins in class*)

⭐ **REMEMBER**

Employed = inside the SNA boundary. A salary is not mandatory.

3 · MEASURING UNEMPLOYMENT: PLFS, US AND CWS

🧠 **UNDERSTAND IT FIRST**

There are two ways to ask the same person what they were doing. Usual Status looks back a whole year and asks what you did most of the time. Current Weekly Status looks only at last week and gives priority to working over seeking over staying out. A year smooths the seasons; a week catches shocks, so the weekly rate usually reads higher. In Usual Status the first test is the labour-force test: 183 days or more working or seeking. Then Principal Status asks if you worked the majority of those days, and Subsidiary Status rescues anyone with at least 30 days of work. Merge both and you get UPSS.

MY NOTES

✏ **EXAMPLE**

The handout's population-1000 example: Not in LF = 200; LF = 800. Principal status: employed 600, unemployed 200. Of those 200, subsidiary status: employed 150, unemployed 50. UR (PS) = 200 ÷ 800 = 25% and UR (PS+SS) = 50 ÷ 800 = 6.25%, the headline rate. Also the four-person table (persons A to D).

📐 Formulas of this section

LABOUR-FORCE TEST (US)
in LF if working or seeking for ≥ 183 days
Principal Status

PRINCIPAL STATUS
employed if work found for the majority of the LF days
LF 200 days, work 120 days → employed

SUBSIDIARY STATUS
employed if work for ≥ 30 days in the year
not even 30 days → unemployed on SS

CWS RULE
working if worked ≥ 1 hour on any 1 day in the 7 days
priority: Working beats Unemployed beats Not in LF

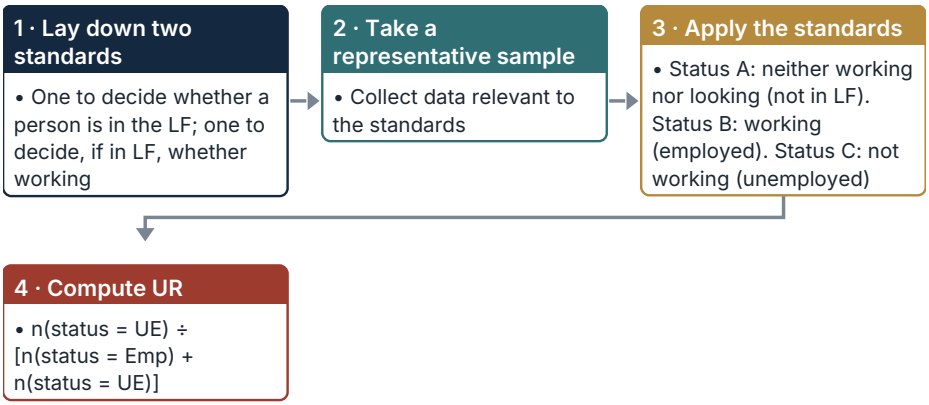
UR (PS)
200 ÷ 800 = 25%
handout, population-1000 example

UR (PS+SS)
50 ÷ 800 = 6.25%
the headline rate

The NSSO measures unemployment through the **PLFS.** Earlier it used the **EUS** (Employment-Unemployment Survey), carried out about once in 5 years. The PLFS has a larger sample, higher frequency and better technology: an **annual** survey where sampled households are **visited once every month**. Field investigators ask how household members spent their time over set reference periods, and each person is classified into one of three statuses: **Working, Seeking/Available for work, Not in labour force.**

MY NOTES

HOW THE PLFS ARRIVES AT THE UNEMPLOYMENT RATE (SAME LOGIC AS POVERTY: STANDARD, SAMPLE, INFORMATION, APPLICATION)



An "approach" is simply a standard. As with poverty, a person can be "working" on one approach and not even in the LF on the other. The PLFS uses two.

Usual Status (US) versus Current Weekly Status (CWS)

Point	Usual Status (US)	Current Weekly Status (CWS)
Reference period	One year (365 days)	The 7 days before the survey
Criterion	**Majority time**: what was the person doing for most of the period	**Priority**: Working beats Unemployed beats Not in LF
In LF if	Working or seeking work for the majority of the year (**≥ 183 days**) = Principal Status (PS)	Worked or was available for work at any point in the 7 days
Working if	PS: worked the majority of the days in the LF. SS: worked at least **30 days** in the year	Worked for **at least 1 hour on any 1 day** in the week
Unemployed if	In LF but did not work for the majority of LF days (PS); and on SS, did not work even 30 days	Did not work even an hour but was seeking or available for work for at least 1 hour on any day
What it captures	Chronic or long-term (structural) picture; smooths seasonal bumps	Short-term fluctuations and underemployment; closer to ILO standards; reacts quickly to shocks
Which UR is higher?	Generally lower	**Generally higher.** Short recall makes answers accurate and captures seasonality

PRINCIPAL AND SUBSIDIARY STATUS IN DETAIL

- **PS (Principal Status):** in the LF if working or seeking for ≥ 183 days. Then "employed" if work was found for the majority of the days in the LF. Example: LF for 200 days and work for 120 days gives employed.

MY NOTES

- **SS (Subsidiary Status):** a person who is principally unemployed but found work for at least 30 days is **employed on SS.** Anyone with work for at least 30 days in the year is employed on SS basis. Unemployed on both PS and SS means not even 30 days of work.
- **UPSS** (Usual Principal and Subsidiary Status) merges both: a person is employed if a worker in either capacity. This deliberately captures invisible labour, for example millions of women whose principal status is domestic duties but who spend about 40 harvest days in farm labour.

The handout's four-person example

Person	Days working	Days looking	Total LF days	In LF (≥ 183)	PS employed	SS employed
A	150	0	150	No (not in LF)	-	Yes (≥ 30 days)
B	110	90	200	Yes	Yes (110 ≥ 100)	Yes
C	140	160	300	Yes	No (140 < 150)	Yes
D	25	275	300	Yes	No	No (25 < 30)

WORKED EXAMPLE FROM THE HANDOUT (POPULATION 1000)

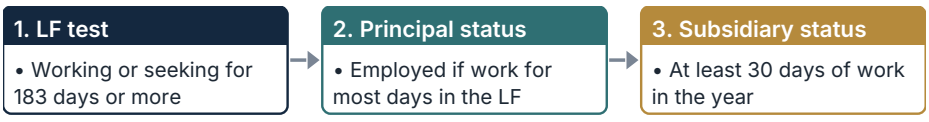
Not in LF = 200; LF = 800. Principal status: employed 600, unemployed 200. Of the 200 principally unemployed, subsidiary status: employed 150, unemployed 50.

UR (PS) = 200 ÷ 800 = 25% and **UR (PS+SS) = 50 ÷ 800 = 6.25%.** The handout calls **UR (PS+SS) the headline rate**: the one the government uses and quotes without naming the approach, because those with no work even for 30 days are the chronically unemployed and the priority.

READING THE TABLE

Person A (150 working days, none spent looking) is **not in the LF** on the principal-status test (150 < 183) but is still counted as **employed on subsidiary status**, because the work was at least 30 days. This is exactly why UPSS merges the two. **Rule for the exam hall:** first the LF test (≥ 183 days), then PS, then SS.

USUAL STATUS: THE ORDER OF TESTS



CDS DROPPED

MY NOTES

Up to 2012 the EUS also used the **Current Daily Status (CDS)** approach, which measured underemployment by the time worked on each day of the last week. It was dropped in the PLFS because the data now come far more frequently, from a larger sample and with monthly visits.

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 6 §6.8 AND GLOSSARY

In plain words: NCERT gives the same NSO wording of "unemployed" that the handout says to understand, plus the sources of unemployment data and how people actually search for work.

Link to the handout: Handout section 3: PLFS, and the "NSSO wording" note under section 2.

Step 1 · The definition (NCERT's words, short)

- Unemployment: all those who, owing to lack of work, are not working but either seek work through employment exchanges, intermediaries, friends or relatives or by making applications to prospective employers, or express their willingness or availability for work under the prevailing condition of work and remunerations.
- Economists define an unemployed person as one who is not able to get employment of even one hour in half a day.

Step 2 · Where the data come from (NCERT's list)

- They give different estimates of unemployment, but they show the attributes of the unemployed and the variety of unemployment in the country.
- How people look for work, in NCERT's picture: newspapers, friends and relatives, standing in select areas for a day's work, handing over a bio-data at factories and offices, registering at employment exchanges. Many rural people do not go out to ask for work but stay at home when there is none.

#	Source of data on unemployment
1	Reports of the Census of India
2	National Statistical Office's Reports of Employment and Unemployment Situation
3	Annual Reports of the Periodic Labour Force Survey (PLFS)
4	Directorate General of Employment and Training data on registration with Employment Exchanges

NCERT differs: NCERT says there are "three sources" but lists four. Learn the four. *(handout/teacher wins in class)*

MY NOTES

NCERT differs: NCERT's "even one hour in half a day" is the economists' test. For PLFS questions use the handout's rules: US with 183 days and 30 days; CWS with at least 1 hour on any 1 day in the 7 days. (*handout/teacher wins in class*)

NCERT differs: NCERT calls the body the National Statistical Office (previously the National Sample Survey Organisation). The handout writes NSSO/PLFS. (*handout/teacher wins in class*)

⭐ REMEMBER

Test order: LF (≥ 183 days) → PS → SS. UPSS = PS + SS = the headline UR.

4 · TYPES OF UNEMPLOYMENT

🧠 UNDERSTAND IT FIRST

Each type is a different reason a person is without work or under-used. Structural: the skills do not fit the new jobs. Seasonal: the work itself comes and goes with the calendar. Frictional: the short search time between jobs. Voluntary: the job is on offer but the person says no. Wage-rate: the wage is stuck too high, so more people want work than firms want to hire. Cyclical: the economy is in a slowdown. Underemployment and disguised unemployment are different again: those people are counted as employed, but their work is not fully used or adds nothing.

✏ EXAMPLE

The handout's farm picture: a 2-acre family farm needs 2 people but has 5 brothers; output stays 100 quintals, so the 3rd, 4th and 5th brothers have MPL zero. 3 hours of work in an 8-hour day is underemployment (the old CDS test). PhD holders applying for peon posts are invisible underemployment.

📐 Formulas of this section

MARGINAL PRODUCT

MPL of the (n+1)th worker = output(n+1) − output(n)

n workers make x, n+1 make x + y → marginal output y; disguised UE: y = 0

MY NOTES

The types at a glance

Type	What it is	Handout's example or cause
Structural	Joblessness from a fundamental **mismatch** between skills workers have and skills employers demand, or between worker and job location. Long-term and dangerous: workers are "immobile" from the old structure to the new	Agriculture to industry; new technology; automation displaces low-skilled factory labour while AI developers are scarce
Seasonal	Predictable drops in labour demand at specific times of year	Agriculture outside harvest; tourism off-season; construction in the rains
Frictional	The "search time" to match worker and job under imperfect information. A certain level is healthy. Job portals have reduced it	Quitting one job and not yet finding another; fresh graduates entering the workforce
Voluntary	In the LF, offered a job, but chooses not to accept it, and so counted as unemployed	Below one's dignity; skills higher than required; unacceptable terms (timing, location, wages); lucrative unemployment benefits
Underemployment (*employment*, not unemployment)	Officially employed but the job does not use skills, education or hours on offer. **Invisible:** over-qualified, over-skilled. **Visible:** wants longer hours	PhD holders applying for peon or sweeper posts; 3 hours of work in an 8-hour day (the old CDS test)
Disguised	More workers than needed; the extra workers add **no output.** Their **marginal product of labour (MPL) is zero** (or negative). Recorded as employed, so the reality is hidden	A 2-acre family farm that needs 2 people but has 5 brothers: output stays 100 quintals, so the 3rd, 4th and 5th brother have MPL zero. A hallmark of Indian agriculture
Wage-rate (classical)	Wages stay **above equilibrium** and cannot fall, so labour supply exceeds demand permanently	Minimum wages fixed above equilibrium by law; strong unions bargaining wages up
Cyclical (Keynesian)	Extra unemployment above the natural rate because growth is slower than expected (a downturn in the business cycle)	Falls when aggregate demand grows fast; rises when it slows

HANDOUT STRESS: MARGINAL PRODUCT

Marginal product of the (n+1)th worker = output with n+1 workers minus output with n workers. If n workers produce x and n+1 produce x + y,

MY NOTES

the marginal output is y. Disguised unemployment is where y = 0. This is the 2013 PYQ.

HANDOUT ALERT: UNDEREMPLOYMENT IS NOT UNEMPLOYMENT

The handout flags the word: it is **employment**, not unemployment. An underemployed person's working status remains **employed. Rule for the exam hall:** underemployment and disguised unemployment both sit inside "employed" in the statistics.

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 6 §6.8

In plain words: NCERT names only three kinds of unemployment, each with a village picture. They are the easiest way to remember disguised and seasonal unemployment.

Link to the handout: Handout section 4: disguised, seasonal; "open" is what the handout simply calls unemployed in the labour force.

NCERT's three kinds

- NCERT's observation: in India people cannot remain completely unemployed for long because their desperate economic condition would not allow it. They take jobs nobody else would do, even unpleasant or dangerous ones.

Kind	NCERT's meaning	NCERT's picture
Open unemployment	People without work who look for it	Reading job ads, asking friends and relatives, standing at a labour spot, leaving a bio-data at a factory
Disguised unemployment	More workers on the job than it needs; "common in Indian farms"	A farmer has four acres and needs only two workers and himself, but employs five workers and family members. A study in the late 1950s found about one-third of agricultural workers disguisedly unemployed
Seasonal unemployment	Work only in some months of the year; "also a common form"	People migrate to a city, take a job, and return home as the rainy season begins, because there is no village work in all months

MY NOTES

Why farms are crowded, and where the extra hands can go (Class XI Ch 5 §5.5)

- "As agriculture is already overcrowded", a major part of the increasing labour force must find alternate employment in non-farm sectors.
- Much farm employment is concentrated in the Kharif season; in the Rabi season, where irrigation is inadequate, it is hard to find gainful employment. So allied activities and non-farm work are needed as supplementary employment.
- NCERT's dynamic non-farm sub-sectors: agro-processing, food processing, leather, tourism. Traditional home-based industries (pottery, crafts, handlooms) have potential but lack infrastructure. The livestock sector alone gives alternate livelihood to over 70 million small and marginal farmers, including landless labourers. Most rural women find work in agriculture while men generally look for non-farm work.

NCERT differs: Handout example: a 2-acre farm, 2 people needed, 5 brothers. NCERT example: 4 acres, 2 workers and the farmer needed, 5 workers plus family. Different numbers, same idea; use the handout's in answers. NCERT's one-third figure is from a late-1950s study. (*handout/teacher wins in class*)

📘 FROM NCERT · CLASS XII MICROECONOMICS, CH 3 §3.3-3.4 (MARGINAL PRODUCT)

In plain words: The handout says disguised unemployment is where the marginal product of labour is zero. NCERT's farm table shows **how marginal product behaves** as you keep adding workers to the same land. Read the table row by row.

Link to the handout: Handout section 4: marginal product of the (n+1)th worker = output with n+1 minus output with n; disguised UE is y = 0.

Step 1 · The formula

- NCERT's example: when L goes from 1 to 2, TP goes from 10 to 24, so MP of the 2nd worker = 14 ÷ 1 = 14.

MARGINAL PRODUCT OF LABOUR (NCERT)

$$MP_L = TP(L \text{ units}) - TP(L - 1 \text{ units})$$

TP = total product; the sum of the marginal products gives the total product

MY NOTES

Step 2 · NCERT Table 3.2: a farmer with 4 hectares who chooses how much labour to use

- NCERT's law of variable proportions: marginal product first rises, then, after a certain level of employment, falls. When the fourth worker is hired the land begins to get crowded: each worker has insufficient land to work efficiently.
- Link to the handout (worked out here): in NCERT's table the 6th worker still adds 1 unit. Disguised unemployment is the further stage where the extra worker adds 0, so output stays at 57 and that worker is "employed" on paper only.

Labour (L)	Total product (TP)	Marginal product (MP_L)	What is happening
1	10	10	too much land for one worker
2	24	14	each worker adds more
3	40	16	the best point
4	50	10	land begins to get "crowded"
5	56	6	crowded
6	57	1	almost nothing added

⭐ **REMEMBER**

Disguised: MPL = 0 and counted employed. Underemployment is employment, not unemployment.

5 · DEMAND, SUPPLY AND THE MARKET (NEEDED FOR WAGE-RATE UNEMPLOYMENT)

🧠 **UNDERSTAND IT FIRST**

Wage-rate unemployment needs one idea: a wage is a price. Demand slopes down (dearer, fewer wanted); supply slopes up (dearer, more offered). The price settles where the two meet. For labour, firms demand it and workers supply it. If the wage sits above the meeting point and cannot fall, a permanent crowd of workers has no job.

MY NOTES

✏ EXAMPLE

The handout: DL ∝ 1 ÷ wages and SL ∝ wages. If wages above equilibrium cannot adjust downwards, there is a permanent excess supply of labour: wage-rate unemployment. Examples: minimum wages fixed above equilibrium by law; strong unions bargaining wages up.

📐 Formulas of this section

DEMAND FOR LABOUR
DL ∝ 1 ÷ wages
high wages, fewer workers wanted

SUPPLY OF LABOUR
SL ∝ wages
high wages, more people willing to work

LAW OF DEMAND
QD varies inversely with price
ceteris paribus

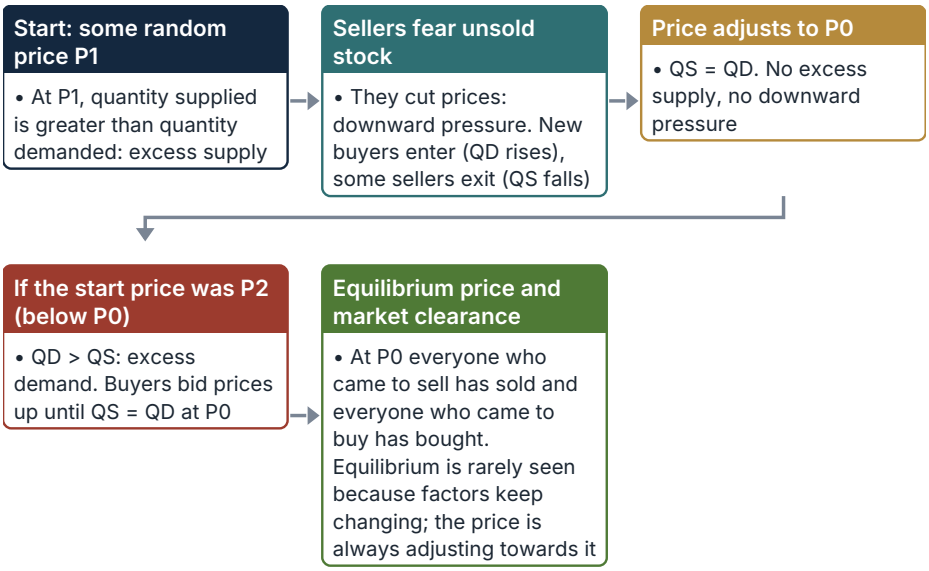
LAW OF SUPPLY
QS varies directly with price
ceteris paribus

The handout inserts the basics of markets here so that wage-rate unemployment can be understood.

- **Demand** exists only when there is both **ability** and **willingness.** Quantity demanded (QD) is what is actually asked for. Factors: price, income, taste, culture, geography (season), population size, substitutes.
- **Law of demand** (ceteris paribus): QD varies **inversely** with price. If another factor changes, the curve **shifts**.
- **Supply** needs both ability and willingness. Quantity supplied is what **is being** produced. Factors: price, profitability, raw materials, labour, capital, ease of doing business and policy, investment (especially R&D), infrastructure.
- **Law of supply** (ceteris paribus): quantity supplied varies **directly** with price.
- **Price takers.** Producers and consumers take the price the market offers. Under perfect competition (identical goods, no entry or exit barriers) no one can set a price. In real markets competition is imperfect and producers have limited pricing power. **Only in a monopoly are producers price setters.**
- **A market is a place of exchange of information** and so of rationalising expectations, not merely a place.

MY NOTES

HOW A MARKET REACHES EQUILIBRIUM (AS THE HANDOUT EXPLAINS IT)



The labour market works the same way. Firms demand labour; the labour force supplies it. **Demand for labour (DL) ∝ 1 ÷ wages** (high wages, fewer workers wanted); **supply of labour (SL) ∝ wages** (high wages, more people willing to work). Factors for DL: wages, price of substitutes such as machines, skill, number of firms, willingness to hire given complex laws. Factors for SL: wages, terms and conditions, education and skill level of the population. If wages above equilibrium cannot adjust downwards, there is permanent excess supply: **wage-rate unemployment.**

📘 FROM NCERT · CLASS XII MICROECONOMICS, CH 5 §5.1 AND WAGE DETERMINATION IN LABOUR MARKET

In plain words: The handout inserted market basics so that wage-rate unemployment can be understood. NCERT gives a worked numerical example of equilibrium and then applies the same idea to wages, with the firm's rule for hiring.

Link to the handout: Handout section 5: DL ∝ 1 ÷ wages and SL ∝ wages; equilibrium; excess supply.

Step 1 · Equilibrium with numbers (NCERT Example 5.1: wheat)

- In a market, some buyers or sellers always have an incentive to change the price until the two sides match. That is why the price moves back to p*.

MY NOTES

DEMAND
$q_D = 200 - p$
kg of wheat; p in rupees per kg

SUPPLY
$q_S = 120 + p$

EQUILIBRIUM
$200 - p^* = 120 + p^* \rightarrow p^* = 40, q^* = 160$
market clears: demand = supply

EXCESS DEMAND
$ED(p) = q_D - q_S = 80 - 2p$
positive for any price below 40

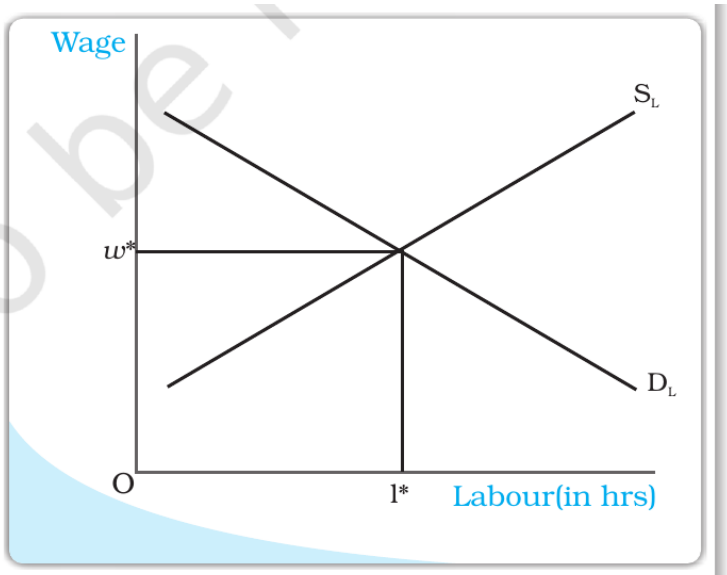
EXCESS SUPPLY
$ES(p) = q_S - q_D = 2p - 80$
positive for any price above 40

Price p (₹/kg)	Quantity demanded	Quantity supplied	Result
25	175	145	excess demand: price tends to rise
40	160	160	**equilibrium**
45	155	165	excess supply: price tends to fall

Step 2 · The labour market (NCERT's wage determination)

- The roles are reversed: **households supply labour and firms demand it**. By "labour" NCERT means the hours of work, not the number of labourers.
- The wage is fixed where the demand and supply curves of labour cross: where the labour the households wish to supply equals the labour the firms wish to hire.

MY NOTES



Wage is determined at the point where the labour demand and supply curves intersect.

NCERT, original: wage determination in the labour market. Wage on the vertical axis, labour in hours on the horizontal axis. D_L falls, S_L rises, and they cross at the wage w* and labour l*.

Step 3 · Why firms demand less labour at a higher wage

- A profit-maximising firm hires labour up to the point where the extra cost of the last unit (the wage) equals its extra earning (MRP_L). If VMP_L is above the wage, hiring one more unit raises profit; if below, cutting one unit raises profit.
- Because marginal product falls as more labour is hired, a higher wage can be matched only by hiring less labour. So the demand curve for labour slopes downward.

HIRING RULE

$$w = MRP_L$$

wage = marginal revenue product of labour

MRP_L

$$MRP_L = MR \times MP_L$$

for a perfectly competitive firm MR = price, so $MRP_L = VMP_L$ (value of marginal product)

Step 4 · Why labour supply rises with the wage

- A household chooses between income and leisure. A higher wage makes leisure costlier (work longer) but also raises purchasing power (more leisure). At low wages the first effect dominates; at high wages the second can dominate.

MY NOTES

- So one person's supply curve can bend backwards, but the **market** supply curve of labour slopes upward, because many more people are attracted to supply labour at a higher wage.

NCERT differs: NCERT stresses that an individual's supply may bend backwards; the handout says only SL ∝ wages. For the market, the two agree. *(handout/teacher wins in class)*

📘 FROM NCERT · CLASS XII MICROECONOMICS, CH 5 §5.2.2 PRICE FLOOR

In plain words: This is the exact mechanism behind the handout's wage-rate unemployment: a minimum wage fixed above the equilibrium wage.

Link to the handout: Handout section 5 and section 6: "minimum wages fixed above equilibrium by law" as the example of wage-rate unemployment.

Step 1 · The rule

- A **price floor** is a government-imposed lower limit on the price that may be charged. Well-known examples: agricultural price support and **minimum wage legislation**.
- Through the minimum wage the government ensures the wage rate does not fall below a particular level, and the minimum wage is set **above** the equilibrium wage rate.

Step 2 · What happens at the floor

- At the floor p_f above the equilibrium p*, the quantity demanded is q_f but the quantity firms want to supply is q_f': an **excess supply** in the market.
- Read it for wages: more labour is offered than is demanded at the floor wage. For farm produce the government must buy the surplus; for labour the excess supply is the unemployed.

MY NOTES

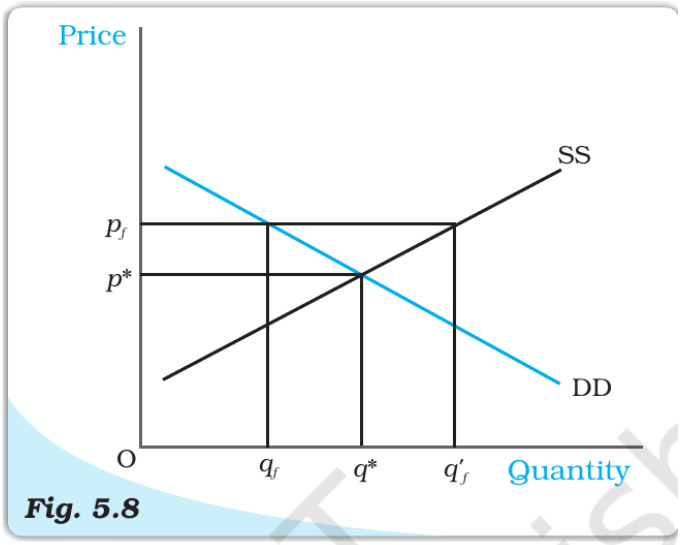


Fig. 5.8

Effect of Price Floor on the Market for Goods. *The market equilibrium is at (p^*, q^*). Imposition of price floor at p_f gives rise to an excess supply.*

NCERT Fig. 5.8, original: effect of a price floor. The floor p_f lies above the equilibrium p*; demand is q_f, supply is q_f', and the gap between them is the excess supply.

NCERT differs: NCERT itself does not use the words "wage-rate unemployment" and speaks only of excess supply at a floor. The handout's name for the labour case is wage-rate (classical) unemployment. (*handout/teacher wins in class*)

⭐ **REMEMBER**

DL ∝ 1/w, SL ∝ w. Wage stuck above equilibrium = permanent excess supply = wage-rate unemployment.

6 · FOUR KINDS OF WAGE, AND CYCLICAL UNEMPLOYMENT

🧠 **UNDERSTAND IT FIRST**

Four wage yardsticks climb like steps: the floor wage (the nation-wide bottom), the minimum wage (survival, set mostly by States), the fair wage (what the industry can afford) and the living wage (what a family needs for dignity, whatever the employer can pay). The second half is about growth. Firms hire when they expect demand, so unemployment rises in a slowdown. Even in good times some unemployment stays: that is the natural rate, the rate at full employment (which is not zero). NAIRU is the line below which pushing unemployment makes inflation speed up.

MY NOTES

✏ EXAMPLE

The handout's sum: LF 100 (80 employed, 20 unemployed, UR 20%). LF rises 10% to 110 and employment rises 5% to 84. Unemployed = 26 and UR = 26 ÷ 110 = 23.6%, higher than 20%, even though jobs rose. Economist A says NRU is 5% so cyclical UE is 3%; Economist B says 7% so 1% (UR is 8%).

📐 Formulas of this section

WAGE LADDER

Floor ≤ Minimum ≤ Fair ≤ Living wage

NATURAL RATE

NRU = frictional + structural + seasonal + voluntary UE

wage-rate and cyclical UE are both zero at NRU; full employment is not zero unemployment

CYCLICAL UE

cyclical UE = actual UR − NRU

UR 8%: NRU 5% → 3%; NRU 7% → 1% (handout)

UR FALLS ONLY IF

employment growth > labour-force growth

LF +10%, jobs +5%: UR 20% → 23.6%

Types of wages

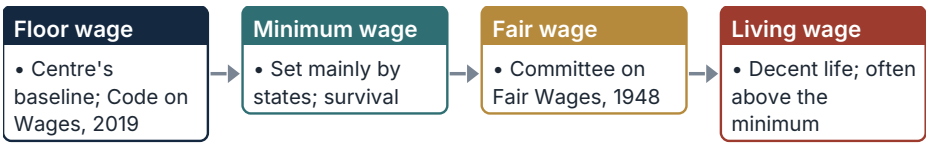
Wage	What it is	Focus
Floor wage	A **central baseline** set by the Union Government (Code on Wages, 2019). States cannot set minimum wages lower than it, which prevents a race to the bottom	Absolute national bottom
Minimum wage	The lowest legal pay for a category of work. **State governments** primarily set it, so a factory worker in Haryana may have a different one from Bihar. Designed to prevent extreme exploitation	Survival
Fair wage	Between the minimum and the living wage; capped by what the industry can afford. Formalised by the **Committee on Fair Wages (1948).** Depends on prevailing area rates, productivity and profitability	Industry capacity to pay and worker's willingness
Living wage	A **normative** wage for a decent standard of living: nutrition, housing, healthcare, children's education, transport, savings. Ignores whether the employer can afford it. Almost always above the statutory minimum	Decent life and dignity

ORDER TO REMEMBER

Floor wage ≤ Minimum wage ≤ Fair wage ≤ Living wage.

MY NOTES

THE WAGE LADDER



CYCLICAL (KEYNESIAN) UNEMPLOYMENT

- A firm hires because it **needs** workers, and that depends on the demand for the goods it expects to sell. At the economy level, demand for workers is **derived from aggregate demand (AD).**
- **UR falls only when employment growth is faster than labour-force growth.** Example: LF 100 (80 employed, 20 unemployed, UR 20%). LF rises 10% to 110 and employment rises 5% to 84. Unemployed = 26 and UR = 26 ÷ 110 = 23.6%, higher than 20%, even though jobs rose.
- Growth is **cyclical** (booms and recessions) and unemployment moves inversely. If growth is slower than an economist expected, the extra UR is **cyclical.**

NATURAL RATE OF UNEMPLOYMENT (NRU) AND NAIRU

- **NRU:** the UR when wages are at equilibrium (zero wage-rate UE) and the cycle is neutral (zero cyclical UE). **NRU = frictional + structural + seasonal + voluntary UE.** At the NRU the economy is at **full employment** (which is **not** zero unemployment) and producing at **potential GDP.**
- **NAIRU** (Non-Accelerating Inflation Rate of Unemployment): comes from the Phillips Curve (covered in the Inflation chapter). If UR is pushed below it by printing money or heavy deficit spending, the labour market tightens, wages are bid up, a **wage-price spiral** starts and inflation accelerates.
- The actual UR can be counted. **NRU and potential GDP cannot be measured**
- **They are estimated** and depend on the model. Example: UR is 8%. Economist A says NRU is 5% so cyclical UE is 3%
- Economist B says NRU is 7% so cyclical UE is 1%

📘 **FROM NCERT · CLASS XII MACROECONOMICS, CH 1 §1.1, CH 4 §4.4, CH 5 §5.1.1 AND BOX 5.1**

> **In plain words:** The handout calls cyclical unemployment "Keynesian". NCERT tells the story behind the label: why Keynes arrived, what "full employment" means, and why government steps in.

MY NOTES

Link to the handout: Handout section 6: cyclical (Keynesian) unemployment; natural rate and full employment; demand for workers is derived from aggregate demand.

Step 1 · Before and after Keynes

- The dominant thinking before Keynes (the **classical tradition**): all labourers who are ready to work will find employment and all factories will work at full capacity.
- The Great Depression of 1929 and after: output and employment fell by huge amounts, factories lay idle, workers lost jobs. The fact that the economy may have **long lasting unemployment** had to be explained. Keynes' book The General Theory of Employment, Interest and Money (1936) was the attempt, and macroeconomics was born.

Step 2 · Equilibrium is not full employment (Ch 4 §4.4)

- **Full employment level of income** (NCERT): the level where all the factors of production are fully employed. Equilibrium (Y = AD) only means income will not change by itself, even if there is unemployment.

Where equilibrium output stands	Situation (NCERT's name)	Cause	Effect in the long run (NCERT)
Below the full employment level	**Deficient demand**	Demand is not enough to employ all factors of production	Decline in prices
Above the full employment level	**Excess demand**	Demand is more than the output produced at full employment	Rise in prices

Step 3 · Why government steps in (stabilisation function, Ch 5)

- The level of employment and prices depends on aggregate demand, which depends on the decisions of millions of private agents. In any period demand may not be enough to use labour fully.
- Since wages and prices do not fall below a level, employment cannot be brought back automatically. The government needs to intervene to raise aggregate demand. If demand exceeds output under high employment, restrictive conditions may be needed to cut demand.
- Keynes' main idea (Box 5.1): fiscal policy should be used to stabilise output and employment, through changes in expenditure and taxes.

MY NOTES

NCERT differs: NCERT's "full employment: all the factors are fully employed" sounds like zero unemployment. The handout says full employment is not zero unemployment: it is the natural rate, at potential GDP. Handout wins. *(handout/teacher wins in class)*

NCERT differs: Inside NCERT: Ch 4 says deficient demand leads to falling prices in the long run, while Ch 5 says wages and prices do not fall below a level. Take the Ch 5 point for jobs: sticky wages are why unemployment does not cure itself. *(handout/teacher wins in class)*

⭐ REMEMBER

Floor ≤ Minimum ≤ Fair ≤ Living. NRU = frictional + structural + seasonal + voluntary.

🧠 MEMORY AID · THE WAGE LADDER (ORDER MATTERS)

Floors Mean Fair Living

F Floor wage (Union baseline, Code on Wages 2019)	**M** Minimum wage (States, survival)
F Fair wage (what industry can afford)	**L** Living wage (decent life, ignores affordability)

Own memory aid (not from the handout): a floor under the ladder, then fair pay, then a living.

7 · UNEMPLOYMENT IN INDIA: THE PLFS NUMBERS

🧠 UNDERSTAND IT FIRST

The headline looks great: unemployment falls from 6.0% to 3.2% while more people join the labour force and more people work. But a low UR is only good if the jobs behind it are good. Almost the whole fall came from more agricultural jobs and more self-employment, where productivity is low or workers are vulnerable. Education shows the odd pattern: the more educated, the higher the unemployment.

✏ EXAMPLE

The handout's productivity table: agriculture 18 (share of GDP) against 46 (share of workers), ₹0.39 per worker; industry 28 and 25, ₹1.12; services 54 and 29, ₹1.86. Graduates: UR 12.9% (2024); at age 20-24 it is 37%.

MY NOTES

📐 Formulas of this section

RELATIVE PRODUCTIVITY

GDP share ÷ employment share

agriculture 18 ÷ 46 → ₹0.39 per worker (handout)

India's UR is measured by the PLFS, carried out every year since **2017.** It gives both US (PS+SS) and CWS rates; the CWS numbers are now released **monthly** for rural and urban areas. The survey period was July-June and has now changed to the **calendar year (Jan-Dec).**

PLFS (usual status, age 15+)

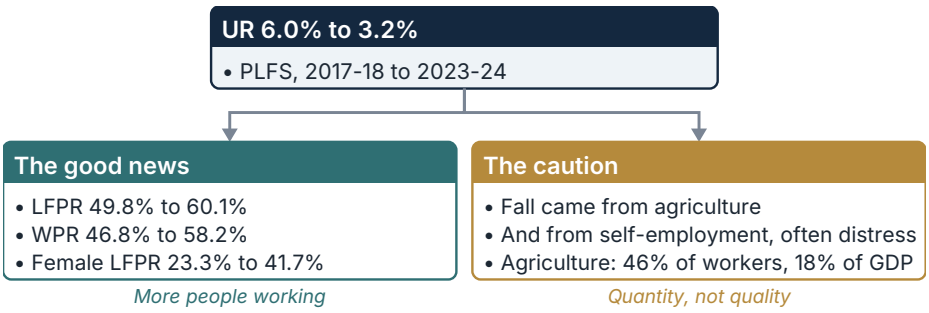
Survey (July-June)	UR	LFPR (overall)	Female LFPR
2017-18	6.0%	49.8%	23.3%
2018-19	5.8%	50.2%	24.5%
2019-20	4.8%	53.5%	30.0%
2020-21	4.2%	54.9%	32.5%
2021-22	4.1%	55.2%	32.8%
2022-23	3.2%	57.9%	37.0%
2023-24	3.2%	60.1%	41.7%

Then and now

Indicator	2017-18	2023-24	Trend
LFPR	49.8%	60.1%	Rising
WPR	46.8%	58.2%	Rising
UR	6.0%	3.2%	Falling

The handout calls this "outstanding": a falling UR **with** a rising LFPR. Then it asks what is behind the numbers.

INDIA'S FALLING UR: READ BOTH SIDES



CRITICAL ANALYSIS OF THE TRENDS

- **LFPR is still low.** Handout comparators: Vietnam ~68.5%, China ~66.5%, South Korea ~63.5%, Japan ~63.2%, United States ~62.5%, Bangladesh ~61.9%. India crossed 60% for the first time in 2023-24.

MY NOTES

- **The UR decline is not entirely desirable.** Between PLFS rounds 2 to 3 and 3 to 4 almost the whole fall came from (a) more **agricultural jobs** and (b) more **self-employment.**
- **Agriculture** already has disguised UE and underemployment and the lowest productivity, so a net rise in agricultural jobs is undesirable for a country wanting the demographic dividend.
- **Self-employment** is generally more productive and remunerative, but leaves workers vulnerable to shocks without safety nets, and much of it is **distress employment.**

Sector productivity (the handout's table)

Sector	Share in GDP (₹)	Share in employment (workers)	Relative productivity (GDP ÷ employment)
Agriculture	18	46	₹0.39 per worker
Industry	28	25	₹1.12 per worker
Services	54	29	₹1.86 per worker

Context. Agriculture's employment share was about **75% at independence,** fell below 50% around **2012,** reached about **44% before Covid,** and rose to about **46% by PLFS round 5** because only agriculture could absorb the laid-off. The last two surveys show it declining again. Self-employment has risen continuously and Covid only accelerated it. Firms prefer contractual workers (no compliance burden, flexible size), and a growing proportion of workers prefer self-employment for quicker earnings. The handout calls it "a low-income country with first world problems" and says the focus should be on reducing vulnerability and building skills.

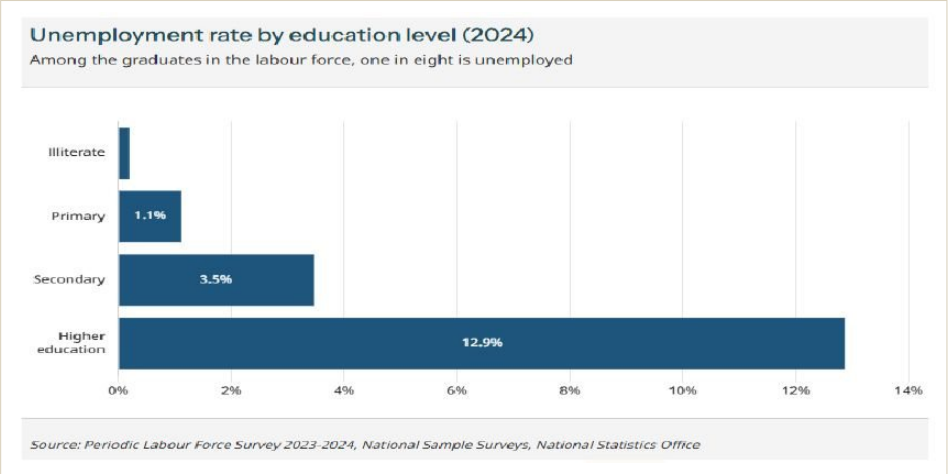


Figure. Unemployment rate by education level (2024): illiterate close to nil, primary 1.1%, secondary 3.5%, higher education 12.9%. Among graduates in the labour force one in eight is unemployed. Source printed: PLFS 2023-24.

MY NOTES

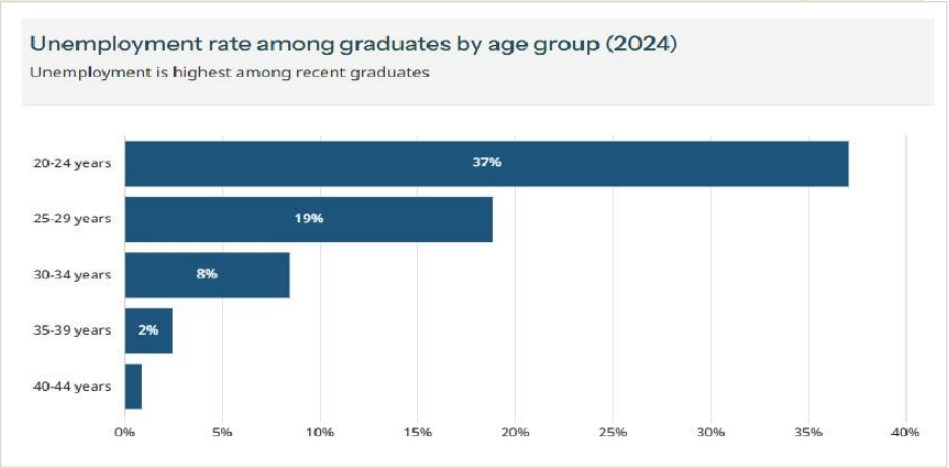


Figure. Unemployment rate among graduates by age group (2024): 20-24 years 37%, 25-29 years 19%, 30-34 years 8%, 35-39 years 2%, 40-44 years under 1%. Highest among recent graduates.

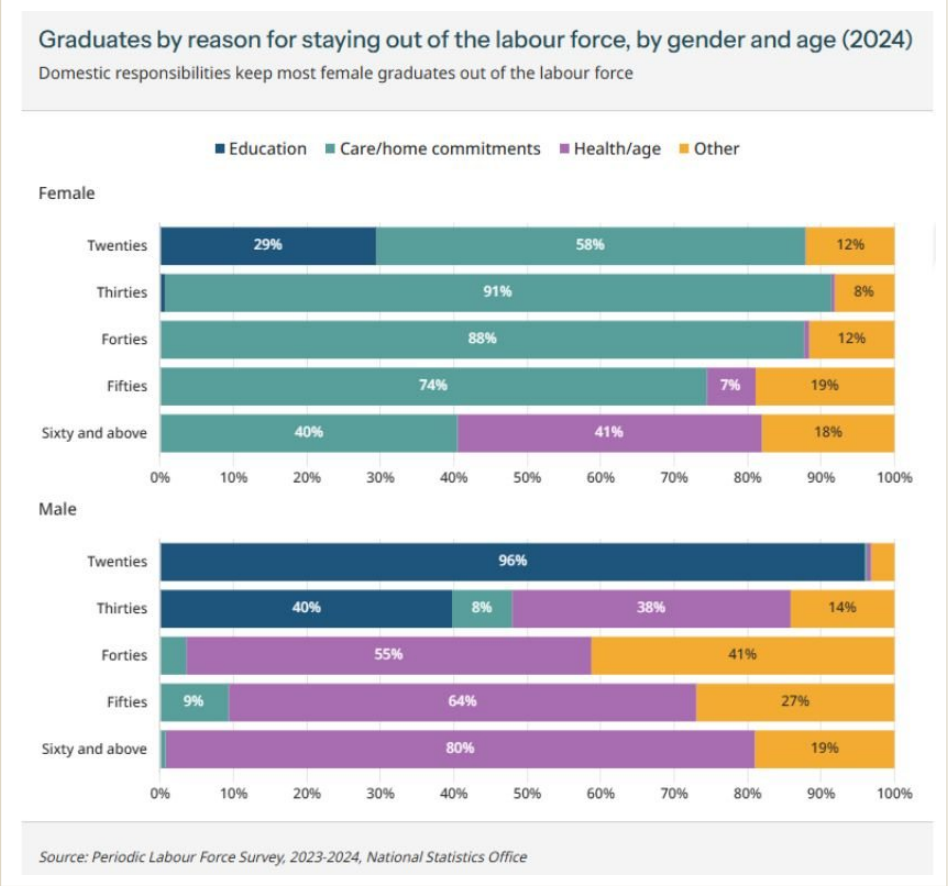


Figure. Graduates outside the labour force, by reason, gender and age (2024). Women: care and home commitments dominate (about 58% in the twenties, 91% in the thirties, 88% in the forties). Men in their twenties: education (96%).

MY NOTES

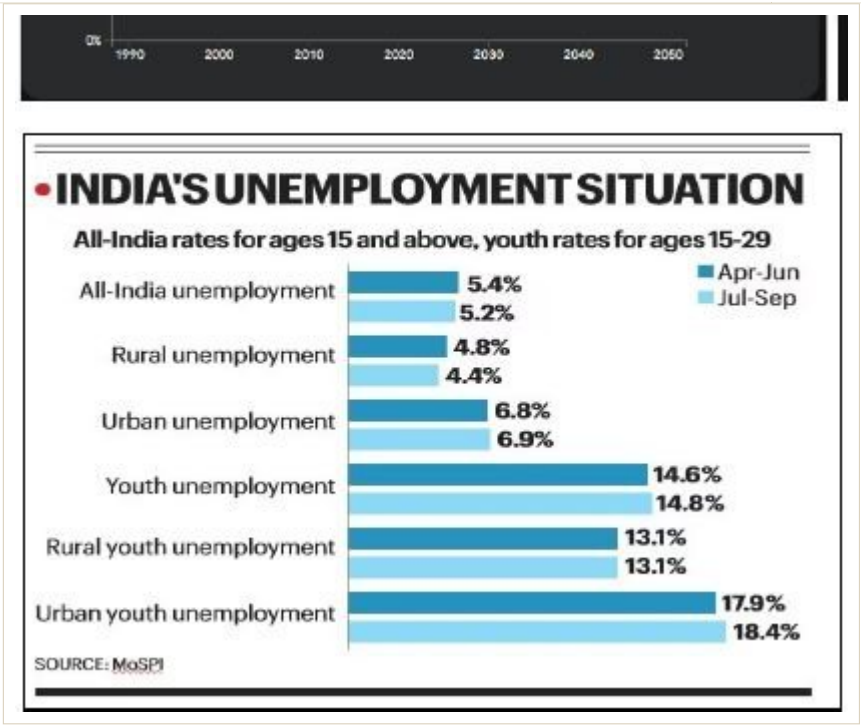


Figure. India's unemployment situation (all-India, age 15+ and youth 15-29), Apr-Jun and Jul-Sep: all-India 5.4% and 5.2%; rural 4.8% and 4.4%; urban 6.8% and 6.9%; youth 14.6% and 14.8%; rural youth 13.1% and 13.1%; urban youth 17.9% and 18.4%. Source printed: MoSPI.

HANDOUT ALERT: READING THE CHART NUMBERS

The last figure is a newspaper-style graphic reproduced in the handout with small print. The quarter labels (Apr-Jun, Jul-Sep) and the values above are read from the picture. **Rule for the exam hall:** use the trend (youth and urban youth are far higher than the all-India rate), not the decimal points.

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 6 §6.5-6.6, AND CH 8 TABLE 8.3

In plain words: The handout shows how India's employment is split between agriculture, industry and services. NCERT gives the full table by place and sex, the long trend since 1972-73, and a comparison with China and Pakistan.

Link to the handout: Handout section 7: sector productivity table; agriculture's share of employment; context paragraph.

Step 1 · The three sectors (NCERT groups eight industrial divisions)

- NCERT adds that the secondary and tertiary sectors can also be called the **non-farm** sectors. In the course of development, labour flows from agriculture to industry and services; much later the industrial sector begins to lose its share as services expand rapidly.

MY NOTES

Sector	Industrial divisions inside it
Primary	Agriculture; mining and quarrying
Secondary	Manufacturing; electricity, gas and water supply; construction
Tertiary / service	Trade; transport and storage; services

Step 2 · NCERT Table 6.2: workforce by industry, 2023–24 (%)

- Reading it: about 60 per cent of rural workers depend on agriculture, forestry and fishing; about 61 per cent of urban workers are in services. Women are far more concentrated in the primary sector than men.

Sector	Rural	Urban	Male	Female	Total
Primary	59.8	6.7	36.3	64.4	46.1
Secondary	21.4	32.4	28.8	15.6	24.1
Tertiary / service	18.8	60.9	34.9	20.0	29.8

Step 3 · NCERT Table 6.3: the long trend (sector-wise, %)

- NCERT asks you to think about the stagnation of the secondary sector and the moderate rise in self-employment during 2011-24.

Sector	1972-73	1983	1993-94	2011-2012	2017-2018	2023–24
Primary	74.3	68.6	64	48.9	46.1	46.1
Secondary	10.9	11.5	16	24.3	24.9	24.1
Services	14.8	16.9	20	26.8	29.0	29.8

Step 4 · India, China and Pakistan in 2022 (Class XI Ch 8, Table 8.3, %)

- NCERT's reading: in the normal course of development a country first shifts employment and output from agriculture to industry and then to services. China shows this; in India and Pakistan the shift is taking place directly to the service sector.

Sector	GVA share: India	China	Pakistan	Workforce share: India	China	Pakistan
Agriculture	18	8	24	43	23	36
Industry	28	38	21	26	32	26

MY NOTES

Sector	GVA share: India	China	Pakistan	Work-force share: India	China	Pakistan
Ser-vices	54	54	55	31	45	38

NCERT differs: Agriculture's workforce share: NCERT Table 8.3 (2022, World Development Indicators) says 43, industry 26, services 31. The handout (PLFS 2023-24) says 46, 25, 29. NCERT Table 6.3 says 46.1 for both 2017-18 and 2023–24, while the handout says about 44 before Covid. Different sources and years: use the handout's figures in class and quote the source. *(handout/teacher wins in class)*

NCERT differs: NCERT's 74.3 in 1972-73 is the earliest figure; the handout's "about 75% at independence" is a different date. *(handout/teacher wins in class)*

⭐ REMEMBER

UR 6.0 → 3.2 and LFPR 49.8 → 60.1: a falling UR is not automatically good news.

8 · WHY IS THERE UNEMPLOYMENT IN INDIA? LOW GROWTH, JOBLESS GROWTH, OR SKILLS?

🧠 UNDERSTAND IT FIRST

Three suspects. Is growth too low? No: about 6.5% since the 1990s beats the world. Is growth jobless? The employment elasticity fell to about 0.01 in 2004-09, but unemployment did not rise because jobs still grew faster than the labour force. So the handout's real culprit is a mismatch between what the educated young aspire to and the skills they have. If the job fits your skill but not your aspiration, that is voluntary. If it fits your aspiration but you lack the skill, it is structural and the job stays vacant.

✏ EXAMPLE

The handout's sum: output grows 10% and employment 6%, so ε = 0.6: 60% of growth from more workers and 40% from higher productivity. Three periods: LF about 1.8% vs jobs about 1.5-1.6%; LF about 1.3% vs jobs about 1.2%; LF about 4.5% vs jobs about 5.0%.

MY NOTES

📐 Formulas of this section

EMPLOYMENT ELASTICITY

ε = % change in employment ÷ % change in output

output +10%, jobs +6% → ε = 0.6

RULE

UR falls only if employment growth > labour-force growth

sluggish decade: LF 1.8% vs jobs 1.5-1.6% → rising UE

1 · IS OUR GROWTH "LOW"?

Post-1990s average growth is about **6.5%**, faster than the world average (**3.5%**) and the developing-country average (**~4.5%**). A plain "low growth" argument does not hold for most of the post-2000s.

2 · JOBLESS GROWTH?

Employment elasticity (ε) = % change in employment ÷ % change in output. If output grows 10% and employment 6%, ε = 0.6: **60% of growth comes from more workers and 40% from higher productivity.** Falling ε means growth is attributed more to productivity. Between **2004-09,** the fastest-growth period, ε fell to **about 0.01**; economists called this "jobless growth."

HANDOUT'S CRITIQUE OF "JOBLESS"

A falling elasticity should push UR up, but long-term UR (ILO data) has not risen. The reason: **employment growth, though falling, is still faster than labour-force growth.**

So "jobless" is "misleading or at least too harsh".

Three periods (handout figures)

Period	Labour force growth	Employment growth	Reading
Sluggish decade 2000-01 to 2011-12	~1.8%	~1.5-1.6%	LF faster than jobs: rising UE. 2004-2010 employment growth near 0%
Lost and found 2011-12 to 2020-21	~1.3% (volatile)	~1.2%	Workforce stagnated or shrank to 2017 as women left the LF (female LFPR ~23%); 2017-21 distress pulled women back as unpaid agricultural helpers
Surge 2017-18 to 2023-24	~4.5%	~5.0%	WPR 46.8% to 58.2%; workforce up ~36%, about **170 million jobs** in 7 years; UR falls to 3.2%

MY NOTES

HANDOUT ALERT: THE "SURGE" AND THE DATA

The handout says the surge appears "as soon as we start collecting data in a better manner" (the PLFS captures the informal sector better). Part of the surge is therefore better counting and, as Section 7 shows, much of it is agriculture and self-employment. **Rule for the exam hall:** quote the surge together with its quality caveat.

PRODUCTIVITY VERSUS EMPLOYMENT: A FALSE CHOICE

- **Cannot be inefficient:** if Indian firms avoid technology to save jobs, China or Vietnam will undercut them, the firm may go bankrupt and everyone loses their job.
- **The goal is decent jobs, not just more jobs.** (Hire a million people to dig holes with spoons and another million to fill them in: 0% UE, but poor.) A high wage needs a highly productive worker.
- **Falling elasticity is not always bad:** one skilled worker may produce what ten once did. It is bad only if total jobs do not absorb new entrants.
- The answer is "to skill our youth so they can run the machines", not to break them.

3 · THE KEY REASON: ASPIRATIONS AND SKILLS DO NOT MATCH

- The handout's conclusion: not lack of growth or jobs, but a mismatch between **aspirations and skills** versus the jobs. That is **voluntary and structural unemployment.**
- **Voluntary:**
  - The job matching the worker's skill exists but fails the worker's aspiration. **Structural:** the aspired job exists but the worker lacks the skill
  - The job stays vacant
- **Youth-education paradox:**
  - As education rises, wage and status expectations rise. The young, educated and non-poor can afford the "luxury of unemployment". **Unemployment is a luxury only the non-poor can afford**
  - **The poor are too poor to be unemployed.** With age the buffer runs out: they accept lower-skilled work or drop out of the LF (**hidden unemployment**)
- **India Skills Report** (Wheebox with CII, AICTE and AIU; the WNET test): graduate employability hovers around **50% to 55%** (ISR 2024/2025).
- Graduate UR is estimated at **13%**, close to nil for those with no education. The LFPR of women with diplomas/certificates is about **55%** versus about **89%** for men. Youth (15-29) urban UR stays high while older groups collapse to near zero.

MY NOTES

- The remedy: **skills and vocational training,** plus better wages in lower-skilled jobs.

HANDOUT ALERT: TWO UR NUMBERS FOR GRADUATES

The text says graduate UR is "estimated at 13 percent"; the chart in Section 7 prints **12.9%** for higher education (2024). They are the same estimate, rounded. **Rule for the exam hall:** write "about 13%".

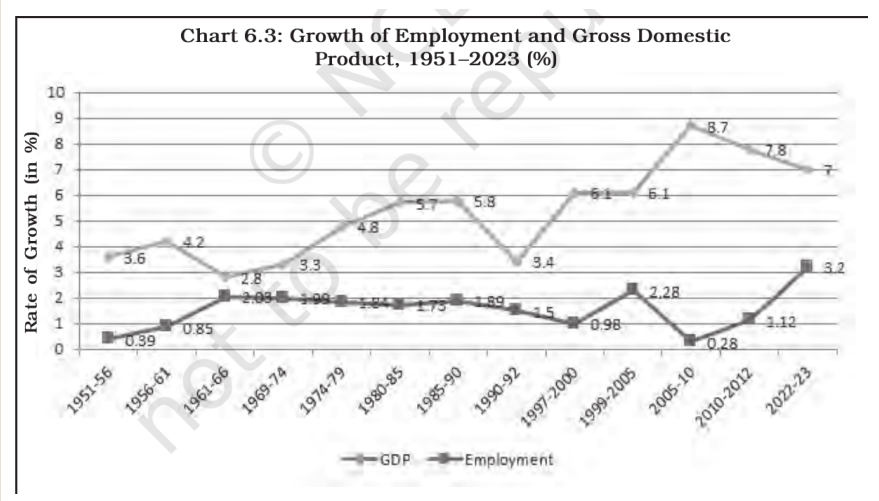
📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 6 §6.6 (JOBLESS GROWTH)

In plain words: The handout defines jobless growth through employment elasticity. NCERT gives the older, simpler picture: put GDP growth and employment growth on one chart and look at the gap.

Link to the handout: Handout section 8 heading "Jobless growth?": elasticity ε and the three periods.

Step 1 · The chart

- During 1951-2023 India's GDP grew positively and faster than employment, though with fluctuations. Employment grew at not more than 2 per cent most of the time; only at two points (2022-2023 and 1999-2005) did it go beyond 2 per cent.



NCERT Chart 6.3, original: growth of employment and GDP, 1951-2023 (% a year). How to read: two lines, GDP growth above and employment growth below; the gap is the part of growth that did not create jobs. It widens from the late 1990s.

Step 2 · What NCERT concludes

- In the late 1990s employment growth started declining, down to the level of the early stages of planning, while the gap between GDP growth and employment growth widened.

MY NOTES

- **Jobless growth** (NCERT's name): "without generating employment, we have been able to produce more goods and services". The last few decades saw rapid GDP growth without a simultaneous increase in jobs, which forced the government to take up job-creating initiatives, particularly in rural areas.

NCERT differs: NCERT defines jobless growth by the gap between the two growth rates. The handout uses employment elasticity (ε fell to about 0.01 in 2004-09) and then calls the label too harsh because jobs still grew faster than the labour force. Both can be asked; write the handout's balanced view. *(handout/teacher wins in class)*

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 4 §4.7 (EDUCATION AND UNEMPLOYMENT)

In plain words: The handout says the educated young can afford the "luxury of unemployment". NCERT gives older data (2011-12) showing the same pattern, in a table you can read at a glance.

Link to the handout: Handout section 8, "The key reason: aspirations and skills do not match", and the education chart in section 7.

NCERT's data (NSSO, 2011-12)

- NCERT adds that the situation improved moderately in the Periodic Labour Force Survey 2023-24, and asks why a large proportion of the educated are unemployed compared with the less educated.
- Its remedy: increase allocation for higher education and improve its standard so that students are given **employable skills**. It also notes that unemployment is a reason for rural-urban migration in India.

Group	Unemployment rate
Young rural males, graduation and above	19 per cent
Young urban males, graduation and above	16 per cent
Young rural female graduates	nearly 30 per cent
Primary-level educated youth, rural and urban	about 3-6 per cent

MY NOTES

NCERT differs: NCERT's figures are for 2011-12; the handout's graduate UR of about 13% is for 2023-24 (PLFS). Do not mix the years. (*handout/teacher wins in class*)

⭐ **REMEMBER**

ε = % change in employment ÷ % change in output. "Jobless" is too harsh; the mismatch is voluntary plus structural.

9 · NATURE OF EMPLOYMENT: LABOUR LAWS, FORMAL AND INFORMAL WORK

🧠 **UNDERSTAND IT FIRST**

Two different splits. Organised versus unorganised sorts the enterprise (registered and bigger, or not). Formal versus informal sorts the worker by contract and social security, ignoring firm size. So a contract security guard at a big IT park sits in an organised firm but is an informal worker. Complying with over 40 central and over 100 state laws was costly, so firms hired indirectly. The four Labour Codes merge 29 central laws, and fixed-term employment gives formal-job benefits with informal-job flexibility.

✏ **EXAMPLE**

The handout's four boxes: software engineer at Infosys (organised, formal); contract guard at an IT park (organised, informal); farm labourer or street vendor (unorganised, informal); about 80%+ of India's workforce is informal. Gratuity: 5 years of continuous service for a permanent employee, 1 year for a fixed-term employee.

MY NOTES

📐 Formulas of this section

FORMAL WORKER TEST
written contract + paid leave + social security from the employer
above all PF, ESIC, pension, maternity

ORGANISED (PRIVATE FIRM)
10+ workers (with power) or 20+ (without)
unorganised: unincorporated, under ten workers

GRATUITY
permanent: 5 years; fixed-term: 1 year
Code on Social Security, 2020

LABOUR CODES
29 central laws → 4 Codes
2019-2020

Labour laws govern the employer-employee relationship (who is a worker, leave, safety, misconduct, night shifts for women). The pre-2020 laws the handout lists:

Key pre-2020 labour laws

Year	Act	What it does
1926	Trade Unions Act	Registration, rights and regulation of trade unions for collective bargaining
1936	Payment of Wages Act	Wages on time; no arbitrary deductions
1947	Industrial Disputes Act	Employer-union relations: strikes, lock-outs, layoffs, retrenchment
1948	Minimum Wages Act	Government fixes minimum wages for scheduled occupations
1948	Factories Act	Safety, health and welfare in factories (hours, ventilation, hazardous work)
1952	Employees' Provident Funds and Miscellaneous Provisions Act	Compulsory employer and employee contributions: retirement corpus, pension, insurance
1961	Maternity Benefit Act	Paid maternity leave (currently 26 weeks); no firing for pregnancy
1970	Contract Labour (Regulation and Abolition) Act	Conditions of contract labour; can abolish it in certain core industries

Till 2019 India had **over 40 central and over 100 state labour laws.** Compliance was costly ("Inspector Raj"). A small firm stays off the radar and risks non-compliance; as it grows, its compliance cost rises exponentially. So it hires **indirectly** (for example security guards through a contractor). Law makes no distinction between workers: **the formal/informal split is an artificial distinction created by firms** to cut compli-

MY NOTES

ance cost. Ways to formalise: PF contributions, tax deducted at source, a formal contract.

Two different classifications (NCEUS or Arjun Sengupta Committee)

	Organised vs unorganised	Formal vs informal
Looks at	The **enterprise** (ignores the workers)	The **worker's** contract and benefits (ignores firm size)
Organised / formal	Registered, incorporated, bound by formal accounting and labour laws; government, registered bodies, private firms with 10+ workers (with power) or 20+ (without)	Written contract, paid leave and above all **social security** (PF, ESIC, pension, maternity) paid by the employer
Unorganised / informal	"All unincorporated private enterprises owned by individuals or households...on a proprietary or partnership basis and with **less than ten** total workers"	Workers in unorganised enterprises or households, excluding regular workers with social security, **and** workers in the formal sector without employment and social security benefits from employers

Four boxes

	Formal worker	Informal worker
Organised enterprise	Software engineer at Infosys; government bank manager	**Informalisation of the formal sector:** a contract guard or cleaner at a big IT park or factory, hired through a contractor (no PF, leave or job security)
Unorganised enterprise	Statistically almost non-existent	Farm labourer, street vendor, assistant at a tiny bakery. About **80%+** of India's workforce

- **Gig and platform workers** (defined in the NITI Aayog report "India's Booming Gig and Platform Economy"): treated as "independent contractors" or "partners" by platforms (Uber, Swiggy, Urban Company), outside the employer-employee relationship, with no social security.
- **Contractual employment** is the bridge between the organised sector and informal labour: hired for a period or task, often through a third-party agency. NITI Aayog points out that rigid laws (hard to fire permanent staff) pushed the organised sector towards contract workers.

THE SOLUTION: FOUR LABOUR CODES (2019-2020)

The government amalgamated **29 central labour laws into four codes:**

MY NOTES

The four Labour Codes

Code	Main point in the handout
Code on Wages, 2019	Universalises minimum wages and timely payment, including the unorganised sector
Code on Social Security, 2020	First legal framework for social security funds for gig, platform and unorganised workers. Gratuity after **1 year** for fixed-term employees
Occupational Safety, Health and Working Conditions Code, 2020	Streamlines safety rules; heavily regulates the use of contract labour
Industrial Relations Code, 2020	Simplifies dispute resolution and gives firms somewhat more hiring and firing flexibility

MEMORY AID · THE FOUR LABOUR CODES

W **I** **S** **H**

It is the worker's WISH list: pay, protection, safety and fair dispute rules in four Codes.

W Wages: Code on Wages, 2019
I Industrial Relations Code, 2020
S Social Security: Code on Social Security, 2020
H Health and safety: Occupational Safety, Health and Working Conditions Code, 2020

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

FIXED-TERM EMPLOYMENT (FTE)

- Direct hiring for a **pre-determined period** on a written contract
- It ends automatically unless renewed. Introduced across all sectors to fix the exploitation of contract workers hired through agencies
- **Parity with permanent workers:** same working hours, wages, allowances and statutory benefits (EPF, ESIC).
- **Gratuity (crucial Prelims fact):** a permanent employee needs **5 years** of continuous service, a fixed-term employee becomes eligible after **1 year** under the Code on Social Security, 2020.
- **What they lack:** long-term job security. Expiry is **not retrenchment,** so no notice and no retrenchment compensation.
- **Superior to contract workers:** on the principal employer's direct payroll, no middleman cut, social security guaranteed, cannot be paid less for the same work.
- In the handout's words, FTE gives the worker the **social security of a formal job** and the employer the **hiring flexibility of an informal job.**

MY NOTES

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 6 §6.7 AND GLOSSARY, BOX 6.1, CHART 6.4

In plain words: NCERT's formal and informal sector is the plain first version of the handout's two classifications. It also gives the numbers: how few workers are formal.

Link to the handout: Handout section 9: organised vs unorganised, formal vs informal, the four boxes.

Step 1 · NCERT's definitions

- Formal-sector workers enjoy social security benefits and earn more. The formal sector forms trade unions and bargains for better wages. Informal workers get no regular income and no protection from the government; they can be dismissed without compensation; technology is outdated; they keep no accounts.

Term	NCERT's words
Formal sector establishments	All public sector establishments and those private sector establishments which employ 10 hired workers or more; their workers are formal sector workers
Informal sector	All other enterprises and the workers in them: millions of farmers, agricultural labourers, owners of small enterprises and their workers, the self-employed with no hired workers, and non-farm casual wage labourers who work for more than one employer (e.g. construction workers, headload workers)
Glossary: informal sector enterprises	Private enterprises employing less than 10 workers on a regular basis
Labour laws (Glossary)	All the rules and regulations framed by the government to protect the interests of the workers
Trade union (Glossary)	An organisation of workers formed to address members' interests in respect of wages, benefits and working conditions

Step 2 · The numbers (Box 6.1 and Chart 6.4, millions of workers)

- In 2012, of about 30 million formal workers, about 18 million were employed by the public sector. Government is the major formal-sector employer. Women are only about one-sixth of the formal workforce.
- Gender (2011–2012): about 20 per cent of formal sector workers and 30 per cent of informal sector workers were women.

MY NOTES

- NCERT's point: planning expected the informal sector to dwindle as the economy grew; instead it holds the great majority. Economists point out that the reform process begun in the early 1990s reduced the number of formal sector workers.

FORMAL SHARE, 2019-20 (NCERT)
59 ÷ 535 × 100 ≈ 11 per cent
so the rest, 89 per cent, is informal

Year	Formal	Informal	Total
2011–12	30	443	(worked out here: 473)
2019–20	59	476	535

NCERT differs: NCERT puts both splits into one: "formal and informal sectors, also referred to as organised and unorganised". The handout separates the enterprise (organised) from the worker (formal). Handout wins: it explains the contract guard in an IT park. (*handout/teacher wins in class*)

NCERT differs: The handout says 80%+ of the workforce is informal; NCERT's figure is 89 per cent (2019-20). Both agree it is a large majority; quote NCERT's number if asked for a figure with a year. (*handout/teacher wins in class*)

NCERT differs: NCERT's threshold is 10 hired workers; the handout adds 10+ with power and 20+ without power. (*handout/teacher wins in class*)

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 6 BOX 6.2 AND §6.10; CH 3 (OUTSOURCING)

In plain words: Two real-life stories that make informalisation concrete: a city whose permanent mill jobs vanished, and the new work-from-home economy.

Link to the handout: Handout section 9: informalisation of the formal sector; contractual employment; gig work.

MY NOTES

Case 1 · Informalisation in Ahmedabad (Box 6.2)

Before	After
More than 60 textile mills, labour force of 1,50,000; secure jobs with a living wage; social security for health and old age; a strong trade union	In the early 1980s mills began to close, over about 10 years: over 80,000 permanent and over 50,000 non-permanent workers lost jobs and were driven to the informal sector; poverty, children withdrawn from school and sent to work

Case 2 · Outsourcing and work from home (§6.10)

- **Outsourcing**: a big firm closes some specialist departments (legal, computer programming, customer service) and hands many small piecemeal jobs to very small enterprises or specialist individuals, sometimes in other countries. For many, the home becomes the workplace.
- NCERT's verdict: this change has not gone in favour of the individual worker. The nature of employment has become more informal, with limited social security. New service-sector jobs after the reforms are mostly informal and casual (Recap).
- Why India is a destination (Class XI Ch 3): low wage rates and availability of skilled manpower.

⭐ **REMEMBER**

Organised = the firm; formal = the worker. Four Codes replace 29 laws. Gratuity: permanent 5 years, fixed-term 1 year.

MY NOTES

🧠 **MEMORY AID · THE PRE-2020 LABOUR LAWS BY YEAR (ORDER MATTERS)**

Tired Plant Inspectors Meet Frightened Employers, Many Complain

T Trade Unions Act 1926	**P** Payment of Wages Act 1936
I Industrial Disputes Act 1947	**M** Minimum Wages Act 1948
F Factories Act 1948	**E** Employees' Provident Funds Act 1952
M Maternity Benefit Act 1961	**C** Contract Labour Act 1970

Own memory aid (not from the handout): the sentence is about the "Inspector Raj" compliance burden the handout describes.

10 · SCHEMES: THE PROBLEM EACH ONE FIXES

🧠 **UNDERSTAND IT FIRST**

Think of each scheme as a patch for one hole. Employers drowning in paperwork: Shram Suvidha. Unorganised workers with no safety net: e-Shram and PM-SYM. Skills that do not match jobs: PMKVY. Too few formal jobs: PLI and ELI. Rural distress and shocks: MGNREGA.

✏ **EXAMPLE**

PM-SYM: a worker pays e.g. ₹55-200 a month, the government matches it, and the pension is ₹3,000 a month after age 60 (for earners under ₹15,000 a month). e-Shram (2021) gives a Universal Account Number. MGNREGA guarantees 100 days of wage employment.

📐 Formulas of this section

PM-SYM

worker pays ₹55-200 a month + government matches → pension ₹3,000 a month after 60

for earners under ₹15,000 a month

MGNREGA

100 days of wage employment per rural household demanding unskilled manual work

shock absorber and floor for rural wages

MY NOTES

Problem and fix (the handout's summary)

Problem	Fix
Employer compliance burden	Shram Suvidha
Unorganised worker vulnerability	e-Shram and PM-SYM
Structural skill mismatch	PMKVY (Skill India)
Lack of formal jobs (jobless growth)	PLI and ELI schemes
Rural distress and cyclical shocks	MGNREGA

The schemes in detail

Scheme	What the handout says
e-Shram portal (2021)	First **National Database of Unorganised Workers.** Gives a **Universal Account Number (UAN)**. Lets the government transfer cash or food to vulnerable workers in a shock
PM Shram Yogi Maan-dhan (PM-SYM)	Voluntary, contributory **pension** for unorganised workers earning **under ₹15,000 a month.** Worker pays e.g. ₹55-200 a month, the government **matches** it, pension **₹3,000 a month after age 60**
Shram Suvidha portal	Employer side: a **Labour Identification Number (LIN),** single consolidated online returns, **randomly assigned inspectors** by computer (removes bribery and bias). Cuts compliance cost so firms hire formally
PMKVY / Skill India	Flagship for the skill mismatch: short-term, industry-relevant training for dropouts and unemployed youth. **Recognition of Prior Learning (RPL)** certifies existing skills (a traditional carpenter) so workers can bargain for better wages
PLI scheme	Subsidies to companies **only if** they meet domestic production targets. Drives derived demand for semi-skilled and skilled labour
ELI scheme (Budget 2024-25)	Subsidises **job creation:** the government pays a portion of **EPFO contributions for first-time employees** entering the formal workforce, lowering the employer's cost of hiring
MGNREGA / VB-GRAM(G)	Guarantees **100 days** of wage employment to rural households demanding unskilled manual work. Acts as a shock absorber and a legal floor for rural wages

HANDOUT ALERT: THE SCHEME NAME

The handout writes "MGNREGA/VB-GRAM(G)" for the rural job guarantee and does not explain the second name. **Rule for the exam hall:** the 2011 PYQ uses "Mahatma Gandhi National Rural Employment Guarantee Act"; write that.

📘 **FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 6 §6.9; CH 5 §5.3**

MY NOTES

In plain words: The handout gives each scheme its job. NCERT adds a simple way to classify all government job creation, and tells you the new name of the rural job scheme.

Link to the handout: Handout section 10: schemes; alert about "MGNREGA/VB-GRAM(G)".

Step 1 · Direct and indirect job creation (NCERT)

- Many poverty-alleviation programmes work through job creation. NCERT lists the services they bundle with jobs: primary health, primary education, rural drinking water, nutrition, help to buy income and job-generating assets, community assets through wage employment, houses and sanitation, rural roads, development of wastelands.

Kind	What it means	NCERT's example
Direct	The government employs people in its departments, and runs industries, hotels and transport companies	A government-owned steel company raises output, so it hires more people
Indirect	Government output rises, so private firms that buy its goods raise their output and jobs	Private companies that buy steel from it increase output and employment

Step 2 · The rural job guarantee and its name

- NCERT Class XI Ch 6: the Mahatma Gandhi National Rural Employment Guarantee Act 2005 promises 100 days of guaranteed wage employment to all rural households who volunteer to do unskilled manual work.
- NCERT Class XI Ch 5: MNREGA is "now known as Viksit Bharat – Guarantee for Rozgar and Ajeevika Mission [Gramin] [VB-G RAM G]". Wages for such work are paid into bank accounts opened under Jan-Dhan Yojana; more than 50 crore people opened accounts, which promoted thrift.

NCERT differs: The handout writes "MGNREGA/VB-GRAM(G)" without explaining. NCERT explains it: VB-G RAM G is the new name. NCERT's Ch 6 still uses the Act's old name. For the 2011 style of question write Mahatma Gandhi National Rural Employment Guarantee Act. *(handout/teacher wins in class)*

MY NOTES

⭐ **REMEMBER**

Compliance → Shram Suvidha; vulnerability → e-Shram, PM-SYM; skills → PMKVY; jobs → PLI, ELI; rural shock → MGNREGA (write the full Act name in the exam).

MY NOTES

FORMULA SHEET, NUMBER CARD AND DRILLS

MY NOTES

📐 FORMULA SHEET: COVER THE THIRD COLUMN, SAY THE FORMULA, THEN CHECK

Where	Name	Formula	Source
Sec 1	Dependency ratio	**DR = [Pop(0-14) + Pop(65+)] ÷ Pop(15-64) × 100**	handout
Sec 1	Labour force	**LF = Emp + UE**	handout
Sec 1	Unemployment rate	**UR = UE ÷ LF = UE ÷ (Emp + UE)**	handout
Sec 1	LFPR	**LFPR = labour force of a cohort ÷ total population of the cohort × 100**	handout
Sec 1	WPR	**WPR = employed persons ÷ total population**	handout
Sec 3	Labour-force test (US)	**in LF if working or seeking for ≥ 183 days**	handout
Sec 3	Principal status	**employed if work found for the majority of the LF days**	handout
Sec 3	Subsidiary status	**employed if work for ≥ 30 days in the year**	handout
Sec 3	CWS rule	**working if worked ≥ 1 hour on any 1 day in the 7 days**	handout
Sec 3	UR (PS)	**200 ÷ 800 = 25%**	handout
Sec 3	UR (PS+SS)	**50 ÷ 800 = 6.25%**	handout
Sec 4	Marginal product	**MPL of the (n+1)th worker = output(n+1) − output(n)**	handout
Sec 5	Demand for labour	**DL ∝ 1 ÷ wages**	handout
Sec 5	Supply of labour	**SL ∝ wages**	handout
Sec 5	Law of demand	**QD varies inversely with price**	handout
Sec 5	Law of supply	**QS varies directly with price**	handout
Sec 6	Wage ladder	**Floor ≤ Minimum ≤ Fair ≤ Living wage**	handout
Sec 6	Natural rate	**NRU = frictional + structural + seasonal + voluntary UE**	handout
Sec 6	Cyclical UE	**cyclical UE = actual UR − NRU**	handout
Sec 6	UR falls only if	**employment growth > labour-force growth**	handout
Sec 7	Relative productivity	**GDP share ÷ employment share**	handout

MY NOTES

Where	Name	Formula	Source
Sec 8	Employment elasticity	**ε = % change in employment ÷ % change in output**	handout
Sec 8	Rule	**UR falls only if employment growth > labour-force growth**	handout
Sec 9	Formal worker test	**written contract + paid leave + social security from the employer**	handout
Sec 9	Organised (private firm)	**10+ workers (with power) or 20+ (without)**	handout
Sec 9	Gratuity	**permanent: 5 years; fixed-term: 1 year**	handout
Sec 9	Labour Codes	**29 central laws → 4 Codes**	handout
Sec 10	PM-SYM	**worker pays ₹55-200 a month + government matches → pension ₹3,000 a month after 60**	handout
Sec 10	MGNREGA	**100 days of wage employment per rural household demanding unskilled manual work**	handout
Sec 1	WPR (NCERT)	**WPR = number of workers ÷ population × 100**	NCERT
Sec 1	Unemployment rate (Ch 1 text)	**people not working and looking for jobs ÷ people working or looking for jobs**	NCERT
Sec 4	Marginal product of labour (NCERT)	**MP_L = TP(L units) − TP(L − 1 units)**	NCERT
Sec 5	Demand	**$q_D = 200 - p$**	NCERT
Sec 5	Supply	**$q_S = 120 + p$**	NCERT
Sec 5	Equilibrium	**$200 - p^* = 120 + p^* \rightarrow p^* = 40, q^* = 160$**	NCERT
Sec 5	Excess demand	**$ED(p) = q_D - q_S = 80 - 2p$**	NCERT
Sec 5	Excess supply	**$ES(p) = q_S - q_D = 2p - 80$**	NCERT
Sec 5	Hiring rule	**$w = MRP_L$**	NCERT
Sec 5	MRP_L	**$MRP_L = MR \times MP_L$**	NCERT
Sec 9	Formal share, 2019-20 (NCERT)	**59 ÷ 535 × 100 ≈ 11 per cent**	NCERT

MY NOTES

🔢 NUMBER CARD: FIGURES TO HOLD

- **6.0% → 3.2%** UR, 2017-18 to 2023-24
- **49.8% → 60.1%** LFPR (first time above 60%)
- **46.8% → 58.2%** WPR
- **23.3% → 41.7%** female LFPR
- **183 days / 30 days** labour-force test / subsidiary-status work test
- **25% and 6.25%** UR (PS) and UR (PS+SS), handout's 1000-person example
- **0.01** employment elasticity in 2004-09 ("jobless growth")
- **46 / 18 / ₹0.39** agriculture: % of workers / % of GDP / productivity per worker
- **about 13%** graduate UR (12.9% in 2024); 37% at age 20-24
- **80%+** informal share of India's workforce
- **29 → 4** central labour laws merged into Labour Codes
- **5 yr / 1 yr** gratuity: permanent / fixed-term employee
- **100 days** MGNREGA guarantee
- **₹3,000** PM-SYM monthly pension after 60
- **1948** Minimum Wages Act, Factories Act and Committee on Fair Wages

✏ BLANK-PAGE DRILL: DRAW THESE FROM MEMORY, THEN CHECK

- Redraw the handout's flow of the Usual Status tests (section 3): labour-force test (≥ 183 days) → PS → SS, then do the four-person table.
- Redraw the handout's flow of how a market reaches equilibrium (section 5) and mark where a wage stuck above equilibrium leaves excess supply of labour.
- Write from memory: the wage ladder, the four Labour Codes, and the problem → scheme list (section 10).

NCERT CHECKLIST: END BOXES, QUESTIONS, KEY CONCEPTS

📘 NCERT PARTS WITH NO MATCHING HANDOUT SECTION (READ THEM FROM NCERT)

- **Class XI Ch 6, Exercises 11-12 and Suggested Activities**: practice sums with workforce tables and WPR, and local surveys of jobs; try them from NCERT

MY NOTES

- **Class XI Ch 5 §5.5 Animal husbandry, fisheries, horticulture**: rural livelihood detail beyond the unemployment chapter
- **Class XI Ch 4 Human capital formation**: education and health as sources of human capital; read it from NCERT

📘 NCERT KEY CONCEPTS: TICK EACH WHEN YOU CAN DEFINE IT

☐ Economic activity ☐ Worker ☐ Workforce
☐ Worker-population ratio ☐ Self-employed
☐ Regular salaried employees ☐ Casual wage labourers
☐ Employers ☐ Family labour/worker
☐ Primary, secondary and service sectors ☐ Jobless growth
☐ Casualisation of workforce ☐ Formal sector establishments
☐ Informal sector enterprises ☐ Labour laws ☐ Trade union
☐ Unemployment ☐ Open unemployment
☐ Disguised unemployment ☐ Seasonal unemployment
☐ Outsourcing ☐ Full employment level of income
☐ Deficient demand ☐ Excess demand

📘 NCERT'S OWN END-OF-CHAPTER QUESTIONS: CAN YOU ANSWER EACH FROM THESE NOTES?

NCERT question	Answer lives in
Who is a worker?	Section 2 + NCERT Class XI Ch 6 §6.2
Define worker-population ratio.	Section 1 + NCERT Ch 6 §6.3 and Glossary
Are a beggar, a thief, a smuggler, a gambler workers? Why?	Section 2 (economic activity for remuneration or profit); NCERT gives no printed answer
Raj goes to school and works on his farm when free. Is he a worker?	Section 2: farming counts as employment; NCERT Ch 6 §6.2
Compared to urban women, more rural women are found working. Why?	NCERT Ch 6 §6.3 (not in the handout)
Meena, a housewife, also works in her husband's cloth shop. Is she a worker?	Section 2 (unpaid family helper)
Why are regular salaried employees more in urban than rural areas? Why are fewer women regular salaried?	NCERT Ch 6 §6.4 (not in the handout)

MY NOTES

NCERT question	Answer lives in
Analyse recent trends in sectoral distribution of the workforce.	Section 7 + NCERT Tables 6.2 and 6.3
Has employment generated in 1950-2010 been commensurate with GDP growth?	Section 8 + NCERT Chart 6.3
Is it necessary to generate formal sector employment rather than informal? Why?	Section 9 + NCERT §6.7
Victor gets work for two hours a day and looks for work the rest of the day. Is he unemployed?	Section 3 (CWS rules) + NCERT §6.8
Who is a casual wage labourer? How will you know a worker is in the informal sector?	Section 9 + NCERT §6.4 and §6.7

ABBREVIATION COLUMN

Every short form used in this chapter, expanded.

NCERT = National Council of Educational Research and Training — publisher of the school textbooks the teacher calls "very, very important"

UR = Unemployment Rate — unemployed ÷ labour force

LF = Labour Force — employed plus unemployed: those working or looking for work

UE = Unemployment — people able and willing to work but without work

PLFS = Periodic Labour Force Survey — official survey of jobs and unemployment

PS = Principal Status — in the labour force and employed for the majority of the labour-force days

WPR = Worker Population Ratio — employed persons ÷ total population

SS = Subsidiary Status — at least 30 days of work in the year

LFPR = Labour Force Participation Rate — labour force of a group ÷ total population of the group

NRU = Natural Rate of Unemployment — unemployment at equilibrium wages and a neutral cycle

GDP = Gross Domestic Product — value of all final goods and services produced inside a country in a year

MGNREGA = Mahatma Gandhi National Rural Employment Guarantee Act — guarantees 100 days of rural wage work

NSSO = National Sample Survey Office — runs household surveys

CWS = Current Weekly Status — activity in the 7 days before the survey

MRP = Maximum Retail Price — printed price ceiling

PM-SYM = Pradhan Mantri Shram Yogi Maan-dhan — contributory pension scheme for unorganised workers

MY NOTES

QD = Quantity Demanded — amount actually asked for at a price

SL = Supply of Labour — how much labour people offer at each wage

DL = Demand for Labour — how much labour firms want at each wage

MPL = Marginal Product of Labour — extra output from one more worker

PMKVY = Pradhan Mantri Kaushal Vikas Yojana — national skill training scheme

TP = Total Product — total output produced with the inputs used

US = United States — a country

MP = Madhya Pradesh — Indian state

QS = Quantity Supplied — amount offered for sale at a price

ELI = Employment Linked Incentive — government pays part of EPFO contributions for first-time employees

PLI = Production Linked Incentive — subsidy tied to output

ILO = International Labour Organization — sets the global standard for labour statistics

IT = Information Technology — software and computer services

NAIRU = Non-Accelerating Inflation Rate of Unemployment — unemployment rate at which inflation neither speeds up nor slows

PF = Provident Fund — retirement savings fund with employer and employee contributions

SNA = System of National Accounts — UN rulebook for measuring national income (2008 version)

UPSS = Usual Principal and Subsidiary Status — employed if a worker on either PS or SS

VB-GRAM = Viksit Bharat – Guarantee for Rozgar and Ajeevika Mission — the new name of the rural job guarantee scheme

CDS = Current Daily Status — old approach measuring time worked on each day of the last week

ESIC = Employees' State Insurance Corporation — social security body for employees

MR = Marginal Revenue — extra earning from selling one more unit

WAP = Weighted Average Price — size-weighted average price of an index basket

AD = Authorized Dealer — bank licensed to convert currency (also Aggregate Demand elsewhere)

ED = Excess Demand — quantity demanded minus quantity supplied

EPF = Employees' Provident Fund — compulsory retirement corpus with employer and employee contributions

ES = Excess Supply — quantity supplied minus quantity demanded

EUS = Employment-Unemployment Survey — NSSO survey carried out about once in 5 years, before the PLFS

FTE = Fixed-Term Employment — direct hiring for a set period on a written contract

NGO = Non-Governmental Organisation — private body working for a social cause

NITI = National Institution for Transforming India — think tank that replaced the Planning Commission

NSO = National Statistical Office — under MoSPI; compiles CPI and national accounts

RAM = Rozgar and Ajeevika Mission — part of the NCERT name VB-G RAM G

MY NOTES

VB-G = Viksit Bharat – Guarantee — first part of the NCERT name VB-G RAM G

VMP = Value of Marginal Product — price × marginal product (perfect competition)

AI = Artificial Intelligence — machines doing tasks that need human-like thinking

AICTE = All India Council for Technical Education — regulator of technical education

AIU = Association of Indian Universities — body of Indian universities

CII = Confederation of Indian Industry — industry association

DoPT = Department of Personnel and Training — Union government personnel department

EPFO = Employees' Provident Fund Organisation — body that runs the EPF

GNP = Gross National Product — GDP + net income from abroad

GVA = Gross Value Added — output minus intermediate consumption; GDP = GVA + taxes − subsidies

ISR = India Skills Report — report on graduate employability

LIN = Labour Identification Number — employer ID on the Shram Suvidha portal

MNREGA = Mahatma Gandhi National Rural Employment Guarantee Act — law promising 100 days of wage work

MoSPI = Ministry of Statistics and Programme Implementation — government ministry that releases the CPI, GDP and PLFS data

NCEUS = National Commission for Enterprises in the Unorganised Sector — the Arjun Sengupta Committee

NCS = National Career Services — government job-matching service

NRLM = National Rural Livelihood Mission — scheme to improve rural livelihoods through SHGs and skills

NSQF = National Skills Qualifications Framework — framework that grades skills

R&D = Research and Development — spending on new products and processes

RBI = Reserve Bank of India — central bank

RPL = Recognition of Prior Learning — certifies skills a worker already has

SHGs = Self-Help Groups — small groups that pool savings and lend to members

UAN = Universal Account Number — number given to a worker on e-Shram

USA = United States of America — country

WNET = Wheebox National Employability Test — test used in the India Skills Report

Meanings are plain-language aids; verify before quoting in an answer.

CURRENT AFFAIRS

District-level labour market indicators (PLFS)

September 2026 Prelims

NSO released district-level PLFS labour indicators for the first time. PLFS design revised in January 2025: districts replaced NSS Regions as sampling basis; survey year moved from July-June to calendar year.

MY NOTES

Definitions: LFPR, WPR, Unemployment Rate, NEET.

Findings: about **57.8%** of districts had female LFPR of **40%** or more; **77.8%** had unemployment between **0.5%** and **5.5%**; over **75%** had NEET below **30%**; among the 100 most populous districts Surat had highest LFPR and WPR, Darbhanga lowest.

Use: targeted policy, District Skill Committee planning, local baseline to monitor schemes.

World Bank brief: jobs, youth unemployment and wage gaps

October 2026 Prelims · Mains

The same World Bank brief reports a large rise in employment, a rise in youth unemployment and sharp wage disparities.

Employment rose by about **134 million** people between **2017** and **2023**, nearly twice the growth of the working-age population. Much of the gain came from rural women entering paid work and raising the number of earners per household.

Youth unemployment rose from **14.6%** to **15.9%** between the two quarters Q1 FY2026 and Q1 FY2027, particularly among rural young women.

Real earnings remained broadly unchanged; employment growth was concentrated in relatively low-productivity activities.

Wage disparities remain pronounced: in **2023**, median earnings among the top **10%** of workers were about 13 times those of the bottom **10%**.

PRELIMS FODDER

Employment grew nearly twice as fast as the working-age population (**2017-2023**): about **134 million** more people employed.

Youth unemployment: **14.6%** to **15.9%** between Q1 FY2026 and Q1 FY2027.

MAINS FODDER

Jobs are growing but earnings are flat and the jobs are in low-productivity activities.

Rural women entering paid work: the main source of the employment gain, yet rural young women face rising unemployment.

Top-decile to bottom-decile earnings ratio of about 13 as a measure of inequality.

Keywords Employment growth · Rural women · Earners per household · Low-productivity jobs · Youth unemployment · Wage disparity · 13 times

TIMELINE AND NUMBERS

When	What
1926	Trade Unions Act

MY NOTES

When	What
1936	Payment of Wages Act
1947	Industrial Disputes Act
1948	Minimum Wages Act, Factories Act and the Committee on Fair Wages
1952	Employees' Provident Funds and Miscellaneous Provisions Act
1961	Maternity Benefit Act (26 weeks today)
1970	Contract Labour (Regulation and Abolition) Act
2004-09	Employment elasticity falls to about 0.01: the "jobless growth" period ★
2012	Last year of the CDS approach in the EUS
2017	PLFS starts as an annual survey ★
2017-18	UR 6.0%, LFPR 49.8%, WPR 46.8%, female LFPR 23.3% ★
2019	Code on Wages (floor wage, universal minimum wage)
2020	Codes on Social Security, OSH and Industrial Relations
2021	e-Shram portal launched
2023-24	UR 3.2%, LFPR 60.1% (first time above 60%), WPR 58.2%, female LFPR 41.7% ★
2024-25	Employment Linked Incentive scheme announced in the Budget

CONNECTS TO OTHER CHAPTERS

Where	Why
Chapter 1: Poverty	The 2018 PYQ ties poverty and unemployment to development. The poor are "too poor to be unemployed", so UR is not a poverty measure.
Chapter 2: Inequality	The handout asks the reader to see the skills and jobs schemes through "our discussion on inclusive growth": capability (skills) and opportunity (jobs).
National Income Accounting handout	The handout says the System of National Accounts, which draws the production boundary used to decide what counts as employment, is covered there.
Inflation handout	NAIRU comes from the Phillips Curve, which the handout says is studied in the inflation chapter.
Money, Banking and Budget handouts	The Budget announced the ELI scheme (2024-25); the handout points to PLI and the schemes in the same breath as manufacturing growth.

MAINS ANSWER SKELETONS

"INDIA'S UNEMPLOYMENT RATE IS FALLING, YET THE FALL IS NOT ENTIRELY DESIRABLE." EXAMINE.

Intro: The PLFS shows UR down from 6.0% to 3.2% with LFPR up from 49.8% to 60.1%, but the composition of the fall matters.

MY NOTES

• Numbers: UR 6.0 to 3.2, LFPR 49.8 to 60.1, WPR 46.8 to 58.2 (2017-18 to 2023-24).

• Almost the whole fall came from agricultural jobs and self-employment.

• Agriculture: 46% of workers, 18% of GDP, ₹0.39 per worker; disguised UE and underemployment.

• Self-employment: more productive but vulnerable, much of it distress employment.

• Context: Covid pushed workers into agriculture; the last two surveys show agriculture declining again.

• LFPR is still below Vietnam, China, South Korea and others.

Close: A low unemployment rate is a good number only if the jobs behind it are productive.

IS INDIAN GROWTH "JOBLESS"? DISCUSS WITH REFERENCE TO EMPLOYMENT ELASTICITY.

Intro: Elasticity is employment growth divided by output growth, and in India it has fallen.

• ε fell to about 0.01 in 2004-09: almost all growth credited to productivity.

• But UR has not risen, because employment growth still exceeds labour-force growth.

• Three phases: sluggish (LF 1.8% vs jobs 1.5-1.6%), lost and found, surge (LF 4.5% vs jobs 5.0%).

• Falling elasticity is not always bad: skilled workers produce more.

• Productivity versus employment is a false choice: we need adequate and decent jobs.

Close: "Jobless" is too harsh a word; "not enough good jobs" is the right one.

WHY DOES UNEMPLOYMENT PERSIST AMONG EDUCATED YOUTH IN INDIA? SUGGEST MEASURES.

Intro: The handout's answer is a mismatch between skills and aspirations, not a lack of growth.

• Voluntary UE: the available job fails the aspiration. Structural UE: the aspired job needs skills the degree did not give.

• Youth-education paradox: only the non-poor can afford the luxury of unemployment.

• Evidence: employability about 50-55% (ISR); graduate UR about 13%; age 20-24 graduates 37%.

• Hidden unemployment as the buffer runs out.

• Measures: PMKVY with RPL, better wages in lower-skilled jobs, ELI, vocational preference.

Close: The cure for unemployment is skills, not breaking the machines.

MY NOTES

DISTINGUISH BETWEEN ORGANISED AND UNORGANISED SECTOR AND BETWEEN FORMAL AND INFORMAL EMPLOYMENT. HOW HAVE THE LABOUR CODES ADDRESSED THE PROBLEM?

Intro: One classifies the enterprise, the other classifies the worker.

- Organised versus unorganised: registered, 10+/20+ workers versus unincorporated, under ten workers (NCEUS).
- Formal versus informal: written contract and social security versus none.
- Four boxes, including the informal worker in the organised sector (the contractual trap).
- Root cause: the compliance burden of 40+ central and 100+ state laws; firms hire indirectly.
- Codes: 29 laws into four; Code on Social Security covers gig and unorganised workers; FTE gives parity and gratuity after 1 year.

Close: Formalisation will work when complying becomes cheaper than avoiding.

EXPLAIN THE DIFFERENT TYPES OF UNEMPLOYMENT WITH INDIAN EXAMPLES. WHY IS DISGUISED UNEMPLOYMENT A HALLMARK OF INDIAN AGRICULTURE?

Intro: Unemployment is not one thing: each type has a different cause and a different cure.

- Structural, seasonal, frictional, voluntary, wage-rate, cyclical, with one example each.
- Underemployment: employed but under-used, invisible versus visible.
- Disguised: MPL zero; the 5 brothers on a 2-acre farm producing 100 quintals.
- Agriculture holds 46% of workers for 18% of GDP.
- Shift workers to higher-productivity sectors through skills and manufacturing (PLI, ELI).

Close: Match the cure to the type: skills for structural, demand for cyclical, jobs outside the farm for disguised.

PAST-YEAR QUESTIONS · 12 PRELIMS AND 8 MAINS QUESTIONS FROM THE SAARTHI SUBJECT-WISE SHEETS

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question

1 · WHO IS UNEMPLOYED? THE DEMOGRAPHIC DIVISIONS 2 Prelims · 0 Mains

Prelims 2013

To obtain the full benefits of demographic dividend, what should India do?

(a) Promoting skill development
(b) Introducing more social security schemes
(c) Reducing infant mortality rate
(d) Privatisation of higher education

Answer: **(a)** Promoting skill development

MY NOTES

Prelims 2011

India is regarded as a country with a "Demographic Dividend". This is due to

(a) Its high population in the age group below 15 years.
(b) Its high population in the age group of 15-64 years.
(c) Its high population in the age group above 65 years.
(d) Its high total population

Answer: **(b)** Its high population in the age group of 15-64 years.

2 · WHAT COUNTS AS EMPLOYMENT 0 Prelims · 1 Mains

Mains 2023 15 marks Care economy

Distinguish between 'care economy' and 'monetised economy'. How can care economy be brought into monetised economy through women empowerment?

KEYWORDS unpaid work | care economy | monetised economy | women empowerment

3 · MEASURING UNEMPLOYMENT: PLFS, US AND CWS 0 Prelims · 1 Mains

Mains 2023 15 marks Unemployment and its methodology

Most of the unemployment in India is structural in nature. Examine the methodology adopted to compute unemployment in the country and suggest improvements.

KEYWORDS structural unemployment | PLFS | usual status | weekly status | unemployment | methodology | improvements

4 · TYPES OF UNEMPLOYMENT 1 Prelims · 0 Mains

Prelims 2013

Disguised unemployment generally means:

(a) large number of people remain unemployed
(b) alternative employment is not available
(c) marginal productivity of labour is zero
(d) productivity of workers is low

Answer: **(c)** marginal productivity of labour is zero

8 · WHY IS THERE UNEMPLOYMENT IN INDIA? LOW GROWTH, JOBLESS GROWTH, OR SKILLS? 0 Prelims · 3 Mains

Mains 2022 15 marks Labour Productivity vs Employment

"Economic growth in the recent past has been led by increase in labour productivity." Explain this statement. Suggest the growth pattern that will lead to creation of more jobs without compromising labour productivity.

KEYWORDS employment | jobs | informal | labour productivity | growth pattern

Mains 2015 12.5 marks Jobless Growth

The nature of economic growth in India in described as jobless growth. Do you agree with this view? Give arguments in favour of your answer.

KEYWORDS jobless growth | employment | growth | informal | formal | arguments

MY NOTES

Mains 2014 12.5 marks Demographic Dividend & Employability

While we found India's demographic dividend, we ignore the dropping rates of employability. What are we missing while doing so? Where will the jobs that India desperately needs come from? Explain.

KEYWORDS demographic dividend | employability | jobs | dropping rates

9 · NATURE OF EMPLOYMENT: LABOUR LAWS, FORMAL AND INFORMAL WORK 6 Prelims · 2 Mains

Prelims 2024

With reference to the Pradhan Mantri Shram Yogi Maan-dhan (PM-SYM) Yojana, consider the following statements:

1. The entry age group for enrolment in the scheme is 21 to 40 years.
2. Age specific contribution shall be made by the beneficiary.
3. Each subscriber under the scheme shall receive a minimum pension of 3,000 per month after attaining the age of 60 years.
4. Family pension is applicable to the spouse and unmarried daughters.

Which of the statements given above is/are correct?

(a) 1,3 and 4
(b) 2 and 3 only
(c) 2 only
(d) 1,2 and 4

Answer: **(b)** 2 and 3 only

Prelims 2022

In India, which one of the following compiles information on industrial disputes, closures, retrenchments and lay-offs in factories employing workers?

(a) Central Statistics Office
(b) Department for Promotion of Industry and Internal Trade
(c) Labour Bureau
(d) National Technical Manpower Information System

Answer: **(c)** Labour Bureau

Prelims 2021

With reference to casual workers employed in India, consider the following statements:

1. All casual workers are entitled for Employees Provident Fund coverage.
2. All casual workers are entitled for regular working hours and overtime payment.
3. The government can by a notification specify that an establishment or industry shall pay wages only through its bank account.

Which of the above statements are correct?

(a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(d)** 1, 2 and 3

MY NOTES

Prelims 2019

Which of the following statements is/are correct regarding the Maternity Benefit (Amendment) Act, 2017?

1. Pregnant women are entitled for three months pre-delivery and three months post-delivery paid leave
2. Enterprises with creches must allow the mother minimum six creche visits daily
3. Women with two children get reduced entitlements.

Select the correct answer using the code given below

(a) 1 and 2 only
(b) 2 only
(c) 3 only
(d) 1,2 and 3

Answer: **(c)** 3 only

Prelims 2019

As per the Industrial Employment (Standing Orders) Central (Amendment) Rules, 2018:

1. If rules for fixed-term employment are implemented, it becomes easier for the firms/companies to lay off workers
2. No notice of termination of employment shall be necessary in the case of temporary workman Which of the following statements given above is/ are correct

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(c)** Both 1 and 2

Prelims 2012

Consider the following:

1. Hotels and restaurants
2. Motor transport undertakings
3. Newspaper establishments
4. Private medical institutions The employees of which of the above can have the 'Social Security' coverage under Employees' State Insurance Scheme?

(a) 1, 2 and 3 only
(b) 4 only
(c) 1, 3 and 4 only
(d) 1, 2, 3 and 4

Answer: **(d)** 1, 2, 3 and 4

Mains 2024 15 marks Labour Codes

Discuss the merits and demerits of the four 'Labour Codes' in the context of labour market reforms in India. What has been the progress so far in this regard?

KEYWORDS: labour codes | formal | informal | merits | demerits | progress | labour market reforms

MY NOTES

Mains 2016 12.5 marks Informalization

How globalization has led to the reduction of employment in the formal sector of the Indian economy? Is increased informalization detrimental to the development of the country?

KEYWORDS: formal sector employment | globalization | informalization | detrimental

10 · SCHEMES: THE PROBLEM EACH ONE FIXES 3 Prelims · 1 Mains

Prelims 2018

With reference to Pradhan Mantri Kaushal Vikas Yojana, consider the following statements

1. It is the flagship scheme of the Ministry of Labour and Employment.
2. It, among other things, will also impart training in soft skills, entrepreneurship, financial and digital literacy.
3. It aims to align the competencies of the unregulated workforce of the country to the National Skill Qualification Framework.

Which of the statements given above is/are correct ?

(a) 1 and 3 only
(b) 2 only
(c) 2 and 3 only
(d) 1, 2 and 3

Answer: **(c)** 2 and 3 only

Prelims 2017

Consider the following in respect of 'National Career Service':

1. National Career Service is an initiative of the Department of Personnel and Training, Government of India.
2. National Career Service has been launched in a Mission Mode to improve the employment opportunities to uneducated youth of the country.

Which of the above statements is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(d)** Neither 1 nor 2

Prelims 2011

Among the following who are eligible to benefit from the "Mahatma Gandhi National Rural Employment Guarantee Act"?

(a) Adult members of only the scheduled caste and scheduled tribe households
(b) Adult members of below poverty line (BPL) households
(c) Adult members of households of all backward communities
(d) Adult members of any household

Answer: **(d)** Adult members of any household

Mains 2015 12.5 marks Make in India and Skill India

"Success of 'Make in India' programme depends on the success of 'Skill India' programme and radical labour reforms." Discuss with logical arguments.

KEYWORDS: Skill India | Make in India | labour reforms | logical arguments

MY NOTES

END OF CHAPTER · RECALL AND DRILL

RECALL SHEET: COVER THE RIGHT COLUMN AND ANSWER

Standard definition of unemployment?	Someone able as well as willing to work is unable to find work.
Labour force?	People working or looking for work (able and willing).
WPR?	Employed persons ÷ total population, per 1000.
Working age for LFPR and UR in India?	15 years and above (PLFS). For demographics and DR: 15-64.
What is Code 95?	NSSO activity code for those not able to work owing to disability. Age is not used.
Principal status test?	In LF if working or seeking for ≥ 183 days; employed if work for the majority of LF days.
Which approach gives the headline UR?	UPSS: PS+SS.
Which UR is higher, US or CWS?	CWS generally higher.
Structural unemployment?	Skills or location mismatch between workers and jobs.
Voluntary unemployment?	In the LF, offered a job, refuses it.
Disguised unemployment?	Extra workers whose marginal product is zero; recorded as employed.
Order of the four wages?	Floor ≤ minimum ≤ fair ≤ living.
NRU formula?	Frictional + structural + seasonal + voluntary UE.
PLFS 2023-24: UR, LFPR, WPR?	3.2%, 60.1%, 58.2%.

Prelims trap · Which working age: 15-64 or 15+

The handout gives 15-64 for demographics and the dependency ratio, but 15 and above for PLFS metrics (LFPR, UR, WPR). *Rule: DR uses 15-64; LFPR, UR and WPR as reported by PLFS use 15+.*

Concept trap · Underemployment is employment

The word is employment, not unemployment. An underemployed or disguised worker is still recorded as employed. *Rule: underemployment and disguised unemployment both sit inside 'employed' in the statistics.*

Prelims trap · US versus CWS: which rate is higher

The US approach looks at a year and smooths seasonal bumps. CWS uses a short recall and captures seasonality and short-term swings. *Rule: CWS is generally higher; the headline rate is UPSS (PS+SS). Order: LF test (183 days), then PS, then SS.*

MY NOTES

Concept trap · Organised is not the same as formal

Organised vs unorganised looks at the enterprise. Formal vs informal looks at the worker's contract and social security. A contract guard at a big IT park is an informal worker in an organised enterprise. *Rule: ask 'about the firm or about the worker?' before choosing the box.*

Prelims trap · Gratuity: 5 years or 1 year

A permanent employee needs 5 years of continuous service. A fixed-term employee becomes eligible after 1 year under the Code on Social Security, 2020. *Rule: permanent 5 years, fixed-term 1 year.*

Handout alert · The 'surge' needs its caveat

The handout says the surge appears as data are collected better, and the fall in UR came mostly from agriculture and self-employment. *Rule: quote the surge together with its quality caveat.*

QUICK QUIZ

Q1. In India, which one of the following compiles information on industrial disputes, closures, retrenchments and layoffs in factories employing workers? (2022)

1. Central Statistics Office
2. Department for Promotion of Industry and Internal Trade
3. Labour Bureau
4. National Technical Manpower Information System

Q2. With reference to casual workers employed in India, consider: 1. All casual workers are entitled for Employees Provident Fund coverage. 2. All casual workers are entitled for regular working hours and overtime payment. 3. The government can by a notification specify that an establishment or industry shall pay wages only through its bank account. Which are correct? (2021)

1. 1 and 2 only
2. 2 and 3 only
3. 1 and 3 only
4. 1, 2 and 3

Q3. With reference to the Indian economy after the 1991 liberalisation, consider: 1. Worker productivity (Rs per worker at 2004-05 prices) increased in urban areas while it decreased in rural areas. 2. The percentage share of rural areas in the workforce steadily increased. 3. In rural areas, the growth in non-farm economy increased. 4. The growth rate in rural employment decreased. Which are correct? (2020)

1. 1 and 2 only
2. 3 and 4 only
3. 3 only
4. 1, 2 and 4 only

Q4. Increase in absolute and per capita real GNP do not connote a higher level of economic development, if (2018)

1. industrial output fails to keep pace with agricultural output
2. agricultural output fails to keep pace with industrial output
3. poverty and unemployment increase
4. imports grow faster than exports

MY NOTES

Q5. With reference to Pradhan Mantri Kaushal Vikas Yojana, consider: 1. It is the flagship scheme of the Ministry of Labour and Employment. 2. It will also impart training in soft skills, entrepreneurship, financial and digital literacy. 3. It aims to align the competencies of the unregulated workforce to the National Skill Qualification Framework. (2018)

1. 1 and 3 only
2. 2 only
3. 2 and 3 only
4. 1, 2 and 3

Q6. Consider the following in respect of 'National Career Services': 1. It is an initiative of the Department of Personnel and Training. 2. It has been launched in Mission Mode to improve employment opportunities to uneducated youth. (2017)

1. 1 only
2. 2 only
3. Both 1 and 2
4. Neither 1 nor 2

Q7. Disguised unemployment generally means (2013)

1. large number of people remain unemployed
2. alternative employment is not available
3. marginal productivity of labour is zero
4. productivity of workers is low

Q8. Economic growth in country X will necessarily have to occur if (2013)

1. there is a technical progress in the world economy
2. there is population growth in X
3. there is capital formation in X
4. the volume of trade grows in the world economy

Answers: Q1 c, Q2 b, Q3 b, Q4 c, Q5 c, Q6 d, Q7 c, Q8 c

MY NOTES

PART 2

Concepts and national income

Basic concepts and how national income is counted

CHAPTER 4 · HANDOUT PP. 1-20

04 Basic Concepts of Economics: PPF, Goods and Capital

MEDIUM PRIORITY Mains PYQs quoted: **2017, 2020**

Prelims PYQs: **2013, 2018, 2021, 2022, 2023, 2024**

EXAM LENS

Prelims hooks

- PPF is normative and dynamic
- MC versus OC
- elasticity-based and income-based classes of goods
- cross-price sign for substitutes and complements
- merit versus demerit (externalities)
- Giffen versus Veblen
- excludability and rivalry grid
- intermediate versus final
- capital versus working capital
- GFCF, change in inventory and valuables
- net investment
- depreciation, CFC, CCA

Mains hooks

- why decentralised and command systems both fail in some way (inequality, information problem, rent-seeking)
- why governments provide public goods
- opportunity cost in public spending

economics does not say what to choose; it shows what you give up by choosing.

IN SIMPLE WORDS

- The economic problem is **limited resources and unlimited wants**. The economist **advises**
- The decision-maker chooses. The **PPF** is the maximum sustainable output given the **budget constraints** and the **technology**
- **Marginal cost** is the cost of one more unit. **Opportunity cost** is the next best alternative given up (the stadium versus the hospital).
- A free market uses **prices and the invisible hand** but produces inequality. A command system has the **information problem** and **rent-seeking**.
- Goods are classified by demand (**necessary, luxury, normal, inferior, substitute, complement, merit, demerit**), with

MY NOTES

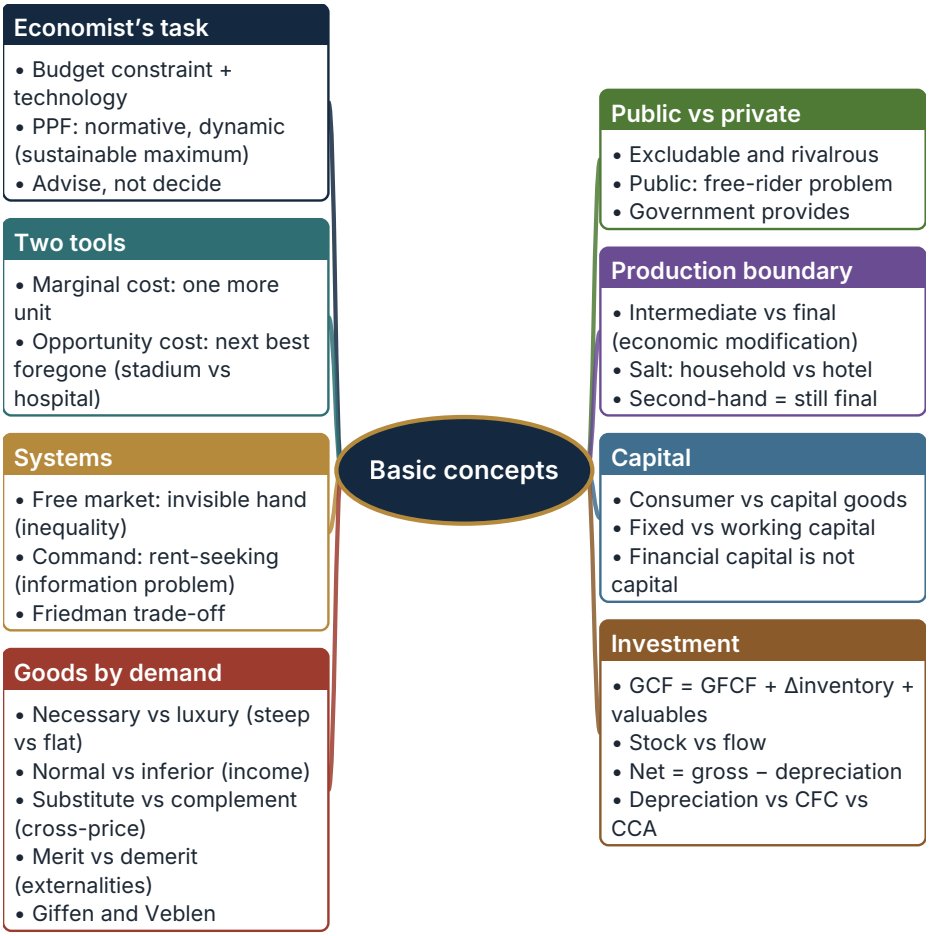
Giffen and **Veblen** as exceptions. **Public goods** are non-excludable and non-rival, so the government provides them.

- **Final or intermediate** depends on end-use (economic modification). **Investment** is spending on capital goods (a flow): **GCF = GFCF + change in inventory + valuables**.
- Net investment = gross investment minus depreciation. **Depreciation** uses historical cost, **CFC** uses replacement cost, and **CCA** is a tax rule.

Key term	In plain words
PPF	The maximum sustainable output possible for given resources and technology; normative and dynamic.
Marginal cost (MC)	The actual cost of producing one more unit.
Opportunity cost (OC)	The benefit foregone: the value of the next best alternative given up.
Invisible hand	Self-interest in a free market leads to collective well-being.
Rent-seeking	Being connected to the planner instead of serving consumers.
Normal and inferior goods	Normal: demand rises with income. Inferior: demand falls as income rises.
Substitute and complement	Substitute: positive cross-price effect. Complement: negative.
Merit and demerit goods	Merit: positive externality, under-consumed. Demerit: negative externality, over-consumed.
Giffen good	An inferior good with a huge share of a poor person's income and no substitute; price up, demand up.
Veblen good	An ultra-luxury status good; demand falls if the price falls.
Excludable and rivalrous	Can non-payers be stopped, and does my use reduce yours? Private goods are both.
Free-rider problem	Everyone expects someone else to pay, so a public good is not supplied by the market.
Intermediate and final goods	Intermediate: economic identity lost, used for resale. Final: identity retained.
Fixed and working capital	Fixed: used over more than one year. Working: used up within a production cycle.
Gross Capital Formation	GFCF + change in inventories + acquisitions less disposals of valuables.
CFC and CCA	CFC: depreciation at replacement cost (NDP, NNP). CCA: statutory tax allowance.

MY NOTES

CHAPTER MAP



REMEMBER IT AS Economics shows what you give up by choosing. Know the goods by their behaviour, judge final or intermediate by end-use, and keep depreciation, CFC and CCA apart.

EXAM LENS: WHAT THE HANDOUT STRESSES

SOURCE NOTE

Handout only. No class slides and no teacher ink. The handout ends with **one** Prelims PYQ (2021). **Mains PYQs: none quoted in the material.** The chapter is the foundation for National Income Accounting (the handout ends with "Now we are ready to formally begin: National Income Accounting").

MY NOTES

Prelims PYQ quoted in the handout

Year	What was asked	Answer in handout	Where covered
2021	Other things unchanged, market demand for a good might increase if: 1) price of its substitute increases 2) price of its complement increases 3) it is an inferior good and income rises 4) its price falls	(a) 1 and 4 only	Section 4: substitutes (positive cross-price effect), complements (negative), inferior goods (demand falls as income rises), law of demand

What the handout stresses

Signal in the handout	Where	Why it matters
Production boundary: a good is final or intermediate by **economic modification,** not by its physical form. Salt for a household is final; salt for a hotel is intermediate	Section 6	A classic Prelims trap; the base of GDP counting
"Investment" in economics is **spending on capital goods** (a flow), not buying shares or gold. Capital is a stock	Section 8	Asterisked statement; flow versus stock
Depreciation (historical cost) versus CFC (current replacement cost) versus CCA (tax rule)	Section 9	Three similar terms with three different owners
Giffen goods are inferior goods under special circumstances; Veblen goods are ultra-luxury	Section 4	Both break the law of demand
Public goods: non-excludable and non-rival, so free-rider problem and market failure	Section 5	Marked with a star in the handout

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Medium. 8 Prelims and 2 Mains questions map to this chapter.

Most-asked topics: Investment and gross capital formation (5 Prelims, 2 Mains); Consumer goods versus capital goods; fixed versus working capital (1 Prelims, 0 Mains); Types of goods: applying demand and supply (1 Prelims, 0 Mains).

Prelims years: 2013, 2018, 2021, 2022, 2023, 2024. Mains years: 2017, 2020.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

MY NOTES

START HERE: 60 SECONDS, KEY WORDS, NCERT MAP

THE WHOLE CHAPTER IN 60 SECONDS

- **Problem**: limited resources, unlimited wants: someone must choose
- **PPF**: the best output you can sustain for each mix; a target, not a fact
- **Two costs**: MC = what you spend; OC = what you give up
- **Two systems**: free market (prices, invisible hand) vs command (planner, rent-seeking)
- **Goods**: private or public; final or intermediate; consumer or capital
- **Capital**: investment is a flow that adds to the capital stock: Net I = Gross I − Depreciation

Word	Meaning
Budget constraint	the resource that actually limits output (for a farmer it may be water, not seeds)
Technology	the current way of using resources: stone tools, iron tools, tractors
Opportunity cost	the next best thing you give up when you choose
Final good	a good whose economic identity is kept: nobody makes a new product for sale out of it
Intermediate good	a good used as an input; it is merged into a new good that is sold
Capital good	a machine or tool that helps production and lasts many cycles
Stock and flow	a stock is how much you have now; a flow is how much moves in a period
Depreciation	the loss in value of capital goods from wear and tear (not a real payment)

📘 READ NCERT FIRST: WHERE EACH NCERT PART FITS THIS CHAPTER

NCERT part	Handout section	What it adds
XII Micro Ch 1 §1.1-1.2 and PPF box	1	Scarcity, three central problems, production possibility set, corn-cotton table and figure
XII Micro Ch 1 §1.4	1, 3	Positive versus normative analysis (and why the handout's "normative PPF" is a different use)

MY NOTES

NCERT part	Handout section	What it adds
XII Micro Ch 3 §3.7	2	SMC definition, Table 3.3, U-shaped marginal cost
XII Micro Ch 1 §1.3; XI Ch 2 Box 2.1; XII Macro Ch 1 §1.2	3	Centrally planned, market and mixed economy; purchasing power; features of capitalism; Adam Smith
XII Micro Ch 2 §2.4, §2.6	4	Law of demand, substitution and income effect, normal-inferior, substitute-complement, Giffen, elasticity of necessities and luxuries
XII Macro Ch 5 §5.1.1	5	Rival and excludable tests with examples; free riders; public provision versus public production
XII Macro Ch 2 §2.1 (final goods)	6	Cotton-to-clothing chain, tea leaves, intermediate goods, money as measuring rod, double counting
XII Macro Ch 2 §2.1; Ch 4 §4.1.2; XI Ch 4 Box 4.1	7	Consumer durables, capital definition, consumer-capital trade-off over time, physical versus human capital
XII Macro Ch 2 §2.1 (stocks, flows, inventories); Appendix 2.2	8	Tank and tap, investment meaning, inventories and shirt examples, investment parts with data
XII Macro Ch 2 §2.1 depreciation	9	Annual allowance, one twentieth example, footnotes on calamities and constant rate

1 · THE ECONOMIST'S TASK: BUDGET, TECHNOLOGY AND THE PPF

🧠 **UNDERSTAND IT FIRST**

Picture a farmer with a fixed amount of water and a fixed tool kit. The economist cannot give him more water or fewer wishes. The economist only asks which things really limit him and which tools he has, and then lists the best he can sustain for every mix of crops. That list of best mixes is the PPF. Points on it are the target; points below waste something, and points beyond cannot be kept up.

MY NOTES

✏ EXAMPLE

The handout's own table: 8 hours of daylight. 10 deer and 0 berries at one end, 0 deer and 700 berries at the other. Each 2 fewer deer buys 200, then 180, 150, 100 and 70 more berries: each sacrifice buys less than the one before.

📐 Formulas of this section

PPF TRADE-OFF

each 2 fewer deer buys 200, 180, 150, 100, 70 more berries

handout table: every sacrifice buys less than the one before

The economic problem is **limited resources and unlimited wants.** The economist cannot create more resources or reduce desires, and is not the decision-maker. The **decision-maker** (a person, family, firm, community or government) chooses; the economist's main task is to **advise** whether the current use of resources is optimal. He first assesses two things:

- **(a) Budget constraints:** the resources that actually **limit** output. All resources are limited, but only some are limiting (for a farmer it may be water or fertiliser, not seeds).
- **(b) The prevailing technology:** the current manner of using resources (stone tools, iron tools, tractors and harvesters).

Given these, the decision-maker has many options (chairs or tables, tobacco or mango or wheat). The economist estimates the **maximum sustainable output** for each possibility. That is the **Production Possibilities Frontier (PPF).**

The handout's hunter-gatherer PPF (8 hours of daylight)

Scenario	Deer hunted	Berries gathered
A	10	0
B	8	200
C	6	380
D	4	530
E	2	630
F	0	700

Reading the table (simple arithmetic on the handout's figures): every 2 fewer deer buys 200, 180, 150, 100 and then 70 more berries. Each sacrifice buys less than the one before.

- The **PPF is a normative concept:**
  - Every economist has an assessment. Actual output is a **fact**
  - the PPF is a "sustainable-potential" benchmark

MY NOTES

- **Below the PPF:** possible but not desirable. **Beyond the PPF:** desirable but not sustainably possible (working 15 hours a day).
- It is **not cast in stone:** better technology pushes it out. Today there are "less deer but more bullets": time is no longer the constraint, the number of deer is.
- The economist's key role: help society reach the PPF, an output both **desirable and sustainably possible.**

📘 FROM NCERT · XII MICROECONOMICS CH 1 §1.1-1.2 AND "PRODUCTION POSSIBILITY FRONTIER" BOX

In plain words: The handout builds the PPF with a hunter-gatherer table. NCERT builds the same idea from scarcity and the three central problems of every economy, and then shows it with corn and cotton and its own figure. Read it in four small steps: scarcity, the three problems, the PPF, the cost of one more unit.

Link to the handout: Handout "budget constraint" = NCERT "scarce resources". Handout "technology" = NCERT "a given stock of technological knowledge". Handout PPF = NCERT production possibility frontier.

Step 1 · Scarcity forces choice

- Every individual (a person, household, firm or any organisation) has limited resources compared with her needs. A family can have a bigger house only by giving up a few more acres of arable land; more and better education for the children means giving up some luxuries.
- Society is in the same position: its resources are scarce compared with what people collectively want. Scarce resources have **competing usages**, so every society must decide how to use them.
- **Allocation** of resources = how much of which resource goes to the production of each good or service.

Step 2 · The three central problems (NCERT's list)

- NCERT's summary: the **allocation** of scarce resources and the **distribution** of the final goods and services are the central problems of any economy.

MY NOTES

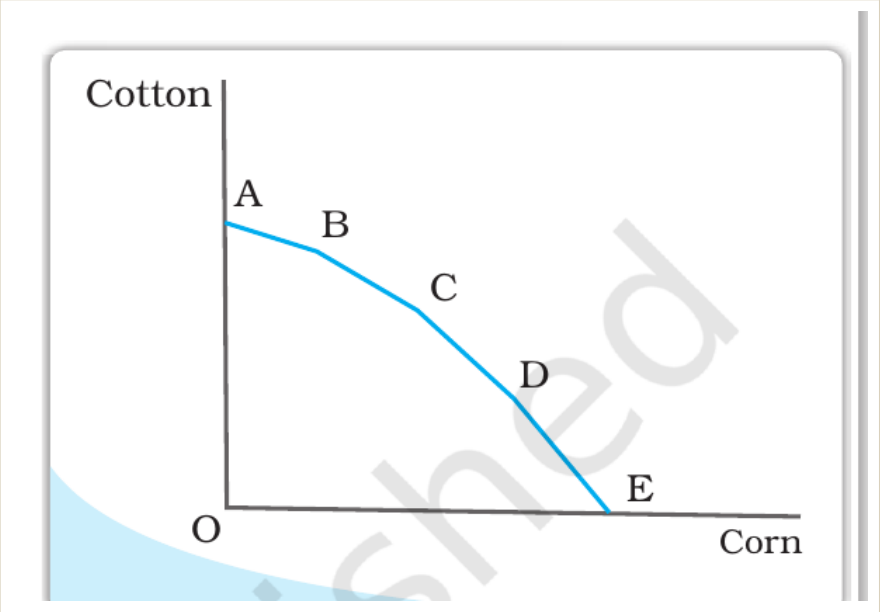
Problem	What NCERT asks	Handout link
What is produced, in what quantities?	Food, clothing, housing or luxury goods; agricultural or industrial; education and health or military services; consumption goods or investment goods (like machines) that boost production tomorrow	Section 1 (choose the product mix) and section 7
How are goods produced?	More labour or more machines; which available technology to adopt	Section 1 (technology); section 3
For whom are goods produced?	Who gets how much; whether to ensure a minimum consumption for everyone; whether elementary education and basic health should be free for all	Section 3 (inequality)

Step 3 · From a set of possibilities to the frontier

- The collection of all possible combinations of goods and services that can be produced from a given amount of resources and a given stock of technological knowledge is the **production possibility set**.
- The **production possibility frontier (PPF)** gives the combinations that can be produced when resources are **fully utilised**. A point strictly below it means all or some resources are underemployed or used in a wasteful way.
- One of the central problems is to choose one of the many possibilities.

NCERT Table 1.1	Corn (units)	Cotton (units)
A	0	10
B	1	9
C	2	7
D	3	4
E	4	0

MY NOTES



NCERT's own figure of the corn-cotton PPF. Cotton on the vertical axis, corn on the horizontal; points A to E lie on the frontier. How to read: moving from A towards E gives more corn and less cotton; a point inside the curve wastes resources.

Step 4 · The cost of one more unit, read off the table

- NCERT: if more resources go to corn, fewer remain for cotton, so there is always a cost of a little more of one good in terms of the other good forgone: the **opportunity cost** of an additional unit. It applies to the individual as well as society, and NCERT says it is sometimes called the **economic cost**.
- Reading the table (arithmetic on NCERT's figures): each extra corn costs more cotton than the one before. This is the same pattern as the handout's deer and berries, where each sacrifice buys less.

Move	Corn gained	Cotton given up	So 1 more corn costs
A to B	1	1	1 cotton (worked out here)
B to C	1	2	2 cotton (worked out here)
C to D	1	3	3 cotton (worked out here)
D to E	1	4	4 cotton (worked out here)

NCERT differs: NCERT's PPF is a simple "fully utilised resources" frontier. The handout adds that it is a normative, sustainable-potential benchmark and that better technology

MY NOTES

pushes it out. Use the handout's words in an answer. *(handout/teacher wins in class)*

📘 FROM NCERT · XII MICROECONOMICS CH 1 §1.4 POSITIVE AND NORMATIVE ECONOMICS

In plain words: The handout calls the PPF a "normative concept". NCERT uses the word for something wider: it is how economists study the ways of solving the central problems. Read this box once so the two uses do not confuse you.

Link to the handout: Handout section 1 (PPF is normative) and section 3 (comparing systems).

The two kinds of analysis

- Different mechanisms (the market, a central authority) give different allocations and distributions, so we need to evaluate them.
- NCERT says the distinction "is not a very sharp one": positive and normative issues are closely related, and one cannot be understood in isolation from the other.

Positive economic analysis	Normative economic analysis
Studies **how** different mechanisms function	Tries to understand whether those mechanisms are **desirable**

NCERT differs: NCERT's "normative" = evaluating whether a mechanism is desirable. The handout's "PPF is normative" = each economist's assessment of the sustainable maximum. Same word, two uses; the handout's use is the one tested with the PPF. *(handout/teacher wins in class)*

⭐ REMEMBER

PPF = the best you can SUSTAIN for each mix. Below: wasteful. Beyond: impossible. Better technology pushes it out.

MY NOTES

2 · THE TWO TOOLS: MARGINAL COST AND OPPORTUNITY COST

🧠 **UNDERSTAND IT FIRST**

Two different bills. Marginal cost is the bill you actually pay for one more unit: cement, steel, labour. Opportunity cost is the bill you never see: the hospital or school the same cement and steel could have built. The first stops you from over-reaching, because the best resources go first and each extra unit gets dearer. The second makes you look past the visible result to what was sacrificed.

✏ **EXAMPLE**

The handout's stadium: MC = the cement, steel and labour bought. OC = the rural hospital or school the same resources could have built. Economics "has no morals": it only shows the trade-off.

📐 Formulas of this section

OPPORTUNITY COST

OC = value of the next best alternative given up

conceptual, not necessarily financial

MARGINAL COST

MC = cost of one more unit at the current output

a high MC is justified only if the marginal benefit is equally high

Marginal cost versus opportunity cost

	Marginal cost (MC)	Opportunity cost (OC)
Meaning	The actual, tangible cost of producing **one more unit** at the current level of output	The **benefit foregone** when a choice is made: the value of the **next best alternative** given up
Nature	Resources actually spent	A **conceptual** cost, not necessarily financial
Use	Prevents overreach: the best resources are used first, so more output becomes harder and dearer. A high MC is justified only if the marginal benefit is equally high	Forces the decision-maker to look past visible results to what was sacrificed
Handout example	Stadium: cement, steel and labour bought	Stadium: the rural hospital or school that the same resources could have built

HANDOUT STRESS

The handout calls opportunity cost "arguably the most powerful concept in all of economics" and "the ultimate reality check on human

MY NOTES

intentions." Economics "has no morals": it does not say hospitals are better than stadiums, only that choosing the stadium means choosing **not** to have the hospital.

📘 FROM NCERT · XII MICROECONOMICS CH 3 §3.7 COSTS (SHORT RUN MARGINAL COST)

In plain words: The handout says marginal cost is "the actual cost of producing one more unit" and that it rises. NCERT gives the exact definition, a table with real numbers, and the shape of the curve. Opportunity cost is already covered in the PPF box in section 1.

Link to the handout: Handout MC = NCERT short run marginal cost (SMC). Handout OC = NCERT opportunity cost (section 1 box).

Step 1 · The definition

- In the short run the fixed cost cannot be changed, so whatever change occurs in total cost is entirely the change in total variable cost: SMC is the increase in TVC from producing one extra unit.
- NCERT's example at q = 5: change in TC = 53 − 49 = 4; change in q = 1; SMC = 4 ÷ 1 = 4.

SHORT RUN MARGINAL COST

SMC = change in total cost ÷ change in output = ΔTC ÷ Δq

NCERT eq. 3.11

Step 2 · Read NCERT Table 3.3 (extract)

- Notice: SMC first **falls** (10, 8, 6, 5, 4) and then **rises** (6, 8, 13, 15, 20). NCERT's reason: by the law of variable proportions the marginal product of a factor first rises and then falls, so with factor prices given the SMC curve is "U"-shaped.
- The sum of marginal costs up to an output gives the total variable cost at that output.

Output q	Total cost TC (Rs)	SMC (Rs)
1	30	10
2	38	8
3	44	6
4	49	5
5	53	4
6	59	6
7	67	8

MY NOTES

Output q	Total cost TC (Rs)	SMC (Rs)
8	80	13
9	95	15
10	115	20

NCERT differs: The handout speaks only of the rising part of MC ("best resources are used first"). NCERT shows the whole U: it falls first, then rises. The rising part is the one the handout relies on. (*handout/teacher wins in class*)

⭐ REMEMBER

MC = what you pay. OC = what you give up. Every choice is also a refusal.

3 · SYSTEMS OF RESOURCE ALLOCATION: DECENTRALISED VERSUS CENTRALISED

🧠 UNDERSTAND IT FIRST

Two ways to run a country's resources. In a free market millions of people follow prices, and self-interest ends up serving others (the invisible hand), but people with more capital and luck pull ahead. In a command system an authority decides, hoping to be fair, but no planner can know millions of wants, so being connected starts to matter more than serving customers (rent-seeking). Both end in inequality, of different kinds.

✏ EXAMPLE

The handout quotes Milton Friedman: "A society that puts equality before freedom will get neither. A society that puts freedom before equality will get a high degree of both." It adds that none of the systems is perfect.

Two extremes (seen as systems of information and incentives)

	Decentralised (libertarian, free market)	Centralised (authoritarian, command)
Core mechanism	Individuals have liberty to own, trade and allocate. Millions of consumers and producers use **prices** as signals	An **authority** (king, dictator, politburo, feudal lord, even an elected government with such powers) directs the use of resources. Central planning replaces the market

MY NOTES

	Decentralised (libertarian, free market)	Centralised (authoritarian, command)
Role of the state	**Laissez-faire.** Only the "invisible infrastructure": rule of law, private property, contract enforcement, truthful information, preventing fraud and violence, minimal regulation (car safety standards)	Controls or directs resources; intent is "deeply moral": equitable, socialist distribution and protecting the vulnerable
Incentive	Self-interest (Adam Smith): to profit, a producer must offer what society values. Self-interest gives collective well-being: the **invisible hand.** Market punishes waste and rewards competence	The state cannot meet all demands, so it appoints private entities as **state-created monopolies** (licences, quotas). The incentive shifts from serving consumers to **being connected: rent-seeking** (cronyism)
Critique	People differ in capabilities, capital and luck, so the capitalists come to dominate. Raises absolute wealth but produces **high inequality** from natural advantages	**Information problem:** no planner can know the subjective wants and opportunity costs of millions. Designed to reduce inequality, it creates a **rigid, worse kind** (wealth goes to the politically connected, and even a more competent producer is denied)

MEMORY AID · THE STATE'S INVISIBLE INFRASTRUCTURE IN A FREE MARKET

R I P P L E

A free market runs on trust: a RIPPLE in any of these six spreads through every trade.

- **R** Regulation kept minimal (for example car safety standards)
- **I** Information that is truthful
- **P** Property: private property
- **P** Prevention of fraud and violence
- **L** Law: the rule of law
- **E** Enforcement of contracts

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

THE TRADE-OFF

A state that enforces equality must use authoritarian force to confiscate and redistribute, crushing incentives. The handout quotes Milton Friedman: "A society that puts equality before freedom will get neither. A society that puts freedom before equality will get a high degree of both." And George Bernard Shaw on communism at 20 and capitalism at 30. **None of the systems is perfect.**

MY NOTES

📘 FROM NCERT · XII MICROECONOMICS CH 1 §1.3 ORGANISATION OF ECONOMIC ACTIVITIES

In plain words: The handout describes two extremes as systems of information and incentives. NCERT gives the textbook versions of the same three systems, in plain words, with its country examples. Use this box to put NCERT's labels on the handout's ideas.

Link to the handout: Handout "decentralised" = NCERT market economy. Handout "centralised" = NCERT centrally planned economy. NCERT adds the mixed economy.

The three systems side by side

- NCERT says all real economies are **mixed economies**.
- "Market" in economics is not the marketplace: it is a set of arrangements where economic agents can freely exchange their endowments or products. Buyers and sellers need not meet in a place (village-chowk, super bazaar, telephone, internet).

	Centrally planned economy	Market economy	Mixed economy
Who decides	The government or central authority plans all the important activities: production, exchange and consumption	All activities are organised through the **market**: free interaction of individuals pursuing their own objectives	Some important decisions by the government; activities by and large through the market
What coordinates	Plans of the central authority	**Prices**: if buyers demand more of a good its price rises, which signals producers to produce more	Both
Typical role	May induce or itself produce goods like education and health if produced inadequately; may intervene so that no one's survival is at stake	Solves "how much and what to produce" through price signals	Only the extent of government's role differs

MY NOTES

	Centrally planned economy	Market economy	Mixed economy
NCERT's examples	China for the major part of the twentieth century (the closest example)	USA: government role minimal	India: government played a major role since Independence, reduced considerably in the last couple of decades

NCERT differs: NCERT's market economy is defined by prices and free exchange. The handout adds the state's "invisible infrastructure" (rule of law, property, contracts) and the information-and-incentives angle. Handout wins for the answer; NCERT supplies the vocabulary. *(handout/teacher wins in class)*

📘 FROM NCERT · XI INDIAN ECONOMIC DEVELOPMENT CH 2, BOX 2.1 TYPES OF ECONOMIC SYSTEMS

In plain words: This box answers the same three questions from India's own planning story. It adds the idea of purchasing power: in a market, only demand backed by money counts. That is the handout's "inequality" point in one example.

Link to the handout: Handout section 3 critique of the decentralised system (those with capital dominate) and the centralised system (the state decides).

The three questions every society answers

- What goods and services should be produced? How should they be produced (more human labour or more machines)? How should they be distributed among people?

Capitalism, socialism, mixed economy

System	How the three questions are answered	NCERT's own example
Market economy (also called capitalism)	Only goods in demand are produced; method follows cost (cheaper labour means labour-intensive methods); goods go to those with **purchasing power**, not to those who need them	Low-cost housing for the poor is much needed but does not count as demand because the poor lack purchasing power

MY NOTES

System	How the three questions are answered	NCERT's own example
Socialist society	Government decides what to produce, how, and distribution by need; individual consumers' wishes are not given much importance; strictly no private property	Free health care for all; Cuba and China (most economic activities)
Mixed economy	Market provides what it can produce well; government provides essential goods and services the market fails to	India: Nehru wanted a strong public sector with private property and democracy

NCERT differs: NCERT says "in Cuba and China most economic activities are governed by socialistic principles"; the micro book calls China the closest example of central planning in the twentieth century. Do not quote a country in the exam unless asked. *(handout/teacher wins in class)*

📘 FROM NCERT · XII MACROECONOMICS CH 1 §1.2 AND GLOSSARY; ADAM SMITH BOX

In plain words: The handout's free-market side rests on Adam Smith and on wage labour. NCERT lists the features of a capitalist economy and gives Smith's famous line.

Link to the handout: Handout section 3: self-interest (Adam Smith), invisible hand, capitalists dominate.

Features of a capitalist economy (NCERT)

- (a) private ownership of the means of production; (b) production takes place for selling the output in the market; (c) sale and purchase of labour services at a price called the **wage rate** (wage labour).
- The NCERT Glossary adds a fourth feature of capitalist firms: continuous accumulation of capital.
- NCERT: capitalist countries came into being only during the last three to four hundred years; many developing countries are only partly capitalist (peasant families produce much for their own use).

Adam Smith (1776) in NCERT

- Smith's book is An Enquiry into the Nature and Cause of the Wealth of Nations (1776). The line "It is not from the benevolence of the butcher, the brewer, or the baker that we expect

MY NOTES

our dinner, but from their regard to their own interest" is often cited as advocacy for a free market economy.

NCERT differs: NCERT says capitalist economies are defined by "four criteria" but lists only three in the text; the fourth (accumulation of capital) is in the Glossary. This is a printing slip inside NCERT. (*handout/teacher wins in class*)

⭐ **REMEMBER**

Market: prices + invisible hand, inequality of luck. Command: planner + licences, inequality of connections.

4 · TYPES OF GOODS: APPLYING DEMAND AND SUPPLY

🧠 **UNDERSTAND IT FIRST**

Goods are sorted by how buyers react. Change the price: necessary goods barely move (a steep curve), luxuries swing (a flat curve). Change income: normal goods rise, inferior goods fall. Change another good's price: substitutes move with it, complements move against it. Sort by effect on society: merit goods are under-consumed, demerit goods over-consumed. Veblen and Giffen goods are the odd cases where a higher price brings more demand.

✏ **EXAMPLE**

The handout's own cases: a basic motorcycle is normal in a low-income nation but inferior in a high-income one. Giffen: a worker spends 90% of income on coarse grain and 10% on meat; grain gets dearer, meat becomes unaffordable, so he buys more grain. The 2021 Prelims question is answered (a) 1 and 4 only.

MY NOTES

📐 Formulas of this section

SUBSTITUTES
price of B ↑ ⇒ demand for A ↑
positive cross-price effect (coffee, tea)

COMPLEMENTS
price of B ↑ ⇒ demand for A ↓
negative cross-price effect (cars, petrol)

NORMAL / INFERIOR
income ↑ ⇒ demand ↑ / demand ↓
curve shifts right / left

NECESSARY / LUXURY
steep (inelastic) / flat (elastic)
price elasticity

GIFFEN
inferior good, huge share of income, no cheaper substitute
negative income effect overpowers substitution effect

Goods classified by how demand behaves

Pair	Defining behaviour	Curve	Examples
Necessary vs **Luxury** (price elasticity)	Necessary: high utility, **inelastic**; a big price change barely moves Qd. Luxury: lower utility, **elastic**; demand rises a lot when price falls slightly	Necessary: steep (near vertical). Luxury: flat (near horizontal)	Staples, life-saving drugs, salt vs high-end home décor, premium electronics, vacation packages
Normal vs **Inferior** (income elasticity)	Normal: demand rises with income, curve shifts **right.** Inferior: demand actively **falls** as income rises, curve shifts **left**	Shift right / shift left	Cars instead of bicycles, nutritious food vs coarse grains, public transport, second-hand clothing
Substitute vs **Complementary** (cross-price)	Substitutes: demand for A **rises** when price of B rises (positive cross-price elasticity). Complements: demand for A **falls** when price of B rises (negative cross-price elasticity). In complements one good leads and the other complements it	-	Coffee and tea; cars and petrol, bread and butter, printers and ink cartridges

MY NOTES

Pair	Defining behaviour	Curve	Examples
Merit vs **Demerit** (effect on society)	Merit: positive externalities, **under-consumed** by the free market. Demerit: negative externalities, **over-consumed**	-	Education, healthcare, vaccines, libraries vs alcohol, tobacco, recreational drugs

RELATIVITY OF GOODS

Very few goods are universally normal or inferior. A basic motorcycle is a **normal** good in a low-income nation (richer people buy more bikes) but **inferior** in a high-income one (they buy cars instead). It depends on the society's baseline income.

EXCEPTIONS TO THE LAW OF DEMAND: VEBLEN AND GIFFEN

Upward-sloping demand

	Veblen goods	Giffen goods
What they are	Ultra-luxury goods; almost nil marginal utility over cheaper luxury versions; they give **social status**	**Inferior** goods that, in special circumstances, show demand rising with price
Why price up means demand up	Status comes at a price. If the price falls, those who could afford it no longer find the unique status, so demand falls (and those who could not afford it still cannot)	Must take a **massive share of a poor consumer's income** and have **no cheaper substitutes.** A price rise makes him so much poorer he drops the costlier normal good and buys even more of the staple
Handout example	Luxury sports cars, designer jewellery, heritage items, rare animal breeds	Worker spends 90% of income on coarse grain and 10% on meat. Grain price rises, meat becomes unaffordable, the worker buys more grain. The negative **income effect** overpowers the **substitution effect**
Reality	-	Mostly **theoretical**, rarely observed

📘 **FROM NCERT · XII MICROECONOMICS CH 2 §2.4.2-2.4.5 AND §2.6.2 (DEMAND, NORMAL AND INFERIOR, SUBSTITUTES, COMPLEMENTS)**

In plain words: This is where the handout's four pairs of goods come from. NCERT states each rule in one or two lines with its own examples. Use it as the checklist behind the 2021 Prelims question.

MY NOTES

Link to the handout: Handout "Types of goods" table and the Veblen and Giffen table.

Step 1 · Law of demand and the two effects

- **Law of demand**: other things being equal, there is a negative relation between demand for a commodity and its price. Price up, demand down; price down, demand up.
- Why: when bananas get cheaper (1) the **substitution effect**: the consumer substitutes bananas for mangoes; (2) the **income effect**: purchasing power rises, so demand for bananas (and mangoes) rises further.

Step 2 · The four rules, with NCERT's examples

- A change in the good's **own** price moves you along the curve; a change in income, a related good's price or tastes **shifts** the curve. Tastes: demand for ice-creams shifts right in summer; news that cold-drinks are injurious to health shifts their curve left.

Good	Rule	NCERT example	Demand curve
Normal good	Demand moves in the same direction as income	Most goods	Shifts rightward when income rises
Inferior good	Demand moves opposite to income	Low quality food items like coarse cereals	Shifts leftward when income rises
Substitutes	Demand for a good usually moves in the direction of the price of its substitute	Tea and coffee	If the substitute's price rises, shifts rightward
Complements	Demand for a good moves opposite to the price of its complement	Tea and sugar; shoes and socks; pen and ink	If the complement's price rises, shifts leftward

Step 3 · Giffen goods, the NCERT way

- Sometimes a rise in purchasing power makes a consumer reduce consumption of a good (an inferior good). Then the substitution and income effects work in **opposite directions**.
- If the substitution effect is stronger, demand and price are still inversely related. If the **income effect is stronger**, demand is positively related to price: such a good is a **Giffen good**.
- A good can be normal at some income levels and inferior at others: at very low income, demand for low-quality cereals

MY NOTES

rises with income, but beyond a level the consumer switches to better cereals.

Step 4 · Necessary versus luxury: price elasticity

- NCERT's example: price of bananas up 40% (Rs 5 to Rs 7), demand down 20% (15 to 12 bananas), so $e_D = 20 \div 40 = 0.5$: inelastic.
- Elasticity is larger when close substitutes are easily available. Demand for food as a whole is inelastic, but for one variety of pulses it is more elastic because another variety is a close substitute.

PRICE ELASTICITY OF DEMAND

e_D = (% change in demand) ÷ (% change in price)

NCERT eq. 2.16a; always quoted as an absolute value

Elasticity	Meaning	Typical goods (NCERT)
$e_D < 1$: inelastic	Demand is not very responsive to price	Necessities like food
$e_D = 1$: unitary	Equal percentage change	
$e_D > 1$: elastic	Demand is highly responsive to price	Luxuries

Step 5 · Test: the 2021 Prelims question with NCERT's rules (worked out here)

- Statements 1 and 4 hold: (a) 1 and 4 only, as the handout says.

Statement	NCERT rule	True?
1 · price of its substitute increases	Curve shifts rightward	Yes
2 · price of its complement increases	Curve shifts leftward	No
3 · it is an inferior good and income rises	Demand falls	No
4 · its price falls	Law of demand: quantity demanded rises	Yes

NCERT differs: NCERT does not mention Veblen goods or the merit versus demerit classification; those are handout-only. NCERT's Giffen explanation (income effect stronger than substitution effect) is the same idea as the handout's "negative income effect overpowers the substitution effect". *(handout/teacher wins in class)*

MY NOTES

⭐ **REMEMBER**

Four sorting keys: price, income, other price, effect on society. Giffen = inferior + huge share + no cheaper substitute.

🧠 **MEMORY AID · FOUR WAYS TO SORT GOODS (ORDER IS FREE)**

EPIC

E Effect on society (merit vs demerit)	**P** Price elasticity (necessary vs luxury)
I Income elasticity (normal vs inferior)	**C** Cross-price (substitute vs complement)

Own memory aid (not from the handout): an EPIC list of how goods are sorted.

5 · PRIVATE GOODS VERSUS PUBLIC GOODS

🧠 **UNDERSTAND IT FIRST**

Ask two questions. Can I stop you using it if you do not pay? Does your use leave less for me? Food: yes and yes, so the market works. A streetlight or national defence: no and no, so nobody pays and everybody waits for someone else (the free-rider problem). That permanent gap is a market failure, and it is why society creates a government with the authority to collect taxes and the duty to provide.

✏ **EXAMPLE**

The handout's examples: private goods are food, clothing, cars, electronics; public goods are law and order, defence, administration, streetlights and lighthouses. Government can afford only the most vital ones, prioritised by necessity.

📐 Formulas of this section

PUBLIC GOOD

non-excludable and non-rival

free-rider problem ⇒ market failure ⇒ government and taxes

The classification uses two characteristics: **excludability** (can you stop someone using it if they do not pay?) and **rivalry** (does one person's use reduce what is left for others?).

MY NOTES

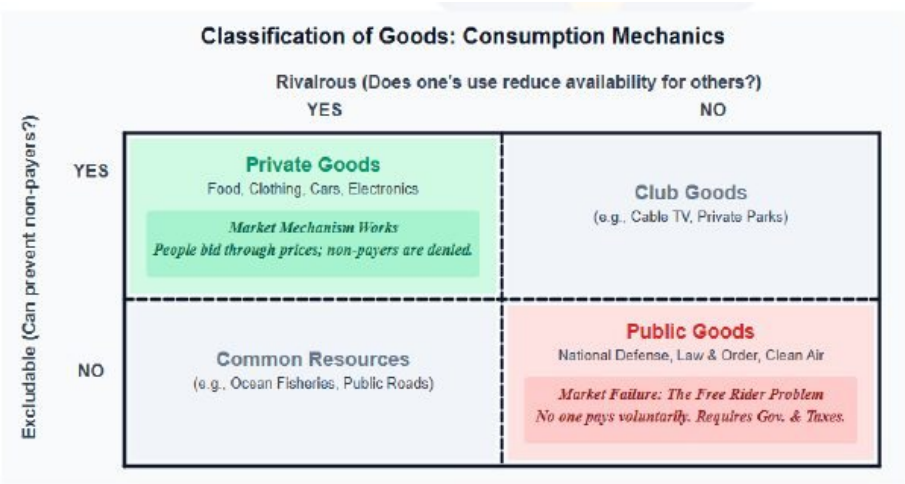


Figure. Classification of goods by consumption mechanics. Rows: excludable yes or no. Columns: rivalrous yes or no. Private goods (food, clothing, cars, electronics): the market works, non-payers are denied. Club goods (cable TV, private parks). Common resources (ocean fisheries, public roads). Public goods (national defence, law and order, clean air): market failure, the free-rider problem, no one pays voluntarily, so government and taxes are needed.

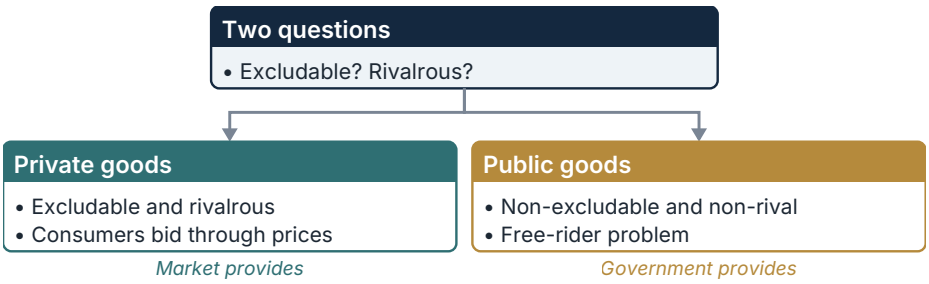
Private versus public

	Private goods	Public goods
Characteristics	Excludable **and** rivalrous. Consumers bid through prices for limited supply: "market efficiency"	**Non-excludable** and **non-rival**
Result	Provided by the market	**Free Rider Problem (FRP):** everyone expects someone else to pay, so no private business will produce it. A permanent unmet desire: **market failure**
Who provides	Producers	Government: society gives someone authority to collect taxes and the responsibility to provide. "This is how a government comes into existence"
Examples	Food, clothing, cars, electronics	Law and order (police), defence, administration, licensing and regulatory services, streetlights and lighthouses

Because government resources are limited, it provides only the most vital ones, prioritised by necessity (police presence may be higher in one area than another). Because there is no rivalry, one person's use does not reduce availability to others.

MY NOTES

PRIVATE GOODS VERSUS PUBLIC GOODS



📘 FROM NCERT · XII MACROECONOMICS CH 5 §5.1.1 ALLOCATION FUNCTION OF THE GOVERNMENT BUDGET; GLOSSARY

In plain words: The handout explains why government exists using public goods. NCERT gives the two tests (rival, excludable) with everyday examples and adds one useful distinction: public provision versus public production.

Link to the handout: Handout section 5 table (private versus public) and the free-rider problem.

Step 1 · The two differences, with NCERT's examples

- NCERT's examples of public goods: national defence, roads, government administration.

Test	Private goods	Public goods
Rivalry: does one person's use leave less for others?	Rival: if a person eats a chocolate or wears a shirt it is not available to others	Non-rival: a public park or measures to reduce air pollution benefit all; one person's use does not reduce what is available to others
Excludability: can non-payers be kept out?	Excludable: no ticket, no movie at the cinema hall	Non-excludable: no feasible way to exclude anyone; hard or impossible to collect fees

Step 2 · Free riders and why government steps in

- Non-paying users are **free-riders**. Consumers will not voluntarily pay for what they can get for free, so the link between producer and consumer (the payment) is broken, and private enterprise will in general not provide these goods. The government must step in.
- NCERT calls this the **allocation function** of the budget (the other two functions, redistribution and stabilisation, belong to the Budget chapter).

MY NOTES

Step 3 · Provision is not the same as production

- **Public provision**: financed through the budget and used without any direct payment. **Public production**: goods produced directly by the government.
- Public goods may be produced by the government or by the private sector; what makes them "public" is that the government provides (pays for) them.

NCERT differs: NCERT lists roads among public goods; the handout's matrix files public roads under common resources (rivalrous, non-excludable). Use the handout in class. NCERT does not treat club goods or common resources separately. *(handout/teacher wins in class)*

⭐ REMEMBER

Public = non-excludable + non-rival → free rider → market failure → government and taxes.

6 · INTERMEDIATE VERSUS FINAL GOODS: THE PRODUCTION BOUNDARY

🧠 UNDERSTAND IT FIRST

A packet of salt is not final or intermediate by itself; what the buyer does with it decides. Cooked at home, the meal is not sold, so the salt is a final good. Bought by a hotel and sold inside a meal, its identity merges into a new product for sale, so it is intermediate. Only economic change counts, not physical change.

✏ EXAMPLE

The handout's table: salt for a household is final; salt for a hotel is intermediate; a phone, screen guard and cover used together are all final; a phone sold second-hand after 3 years is still final (only ownership moves).

📐 Formulas of this section

FINAL OR INTERMEDIATE?

economically modified for sale ⇒ intermediate; identity kept ⇒ final

physical change does not matter

This classification is crucial for calculating **National Income (GDP).** A good is not inherently intermediate or final; it depends on **end-use.**

MY NOTES

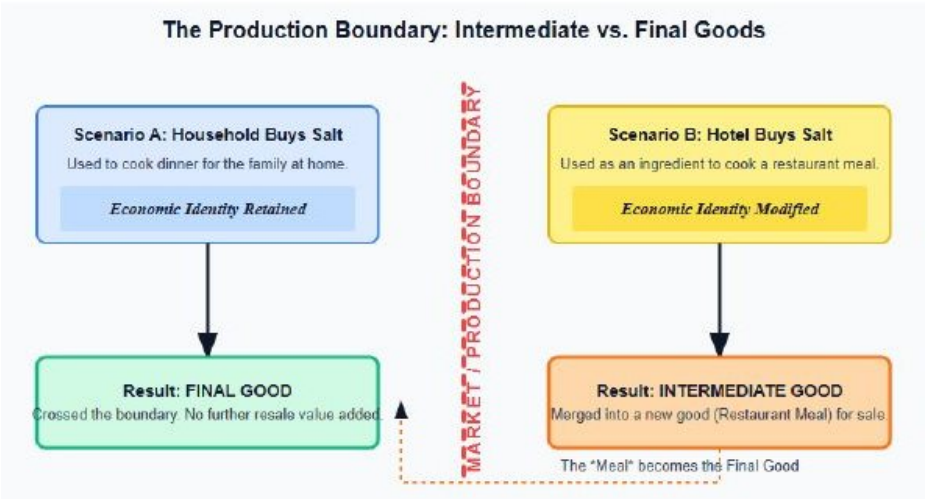


Figure. The production boundary. Scenario A: a household buys salt to cook dinner; economic identity retained, result is a final good. Scenario B: a hotel buys salt as an ingredient of a meal for sale; economic identity modified, salt becomes an intermediate good and the meal the final good.

- **Intermediate goods (IG):**
  - Used as inputs for other goods **for resale**
  - their economic identity is **lost** (modified into a new good meant for sale)
- **Final goods (FG):**
  - Economic identity **retained**
  - no further **economic** modification, even if physically or chemically changed
- **Crucial:** the new good may or may not be physically or chemically different. What matters is only whether it was **economically** modified.

The handout's examples

Case	Classification	Reason
Salt bought by a household (cooked at home)	**Final**	Home-cooked food is not sold; no new commercial identity
Salt bought by a hotel	**Intermediate**	The meal is sold; the salt's value merges into the price of the dish
Mobile phone, screen guard and cover used together	All **final**	Physical assembly by the consumer is only a way of using final goods; no commercial value added for resale
Phone sold second-hand after 3 years	Still **final**	Identity was finalised at first purchase; resale is only a transfer of ownership of an existing final good, no new production

📘 **FROM NCERT · XII MACROECONOMICS CH 2 §2.1 SOME BASIC CONCEPTS**

MY NOTES

In plain words: NCERT teaches the same final-versus-intermediate idea with a cotton-to-clothes chain and a tea-leaves example. Read it for the exact lines examiners reuse: "it is not in the nature of the good but in the economic nature of its use".

Link to the handout: Handout section 6: salt at home versus salt in a hotel; economic identity retained or modified.

Step 1 · A chain of transformations, ending in a final good

- It is "final" because once sold it passes out of the active economic flow: no further transformation at the hands of any producer.

Stage	Who	Becomes
1	Farmer producing cotton	Raw cotton, sold to a spinning mill
2	Spinning mill	Yarn, sold to a textile mill
3	Textile mill	Cloth, transformed into an article of clothing
4	Clothing sold to consumers	**Final good**: for final use, will not pass through any more stages of production

Step 2 · Tea leaves: the same good, two uses

- NCERT's line: "it is not in the nature of the good but in the economic nature of its use that a good becomes a final good".

Where	What happens	Tea leaves are
At home	Leaves become drinkable tea, but home-cooked or home-brewed food is not sold to the market	**Final** good (cooking at home is not an economic activity)
In a restaurant	The product is sold to customers	Inputs to which economic value addition takes place: **intermediate**

Step 3 · Intermediate goods and double counting

- Goods that are neither final consumption nor capital goods and are used by other producers as material inputs are **intermediate goods**: steel sheets used for making automobiles, copper used for making utensils. (Glossary: goods used up during the process of production of other goods.)
- We cannot add metres of cloth to tonnes of rice or number of machines. Our common measuring rod is **money**: the sum of the monetary values of the final goods gives the measure of final output.

MY NOTES

- The value of final goods already includes the value of the intermediate goods used, so counting both leads to **double counting** and exaggerates the final value.

⭐ REMEMBER

Final = economic identity kept. Intermediate = identity merged into something sold. Used-goods resale creates nothing new.

7 · CONSUMER GOODS VERSUS CAPITAL GOODS; FIXED VERSUS WORKING CAPITAL

🧠 UNDERSTAND IT FIRST

Final goods split two ways. Consumer goods end with households. Capital goods are machines and tools bought by producers; they are not used up in one cycle but serve many. Capital comes in two types: fixed capital (the rigid infrastructure kept over a year) and working capital (the blood that is used up day to day). Money, shares and bonds are not capital in this economic sense.

✏ EXAMPLE

The handout's examples: fixed capital = plants, machinery, equipment, buildings; working capital = raw-material inventory, work-in-progress, cash for wages and utilities. SNA capital goods are used "for more than one year".

📐 Formulas of this section

CAPITAL GOOD TEST

used repeatedly in production for more than one year

still a final good

FIXED VS WORKING

fixed: over a year, infrastructure; working: used up in a cycle, blood

financial capital is not economic capital

Both consumer goods and capital goods are **sub-categories of final goods:** neither is transformed and resold.

- **Consumer goods:** final goods for household consumption (non-producers). By replacement frequency: **durables** and **non-durables.**
- **Capital goods:**
  - Machines and tools that **assist** production
  - Bought by **producers.** Unlike raw materials (used up in one cycle) they last for **many** production cycles. They are still **final goods.**

MY NOTES

- In the System of National Accounts (SNA) capital goods are **produced assets** "used repeatedly or continuously in production processes for **more than one year**": factory buildings, heavy machinery, blast furnaces, delivery trucks, tractors, and intangibles such as commercial software and R&amp
- D

Fixed capital versus working capital

	Fixed capital	Working (circulating) capital
What	Assets retained and used repeatedly over **more than one accounting year**	Capital used up in day-to-day operations; identity modified or liquidated within a production cycle or **under a year**
Role	The rigid "infrastructure" of capacity; not for immediate resale	The "blood" through the infrastructure
Examples	Plants, machinery, equipment, buildings	Raw-material inventory, work-in-progress, cash for wages and utilities

HANDOUT ALERT: FINANCIAL CAPITAL

Financial capital (money, stocks, bonds) is NOT economic capital in this context, because a stock certificate cannot manufacture a product. The handout says: "Do not make this mistake in the exam."

📘 FROM NCERT · XII MACROECONOMICS CH 2 §2.1, CH 4 §4.1.2 AND GLOSSARY

In plain words: The handout splits final goods into consumer and capital goods. NCERT adds the consumer durables, the idea of "capital" as a factor of production, and a clever point about time: more capital goods now means fewer consumer goods now but more of both later.

Link to the handout: Handout section 7 (consumer, capital, fixed and working capital) and the PPF idea of section 1.

Step 1 · The tree of final goods in NCERT

- NCERT's Glossary: **capital** is a factor of production which has itself been produced and which is not generally entirely consumed in the production process. Capital goods are bought not for the immediate need of the consumer but for producing other goods.
- Machines are final goods, not intermediate goods like raw materials: they are not "used up" but yield their services over a number of years (XII Macro Ch 4).

MY NOTES

Group	What NCERT says	Examples
Consumption (consumer) goods	Consumed when purchased by their ultimate consumers; services consumed are included	Food, clothing; services like recreation
Consumer durables	Consumption goods that are durable: not extinguished by short consumption, need repair and renewal like machines	Television sets, automobiles, home computers
Capital goods	Durable tools, implements, machines used in production; not transformed in production; gradually wear and tear and are repaired or replaced	Machines, tools, implements
Intermediate goods (not final)	Used as raw material or inputs by other producers	Steel sheets for automobiles; copper for utensils

Step 2 · The trade-off and the time twist

- In a given year total final output is either consumption or investment: if the economy produces more consumer goods it produces fewer capital goods, and vice versa.
- But more capital goods mean that in future labourers have more equipment to work with, so total output is higher and more consumer goods can be produced. NCERT: "what is important here is the element of time". Example: a traditional weaver takes months to weave a sari; modern machinery makes thousands of pieces a day.

Step 3 · Physical capital and human capital (XI Box 4.1)

	Physical capital	Human capital
Nature	Tangible; can be easily sold in the market	Intangible; built in the body and mind of its owner; only its services are sold
Owner	Separable from its owner (the owner of a bus need not be present)	Inseparable (the bus-driver must be present)
Mobility	Completely mobile between countries except for artificial trade restrictions	Not perfectly mobile: restricted by nationality and culture
Depreciation	Continuous use and change of technology make a machine obsolete	Depreciates with ageing; reduced by continuous investment in education and health

MY NOTES

	Physical capital	Human capital
Benefit	Private benefit only	Private and social (external benefit)

NCERT differs: The handout excludes financial capital (shares, bonds, money) from economic capital. NCERT's Box 4.1 talks about **human** capital, a different idea; neither is financial capital. NCERT does not draw the fixed versus working capital line, but it does treat inventories as capital (see section 8). *(handout/teacher wins in class)*

⭐ REMEMBER

Consumer goods feed people; capital goods feed production. Fixed = infrastructure, working = blood. Financial capital is NOT capital.

8 · INVESTMENT AND GROSS CAPITAL FORMATION

🧠 UNDERSTAND IT FIRST

In daily speech investment means mutual funds or gold. In macroeconomics that is just a transfer of paper ownership. Investment is firms spending on new capital goods during a year. Picture a water tank: the tap running in is the flow (investment); the water standing in the tank is the stock (capital).

✏ EXAMPLE

The handout: capital = total value of the machines a firm owns now (stock); investment = money spent buying new capital goods over a period (flow). GCF = gross fixed capital formation + changes in inventories + acquisitions less disposals of valuables. New dwellings added in a year count as investment.

📐 Formulas of this section

CAPITAL VS INVESTMENT

capital = stock; investment = flow

tank and tap

GCF

GCF = GFCF + changes in inventories + acquisitions less disposals of valuables

IMF, OECD and India's NAS term for investment

In everyday language investment means mutual funds or gold. In macroeconomics that is merely a **transfer of financial assets: not invest-**

MY NOTES

ment. Investment is the expenditure by firms on capital goods in a period (usually a year).

Stock versus flow

	Capital	Investment
Type	**Stock** variable	**Flow** variable
Meaning	Total value of machines a firm currently owns	Money spent buying **new** capital goods over a period

Institutions such as the IMF, OECD and India's National Accounts Statistics call it **Gross Capital Formation (GCF):** "the total value of the gross fixed capital formation, changes in inventories, and acquisitions less disposals of valuables for a unit or sector."

COMPONENTS OF INVESTMENT

Total investment (GCF)
- = GFCF + Δ Inventory + Valuables

1 · GFCF (Gross Fixed Capital Formation)
- Addition to the stock of fixed capital before depreciation: machines, tools, software, buildings, new roads, factories, intellectual property. The most important component. A high GFCF share of GDP signals a rapidly industrialising, future-focused economy

GFCF has three parts
- a) business fixed investment (machinery), b) public investment (roads, bridges), c) residential construction investment (houses)

2 · Δ Inventory
- Unsold or unused stock, treated by convention as capital. A factory makes 100 cars and sells 90: the 10 unsold are added to inventory, as if the firm invested in its own unsold goods

3 · Acquisition of valuables
- Non-financial assets held as a store of value, not for production or consumption: monetary gold, diamonds, antiques

WHAT MAKES UP INVESTMENT (GCF)

GFCF
- Machines, buildings, roads, software

Change in inventory
- Unsold or unused stock

Valuables
- Gold, diamonds, antiques as a store of value

WHY HOUSING IS INVESTMENT

Households "produce" labour services, and dwelling units are the infrastructure that sustains that. So an addition to the number of dwellings in a year is **investment,** not consumption.

📘 **FROM NCERT · XII MACROECONOMICS CH 2 §2.1 (STOCKS AND FLOWS, INVESTMENT, INVENTORIES) AND APPENDIX 2.2**

MY NOTES

In plain words: This is the one concept NCERT explains better than the handout: stock versus flow, with a tank and a tap. It also adds inventories (planned and unplanned), which the handout lists inside GCF without explaining. Read the four steps in order.

Link to the handout: Handout "Capital = stock; Investment = flow" and GCF = GFCF + changes in inventories + valuables.

Step 1 · Stock and flow

- A machine can be part of the capital stock for many years, but part of the flow of new machines added only for the single year it was installed.
- A statement like "average salary is Rs 10,000" is meaningless unless a period (day, month, year) is understood.

	Stock	Flow
Defined	At a particular **point of time**	Over a **period of time** (so a period must be named)
NCERT examples	Buildings and machines in a factory; capital goods; inventories	Income, output, profits; value added; a change in stock over a period (machines added this year)
Tank picture	Water in the tank now	Water flowing in from the tap per minute

Step 2 · Gross investment and the everyday meaning

- The part of final output made of capital goods is **gross investment**: machines, tools, implements, buildings, office spaces, storehouses, roads, bridges, airports, jetties.
- NCERT footnote: this is not the commonplace "investment" of buying shares, property or an insurance policy. "Investment for us is always capital formation, a gross or net addition to capital stock."
- Three categories of investment in NCERT: **inventory** investment, **fixed business investment** (machinery, factory buildings, equipment) and **residential investment** (addition of housing facilities). Inventories are treated as capital.

Step 3 · Inventories

- **Inventory** = stock of unsold finished goods, semi-finished goods or raw materials a firm carries from one year to the next. It is a stock; its **change** over a year is a flow.
- NCERT example: opening stock Rs 100, production Rs 1,000, sales Rs 800: change = Rs 200; closing stock = Rs 100 + Rs 200 = Rs 300.

MY NOTES

CHANGE IN INVENTORIES

change in inventories ≡ production − sales

NCERT; "≡" means an identity that always holds

NCERT's shirt firm (opening stock 100 shirts)	Produced	Sold	Closing stock	Type
Sales unexpectedly low	1,000	600	500	Unplanned accumulation (+400)
Sales unexpectedly high	1,000	1,050	50 (arithmetic: 100 − 50)	Unplanned decumulation (−50)
Firm plans to raise stock to 200	1,100	1,000	200	Planned accumulation
Firm plans to cut stock to 25	925	1,000	25	Planned decumulation

Step 4 · NCERT's real data on the investment parts (constant prices, 2024–25, Rs crore)

- Arithmetic check, worked out here: 6333084 + 319228 + 270758 = 6923070, so the three parts add to NCERT's "Investment" row.

Item	Rs crore
Gross Fixed Capital Formation (GFCF)	6333084
Change in Stocks	319228
Valuables	270758
Investment = GFCF + change in stocks + valuables	6923070

NCERT differs: NCERT uses "change in stocks" and the handout "changes in inventories": same thing. NCERT's text explains only inventory, fixed business and residential investment; "valuables" appears only as a row in its Table 2.6. The handout's GFCF split is business, public, residential. *(handout/teacher wins in class)*

⭐ REMEMBER

Capital = stock. Investment = flow. GCF = GFCF + inventories + valuables. Shares and gold are not investment.

MY NOTES

9 · DEPRECIATION, CFC, CCA AND MAINTENANCE

🧠 **UNDERSTAND IT FIRST**

Machines wear out, so part of a year's capital spending only replaces the broken ones. Net investment is what is left after that replacement. Three people measure the wear differently: the accountant uses what the machine originally cost, the national statistician uses what it would cost to replace today, and the tax department uses a rate fixed by law. Oiling a machine does not stop it ageing; a newer machine can make it obsolete.

✏ **EXAMPLE**

The handout's machine bought for ₹10 lakh in 2015, life 10 years: depreciation ₹1 lakh a year even if a new one now costs ₹25 lakh; replacing 10% of capacity costs ₹2.5 lakh today, so CFC = ₹2.5 lakh; CCA lets a solar plant write off 40% in year one.

📐 Formulas of this section

NET INVESTMENT
Net Investment = Gross Investment − Depreciation
handout formula

THREE CASES
> 0 capacity expands; = 0 stagnant; < 0 capacity shrinks
PPF shifts outward only in the first

THREE BASES
Depreciation: historical cost · CFC: replacement cost · CCA: statutory rate
accountant · statistician and RBI · Income Tax Department

Depreciation is the loss in value of capital goods from an actual or perceived loss of ability to assist production, commonly wear and tear. It is **neither an actual loss nor an actual expenditure.** Gross spending on capital goods is partly only replacement, so:

FORMULA

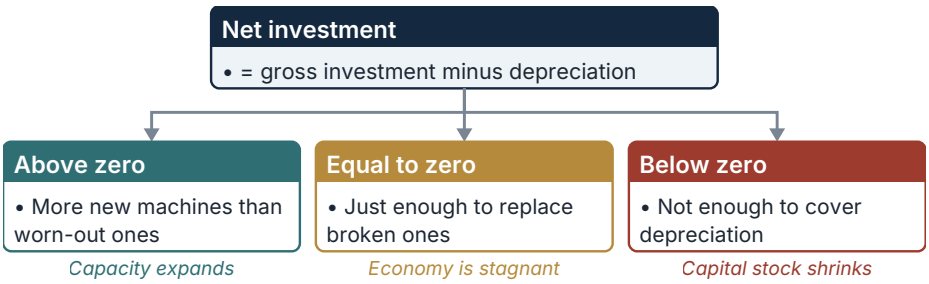
Net Investment = Gross Investment − Depreciation.

Three scenarios

Case	Meaning	Effect
Net investment > 0	More new machines than worn-out ones	Productive capacity expands (PPF shifts outward)
Net investment = 0	Just enough to replace the broken ones	Economy is stagnant
Net investment < 0	Not enough even to cover depreciation	Capital stock shrinks; capacity collapses

MY NOTES

NET INVESTMENT: THREE CASES



Depreciation versus CFC versus CCA

Term	Whose tool	Basis	Handout example (machine bought for ₹10 lakh in 2015)
Depreciation	Corporate accountant (financial accounting)	**Historical cost** (original price)	Lasts 10 years, so ₹1 lakh deducted each year, even if a new machine now costs ₹25 lakh
Consumption of Fixed Capital (CFC)	National statistician and the RBI (SNA); used for **NDP and NNP**	**Current replacement cost** (today's market price)	Replacing 10% of its capacity costs ₹2.5 lakh today, so CFC is recorded as ₹2.5 lakh, not ₹1 lakh
Capital Consumption Allowance (CCA)	Income Tax Department (tax lawyer's tool)	**Statutory rate** set by the government; a "legal fiction"; applied on historical cost	Accelerated depreciation: writing off 40% of a solar plant in year one to encourage green energy, though it did not lose 40% of capacity

MAINTENANCE IS DIFFERENT

Maintenance is routine expenditure to keep an asset working (oiling a machine, fixing a belt). It is an **intermediate cost.** It does **not** stop depreciation: a perfectly oiled 1990s loom still becomes useless because a 2024 automated loom is 10 times faster (obsolescence).

📘 **FROM NCERT · XII MACROECONOMICS CH 2 §2.1 DEPRECIATION AND FOOTNOTES 2-3; §2.2.1**

In plain words: NCERT's depreciation is one idea: spread the machine's cost over its life. That is the handout's accountant version. Reading it first makes the handout's three-way split (depreciation, CFC, CCA) easier, because you can see what NCERT leaves out.

Link to the handout: Handout section 9: Net Investment = Gross Investment − Depreciation; depreciation is neither an actual loss nor an actual expenditure.

MY NOTES

Step 1 · Why subtract depreciation

- Not all the capital goods produced in a year add to the capital stock. A significant part goes to maintain or replace worn-out capital goods. Its value is subtracted from gross investment to get net investment.
- The deduction that accommodates regular wear and tear is **depreciation**. The addition to the capital stock is net investment or **new capital formation**.

NET INVESTMENT

Net Investment = Gross Investment − Depreciation

NCERT's formula, same as the handout's

Step 2 · How the annual figure is built (NCERT's machine)

- A machine is in service for twenty years, then needs replacement. Imagine it used up gradually: each year **one twentieth** of its original value is depreciated, instead of one bulk replacement after twenty years.
- So depreciation = cost of the good ÷ number of years of its useful life: an **annual allowance for wear and tear**. It is an accounting concept: no real expenditure may be incurred each year.
- In an economy with thousands of enterprises, some are making bulk replacement spending in any year, so actual replacement spending roughly matches the annual depreciation being accounted for.

Step 3 · What depreciation does not cover (NCERT footnotes)

- Footnote 2: depreciation does not take into account unexpected or sudden destruction or disuse of capital such as accidents or natural calamities.
- Footnote 3: NCERT assumes a constant rate of depreciation on the **original value** of the asset; "there can be other methods" in practice.
- §2.2.1: depreciation "is also known as consumption of fixed capital". In national accounts depreciation is not part of anybody's income; deducting it from GNP gives NNP (see chapter 5).
- XI Box 4.1: continuous use of a machine leads to depreciation, and a change of technology makes a machine obsolete.

NCERT differs: NCERT treats depreciation and consumption of fixed capital as the same thing, on original cost. The handout separates them: depreciation (accountant, historical cost) versus CFC (national statistician, replacement cost).

MY NOTES

NCERT says nothing about CCA. Handout wins. (*handout/teacher wins in class*)

NCERT differs: The NCERT Glossary has two entries called "Depreciation": wear and tear of capital stock (this chapter) and a fall in the value of a currency (exchange rates). Do not mix them. (*handout/teacher wins in class*)

⭐ **REMEMBER**

Net I = Gross I − Dep. Accountant: historical cost. Statistician: replacement cost (CFC). Tax: legal rate (CCA).

MY NOTES

FORMULA SHEET, NUMBER CARD AND DRILLS

MY NOTES

📐 FORMULA SHEET: COVER THE THIRD COLUMN, SAY THE FORMULA, THEN CHECK

Where	Name	Formula	Source
Sec 1	PPF trade-off	**each 2 fewer deer buys 200, 180, 150, 100, 70 more berries**	handout
Sec 2	Opportunity cost	**OC = value of the next best alternative given up**	handout
Sec 2	Marginal cost	**MC = cost of one more unit at the current output**	handout
Sec 4	Substitutes	**price of B ↑ ⇒ demand for A ↑**	handout
Sec 4	Complements	**price of B ↑ ⇒ demand for A ↓**	handout
Sec 4	Normal / inferior	**income ↑ ⇒ demand ↑ / demand ↓**	handout
Sec 4	Necessary / luxury	**steep (inelastic) / flat (elastic)**	handout
Sec 4	Giffen	**inferior good, huge share of income, no cheaper substitute**	handout
Sec 5	Public good	**non-excludable and non-rival**	handout
Sec 6	Final or intermediate?	**economically modified for sale ⇒ intermediate; identity kept ⇒ final**	handout
Sec 7	Capital good test	**used repeatedly in production for more than one year**	handout
Sec 7	Fixed vs working	**fixed: over a year, infrastructure; working: used up in a cycle, blood**	handout
Sec 8	Capital vs investment	**capital = stock; investment = flow**	handout
Sec 8	GCF	**GCF = GFCF + changes in inventories + acquisitions less disposals of valuables**	handout
Sec 9	Net investment	**Net Investment = Gross Investment − Depreciation**	handout
Sec 9	Three cases	**> 0 capacity expands; = 0 stagnant; < 0 capacity shrinks**	handout
Sec 9	Three bases	**Depreciation: historical cost · CFC: replacement cost · CCA: statutory rate**	handout
Sec 2	Short run marginal cost	**SMC = change in total cost ÷ change in output = ΔTC ÷ Δq**	NCERT
Sec 4	Price elasticity of demand	**e_D = (% change in demand) ÷ (% change in price)**	NCERT

MY NOTES

Where	Name	Formula	Source
Sec 8	Change in inventories	**change in inventories ≡ production − sales**	NCERT
Sec 9	Net investment	**Net Investment = Gross Investment − Depreciation**	NCERT

🔢 NUMBER CARD: FIGURES TO HOLD

- **8 hours** daylight in the hunter-gatherer PPF
- **10 deer / 700 berries** the two ends of the handout PPF
- **200-180-150-100-70** berries bought by each 2 fewer deer
- **90% / 10%** Giffen worker: coarse grain / meat
- **4 pairs** necessary-luxury, normal-inferior, substitute-complement, merit-demerit
- **more than 1 year** life of an SNA capital good
- **₹10 lakh, 10 years** machine: ₹1 lakh depreciation a year
- **₹25 lakh** cost of a new machine today
- **₹2.5 lakh** CFC for replacing 10% of capacity
- **40%** CCA write-off in year one (solar plant)
- **2021** Prelims PYQ: answer (a) 1 and 4 only
- **8 + 2** Prelims and Mains PYQs mapped to this chapter

✏ BLANK-PAGE DRILL: DRAW THESE FROM MEMORY, THEN CHECK

- Redraw the handout's goods matrix (excludable yes/no × rivalrous yes/no) and write one example in each of the four boxes (section 5).
- Redraw the handout's production boundary figure: salt at home (final) versus salt in a hotel meal (intermediate) (section 6).
- Write from memory the three net-investment cases (above, equal to, below zero) and the three-row table: depreciation, CFC, CCA with owner and basis (section 9).

MY NOTES

NCERT CHECKLIST: END BOXES, QUESTIONS, KEY CONCEPTS

📘 NCERT PARTS WITH NO MATCHING HANDOUT SECTION (READ THEM FROM NCERT)

- **XII Macro Ch 1 (Introduction) §1.1**: Emergence of macroeconomics: Keynes (1936), the Great Depression of 1929 (US unemployment 3% to 25%, output down about 33%), classical tradition
- **XII Micro Ch 1 §1.5-1.6**: Microeconomics versus macroeconomics; plan of the book
- **XII Micro Ch 2**: Consumer behaviour: budget set, indifference curves, utility, optimum bundle; elasticity along a linear demand curve and elasticity and expenditure
- **XII Micro Ch 3**: Production function, total, average and marginal product, law of variable proportions, the full set of cost curves
- **XII Micro Ch 4-5**: Perfect competition, supply curve of a firm, market supply, price elasticity of supply, equilibrium, excess demand and supply
- **XII Macro Ch 5 §5.1.1**: Redistribution and stabilisation functions of the budget (Budget chapter)
- **XI Ch 4 Human capital formation**: Sources of human capital (education, health, on-the-job training, migration, information), growth and human capital, state of human capital in India
- **XI Ch 2 Indian Economy 1950-1990**: Planning, the public sector and the mixed-economy path (only Box 2.1 is used above)

📘 NCERT KEY CONCEPTS: TICK EACH WHEN YOU CAN DEFINE IT

☐ Scarcity ☐ Production possibilities ☐ Opportunity cost
☐ Market ☐ Market economy ☐ Centrally planned economy
☐ Mixed economy ☐ Positive analysis ☐ Normative analysis
☐ Final goods ☐ Consumption goods ☐ Consumer durables
☐ Capital goods ☐ Intermediate goods ☐ Stocks ☐ Flows
☐ Gross investment ☐ Net investment ☐ Depreciation
☐ Inventories ☐ Planned change in inventories
☐ Unplanned change in inventories ☐ Public goods
☐ Normal good ☐ Inferior good ☐ Substitute ☐ Complement
☐ Income effect ☐ Price elasticity of demand

MY NOTES

📘 NCERT'S OWN END-OF-CHAPTER QUESTIONS: CAN YOU ANSWER EACH FROM THESE NOTES?

NCERT question	Answer lives in
XII Micro Q1: Discuss the central problems of an economy.	Section 1 + NCERT Micro Ch 1
XII Micro Q2-3: What do you mean by the production possibilities of an economy? What is a production possibility frontier?	Section 1 + NCERT Micro Ch 1
XII Micro Q5: Distinguish between a centrally planned economy and a market economy.	Section 3 + NCERT Micro Ch 1 §1.3
XII Micro Q6-7: What do you understand by positive (normative) economic analysis?	NCERT Micro Ch 1 §1.4 (handout section 1 note)
XII Micro Q17-18: What do you mean by a normal good? An 'inferior good'? Give some examples.	Section 4 + NCERT Micro Ch 2 §2.4.3
XII Micro Q19-20: What do you mean by substitutes (complements)? Give examples of two goods.	Section 4 + NCERT Micro Ch 2 §2.4.4
XII Macro Ch 5 Q1.2: Explain why public goods must be provided by the government.	Section 5 + NCERT Macro Ch 5 §5.1.1
XII Macro Ch 2 Q3: Distinguish between stock and flow. Between net investment and capital which is a stock and which is a flow? Compare net investment and capital with flow of water into a tank.	Section 8 + NCERT Macro Ch 2 §2.1
XII Macro Ch 2 Q4: What is the difference between planned and unplanned inventory accumulation? Write down the relation between change in inventories and value added of a firm.	Section 8 (inventories); value-added relation in chapter 5 section 6

ABBREVIATION COLUMN

Every short form used in this chapter, expanded.

NCERT = National Council of Educational Research and Training — publisher of the school textbooks the teacher calls "very, very important"

PPF = Production Possibilities Frontier — the maximum sustainable output for each mix of goods

CFC = Consumption of Fixed Capital — depreciation valued at current replacement cost, used in national accounts

CCA = Capital Consumption Allowance — tax-law write-off of capital at a rate set by the government

MY NOTES

GFCF = Gross Fixed Capital Formation — spending on new fixed assets such as machines, buildings and housing

MC = Marginal Cost — cost of producing one more unit

GCF = Gross Capital Formation — India's name for investment: GFCF + changes in inventories + valuables

SMC = Short run Marginal Cost — change in total cost per unit change in output when fixed cost cannot change

OC = Opportunity Cost — value of the next best alternative given up

SNA = System of National Accounts — UN rulebook for measuring national income (2008 version)

TC = Total Cost — fixed cost plus variable cost

GDP = Gross Domestic Product — value of all final goods and services produced inside a country in a year

IMF = International Monetary Fund — crisis manager of the BoP

NNP = Net National Product — GNP minus depreciation

OECD = Organisation for Economic Co-operation and Development — club of mostly rich countries that publishes economic statistics

RBI = Reserve Bank of India — central bank

FG = Final Good — good whose economic identity is retained

FRP = Free Rider Problem — everyone expects someone else to pay, so no private seller supplies a public good

GNP = Gross National Product — GDP + net income from abroad

IG = Intermediate Good — good used as an input and merged into a new product for sale

NAS = National Accounts Statistics — India's official publication of national income data

NDP = Net Domestic Product — GDP minus depreciation

R&D = Research and Development — spending on new products and processes

TVC = Total Variable Cost — the part of total cost that changes with output

US = United States — a country

USA = United States of America — country

Meanings are plain-language aids; verify before quoting in an answer.

CONNECTS TO OTHER CHAPTERS

Where	Why
Chapter 2: Inequality	The handout asks "remember reasons for inequality?" when it says a pure free-market system creates inequality through natural advantages; the rule-of-law and rent-seeking points reappear.
Chapter 3: Unemployment	The demand-and-supply and market-clearance ideas used for wage-rate unemployment are the same ones applied to goods here; Chapter 3 also refers to the SNA production boundary.
National Income Accounting handout (next in your PDF)	The handout says this chapter prepares you for it: final versus intermediate goods, GCF, depreciation, CFC and NDP/NNP are the building blocks of GDP.

MY NOTES

Where	Why
Budget and Fiscal Policy handout	Public goods and merit goods explain why governments tax and spend; opportunity cost frames public spending choices.

MAINS ANSWER SKELETONS

WHAT IS THE PPF? WHY DOES THE HANDOUT CALL IT NORMATIVE AND DYNAMIC?

Intro: The PPF is the sustainable, desirable maximum output given budget constraints and technology.

- Economist assesses limiting resources and technology, then each possible product mix.
- Hunter-gatherer example: 8 hours of daylight; deer versus berries.
- Below PPF possible but not desirable; beyond it not sustainable.
- Normative: each economist's assessment; dynamic: technology and information change it.

Close: The PPF is a target to reach, not a fact to observe.

DISTINGUISH MARGINAL COST FROM OPPORTUNITY COST. WHY DOES THE HANDOUT CALL OPPORTUNITY COST THE MOST POWERFUL CONCEPT?

Intro: One is what you pay, the other is what you give up.

- MC: cost of one more unit at the current output; rises as best resources are used first.
- OC: next best alternative foregone; conceptual, not financial.
- Stadium versus rural hospital or school.
- Economics has no morals: it only shows the trade-off.

Close: Every choice is also a refusal.

COMPARE THE DECENTRALISED AND CENTRALISED SYSTEMS OF RESOURCE ALLOCATION. WHY DOES EACH PRODUCE INEQUALITY?

Intro: Both are mechanisms of information and incentives, and both fail in a way.

- Free market: price signals, invisible hand, but those with capital dominate.
- Command: central planner's information problem; rent-seeking; state-created monopolies.
- Command inequality is rigid and worse: connections, not competence.
- Friedman: equality before freedom gets neither.

Close: No system is perfect; each trades freedom against equality.

WHAT ARE PUBLIC GOODS? WHY MUST GOVERNMENT PROVIDE THEM?

Intro: Public goods are non-excludable and non-rival, so the market fails to supply them.

- Free-rider problem: no one pays voluntarily.

MY NOTES

- Society creates government with the authority to tax and the duty to provide.
- Examples: law and order, defence, streetlights, lighthouses.
- Limited resources: only the most vital are provided, prioritised by necessity.

Close: Government exists because some goods cannot be sold.

EXPLAIN INVESTMENT IN THE MACROECONOMIC SENSE AND DISTINGUISH DEPRECIATION, CFC AND CCA.

Intro: Investment is spending on capital goods, a flow that adds to the stock of capital.

- GCF = GFCF + change in inventories + valuables; GFCF has business, public and residential parts.
- Net investment = gross investment − depreciation; the three scenarios.
- Depreciation: historical cost (accountant). CFC: replacement cost (national accounts). CCA: tax allowance (policy tool).
- Maintenance does not stop depreciation.

Close: Capital is what you own; investment is what you add to it in a year.

PAST-YEAR QUESTIONS · 8 PRELIMS AND 2 MAINS QUESTIONS FROM THE SAARTHI SUBJECT-WISE SHEETS

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question

2 · THE TWO TOOLS: MARGINAL COST AND OPPORTUNITY COST 1

Prelims · 0 Mains

Prelims 2018

If a commodity is provided free to the public by the Government, then

(a) The opportunity cost is zero.
(b) The opportunity cost is ignored.
(c) The opportunity cost is transferred from the consumers of the product to the tax-paying public.
(d) The opportunity cost is transferred from the consumers of the product to the Government.

Answer: **(c)** The opportunity cost is transferred from the consumers of the product to the tax-paying public.

MY NOTES

4 · TYPES OF GOODS: APPLYING DEMAND AND SUPPLY

1 Prelims · 0 Mains

Prelims 2021

Consider the following statements: Other things remaining unchanged, market demand for a good might increase if

1. price of its substitute increases
2. price of its complement increases
3. the good is an inferior good and income of the consumers increases
4. its price falls

Which of the above statements are correct?

(a) 1 and 4 only
(b) 2, 3 and 4
(c) 1, 3 and 4
(d) 1, 2 and 3

Answer: **(a)** 1 and 4 only

7 · CONSUMER GOODS VERSUS CAPITAL GOODS; FIXED VERSUS WORKING CAPITAL

1 Prelims · 0 Mains

Prelims 2024

With reference to physical capital in Indian economy, consider the following pairs: Items : Category

1. Farmer's plough: Working capital
2. Computer: Fixed capital
3. Yarn used by the weaver: Fixed capital
4. Petrol: Working capital

How many of the above pairs are correctly matched?

(a) Only one
(b) Only two
(c) Only three
(d) All four

Answer: **(b)** Only two

8 · INVESTMENT AND GROSS CAPITAL FORMATION

5 Prelims · 2 Mains

Prelims 2023

Consider the investments in the following assets:

1. Brand recognition
2. Inventory
3. Intellectual property
4. Mailing list of clients

How many of the above are considered intangible investments?

(a) Only one
(b) Only two
(c) Only three
(d) All four

Answer: **(c)** Only three

MY NOTES

Prelims 2022

With reference to the Indian economy, consider the following statements :

1. A share of the household financial savings goes towards government borrowings.
2. Dated securities issued at market-related rates in auctions form a large component of internal debt.

Which of the above statements is/are correct ?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(c)** Both 1 and 2

Prelims 2018

Despite being a high saving economy, capital formation may not result in significant increase in output due to

(a) weak administrative machinery
(b) illiteracy
(c) high population density
(d) high capital-output ratio

Answer: **(d)** high capital-output ratio

Prelims 2018

Human capital formation as a concept is better explained in terms of a process which enables

1. individuals of a country to accumulate more capital.
2. increasing the knowledge, skill levels and capacities of the people of the country.
3. accumulation of tangible wealth.
4. accumulation of intangible wealth

Which of the statements given above is/are correct?

(a) 1 and 2 only
(b) 2 only
(c) 2 and 4 only
(d) 1, 3 and 4 only

Answer: **(c)** 2 and 4 only

Prelims 2013

Economic growth in country X will necessarily have to occur if

(a) there is technical progress in the world economy
(b) there is population growth in X
(c) there is capital formation in X
(d) the volume of trade grows in the world economy

Answer: **(c)** there is capital formation in X

Mains 2020 15 marks Investment Models

Explain the meaning of investment in an economy in terms of capital formation. Discuss the factors to be considered while designing a concession agreement between a public entity and a private entity.

KEYWORDS capital formation | investment | concession agreement | public entity | private entity

MY NOTES

Mains 2017 10 marks Savings Rate & Economic Growth

Among several factors for India's potential growth, savings rate is the most effective one. Do you agree? What are the other factors available for growth potential?

KEYWORDS capital formation | savings rate | potential growth | other factors

MY NOTES

END OF CHAPTER · RECALL AND DRILL

RECALL SHEET: COVER THE RIGHT COLUMN AND ANSWER

What are the two things an economist assesses first?	The budget constraints (limiting resources) and the prevailing technology.
Output below the PPF?	Possible but not desirable.
Marginal cost?	Actual cost of producing exactly one more unit.
Stadium example?	MC is cement, steel, labour. OC is the rural hospital or school not built.
What is rent-seeking?	Pleasing the planner (being connected) instead of competing; under a command system.
Necessary goods: demand curve?	Steep, inelastic.
Normal vs inferior?	Normal: demand rises with income. Inferior: demand falls with income.
Complement: sign of cross-price elasticity?	Negative.
Demerit goods?	Negative externalities; over-consumed (alcohol, tobacco).
Giffen goods?	Inferior goods with huge income share and no substitutes: price up, demand up. Mostly theoretical.
Non-excludable and non-rival?	Public goods.
How is a good final or intermediate?	By retention or loss of economic identity (economic modification), not physical form.
Are capital goods final goods?	Yes; used repeatedly for more than one year.
Is financial capital economic capital?	No.

Handout alert · Financial capital is not capital

Money, stocks and bonds are not economic capital here, because a stock certificate cannot make a product. Buying shares or mutual funds is a transfer of financial assets, not investment. *Rule: investment means spending on capital goods; capital is a stock, investment is a flow.*

Prelims trap · Final or intermediate: salt

A good is final or intermediate by end-use, not by physical form. Salt for a household is final; salt for a hotel is intermediate. A second-hand phone is still final. *Rule: ask whether it was economically modified and resold.*

Concept trap · Giffen versus Veblen

Both show demand rising with price. Giffen: a poor person's inferior staple with no substitute. Veblen: an ultra-luxury good bought for status. *Rule: Giffen is about poverty and income effect; Veblen is about status.*

Prelims trap · Depreciation, CFC and CCA

Three similar terms, three owners: the accountant (historical cost), the national statistician (current replacement cost) and the tax department (statutory rate). *Rule: NDP and NNP use CFC; maintenance does not stop depreciation.*

Prelims trap · Inferior good and rising income (2021 PYQ)

An inferior good loses demand as income rises. A rise in the price of a substitute raises demand; a rise in the price of a complement lowers it. *Rule: substitute price up means demand up; complement price up means demand down; inferior good with income up means demand down.*

QUICK QUIZ

Q1. Other things remaining unchanged, market demand for a good might increase if 1) price of its substitute increases 2) price of its complement increases 3) the good is an inferior good and income of the consumers increases 4) its price falls. Which are correct? (2021)

1. 1 and 4 only
2. 2, 3 and 4
3. 1, 3 and 4
4. 1, 2 and 3

Q2. A good that shows rising demand as its price rises because it takes a huge share of a poor consumer's income and has no cheaper substitute is a...

1. Veblen good
2. Giffen good
3. Merit good
4. Capital good

Q3. Veblen goods are bought mainly for...

1. their nutritional value
2. social status
3. their low price
4. their use in production

Q4. A good that is non-excludable and non-rival is a...

1. private good
2. public good
3. club good
4. inferior good

Q5. Salt bought by a household for cooking at home is...

1. an intermediate good
2. a final good
3. a capital good
4. a merit good

Q6. A second-hand mobile phone sold after three years is...

1. an intermediate good
2. still a final good
3. working capital
4. a new production

MY NOTES

Q7. Which of these is investment in the macroeconomic sense?

1. Buying shares
2. Buying mutual funds
3. A firm buying new machinery
4. Buying gold bars to hold

Q8. Gross Capital Formation equals...

1. GFCF + change in inventories + acquisitions less disposals of valuables
2. GFCF − depreciation
3. Capital stock + working capital
4. Savings − consumption

Answers: Q1 a, Q2 b, Q3 b, Q4 b, Q5 b, Q6 b, Q7 c, Q8 a

MY NOTES

CHAPTER 5 · HANDOUT PP. 1-36

05 National Income Accounting: GDP, GVA, GNP and Alternatives

MEDIUM PRIORITY Mains PYQs quoted: **2020, 2021, 2025**

Prelims PYQs: **2011, 2013, 2015, 2018, 2022**

EXAM LENS

Prelims hooks

- the A-B-C identity
- injections (I, X, G) and leakages (S, T, M)
- AD = C + G + I + X − M
- GDP terms (total, value, final, produced, territory, time)
- GNP = GDP + NFIA
- GVA
- nominal versus real
- base-year properties
- MP = BP + product taxes − product subsidies
- FC = BP − production taxes + production subsidies
- the eight GVA sectors
- MCA-21
- labour input method
- HDI components
- the eight alternatives
- NI = NNP at factor cost
- PI and PDI

Mains hooks

- why GDP is still king despite its limits
- limitations (merit versus demerit, inequality, unpriced work, externalities, informality, inflation)
- how the informal sector is estimated
- why the base year matters
- what the 2022-23 revision changes

GDP is a good thermometer of income and a poor judge of well-being, which is why we pair it with other indices.

IN SIMPLE WORDS

- National income accounting is the economy's **dashboard**. It records the **income** paid to land, labour, capital and enterprise.
- In the **circular flow**, incomes (A), production (B) and expenditure (C) are equal: **A = B = C**. **Injections** (I, X, G) push money in
- **leakages** (S, T, M) pull it out

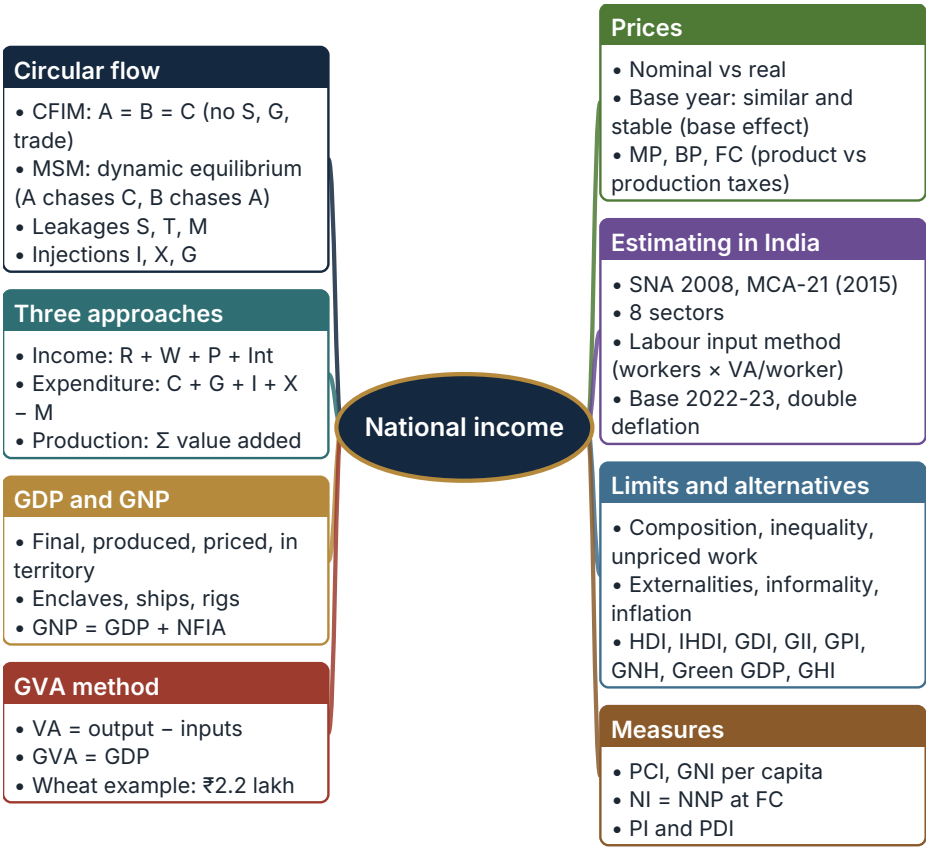
MY NOTES

- **GDP** is the total **price-tag** value of **final** goods and services **produced** inside the **economic territory** in a period. **GNP = GDP + NFIA**.
- GDP is counted by **value added** so that nothing is counted twice. **Real GDP** uses base-year prices
- Growth is the % change in real GDP
- **Market price** = basic price + product taxes - product subsidies. **Factor cost** = basic price - production taxes + production subsidies.
- GDP is a good thermometer of income but a poor judge of **well-being**, so we pair it with **HDI** and other indices.

Key term	In plain words
Income	The reward paid to factors of production: rent, wages, interest and profit.
Leakages	Savings, taxes and imports; they pull money out of the flow.
Injections	Investment, exports and government expenditure; they pump money in.
Dynamic equilibrium	A, B and C keep changing but readjust towards each other: A chases C, B chases A.
Double counting	Counting an intermediate good and the final good that already contains it.
Economic territory	Where production is counted, whoever produces it; it can differ from the political map.
NFIA	Income earned by Indians abroad minus income earned by foreigners in India.
Value added	A producer's output value minus the value of the inputs it bought.
Nominal GDP	Output valued at current prices.
Real GDP	Output valued at constant base-year prices.
Base effect	A depressed base year makes the next year's growth look huge.
Basic price	What the seller wants to receive and keep: the factory gate price.
Product taxes	Taxes or subsidies tied to quantity, such as GST or LPG subsidy.
Production taxes	Lump-sum taxes or subsidies independent of volume, such as land revenue or stamp duty.
Double deflation	Inflation stripped separately from inputs and from outputs.
Labour input method	Number of workers multiplied by value added per worker, used for the unorganised sector.

MY NOTES

CHAPTER MAP



REMEMBER IT AS A = B = C: one loop, three views. Count only final, produced, priced output by value added, then read GDP beside HDI.

EXAM LENS: WHAT THE HANDOUT STRESSES

SOURCE NOTE

Handout only. No class slides and no teacher ink. The handout ends with **3 Prelims PYQs** (2018, 2015, 2015). **Mains PYQs: none quoted in the material.** This is the longest conceptual chapter so far and the formula chapter of the book.

Prelims PYQs quoted in the handout

Year	What was asked	Answer in handout	Where covered / trap
2018	Increase in absolute and per capita real GNP do not connote a higher level of development, if...	(c) poverty and unemployment increase	Section 11 (limitations of GDP: inequality, well-being) and Chapters 1 and 3
2015	A decrease in the tax-to-GDP ratio indicates: 1. slowing economic growth rates 2. less equitable distribution of national income	(a) 1 only	Handout gives only the answer. Statement 2 is the trap

MY NOTES

Year	What was asked	Answer in handout	Where covered / trap
2015	Real GDP growth has steadily increased in the last decade? GDP at market prices (in rupees) has steadily increased in the last decade?	(b) 2 only	Section 8: nominal GDP rises with prices; real growth does not rise steadily

What the handout stresses

Signal in the handout	Where	Why it matters
A = B = C: income, production and expenditure are equal over a year (dynamic equilibrium)	Sections 2-3	The base of all three approaches
GDP = GVA + net product taxes; GVA is at basic price	Sections 7 and 9	Appears again as a "headline" formula
MP, BP and FC: product taxes versus production taxes	Section 9	The handout builds this carefully: volume-based versus lump-sum
Production approach is given primacy; "discrepancy" balances the expenditure side	Section 10	Statement-type question
2022-23 new base year; double deflation; SUT (early 2026 changes)	Section 10	Current-affairs hook inside the handout
Eight alternatives to GDP, each with one defining feature	Section 12	Match-the-pair questions

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Medium. 6 Prelims and 4 Mains questions map to this chapter.

Most-asked topics: How India estimates GDP (2 Prelims, 3 Mains); Nominal and real GDP; the base year (1 Prelims, 0 Mains); Circular flow of income model (CFIM) (1 Prelims, 0 Mains).

Prelims years: 2011, 2013, 2015, 2018, 2022. Mains years: 2020, 2021, 2025.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

MY NOTES

START HERE: 60 SECONDS, KEY WORDS, NCERT MAP

THE WHOLE CHAPTER IN 60 SECONDS

- **One loop**: income A = production B = expenditure C, in a year
- **Three views**: income R+P+W+Int; expenditure C+G+I+X−M; production ΣVA = GVA
- **GDP**: final goods only, produced this year, inside the territory, at a price
- **Prices**: nominal vs real; MP = BP + product taxes − subsidies; FC = BP − production taxes
- **India**: eight GVA sectors, three methods by sector; base 2022-23, double deflation
- **Beyond GDP**: six limits; HDI, IHDI, GDI, GII, GPI, GNH, Green GDP, GHI

Word	Meaning
Factors of production	land, labour, capital, enterprise; paid rent, wages, interest, profit
Leakage	money pulled out of the loop: savings, taxes, imports
Injection	money pumped into the loop: investment, government spending, exports
Value added	what a producer adds: its output value minus the inputs it bought
Double counting	counting the same value twice, once as input and again inside the final good
Nominal GDP	output valued at current prices
Real GDP	output valued at constant base-year prices, so only quantities change
Economic territory	the area whose production counts as ours, which is not always the map

📘 READ NCERT FIRST: WHERE EACH NCERT PART FITS THIS CHAPTER

NCERT part	Handout section	What it adds
§2.1 Some basic concepts (opening)	1	Wealth as a flow of production; four factors and their payments
§2.2 Circular flow, Fig. 2.1	2, 3	Four arrows; A, B, C as NCERT labels them; spending beyond means; model; four sectors (Ch 1)

MY NOTES

NCERT part	Handout section	What it adds
§2.2.1 Product (value added) method	6	Farmer-baker, gross and net value added, inventories and eq. 2.1
§2.2.2-2.2.3 Expenditure and income methods; Fig. 2.2	4	Derivation of C + I + G + X − M; firms A and B tables; the three identities
§2.2.4 Factor cost, basic prices and market prices	8	Product versus production taxes, 2015 CSO change, Table 2.5
§2.3 Some macroeconomic identities; Table 2.4; Fig. 2.3	5, 12	GNP, NNP, NI, PI, PDI, National Disposable Income, Private Income, eleven aggregates
§2.4 Nominal and real GDP	7	Bread example, GDP deflator, CPI rice-cloth example, WPI and PPI
§2.5 GDP and welfare	10	Three reasons with numbers; externalities and the refinery
Appendix 2.1-2.2 (Tables 2.5, 2.6)	8, 9	Real GVA and GDP data; expenditure side with discrepancies
XI Ch 8 Table 8.5; XII Ch 6 PPP; XI Ch 7	11	HDI numbers for India, China, Pakistan; PPP; sustainable development
Exercises 7-11	end	Worked numerical sums

1 · WHAT NATIONAL INCOME ACCOUNTING IS FOR

🧠 **UNDERSTAND IT FIRST**

Imagine a country with no dashboard: no speedometer, no fuel gauge. The government, the central bank and citizens would be driving blind. National income accounting is that dashboard. We cannot build it by asking everyone what they earn, because people forget, lie, and much of the economy is informal. So the handout builds it in three steps: a simple model, an advanced model, then the methods used in India today.

✏ **EXAMPLE**

The handout's two meanings of "national": income earned in the nation whoever earns it, or income earned by the nationals wherever they are. Income itself means the reward for the factors of production: rent, wages, interest, profit.

MY NOTES

Accounting is the systematic recording, classification and summarising of incomes. **National** sets the boundary: either the income earned **in** the nation (irrespective of who earns it) or the income earned **by** the nationals (irrespective of where). **Income** is strictly the reward paid for the **Factors of Production:** rent for land, wages for labour, interest for capital, profit for entrepreneurship.

Without national accounts the government, the central bank and citizens are "driving blind": NIA is the economy's **dashboard.** It cannot be measured by asking 1.4 billion people what they earn (people lie, forget, and much of the economy is informal), so the handout builds the idea in three steps: a **basic model** (the "tree's shadow"), an **advanced model** (dropping unrealistic assumptions) and the **real world** (the methods used in India today).

📘 FROM NCERT · XII MACROECONOMICS CH 2 §2.1 (OPENING) AND §2.2; CH 1 §1.2; GLOSSARY

In plain words: The handout starts with what accounting is for. NCERT starts one step earlier: what creates a nation's wealth, and who gets paid when production happens. It also gives you the table of the four factors of production, which is NCERT's very first exercise question.

Link to the handout: Handout section 1: income = reward for the factors of production (rent, wages, interest, profit).

Step 1 · Wealth comes from a flow of production, not from owning resources

- NCERT: resource-rich Africa and Latin America have some of the poorest countries, while many prosperous countries have scarcely any natural wealth.
- The economic wealth or well-being of a country depends on how its resources are used in generating a **flow of production**, and how income and wealth are generated from that process. Even when natural resources mattered most, they had to be transformed through a production process.

Step 2 · The four factors of production and what each is paid (NCERT Exercise 1)

- Revenue from selling the output is paid out as rent, interest and wages; the rest is the entrepreneur's **profit**. Profits are often used in the next period to buy new machinery or build factories: these expenses are investment expenditure.
- A capitalist firm's factors earn their incomes through production and sale of the output in the market.

MY NOTES

Factor	What it contributes	Payment (remuneration)
Land (fixed natural resources)	Natural resources used in production, fixed or consumed	**Rent**
Labour	Human physical effort used in production	**Wage**
Capital	A factor of production which has itself been produced and is not generally entirely consumed in production	**Interest**
Entrepreneurship	Organising, coordinating and risk-taking during production	**Profit**

⭐ REMEMBER

NIA = the economy's dashboard. Income = rent (land) + wages (labour) + interest (capital) + profit (enterprise).

2 · CIRCULAR FLOW OF INCOME MODEL (CFIM)

🧠 UNDERSTAND IT FIRST

Picture two parties passing money around a ring. Households own the factors of production and hand them to firms. Firms pay incomes (A), households spend that money (C) on the goods firms make (B). With no saving, no stock-piling and no outside world, whatever goes out comes straight back, so the three flows are the same size.

✏ EXAMPLE

A = wages + rent + interest + profit paid by firms; B = value of all goods and services produced; C = money households spend on them. Households spend all they earn; firms keep no inventory; firms pay out everything received, and the leftover is profit.

📐 Formulas of this section

CIRCULAR FLOW

A = B = C

income = production = expenditure; A = wages + rent + interest + profit

Two entities only: **households** (own all factors of production and supply them) and **firms** (use them to produce and sell goods back).

MY NOTES

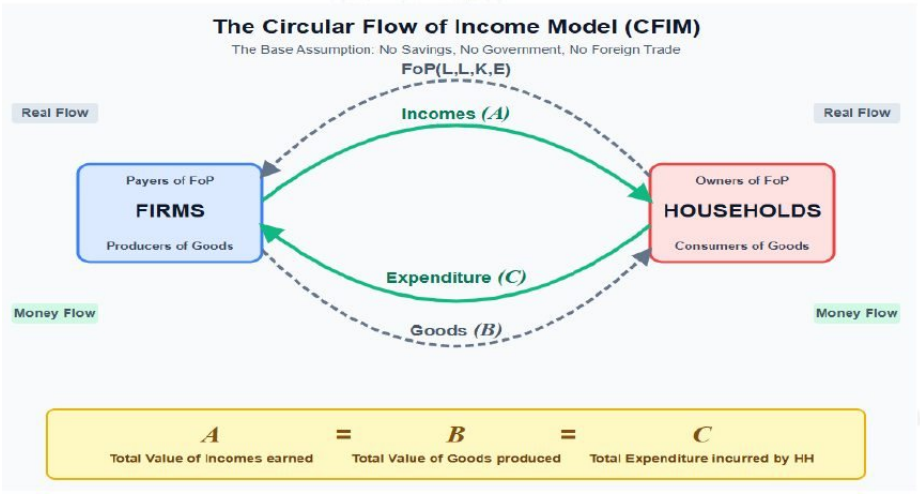


Figure. The Circular Flow of Income Model. Assumptions: no savings, no government, no foreign trade. Households give factors of production (land, labour, capital, enterprise) to firms (real flow); firms pay incomes (A); households spend (C) to buy goods (B). A = B = C.

The three flows

Label	Meaning
A · total incomes	Total payments by firms to households for factors: wages + rent + interest + profit
B · total production	Total value of all goods and services produced by firms
C · total expenditure	Total money spent by households on those goods

CFIM states A = B = C. Households spend all they earn (A = C); firms keep no inventory (B = C); firms pay out all expenditure received as factor incomes (whatever is left is profit for the entrepreneurial households).

📘 **FROM NCERT · XII MACROECONOMICS CH 2 §2.2 CIRCULAR FLOW OF INCOME, FIG. 2.1**

> **In plain words:** The handout shows the loop with income A, production B and expenditure C. NCERT draws the same loop with four arrows and adds the real flows (goods and factor services) going the other way. Learn NCERT's letters too, because they are different from the handout's.

> **Link to the handout:** Handout CFIM figure: households and firms; no saving, no government, no foreign trade.

Step 1 · The assumptions (a "simple economy")

- Households spend their entire income on goods and services produced by domestic firms: they do **not save**, there is **no government** (so no taxes) and **no external trade** (so no imports).

MY NOTES

- So there is no leakage: the factor payments firms distribute equal the consumption spending they receive as sales revenue. Year after year the aggregate income goes round through the two sectors, firms and households.

Step 2 · The four arrows

Arrow (NCERT)	From, to	Market
Spending (A)	Households to firms	Goods and services market (payment)
Goods and services (B)	Firms to households	Goods and services market (the real flow)
Factor payments (C)	Firms to households	Factor market (payment)
Factor services	Households to firms	Factor market (the real flow)

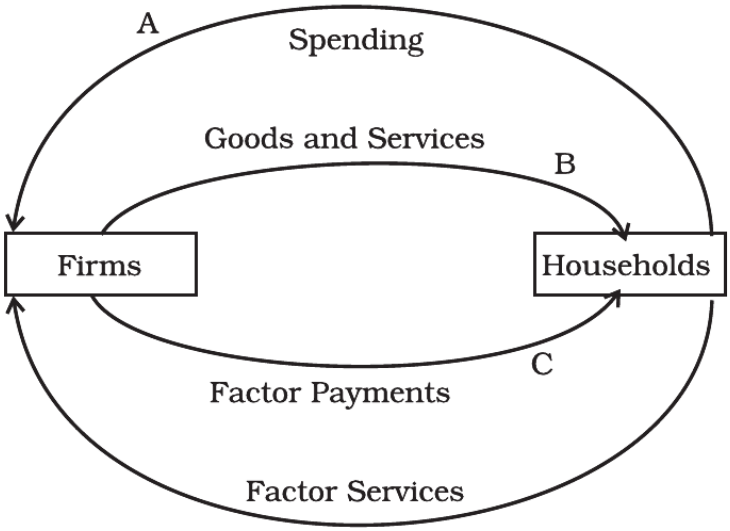


Fig. 2.1: Circular Flow of Income in a Simple Economy

NCERT Fig. 2.1, original: circular flow of income in a simple economy. Firms on the left, households on the right. Outer top arrow: spending (A). Inner top arrow: goods and services (B). Inner bottom arrow: factor payments (C). Outer bottom arrow: factor services. How to read: money goes one way, the real thing goes the other way.

Step 3 · Where to measure the loop (NCERT letters versus handout letters)

- NCERT: the same money moves round, so measuring the annual value of the flow at any of the dotted points gives the same answer. Aggregate spending (A) equals aggregate income (C).

MY NOTES

Point	NCERT: what you measure	NCERT's name for the method	Handout letter
A	Spending firms receive for final goods and services	Expenditure method	C
B	Aggregate value of final goods and services produced	Product method	B
C	Sum total of all factor payments	Income method	A

Step 4 · "An economy can spend beyond its means" (NCERT's paradox)

- Suppose households decide to spend more on firms' goods. Firms produce more to meet the demand, so they must pay factors extra remuneration equal to the value of the extra goods. Households then get the extra earnings needed to support the extra spending.
- So an economy may decide to spend more than its present income, and its income rises to match. A single worker cannot do this: her spending is limited by her own income. This is one more example of how one economic agent differs from the economy as a whole.

Step 5 · What a model is

- A story that describes an imaginary economy is a **macroeconomic model**. It does not describe an actual economy in detail; it highlights essential features. One task of an economist is to figure out which model fits which real situation.
- Introducing savings does not change the conclusion in a fundamental way: no matter how complicated the economic system, annual production estimated by each of the three methods is the same.

NCERT differs: Letters clash: NCERT A = spending (expenditure), B = goods and services (product), C = factor payments (income). The handout A = incomes, B = production, C = expenditure. In the exam write the words, not the letters. *(handout/teacher wins in class)*

⭐ REMEMBER

CFIM: two sectors, no saving, no government, no trade ⇒ A = B = C.

MY NOTES

3 · MULTI-SECTORAL MODEL (MSM): INJECTIONS AND LEAKAGES

🧠 **UNDERSTAND IT FIRST**

Now open the ring up. Money can leak out (savings, taxes, imports) and be pumped in (investment, government spending, exports). If households save, they spend less, firms build up stock and produce less, and income falls. If the government spends or exports rise, the loop speeds up. The three flows are always adjusting towards each other: A chases C and B chases A. Over a year they settle.

✏ **EXAMPLE**

The handout's two stories. Saving: C falls, then B, then A. Government hiring teachers and soldiers raises A, then C, then B. The economy grows only if injections exceed leakages.

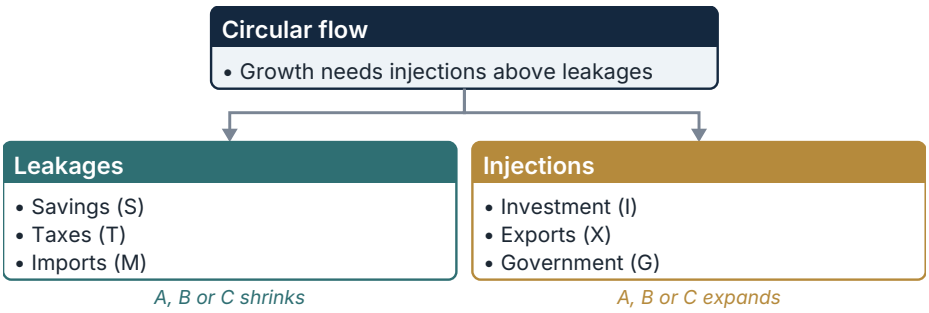
📐 Formulas of this section

LEAKAGES
S, T, M ⇒ A, B or C shrinks
savings, taxes, imports

INJECTIONS
I, G, X ⇒ A, B or C expands
investment, government expenditure, exports

GROWTH RULE
economy grows only if injections > leakages
dynamic equilibrium: A chases C, B chases A

LEAKAGES AND INJECTIONS



CFIM assumes no saving, no inventory, no government, no foreign trade and no spending on capital goods. The MSM drops all of these and still arrives at **A = B = C**, but as a **dynamic equilibrium:** the three are always changing, may not be equal at a point in time, but readjust towards each other. "**A will always chase C, and B will always chase A.**" They are **flow variables** measured over a period (usually a year).

MY NOTES

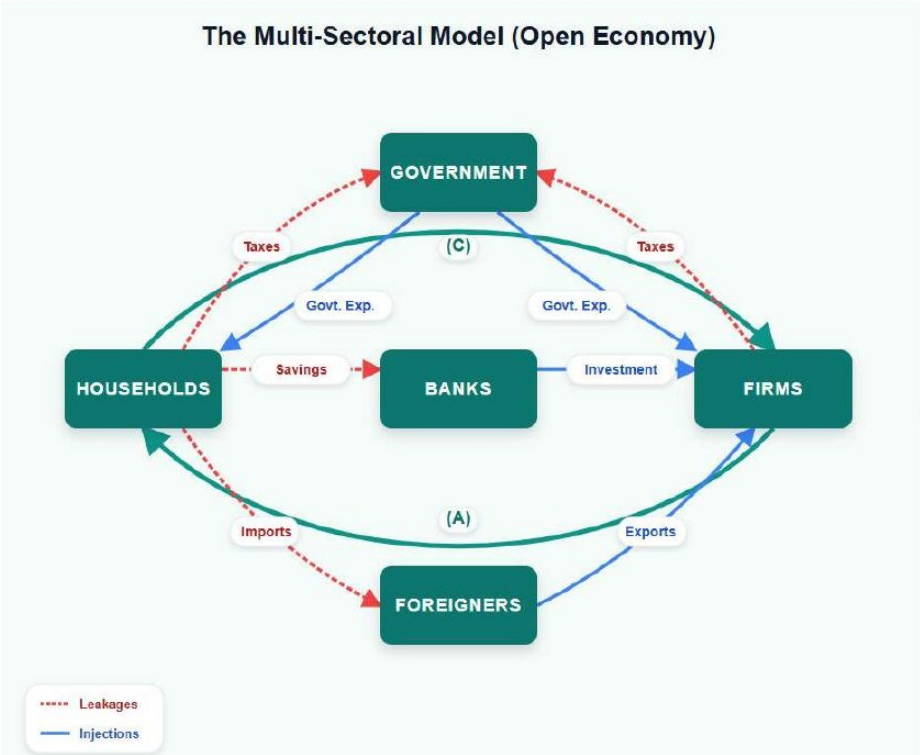


Figure. The Multi-Sectoral Model (open economy). Households, firms, government, banks and foreigners. Leakages (dotted): savings, taxes, imports. Injections (solid): investment, government expenditure, exports.

Leakages and injections

	Items	Effect
Leakages (pull money out)	Savings (S), taxes (T), imports (M)	A, B or C shrinks
Injections (pump money in)	Investment (I), exports (X), government expenditure (G)	A, B or C expands

- **Saving example:**
  - Households save, spend less
  - Firms build inventory, produce less next cycle, use fewer factors, pay less income: C falls, then B, then A
- **Government** is both a special household and a special firm. Spending on goods raises C, then B, then A. Hiring teachers and soldiers raises A, then C, then B. Savings go through banks to firms as investment, again lifting B, C and A. Export demand does the same.
- **The economy grows only if injections exceed leakages.** Over an accounting year the adjustments settle and A = B = C.

📘 **FROM NCERT · XII MACROECONOMICS CH 1 §1.2 (FOUR SECTORS) AND CH 2 §2.2.3**

> **In plain words:** The handout's multi-sectoral model has households, firms, government, banks and foreigners. NCERT

MY NOTES

groups the same players into four sectors and says what each one does. It also makes a careful point about "=" versus "≡".

Link to the handout: Handout section 3: leakages and injections; government as a special household and special firm; A = B = C as dynamic equilibrium.

Step 1 · The four sectors of the macroeconomy (NCERT)

- NCERT adds that macroeconomic decision-makers such as the state, the RBI and SEBI pursue public goals set by law or the Constitution, not private profit.

Sector	Who and what they do
Households	A single person, or a group whose consumption decisions are joint. They consume, save and pay taxes; they earn wages (workers), salaries (government), profits (owners of firms), rent (leasing land) and interest (lending capital)
Firms	Units (capitalist-style) where an entrepreneur hires wage labour, uses capital and land, and produces output to sell for profit, taking risks and uncertainties
Government (state)	Frames and enforces laws and delivers justice; often undertakes production; imposes taxes and spends on infrastructure, schools, colleges and health services
External sector	Exports (sales to the rest of the world); imports (purchases from it); and capital flowing in from or out to foreign countries

Step 2 · Identity versus equality

- NCERT uses the sign ≡ for an **identity**: unlike "=", an identity holds always, whatever the values of the variables. Example: 2 + 2 ≡ 4, but 2 × x = 4 only when x = 2.
- NCERT writes the three GDP expressions as identities: GDP ≡ Σ GVA ≡ C + I + G + X − M ≡ W + P + In + R. It also states that "I" there stands for the sum of both **planned and unplanned** investment undertaken by firms.

Step 3 · Planned and unplanned changes in stock, in one line

- If sales fall unexpectedly, unsold goods pile up as unplanned accumulation of inventories; if sales rise unexpectedly, stock falls (unplanned decumulation). See the shirt table in chapter 4, section 8. NCERT adds that it will say more about this in later chapters.

NCERT differs: The handout calls A = B = C a dynamic equilibrium (they readjust towards each other). NCERT writes them as identities (≡) and includes unplanned investment in I.

MY NOTES

Write the handout's dynamic-equilibrium idea; use NCERT's ≡ if a question says "identity". *(handout/teacher wins in class)*

⭐ REMEMBER

Leakages S, T, M pull out. Injections I, G, X push in. "A chases C, B chases A."

4 · THE THREE APPROACHES TO MEASURING NATIONAL INCOME

🧠 UNDERSTAND IT FIRST

One tree, three ways to measure its shadow. Add up what is paid to the factors (income). Add up what is spent on the goods that domestic firms receive (expenditure): total spending C + G + I + X includes foreign parts, so subtract imports M. Or add up the value added by every producer (production). All three give the same total. Then read "GDP" word by word: total, value, final, produced, territory, period.

✏ EXAMPLE

The handout's word-by-word list: a parent cooking for a child has no price, so it is excluded; second-hand sales are not counted again but new services such as brokerage, registration and repair are. The ₹10 crore Delhi land question is left open: by the handout's own rule the purchase adds nothing.

📐 Formulas of this section

INCOME APPROACH

$$TI = R + P + W + Int$$

all payments to factors in the domestic territory

EXPENDITURE APPROACH

$$TI = AD = C + G + I + X - M$$

subtract the foreign part of C, G, I (total imports M)

PRODUCTION APPROACH

$$TI = GDP = \Sigma\, VA_i = GVA$$

total value of final goods and services in a year

Three ways to measure the same total

Approach	Formula	What it counts
Income (A)	TI = R + P + W + Int	All payments to factors of production in the domestic territory

MY NOTES

Approach	Formula	What it counts
Expenditure (C)	TI = AD = C + G + I + X − M	Expenditure **received by domestic firms.** Total spending is C + G + I + X, but each of C, G and I has a domestic and a foreign part; subtract the foreign parts (total imports M) to get what domestic firms received
Production (B)	TI = GDP = Σ VA_i = GVA	Total value of final goods and services produced in a year

GDP WORD BY WORD

Total value of all final goods and services produced in an economy over a given time

Word	Meaning in the handout
Total	GDP is an aggregate: indifferent to merit versus demerit goods and to who owns the factors
Value	Not "worth" (which varies by person) but the objectively assessed **price** (transaction value). So only goods and services that have a price count: a parent cooking dinner for a child is excluded
Final	Only final goods. Their value already includes intermediates, so counting both is **double counting**
Produced	Counted in the year of **production,** not when or how often sold. Second-hand sales are not counted again, but new services (brokerage, registration, repair) are
Economic territory	Production inside the territory, **irrespective of who produces** (residents or foreigners)
Given period	A flow variable: a quarter or a year

THE LAND QUESTION

The handout asks: if you buy land worth ₹10 crore in Delhi, what is the effect on GDP? It leaves the question open. By its own rules ("production matters, not the sale") the purchase itself adds nothing; services such as brokerage and registration would.

📘 FROM NCERT · XII MACROECONOMICS CH 2 §2.2.1-2.2.3, EQ. 2.2-2.6, FIG. 2.2; TABLE 2.4 ROW 1

In plain words: This is NCERT's main chapter content, and the handout's three formulas come straight from it. NCERT shows how the expenditure formula is derived (why imports are subtracted) and checks all three methods on one small example. Take it in four steps.

Link to the handout: Handout section 4 (three approaches) and "GDP word by word".

MY NOTES

Step 1 · Expenditure method: why C + I + G + X − M

- **Final expenditure** = expenditure not for intermediate purposes. Expenditure on investment is included in GDP because investment goods remain with the firm; intermediate goods are consumed in the process of production, so expenditure on them is not.
- Firm i receives final expenditure on four accounts: consumption (C_i), investment by other firms on capital goods it produced (I_i), government (G_i; includes both consumption and investment spending), and exports (X_i).
- Part of aggregate C, I and G is spent on imports: C_m, I_m, G_m. Only $C - C_m$, $I - I_m$ and $G - G_m$ reaches domestic firms. Add exports X and group the import terms as $M = C_m + I_m + G_m$.

REVENUE OF ALL FIRMS

$$\Sigma RV_i \equiv (C - C_m) + (I - I_m) + (G - G_m) + X$$

NCERT eq. 2.3 after substitution

GDP, EXPENDITURE

$$GDP \equiv C + I + G + X - M$$

NCERT eq. 2.4; of the five items I is the most unstable

Step 2 · Income method and the three identities together

- The revenues of all firms are distributed to the factors as wages and salaries (W), gross profits (P), interest payments (In) and rents (R).

GDP, INCOME

$$GDP \equiv W + P + In + R$$

NCERT eq. 2.5

GDP, PRODUCT

$$GDP \equiv \Sigma\, GVA_i$$

NCERT eq. 2.2 (sum over all firms 1 to N)

ALL THREE

$$GDP \equiv \Sigma\, GVA_i \equiv C + I + G + X - M \equiv W + P + In + R$$

NCERT eq. 2.6

MY NOTES

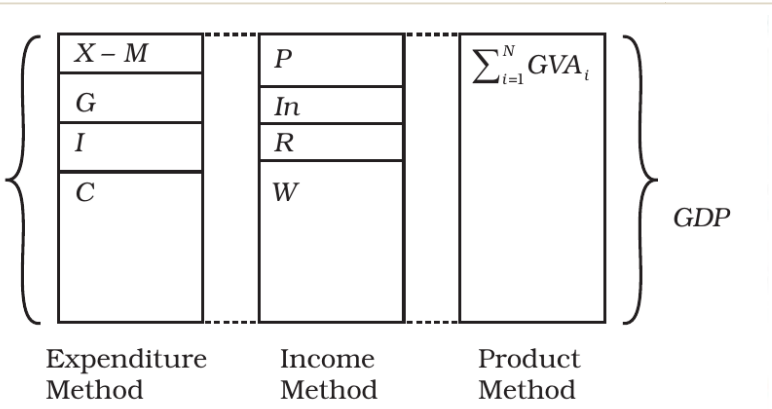


Fig. 2.2: *Diagramtic Representation of GDP by the Three Methods*

NCERT Fig. 2.2, original: the three methods as three columns of the same height, all equal to GDP. Expenditure column: C, I, G, X − M; income column: W, R, In, P; product column: Σ GVA. How to read: three ways to cut the same block.

Step 3 · NCERT's check: firms A and B (all three methods give 200)

- **Product method**: 50 + 150 = 200. **Expenditure method**: the only final expenditure is consumers' spending on cloth = 200. **Income method**: wages 20 + 60 = 80 and profits 30 + 90 = 120, so 80 + 120 = 200.
- NCERT's footnote: the example leaves out rent and interest; after wages, the rest of value added is distributed between rent, interest and profits (together called **operating surplus**).

Firm	Sales	Intermediate consumption	Value added	Wages	Profits
A (cotton, no raw material)	50	0	50	20	30
B (cloth sold to consumers)	200	50	150	60	90
Total			**200** (50 + 150)	80	120 (so 80 + 120 = 200)

Step 4 · NCERT's definition of GDP (Table 2.4, row 1)

- GDP at market prices is the market value of all final goods and services produced within the domestic territory of a country in a year.
- All production by national residents or non-residents in the country is included, whether owned by a local company or a

MY NOTES

foreign entity. Everything is valued at market prices. (Handout words: "territory", "irrespective of who produces".)

NCERT differs: NCERT's income identity uses **gross** profits (P), so the sum is GDP, not NDP. The handout writes TI = R + P + W + Int. Both are fine as long as you keep "gross" in mind. *(handout/teacher wins in class)*

NCERT differs: NCERT's page for equation 2.2 uses the letter I for investment and also I_i for firm i. Do not confuse with "In" (interest). *(handout/teacher wins in class)*

⭐ REMEMBER

Income R+P+W+Int · Expenditure C+G+I+X−M · Production ΣVA. GDP = total value of FINAL goods and services produced in a year inside the territory.

5 · ECONOMIC TERRITORY AND GNP

🧠 UNDERSTAND IT FIRST

Draw the economic map of India. It mostly matches the political map, with exceptions. Indian embassies abroad and Indian ships in international waters count as ours; foreign embassies in India and the UN offices do not. GNP changes the question from where to who: add what Indians earn abroad and subtract what foreigners earn here. That gap is NFIA.

✏ EXAMPLE

Counts as India's: the Indian embassy in Washington, a consulate in Dubai, research bases in Antarctica (Bharati, Maitri), an Air India flight over the Atlantic. Does not count: the American embassy in Chanakyapuri, UN, WHO and IMF offices in India.

📐 Formulas of this section

GNP

GNP = GDP + NFIA

NFIA = income earned by Indians abroad − income earned by foreigners in India

The economic territory (ET) mostly coincides with the political territory, **except:**

MY NOTES

Where economic territory differs from the map

Counts as India's ET	Does NOT count as India's ET
Enclaves abroad: Indian embassy in Washington, consulate in Dubai, research bases in Antarctica (Bharati, Maitri). Salaries of Indian staff are Indian GDP	**Foreign enclaves in India:** the American embassy in Chanakyapuri, a Japanese consulate in Mumbai: part of that country's GDP
Ships and aircraft in international transit: an Air India flight over the Atlantic, a Shipping Corporation of India vessel in the Mediterranean	**International organisations in India:** UN, WHO, IMF offices are "extraterritorial"; their core production is excluded
Fishing vessels and oil rigs in international waters where India has exclusive exploitation rights (the EEZ)	

GNP is the total value of final goods and services produced by the **nationals** of a country (residents), wherever they are. The handout writes **GNP = GDP + C − B** where C is output by Indians abroad and B is output by foreigners in India, i.e. **GNP = GDP + NFIA** (net factor income from abroad). If nationals produce more outside than foreigners produce inside, GNP exceeds GDP.

HANDOUT ALERT: LETTERS REUSED

In this section the handout reuses the letters B and C for "output by foreigners in India" and "output by Indians abroad", while elsewhere B and C are the production and expenditure flows. **Rule for the exam hall:** write it as **GNP = GDP + NFIA = GDP + (income earned by Indians abroad − income earned by foreigners in India).**

📘 FROM NCERT · XII MACROECONOMICS CH 2 §2.3 SOME MACROECONOMIC IDENTITIES; TABLE 2.4 ROWS 5-6; GLOSSARY

In plain words: NCERT explains GNP with two memorable cases: an Indian worker in Saudi Arabia and a Korean-owned car factory in India. It gives the exact formula with the long wording that avoids the handout's B and C letters.

Link to the handout: Handout section 5: GNP = GDP + NFIA.

Step 1 · The two cases

- To keep symmetry, we add the earnings of nationals abroad **and** deduct the earnings of foreigners working in the domestic economy.

Case	In whose GDP	In whose GNP
An Indian citizen working in Saudi Arabia earns a wage	Saudi Arabian GDP (produced in Saudi territory)	Indian GNP (she is an Indian national)

MY NOTES

Case	In whose GDP	In whose GNP
Profits of the Korean-owned Hyundai car factory in India	Indian GDP (produced in India)	Not Indian GNP: subtracted from India's GDP

Step 2 · The formula in NCERT's own words

- NCERT Table 2.4: GNP at market prices is the value of final goods and services produced by the **normal residents** of India, wherever they are located, valued at market prices.

GNP

GNP ≡ GDP + factor income earned by the domestic factors of production employed in the rest of the world − factor income earned by the factors of production of the rest of the world employed in the domestic economy

NCERT §2.3

SHORT FORM

GNP ≡ GDP + NFIA

NFIA = net factor income from abroad

NCERT differs: NCERT's Glossary says GNP is the income of all **citizens**; its Table 2.4 says normal **residents**. The handout says nationals (residents). Use "residents" as the handout does. (*handout/teacher wins in class*)

⭐ REMEMBER

GNP = GDP + NFIA = GDP + (income of Indians abroad − income of foreigners in India). Write it in words, not B and C.

6 · THE GVA METHOD: WHY GDP IS COUNTED BY VALUE ADDED

🧠 UNDERSTAND IT FIRST

Counting only final goods needs someone to sort final from intermediate, and every producer thinks its own output is final. So we skip the sorting. Each producer adds up only what it added: output minus the inputs it bought. Add these up across the chain and the total equals the value of the final good. Picture a relay race: each runner is credited only for the distance they ran, not for the distance already run.

MY NOTES

✏ EXAMPLE

The handout's wheat-atta-bread-sandwich chain: farmers 1,00,000 (inputs 0); each of the next three makers sells 1,00,000 and bought 60,000, so adds 40,000. GDP = GVA = 1,00,000 + 40,000 + 40,000 + 40,000 = ₹2,20,000, the same as the final-goods check: 40k + 40k + 40k + 1 lakh.

📐 Formulas of this section

VALUE ADDED

VA_i = output value − input value

wheat chain: 1,00,000 + 40,000 + 40,000 + 40,000 = 2,20,000

GDP BY VALUE ADDED

GDP = Σ VA_i = GVA

equals the sum of final goods: 40k + 40k + 40k + 1 lakh

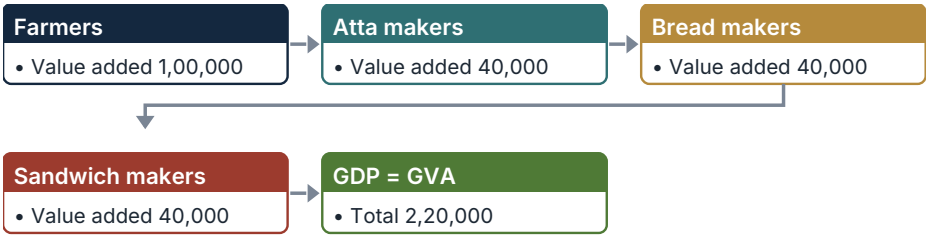
Using GDP = Σ $P_i \cdot Q_i$ over final goods needs final goods to be separated from intermediates, which is nearly impossible: every producer sees their output as final. Instead, **each producer's value added** is summed: **VA_i = output value − input value.** The total is **GVA, which equals GDP.**

The handout's wheat-atta-bread-sandwich economy (all in rupees)

Producer	Output	Inputs bought	Value added
Farmers (wheat)	1,00,000	0	1,00,000
Atta makers	1,00,000	60,000 wheat	40,000
Bread makers	1,00,000	60,000 atta	40,000
Sandwich makers	1,00,000	60,000 bread	40,000
GDP = GVA			**2,20,000**

Final goods check: wheat 40k + atta 40k + bread 40k + sandwiches 1L = **₹2.2 lakh.** The two methods agree. The proof: the value of any final good equals the total value added by all producers with respect to that good; summing over all final goods gives the total value added by all producers.

VALUE ADDED IN THE WHEAT ECONOMY



📘 FROM NCERT · XII MACROECONOMICS CH 2 §2.2.1 THE PRODUCT OR VALUE ADDED METHOD, EQ. 2.1

MY NOTES

In plain words: NCERT teaches value added with a two-producer example (farmer and baker), then adds two things the handout does not spell out: gross versus net value added, and what happens to goods a firm makes but does not sell (inventories).

Link to the handout: Handout wheat-atta-bread-sandwich table: VA = output − inputs; GDP = GVA.

Step 1 · Farmer and baker (NCERT Table 2.1)

- Simple adding of production gives Rs 200 + Rs 100 = Rs 300: wrong. The Rs 50 of wheat is counted twice: once in the farmers' output and again as the imputed value of wheat inside the bread: **double counting**.
- Correct total: 100 + 150 = Rs 250. Value added is the net contribution of a firm; it is a flow variable, and wages, interest, profits and rents paid out add up to the firm's value added.

	Farmer	Baker
Total production	100	200
Intermediate goods used	0	50
Value added	100	200 − 50 = 150

Step 2 · Gross value added and net value added

GROSS VALUE ADDED

GVA = value of production − intermediate goods

includes depreciation

NET VALUE ADDED

NVA = GVA − depreciation

depreciation also called consumption of fixed capital

NCERT's example	Rs per year
Value of production	100
Intermediate goods used	20
Capital consumption (depreciation)	10
Gross value added = 100 − 20	80
Net value added = 100 − 20 − 10	70

Step 3 · Production is not the same as sales: inventories

- A firm may not sell all it produces (unsold stock) or may sell from stock it began with. So the value added of a firm must include the change in inventories.
- Since change in inventories ≡ production − sales and production ≡ value added + intermediate goods used, NCERT gets

MY NOTES

the equation below. Sales include sales abroad (exports). All terms are flows, usually per year.

GVA OF FIRM I

$$GVA_i \equiv Q_i - Z_i \equiv V_i + A_i - Z_i$$

Q = gross value of output; V = sales; A = change in inventories; Z = intermediate goods used (NCERT eq. 2.1)

NET VALUE ADDED

$$NVA_i \equiv GVA_i - D_i$$

D = depreciation of the firm

NCERT differs: NCERT's "gross" value added includes depreciation, while the handout's GVA is output minus intermediate inputs: the same number. Gross is the sense in which GDP = GVA. *(handout/teacher wins in class)*

⭐ **REMEMBER**

VA = output − inputs. ΣVA = GVA = GDP. No double counting.

7 · NOMINAL AND REAL GDP; THE BASE YEAR

🧠 **UNDERSTAND IT FIRST**

If GDP doubles, did we make twice as much or did prices double? Nominal GDP uses today's prices, so it mixes both. Real GDP values every year at the same fixed prices, so only quantities can change. The year that supplies the fixed prices is the base year. It should look like today (so we can price a smartphone) and be a boring, shock-free year (so growth is not distorted).

✏ **EXAMPLE**

The handout's two traps: using 1980 would make telecom impossible to price; using Covid year 2020 as base would make 2021's recovery look like 20-25% growth. Base years are updated every 5 to 10 years.

MY NOTES

📐 Formulas of this section

NOMINAL GDP
P(current) × Q(current)
current prices

REAL GDP
Q(current) × P(base year)
constant prices

GROWTH
economic growth = % change in real GDP

Valuing output at different prices

	Nominal GDP	Real GDP
Formula	P(current year) · Q(current year)	Q(current year) · P(constant base-year price)
Prices	Current prices	Constant (e.g. previous year or a base year)
Use	Size of the economy at today's prices	Fair comparison of output across years, removing price changes. **Economic growth = % change in real GDP**

A **base year** provides the constant prices. The handout says the choice dictates the officially measured growth rate. A good base year has two properties:

- **Structurally similar** to the present (the "time machine" problem): the basket produced and consumed should resemble today's. Using 1980 would make telecom impossible to price (no smartphones or 5G then). So it should be as recent as possible, usually updated every **5 to 10 years.**
- **Stable** (avoiding the **base effect**): if 2020, a Covid year, were the base, 2021's recovery would look like 20-25% growth. A base year must be free of droughts, floods, pandemics, wars and policy shocks such as demonetisation. "It should be a boring year."

📘 FROM NCERT · XII MACROECONOMICS CH 2 §2.4 NOMINAL AND REAL GDP; GDP DEFLATOR, CPI, WPI

In plain words: NCERT gives one bread example for nominal and real GDP and then turns it into the GDP deflator, a price index the handout names only in its current-affairs note. It also compares three price indices with worked numbers. Take them as three small tables.

Link to the handout: Handout section 7 and the double-deflation current-affairs note (implicit GDP deflator).

MY NOTES

Step 1 · Nominal GDP, real GDP and the deflator (bread example)

- Because the volume of production is the same in both measures, any difference between nominal and real GDP is only due to the change in the price level between the base year and the current year. The ratio is an index of prices. A GNP deflator can be made the same way.
- The price of bread rose from Rs 10 to Rs 15, which is 1.5 times: the deflator agrees.

GDP DEFLATOR

GDP deflator = nominal GDP ÷ real GDP (× 100 for percentage)

NCERT: 1,650 ÷ 1,100 = 1.50, that is 150 per cent

Year	Bread produced	Price per bread (Rs)	GDP at current price (nominal)	Real GDP at 2000 prices
2000 (base year)	100	10	1,000	1,000
2001	110	15	1,650 (110 × 15)	1,100 (110 × 10)

Step 2 · Consumer Price Index (rice and cloth)

- CPI is the cost of a given basket bought by the representative consumer in the current year, expressed as a percentage of its cost in the base year.

Step	Base year 2000	Current year 2005
Prices: rice per kg / cloth per piece	Rs 10 / Rs 100	Rs 15 / Rs 120
Basket: 90 kg rice + 5 pieces cloth	Rs 900 + Rs 500 = Rs 1,400	Rs 1,350 + Rs 600 = Rs 1,950
CPI = current cost ÷ base cost × 100	100	1,950 ÷ 1,400 × 100 = 139.29 (approx.)

Step 3 · Why CPI and WPI differ from the GDP deflator

- **WPI** is the index of wholesale prices (goods traded in bulk, such as raw materials and semi-finished goods; not bought by ordinary consumers). Retail and wholesale prices differ because of the traders' margin. In the USA the wholesale index is called the Producer Price Index (PPI).

MY NOTES

	Consumer Price Index (CPI)	GDP deflator
Goods covered	Only goods bought by the representative consumer	All goods and services produced in the country
Imports	Includes prices of imported goods consumed	Does not include prices of imported goods
Weights	Constant	Differ with the production level of each good

NCERT differs: NCERT's definition of real GDP uses constant prices of a base year only. The handout also allows a previous year as the constant price. NCERT's example runs on a fixed old base year; the handout's point about choosing a recent, stable base year is not in NCERT. (*handout/teacher wins in class*)

⭐ REMEMBER

Nominal = P × Q (current). Real = Q × P (base). Growth = % change in real GDP. Base year: recent and boring.

8 · MARKET PRICE, BASIC PRICE AND FACTOR COST

🧠 UNDERSTAND IT FIRST

The buyer pays one price, the seller keeps a smaller one, and the factors of production take home a smaller one still. The gaps are taxes and subsidies. Product taxes are charged per unit (GST); production taxes are lump sums unrelated to volume (land revenue, stamp duty). Start from the price at the factory gate (basic price): add product taxes to get the market price, subtract production taxes to get factor cost.

✏ EXAMPLE

The handout's GST case: a ₹100 good plus 18% GST = ₹118 market price; the seller keeps ₹100. Headline form: GDP = GVA + net product taxes.

MY NOTES

Formulas of this section

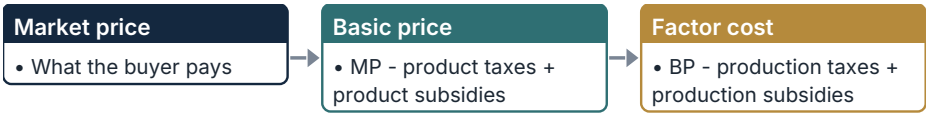
MARKET PRICE
MP = BP + product taxes − product subsidies
what the buyer pays

BASIC PRICE
BP = MP − product taxes + product subsidies
factory-gate price

FACTOR COST
FC = BP − production taxes + production subsidies
what the factors take home

HEADLINE FORM
GDP (MP) = GVA (BP) + net product taxes
GDP = GVA + net indirect taxes

THREE PRICES, ONE OUTPUT



Because of government taxes and subsidies, what the buyer pays differs from what the seller receives. Output can be valued at three prices:

Three prices

Price	Meaning	Relation
Market price (MP)	What the **buyer pays:** the sticker price. Closer to the consumer	MP = BP + product taxes − product subsidies
Basic price (BP)	What the seller actually wants to receive and keep: the "factory gate price"	BP = MP − product taxes + product subsidies
Factor cost (FC)	The cost attributable to the factors of production: what workers, landowners and capitalists take home. Closer to the producer	FC = BP − production taxes + production subsidies

Product versus production taxes and subsidies

	Product T and S	Production T and S
Basis	Levied or given on a **quantity** basis (per unit, per kg, per litre)	Independent of the volume of production: **lump sum**
Examples	GST (₹100 good + 18% GST = ₹118 market price, seller keeps ₹100); subsidies on LPG and fertilisers	Land revenue, stamp duties, a municipal factory licence fee; help for setting up in a backward region or for small-scale industry

GDP AT THE THREE PRICES

MY NOTES

GDP(BP) = GDP(MP) − product taxes + product subsidies, so **GDP(MP) = GDP(BP) + product taxes − product subsidies.**

GDP(FC) = GDP(BP) − production taxes + production subsidies.

Headline form: **GDP = GVA + net product taxes** (GDP at market prices = GVA at basic prices + product taxes − product subsidies).

THE EARLIER SIMPLE VERSION

The handout first introduces GDP(MP) = GDP(FC) + total indirect taxes − subsidies and says this was "nothing wrong" but incomplete: factor cost needs the production-level taxes and subsidies removed as well. **Rule for the exam hall:** use the BP step.

📘 FROM NCERT · XII MACROECONOMICS CH 2 §2.2.4 FACTOR COST, BASIC PRICES AND MARKET PRICES; TABLE 2.4; TABLE 2.5

In plain words: The handout builds the three prices carefully. NCERT states the same ladder in two lines and adds the history: India moved its headline measure in 2015. Then it gives real numbers for GVA and GDP. Notice where NCERT differs from itself.

Link to the handout: Handout section 8: MP = BP + product taxes − product subsidies; FC = BP − production taxes + production subsidies.

Step 1 · The ladder in NCERT's words

- Factor cost includes only payments to factors, no tax. Basic prices lie in between: they include production taxes (less subsidies) but not product taxes (less subsidies).

FACTOR COST TO BASIC PRICE

GVA at factor cost + net production taxes = GVA at basic prices

NCERT §2.2.4

BASIC PRICE TO MARKET PRICE

GVA at basic prices + net product taxes = GVA at market prices

NCERT §2.2.4

Tax type	NCERT's meaning	NCERT's examples
Production taxes and subsidies	Paid or received in relation to production; independent of the volume of production	Land revenues, stamp and registration fee

MY NOTES

Tax type	NCERT's meaning	NCERT's examples
Product taxes and subsidies	Paid or received per unit of product	Excise tax, service tax, export and import duties

Step 2 · What changed in India in 2015

- In its revision of January 2015 the Central Statistics Office (CSO) replaced GDP at factor cost with **GVA at basic prices** as the measure it highlights. GDP at market prices, now called only "GDP", became the most highlighted measure.
- The CSO releases GVA at basic prices. To reach GDP at market prices, add net product taxes to it.

Step 3 · NCERT's data (Table 2.5, constant 2024–25 prices, Rs crore)

- Arithmetic check, worked out here: 17187446 + 1609509 = 18796955, so GDP = GVA at basic prices + the tax row.

Item	Rs crore
GVA at basic prices	17187446
Net taxes row (NCERT's label: "net production taxes")	1609509
GDP (1 + 2)	18796955

NCERT differs: Table 2.5 labels the row "net production taxes", but §2.2.4 says GDP at market prices = GVA at basic prices + net **product** taxes. Use "product". Footnote 6 to the table also gives a CSO date of 2018 for a 2024–25 table: a printing slip. (*handout/teacher wins in class*)

NCERT differs: NCERT Table 2.4 says GDP at factor cost = GDP at market prices less net product taxes, and writes "NIT". Its text and rows for NDP, GNP and NNP at factor cost subtract **both** net product and net production taxes. It also says factor cost is "the prices of products as received by the producers". The handout defines basic price as what the seller receives and factor cost as what the factors take home. Handout wins. (*handout/teacher wins in class*)

NCERT differs: NCERT also names the earlier, simpler step: "to arrive at market prices we add to the factor cost the total indirect taxes less total subsidies". The handout calls this the earlier simple version; use the basic-price step. (*handout/teacher wins in class*)

MY NOTES

⭐ **REMEMBER**

MP = BP + product T − product S. FC = BP − production T + production S. BP in the middle.

9 · HOW INDIA ESTIMATES GDP

🧠 **UNDERSTAND IT FIRST**

India cannot survey every shop, so each part of the economy gets a different tool. Farming: sown area × yield × mandi price. Registered companies: their audited accounts (value added = revenue − intermediate expenses). The informal part: headcount × value added per worker. Where only a sample is known, the sample's share of the market blows it up to the whole.

✏ **EXAMPLE**

The handout's numbers: 10 lakh e-rickshaw drivers × ₹1.8 lakh = ₹18,000 crore. Blow-up: two firms with ₹100 crore value added hold 40% of the market (400 of 1,000 students surveyed), so the total is 100 crore ÷ 40% = ₹250 crore (10% would give ₹1,000 crore; 50% gives ₹200 crore).

📐 Formulas of this section

LABOUR INPUT METHOD

headcount × value added per worker

10 lakh × ₹1.8 lakh = ₹18,000 crore

CORPORATE VALUE ADDED

VA = revenue − intermediate expenses

MCA-21 balance sheets and P&L

BLOW-UP FACTOR

total = sample value added ÷ sample's market share

₹100 crore ÷ 40% = ₹250 crore

MY NOTES

HOW THE NSO ESTIMATES GDP

Step 1 · The global rulebook: SNA 2008
- UN System of National Accounts. India overhauled its GDP methodology in 2015 to align with it, so that numbers are comparable across years and countries

Step 2 · Slice the economy
- NSO under MoSPI defines the economic territory and splits the economy into agriculture, industry and services, then 8 official GVA sectors

Step 3 · Choose the tool for each sector
- Different methods for agriculture, organised corporate and unorganised sectors (below)

Step 4 · Extrapolate
- Scale the sample up to the sub-sector using secondary data and assumptions that are reasonable, standardised and replicable

Step 5 · From GVA to headline GDP
- Add the 8 sectors to get GVA at basic prices, then GDP(MP) = GVA(BP) + product taxes − product subsidies

Step 6 · Reality check
- Production-method GDP and expenditure-method AD rarely match (different data sources). The NSO gives primacy to the production method and adds a balancing "discrepancy" to the expenditure side

The eight GVA sectors

#	Sector
1	Agriculture, forestry and fishing
2	Mining and quarrying
3	Manufacturing
4	Electricity, gas, water supply and other utility services
5	Construction
6	Trade, hotels, transport, communication and broadcasting
7	Financial, real estate and professional services
8	Public administration, defence and other services

Method by sector

Sector	Method	Detail
Agriculture	Production method	Satellite data give **total sown area;** multiply by **yield per hectare;** multiply by mandi prices to get gross value
Organised corporate	Value added method using **MCA-21** (Ministry of Corporate Affairs database)	Every registered company uploads audited balance sheets and P&L; value added = revenue − intermediate expenses. The shift to MCA-21 in **2015** replaced the old **Annual Survey of Industries (ASI) establishment approach** (counting factory output) with an **enterprise approach** that also captures R&D labs, marketing and headquarters

MY NOTES

Sector	Method	Detail
Unorganised	**Labour input method** (Effective Labour Input)	Employment surveys (e.g. PLFS) give the **headcount;** a smaller survey gives **value added per worker;** multiply. Example: 10 lakh e-rickshaw drivers × ₹1.8 lakh a year = ₹18,000 crore

The informal sector is estimated at **60-90%** of the economy (the handout's range).

EXTRAPOLATION BY "BLOW-UP FACTOR" (THE RAJENDRA NAGAR COACHING EXAMPLE)

Two sample firms have a combined value added of ₹100 crore (from MCA-21). The NSO needs their share of the market. A survey of 1,000 students finds 400 study at the two firms, so they are 40% of the market.

Total output = 100 crore ÷ 40% = ₹250 crore. If they held 10% it would be ₹1,000 crore; at 50%, ₹200 crore. The same issue arises with Airtel, Jio and Vodafone: Airtel's rent and financial income must not be counted as telecom value added. This is why SNA 2008 rules are needed.

RECENT CHANGES (EARLY 2026): THE NEW BASE YEAR 2022-23

New base year 2022-23, seen as a "normal" post-Covid, post-GST stabilisation year reflecting a service-heavy, digital economy. The older 2011-12 had become distant.

Double deflation adopted for manufacturing and agriculture: inflation stripped separately from inputs and outputs (earlier: single deflation of output only).

High-frequency data directly integrated: GST collections, e-Vahan vehicle registrations, digital transactions.

Supply and Use Tables (SUT) reconcile the production and expenditure methods, reducing discrepancies.

📘 **FROM NCERT · XII MACROECONOMICS CH 2 TABLE 2.4 FOOTNOTE 5, APPENDIX 2.1-2.2 (TABLES 2.5, 2.6)**

In plain words: NCERT does not describe how India collects data, but it shows what the finished estimate looks like: the expenditure side of India's GDP with a row called "discrepancies". That row is why the handout talks about the production method being primary and the Supply and Use Tables reconciling the rest.

Link to the handout: Handout section 9: SNA 2008, 2015 overhaul, SUT reducing discrepancies.

MY NOTES

Step 1 · SNA 2008

- NCERT footnote: following the System of National Accounts 2008 (SNA 2008) given by the United Nations in partnership with other agencies, countries are switching to new aggregates. India shifted to these aggregates a few years back.

Step 2 · Components of GDP, expenditure side (NCERT Table 2.6; constant prices, 2024–25, Rs crore)

- Arithmetic, worked out here: 10619579 + 1707730 + 6923070 − 161292 − 292131 = 18796956, which is within 1 of the 18796955 of Table 2.5.
- Reading: the expenditure items do not sum exactly to the production-side GDP, so a balancing row "discrepancies" is needed. The handout's Supply and Use Tables aim to shrink exactly this row.

Item	As printed	Sign used in the sum (worked out here)
1 Private Final Consumption Expenditure (PFCE)	10619579	+
2 Government Final Consumption Expenditure (GFCE)	1707730	+
3 Gross Fixed Capital Formation (GFCF)	6333084	+
4 Change in Stocks	319228	+
5 Valuables	270758	+
Investment (3 + 4 + 5)	6923070	
6 Exports of Goods and Services	4068098	+
7 Imports of Goods and Services	4229390	−
Net Exports (6 − 7)	161292 (printed without a minus sign)	negative: 4068098 − 4229390 = −161292
8 Discrepancies	292131	negative: needed for the total to match
9 GDP	187955 (printed)	sums to about 18796955

NCERT differs: Printing slips in NCERT Table 2.6: the title says 2011–12 although the column is 2024–25; net exports are printed positive although imports exceed exports; the dis-

MY NOTES

crepancy has to be negative for the arithmetic to work; the GDP figure printed as 187955 has lost digits (Table 2.5 gives 18796955). (*handout/teacher wins in class*)

⭐ **REMEMBER**

Agriculture = production method; corporate = MCA-21 value added; unorganised = labour input; sample ÷ share = total.

10 · LIMITATIONS OF GDP

🧠 **UNDERSTAND IT FIRST**

GDP is a thermometer, not a diagnosis. It adds up rupees, so it does not know whether they went to schools or to casinos, whether one person holds nearly all of it, whether unpaid work happened, or whether a factory polluted a river. Prices alone can also lift it when no one is better off.

✏ **EXAMPLE**

The handout's illustrations: Country A and B both ₹1,000 crore but of different things; 10 people, GDP ₹100, per capita ₹10, yet one holds ₹99 and nine share ₹1; hire a maid and GDP rises; cut a forest and GDP rises, and so do the inhalers bought later.

Why GDP only approximates well-being

Limitation	Handout's illustration
Aggregate: ignores composition	Country A produces ₹1,000 crore of schools, hospitals and clean energy; Country B ₹1,000 crore of assault weapons, cigarettes and casinos. Same GDP, very different well-being (merit versus demerit)
Ignores inequality	10 people, GDP ₹100, per capita ₹10 looks fine, but one holds ₹99 and nine share ₹1
Counts only priced goods and services	Hire a maid and GDP rises; the family does it and it does not. India has large non-monetised sectors (subsistence farming, household care), so well-being is understated
Externalities	Cutting a forest raises GDP; a polluting factory raises GDP; the inhalers bought for the resulting asthma raise GDP too
Hard to estimate with a large informal sector and black money	Estimates less accurate; comparison unfair
Valued at price	Prices can rise from inflation, higher taxes or lower subsidies, which do not improve well-being

MY NOTES

MEMORY AID · SIX LIMITS OF GDP

B I C E P S

GDP flexes big BICEPS, yet muscle size is not well-being.

- **B** Black money and a large informal sector make estimates less accurate
- **I** Inequality is ignored: one person can hold ₹99 of ₹100
- **C** Composition is ignored: schools and weapons count alike
- **E** Externalities: a polluting factory and the inhalers both raise GDP
- **P** Prices can rise from inflation, higher taxes or lower subsidies
- **S** Services and goods with no price, like household care, are left out

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

📘 FROM NCERT · XII MACROECONOMICS CH 2 §2.5 GDP AND WELFARE

In plain words: NCERT gives three reasons GDP is not a welfare index, each with its own example. They map onto the handout's six limits, and the first has a neat number example you can reuse in an answer.

Link to the handout: Handout section 10: composition, inequality, unpriced work, externalities, informality, price effects.

Reason 1 · Distribution of GDP (NCERT's numbers)

- If welfare is judged by the share of people who are better off, GDP is not a good index. NCERT: to remove price effects use real GDP instead of nominal GDP.

	Year 2000	Year 2001 (prices unchanged)
People and income	100 individuals × Rs 10	90 individuals × Rs 9, and 10 individuals × Rs 20
GDP (income method)	Rs 1,000	90 × 9 = Rs 810; 10 × 20 = Rs 200; total Rs 1,010
Change		GDP up by Rs 10, yet 90% of people lost 10% of real income (Rs 10 to Rs 9) and 10% gained 100% (Rs 10 to Rs 20)

Reason 2 · Non-monetary exchanges

- Domestic services women perform at home are not paid for. Exchanges in the informal sector without money are **barter exchanges**: goods or services are directly exchanged. Since money is not used, they are not registered as economic activity.

MY NOTES

- This is common in remote, underdeveloped regions of developing countries and leads to an **underestimation** of GDP.

Reason 3 · Externalities

- **Externalities** are benefits (or harms) a firm or individual causes to another for which they are not paid (or penalised). There is no market in which they are bought and sold.
- NCERT's case: an oil refinery. Its value added counts in GDP, but it may pollute the nearby river, harming people who use the water and fishermen who lose their livelihood. GDP ignores this negative externality, so it **overestimates** welfare. With positive externalities, GDP **underestimates** welfare.

NCERT differs: NCERT has three reasons; the handout has six. NCERT does not give the handout's examples of the forest, inhalers or the maid. NCERT's inequality example uses 100 people; the handout's uses 10. *(handout/teacher wins in class)*

⭐ REMEMBER

Six limits: composition, inequality, unpriced work, externalities, informality, price effects.

11 · ALTERNATIVES TO GDP

🧠 UNDERSTAND IT FIRST

Since GDP cannot measure well-being, economists build other scorecards. Some correct for inequality (IHDI), some for gender (GDI, GII), some for the environment and unpaid work (Green GDP, GPI), some measure happiness (GNH) or hunger (GHI). HDI is the best known, with three ingredients: a long healthy life, knowledge, and a decent standard of living. GDP still remains king because it is standard, objective and available every quarter.

✏ EXAMPLE

The handout's HDI ingredients: life expectancy at birth; expected and mean years of schooling (age 25+); GNI per capita in PPP dollars. India is in the medium group. GHI is on a 100-point scale: 0 best, 100 worst.

MY NOTES

The eight alternatives

Index	What it is
1 · HDI	Proposed by Amartya Sen and Mahbub-ul-Haq to UNDP (the handout says **1980**), reported in the Human Development Reports. **Composite of three dimensions:** a long and healthy life (**life expectancy at birth**), knowledge (**expected years of schooling** and **mean years of schooling** for ages 25+), decent standard of living (**GNI per capita** in PPP international dollars). Groups: low, medium, high, very high. **India is in the medium category**
2 · IHDI (Inequality-adjusted HDI)	HDI "discounted" for inequality in health, education and income. If perfectly equal, HDI = IHDI
3 · GDI (Gender Development Index)	Gender gap in HDI: HDI of women compared with that of men
4 · GII (Gender Inequality Index)	Loss of achievement from gender inequality: reproductive health (maternal mortality), empowerment (women in parliament), labour-market participation
5 · GPI (Genuine Progress Indicator)	GDP **plus** unpaid volunteer and household work, **minus** costs of pollution, crime and resource depletion
6 · GNH (Gross National Happiness)	Pioneered by **Bhutan;** rejects pure materialism; **nine domains** including psychological well-being, cultural resilience, community vitality, ecological diversity
7 · Green GDP	GDP minus the monetary value of environmental degradation and depletion of natural capital
8 · GHI (Global Hunger Index)	100-point severity scale (**0 best, 100 worst**). Four indicators under three dimensions: **inadequate food supply; child undernutrition** (wasting and stunting in under-fives); **child mortality**

WHY GDP IS STILL "KING"

(i) Standardisation and objectivity: built on UN SNA 2008, calculated the same way everywhere; alternatives rely on subjective assumptions (how do you value "happiness"?).

(ii) Data availability: GDP is calculated regularly by almost every country, and can be done **quarterly,** a "real-time heartbeat monitor".

MY NOTES

HANDOUT ALERT: THE HDI YEAR

The handout says Sen and Mahbub-ul-Haq proposed the HDI to UNDP in **1980.** The handout also says the HDR has measured it "since then". **Rule for the exam hall:** treat the year as a detail to verify against your standard reference before quoting; the question is more likely to test the three dimensions.

📘 FROM NCERT · XI INDIAN ECONOMIC DEVELOPMENT CH 8 §8.5 TABLE 8.5; XII MACROECONOMICS CH 6 (PPP) AND GLOSSARY; XI CH 7

In plain words: The handout lists the alternatives to GDP. NCERT gives you real HDI numbers for India, China and Pakistan, a short critique of HDI, the meaning of PPP (used in HDI's income part), and the definition of sustainable development behind Green GDP.

Link to the handout: Handout section 11: HDI (three dimensions), Green GDP, GPI; GNI per capita in PPP.

Step 1 · NCERT Table 8.5 (HDI and related, 2017–2023; Human Development Report 2025)

- Reading: China is ahead of India, and India is ahead of Pakistan, on all five rows above.

Indicator	India	China	Pakistan
Human Development Index (value)	0.685	0.797	0.544
Rank (based on HDI)	130	78	168
Life expectancy at birth (years)	72.0	78.0	67.6
Mean years of schooling (aged 15 and above)	6.9	8.0	4.3
GNI per capita (PPP US $)	9,047	22,029	5,501

Step 2 · NCERT's caution about HDI

- NCERT: these indicators are extremely important but **not sufficient**. It suggests also needing measures like the extent of constitutional protection of citizens' rights, or of the independence of the judiciary and the rule of law, which have not even been introduced so far. Without them, a human development index may be said to be incomplete and its usefulness limited.

Step 3 · PPP in NCERT's words

- **Purchasing power parity**: a theory of international exchange which holds that the price of similar goods in different countries is the same (Glossary).

MY NOTES

- NCERT's example: a shirt costs $8 in the US and Rs 400 in India, so the rupee-dollar exchange rate should be Rs 50.

Step 4 · Sustainable development (the idea behind Green GDP)

- Sustainable development aims at promoting development that minimises environmental problems and meets the needs of the present generation without compromising the ability of future generations to meet their own needs. Adherence to it ensures lasting development and non-declining welfare for all.

NCERT differs: NCERT's Table 8.5 labels mean years of schooling as "aged 15 and above" and gives the unit as "%"; the handout says expected years of schooling and mean years of schooling for ages 25+. Keep the handout's definition. NCERT gives India's HDI value and rank but not the group name; the handout says medium. (*handout/teacher wins in class*)

⭐ **REMEMBER**

HDI = health + knowledge + income. IHDI adjusts for inequality. GDI and GII for gender. GPI and Green GDP for environment. GNH Bhutan. GHI hunger.

12 · THE FAMILY OF NATIONAL INCOME MEASURES

🧠 **UNDERSTAND IT FIRST**

National income is a family of totals, each one step from the next. Start at GDP, add what nationals earn abroad (GNP), take away wear and tear and indirect taxes to get National Income, then strip out what firms and government keep (PI), and finally the taxes households pay (PDI). Divide by people to get per capita income.

✏ **EXAMPLE**

The handout's chain: NI = GNP(MP) − indirect taxes + subsidies − depreciation; PI = NI − corporate taxes − undistributed profits − net interest paid by households + transfers; PDI = PI − personal taxes = consumption + savings. A brother's money from Dubai is a transfer, not income.

MY NOTES

📐 Formulas of this section

GNP

GNP = GDP + NFIA

NATIONAL INCOME

NI = NNP at factor cost = GNP(MP) − indirect taxes + subsidies − depreciation

PERSONAL INCOME

PI = NI − incomes not paid to households + other transfers to households

subtract CT, UP and net interest paid by households; add transfers

PERSONAL DISPOSABLE INCOME

PDI = PI − personal taxes = consumption + savings

PER CAPITA INCOME

PCI = GDP ÷ mid-year population

USE SIDE

TI = C + S + T

consumption, savings, taxes

Aggregate measures

Measure	Formula
Income approach	TI = R + P + W + Int
Expenditure approach	TI = AD = C + G + I + X − M
Production approach	TI = GDP = Σ VA_i = GVA
GNP (income of nationals)	GNP = GDP + NFIA
Income from the use side	TI = C + S + T (consumption, savings, taxes)

Average, headline and special measures

Group	Measure	Meaning
Average	**Per capita income (PCI)**	GDP ÷ mid-year population
	GNI per capita	GNP ÷ population, with NFIA = income earned by Indians outside India − income earned by foreigners in India
Headline	**GDP**	GDP(MP), i.e. nominal GDP
	GVA	GVA(BP); GDP(MP) = GDP(BP) + product taxes − product subsidies; **GDP = GVA + net indirect taxes**
	Economic growth	% change in **real** GDP

MY NOTES

Group	Measure	Meaning
	National Income (NI)	**NI = NNP at factor cost = GNP(MP) − indirect taxes + subsidies − depreciation**
Special	**Personal income (PI)**	Household income. **PI = NI − incomes not paid to households + other transfers to households.** Subtract corporate taxes (CT), undistributed profits (UP) and net interest paid by households; add transfers by firms or government to households (bonuses, welfare transfers, scholarships)
	Personal disposable income (PDI)	**PDI = PI − personal taxes** (income, property, professional). PDI = consumption + savings

TRANSFERS

Transfers (for example money from a brother in Dubai) are **not income;** they are only a transfer of the right to spend income earned by someone else. Counting them in GDP would double count. But when the money is spent, it becomes consumption (C), and the circular flow lifts B and A.

📘 FROM NCERT · XII MACROECONOMICS CH 2 §2.3 AND TABLE 2.4, FIG. 2.3

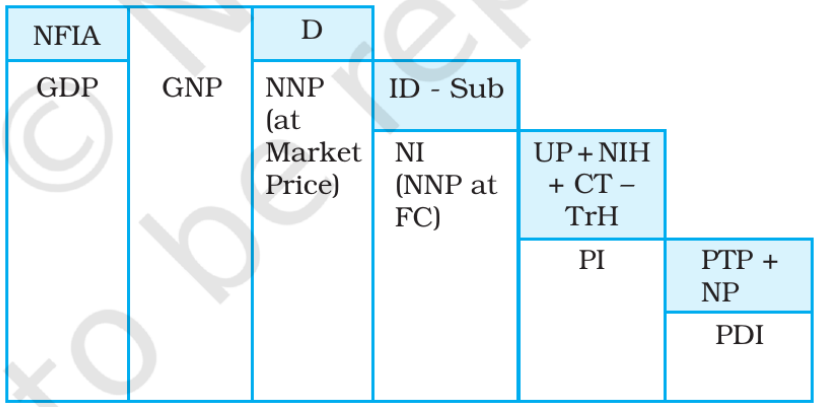
In plain words: This is NCERT's ladder of aggregates in full. The handout gives the family in two tables; NCERT gives the same ladder as a staircase picture and adds two measures the handout skips: National Disposable Income and Private Income. Follow the staircase from left to right.

Link to the handout: Handout section 12: GNP, NI, PI, PDI, and the transfers note.

Step 1 · The staircase

Step	Operation	Result
1	GDP + NFIA	GNP
2	GNP − depreciation	NNP at market prices
3	NNP − (indirect taxes − subsidies)	NNP at factor cost = National Income (NI)
4	NI − UP − NIH − CT + transfers to households (TrH)	Personal Income (PI)
5	PI − personal tax payments − non-tax payments (fines)	Personal Disposable Income (PDI)

MY NOTES



NCERT Fig. 2.3, original: subcategories of aggregate income. Read left to right: GDP; plus NFIA gives GNP; minus D (depreciation) gives NNP at market price; minus ID – Sub (indirect taxes less subsidies) gives NI (NNP at factor cost); minus UP + NIH + CT – TrH gives PI; minus PTP + NP gives PDI. NFIA: net factor income from abroad; UP: undistributed profits; NIH: net interest paid by households; CT: corporate taxes; TrH: transfers received by households; PTP: personal tax payments; NP: non-tax payments.

Step 2 · Why each item is added or taken away

- **Depreciation** does not become part of anybody's income. **Indirect taxes** accrue to the government, so deduct them to reach what factors receive; **subsidies** are added back.
- **Undistributed profits** and **corporate tax** do not reach households. Households receive and pay interest, so subtract the **net interest paid by households** (paid less received). **Transfer payments** (pensions, scholarships, prizes) from government and firms are added.
- PDI is the part of aggregate income that belongs to households; they may consume part of it and save the rest.

Step 3 · Two extra measures in NCERT

NATIONAL DISPOSABLE INCOME

NDI = NNP at market prices + other current transfers from the rest of the world

gifts, aids; the maximum goods and services the economy has at its disposal

PRIVATE INCOME

factor income from net domestic product accruing to the private sector + national debt interest + NFIA + current transfers from government + other net transfers from the rest of the world

NCERT, "other aggregate income categories used in India"

Step 4 · The eleven aggregates of NCERT Table 2.4

- NCERT: NDP shows how much the country has to spend just to maintain its current GDP; NNP is a measure of how much a

MY NOTES

country can consume in a given period. If capital lost through depreciation is not replaced, GDP will fall.

#	Aggregate	NCERT's formula
1	GDP at market prices	C + I + G + X − M
2	GDP at factor cost	GDP_{MP} − net indirect taxes (NIT)
3	NDP at market prices	GDP_{MP} − depreciation
4	NDP at factor cost	NDP_{MP} − net product taxes − net production taxes
5	GNP at market prices	GDP_{MP} + NFIA
6	GNP at factor cost	GNP_{MP} − net product taxes − net production taxes
7	NNP at market prices	GNP_{MP} − depreciation = NDP_{MP} + NFIA
8	NNP at factor cost = National Income	NNP_{MP} − net product taxes − net production taxes = NDP_{FC} + NFIA
9	GVA at market prices	= GDP at market prices
10	GVA at basic prices	GVA_{MP} − net product taxes
11	GVA at factor cost	GVA at basic prices − net production taxes

NCERT differs: The handout's PDI subtracts only personal taxes; NCERT also subtracts **non-tax payments** such as fines. The handout's PI says "incomes not paid to households"; NCERT lists them: undistributed profits, corporate tax, net interest paid by households. *(handout/teacher wins in class)*

NCERT differs: Row 2 of NCERT's Table 2.4 is inconsistent with rows 4, 6 and 8 (see section 8). Use: factor cost = market price − net product taxes − net production taxes. *(handout/teacher wins in class)*

NCERT differs: The handout's NI formula says "− indirect taxes + subsidies": same as NCERT's "− (indirect taxes − subsidies)". *(handout/teacher wins in class)*

⭐ **REMEMBER**

GDP → +NFIA → GNP → −dep → NNP → −net indirect taxes → NI → PI → PDI.

MY NOTES

FORMULA SHEET, NUMBER CARD AND DRILLS

MY NOTES

📐 FORMULA SHEET: COVER THE THIRD COLUMN, SAY THE FORMULA, THEN CHECK

Where	Name	Formula	Source
Sec 2	Circular flow	**A = B = C**	handout
Sec 3	Leakages	**S, T, M ⇒ A, B or C shrinks**	handout
Sec 3	Injections	**I, G, X ⇒ A, B or C expands**	handout
Sec 3	Growth rule	**economy grows only if injections > leakages**	handout
Sec 4	Income approach	**TI = R + P + W + Int**	handout
Sec 4	Expenditure approach	**TI = AD = C + G + I + X − M**	handout
Sec 4	Production approach	**TI = GDP = Σ VA_i = GVA**	handout
Sec 5	GNP	**GNP = GDP + NFIA**	handout
Sec 6	Value added	**VA_i = output value − input value**	handout
Sec 6	GDP by value added	**GDP = Σ VA_i = GVA**	handout
Sec 7	Nominal GDP	**P(current) × Q(current)**	handout
Sec 7	Real GDP	**Q(current) × P(base year)**	handout
Sec 7	Growth	**economic growth = % change in real GDP**	handout
Sec 8	Market price	**MP = BP + product taxes − product subsidies**	handout
Sec 8	Basic price	**BP = MP − product taxes + product subsidies**	handout
Sec 8	Factor cost	**FC = BP − production taxes + production subsidies**	handout
Sec 8	Headline form	**GDP (MP) = GVA (BP) + net product taxes**	handout
Sec 9	Labour input method	**headcount × value added per worker**	handout
Sec 9	Corporate value added	**VA = revenue − intermediate expenses**	handout
Sec 9	Blow-up factor	**total = sample value added ÷ sample's market share**	handout
Sec 12	GNP	**GNP = GDP + NFIA**	handout

MY NOTES

Where	Name	Formula	Source
Sec 12	National Income	**NI = NNP at factor cost = GNP(MP) − indirect taxes + subsidies − depreciation**	handout
Sec 12	Personal income	**PI = NI − incomes not paid to households + other transfers to households**	handout
Sec 12	Personal disposable income	**PDI = PI − personal taxes = consumption + savings**	handout
Sec 12	Per capita income	**PCI = GDP ÷ mid-year population**	handout
Sec 12	Use side	**TI = C + S + T**	handout
Sec 4	Revenue of all firms	$\Sigma RV_i \equiv (C - C_m) + (I - I_m) + (G - G_m) + X$	NCERT
Sec 4	GDP, expenditure	**GDP ≡ C + I + G + X − M**	NCERT
Sec 4	GDP, income	**GDP ≡ W + P + In + R**	NCERT
Sec 4	GDP, product	$GDP \equiv \Sigma GVA_i$	NCERT
Sec 4	All three	$GDP \equiv \Sigma GVA_i \equiv C + I + G + X - M \equiv W + P + In + R$	NCERT
Sec 5	GNP	**GNP ≡ GDP + factor income earned by the domestic factors of production employed in the rest of the world − factor income earned by the factors of production of the rest of the world employed in the domestic economy**	NCERT
Sec 5	Short form	**GNP ≡ GDP + NFIA**	NCERT
Sec 6	Gross value added	**GVA = value of production − intermediate goods**	NCERT
Sec 6	Net value added	**NVA = GVA − depreciation**	NCERT
Sec 6	GVA of firm i	$GVA_i \equiv Q_i - Z_i \equiv V_i + A_i - Z_i$	NCERT
Sec 6	Net value added	$NVA_i \equiv GVA_i - D_i$	NCERT
Sec 7	GDP deflator	**GDP deflator = nominal GDP ÷ real GDP (× 100 for percentage)**	NCERT

MY NOTES

Where	Name	Formula	Source
Sec 8	Factor cost to basic price	**GVA at factor cost + net production taxes = GVA at basic prices**	NCERT
Sec 8	Basic price to market price	**GVA at basic prices + net product taxes = GVA at market prices**	NCERT
Sec 12	National Disposable Income	**NDI = NNP at market prices + other current transfers from the rest of the world**	NCERT
Sec 12	Private Income	**factor income from net domestic product accruing to the private sector + national debt interest + NFIA + current transfers from government + other net transfers from the rest of the world**	NCERT
Sec end	GNP deflator	**nominal GNP ÷ real GNP × 100**	NCERT

🔢 NUMBER CARD: FIGURES TO HOLD

- **A = B = C** income = production = expenditure over a year
- **C + G + I + X − M** expenditure approach (AD)
- **₹2,20,000** wheat-atta-bread-sandwich GVA = GDP
- **1,00,000 / 40,000** farmer value added / each later maker
- **₹118** market price of a ₹100 good with 18% GST
- **5 to 10 years** how often the base year is updated
- **20-25%** fake 2021 growth if Covid 2020 were the base
- **60-90%** handout's range for the informal share
- **₹18,000 crore** 10 lakh e-rickshaws × ₹1.8 lakh
- **₹250 crore** blow-up: ₹100 crore ÷ 40%
- **2008** SNA 2008
- **2015** GDP methodology overhaul; MCA-21
- **2022-23** new base year (replaces 2011-12); double deflation, SUT
- **8** GVA sectors; also 8 alternatives to GDP
- **7.8% / 10.3% / 2.3%** Q1 FY27 real GDP, nominal GDP, implicit deflator

MY NOTES

✏ BLANK-PAGE DRILL: DRAW THESE FROM MEMORY, THEN CHECK

- Redraw the handout's circular flow figure (CFIM): firms and households, A = incomes, B = production, C = expenditure, assumptions below it (section 2).
- Redraw the handout's multi-sectoral figure: dotted leakages (S, T, M) and solid injections (I, G, X) (section 3).
- Write the value-added table of the wheat economy, then the chain GDP → GNP → NNP → NI → PI → PDI with the operation between each step (sections 6 and 12).

NCERT CHECKLIST: END BOXES, QUESTIONS, KEY CONCEPTS

📘 FROM NCERT · XII MACROECONOMICS CH 2 EXERCISES 7 TO 11, WORKED OUT HERE

In plain words: NCERT's numerical exercises are the best practice for the formula chapter. Each is solved below in small steps from the staircase in section 12. Every result is worked out here from NCERT's own figures; try each question yourself first.

Link to the handout: Sections 7, 8 and 12: deflator, factor cost, the staircase.

Exercise 7 · Find depreciation

- Step 1: GNP = GDP + NFIA = 1,100 + 100 = 1,200. Step 2: NNP at market price = NI + net indirect taxes = 850 + 150 = 1,000. Step 3: depreciation = GNP − NNP = 1,200 − 1,000 = **Rs 200 crore**.

Given	Rs crore
GDP at market price	1,100
Net factor income from abroad	100
Indirect taxes − subsidies	150
National Income	850

Exercise 8 · Find transfer payments

- Worked out here. Step 1: PI = PDI + personal tax = 1,200 + 600 = 1,800. Step 2: PI = NI − retained earnings + transfers (no interest; corporate tax is not given, so taken as nil), so 1,800 = 1,900 − 200 + transfers. Step 3: transfers = **Rs 100 crore**.

Given	Rs crore
NNP at factor cost (= NI)	1,900
Personal disposable income	1,200
Personal income taxes paid	600

MY NOTES

Given	Rs crore
Retained earnings of firms and government	200
Interest payments	none

Exercise 9 · Personal Income and Personal Disposable Income

Step	Working	Rs crore
NDP at factor cost	given	8,000
+ NFIA = National Income (worked out here)	8,000 + 200	8,200
− Undisbursed profit (worked out here)	8,200 − 1,000	7,200
− Corporate tax (worked out here)	7,200 − 500	6,700
− Net interest paid by households (paid 1,200 − received 1,500 = −300) (worked out here)	6,700 + 300	7,000
+ Transfer income (worked out here)	7,000 + 300	**7,300 = PI**
− Personal tax (worked out here)	7,300 − 500	**6,800 = PDI**

Exercise 10 · Raju the barber

- Reading used: no transfers or interest and no corporate tax in this one-man business, so only retained earnings come out between NI and PI.

Measure	Working	Rs
(a) GDP (gross, at market price)	haircut receipts	500
(b) NNP at market price	500 − 50 (depreciation)	450
(c) NNP at factor cost (worked out here)	450 − 30 (sales tax)	420
(d) Personal income (worked out here)	420 − 220 (retained for equipment)	200
(e) Personal disposable income (worked out here)	200 − 20 (income tax)	180

Exercise 11 · GNP deflator

- Worked out here: 2,500 ÷ 3,000 × 100 = 83.33 per cent. The deflator is below 100, so the price level has **fallen** between the base year and this year.

GNP DEFLATOR

nominal GNP ÷ real GNP × 100

Rs 2,500 crore ÷ Rs 3,000 crore × 100

MY NOTES

📘 NCERT PARTS WITH NO MATCHING HANDOUT SECTION (READ THEM FROM NCERT)

- **XII Macro Ch 2 Exercise 6**: Budget deficit and trade deficit (Budget and Open Economy chapters)
- **XII Macro Ch 4**: Determination of income and employment: aggregate demand, multiplier, investment and saving functions
- **XII Macro Ch 6**: Open economy: balance of payments, exchange rates (only PPP is used above)
- **XI Ch 8 Development experiences of India: comparison with neighbours**: GDP growth by sector for India, China, Pakistan and the other indicators of Table 8.5 (mortality, sanitation, water, undernourishment)
- **XI Ch 7 Environment and sustainable development**: Four functions of the environment, global warming, ozone depletion, India's environmental problems and strategies

📘 NCERT KEY CONCEPTS: TICK EACH WHEN YOU CAN DEFINE IT

☐ Final goods ☐ Consumption goods ☐ Consumer durables
☐ Capital goods ☐ Intermediate goods ☐ Stocks ☐ Flows
☐ Gross investment ☐ Net investment ☐ Depreciation
☐ Wage ☐ Interest ☐ Profit ☐ Rent
☐ Circular flow of income
☐ Product method of calculating National Income
☐ Expenditure method of calculating National Income
☐ Income method of calculating National Income
☐ Macroeconomic model ☐ Input ☐ Value added
☐ Inventories ☐ Planned change in inventories
☐ Unplanned change in inventories
☐ Gross Domestic Product (GDP) ☐ Net Domestic Product (NDP)
☐ Gross National Product (GNP)
☐ Net National Product (NNP) (at market price)
☐ NNP (at factor cost) or National Income (NI)
☐ Undistributed profits
☐ Net interest payments made by households ☐ Corporate tax
☐ Transfer payments to the households from the government and firms
☐ Personal Income (PI) ☐ Personal tax payments
☐ Non-tax payments ☐ Personal Disposable Income (PDI)
☐ National Disposable Income ☐ Private Income

MY NOTES

☐ Nominal GDP ☐ Real GDP ☐ Base year ☐ GDP Deflator ☐ Consumer Price Index (CPI) ☐ Wholesale Price Index (WPI) ☐ Externalities

📘 NCERT'S OWN END-OF-CHAPTER QUESTIONS: CAN YOU ANSWER EACH FROM THESE NOTES?

NCERT question	Answer lives in
Q1: What are the four factors of production and what are the remunerations to each of these called?	Section 1 + NCERT box
Q2: Why should the aggregate final expenditure of an economy be equal to the aggregate factor payments? Explain.	Sections 2-3 + NCERT §2.2
Q3: Distinguish between stock and flow. Between net investment and capital which is a stock and which is a flow? Compare with the flow of water into a tank.	Chapter 4 section 8
Q4: Difference between planned and unplanned inventory accumulation? Relation between change in inventories and value added of a firm.	Chapter 4 section 8 and this chapter section 6
Q5: Write down the three identities of calculating the GDP by the three methods. Also briefly explain why each should give us the same value of GDP.	Section 4 + NCERT §2.2
Q7: GDP at market price Rs 1,100 crores, NFIA Rs 100 crores, indirect taxes – subsidies Rs 150 crores, National Income Rs 850 crores. Calculate depreciation.	End box
Q8: NNP at factor cost Rs 1,900 crores ... What is the value of transfer payments?	End box
Q9: From the following data, calculate Personal Income and Personal Disposable Income.	End box
Q10: Raju, the barber ... complete Raju's contribution to GDP, NNP at market price, NNP at factor cost, Personal income, Personal disposable income.	End box
Q11: Nominal GNP Rs 2,500 crores; GNP at base-year prices Rs 3,000 crores. Calculate the GNP deflator in percentage terms. Has the price level risen?	End box and section 7
Q12: Write down some of the limitations of using GDP as an index of welfare of a country.	Section 10 + NCERT §2.5

MY NOTES

ABBREVIATION COLUMN

Every short form used in this chapter, expanded.

GDP = Gross Domestic Product — value of all final goods and services produced inside a country in a year

NCERT = National Council of Educational Research and Training — publisher of the school textbooks the teacher calls "very, very important"

GVA = Gross Value Added — output minus intermediate consumption; GDP = GVA + taxes − subsidies

GNP = Gross National Product — GDP + net income from abroad

MP = Madhya Pradesh — Indian state

NNP = Net National Product — GNP minus depreciation

NFIA = Net Factor Income from Abroad — income earned by nationals abroad minus income earned by foreigners at home; GNP = GDP + NFIA

PI = Personal Income — the part of national income that reaches households

NI = National Income — NNP at factor cost: the income earned by a country's factors of production

HDI = Human Development Index — a score of health, education and income used to rank countries

PDI = Personal Disposable Income — personal income minus personal taxes; what households can consume or save

TI = Total Income — handout's symbol for national income measured by any of the three approaches

VA = Value Added — output value minus the value of inputs bought

FC = Finance Commission — constitutional body that divides the divisible tax pool between Centre and States

NDP = Net Domestic Product — GDP minus depreciation

PPP = Public-Private Partnership — joint working of government and private firms (also purchasing power parity elsewhere)

GST = Goods and Services Tax — common indirect tax on goods and services

AD = Authorized Dealer — bank licensed to convert currency (also Aggregate Demand elsewhere)

CPI = Consumer Price Index — tracks the price of a retail basket of goods and services that households buy

MCA-21 = Ministry of Corporate Affairs database (MCA21) — audited company accounts used to estimate corporate value added

SNA = System of National Accounts — UN rulebook for measuring national income (2008 version)

CFIM = Circular Flow of Income Model — two-sector loop where income, production and expenditure are equal

CT = Corporate Tax — tax on firms' earnings; does not reach households

GHI = Global Hunger Index — ranks countries on hunger

GNI = Gross National Income — income earned by a country's residents, used to group countries by income

MY NOTES

GPI = Genuine Progress Indicator — GDP plus unpaid work, minus costs of pollution, crime and depletion

IHDI = Inequality-adjusted HDI — HDI discounted for inequality

UN = United Nations — world body of states founded in 1945

WPI = Wholesale Price Index — tracks prices at the wholesale (trade) level; released by the Office of the Economic Adviser

CSO = Central Statistics Office — earlier name of the body that now works as the NSO

GDI = Gender Development Index — women's HDI compared with men's

GII = Gender Inequality Index — loss of achievement from gender inequality

GNH = Gross National Happiness — Bhutan's well-being measure across nine domains

NVA = Net Value Added — gross value added minus depreciation

SUT = Supply and Use Tables — tables that reconcile the production and expenditure methods

ET = Economic Territory — area whose production counts as the nation's

NIH = Net Interest paid by Households — interest paid by households less interest received

NSO = National Statistical Office — under MoSPI; compiles CPI and national accounts

PCI = Per Capita Income — GDP divided by mid-year population

IMF = International Monetary Fund — crisis manager of the BoP

NDI = National Disposable Income — NNP at market prices plus other current transfers from abroad

NIA = National Income Accounting — systematic recording of a nation's income, production and expenditure

NIT = Net Indirect Taxes — indirect taxes minus subsidies

NP = Non-tax Payments — payments by households such as fines

P&L = Profit and Loss account — company statement of revenue, expenses and profit

PPI = Producer Price Index — tracks prices received by producers at the factory gate; India has no official PPI yet

PTP = Personal Tax Payments — taxes on individuals such as income tax

RV = Revenue of a firm — sum of final expenditures received by the firm

UNDP = United Nations Development Programme — UN body that publishes the Human Development Report

US = United States — a country

WHO = World Health Organization — UN health agency (extraterritorial office in India)

ASI = Annual Survey of Industries — factory survey, replaced by MCA-21 for corporate GDP

EEZ = Exclusive Economic Zone — sea area where a country has exclusive rights of exploitation

FY27 = Financial Year 2026-27 — April 2026 to March 2027

GFCE = Government Final Consumption Expenditure — government spending on goods and services for consumption

GFCF = Gross Fixed Capital Formation — spending on new fixed assets such as machines, buildings and housing

MY NOTES

HDR = Human Development Report — UNDP's yearly report that publishes the HDI

LPG = Liberalisation, Privatisation, Globalisation — 1991 reforms

MSM = Multi-Sectoral Model — circular flow with savings, taxes, imports, investment, government spending and exports

MoSPI = Ministry of Statistics and Programme Implementation — government ministry that releases the CPI, GDP and PLFS data

PFCE = Private Final Consumption Expenditure — households' spending on consumption

PLFS = Periodic Labour Force Survey — official survey of jobs and unemployment

R&D = Research and Development — spending on new products and processes

RBI = Reserve Bank of India — central bank

SEBI = Securities and Exchange Board of India — regulator of the securities market

USA = United States of America — country

Meanings are plain-language aids; verify before quoting in an answer.

MY NOTES

CURRENT AFFAIRS

Annual Survey of Industries (ASI) 2024-25

September 2026 Prelims · Mains

MoSPI released ASI results for FY 2024-25.

Conducted by NSO under MoSPI; collection under the Collection of Statistics Act, 2008 (amended 2017). Covers factories under the Factories Act, 1948, bidi and cigar units, non-CEA electricity undertakings, and units with 100+ employees on the Business Register. Factory threshold used: 10+ workers with power or 20+ without. OSH Code 2020 raises the licence threshold to 20 with power and 40 without.

Top factories: Tamil Nadu, Gujarat, Maharashtra. Tamil Nadu, Maharashtra, Gujarat, Uttar Pradesh and Haryana account for about 56% of manufacturing employment. Top GVA states: Maharashtra, Gujarat, Tamil Nadu, Karnataka, Uttar Pradesh. Top GVA industries: basic metals, motor vehicles, chemicals, pharmaceuticals, food products. Top employers: food products, textiles, basic metals, motor vehicles.

Positives: employment growth 7.19% (5.92% last year); GVA 9.59% with input costs (7.47%) slower than output (7.81%); wages 12.08% faster than GVA and profits (7.73%); fixed capital 10.54% (capital deepening).

Concerns: regional and sectoral concentration (five industries over 45% of GVA); capital growing faster than output and jobs (capital intensity may limit jobs).

Way forward: reward domestic value addition in PLI; industrial corridors and plug-and-play parks in lagging states; support labour-intensive sectors (food processing, textiles, footwear, toys); skilling and MSME technology.

> PRELIMS FODDER
>
> ASI = annual structure of registered manufacturing; IIP = short-term volume changes; ASUSE = unincorporated non-agricultural enterprises.

> MAINS FODDER
>
> **Examples:** PLI and mobile phones; Tamil Nadu dispersed industrialisation and women in factory jobs. China and Vietnam manufacturing about **25%** of GDP.

Keywords Capital deepening · Labour-intensive manufacturing · Regional industrial imbalance · Productivity-wage nexus

Double deflation in GDP estimation

September 2026 Prelims

Q1 FY27 real GDP grew **7.8%** *and nominal GDP* **10.3%**, *an implicit GDP deflator of about* **2.3%**.

GDP deflator: change in prices of all domestically produced goods and services, from nominal and real GDP.

The new **2022-23** base series makes wider use of double deflation: real GVA estimated by deflating output and intermediate inputs separately (GVA = output minus intermediate inputs), more accurate when their prices move differently, especially in manufacturing.

Keywords Double deflation · GDP deflator · GVA · base year 2022-23

TIMELINE AND NUMBERS

When	What
1980	HDI proposed by Sen and Mahbub-ul-Haq to UNDP (the handout's date; see alert)
2008	SNA 2008 published by the UN
2011-12	Earlier base year for GDP (replaced by 2022-23)
2015	India overhauls GDP methodology to align with SNA 2008; shift to MCA-21 and the enterprise approach ★
2015	PYQs on real versus nominal GDP and the tax-to-GDP ratio
2018	PYQ: real GNP growth does not mean development if poverty and unemployment increase
2022-23	New base year introduced in early 2026; double deflation and SUT ★

MY NOTES

CONNECTS TO OTHER CHAPTERS

Where	Why
Chapter 4: Basic Concepts	The handout calls this chapter the formal start after Chapter 4: final versus intermediate goods, GCF and depreciation (CFC for NDP and NNP) are used here.
Chapter 3: Unemployment	The SNA production boundary decides what counts as employment; the PLFS supplies the headcount for the labour input method.
Chapter 2: Inequality	GDP is blind to inequality; IHDI and the Gini carry the same idea. The handout refers back to "the inequality chapter" for the meaning of income.
Chapter 1: Poverty	The 2018 PYQ links real GNP to poverty and unemployment; HDI and GHI are well-being measures alongside poverty measures.
GST and Budget handouts	Product taxes (GST) move GDP between basic and market prices; taxes and subsidies are the fiscal side of MP, BP and FC.

MAINS ANSWER SKELETONS

EXPLAIN THE CIRCULAR FLOW OF INCOME AND SHOW WHY INCOME, PRODUCTION AND EXPENDITURE ARE EQUAL.

Intro: The economy is a loop in which one party's expenditure is another's income.

- CFIM: two sectors, A (incomes) = B (production) = C (expenditure) under no saving, inventory, government or trade.
- MSM: drop the assumptions; leakages S, T, M and injections I, X, G; dynamic equilibrium.
- Adjustment: C falls, then B, then A; government spending lifts C, B, A.
- Over a year they settle: A = B = C.

Close: The three ways of measuring national income are three views of one loop.

WHY IS GDP CALCULATED BY THE VALUE-ADDED METHOD? ILLUSTRATE.

Intro: Final and intermediate goods cannot be told apart at the point of production.

- Every producer sees its output as final.
- VA = output – inputs; GDP = Σ VA = GVA.
- Wheat-atta-bread-sandwich: 1L + 40k + 40k + 40k = 2.2L.
- Avoids double counting.

Close: Add the value each producer adds, and the final total takes care of itself.

DISTINGUISH BETWEEN MARKET PRICE, BASIC PRICE AND FACTOR COST. HOW DO THEY LINK GDP AND GVA?

MY NOTES

Intro: The same output looks different to buyer, seller and the factors.

- MP = BP + product taxes − product subsidies.
- FC = BP − production taxes + production subsidies.
- Product versus production: per-unit versus lump-sum.
- GDP(MP) = GVA(BP) + net product taxes.

Close: Taxes and subsidies sit between what you pay and what factors earn.

HOW DOES INDIA ESTIMATE GDP, INCLUDING THE INFORMAL SECTOR? WHAT HAS CHANGED WITH THE 2022-23 BASE YEAR?

Intro: India follows SNA 2008 and uses a different tool for each part of the economy.

- 8 GVA sectors; agriculture by sown area × yield × price.
- Corporate sector by MCA-21; the 2015 switch to the enterprise approach.
- Unorganised by labour input: headcount × value added per worker.
- Extrapolation with a blow-up factor; production method primacy and a discrepancy.
- 2022-23 base, double deflation, GST and e-Vahan data, SUT.

Close: GDP in India is an estimate, made reliable by standard rules.

WHY DO ECONOMISTS PROPOSE ALTERNATIVES TO GDP, AND WHY DOES GDP STILL DOMINATE?

Intro: GDP measures income, which only approximates well-being.

- Limitations: merit versus demerit, inequality, unpriced work, externalities, informality, inflation.
- Alternatives: HDI, IHDI, GDI, GII, GPI, GNH, Green GDP, GHI.
- GDP wins on standardisation and objectivity, and on regular data (quarterly).
- Use GDP with the others.

Close: GDP is the thermometer: indispensable but not a diagnosis.

PAST-YEAR QUESTIONS · 6 PRELIMS AND 4 MAINS QUESTIONS FROM THE SAARTHI SUBJECT-WISE SHEETS

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question

MY NOTES

2 · CIRCULAR FLOW OF INCOME MODEL (CFIM) 1 Prelims · 0 Mains

Prelims 2022

Which of the following activities constitute a real sector in the economy ?

1. Farmers harvesting their crops
2. Textile mills converting raw cotton into fabrics
3. A commercial bank lending money to a trading company
4. A corporate body issuing Rupee Denominated Bonds overseas

Select the correct answer using the code given below :

(a) 1 and 2 only
(b) 2, 3 and 4 only
(c) 1, 3 and 4 only
(d) 1, 2, 3 and 4

Answer: **(a)** 1 and 2 only

4 · THE THREE APPROACHES TO MEASURING NATIONAL INCOME 1 Prelims · 0 Mains

Prelims 2013

The National Income of a country for a given period is equal to the:

(a) Total value of goods and services produced by the nationals.
(b) Sum of total consumption and investment expenditure.
(c) Sum of personal income of all individuals.
(d) Money value of final goods and services produced.

Answer: **(d)** Money value of final goods and services produced.

7 · NOMINAL AND REAL GDP; THE BASE YEAR 1 Prelims · 0 Mains

Prelims 2022

With reference to the Indian economy, consider the following statements:

1. An increase in Nominal Effective Exchange Rate (NEER) indicates the appreciation of rupee.
2. An increase in the Real Effective Exchange Rate (REER) indicates an improvement in trade competitiveness.
3. An increasing trend in domestic inflation relative to inflation in other countries is likely to cause an increasing divergence between NEER and REER.

Which of the above statements are correct ?

(a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(c)** 1 and 3 only

MY NOTES

9 · HOW INDIA ESTIMATES GDP 2 Prelims · 3 Mains

Prelims 2015

With reference to India economy, consider the following statements:

1. The rate of growth of real Gross Domestic Product has steadily increased in the last decade.
2. The Gross Domestic Product at market prices (in rupees) has steadily increased in the last decade.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(b)** 2 only

Prelims 2011

In the context of Indian economy, consider the following statements:

1. The growth rate of GDP has steadily increased in the last five years.
2. The growth rate in per capita income has steadily increased in the last five years.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(d)** Neither 1 nor 2

Mains 2021 10 marks GDP Methodology

Explain the difference between computing methodology of India's Gross Domestic Product (GDP) before the year 2015 and after the year 2015.

KEYWORDS: GDP methodology | base year | GVA | market price | factor cost

Mains 2021 15 marks V-Shaped Economic Recovery

Do you agree that the Indian economy has recently experienced V- shapes recovery? Give reasons in support of your answer.

KEYWORDS: GDP | recovery | reasons | agree

Mains 2020 10 marks Potential GDP

Define potential GDP and explain its determinants. What are the factors that have been inhibiting India from realizing its potential GDP?

KEYWORDS: GDP | potential GDP | determinants

10 · LIMITATIONS OF GDP 1 Prelims · 0 Mains

Prelims 2018

Increase in absolute and per capita real GNP do not connote a higher level of economic development, if

(a) industrial output fails to keep pace with agricultural output.
(b) agricultural output fails to keep pace with industrial output.
(c) poverty and unemployment increase.
(d) imports grow faster than exports.

Answer: **(c)** poverty and unemployment increase.

MY NOTES

11 · ALTERNATIVES TO GDP 0 Prelims · 1 Mains

Mains 2025 10 marks Inequality-Adjusted HDI (IHDI)

Distinguish between the Human Development Index (HDI) and the Inequality-adjusted Human Development Index (IHDI) with special reference to India. Why is the IHDI considered a better indicator of inclusive growth?

KEYWORDS HDI · IHDI · inequality-adjusted · India · indicator · inclusive growth

MY NOTES

END OF CHAPTER · RECALL AND DRILL

RECALL SHEET: COVER THE RIGHT COLUMN AND ANSWER

What does "income" mean in national accounts?	Reward to factors of production: rent, wages, interest, profit.
CFIM assumptions?	No saving, no inventory, no government, no foreign trade, no capital-goods spending.
Leakages?	Savings, taxes, imports.
When does the economy grow?	When injections exceed leakages.
Income approach formula?	R + W + P + Int.
Why only final goods?	To avoid double counting.
Indian embassy in Washington: whose GDP?	India's.
UN office in India?	Extraterritorial; excluded from India's GDP.
NFIA?	Income earned by Indians abroad minus income earned by foreigners in India.
GDP and GVA?	GDP = GVA = sum of value added by all producers.
Real GDP?	Current-year output at constant (base) prices.
Base effect?	A depressed base year makes the next year's growth look huge.
Basic price?	What the seller keeps: MP − product taxes + product subsidies.
Product versus production taxes?	Per-unit (GST) versus lump sum (land revenue, stamp duty).

Handout alert · Letters B and C reused

In the GNP section the handout reuses B and C for output by foreigners in India and by Indians abroad, while elsewhere B and C are the production and expenditure flows. *Rule: write GNP = GDP + NFIA = GDP + (income earned by Indians abroad - income earned by foreigners in India).*

Handout alert · The HDI year

The handout says Sen and Mahbub-ul-Haq proposed the HDI to UNDP in 1980 and also says the HDR has measured it since then. *Rule: verify the year against a standard reference before quoting; the question more likely tests the three dimensions.*

Prelims trap · Nominal rises, real growth does not

The 2015 PYQ pairs steadily rising real GDP growth with steadily rising GDP at market prices. Nominal GDP rises with prices; real growth does not rise steadily. Answer: 2 only. *Rule: GDP in rupees at market prices can rise just from inflation.*

Concept trap · Buying land adds nothing

By the handout's own rules production matters, not the sale. A land purchase adds nothing itself; brokerage and registration services do. *Rule: second-hand sales are not counted again, only the new services around them.*

Concept trap · Territory is not the political map

An Indian embassy abroad, ships and aircraft in transit and rigs in the EEZ count as India's. A foreign embassy or UN office in India does not. *Rule: ask whose enclave it is; extraterritorial bodies are excluded.*

Prelims trap · Product versus production taxes

Product taxes and subsidies are per unit (GST, LPG). Production taxes and subsidies are lump sums independent of volume (land revenue, stamp duty). *Rule: BP is MP minus product taxes plus product subsidies; only then use production taxes to reach factor cost.*

QUICK QUIZ

Q1. Increase in absolute and per capita real GNP do not connote a higher level of economic development, if (2018)

1. industrial output fails to keep pace with agricultural output
2. agricultural output fails to keep pace with industrial output
3. poverty and unemployment increase
4. imports grow faster than exports

Q2. A decrease in the tax to GDP ratio of a country indicates which of the following? 1. Slowing economic growth rates 2. Less equitable distribution of national income (2015)

1. 1 only
2. 2 only
3. Both 1 and 2
4. Neither 1 nor 2

Q3. With reference to India economy: 1. The rate of growth of real GDP has steadily increased in the last decade. 2. The GDP at market prices (in rupees) has steadily increased in the last decade. (2015)

1. 1 only
2. 2 only
3. Both 1 and 2
4. Neither 1 nor 2

MY NOTES

Q4. In the circular flow model, which of the following is a leakage?

1. Government expenditure
2. Exports
3. Imports
4. Business investment

Q5. Total expenditure received by domestic firms equals…

1. C + G + I + X
2. C + G + I + X − M
3. C + S + T
4. GDP − NFIA

Q6. The embassy of India in Washington D.C. is, for GDP purposes, part of…

1. the USA's economic territory
2. India's economic territory
3. no country's
4. the UN's

Q7. UN office in India: its production is…

1. counted in India's GDP
2. counted in the UN's home country GDP
3. excluded from India's GDP (extra-territorial)
4. counted in GNP only

Q8. GNP equals…

1. GDP − NFIA
2. GDP + NFIA
3. GDP + net product taxes
4. GVA − depreciation

Answers: Q1 c, Q2 a, Q3 b, Q4 c, Q5 b, Q6 b, Q7 c, Q8 b

MY NOTES

PART 3

Prices, money and finance

Inflation, banking, money, monetary policy and capital markets

CHAPTER 6 · HANDOUT PP. 1-16

06 Inflation: Causes, Measurement, Effects and Control

MEDIUM PRIORITY Mains PYQs quoted: **2019**

Prelims PYQs: **2011, 2012, 2013, 2015, 2020, 2021**

EXAM LENS

Prelims hooks

- price versus prices
- AD and AS factors
- demand-pull versus cost-push
- CPI versus WPI (who releases which)
- the 2024 base and 12 divisions
- headline, core, super core, skewflation, structural inflation
- deflation versus disinflation
- recession versus depression
- shrinkflation
- stagflation and the Phillips Curve
- Engel's Law
- fiscal drag

Mains hooks

- why inflation hurts the poor most (Engel's Law)
- who gains and loses
- why a cause-agnostic cure is needed
- why cheaper-money policy fuels demand-pull
- fiscal drag as an automatic cooling effect
- why a lower food weight changes how the RBI reads inflation

inflation is AD chasing AS; since you cannot fix every cause in time, make money expensive and AD falls.

IN SIMPLE WORDS

- **Inflation** is a general rise in the **price level**. A rise in one good's price is not inflation by itself.
- Prices rise when **Aggregate Demand (AD) is bigger than Aggregate Supply (AS)**. Demand-pull pushes AD right
- Cost-push pushes AS left
- We track a fixed **basket** against a **base year** (index = 100). Inflation is the % change over the **same month** of last year.
- India's **headline** inflation is **CPI-C** with a target of **4% ± 2%**. The new **2024 = 100** series has 12 divisions, 358 items and a food weight of 36.75%.
- **Core** = headline minus food and fuel. Petrol and diesel stay **inside** core.

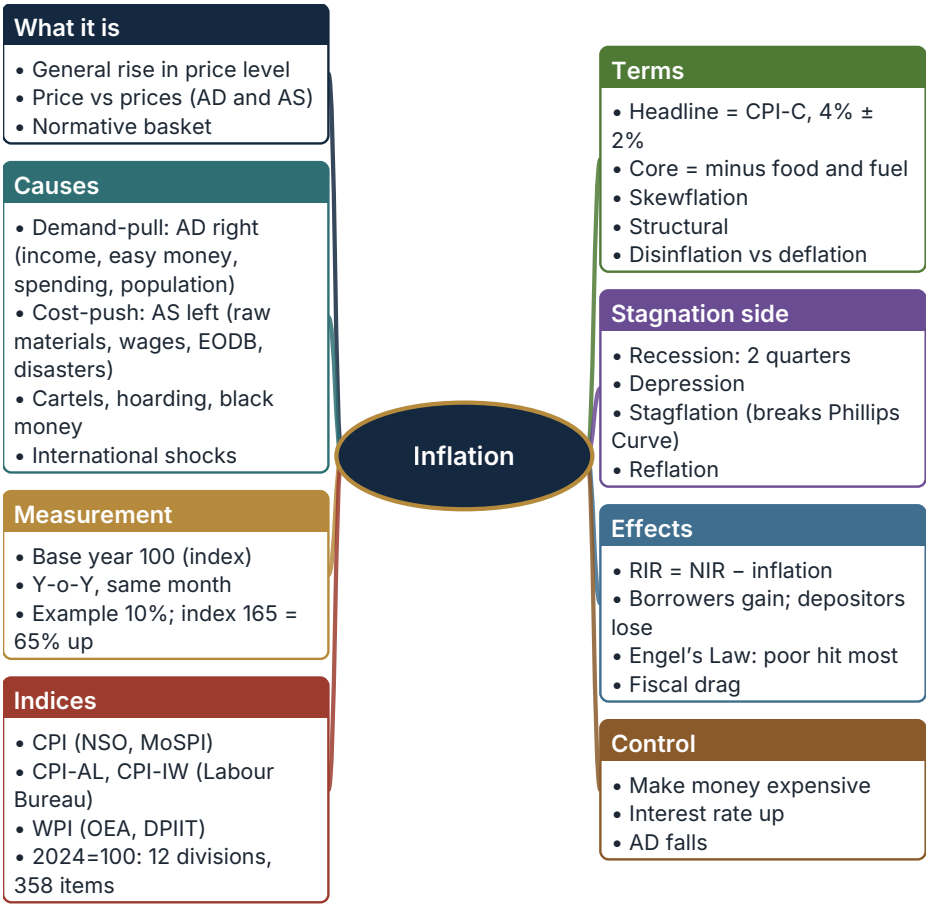
MY NOTES

- Borrowers gain, depositors lose, and the poor are hit hardest (**Engel's Law**). The cure is to **make money expensive**.

Key term	In plain words
Price vs prices	One good's price is set by its own demand and supply; the price level is set by AD and AS.
Aggregate Demand (AD)	Total demand for all goods and services in the economy.
Aggregate Supply (AS)	Total supply of all goods and services that producers make together.
Normative basket	A fixed basket of goods and services for an average person of a target group.
Base year / index	The base-year basket price is set to 100; later baskets are shown against it.
Year-on-year (Y-o-Y)	This month against the same month of the previous year.
Headline inflation	Overall inflation, measured by CPI-C; the news number.
Core inflation	Headline minus food and fuel.
Skewflation	A few items rise fast while most stay stable.
Disinflation	The rate of inflation falls; prices still rise, only slower.
Stagflation	Low growth, high unemployment and high inflation together.
Real interest rate	Nominal interest rate minus inflation.
Fiscal drag	Inflation pushes people into higher tax brackets, which cools demand by itself.

MY NOTES

CHAPTER MAP



REMEMBER IT AS Prices rise when AD beats AS. Measure with a basket and a base year, read headline and core, and cure it by making money expensive.

EXAM LENS: WHAT THE HANDOUT STRESSES

SOURCE NOTE

Handout only. No class slides and no teacher ink. **No Prelims or Mains PYQ is quoted** in this handout: none quoted in the material. The priority below is the handout's own emphasis (definitions, worked examples, and the recent changes in measurement).

What the handout stresses

Signal in the handout	Where	Why it matters
Inflation is a rise in the **price level,** not in one price. Prices rise when **AD exceeds AS**	Sections 1-2	The base of every cause and every cure
Index = (100 ÷ base-year basket price) × current basket price. Inflation = % change over the **same month** of the previous year	Section 4	Worked numbers (₹10,000 → ₹15,000 → ₹16,500)

MY NOTES

Signal in the handout	Where	Why it matters
The new **2024 = 100** CPI series (released Feb 2026): 12 divisions, COICOP 2018, food weight 36.75%, 358 items, e-commerce data	Section 5	Recent changes; a likely current-affairs hook
Headline = CPI-C, target **4% ± 2%,** adopted for inflation targeting in **2015;** Urjit Patel Committee **2014**	Section 6	Facts and dates
Core inflation: headline minus **food and fuel;** petrol and diesel stay **inside** core	Section 6	A classic trap
Stagflation breaks the **Phillips Curve** (A.W. Phillips, UK 1861-1957)	Section 7	Concept plus author
Fiscal drag: inflation pushes workers into higher tax brackets; an **automatic stabiliser**	Section 9	Worked table (₹9 L → ₹10.8 L)
Real interest = nominal interest − inflation (RIR = NIR − Inflation)	Section 8	Borrowers gain, lenders and depositors lose

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Medium. 13 Prelims and 1 Mains questions map to this chapter.

Most-asked topics: Causes of inflation (5 Prelims, 0 Mains); Indices in India and the 2024 base-year CPI (4 Prelims, 0 Mains); Effects of inflation (1 Prelims, 1 Mains).

Prelims years: 2011, 2012, 2013, 2015, 2020, 2021. Mains years: 2019.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

START HERE: 60 SECONDS, KEY WORDS, NCERT MAP

THE WHOLE CHAPTER IN 60 SECONDS

- **Prices rise**: when AD > AS
- **Causes**: pull (AD right), push (AS left)
- **Measure**: basket + base year = index
- **Read**: headline, core, super core
- **Effects**: borrowers gain; poor hit most; fiscal drag
- **Cure**: make money expensive

Word	Meaning
Price	cost of ONE good, set by that good's own demand and supply
Price level	the overall level of prices of everything; set by AD and AS

MY NOTES

Word	Meaning
Basket	a fixed bag of goods and services a typical person in a group buys
Base year	the year whose basket price is fixed at 100 so later years can be compared
Index	basket price rescaled to the base year = 100 (165 = 65% dearer than base)
Y-o-Y	this month compared with the same month last year, so seasons do not distort it

📘 READ NCERT FIRST: WHERE EACH NCERT PART FITS THIS CHAPTER

NCERT part	Handout section	What it adds
XII Macro Ch 1 and XII Micro Ch 1, XI Ch 2: price level, one price as a signal	1	Why macro talks about the price level; inflation in NCERT's glossary
XII Macro Ch 4 §4.3 and §4.4: price level fixed first; excess and deficient demand	2	Why NCERT shows no price at first; excess demand raises prices
XII Micro Ch 5, Figs 5.2 and 5.3: demand and supply shifts in one market	3	Price and quantity after each shift: the single-market version of pull and push
XII Macro Ch 5 §5.3, Glossary, XI Ch 3: deficits and prices; the 1991 crisis	3	When a deficit becomes inflation; central bank borrowing; real case
XII Macro Ch 2 §2.4: CPI example; nominal and real GDP; GDP deflator	5	Worked CPI of 139.29; deflator; Exercise 11 answered
XII Macro Ch 2 §2.4: retail, wholesale, WPI, PPI; why CPI differs from the deflator	6	Three reasons; the idea behind CPI and WPI
XII Macro Ch 3 §3.1 and Ch 6 §6.3: value of money; PPP	9	Value of ₹1; inflation and the exchange rate (Example 6.1)
XII Macro Ch 5: automatic stabilisers, progressive tax	11	NCERT's meaning of automatic stabiliser; built-in against discretionary
XII Macro Ch 5 §5.1.1; XI Ch 3: stabilisation function and measures	12	Government's side of inflation control; short against long term

MY NOTES

1 · WHAT INFLATION IS, AND WHAT IT IS NOT

🧠 **UNDERSTAND IT FIRST**

Picture a crowd of people. One tall person does not make the crowd tall. Inflation means the whole crowd is growing taller: the overall cost of what people buy keeps rising. A single dearer good (say tomatoes) is not inflation by itself.

✏ **EXAMPLE**

The handout's contrast: an agricultural labourer in Odisha and a new joiner in a Bengaluru startup buy very different baskets, so each feels inflation differently. That is why we track one fixed "normative basket" for a group.

Inflation is a general rise in prices or the price level. A rise in the price of one good may cause inflation but is **not** inflation by itself. People feel inflation when the **overall value of the basket** they buy goes up. Each person has a different basket, so the experience differs (the handout asks how an agricultural labourer in Odisha feels it versus a new joiner in a Bengaluru startup).

- **Price** is the value at which a single good is exchanged, set by that good's demand and supply.
- **Prices (the price level)** are set by **Aggregate Demand (AD)** and **Aggregate Supply (AS).**
- We cannot measure inflation for each person. We track a **normative basket** reflecting the consumption pattern of a specific group.

📘 **FROM NCERT · XII MACRO CH 1 (INTRODUCTION), XII MICRO CH 1 §1.5, XI CH 2 (PRICE AS A SIGNAL), XI GLOSSARY**

In plain words: The handout says one dearer good is not inflation. NCERT explains **why economists talk about "the price level" at all**, and how one price differs from it. Read the three small steps; each is two or three lines.

Link to the handout: Handout section 1: "Price = one good; price level = AD and AS". NCERT's "price of one good" is the handout's "price"; NCERT's "general price level" is the handout's "price level".

Step 1 · Prices of different goods tend to move together

- NCERT (XII Macro Ch 1): "prices of different goods and services generally have a tendency to rise or fall simultaneously". So macroeconomics can think of **one imaginary representative good** whose price stands for the general price level.

MY NOTES

- When prices are going up fast "in what is called an inflation", the direction of movement is usually the same for all the individual commodities as for the economy as a whole.

Step 2 · Micro looks at one price; macro asks "why do prices rise?"

- XII Micro Ch 1: in microeconomics we study how price and quantity are fixed in **one market**. In macroeconomics we study aggregate measures: total output, employment and the **aggregate price level**. One of its questions: "Why do prices rise?"
- XII Macro Ch 1: for microeconomics, inflation or unemployment were either not mentioned or taken as given. They are not variables that individual buyers or sellers can change.
- Who can act on them? NCERT: macroeconomic policies are pursued by the State itself or by statutory bodies like the **RBI** and **SEBI**, each with public goals set by law, not private profit.

Step 3 · A single price is a signal (XI Ch 2)

- If a good becomes scarce, its price rises. The rise is a **signal** that less is available, and gives users an incentive to use it with greater care.
- NCERT's example: the price of water goes up because of lower supply, so people stop watering the garden. Likewise a petrol price rise reflects greater scarcity and encourages using less petrol or looking for alternate fuels.

NCERT's glossary definition (XI Glossary)

- **Inflation**: "A sustained rise in the general price level."

NCERT differs: NCERT's glossary says a **sustained** rise in the general price level; the handout says a general rise in prices or the price level. Same idea. Use the handout's words and add "sustained" if you wish. *(handout/teacher wins in class)*

⭐ **REMEMBER**

ONE price up ≠ inflation. Inflation = the whole basket (price level) up.

MY NOTES

2 · AD, AS AND THE PRICE LEVEL

🧠 **UNDERSTAND IT FIRST**

AD is everybody's shopping list added up, in rupees. AS is everything farms and factories can put on the shelves. When the shopping list is longer than the shelves, shops raise prices; when shelves overflow, prices ease. The price level sits where the two meet.

✏ **EXAMPLE**

Think of a school canteen. 100 students want samosas (AD) but the kitchen makes only 60 (AS). The canteen raises the price. Same idea for a whole economy (practice picture, not from the handout).

📐 Formulas of this section

PRICE RULE

AD > AS ⇒ price level ↑

either AD rises or AS falls (handout key rule)

LINK TO PRICE LEVEL

AD: price ↑ ⇒ demand ↓ · AS: price ↑ ⇒ supply ↑

AD inversely, AS positively related to the price level

Aggregate Demand versus Aggregate Supply

	Aggregate Demand (AD)	Aggregate Supply (AS)
Meaning	Total demand for all goods and services in the economy, which domestic producers are required to meet	Total supply of all goods and services, what all producers produce combined
Depends on	General price level; incomes; spending habits (culture of spending); availability of money (easy loans); size of population	General price level; availability of basic raw materials (coal, iron, oil); skill level of the population; investment in infrastructure, capital goods and R&D
Link to price level	Inversely related: if things become expensive, people demand less	Rises with price level: producers have an incentive to produce more (but inputs eventually run out)

MY NOTES

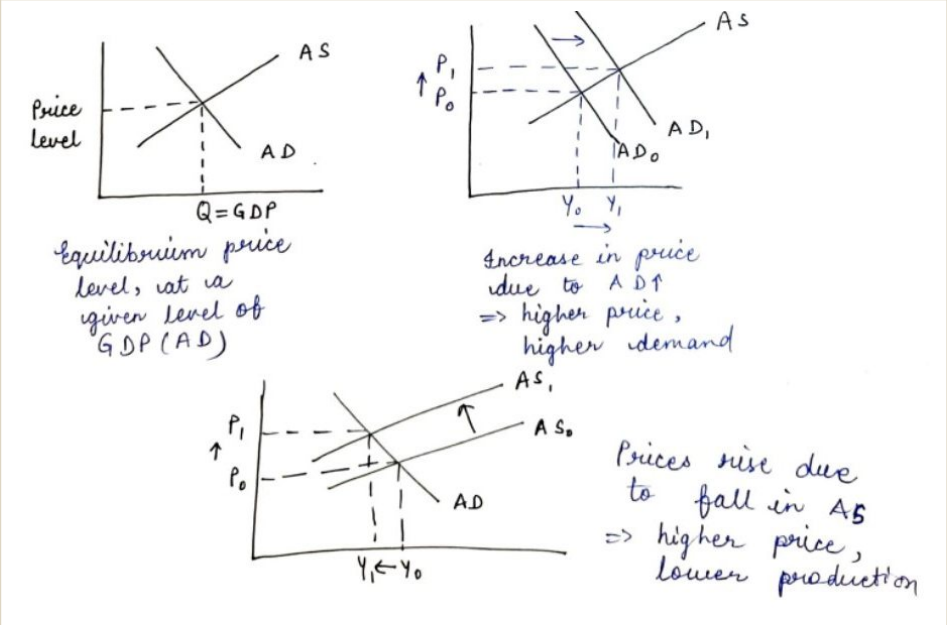


Figure. The teacher's sketches in the handout. Top left: equilibrium price level at a given level of GDP (AD meets AS). Top right: increase in price due to AD up, so higher price and higher demand (AD0 to AD1, Y0 to Y1). Bottom: prices rise due to a fall in AS, so higher price and lower production (AS0 to AS1, Y1 below Y0).

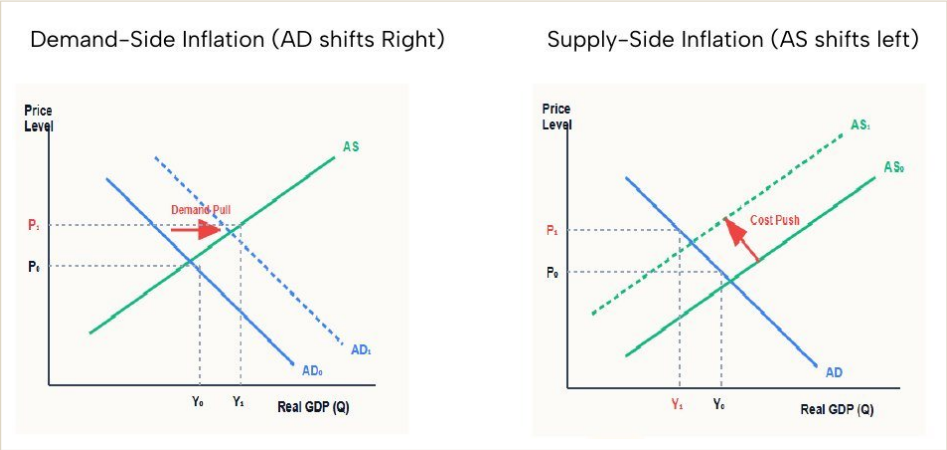


Figure. Demand-side inflation: AD shifts right (demand-pull). Supply-side inflation: AS shifts left (cost-push).

RULE

Prices rise when AD exceeds AS: either AD rises for some reason, or AS falls for some reason.

📘 FROM NCERT · XII MACRO CH 4 §4.3 AND §4.4 (PRICE LEVEL FIXED FIRST; EXCESS AND DEFICIENT DEMAND)

In plain words: The handout rule is "prices rise when AD exceeds AS". NCERT says the same thing in its own words (**excess demand**) and explains why its first model keeps the price level fixed, so you do not get confused when a NCERT diagram shows no price at all.

MY NOTES

Link to the handout: Handout: AD > AS ⇒ prices rise. NCERT: excess demand ⇒ rise in prices. "Full employment output" is the output when all factors are fully employed.

Step 1 · Why NCERT first keeps the price level fixed

- NCERT builds the theory in two steps: (1) find the macroeconomic equilibrium taking the **price level as fixed**; (2) then let the price level vary.
- Reason (i): at the first stage the economy has unused resources: machineries, buildings and labours. The law of diminishing returns does not apply, so extra output can be produced without increasing marginal cost, and the price level does not change when the quantity changes. Reason (ii): it is a simplifying assumption that will be changed later.

Step 2 · Equilibrium output against full-employment output

- NCERT's caution: equilibrium (Y = AD) by itself does not mean full employment. It only means income will not change if left to itself, even with unemployment.

Where equilibrium output stands	NCERT's name	What it does to prices "in the long run"
Less than full-employment output (demand not enough to employ all factors)	**Deficient demand**	Leads to a **decline** in prices
More than full-employment output (demand more than the output produced at full employment)	**Excess demand**	Leads to a **rise** in prices

NCERT differs: NCERT says excess demand raises prices "in the long run". The handout (teacher) says prices rise when AD exceeds AS. Same direction; use the handout rule in the answer. (*handout/teacher wins in class*)

⭐ **REMEMBER**

AD chases AS. AD > AS → prices rise. Two ways: AD up, or AS down.

MY NOTES

3 · CAUSES OF INFLATION

🧠 **UNDERSTAND IT FIRST**

There are only two roads to dearer goods. PULL: buyers have more money or more wish to spend, so the AD curve slides right. PUSH: it becomes costlier or harder to produce, so the AS curve slides left. Cartels, hoarding, black money and shocks from abroad ride on top of these two.

✏ **EXAMPLE**

Pull: a salary hike plus cheap loans means more car and phone buying, so prices drift up. Push: war cuts oil supply, fuel is a cost for every producer, so everything gets dearer (the handout stresses oil producers and import dependence).

📐 Formulas of this section

DEMAND-PULL

AD shifts right: AD0 → AD1

price ↑ and output ↑ (Y0 → Y1)

COST-PUSH

AS shifts left: AS0 → AS1

price ↑ and output ↓

Demand and supply factors of any good split into **specific** factors (taste for ice cream) and **general** factors (size of population, income levels, availability of money). Causes of inflation are the **general** factors that shift AD or AS, not the factors of one good.

Demand-side versus supply-side inflation

	Demand-pull (AD shifts right)	Cost-push (AS shifts left)
Trigger	Anything that raises AD	Anything that lowers AS or restricts production
Examples	Rising income levels; easy money (lower interest rates, cheaper credit); more government spending; rising population; changing spending habits (less saving, more consumption, usually a secondary effect of higher incomes)	Rising cost or non-availability of basic raw materials (crude, metals, coal); higher cost of factors of production (wages, interest on capital); low investment (poor infrastructure, no capital goods, poor R&D); falling productivity or failure to adopt new skills; poor Ease of Doing Business (compliance, contract enforcement, weak entrepreneurship culture); frequent disasters disrupting supply chains

MY NOTES

Other factors named in the handout:

- **Legal and market distortions:** cartelisation (producers collude to act as a monopoly), hoarding (artificial scarcity), widespread black money (untracked cash).
- **International shocks:** geopolitical tension, war, trade sanctions, disasters, especially in countries we import heavily from (oil producers).

MEMORY AID · DEMAND-PULL: FIVE WAYS AD SHIFTS RIGHT

C H I P S

More CHIPS on the table means more to spend: AD moves right and prices follow.

C	Cheap credit: easy money, lower interest rates
H	Habits: less saving, more consumption
I	Income levels rising
P	Population rising
S	Spending by government goes up

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

MEMORY AID · COST-PUSH: SIX WAYS AS SHIFTS LEFT

P R I C E D

Why are goods so highly PRICED? Check the six supply-side causes.

P	Productivity falls, new skills not adopted
R	Raw materials costly or not available
I	Investment low: poor infrastructure, R&D
C	Cost of factors: wages, interest on capital
E	Ease of Doing Business is poor
D	Disasters disrupt supply chains

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

📘 **FROM NCERT · XII MICRO CH 5 §5.1 (MARKET EQUILIBRIUM), FIGS 5.2 AND 5.3**

In plain words: The handout's AD shift and AS shift pictures copy a simpler picture NCERT draws for **one market**. Understand it here once: a demand shift and a supply shift move price in the way the handout's "pull" and "push" do.

Link to the handout: Handout section 3: demand-pull = AD shifts right (price up, output up). Cost-push = AS shifts left (price up, output down). NCERT's single-market result is the same pattern.

MY NOTES

Step 1 · The four shifts in one table (NCERT)

- NCERT's rule: the direction of change of price and quantity is the **same** whenever demand shifts, and **opposite** whenever supply shifts.

What shifts	Equilib-rium price	Equilib-rium quantity	NCERT's example
Demand curve to the **right**	Rises	Rises	Higher consumer income for a normal good like clothes; more consumers
Demand curve to the left	Falls	Falls	The opposite shift
Supply curve to the **left**	Rises	Falls	Rise in the price of an input: marginal cost goes up, so supply at each price is less
Supply curve to the right	Falls	Rises	Increase in the number of firms

Step 2 · Why price rises after a right shift of demand

- At the old price p_0 there is **excess demand**. Some individuals are willing to pay a higher price, so the price tends to rise until the new equilibrium G (price p_2).
- After a left shift of supply there is also excess demand at p_0: consumers who cannot get the good are willing to pay more, so the price rises.

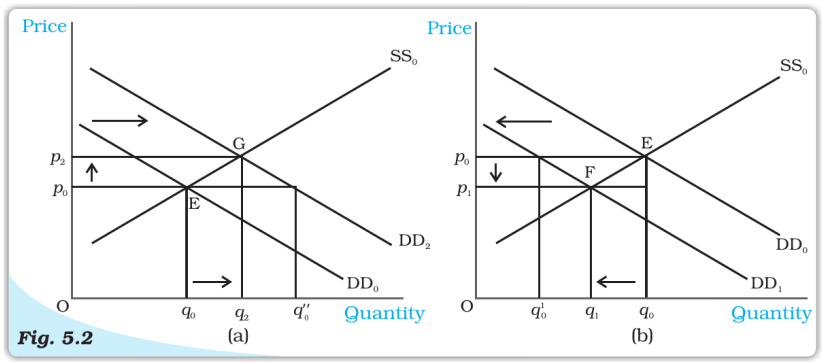


Fig. 5.2

Shifts in Demand. *Initially, the market equilibrium is at E. Due to the shift in demand to the right, the new equilibrium is at G as shown in panel (a) and due to the leftward shift, the new equilibrium is at F, as shown in panel (b). With rightward shift the equilibrium quantity and price increase whereas with leftward shift, equilibrium quantity and price decrease.*

NCERT Fig. 5.2, original: shift in demand. Panel (a) is the right shift (E to G, price and quantity up).

MY NOTES

Step 3 · The supply side, in NCERT's own figure

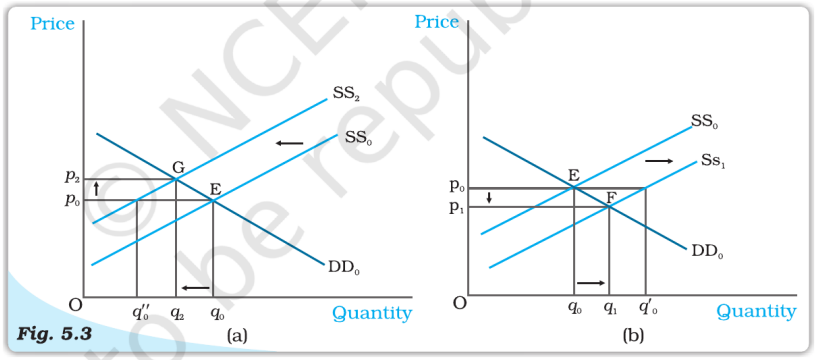


Fig. 5.3

Shifts in Supply. *Initially, the market equilibrium is at E. Due to the shift in supply curve to the left, the new equilibrium point is G as shown in panel (a) and due to the rightward shift the new equilibrium point is F, as shown in panel (b). With rightward shift, the equilibrium quantity increases and price decreases whereas with leftward shift,equilibrium quantity decreases and price increases.*

NCERT Fig. 5.3, original: shift in supply. Panel (a) is the left shift (E to G, price up, quantity down).

NCERT differs: NCERT's curves are for **one good** (microeconomics). The handout's AD and AS are for the **whole economy**; the logic is the same, but they are different curves and should not be mixed in one diagram. (*handout/teacher wins in class*)

📘 FROM NCERT · XII MACRO CH 5 §5.3 (DEFICITS AND DEBT), XII MACRO GLOSSARY, XI CH 3 (1991 CRISIS)

In plain words: The handout lists "more government spending" and "easy money" as demand-pull causes. NCERT adds **when** a deficit pushes prices up and when it does not, and shows a real case.

Link to the handout: Handout section 3: demand-pull causes (government spending, easy money) and the international-shock list. NCERT gives the condition that decides whether spending turns into inflation.

Step 1 · Are fiscal deficits inflationary? (NCERT's answer)

- One of the main criticisms of deficits is that they are inflationary: when the government increases spending or cuts taxes, aggregate demand increases.

Condition in the economy	What NCERT says happens
Firms cannot produce the higher quantity demanded at the going prices	Prices will have to **rise**

MY NOTES

Condition in the economy	What NCERT says happens
There are unutilised resources; output is held back by lack of demand	A high fiscal deficit comes with higher demand and greater output, so it **need not be inflationary**

Step 2 · Borrowing from the central bank

- NCERT Glossary: financing a budget deficit by borrowing money from the central bank "leads to increase in money supply in an economy and may result in inflation".

Step 3 · A real case: India before 1991 (XI Ch 3)

- In the late 1980s government expenditure began to exceed its revenue by such large margins that meeting it through borrowings became unsustainable.
- Prices of many essential goods rose sharply. Imports grew at a very high rate without matching growth of exports, and foreign exchange reserves fell to a level not adequate to finance imports for more than two weeks.
- NCERT lists "rising prices of essential goods" among the reasons for the financial crisis that led to the 1991 reforms.

NCERT differs: The handout names government spending as a cause of demand-pull without any condition. NCERT adds the condition: it raises prices when output cannot rise to meet it. (*handout/teacher wins in class*)

⭐ REMEMBER

PULL = demand shifts RIGHT (price UP, output UP). PUSH = supply shifts LEFT (price UP, output DOWN).

4 · MEASURING INFLATION AND THE IDEA OF AN INDEX

🧠 UNDERSTAND IT FIRST

We cannot measure inflation for each person, so we fix a typical shopping bag for a group, price it every month, and compare with the same month a year ago. The % change is inflation. Comparing with the same month removes seasonal swings.

✏ EXAMPLE

Practice sum (not from the handout): if the same basket cost ₹9,000 in March last year and ₹9,900 now, inflation = (9,900 − 9,000) ÷ 9,000 × 100 = 10%.

MY NOTES

📐 Formulas of this section

INFLATION (Y-O-Y)

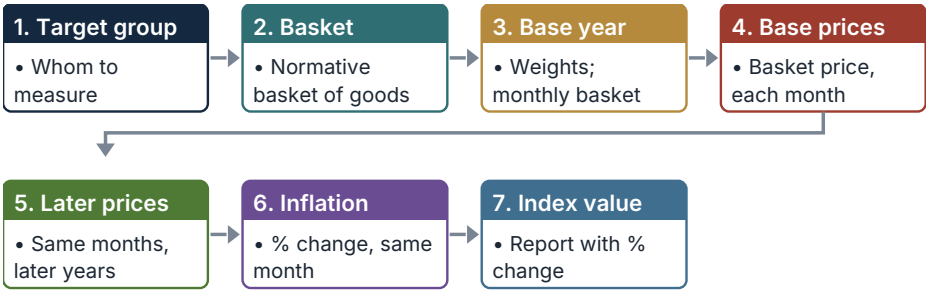
Inflation % = (basket price this month − basket price same month last year) ÷ basket price same month last year × 100

handout: % change in the basket price over the same month of last year

Inflation is the **percentage change in prices** in the current period over the previous period. It is usually reported **year-on-year (Y-o-Y):** the current month against the **same month** of the previous year.

- **1.** Identify the **target group.**
- **2.** Construct a **normative basket** of goods and services for an average person in that group.
- **3.** Choose a **base year.** The basket is built separately for each month to account for seasonality. The importance of each item is its **weight** (% of total expenditure). Most items stay, some enter and exit, and some weights change.
- **4.** Collect the prices of the items for each month of the base year to get the basket's total price.
- **5.** Collect the prices for the corresponding months of later years to get the new basket price.
- **6.** Inflation = **% change** in the basket price in a month of this year over the same month of last year.
- **7.** Communicate the **index value** along with the % change over the year.

SEVEN STEPS TO MEASURE INFLATION



⭐ **REMEMBER**

Same month, fixed basket, % change = inflation.

MY NOTES

🧠 **MEMORY AID · SEVEN STEPS, IN ORDER (ORDER MATTERS, SO A SENTENCE)**

To Buy Bread, Begin Looking Intently Inside

T Target group	**B** Basket (normative)
B Base year (weights, monthly basket)	**B** Base-year prices collected
L Later-year prices collected	**I** Inflation = % change, same month
I Index value communicated	

Own memory aid (not from the handout): the sentence is about a basket, which is the whole idea.

5 · INDEXING: WHY, AND A WORKED EXAMPLE

🧠 **UNDERSTAND IT FIRST**

A raw basket price like ₹11,345 means nothing. So we rescale the base-year basket to a clean 100. Later prices become readable at once: 150 means 50% dearer than the base year, 165 means 65% dearer. The base also gives a fixed yardstick, not a moving one.

✏ **EXAMPLE**

The handout's numbers: base March 2015 ₹10,000 (index 100); March 2025 ₹15,000 (index 150); March 2026 ₹16,500 (index 165). Inflation in the last year = (16,500 − 15,000) ÷ 15,000 = 10%. Prices are 65% above 2015.

MY NOTES

📐 Formulas of this section

INDEX
Index = (100 ÷ base-year basket price) × current basket price
base year = 100

HANDOUT NUMBERS
(100 ÷ 10,000) × 15,000 = 150 · (100 ÷ 10,000) × 16,500 = 165
March 2015 base ₹10,000; March 2025; March 2026

INFLATION FROM THE BASKETS
(16,500 − 15,000) ÷ 15,000 × 100 = 10%
March 2026 over March 2025

READING AN INDEX
index of 165 ⇒ prices 65% above the base year
index − 100 = % above the base

If the government only said "prices are 4.3% higher than last year", last year would become a moving benchmark. People need a **fixed** base. Also, the raw basket price (like ₹11,345 and ₹18,967) is a meaningless number for a normative basket. So the base-year basket price is set to a clean value, **usually 100.**

The handout's example

Period	Basket price	Index value
Base year (March 2015)	₹10,000	100
March 2025	₹15,000	(100 ÷ 10,000) × 15,000 = **150**
March 2026	₹16,500	(100 ÷ 10,000) × 16,500 = **165**

- **Inflation (March 2026 over March 2025)** = (16,500 − 15,000) ÷ 15,000 × 100 = **10%.**
- An index of **165** means prices are **65% higher** than in the 2015 base year.
- The base year here gives a **constant basket** to compare the cost of living
- In Real GDP the base year gives **constant prices** to value output

📘 FROM NCERT · XII MACRO CH 2 §2.4 (NOMINAL AND REAL GDP; CPI; GDP DEFLATOR)

In plain words: The handout's index rule is "(100 ÷ base basket price) × current basket price". NCERT shows the **same ratio** with a tiny two-item basket, so you can see every step. It also introduces a second price index, the GDP deflator, which uses the base year in the way the handout's last bullet mentions.

MY NOTES

Link to the handout: Handout section 5: index = (100 ÷ base-year price) × current price; base year = constant basket. NCERT calls this ratio the **Consumer Price Index (CPI)**. The handout's last bullet: in Real GDP the base year gives constant prices. NCERT shows that now.

Step 1 · NCERT's CPI recipe

- Work out the cost of buying a given basket of commodities in the **base year**.
- Work out the cost of buying the **same basket** in the current year.
- Express the second as a percentage of the first.

CPI (NCERT)

CPI = cost of basket in current year ÷ cost of basket in base year × 100

the same ratio as the handout's index

Step 2 · NCERT's worked example (representative consumer buys 90 kg rice and 5 pieces of cloth a year)

- CPI = 1,950 ÷ 1,400 × 100 = **139.29** (approximately), as printed in NCERT. Read it exactly as the handout reads 165: prices are about 39% above the base year (arithmetic: 139.29 − 100).

Item	Quant-ity	Price 2000	Price 2005	Spend 2000	Spend 2005
Rice	90 kg	₹10	₹15	₹900	₹1,350
Cloth	5 pieces	₹100	₹120	₹500	₹600
Total				**₹1,400**	**₹1,950**

Step 3 · Why real GDP is needed (nominal against real)

- If GDP doubles, production may have doubled, or only prices may have doubled. So NCERT compares GDP at **constant prices** (real GDP). Nominal GDP is GDP at current prevailing prices.
- The base year is the year whose prices are used to work out real GDP.

NCERT's bread eco-nomy	Units of bread	Price per bread	Nominal GDP	Real GDP (at year 2000 prices)
Year 2000 (base year)	100	₹10	₹1,000	₹1,000 (same as nominal in the base year; worked out here)

MY NOTES

NCERT's bread economy	Units of bread	Price per bread	Nominal GDP	Real GDP (at year 2000 prices)
Year 2001	110	₹15	₹1,650 (110 × ₹15)	₹1,100 (110 × ₹10)

Step 4 · GDP deflator: a price index from the same two numbers

- The ratio of nominal to real GDP shows how prices moved from the base year to the current year. NCERT: 150 per cent means the price of bread in 2001 was 1.5 times the price in 2000, which is true (₹10 to ₹15).
- Practice (NCERT Exercise 11): nominal GNP ₹2,500 crore; GNP at base-year prices ₹3,000 crore. GNP deflator = 2,500 ÷ 3,000 × 100 = 83.33 per cent (worked out here). It is below 100, so the price level has not risen since the base year; it has fallen.

GDP DEFLATOR

GDP deflator = nominal GDP ÷ real GDP (× 100 for per cent)

NCERT: 1,650 ÷ 1,100 = 1.50 = 150 per cent

NCERT differs: NCERT's glossary defines CPI as the "Percentage change in the weighted average price level", but NCERT's own chapter text defines CPI as an **index** (139.29). That is an internal mismatch in NCERT. Use the handout: the index is the level; **inflation is the % change of the index** over the same month last year. (*handout/teacher wins in class*)

NCERT differs: NCERT's example compares year 2000 with year 2005 with one yearly basket. The handout builds a basket for each month (for seasons) and quotes Y-o-Y inflation. Handout wins for method. (*handout/teacher wins in class*)

⭐ REMEMBER

Index − 100 = % rise since the base year. Inflation = % change of the index over the same month last year.

MY NOTES

6 · INDICES IN INDIA AND THE 2024 BASE-YEAR CPI

🧠 **UNDERSTAND IT FIRST**

Different yardsticks for different questions. CPI follows what households pay in shops (retail). WPI follows prices in bulk trade between businesses. CPI-AL and CPI-IW follow farm labourers and factory workers. A PPI would follow what producers receive, but India has none yet.

✏ **EXAMPLE**

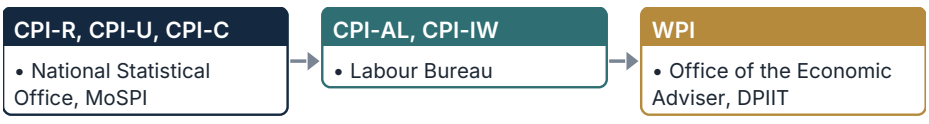
In Feb 2026 the new CPI (2024 = 100) widened the basket: 299 → 358 items, OTT subscriptions and e-commerce prices came in, VCRs and CDs went out. Food's weight fell from 45.86% to 36.75% (Engel's Law at work).

Common inflation indices

Index	Variants	Released by
CPI	CPI-Rural, CPI-Urban, CPI-Combined (CPI-C)	National Statistical Office (NSO) under MoSPI
CPI-AL and CPI-IW	Agricultural Labourers; Industrial Workers	Labour Bureau (Ministry of Labour and Employment)
WPI	Wholesale Price Index	Office of the Economic Adviser (OEA), Department for Promotion of Industry and Internal Trade (DPIIT), Ministry of Commerce and Industry

- A working group chaired by **Prof. Ramesh Chand** was constituted to revise the **WPI base year from 2011-12 to 2022-23,** and to recommend a roadmap to switch from **WPI to a Producer Price Index (PPI).**
- India has **no official PPI.** So in **2017** WPI was adjusted to sit closer to **basic prices / factor cost** by **removing indirect taxes,** bringing it nearer to producers' realised prices.

WHO RELEASES WHICH INDEX



In Feb 2026 MoSPI released the new 2024 = 100 base-year series, a structural overhaul, not a routine weight change:

MY NOTES

2012 series versus 2024 series (as given in the handout)

Change	2012 series	2024 series
Breakup of "Miscel-laneous"	6 groups; a giant "Miscellaneous" bucket (doctor visits, bus fares, school fees) with **28.32%** weight	**12 divisions** under the UN **COICOP 2018** framework; Transport, Health, Education and Communications tracked separately
Engel's Law (food loses its crown)	Food and Beverages weight **45.86%**	**36.75%.** Food is volatile (onion, tomato spikes), so headline inflation should be less volatile and give the RBI a clearer demand signal
Digital and service economy	**299** items	**358** items. Removed: VCRs, tape recorders, CDs. Added: OTT subscriptions, pen drives, attendant/babysitter services, pet products. For the first time, prices scraped from **12 major e-commerce platforms; Rural House Rent** introduced

📘 FROM NCERT · XII MACRO CH 2 §2.4 (RETAIL AND WHOLESALE PRICE; CPI, WPI, PPI; WHY THEY DIFFER FROM THE DEFLATOR), XII MACRO GLOSSARY

In plain words: The handout lists the Indian indices and who releases them. NCERT explains the **idea** behind CPI and WPI (retail against wholesale) and gives three reasons why a CPI is not the same as the GDP deflator.

Link to the handout: Handout section 6: CPI, CPI-AL and CPI-IW, WPI, and "India has no official PPI". NCERT does not name the release bodies, CPI-AL, CPI-IW or the 2024 series: learn those from the handout only.

Step 1 · Retail price against wholesale price

- Many commodities have two sets of prices: the **retail price** the consumer actually pays, and the **wholesale price** at which goods are traded in bulk. They can differ because of the margin kept by traders.
- Goods traded in bulk (such as raw materials or semi-finished goods) are not purchased by ordinary consumers.
- Like CPI, the index for wholesale prices is the **Wholesale Price Index (WPI)**. NCERT: in countries like the USA it is called the **Producer Price Index (PPI)**.

Index	Basket, in NCERT's glossary
Consumer Price Index (CPI)	A given basket of consumption goods

MY NOTES

Index	Basket, in NCERT's glossary
Wholesale Price Index (WPI)	A given basket of goods traded in bulk
GDP deflator	Ratio of nominal to real GDP

Step 2 · Why CPI (or WPI) differs from the GDP deflator

#	Reason (NCERT)	In plain words
1	Goods bought by consumers are not all the goods produced; the deflator takes all goods and services	CPI covers a shopping bag; the deflator covers everything the country produces
2	CPI includes prices of imported goods consumers buy; the deflator does not include prices of imported goods	A dearer imported phone shows in CPI, not in the deflator
3	Weights are constant in CPI; in the deflator they differ with the production level of each good	CPI keeps one fixed basket; the deflator's mix follows what is produced

NCERT differs: NCERT says CPI weights are constant. The handout shows weights and items being revised when a new base-year series starts (food 45.86% to 36.75%, 299 to 358 items). Read NCERT's "constant" as "fixed for one base-year series" (this is a reading, not an NCERT sentence). *(handout/teacher wins in class)*

NCERT differs: NCERT's glossary again says CPI and WPI are "Percentage change in the weighted average price level"; the chapter text calls them indices. Use the index meaning. *(handout/teacher wins in class)*

⭐ **REMEMBER**

CPI → NSO (MoSPI). CPI-AL, CPI-IW → Labour Bureau. WPI → OEA (DPIIT).

7 · KEY TERMINOLOGY

🧠 **UNDERSTAND IT FIRST**

Terms are different lenses on the same price rise. Headline shows everything. Core removes volatile food and fuel to show the underlying trend. Super core removes even more. Skewflation is one or two items spiking. "Dis-" means slower, "De-" means down. Stagnation words (recession, depression) describe output, not prices.

MY NOTES

✏ EXAMPLE

Trap to remember: petrol and diesel are NOT in "Fuel and Light"; the handout puts them under Transport and Communication, so they stay inside core. They leave only at super core.

📐 Formulas of this section

CORE INFLATION

Core = Headline − food − fuel (Fuel and Light)

petrol and diesel stay inside core

SUPER CORE

Super core = Headline − food − fuel − petrol − diesel − precious metals

handout: truest picture of underlying demand

RECESSION RULE

output falls for 2 consecutive quarters

a rule of thumb (NBER looks at broader data)

HYPERINFLATION (CAGAN)

more than 50% per month

no consensus on the line between high and hyper

HEADLINE, SKEWFLATION, CORE, STRUCTURAL

Types of inflation measure

Term	Meaning in the handout	Notes and trap
Headline inflation	Overall inflation = **CPI-C.** What the news reports	Adopted as the **primary anchor of Inflation Targeting in 2015.** Shift from WPI to CPI-C recommended by the **Urjit Patel Committee, 2014.** Target set by the **Monetary Policy Framework Agreement at 4%, tolerance ±2%**
Skewflation	Inflation driven by a few items rising fast while most stay stable. "Skew" means bent or asymmetrical	Gained prominence in India around **2009-2010** (Economic Survey): onions and pulses spiked while manufactured goods stayed cheap
Core inflation	Headline minus highly volatile items (**food and fuel**) that authorities cannot immediately control. Also **non-food, non-fuel** inflation	NSO calculates headline; food and fuel are removed to reach core; **RBI calculates the value. Petrol and diesel for vehicles are inside core** (under Transport and Communication within Miscellaneous), not in "Fuel and Light"; their prices are controlled through taxation
Super core / refined core	Headline minus food, fuel, petrol, diesel and precious metals	Truest picture of underlying demand

MY NOTES

Term	Meaning in the handout	Notes and trap
Structural inflation	Caused by structural features (poor infrastructure, bad EODB, skill deficits, supply-chain bottlenecks) that take long to fix	Handout example: political complexity blocks agriculture supply-chain reform, so the current system stays inherently inflationary

HANDOUT ALERT: WHERE PETROL SITS

Many people assume petrol and diesel are in "Fuel and Light". **The handout puts vehicle petrol and diesel under Transport and Communication, so they are inside core.** Exam-hall rule: core = headline minus food and fuel (Fuel and Light) only; petrol and diesel come out only in **super core.**

HYPERINFLATION, DEFLATION, DISINFLATION

- **Hyperinflation:**
  - Runaway, exceptionally high inflation (galloping, trotting). Costs: **shoe-leather costs** (running to the bank before money loses value) and **menu costs** (constantly updating prices)
  - There is **no consensus** on the criteria separating high from hyper. **Phillip Cagan:** more than **50% per month.** Examples: **Weimar Germany (1923), Zimbabwe (2008).** It is commonly understood as the rate beyond people's normal capacity to bear: the US normal is 1-2%, so 6% looks "hyper" there
  - India's normal over two decades is 5-6%, so even 9% is "high", not "hyper"
  - Turkey has had 80-100%
- **Deflation:**
  - A fall in prices (negative inflation). **Disinflation:** a fall in the **rate** of inflation
  - Prices still rise, but slower, largely a result of **base effect.** Continued disinflation may become deflation
- **Japan** is the famous modern deflation example:
  - "Lost Decades" since the 1990s
  - Consumers delayed purchases expecting cheaper goods tomorrow

RECESSION, DEPRESSION, SHRINKFLATION

Contraction terms

Term	Meaning	Note
Recession	Contraction in output for **two consecutive quarters**	A rule of thumb. The US **NBER** looks at broader metrics (employment, industrial production, wholesale-retail sales) to declare one

MY NOTES

Term	Meaning	Note
Depression	Severe, prolonged contraction; the economy cannot get back to its original output	No objective criterion. **Great Depression (1929):** US GDP fell by nearly **30%,** unemployment hit **25%.** "A recession is a speed bump; a depression is a crater"
Shrinkflation	Size or quantity of a good shrinks while the packet price stays the same	Rampant in FMCG. Handout examples: **Parle-G, Maggi** cutting grammage to hold the ₹5 or ₹10 price point

⭐ REMEMBER

Dis- = the RATE slows. De- = the LEVEL falls. Core = headline − food − fuel.

🧠 MEMORY AID · THE LADDER OF MEASURES, NARROW TO NARROWER (AN ORDER)

Hot Chai Soothes

H Headline (all items, CPI-C)

C Core (minus food and fuel)

S Super core (also minus petrol, diesel, precious metals)

Own memory aid: each step peels off more volatile items.

8 · SPIRALS, STAGFLATION AND THE PHILLIPS CURVE

🧠 UNDERSTAND IT FIRST

Prices and wages can chase each other in a loop: dearer goods, higher wage demands, dearer goods again. Expectations matter too: if everyone expects prices to rise, they stock up today and prices do rise. Normally a country picks between inflation and unemployment (the Phillips Curve). Stagflation is the nightmare: both are bad at once.

✏ EXAMPLE

Why stagflation paralyses a policy maker: boosting demand to cut unemployment worsens inflation; cooling demand to cut inflation worsens unemployment. Neither lever helps.

MY NOTES

📐 Formulas of this section

STAGFLATION

Stagflation = stagnation (low growth, high unemployment) + high inflation

both adverse at once

PHILLIPS CURVE

inflation ↑ ⇔ unemployment ↓ (inverse)

A.W. Phillips, UK 1861-1957

- **Price-wage spiral:** prices rise, workers demand higher wages, firms pass the wage cost to consumers, a continuous positive feedback loop.
- **Inflation expectations:** a **self-fulfilling prophecy.** If people expect prices to rise, panic-buying today creates shortages and prices actually rise.
- **Reflation:** the government induces inflation (stimulus cheques, tax cuts, lower interest rates) to boost AD and reduce unemployment after a recession or deflation.

STAGFLATION

Stagflation = stagnation of output (low growth, high unemployment) + high inflation, together. Merely a contraction is recession; merely high inflation is hyperinflation. Stagflation needs **both** to be adverse at once.

Normally there is a **trade-off:** fast growth (low unemployment) comes with high inflation, and slow growth (high unemployment) comes with low inflation. This comes from the **Phillips Curve: A.W. Phillips** studied the **UK from 1861 to 1957** and found an **inverse relation between inflation (wage growth) and unemployment.** Points where both were low, or both high, were outliers; the both-high points are the periods of stagflation.

- If inflation is very high, unemployment is probably low, so the policy maker will pay the price of a slight rise in UE to cut inflation. If UE is very high, prices are probably low, so a rise in prices is a bearable cost to cut UE.
- **Stagflation breaks the Phillips Curve:** pursuing either goal worsens the other, which creates **policy uncertainty and paralysis.**

⭐ **REMEMBER**

Phillips Curve = inverse (low UE, high inflation). Stagflation = off the curve: both high.

MY NOTES

9 · EFFECTS OF INFLATION

🧠 **UNDERSTAND IT FIRST**

Inflation is a quiet tax on money: ₹110 this year buys only what ₹100 bought last year. Whoever owes money gains, because the debt is repaid with weaker rupees; whoever is owed loses. What the lender truly earns is the nominal rate minus inflation.

✏ **EXAMPLE**

Handout example: lend at 10% when inflation is 7%, so the lender is richer by only 10 − 7 = 3% in real terms. Deposits paying 2-3% do not beat inflation, so depositors' real return is negative. Cash at home loses value at the rate of inflation.

📐 Formulas of this section

REAL INTEREST RATE
RIR = NIR − Inflation
handout: 10% − 7% = 3%

FLOATING RATE (BANKS)
NIR = RIR + Inflation
RIR fixed, NIR moves with inflation

KEEPING YOUR WORTH
extra needed = inflation %
with 10% inflation ₹110 buys what ₹100 bought last year

TIME VALUE OF MONEY AND REAL RETURN

Inflation erodes money's value. If ₹100 bought 1 kg of apples and apples now cost ₹110, ₹1 has gone from 1/100 kg to 1/110 kg. With 10% inflation, **₹110 this year buys what ₹100 bought last year.** Someone with ₹105 is nominally richer but **poorer in real terms.** You need **exactly inflation% extra** to keep your worth.

FORMULA

Real Interest Rate (RIR) = Nominal Interest Rate (NIR) − Inflation. Handout example: lent at 10% with 7% inflation, the lender is richer by only **10% − 7% = 3%** in real terms.

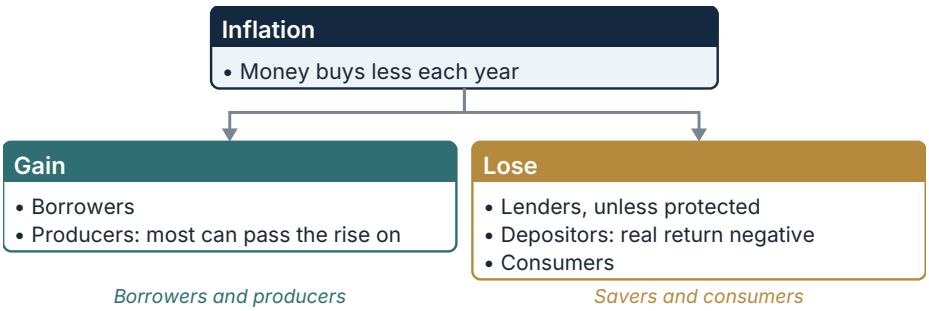
Who gains and who loses

Group	Effect	Why
Borrowers	Benefit	Inflation eats into the lender's return and helps shoulder the borrower's burden
Lenders (banks)	Lose, unless protected	Banks protect themselves by (a) charging a high NIR that stays above inflation, or (b) using a **floating rate:** RIR fixed, NIR = RIR + inflation

MY NOTES

Group	Effect	Why
Depositors	Lose	They are lenders to banks with no bargaining power. Deposit rates (the handout says a meagre 2-3%) do not beat inflation, so the real return is generally **negative.** Even fixed deposits hardly beat inflation. This does **not** mean keep cash at home: cash loses value at the rate of inflation
Consumers	Lose	Money loses purchasing power
Producers	Generally benefit	Depends on pricing power: necessities have inelastic demand but more competition; luxuries have elastic demand but less competition. Most producers can pass on the rise, so profit margins expand

WHO GAINS AND WHO LOSES



📘 FROM NCERT · XII MACRO CH 3 §3.1 (VALUE OF MONEY), XII MACRO CH 6 §6.3 (PPP, EXAMPLE 6.1, EXERCISE 15)

In plain words: The handout shows inflation shrinking what money buys, with apples. NCERT gives the same idea as a one-line formula, and adds an effect the handout skips: what inflation does to the **exchange rate** in the long run.

Link to the handout: Handout section 9: ₹100 bought 1 kg of apples, now ₹110. NCERT's "purchasing power of money" is the same thing.

Step 1 · The value of money falls when the price level rises

- If prices of all commodities increase in terms of money (a general increase in the price level), the value of money in terms of any commodity has decreased: a unit of money now buys less. NCERT calls this a **deterioration in the purchasing power of money**.
- Money can store value only if its own value is sufficiently stable. "A rising price level may erode the purchasing power of money."

MY NOTES

VALUE OF ₹1 IN TERMS OF A GOOD

1 ÷ price of the good

pencil ₹2 → ₹1 = 0.5 pencil; pen ₹10 → ₹1 = 0.1 pen

Step 2 · Inflation and the exchange rate in the long run (PPP theory)

- NCERT: over the long run, exchange rates between two currencies adjust to reflect differences in the **price levels** of the two countries, so the same product costs the same in rupees in India or dollars in the US (ignoring transport, and with no tariffs or quotas).

NCERT Example 6.1: a shirt	Price in the US	Price in India	Exchange rate that equalises them
Start	$8	₹400	₹50 per dollar
After prices rise 20 per cent in India and 50 per cent in the US	$12	₹480	$12 must be worth ₹480, so ₹40 per dollar: the dollar has **depreciated**

Step 3 · NCERT's practice question (Exercise 15)

- Rate ₹30 = $1 in 2010. Prices double in India over 20 years and stay fixed in the USA. By the PPP idea the rate in 2030 is 30 × 2 = ₹60 per dollar (worked out here): the rupee is weaker because India's prices rose.

NCERT differs: The handout's effects of inflation are all domestic (borrowers, lenders, depositors, consumers, producers). The exchange-rate effect is NCERT-only; add it as an extra point in a Mains answer. (*handout/teacher wins in class*)

⭐ REMEMBER

RIR = NIR − inflation. "LDC lose; BP gain": Lenders, Depositors, Consumers lose; Borrowers, Producers gain.

MY NOTES

🧠 MEMORY AID · WHO LOSES, WHO GAINS

LDC + BP

L Lenders / banks lose (unless protected)	**D** Depositors lose (real return negative)
C Consumers lose (money buys less)	**B** Borrowers gain
P Producers gain (they can pass the rise on)	

Own memory aid: the five groups from the handout table. The order is free.

10 · IS INFLATION DESIRABLE? ENGEL'S LAW AND THE POOR

🧠 UNDERSTAND IT FIRST

Zero or falling prices are not the goal. A little steady inflation keeps firms profitable, so they invest, hire and raise wages. Stability also stops people from putting off buying. But the poor suffer most: they spend most of their income on food, whose prices swing and whose sellers can pass price rises on.

✏ EXAMPLE

Engel's Law: as income rises, the SHARE of income spent on food falls even if the rupee amount rises. A household with ₹10,000 a month that spends ₹7,000 on food feels a food-price jump far more than one that spends a small share on food (practice picture, not from the handout).

📐 Formulas of this section

ENGEL'S LAW

income ↑ ⇒ % of income spent on food ↓

even if rupees spent on food rise

As a consumer you might prefer deflation, but a healthy economy needs **low and stable** inflation. Low inflation within people's tolerance **keeps producers profitable** so they invest, expand capacity, pay higher wages and create jobs. Stability brings predictability and stops people **delaying** decisions.

ENGEL'S LAW (ASTERISKED IN THE HANDOUT)

Ernst Engel: as family income rises, the **% of income spent on food falls,** even if absolute spending on food rises. Corollary: a poor household spends most of its money on necessities like food, whose prices are volatile and whose producers can pass on price rises. So **the poor are disproportionately hit by inflation:** no buffer or luxury spending to cut.

MY NOTES

⭐ REMEMBER

Engel: richer ⇒ smaller food share ⇒ poor hit hardest.

11 · FISCAL DRAG: HOW INFLATION COOLS ITSELF

🧠 UNDERSTAND IT FIRST

When prices rise, the government collects more tax without passing any new law. Indirect taxes are mostly a % of value, so they collect more. A worker whose pay rises with inflation moves into a higher slab and pays a bigger share as tax. Real take-home grows less than pay, spending falls, and prices cool by themselves.

✏ EXAMPLE

Handout table at 20% inflation: income ₹9 L → ₹10.8 L; tax ₹1.1 L → ₹1.41 L (up 28.2%); take-home ₹7.9 L → ₹9.39 L (up 18.8%, less than 20%).

📐 Formulas of this section

TAX AT ₹9 L
₹50,000 + ₹60,000 = ₹1.1 L
10% on first 5 L; 15% on next 4 L (hypothetical slabs)

TAX AT ₹10.8 L
₹50,000 + ₹75,000 + ₹16,000 = ₹1.41 L
20% on the last 80k

DISPOSABLE INCOME
income − tax: 9 − 1.1 = ₹7.9 L; 10.8 − 1.41 = ₹9.39 L
handout table

FISCAL DRAG
income +20% ⇒ tax +28.2%, post-tax income +18.8%
no new law; AD falls; prices cool

In inflation the government collects more **direct and indirect** taxes. Indirect taxes are mostly **ad valorem** (on the value of goods), so the same rate collects more. Direct taxes: a worker who negotiates a raise equal to inflation is pushed into a **higher bracket** under progressive taxation.

The handout's hypothetical (inflation 20%)

	Income ₹9 L	Income ₹10.8 L (+20%)
Slabs (hypothetical)	0-5 L at 10%; 5-10 L at 15%; 10-30 L at 20%; 30 L+ at 25%	Same slabs
Tax	₹50,000 on first 5 L + ₹60,000 on next 4 L = **₹1.1 L**	₹50,000 + ₹75,000 on next 5 L + ₹16,000 on next 80k = **₹1.41 L**

MY NOTES

	Income ₹9 L	Income ₹10.8 L (+20%)
Disposable income	9 − 1.1 = **₹7.9 L**	10.8 − 1.41 = **₹9.39 L**
Change	Post-tax income up **18.8%**	Tax outgo up **28.2%**

Nominal income rose by the full inflation rate (20%), but real disposable income rose only about 18-19%. People pay a larger share of their **increment** as tax. No new tax was imposed; the system does it automatically. People realise they are poorer, cut spending, **AD falls** and prices cool without the government acting. This automatic cooling is **fiscal drag**, acting as an **automatic stabiliser.**

HANDOUT ALERT: 18% OR 18.8%

The table gives **18.8%** for the rise in post-tax income, but the text beneath says "grew by a lesser rate (18%)". Use **about 18.8%** if asked for a number; the point (smaller than 20%) is what the exam wants.

📘 FROM NCERT · XII MACRO CH 5 §5.1.2 AND §5.3 (PROGRESSIVE TAX; AUTOMATIC STABILISERS), KEY CONCEPTS

In plain words: The handout calls fiscal drag an "automatic stabiliser". NCERT defines that term. It uses a different tax example, so first see NCERT's idea, then match it to the handout's slabs.

Link to the handout: Handout section 11: higher slabs mean more tax on the extra income, so spending is cut automatically. NCERT: a tax that takes a part of every rupee of extra income acts as a shock absorber.

Step 1 · What an automatic stabiliser is (NCERT)

- NCERT: a proportional income tax acts as an automatic stabiliser, a **shock absorber**, because it makes disposable income, and thus consumer spending, less sensitive to fluctuations in GDP.

Phase	What happens
GDP rises	Disposable income also rises but by **less** than GDP, because a part is siphoned off as taxes. This limits the upward fluctuation in consumption spending
Recession (GDP falls)	Disposable income falls **less sharply**, so consumption does not drop as much and the fall in aggregate demand is reduced

MY NOTES

Step 2 · Automatic against deliberate

- Built-in stabilisers work "without the need for any decision-maker to take action"; they work automatically. **Welfare transfers** also help stabilise income.
- Deliberate action to stabilise the economy (changing government spending or taxes) is called **discretionary fiscal policy**.
- NCERT's caution: built-in stabilisers reduce only **part** of the fluctuation; the rest must be taken care of by deliberate policy.

Step 3 · Progressive tax (the handout's slabs)

- NCERT: redistribution is sought through **progressive** income taxation, in which the higher the income, the higher the tax rate. Firms are taxed on a proportional basis, a particular proportion of profits.

NCERT differs: NCERT's example of a stabiliser is a **proportional** tax, and it explains the effect on a recession as well. The handout's fiscal drag works through **progressive** slabs in an inflation. NCERT does not use the term "fiscal drag". Use the handout's term and quote NCERT's "automatic stabiliser". *(handout/teacher wins in class)*

⭐ REMEMBER

Fiscal drag = inflation pushes you into higher slabs = automatic stabiliser (AD falls, prices cool).

12 · CONTROLLING INFLATION: WHY "MAKE MONEY EXPENSIVE"

🧠 UNDERSTAND IT FIRST

We cannot find the exact cause quickly, and fixing roads, ports and the business climate takes years. So the cure must work whatever the cause: cut AD. AD is spending, and spending needs money. If money becomes expensive (higher interest rate), savers save more and borrowers borrow less, so AD falls and prices cool.

✏ EXAMPLE

Handout: a loan of ₹1 lakh at 8%. Raise the rate to 10%: those with money save it for the higher interest, those without cannot afford to borrow. Both cut demand.

MY NOTES

📐 Formulas of this section

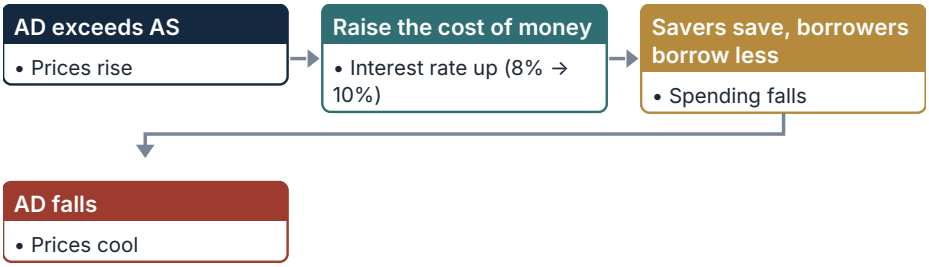
CURE LOGIC

cost of money ↑ ⇒ spending ↓ ⇒ AD ↓ ⇒ prices cool

handout: loan of ₹1 lakh at 8% → 10%

- **Two problems:**
  - (1) identifying the cause (price is the collective outcome of many intertwined factors)
  - (2) the ability to fix it (you cannot build roads and ports, or attract capital, in a year). Structural fixes (infrastructure, import resilience, EODB) are necessary but come too late. The solution must be **effective and agnostic of the cause.**
- Inflation is a consequence of **AD exceeding AS.** Bring down AD and prices cool. AD is expenditure using **money.** If money becomes **expensive,** people hold on to it and spend less.
- **The cost of money is the interest rate** (a loan of ₹1 lakh at 8%). Raise it from 8% to 10%: those with money save it for the higher interest, those without cannot afford to borrow. **Both reduce demand,** AD cools and prices fall.
- The price of money, like any price, depends on its **demand and supply.** Reduce the supply of money and its cost rises. **Who does this and how** is the next chapter: money, its demand and supply, and monetary policy.

THE HANDOUT'S LOGIC FOR CONTROLLING INFLATION



📘 FROM NCERT · XII MACRO CH 5 §5.1.1 (STABILISATION FUNCTION), XI CH 3 (STABILISATION MEASURES), XI GLOSSARY

In plain words: The handout's cure is one idea: make money expensive. NCERT shows two more pieces of the picture: the **government's** stabilisation job, and India's own short-term measures in 1991. The tools of the RBI itself are in the Chapter 8 NCERT boxes.

Link to the handout: Handout section 12: bring AD down, whatever the cause; structural fixes come too late. NCERT's "stabilisation" (short term) and "structural" (long term) are the same split.

MY NOTES

Step 1 · The stabilisation function of the budget (NCERT)

- If demand is not enough to use labour and other resources fully, the government needs to intervene to **raise** aggregate demand.
- There may also be times when demand exceeds available output under conditions of high employment and gives rise to inflation. Then "restrictive conditions may be needed to **reduce** demand".
- The government's intervention, whether to expand demand or to reduce it, is the **stabilisation function**.

Step 2 · India 1991: two kinds of measures (XI Ch 3)

- XI Glossary: **Stabilisation measures** are "fiscal and monetary measures adopted to control fluctuations in the balance of payments and high rate of inflation".

	Stabilisation measures	Structural reform policies
Time frame	Short-term	Long-term
Aim	Correct weaknesses in the balance of payments and bring inflation under control; keep enough foreign exchange reserves and keep rising prices under control	Improve the efficiency of the economy and increase its international competitiveness

Step 3 · Where the RBI's own tools are

- CRR, Bank Rate, open market operations and the repo rate are covered in the NCERT boxes of **Chapter 8** (Money and Monetary Policy), so they are not repeated here.

NCERT differs: NCERT presents controlling inflation as a job for both fiscal and monetary measures. The handout puts the weight on money becoming expensive (monetary) and promises that story in Chapter 8. *(handout/teacher wins in class)*

⭐ **REMEMBER**

Dearer money ⇒ less spending ⇒ AD falls ⇒ prices cool. (Who does it and how: Chapter 8.)

MY NOTES

FORMULA SHEET, NUMBER CARD AND DRILLS

MY NOTES

📐 FORMULA SHEET: COVER THE THIRD COLUMN, SAY THE FORMULA, THEN CHECK

Where	Name	Formula	Source
Sec 2	Price rule	**AD > AS ⇒ price level ↑**	handout
Sec 2	Link to price level	**AD: price ↑ ⇒ demand ↓ · AS: price ↑ ⇒ supply ↑**	handout
Sec 3	Demand-pull	**AD shifts right: AD0 → AD1**	handout
Sec 3	Cost-push	**AS shifts left: AS0 → AS1**	handout
Sec 4	Inflation (Y-o-Y)	**Inflation % = (basket price this month − basket price same month last year) ÷ basket price same month last year × 100**	handout
Sec 5	Index	**Index = (100 ÷ base-year basket price) × current basket price**	handout
Sec 5	Handout numbers	**(100 ÷ 10,000) × 15,000 = 150 · (100 ÷ 10,000) × 16,500 = 165**	handout
Sec 5	Inflation from the baskets	**(16,500 − 15,000) ÷ 15,000 × 100 = 10%**	handout
Sec 5	Reading an index	**index of 165 ⇒ prices 65% above the base year**	handout
Sec 7	Core inflation	**Core = Headline − food − fuel (Fuel and Light)**	handout
Sec 7	Super core	**Super core = Headline − food − fuel − petrol − diesel − precious metals**	handout
Sec 7	Recession rule	**output falls for 2 consecutive quarters**	handout
Sec 7	Hyperinflation (Cagan)	**more than 50% per month**	handout
Sec 8	Stagflation	**Stagflation = stagnation (low growth, high unemployment) + high inflation**	handout
Sec 8	Phillips Curve	**inflation ↑ ⇔ unemployment ↓ (inverse)**	handout
Sec 9	Real interest rate	**RIR = NIR − Inflation**	handout
Sec 9	Floating rate (banks)	**NIR = RIR + Inflation**	handout
Sec 9	Keeping your worth	**extra needed = inflation %**	handout
Sec 10	Engel's Law	**income ↑ ⇒ % of income spent on food ↓**	handout
Sec 11	Tax at ₹9 L	**₹50,000 + ₹60,000 = ₹1.1 L**	handout

MY NOTES

Where	Name	Formula	Source
Sec 11	Tax at ₹10.8 L	**₹50,000 + ₹75,000 + ₹16,000 = ₹1.41 L**	handout
Sec 11	Disposable income	**income − tax: 9 − 1.1 = ₹7.9 L; 10.8 − 1.41 = ₹9.39 L**	handout
Sec 11	Fiscal drag	**income +20% ⇒ tax +28.2%, post-tax income +18.8%**	handout
Sec 12	Cure logic	**cost of money ↑ ⇒ spending ↓ ⇒ AD ↓ ⇒ prices cool**	handout
Sec 5	CPI (NCERT)	**CPI = cost of basket in current year ÷ cost of basket in base year × 100**	NCERT
Sec 5	GDP deflator	**GDP deflator = nominal GDP ÷ real GDP (× 100 for per cent)**	NCERT
Sec 9	Value of ₹1 in terms of a good	**1 ÷ price of the good**	NCERT

🔢 NUMBER CARD: FIGURES TO HOLD

- **4% ± 2%** inflation target band
- **2014** Urjit Patel Committee: CPI-C as headline
- **2015** CPI-C adopted as the anchor
- **2024 = 100** new CPI base (Feb 2026)
- **12** divisions in the 2024 CPI
- **358** items (was 299)
- **36.75%** food weight (was 45.86%)
- **28.32%** old “Miscellaneous” weight
- **165** index = prices 65% above base
- **2 quarters** recession rule of thumb
- **50% a month** Cagan’s hyperinflation mark
- **1861-1957** Phillips’s UK data
- **~30% / 25%** Great Depression: US GDP fall, unemployment
- **10 − 7 = 3** real interest example
- **+20% → +28.2%** income vs tax (fiscal drag)

MY NOTES

✏ BLANK-PAGE DRILL: DRAW THESE FROM MEMORY, THEN CHECK

- Redraw the handout's AD-AS sketches (equilibrium; AD shifting right; AS shifting left) from the figures in section 2, then label P0, P1, Y0, Y1.
- Write the seven measurement steps and the sentence "To Buy Bread, Begin Looking Intently Inside".
- Write headline, core and super core, and what each leaves out.

NCERT CHECKLIST: END BOXES, QUESTIONS, KEY CONCEPTS

📘 NCERT PARTS WITH NO MATCHING HANDOUT SECTION (READ THEM FROM NCERT)

- **XII Macro Ch 2 §2.5: GDP and welfare**: Limits of GDP as a measure of well-being: not part of this inflation chapter
- **XII Macro Ch 4 (rest): effective demand, MPC, multiplier**: Income determination with the price level fixed; read from NCERT
- **XII Macro Ch 6: exchange rate determination, balance of payments**: Foreign exchange demand and supply; belongs to the external sector chapter
- **XII Macro Ch 5: budget receipts, expenditure, deficits, FRBM Act**: Budget chapter; only the inflation points are used above
- **XI Ch 3: other reforms (industry, trade, privatisation)**: Reforms chapter; only price and stabilisation points are used above

📘 NCERT KEY CONCEPTS: TICK EACH WHEN YOU CAN DEFINE IT

☐ Nominal GDP ☐ Real GDP ☐ Base year ☐ GDP Deflator
☐ Consumer Price Index (CPI) ☐ Wholesale Price Index (WPI)
☐ Inflation ☐ Stabilisation measures ☐ Automatic stabiliser
☐ Discretionary fiscal policy ☐ Purchasing power parity

📘 NCERT'S OWN END-OF-CHAPTER QUESTIONS: CAN YOU ANSWER EACH FROM THESE NOTES?

NCERT question	Answer lives in
Exercise 11 (XII Macro Ch 2): nominal GNP ₹2,500 crore, GNP at base-year prices ₹3,000 crore: find the GNP deflator; has the price level risen?	Section 5 NCERT box, Step 4 (83.33 per cent: no, it has fallen)
Exercise 13 (XII Macro Ch 5): Are fiscal deficits inflationary?	Section 3 NCERT box on deficits

MY NOTES

NCERT question	Answer lives in
Exercise 15 (XII Macro Ch 6): prices double in India, fixed in the USA; what is the PPP exchange rate in 2030?	Section 9 NCERT box, Step 3
Exercise 1 (XI Ch 3): Why were reforms introduced in India? (the price part)	Section 3 NCERT box, Step 3 (rising prices of essential goods)

ABBREVIATION COLUMN

Every short form used in this chapter, expanded.

NCERT = National Council of Educational Research and Training — publisher of the school textbooks the teacher calls "very, very important"

AD = Authorized Dealer — bank licensed to convert currency (also Aggregate Demand elsewhere)

GDP = Gross Domestic Product — value of all final goods and services produced inside a country in a year

AS = Aggregate Supply — total supply of all goods and services that producers make

CPI = Consumer Price Index — tracks the price of a retail basket of goods and services that households buy

WPI = Wholesale Price Index — tracks prices at the wholesale (trade) level; released by the Office of the Economic Adviser

NIR = Nominal Interest Rate — the interest rate as quoted, before removing inflation

RIR = Real Interest Rate — nominal interest rate minus inflation

CPI-C = CPI-Combined — rural plus urban CPI; the headline inflation number in India

PPI = Producer Price Index — tracks prices received by producers at the factory gate; India has no official PPI yet

US = United States — a country

GNP = Gross National Product — GDP + net income from abroad

RBI = Reserve Bank of India — central bank

CPI-AL = CPI for Agricultural Labourers — index for farm-labour households, published by the Labour Bureau

CPI-IW = CPI for Industrial Workers — index for factory-worker households, published by the Labour Bureau

PPP = Public-Private Partnership — joint working of government and private firms (also purchasing power parity elsewhere)

Y-o-Y = Year-on-Year — compares a month with the same month of the previous year

UE = Unemployment — people able and willing to work but without work

UK = United Kingdom — a country

AD0 = Aggregate Demand, before the shift — starting AD curve (AD1 is after the shift)

AD1 = Aggregate Demand, after the shift — new AD curve

MY NOTES

AS0 = Aggregate Supply, before the shift — starting AS curve (AS1 is after the shift)

AS1 = Aggregate Supply, after the shift — new AS curve

MoSPI = Ministry of Statistics and Programme Implementation — government ministry that releases the CPI, GDP and PLFS data

NSO = National Statistical Office — under MoSPI; compiles CPI and national accounts

USA = United States of America — country

CDs = Compact Discs — optical discs for music or data, dropped from the 2024 CPI basket

COICOP = Classification of Individual Consumption According to Purpose — UN framework used to group CPI items (2018 version)

DPIIT = Department for Promotion of Industry and Internal Trade — Commerce Ministry department that houses the OEA

EODB = Ease of Doing Business — how easy it is to run a business

NBER = National Bureau of Economic Research — US private body whose committee officially dates US recessions

OEA = Office of the Economic Adviser — unit in DPIIT that compiles and releases the WPI

OTT = Over-the-Top — video or audio streaming delivered over the internet

R&D = Research and Development — spending on new products and processes

VCRs = Video Cassette Recorders — old home video devices, dropped from the 2024 CPI basket

CRR = Cash Reserve Ratio — share of deposits banks keep as cash with RBI

FMCG = Fast-Moving Consumer Goods — cheap daily-use packaged goods such as biscuits, soap, noodles

FRBM = Fiscal Responsibility and Budget Management — law that sets deficit and debt targets

MPC = Monetary Policy Committee — six-member committee that sets the repo rate

SEBI = Securities and Exchange Board of India — regulator of the securities market

UN = United Nations — world body of states founded in 1945

Meanings are plain-language aids; verify before quoting in an answer.

CURRENT AFFAIRS

Flexible Inflation Targeting (FIT): 10 years

September 2026 Prelims · Mains

*India's Flexible Inflation Targeting framework completed **10 years**.*

FIT: RBI uses interest rates to keep inflation within a publicly announced range while supporting growth. Legal basis: RBI Act, **1934** amended in **2016**.

Centre, in consultation with the RBI, sets the target every five years, based on headline CPI. Retained at **4%** with a **+/-2%** band for April **2026** to March **2031**. Inflation outside the band for three consecutive quarters is a failure. The MPC sets the repo rate.

MY NOTES

Results: average CPI inflation fell from **8.1%** (**2006-16**) to **4.6%** (**2016-26**); average GDP growth **6.8%** to **7%**. Inflation stayed within the band three-fourths of the time in **2016-21** and two-thirds in **2021-26**.

RBI Discussion Paper (August 2025): headline vs core (food and fuel are over **37%** of the consumption basket; only Uganda targets core); **4%** still right (advanced economies about **2%**, major developing 3-**6%**); band should be guided by threshold inflation (upper) and the rate below which low inflation discourages production (lower).

Concerns: weak transmission to lending rates; flat Phillips curve (**2012-2026**) so rate hikes may cost jobs with little fall in inflation, raising stagflation risk; about **90%** of workforce informal; inflation mostly supply-driven (crop failure, heatwaves, crude).

Way forward: Government absorbs supply shocks, RBI prevents second-round effects; extend benchmark-linked rates to NBFCs and microfinance; bring inflation closer to **4%**; cold chains, warehousing, APMC reform, rule-based buffer stock release.

PRELIMS FODDER

MPC: statutory body under the RBI Act, **2016**; 6 members (3 RBI, 3 Government nominees); majority vote; Governor has the casting vote.

Headline inflation = total; core inflation excludes food and energy.

Phillips curve: inverse relation between inflation and unemployment. Stagflation: high inflation, stagnation and unemployment together.

MAINS FODDER

Urjit Patel Committee (2014): CPI as nominal anchor, **4%** target with **+/-2%** band, committee-based decisions.

Keywords Price stability · Credible nominal anchor · Inflation expectations · Flat Phillips curve · Supply-side inflation

PYQ CONNECT

2017 Prelims: MPC decides the benchmark rates; it is not a 12-member body and not chaired by the Finance Minister.

TIMELINE AND NUMBERS

When	What
1861-1957	A.W. Phillips studies UK data for the Phillips Curve (inverse relation between inflation (wage growth) and unemployment).
1923	Weimar Germany: the handout's hyperinflation example.
1929	Great Depression: US GDP fell by nearly 30%, unemployment 25%.
2008	Zimbabwe: hyperinflation example.
2009-2010	Skewflation prominent in India (onions, pulses).

MY NOTES

When	What
2014	Urjit Patel Committee recommends CPI-C as headline instead of WPI. ★
2015	CPI-C adopted as the primary anchor for the Inflation Targeting framework. ★
2017	WPI adjusted: indirect taxes removed so it sits closer to basic prices / factor cost.
Feb 2026	MoSPI releases the new 2024 = 100 CPI base-year series. ★

CONNECTS TO OTHER CHAPTERS

Where	Why
Chapter 5: National Income Accounting	The handout says the base year in inflation gives a constant basket, as in the Real GDP chapter it gives constant prices.
Chapter 3: Unemployment	The Phillips Curve and stagflation link inflation to unemployment; ch3 covers NAIRU and cyclical unemployment.
Chapter 4: Basic Concepts	Necessary versus luxury goods (elasticity) decide the producer's pricing power; normal versus inferior goods connect to Engel's Law.
Chapter 8: Money and Monetary Policy	The handout ends by turning to money, its demand, supply and monetary policy: the cure for inflation.
Budget and Fiscal Policy handout	Government spending drives AD; fiscal drag works through tax brackets.

MAINS ANSWER SKELETONS

DISTINGUISH BETWEEN A RISE IN A PRICE AND INFLATION. WHAT CAUSES INFLATION?

Intro: Inflation is a general rise in the price level, not a rise in one good's price.

- Prices rise when AD exceeds AS.
- Demand-pull: rising incomes, easy money, government spending, population, spending habits.
- Cost-push: raw material costs, wages, low investment, poor EODB, disasters.
- Other: cartels, hoarding, black money, international shocks.

Close: The causes to look for are the general factors that shift AD or AS.

HOW IS INFLATION MEASURED IN INDIA? DISCUSS THE RECENT CHANGES IN MEASUREMENT.

Intro: A normative basket is tracked against a base year and converted to an index.

- Steps: target group, basket and weights, base year, prices, year-on-year change.

MY NOTES

- CPI (NSO), CPI-AL and CPI-IW (Labour Bureau), WPI (OEA).
- Headline = CPI-C, target 4% ± 2%, Urjit Patel Committee 2014.
- 2024 = 100 series: 12 divisions (COICOP 2018), food weight 36.75%, 358 items, e-commerce data, rural house rent.

Close: A lower food weight should give a less volatile and clearer signal for monetary policy.

WHY DOES INFLATION HURT THE POOR MORE? EXPLAIN WITH ENGEL'S LAW.

Intro: Engel's Law says the share of income spent on food falls as income rises.

- A poor household spends most of its budget on necessities like food.
- Food prices are volatile and producers can pass them on.
- No buffer or luxury spending to cut.
- Deposit returns of the poor are generally negative in real terms.

Close: Inflation is a regressive burden.

EXPLAIN STAGFLATION AND WHY IT CREATES A POLICY DILEMMA.

Intro: Stagflation is low growth, high unemployment and high inflation together.

- Normally the Phillips Curve gives a trade-off.
- Policy maker normally pays a small price in one to fix the other.
- In stagflation both are adverse; fighting one worsens the other.
- Result is policy uncertainty and paralysis.

Close: Stagflation breaks the trade-off that policy relies on.

WHAT IS FISCAL DRAG? HOW DOES IT ACT AS AN AUTOMATIC STABILISER?

Intro: In inflation nominal incomes rise, pushing people into higher tax brackets.

- Worked example: ₹9 L to ₹10.8 L; tax up 28.2%, post-tax income up 18.8%.
- Indirect taxes are ad valorem, so collections rise.
- People feel poorer, cut spending, AD falls.
- No new tax and no government action needed.

Close: The tax system cools inflation automatically.

PAST-YEAR QUESTIONS · 13 PRELIMS AND 1 MAINS QUESTIONS FROM THE SAARTHI SUBJECT-WISE SHEETS

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question

MY NOTES

1 · WHAT INFLATION IS, AND WHAT IT IS NOT 1 Prelims · 0 Mains

Prelims 2011

Economic growth is usually coupled with

(a) Deflation
(b) Inflation
(c) Stagflation
(d) Hyperinflation

Answer: **(b)** Inflation

3 · CAUSES OF INFLATION 5 Prelims · 0 Mains

Prelims 2021

Which one of the following is likely to be the most inflationary in its effects?

(a) Repayment of public debt
(b) Borrowing from the public to finance a budget deficit
(c) Borrowing from the banks to finance a budget deficit
(d) Creation of new money to finance a budget deficit

Answer: **(d)** Creation of new money to finance a budget deficit

Prelims 2021

With reference to the Indian economy, demand-pull inflation can be caused / increased by which of the following?

1. Expansionary policies
2. Fiscal stimulus
3. Inflation-indexing wages
4. Higher purchasing power
5. Rising interest rates

Select the correct answer using the code given below:

(a) 1, 2 and 4 only
(b) 3, 4 and 5 only
(c) 1, 2, 3 and 5 only
(d) 1, 2, 3, 4 and 5

Answer: **(a)** 1, 2 and 4 only

Prelims 2013

A rise in general level of prices may be caused by 1. an increase in the money supply

1. a decrease in the aggregate level of output
2. an increase in the effective demand

Select the correct answer using the code given below:

(a) 1 only
(b) 1 and 2 only
(c) 2 and 3 only
(d) 1, 2 and 3

Answer: **(d)** 1, 2 and 3

Prelims 2013

Which one of the following is likely to be the most inflationary in its effect?

(a) Repayment of public debt
(b) Borrowing from the public to finance a budget deficit
(c) Borrowing from banks to finance a budget deficit
(d) Creating new money to finance a budget deficit

Answer: **(d)** Creating new money to finance a budget deficit

MY NOTES

Prelims 2011

India has experienced persistent and high food inflation in the recent past. What could be the reasons?

1. Due to gradual switch over to the cultivation of commercial crops, the area under the cultivation of food grains has steadily decreased in the last five years by about 30%.
2. As a consequence of increasing incomes, the consumption patterns of people have undergone a significant change.
3. The food supply chain has structural constraints.

Which of the statements given above are correct?

(a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(b)** 2 and 3 only

6 · INDICES IN INDIA AND THE 2024 BASE-YEAR CPI 4 Prelims · 0 Mains

Prelims 2020

Consider the following statements:

1. The weightage of food in Consumer Price Index (CPI) is higher than that in Wholesale Price Index (WPI).
2. The WPI does not capture changes in the prices of services, which CPI does.
3. The Reserve Bank of India has now adopted WPI as its key measure of inflation and to decide on changing the key policy rates.

Which of the statements given above is/are correct?

(a) 1 and 2 only
(b) 2 only
(c) 3 only
(d) 1, 2 and 3

Answer: **(a)** 1 and 2 only

Prelims 2015

Which of the following brings out the 'Consumer Price Index Number for Industrial Workers'?

(a) The Reserve Bank of India
(b) The Department of Economic Affairs
(c) The Labour Bureau
(d) The Department of Personnel and Training

Answer: **(c)** The Labour Bureau

Prelims 2015

In the Index of Eight Core Industries, which one of the following is given the highest weight?

(a) Coal Production
(b) Electricity generation
(c) Fertilizer Production
(d) Steel Production

Answer: **(b)** Electricity generation

MY NOTES

Prelims 2012

In India the overall Index of Industrial Production, the Indices of Eight Core Industries have a combined weight of 37.90%. Which of the following are among those Eight Core Industries?

1. Cement
2. Fertilizers
3. Natural Gas
4. Refinery products
5. Textiles

Select the correct answer using the code given below:

(a) 1 and 5 only
(b) 2, 3 and 4 only
(c) 1, 2, 3 and 4 only
(d) 1, 2, 3, 4 and 5

Answer: **(c)** 1, 2, 3 and 4 only

7 · KEY TERMINOLOGY 1 Prelims · 0 Mains

Prelims 2011

A rapid increase in the rate of inflation is sometimes attributed to the "base effect". What is "base effect"?

(a) It is the impact of drastic deficiency in supply due to failure of crops.
(b) It is the impact of the surge in demand due to rapid economic growth.
(c) It is the impact of the price levels of previous year on the calculation of inflation rate.
(d) None of the statements (a), (b) and (c) given above is correct in this context.

Answer: **(c)** It is the impact of the price levels of previous year on the calculation of inflation rate.

9 · EFFECTS OF INFLATION 1 Prelims · 1 Mains

Prelims 2013

Consider the following statements:

1. Inflation benefits the debtors.
2. Inflation benefits the bondholders.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(a)** 1 only

Mains 2019 10 marks GDP growth and low inflation

Do you agree with the view that steady GDP growth and low inflation have left the Indian economy in good shape? Give reasons in support of your arguments.

KEYWORDS low inflation | steady GDP growth | economy in good shape | reasons

MY NOTES

12 · CONTROLLING INFLATION: WHY "MAKE MONEY EXPENSIVE" 1

Prelims · 0 Mains

Prelims 2015

Which reference to inflation in India, which of the following statements is correct?

(a) Controlling the inflation in India is the responsibility of the Government of India only
(b) The Reserve Bank of India has no role in controlling the inflation
(c) Decreased money circulation helps in controlling the inflation
(d) Increased money circulation helps in controlling the inflation

Answer: **(c)** Decreased money circulation helps in controlling the inflation

MY NOTES

END OF CHAPTER · RECALL AND DRILL

RECALL SHEET: COVER THE RIGHT COLUMN AND ANSWER

Inflation?	A general rise in the price level.
What sets the price level?	Aggregate Demand and Aggregate Supply.
Demand-pull inflation?	AD shifts right.
Four demand-pull examples?	Rising incomes, easy money, more government spending, rising population.
Non-AD/AS factors?	Cartels, hoarding, black money, international shocks.
Index of base year?	Usually 100.
Who releases CPI?	NSO under MoSPI.
Who releases WPI?	Office of the Economic Adviser, DPIIT.
Why was WPI adjusted in 2017?	No official PPI; indirect taxes removed to sit closer to basic prices.
2024 CPI: items?	358 (from 299).
Old Miscellaneous weight?	28.32%.
Headline inflation?	CPI-C; the RBI's anchor (2015). Target 4% ± 2%.
Skewflation?	A few items rising fast make the whole basket costly (onions, pulses around 2009-2010).
Where are petrol and diesel placed?	Inside core (Transport and Communication); out only in super core.

Prelims trap · Petrol and diesel are inside core

Many assume petrol and diesel sit in 'Fuel and Light'. The handout puts vehicle petrol and diesel under Transport and Communication. *Rule: core = headline minus food and fuel (Fuel and Light) only; petrol and diesel come out only in super core.*

Concept trap · Deflation is not disinflation

Deflation is a fall in prices. Disinflation is a fall in the rate of inflation; prices still rise, only slower. *Rule: prices fall = deflation; the rate falls = disinflation.*

Concept trap · One price is not inflation

A rise in the price of one good may cause inflation but is not inflation by itself. *Rule: pick the option that says 'general rise' and 'price level'.*

Prelims trap · Recession: a rule of thumb

Two consecutive quarters of falling output is a rule of thumb. The US NBER uses broader metrics to declare a recession. *Rule: treat 'two quarters' as the thumb rule, not a legal definition.*

Handout alert · 18% or 18.8%

The fiscal-drag table gives 18.8% for the rise in post-tax income but the text beneath says 18%. *Rule: quote about 18.8%; the point is that it is less than 20%.*

QUICK QUIZ

Q1. Inflation in the macroeconomic sense means...

1. a rise in the price of any one good
2. a general rise in the price level
3. a rise in the price of food only
4. a rise in wages

Q2. Which of the following causes demand-pull inflation?

1. Rising crude oil prices
2. Rising wages of workers
3. Easy availability of money through cheaper credit
4. Frequent disasters in supply chains

Q3. In the handout's example the base-year basket costs ₹10,000 (index 100) and later costs ₹16,500. The index is...

1. 150
2. 165
3. 116.5
4. 16.5

Q4. The Consumer Price Index (CPI-Combined) is compiled by...

1. Labour Bureau
2. Office of the Economic Adviser, DPIIT
3. National Statistical Office under MoSPI
4. Reserve Bank of India

Q5. The inflation target set by the Monetary Policy Framework Agreement, per the handout, is...

1. 2% ± 4%
2. 4% ± 2%
3. 6% ± 2%
4. 5% ± 1%

Q6. Which was the share of Food and Beverages in the new 2024 = 100 CPI basket, per the handout?

1. 45.86%
2. 36.75%
3. 28.32%
4. 12%

MY NOTES

Q7. Core inflation is headline inflation excluding...

1. food and fuel
2. petrol and diesel only
3. housing
4. imports

Q8. A fall in the rate of inflation, with prices still rising, is called...

1. deflation
2. disinflation
3. reflation
4. stagflation

Answers: Q1 b, Q2 c, Q3 b, Q4 c, Q5 b, Q6 b, Q7 a, Q8 b

MY NOTES

CHAPTER 7 · HANDOUT PP. 1-33

07 Banking and NBFCs: Regulation, NPAs, IBC and Financial Inclusion

HIGH PRIORITY Mains PYQs quoted: **2016, 2022**

Prelims PYQs: **2004, 2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2024**

EXAM LENS

Prelims hooks

- CRAR, CCB, Tier 1 and 2, risk-weighted assets
- SMA versus NPA
- Net NPA and PCR
- AQR
- CRILC (₹5 crore)
- DRT, SARFAESI (what it excludes), IBC bodies (IBBI, NCLT, NCLAT, IU, CoC, IRP)
- recap bonds 2017
- P.J. Nayak and BBB, FSIB
- PMJDY
- RRB 50:15:35
- PSL targets
- SFB and payments bank limits
- NBFC layers
- Nidhi and chit funds

Mains hooks

- why regulate banks
- how capital norms transfer risk
- reasons for NPAs and why PSBs had more
- twin balance sheet problem
- evaluate the 4R strategy
- IBC achievements and challenges
- why PSB governance failed (the "Three Cs")
- financial inclusion strategies and their limits

regulation does not stop banks taking risk; it makes them carry it with their own money.

IN SIMPLE WORDS

- Banks are **decision-taking** intermediaries, so the **RBI** regulates them so that the **bank, not the depositor**, carries lending risk. **SEBI** looks after decision-facilitating ones.
- **Basel III** asks for capital against three risks. **CRAR = Capital / Risk Weighted Assets, at least 9%** (Basel 8%), plus a **2.5%** buffer. Riskier loans use up capital faster.
- Overdue loans climb **SMA-0, 1, 2**, then become an **NPA** after **90 days**: sub-standard, doubtful, loss.
- The **4R** cure: **Recognise** (AQR), **Recover** (RDDB, SARFAESI, IBC), **Recapitalise** (₹2.11 lakh crore bonds) and **Reform** (governance).

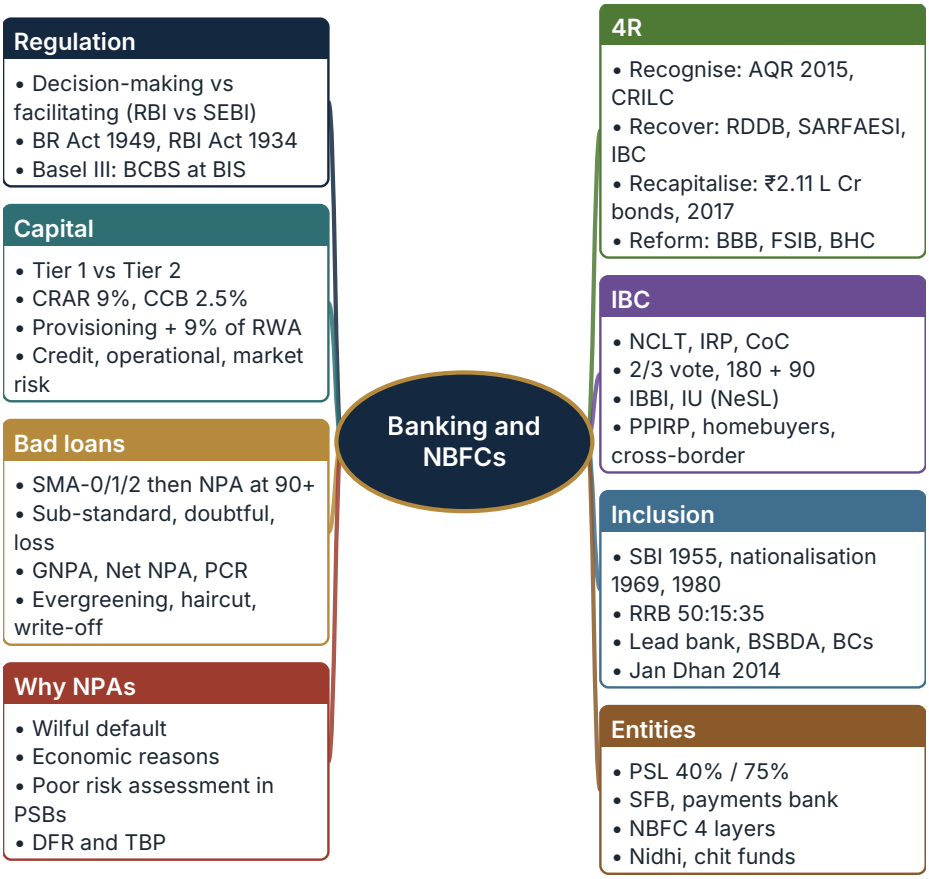
MY NOTES

- **Financial inclusion** moved from nationalisation to specialised banks to **Jan Dhan (2014)**. **PSL** is **40%** of ANBC, or **75%** for RRBs, co-operative banks and SFBs.
- **NBFCs** lend like banks but cannot take demand deposits or issue cheques
- They now sit in **four layers**

Key term	In plain words
Decision-making intermediary	A bank or NBFC that decides about the supplier's money and bears the risk.
Skin in the game	The bank must have its own money at risk, not only the depositor's.
Tier 1 capital	Core capital: equity, founders' money and retained profits.
Tier 2 capital	Supplemental capital: subordinated debt that must eventually be repaid.
CRAR	Capital divided by Risk Weighted Assets; RBI asks at least 9%.
Provisioning	Setting aside a % of a loan's value from capital against that loan's risk.
SMA	Special Mention Account: an overdue loan that is a red flag but not yet a bad loan.
NPA	A loan with principal or interest overdue for more than 90 days.
GNPA and Net NPA	GNPA is total NPA loans; Net NPA is GNPA minus provisioning.
Evergreening	Abusing restructuring to avoid recognising NPAs.
Haircut	The bank reduces an asset's value to free capital; the right to recover stays.
Twin Balance Sheet Problem	A stressed borrower's balance sheet stresses the bank, which then deepens the borrower's trouble.
CIRP	Corporate Insolvency Resolution Process under the IBC.
Committee of Creditors	The body in which financial creditors vote on sale, restructuring or liquidation.
ANBC	Adjusted Net Bank Credit, the base for priority sector lending targets.
Payments bank	Takes deposits and handles remittances but gives no loans or credit cards.

MY NOTES

CHAPTER MAP



REMEMBER IT AS Regulation makes banks carry risk with their own money: capital against loans, 4R against bad loans, inclusion and PSL to widen reach.

EXAM LENS: WHAT THE HANDOUT STRESSES

SOURCE NOTE

Handout only. No class slides, no teacher ink. **No Prelims or Mains PYQ is quoted** in this handout: none quoted in the material. Priority below is the handout's own emphasis (worked examples, asterisks, "Quick Reference of timelines").

What the handout stresses

Signal in the handout	Where	Why it matters
Banks are **decision-taking** intermediaries; regulation makes the **bank, not the depositor,** bear lending risk. RBI is the key regulator (SEBI for decision-facilitating ones)	Sections 1-2	The logic of the whole chapter
CRAR ≥ 9% (Basel 8%), **CCB 2.5%,** Tier 1 versus Tier 2, three risks (credit, operational, market)	Section 3	Numbers and a worked example
SMA-0/1/2 (introduced **2014**), **NPA** at 90+ days, sub-standard, doubtful, loss; provisioning ~15%, 25-100%, 100%	Section 4	Classification ladder

MY NOTES

Signal in the handout	Where	Why it matters
4R: Recognise, Recover, Recapitalise, Reform. AQR 2013 proposed, from 2015; **₹2.11 lakh crore** recap bonds in **Oct 2017**	Section 6	Dates and amounts
SARFAESI 2002 exclusions; **IBC 2016** creditor-in-control; CoC, 2/3 vote, 180 + 90 days (330 now)	Section 6	Statutory detail
Financial inclusion timeline: 1955, 1969, 1975, 1980, 1992, 2005, 2006, 2011, **Aug 2014 PMJDY,** 2015	Section 7	The handout's own "Quick Reference"
PSL: **40%** of ANBC; **75%** for RRBs, co-operative banks, SFBs	Section 8	Number trap
Payments bank cannot lend; SFB 75% PSL; NBFC 4-layer SBR (2022)	Section 9	Differentiated entities

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: High. 35 Prelims and 2 Mains questions map to this chapter.

Most-asked topics: Banking and its regulation (10 Prelims, 0 Mains); Financial inclusion (8 Prelims, 2 Mains); Types of banks and financial entities (9 Prelims, 0 Mains).

Prelims years: 2004, 2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2024. Mains years: 2016, 2022.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

START HERE: 60 SECONDS, KEY WORDS, NCERT MAP

THE WHOLE CHAPTER IN 60 SECONDS

- **Bank**: decision-making intermediary: it keeps the reward, so it must carry the risk
- **Regulator**: RBI for banks and NBFCs (BR Act 1949); SEBI for brokers and exchanges
- **Capital**: CRAR = Capital ÷ RWA ≥ 9%; CCB 2.5%; provisioning per loan
- **Bad loans**: SMA-0/1/2, then NPA at 90+ days: sub-standard, doubtful, loss
- **Clean-up**: 4R: Recognise (AQR), Recover (IBC), Recapitalise (₹2.11 L Cr), Reform
- **Reach**: inclusion 1955 to PMJDY 2014; PSL 40% / 75%; differentiated banks and NBFC layers

MY NOTES

Word	Meaning
Intermediary	a middleman that collects information, builds trust and arranges the contract between the money supplier and the money user
Capital (of a bank)	the bank's OWN money (equity, retained profit), not deposits
Risk Weighted Assets	each loan counted at loan value × its risk %, so riskier loans use more capital
Provisioning	setting aside a % of a loan's value from capital against likely default
NPA	a loan whose principal or interest is overdue more than 90 days
Haircut	cutting the book value of a bad loan, an accounting step, not a waiver
Creditor-in-control	under the IBC the lenders, not the old owner, take charge of the defaulting firm
Financial inclusion	bringing everyone into the formal financial system, starting with a bank account

📘 READ NCERT FIRST: WHERE EACH NCERT PART FITS THIS CHAPTER

NCERT part	Handout section	What it adds
XI Ch 3 Financial Sector Reforms; XII Macro Ch 1: financial sector and who regulates it	1	Names of institutions; RBI and SEBI as statutory bodies; glossary terms
XI Ch 3 (RBI controls banks); XI and XII glossaries: CRR, SLR	2	What RBI decides for banks; short CRR and SLR definitions
XI Ch 5 §5.3 Rural Banking: critical appraisal	5	Farm-loan default debate: wilful or economic
XI Ch 3 Financial Sector Reforms: regulator to facilitator	7	Private banks, 74 per cent, branch freedom, FIIs
XI Ch 5 §5.3 Credit; Box 5.1; Jan Dhan	7	Moneylenders to social banking; NABARD 1982; SHGs and micro-credit; Jan Dhan features
XI Ch 5 §5.3 and §5.4: multi-agency set; cooperatives	9	Land development banks; cooperative setbacks

MY NOTES

NCERT part	Handout section	What it adds
Not in NCERT: Basel III, CRAR, provisioning, SMA and NPA classes, 4R, AQR, SARFAESI, IBC, PSL targets, NBFC layers	3, 4, 6, 8, 9	Learn these from the handout only
XII Macro Ch 3: banks, money creation, CRR and SLR mechanics, lender of last resort	Chapter 8	Already in the Chapter 8 NCERT boxes

1 · CAPITAL MARKETS AND INTERMEDIARIES

🧠 **UNDERSTAND IT FIRST**

Money moves from people who have it to people who need it in return for a promise. A debt promise says "I will pay you back with interest"; an equity promise says "you now own a slice and share my decisions". Going directly is hard, so middlemen help for a fee. Some middlemen (banks, NBFCs) decide what to do with your money. Others (brokers, exchanges) only arrange the meeting and you decide. The first kind must carry the risk; the second kind must only be honest.

✏ **EXAMPLE**

The handout's contrast: banks and NBFCs are decision-making (RBI regulates); brokers and stock exchanges are decision-facilitating (SEBI regulates). Debt examples: bank loans, bonds. Equity example: shares.

📐 Formulas of this section

DEBT

money given is repaid, generally with interest, in a promised period

bank loans, bonds

EQUITY

money is not paid back; supplier gets rights and part-ownership

shares

Capital markets are the **markets of money.** Money is exchanged for a **promise,** a **contract** (Indian Contracts Act, 1872: an agreement enforceable in a court of law). Two broad types:

MY NOTES

Debt versus equity contracts

	Debt	Equity
Meaning	Money given is to be **repaid,** generally with interest in a promised period	Money is **not paid back;** the supplier gets **rights** (decisions, appointments, partial ownership of assets and incomes)
Examples	Bank loans, bonds	Shares

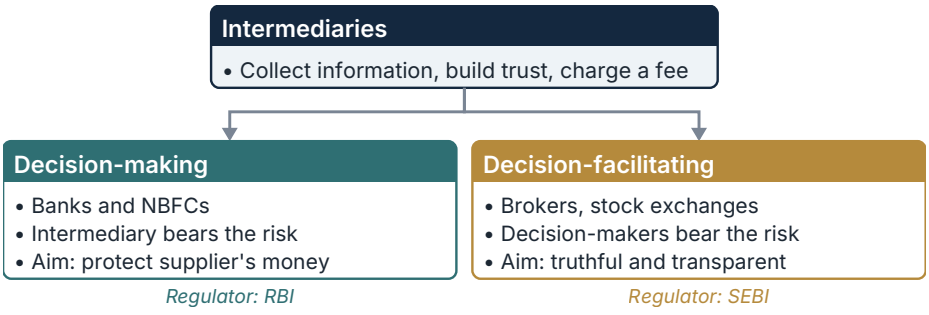
Intermediaries collect and spread information, improve trust and give convenience (creating, standardising and registering contracts), for a fee.

Two kinds of intermediary

	Decision-making	Decision-facilitating
Examples	Banks and NBFCs	Brokers, stock exchanges
Who decides about the money	The intermediary, not the supplier	The decision-makers (demander and supplier) themselves
Risk	The intermediary bears (or should bear) the risk, so it takes most of the reward	Borne by the decision-makers
Regulation aims at	Making sure the supplier's money is not put at risk; **RBI** is the key regulator	Being truthful, transparent and non-partisan; **SEBI** is the key regulator

This unit therefore has two parts: **banks and NBFCs,** and **capital (stock) markets** (the next chapter).

TWO KINDS OF INTERMEDIARY



📘 **FROM NCERT · XII MACRO CH 1 (MACRO DECISION MAKERS), XI CH 3 (FINANCIAL SECTOR), XI GLOSSARY**

In plain words: The handout splits middlemen into those who decide (banks, NBFCs) and those who only facilitate (brokers, exchanges). NCERT does not draw that split, but it names the same institutions and who watches them. Use this box to put NCERT's words next to the handout's two columns.

MY NOTES

Link to the handout: Handout section 1: RBI regulates decision-making intermediaries; SEBI regulates decision-facilitating ones. NCERT's "financial sector" covers both columns.

Step 1 · What NCERT calls the financial sector

- XI Ch 3: the financial sector includes financial institutions such as **commercial banks, investment banks, stock exchange operations and the foreign exchange market**. NCERT says it is regulated by the **Reserve Bank of India (RBI)**.
- XII Macro Ch 1: macroeconomic policies are pursued by the State itself or by statutory bodies like **RBI** and **SEBI**, each with public goals set by law, not private profit.

Step 2 · NCERT's glossary words (XI Glossary)

Term	NCERT's definition
Financial institutions	Institutions that engage in mobilisation and allocation of savings. They include commercial banks, cooperative banks, developmental banks and investment institutions
Merchant bankers	Banks or financial institutions, also known as investment bankers, that specialise in advising companies and managing their equity and debt requirement through floatation and sale or purchase of stocks and bonds
Foreign Institutional Investors (FIIs)	Banking and non-banking financial institutions of foreign origin, such as commercial banks, investment banks, mutual funds, pension funds

NCERT differs: NCERT says "all banks and other financial institutions" are regulated by the RBI. The handout says SEBI regulates brokers and stock exchanges and RBI regulates banks and NBFCs. Handout wins. (*handout/teacher wins in class*)

⭐ REMEMBER

Who decides, bears the risk. Banks decide (RBI); brokers only facilitate (SEBI).

MY NOTES

2 · BANKING AND ITS REGULATION

🧠 **UNDERSTAND IT FIRST**

A bank's business looks like "heads I win, tails you lose": the bank keeps the interest, but the depositor's money is the one at risk. That is unfair, so rules force the bank to have its own money at stake (skin in the game). CRR and SLR guard the deposit side. Rules are also needed on the lending side, and since a bank will not honestly admit its own risk, the central bank has to do it.

✏ **EXAMPLE**

The handout's key law is the Banking Regulation (BR) Act 1949, which makes RBI the regulator. Section 5 defines "banking" (deposits from the public for lending or investment, withdrawable by cheque or draft) and only licensed entities may use the word "bank".

A bank's business is "**heads I win, tails you lose**": the bank keeps the interest while the **depositor's** money is at risk. That violates a fair transaction, so the bank must have **skin in the game.** A healthy banking system attracts deposits and keeps **credit** ("the lifeline of any economy") flowing.

- **Key laws:**
  - Indian Contracts Act 1872
  - Negotiable Instruments Act 1881
  - **RBI Act 1934**
  - **Banking Regulation (BR) Act 1949** (the key act, makes RBI the regulator)
  - Companies Act 1956/2013
- **BR Act, section 5:**
  - "banking" = accepting deposits from the public for lending or investment, repayable on demand or otherwise, **withdrawable by cheque, draft, order or otherwise.** A banking company needs an **RBI licence**
  - only licensed entities may use the word "bank"
- **Regulations cover:**
  - Depositor protection
  - Reserve ratios
  - Declarations on loans, stress and capital
  - Senior appointments
  - Board independence from shareholders
  - Promoters' minimum capital
  - Regular RBI audits

CRR and SLR are **deposit-side** regulations. Lending-side rules are also needed, in two forms: **recognition of risks** and **preparation for them.**

MY NOTES

The bank itself will not recognise risk honestly, so the **central bank** must do it.

📘 FROM NCERT · XI CH 3 (FINANCIAL SECTOR REFORMS; EXERCISE 3 AND 4), XII MACRO CH 3 §3.2.2, XI AND XII GLOSSARIES

In plain words: The handout says CRR and SLR are "deposit-side" rules set by RBI. NCERT says what RBI decides for banks and gives its short definitions of CRR and SLR. How these two actually limit money creation is in the **Chapter 8 NCERT boxes**, so it is not repeated here.

Link to the handout: Handout section 2: depositor protection, reserve ratios, lending-side rules. NCERT's "RBI controls banks" list is a short version of the same idea.

Step 1 · What RBI decides for banks (NCERT, XI Ch 3)

- The RBI decides the **amount of money that the banks can keep with themselves**, fixes **interest rates** and the **nature of lending to various sectors**.
- NCERT Exercise 4 asks: "How is RBI controlling the commercial banks?" These three points are the NCERT answer.

Step 2 · CRR and SLR in NCERT's glossaries

Term	XII Macro Glossary	XI Glossary
Cash Reserve Ratio (CRR)	The fraction of their deposits which the commercial banks are required to keep with RBI	A proportion of the total deposits and reserves of the commercial banks to be kept with the central bank in liquid form; a measure of control of RBI over commercial banks
Statutory Liquidity Ratio (SLR)	The fraction of their total demand and time deposits which banks must invest in specified liquid assets	A minimum proportion of the total deposits and reserves to be maintained by banks in liquid form; an obligation in addition to the CRR
Reserve deposit ratio	The fraction of their total deposits which commercial banks keep as reserves	

Step 3 · Where the rest is

- Bank balance sheet, loans and reserves, the worked money creation example, lender of last resort and Bank Rate are in the **Chapter 8** NCERT boxes (XII Macro Ch 3).

MY NOTES

NCERT differs: The two NCERT glossaries word CRR differently ("fraction of their deposits kept with RBI" against "proportion of total deposits and reserves kept in liquid form"). The handout keeps CRR as cash with RBI. Use the handout. *(handout/teacher wins in class)*

⭐ REMEMBER

Heads I win, tails you lose ⇒ bank needs skin in the game. BR Act 1949 = RBI is the regulator.

3 · BASEL NORMS, CAPITAL, PROVISIONING AND CRAR

🧠 UNDERSTAND IT FIRST

Think of the bank's own money as a cushion. Every loan can go bad, and risky loans can go bad sooner. RBI makes the bank (a) set aside a slice of each loan, called provisioning, and (b) hold a minimum cushion for the whole balance sheet, the CRAR. Riskier loans count for more, so they use up the cushion faster. When the cushion is full, the bank cannot lend more, however many deposits it holds. RBI never bans risky loans; it only makes the bank pay for them with its own money.

✏ EXAMPLE

The handout's farmer example: ₹10 L agriculture loan, risk 20%, provisioning 3%. Provisioning 3% × ₹10 L = ₹30,000; RWA 20% × ₹10 L = ₹2 L; minimum capital 9% × ₹2 L = ₹18,000; total ₹48,000 of own capital to put ₹10 L of depositors' money at risk. In the bank table, the ₹12 L credit-card loan (risk 90%) eats ₹3,97,200 of capital while P6 + P7 (₹42 L) need only ₹2.03 L.

MY NOTES

📐 Formulas of this section

CRAR
CRAR = Capital ÷ Risk Weighted Assets ≥ 9%
RBI asks 9%; Basel requires 8%

RISK WEIGHTED ASSETS
RWA = Risk × loan value
so Capital ≥ 9% of RWA, or RWA ≤ Capital ÷ 9%

CAPITAL CCB
Capital Conservation Buffer = 2.5% of RWA
protects the 9% line in stress

CAPITAL NEEDED FOR A LOAN
Provisioning + 9% × (risk × loan)
handout method

FARMER EXAMPLE
3% × ₹10 L = ₹30,000 · 20% × ₹10 L = ₹2 L · 9% × ₹2 L = ₹18,000 · total ₹48,000
handout: ₹10 L agriculture loan

To avoid compliance burden and **regulatory arbitrage** (registering where rules are weakest), central banks coordinate through the **BIS** (Bank of International Settlements, Basel, Switzerland) and its **BCBS** (Basel Committee on Banking Supervision), which issues **prudential (Basel) norms.** The current norms are **Basel III (2008)** per the handout.

The three risks Basel III recognises

Risk	Meaning	Affects
Credit risk	Risk of a particular loan: borrower's or sector's	One loan
Operational risk	IT hacking, key employees resigning, a strike	All loans equally
Market risk	External factors: wars, oil spikes, disasters, failure of other banks	The entire balance sheet

WHY BASEL III (ASTERISK IN THE HANDOUT)
Basel I and II **failed spectacularly in the 2008 Global Financial Crisis** because they grossly underestimated **market and operational risk.** Basel III was designed to ensure banks have enough capital to survive a 2008-level panic.

WHAT "CAPITAL" MEANS FOR A BANK

Capital is the business's **own money,** over which it has a high degree of control. A firm raises it through **equity and debt** (both are **liabilities** for the firm and assets for the holder). **Deposits are not capital:** the depositor gives money for safety, with limited consent to lend it. Deposits are **pure liabilities.**

MY NOTES

Tier 1 versus Tier 2 capital (Basel III)

	Tier 1 (core capital)	Tier 2 (supplemental)
Made of	Equity, founders' money, retained profits	Subordinated debt that must eventually be repaid
Control	Highest, permanent	Lesser

Preparation is in two parts: **(a)** against individual loans by **provisioning** (credit risk); **(b)** for the bank overall by the **minimum capital requirement** (operational and market risks).

- **Provisioning:** RBI sets a default risk by sector (from historical default data) and a **provisioning ratio.** The bank sets aside that % of the loan value from its capital.
- **Minimum capital:**
  - The **Capital Adequacy Ratio (CAR),** measured as **CRAR = Capital ÷ Risk Weighted Assets ≥ 9%. RBI asks 9%**
  - **Basel requires 8%.** RWA = Risk × loan value. So **Capital ≥ 9% of RWA,** or RWA ≤ Capital ÷ 9%. A bank has capital and gives loans: **capital limits how much it can lend.**
- **Capital Conservation Buffer (CCB): 2.5% of RWA,** to protect the 9% line in times of stress. A loan can worsen (risk and provisioning rise), so a bank well capitalised at lending may not stay so.

The handout's farmer example (₹10 L agriculture loan; risk 20%, provisioning 3%)

Step	Calculation	Amount
Provisioning	3% × ₹10 L	₹30,000
RWA	20% × ₹10 L	₹2 L
Minimum capital	9% × ₹2 L	₹18,000
Total capital needed	30,000 + 18,000	**₹48,000** to put ₹10 L of depositors' money at risk

The hypothetical bank: lendable deposits ₹5 Cr, available capital ₹10 L, CRAR 9%. Required capital builds up loan by loan:

Capital used loan by loan (from the handout's table)

Borrower (sector)	Loan	Risk	Provisioning	Cumulative capital required	Adequate (₹10 L)?
P1 (Agri)	₹20 L	20%	4%	₹1,16,000	Yes
P2 (MSME)	₹30 L	30%	6%	₹3,77,000	Yes
P3 (Home loan)	₹30 L	10%	2%	₹4,64,000	Yes
P4 (Car loan)	₹15 L	15%	3%	₹5,29,250	Yes

MY NOTES

Borrower (sector)	Loan	Risk	Provi-sioning	Cumulative capital required	Adequate (₹10 L)?
P5 (Credit card)	₹12 L	90%	25%	₹9,26,450	Yes
P6 (Agri)	₹20 L	20%	4%	₹10,42,450	No, cannot lend
P7 (Car)	₹20 L	15%	3%	₹11,29,450	No, cannot lend

- Risky lending eats capital quickly: the **₹12 L credit-card loan (P5) takes ₹3,97,200** of capital, while the safer **P6 + P7 (₹42 L of loans) needs only ₹1.16 L + ₹0.87 L = ₹2.03 L.**
- **RBI does not ban risky lending.** It says: you have your own money, take all the risk you want. Regulation makes sense for banks to **prefer many low-risk loans,** so capital lasts and most lendable deposits are used.
- **Dynamism:** as borrowers repay, the asset value falls and required capital falls, freeing capital to lend more. When some borrowers default, their risk is reassessed upwards and provisioning rises.

HANDOUT ALERT: PROVISIONING AND CRAR FIGURES

The farmer example uses provisioning of **3%** for a 20% risk, while the table row P1 (also agri, also 20% risk) uses **4%.** The handout never reconciles them. Exam-hall rule: use the numbers **given in the question;** remember only the method: provisioning + 9% × (risk × loan).

⭐ **REMEMBER**

Capital ≥ 9% of (risk × loan) + provisioning. Risky loans burn capital fast. Basel III exists because Basel I and II missed market and operational risk.

4 · BAD LOANS: SMA, NPA CLASSES AND RATIOS

🧠 **UNDERSTAND IT FIRST**

A loan is like a bill with a due date. The longer it is overdue, the sicker it is. First a yellow warning (SMA: overdue 1 to 90 days, still not a bad loan). Past 90 days it is officially bad (NPA), and the class gets worse with time: sub-standard, doubtful, loss. A worse class means a bigger provision. Before 2014 there was no yellow stage, so banks played games by paying one small EMI on day 89.

MY NOTES

✏ EXAMPLE

The handout's trick: default for 88 days, pay one EMI on day 89, and the clock resets. SMA-0 is 1 to 30 days; SMA-1 more than 30 up to 60; SMA-2 more than 60 up to 90. NPA classes: sub-standard (up to 12 months, provision ~15%), doubtful (more than 12 months, 25% to 100%), loss (100%).

📐 Formulas of this section

OVERDUE LADDER

SMA-0: 1-30 · SMA-1: 31-60 · SMA-2: 61-90 · NPA: more than 90 days

days overdue

GNPA

GNPA = total loans classified NPA (as % of total loans)

NET NPA

Net NPA = GNPA − provisioning

PCR

PCR (Provisioning Coverage Ratio) = capital as a proportion of GNPAs

handout's wording

STRESSED ASSETS

Stressed assets = GNPAs + restructured assets

A loan is **overdue** when principal or interest or both are not repaid by the due date. The longer the overdue period, the worse the loan and the more capital it needs.

The ladder of bad loans

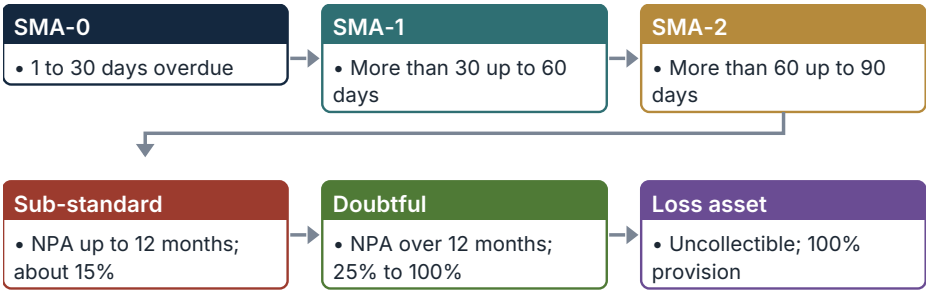
Class	Overdue period	Notes
SMA-0	1 to 30 days	Special Mention Account: technically not a bad loan, a **red flag.** Introduced **2014**
SMA-1	More than 30 up to 60 days	RBI's central database **CRILC** is alerted at SMA-1 or SMA-2
SMA-2	More than 60 up to 90 days	Early Warning System
NPA (more than 90 days)	Principal or interest or both overdue more than 90 days	Before 2014 a loan was either "Standard" (0-89 days) or NPA (90+). Banks exploited it: default 88 days, pay one EMI on day 89, clock resets
NPA 1: Sub-standard	NPA for **less than or equal to 12 months** (from 31 Mar 2005)	Well defined credit weaknesses; possible loss. Provision **~15%**

MY NOTES

Class	Overdue period	Notes
NPA 2: Doubtful	NPA for **more than 12 months**	Collection in full highly questionable. Provision **25% to 100%**
NPA 3: Loss asset	No time criterion	Considered uncollectible, not written off. Generally classed so about **two years** after doubtful. Provision **100%.** Threatened security can be classed doubtful or loss at once

- **Restructured loans:** renegotiated terms (lower interest, longer tenure, more security, lower or paused EMI). Standard practice for genuine difficulty, but they must be recognised separately. **Stressed assets = GNPAs + restructured assets.**

THE LADDER OF BAD LOANS



- **GNPA** = total loans classified NPA (as % of total loans). **Net NPA = GNPA – provisioning. PCR (Provisioning Coverage Ratio)** = capital as a proportion of GNPAs.
- **Evergreening:** restructuring abused to avoid recognising NPAs and keep capital free. Hence RBI's transparency rules (AQR).
- **Haircuts and write-offs:**
  - The bank first reduces asset value (haircut) and then to zero (write-off) to free capital. **Not a waiver:** the right to recover stays
  - It is an accounting step to remain in business

⭐ **REMEMBER**

Yellow (SMA, 1-90 days) → red at 90+ days (NPA). Worse class = bigger provision. Haircut and write-off are not waivers.

MY NOTES

🧠 MEMORY AID · THE LADDER OF BAD LOANS, MILDEST TO WORST (AN ORDER)

Some Slip, Some Sink, Debts Linger

S SMA-0: 1 to 30 days, a red flag	**S** SMA-1: more than 30 up to 60 days
S SMA-2: more than 60 up to 90 days	**S** Sub-standard NPA: up to 12 months, provision ~15%
D Doubtful NPA: more than 12 months, 25% to 100%	**L** Loss asset: 100% provision

Own memory aid (not from the handout): the sentence is about slips that sink into debts, which is the whole ladder.

5 · WHY NPAS ARISE, AND WHAT THEY DO

🧠 UNDERSTAND IT FIRST

Loans go bad for three kinds of reasons. Some borrowers can pay but do not (wilful default). Some are hit by things nobody controls (slowdown, war, floods, policy change). And some are simply badly judged by the bank. Economic reasons hit every bank alike, so a bank with far more bad loans than others has a risk-assessment problem. Bad loans then double-hurt the bank: assets earn nothing while deposits must still be paid.

✏ EXAMPLE

The handout's test: economic reasons hit all banks equally, so similar NPAs are expected. If PSBs (historically) show much higher NPAs than private banks, the reason is poor risk assessment. Twin Balance Sheet Problem: the borrower's stress hurts the bank, and the bank's stress then hurts the borrower.

Reasons for NPAs

Type	Details
A. Wilful default (able to repay but does not)	a) diverting the loan to another purpose; b) diverting it to another entity (company or person); c) fraudulently disposing of pledged securities
B. Economic reasons	General slowdown; sectoral slowdown (structural, industry or technology change); geopolitical (sanctions, tariffs, war, blocked trade routes, export-market recession); acts of God (floods, droughts, pandemics); government policy changes (withdrawn incentives, incentives to a competitor sector)

MY NOTES

Type	Details
C. Poor risk assessment	Economic reasons hit all banks equally, so similar NPAs are expected. If some banks (PSBs, historically, versus private banks) have much higher NPAs, the reason is **poor risk assessment**

Consequences

Term	Meaning
Double Financial Repression (DFR)	Problem in the **bank's** balance sheet: assets become NPAs and yield nothing, while liabilities (deposits) stay unrelenting; more provisioning cuts its ability to turn liabilities into assets
Twin Balance Sheet Problem (TBP)	Borrower's balance sheet is stressed, so the bank faces DFR; the bank's stress then deepens the borrower's problem (selling pledged assets at a haircut, higher interest on other borrowers), spreading to others
Loss of trust	Bank runs, bank collapse, ultimately collapse of the financial system

📘 **FROM NCERT · XI CH 5 §5.3 (RURAL BANKING: A CRITICAL APPRAISAL; WORK THESE OUT)**

In plain words: The handout lists wilful default, economic reasons and poor risk assessment as the reasons for NPAs. NCERT has a short rural-lending case where the same debate appears: are loans not repaid on purpose, or because of events?

Link to the handout: Handout section 5, table of reasons: A wilful default; B economic reasons (acts of God such as floods and droughts); C poor risk assessment.

NCERT's two views on farm-loan default

NCERT's sentence	Which handout reason it matches
Agriculture loan default rates have been chronically high	Context for NPAs in the agriculture sector
"It is alleged that farmers are deliberately refusing to pay back loans."	A · wilful default (NCERT only reports the allegation and asks you to think of reasons)
Farmers could not pay back "due to crop failure, insufficient income and employment opportunities"	B · economic reasons (crop failure is an act of God)

MY NOTES

NCERT's sentence	Which handout reason it matches
Apart from commercial banks, other formal institutions "failed to develop a culture of deposit mobilisation, lending to worthwhile borrowers and effective loan recovery"	C · poor risk assessment and weak recovery

NCERT differs: NCERT does not give NPA classes (SMA, sub-standard, doubtful, loss) or GNPA ratios. Those are in the handout only. *(handout/teacher wins in class)*

⭐ REMEMBER

Wilful, Economic, Poor assessment. DFR = bank's own squeeze; TBP = borrower and bank drag each other down.

6 · THE 4R STRATEGY: RECOGNISE, RECOVER, RECAPITALISE, REFORM

🧠 UNDERSTAND IT FIRST

India treated a banking crisis in four steps. First admit how bad it is (Recognise: the AQR stopped hiding bad loans as restructured ones). Then get the money back (Recover: tribunals, SARFAESI, and finally IBC). Then refill the banks' cushion (Recapitalise). Last, fix the reason it happened (Reform the governance of PSBs). Money alone is a bandage; the cure is distance between the owner and the bank.

✏ EXAMPLE

Handout numbers: March 2015 official GNPA 4.6% but stressed assets 11.1% (PSBs 13.2%); PSB GNPA peak 14.58% (March 2018); March 2021 7.3%; March 2024 2.8%; September 2024 2.6% with Net NPA 0.6%. IBC: 30 + 180 + 90 = 300 days (330 now), 2/3 of creditors by value. Recap: ₹2.11 Lakh Crore, October 2017.

MY NOTES

Formulas of this section

IBC CLOCK
30 + 180 + 90 = 300 days (revised to 330 days now)
CoC within 30 days; plan within 180; extension up to 90

IBC PLAN VOTE
plan needs 2/3 of creditors by credit value
only financial creditors vote

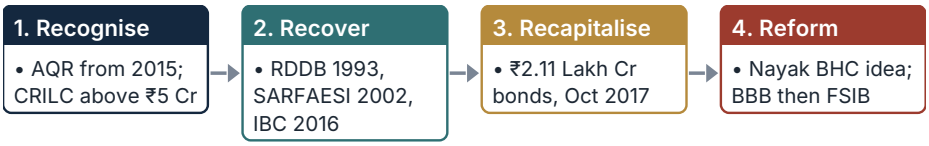
SARFAESI LIMITS
not agricultural loans · not dues under ₹1 lakh · not if 80% or more of principal repaid
only secured loans

RECAPITALISATION LOOP
government issues bonds ⇒ banks lend to it ⇒ government returns the money as equity
₹2.11 Lakh Crore, Oct 2017

BHUSHAN STEEL
₹35,200 Cr of ₹56,000 Cr claims (63%)
acquired by Tata Steel, 2018

India went through, in the handout's words, "amongst the most severe banking crisis in its post independence period." The government and RBI used the **4R framework: 1. Recognise** the true extent; **2. Recover** as much as possible; **3. Recapitalise** the banks; **4. Reform** the banking system.

THE 4R STRATEGY



R1 · RECOGNITION

- NPAs fell from **2002 to about 2008** on rapid growth. After 2008 stress rose but was shown as **restructured loans,** not NPAs (evergreening).
- **AQR (Asset Quality Review)** proposed by RBI in **2013,** implemented from **2015:** banks had to recognise stressed assets in the right category and stop unnecessary restructuring. NPAs reached **18% in PSBs** and overall about **12% until 2017** (as the handout words it).
- **CRILC** (Central Repository of Information on Large Credits) tracks exposures above **₹5 Crore.**

The "Statistical Illusion" and recovery (numbers in the handout)

Date	Number
By 2014	PSB advances had nearly tripled after the 2008 crisis

MY NOTES

Date	Number
March 2015	Official **GNPA 4.6%** for the system, but **Stressed Assets 11.1%** (PSBs **13.2%**)
2015 → March 2018	PSB GNPA ratio spiked from roughly 5% to a peak of **14.58%**
March 2021	GNPA **7.3%**
March 2024	GNPA **2.8%**
September 2024	GNPA of scheduled commercial banks a **12-year low of 2.6%;** Net NPAs **0.6%**

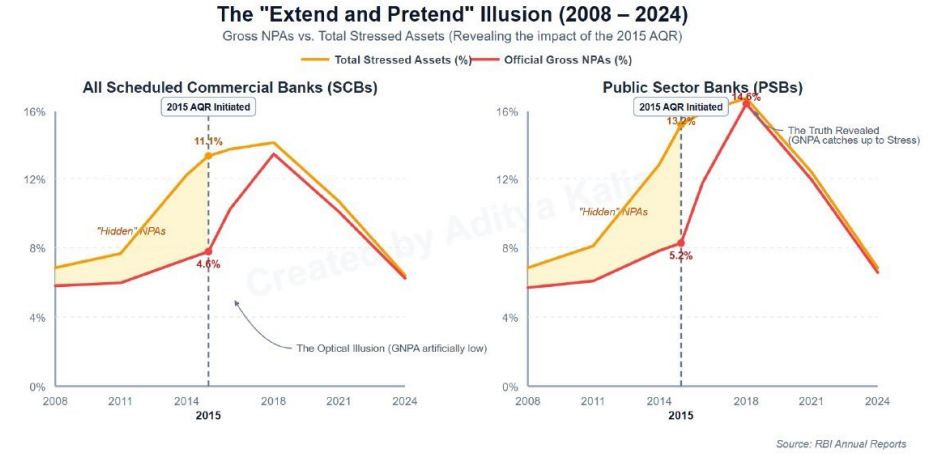


Figure. The "Extend and Pretend" Illusion (2008-2024), from the handout: Gross NPAs against Total Stressed Assets for all scheduled commercial banks and for public sector banks, with the 2015 AQR marked. The gap before 2015 ("hidden NPAs") closes after the AQR. Source named in the figure: RBI Annual Reports.

HANDOUT ALERT: THREE NPA NUMBERS

The text says NPAs reached "18% in PSBs" and the next paragraph says the PSB GNPA peaked at **14.58%** (March 2018). It also says "current NPAs at less than 2%" (recapitalisation section) while the latest figure given is **2.6% (Sept 2024).** Exam-hall rule: quote **14.58%** (PSB peak) and **2.6%** (Sept 2024) with the month; treat 18% and "below 2%" as loose figures.

R2 · RECOVERY: RDDB, SARFAESI, IBC

Banks have contractual rights under the Contracts Act, but courts are slow; low recovery cuts lending and trust. Three laws tried to raise recovery:

Three recovery laws

	RDDB Act, 1993	SARFAESI Act, 2002	IBC, 2016
Full name	Recovery of Debt due to Banks	Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest	Insolvency and Bankruptcy Code

MY NOTES

	RDDB Act, 1993	SARFAESI Act, 2002	IBC, 2016
What it did	Set up **DRT** and **DRAT** for expert, quick resolution	Explicitly recognised lenders' rights on **secured loans:** securitisation, asset reconstruction, enforcement of security	Time-bound resolution; **creditor-in-control** model: creditors get control of the borrower's assets immediately
Limit	Conflict with the regular courts: defaulters got **stay orders;** recovery stayed low (~10%)	Only secured loans; **not agricultural loans** (farm land cannot be seized); not small remaining dues (**under ₹1 lakh**); not if **80% or more** of the principal is repaid	Only the **corporate** process (CIRP) is notified and operational

SARFAESI secured creditors: scheduled commercial banks (PSBs, private, foreign); co-operative banks; notified **NBFCs with asset size of ₹100 Crore or more;** Asset Reconstruction Companies (ARCs); debenture trustees for secured bonds.

- **Securitisation (SARFAESI sense):**
  - A bank sells its bad loans to an **ARC**
  - the ARC pays by issuing **Security Receipts (SRs)** to Qualified Institutional Buyers or gives SRs to the bank. The bank's books are cleaned and the ARC takes the right to seize the collateral. (In general: turning illiquid assets into tradable securities, e.g. pooling 10,000 home loans into a mortgage-backed security.)
- **Asset reconstruction:**
  - Restructuring
  - **Converting debt into equity**
  - splitting debt into sustainable and unsustainable parts
  - Selling debt to ARCs
- Post-SARFAESI recovery rose to around **10-14%** per the handout's narrative
- Still too slow, which led to IBC

MY NOTES

THE IBC PROCESS (CIRP)

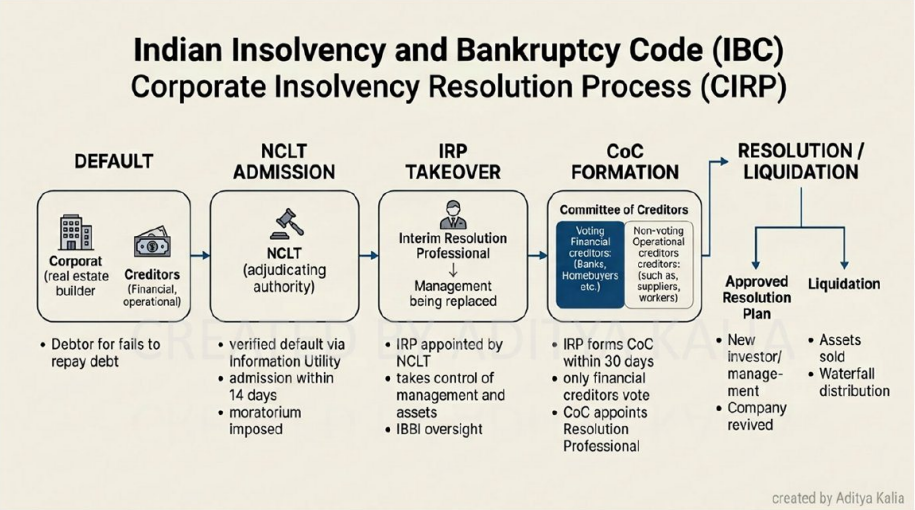


Figure. The handout's IBC / CIRP chart: Default; NCLT admission (verified default via Information Utility, admission within 14 days, moratorium imposed); IRP takeover (appointed by NCLT, takes control of management and assets, IBBI oversight); CoC formation within 30 days (only financial creditors vote); Resolution (approved plan: new investor or management, company revived) or Liquidation (assets sold, waterfall distribution).

- **1.** A debtor defaults on some or all creditors (financial or operational). Creditors approach the **adjudicating authority: NCLT** for a corporate defaulter, **DRT** for a non-corporate one. Appeals go to **NCLAT.** Only the corporate process (**CIRP**) is operational.
- **2.** The AA gives **14 days' notice,** then CIRP starts.
- **3.** If the debtor fails to pay in 14 days, NCLT appoints an **IRP (Interim Resolution Professional),** who takes over management
- The existing management (owner) is removed. **IBBI** regulates IRPs, IPs and CIRPs
- **4.** The IRP consults **Information Utilities (IUs)** and forms the **Committee of Creditors (CoC)** within **30 days.**
- **5.** CoC has financial and operational creditors, but **only financial creditors vote.** The CoC appoints an **Insolvency Professional (IP)** who proposes plans (haircuts, debt-to-equity, new management, changing the business, monetising assets). A plan needs **2/3 of creditors by credit value** and must be agreed within **180 days.**
- **6.** A special extension of at most **90 more days** can be granted: **30 + 180 + 90 = 300 days** (**revised to 330 days** now).
- **7.** An agreed plan goes to **NCLT** for legal validity, and the IRP executes it.
- **8.** If no plan is agreed, the default is **liquidation** of assets equal to the admitted claims.

MY NOTES

The IBC ecosystem

Entity	Function
IBBI (regulator)	Regulates the ecosystem, licenses professionals, drafts operational regulations
NCLT / DRT (adjudicating authority)	Legal umpires; ensure the process follows the law, do not make business decisions. NCLT: corporates; DRT: individuals and partnerships
IP / IRP / RP	Licensed turnaround experts (CAs, CSs, ex-bankers); take control of daily operations and assets
Information Utility (IU)	Digital databases (e.g. **NeSL,** National E-Governance Services Ltd) with verified records of debts and defaults
CoC	Supreme decision-making body: financial creditors vote on sale, restructuring or liquidation

MEMORY AID · WHO RUNS THE IBC PROCESS

C U P I D

CUPID brings debtor and creditors to the table: the five bodies in the IBC ecosystem.

C CoC: supreme decision body; financial creditors vote
U Utility: Information Utilities like NeSL hold verified debt records
P Professionals: IP, IRP and RP run daily operations and assets
I IBBI: regulator that licenses professionals and drafts regulations
D DRT and NCLT: legal umpires; DRT for individuals, NCLT for corporates

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

Recovery rates quoted in the handout

Period	Rate as given
Pre-1993 (civil courts)	Below 10%; litigation 15 to 20 years; most of the time only about 1%
Post-1993 (RDDBFI Act, DRTs)	Historically 20-25%, then 4-5% by 2018 as backlogs grew
Post-2002 (SARFAESI)	Historically 25-30%
Post-2016 (IBC)	Early years above 45%; some cases up to 85-90%; post-covid around 32%; "currently around 40%"; later "stabilised around 31-32%". **Bhushan Steel:** acquired by Tata Steel in 2018, about **₹35,200 Cr of ₹56,000 Cr** claims (**63%**)

MY NOTES

HANDOUT ALERT: RECOVERY NUMBERS DISAGREE

The handout gives **three different sets of figures.** RDDB recovery is "~10%" in one place and "20-25%" in another; SARFAESI is "10-14%" in one place and "25-30%" in another; IBC is "around 45%", "around 40%" and "31-32%". Exam-hall rule: quote the **order** (civil courts < DRT < SARFAESI < IBC) and use the exact figure only if the question gives its source.

IBC CHALLENGES AND RECENT DEVELOPMENTS

Recent issues and changes

Issue	Detail
Liquidation, large haircuts	More liquidation than restructuring; haircuts sometimes 95%; CoCs accepting 80-90% (₹10 recovered per ₹100 lent). RBI urged maximising value rather than fire-sale liquidation
Real estate	**2018:** homebuyers classed as **financial creditors** with a CoC vote. Then a threshold: at least **100 homebuyers or 10% of allottees (whichever is lower)** must jointly file. **Reverse CIRP / project-wise resolution** isolates a failed project
MSMEs: PPIRP (2021)	**Pre-Packaged Insolvency Resolution Process** only for MSMEs: **debtor-in-possession** (the promoter keeps control while negotiating)
Cross-border insolvency	India has not fully adopted the **UNCITRAL Model Law;** a draft amendment is in progress
CIRP for MSMEs	Creditors may not find enough buyers

A PASSING NOTE

The handout adds a note on a 2025 Supreme Court reversion regarding operational creditor dues and says insolvency jurisprudence continues to evolve. No details are given, so none are added here.

R3 · RECAPITALISATION

- A bank in crisis cannot easily raise debt or equity. For PSBs the **owner is the government,** which itself had expenses above revenue and borrowings at the limit. After the AQR, severe undercapitalisation followed, and large NBFCs to which many PSBs had lent began to default.
- **October 2017:** a **₹2.11 Lakh Crore** recapitalisation package, mainly **Recapitalisation Bonds** issued to PSBs. The government issued bonds, the banks lent to it (a **zero-risk** loan needing no capital), and the government returned the money as **equity capital.** So deposits (pure liabilities) were converted to capital through the government.

MY NOTES

- The handout calls it "extremely risky", one that **private banks cannot copy.** In hindsight it worked: banks reformed, IBC gave incentives to recover, PSBs turned profitable and pay dividends to the government, which repays the bonds.

R4 · REFORMS: GOVERNANCE OF PSBS

Recapitalisation is "a financial bandage". A **reform** is a shift from patronage and bureaucratic control to **objective, independent, accountable** decision-making.

- **The problem:** the owner (government) exercises ownership rights, especially **appointments,** through Finance Ministry bureaucrats who bear **no personal financial harm** if the bank fails. This creates **moral hazard:** connected people occupy decision posts, loans go to connected entities ("**Telephone Banking**"), competence is punished and a culture of inefficiency spreads.
- **The solution (distance):** the **P.J. Nayak Committee** recommended a **Bank Investment Company / Bank Holding Company (BHC)** to hold the government's bank shares and appoint CEOs on merit, as **Tata Sons** does for the Tata group. The BHC has **not yet been set up.**
- **Bank Board Bureau (BBB)** was constituted in **February 2016** as a compromise. In **2022/2023** the **Delhi High Court** struck down the BBB's mandate (the owner's appointment power could not be delegated). The government **dissolved it and set up the Financial Services Institutions Bureau (FSIB)** (the handout also spells it "Financial Services Intermediary Bureau" once).

> **HANDOUT ALERT: BBB AND FSIB NAMES AND YEARS**
> The handout says the High Court struck down the BBB "in 2023" in one place and "2022/2023" in another, and expands FSIB as "Financial Services Intermediary Bureau" once and "Financial Services Institutions Bureau" elsewhere. Exam-hall rule: write **FSIB (Financial Services Institutions Bureau)** and say "BBB replaced by FSIB"; give a year only if forced, as 2023.

WHY PSB RISK ASSESSMENT IS POOR: THE "THREE CS OF FEAR" (P.J. NAYAK 2014 AND RAGHURAM RAJAN'S 2018 NOTE)

- **Accountability is not low in PSBs**
- **It is criminal.** The "Three Cs": **CBI, CVC, CAG.** A PSB manager's bad commercial decision can bring a criminal inquiry that outlasts their career
- This creates **risk aversion** and defensive banking
- **Payoff matrix:** PVB: high risk + good assessment = high profit, so bonus and promotion. PSB: the manager gets **nothing** (fixed salary)

MY NOTES

if it goes well, but **jail** if the outcome is bad. Infinite downside, zero upside.

- **Telephone banking:**
  - If a Joint Secretary or politician calls for a ₹5,000 Cr loan, saying no brings a remote posting
  - Saying yes brings political cover. Risk assessment becomes paperwork

⭐ REMEMBER

4R = Recognise, Recover, Recapitalise, Reform. IBC = creditor-in-control, CoC votes 2/3. Recap is a bandage; reform is the cure.

7 · FINANCIAL INCLUSION

🧠 UNDERSTAND IT FIRST

Strict licences built trust but also made banking an elite club, so many people stayed outside. Inclusion means bringing them in. India tried five phases: first the state forced branches into villages; then special institutions (co-operatives, RRBs, DFIs); then liberalisation with new private banks; then differently licensed banks; and finally Jan Dhan, which went looking for each unbanked person. The four pillars are: be in the system, have products, afford them, and know how to use them.

✏ EXAMPLE

The handout's own "Quick reference": 1955 SBI; 1969 Lead Bank Scheme and 14 banks; 1975 RRB; 1980 six more banks; 1992 SHG-Bank Linkage; 2005 No-Frills Accounts; 2006 Business Correspondents; 2011 Swabhimaan; Aug 2014 PMJDY; 2015 SFB and payments-bank licences. RRB ownership: Centre 50%, State 15%, sponsor bank 35%.

📐 Formulas of this section

RRB OWNERSHIP

Centre 50% : State 15% : sponsor bank 35%

RRBs, 1975

AREA APPROACH

one branch per defined area, e.g. 5,000 people (2,000 adults in hilly areas)

branch licensing policy since 2005

Financial inclusion is making the formal financial system accessible to more people. Strict licensing under the BR Act (1949) built trust but made banking an elite club, leaving mass **financial exclusion.** The **Com-**

MY NOTES

mittee on Financial Inclusion (2008) defined it as ensuring access to financial services and timely, adequate credit for vulnerable groups at an affordable cost.

Four pillars

Pillar	Meaning
Association	Bringing the citizen into the formal system, mainly a bank account
Accessibility	A variety of products (pensions, insurance, micro-credit) easily available
Affordability	Cost-effective: not exorbitant loans or heavy withdrawal fees
Capability	Financial literacy for rational choices

MEMORY AID · FOUR PILLARS OF FINANCIAL INCLUSION

C **L** **A** **P**

Give financial inclusion a CLAP: four pillars that bring people in.

C Cost-effective: affordability, no exorbitant loans or heavy fees
L Literacy: capability, financial literacy for rational choices
A Account: association, bring the citizen into the formal system
P Products: accessibility, pensions, insurance and micro-credit easily available

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

STEPS TAKEN: FIVE PHASES

The 70-year push

Phase	What happened
1 · State intervention (mass expansion)	**1955 SBI Act:** Imperial Bank nationalised into SBI to push branches into the hinterland. **1969 and 1980** nationalisation: the largest private banks were taken over to compel expansion
2 · Specialised architecture	**Co-operative banks** (mutual cooperation, not profit). **RRBs (1975 Act):** Centre 50%, State 15%, sponsor bank 35%. **DFIs (1980s):** NABARD (agriculture), SIDBI (MSMEs), NHB (housing), EXIM; they **refinance** retail banks rather than lend directly
3 · Liberalisation (1990s)	RBI issued new private bank licences in **1993** (HDFC, ICICI, later Axis and Yes). Tools: **Lead Bank Scheme** (a captain bank per district); **branch licensing policy** (urban branch only if you open in unbanked areas; focus on unbanked areas since 2005, a branch per defined area, e.g. 5,000 people, or **2,000 adults in hilly areas**); **BSBDA / zero-balance accounts; Business Correspondents / Bank Mitras** (mobile branches; deposit and withdraw only, cannot lend)

MY NOTES

Phase	What happened
4 · Structural innovation (2013-2014)	By 2013 only **~15% of individuals** and **~40% of households** had accounts. After the Nachiket Mor and Raghuram Rajan committees RBI moved to **differentiated licences:** Small Finance Banks and Payments Banks. Also **on tap licensing** (window permanently open)
5 · PM Jan Dhan Yojana (Aug 2014)	Shifted strategy from **area-focused** (open branches and hope) to **person-focused** (find each unbanked person and open an account). Phase 1: association; phase 2: keep accounts live and financial education. Result per handout: **over 70% of adults and 99%+ of households** banked

Quick reference of timelines (the handout's list)

Year	Event
1955	Imperial Bank nationalised into SBI
1969	Lead Bank Scheme introduced, alongside first wave of nationalisation (14 banks)
1975	Regional Rural Banks Ordinance
1980	Second wave of nationalisation (6 banks)
1992	SHG-Bank Linkage Programme launched by NABARD
2005	No-Frills Accounts (renamed BSBDAs in 2012)
2006	Business Correspondent / Bank Mitra model
2011	Swabhimaan Campaign for villages with population above 2,000
Aug 2014	PMJDY launched
2015	Differentiated licences granted to SFBs and Payments Banks

HANDOUT ALERT: 1993 LICENCES AND 2013 POLICY

The handout says private licences were issued **"for the first time since 1949"** in **1993,** and also says **differentiated licences and on tap licensing** came from **2013,** with licences granted in **2015.** Exam-hall rule: **2013-14** is the policy and recommendation period; **2015** is when licences were granted.

📘 **FROM NCERT · XI CH 3 (FINANCIAL SECTOR REFORMS), XI GLOSSARY**

In plain words: The handout's phase 3 says "Liberalisation (1990s): new private bank licences". NCERT's account of the same reform is short but adds three facts the handout does not give (the 74 per cent limit, freedom to open branches, and FIIs).

MY NOTES

Link to the handout: Handout section 7, phase 3: RBI issued new private bank licences in 1993; Lead Bank Scheme; branch licensing. NCERT frames the same period as a change in the RBI's role.

Step 1 · The aim: RBI from regulator to facilitator

- NCERT: "One of the major aims of financial sector reforms is to reduce the role of RBI from **regulator** to **facilitator** of the financial sector." The sector may take decisions on many matters without consulting the RBI.
- NCERT Exercise 3: "Why did RBI have to change its role from controller to facilitator of financial sector in India?"

Step 2 · What the reforms did (NCERT)

Reform	NCERT's words
Private banks	The reform policies led to establishment of **private sector banks, Indian as well as foreign**
Foreign investment in banks	Limit raised to around **74 per cent**
Branches	Banks that fulfil certain conditions are free to set up **new branches without RBI approval** and rationalise existing branch networks
Raising resources	Banks may generate resources from India and abroad; certain managerial aspects are **retained with the RBI** to safeguard the interests of account-holders and the nation
Foreign investors	FIIs (merchant bankers, mutual funds, pension funds) are allowed to invest in Indian financial markets

NCERT differs: NCERT gives no year for the new private banks. The handout says 1993. NCERT's "around 74 per cent" foreign limit is not in the handout; treat it as an extra fact from NCERT. (*handout/teacher wins in class*)

📘 FROM NCERT · XI CH 5 §5.3 (CREDIT AND MARKETING IN RURAL AREAS), BOX 5.1, XI CH 3 RECAP

In plain words: The handout's five phases are told from the bank's side. NCERT tells the same story from the **village's** side: moneylenders, social banking, NABARD, self-help groups, micro-credit and Jan Dhan. It is a good picture of why inclusion was needed.

MY NOTES

Link to the handout: Handout section 7: 1969 nationalisation, RRBs (1975), NABARD and DFIs (1980s), 1992 SHG-Bank Linkage, PMJDY (Aug 2014). NCERT's pieces drop into those phases.

Step 1 · Why farmers need credit

- Time between sowing and income is long, so farmers borrow for seeds, fertilisers, implements and family expenses (marriage, death, religious ceremonies).

Step 2 · The story in order (NCERT)

When	What NCERT says
At independence	Moneylenders and traders exploited small and marginal farmers and landless labourers by lending at **high interest rates** and manipulating accounts to keep them in a **debt-trap**
After 1969	India adopted **social banking** and a **multi-agency approach** to meet rural credit needs
1982	**NABARD** set up as an apex body to coordinate all institutions in rural financing
Green Revolution	Diversified rural credit towards production-oriented lending
Today	Multi-agency set: commercial banks, regional rural banks (RRBs), cooperatives and land development banks

Step 3 · Self-Help Groups and micro-credit (NCERT)

- SHGs emerged to fill the gap because formal credit has been inadequate and not integrated with rural community life. Collateral is needed, so a vast share of poor rural households were automatically out of the credit network.
- Members make a **minimum contribution** (thrift). From the pooled money, credit goes to needy members, repayable in small instalments at reasonable interest.
- By May 2019 nearly **6 crore women** were members in **54 lakh** women SHGs. A revolving fund of about ₹10-15,000 per SHG and another ₹2.5 lakhs per SHG as Community Investment Support Fund help self-employment. Such credit is called **micro-credit programmes**.
- NCERT's caution: it is alleged that the borrowings are mainly for consumption purposes.
- Box 5.1: Kudumbashree (Kerala) started a thrift and credit society in 1995 as a small savings bank for poor women; it mobilised Rs 1 crore as thrift savings and is acclaimed as among the "largest informal banks in Asia".

MY NOTES

Step 4 · Jan Dhan as NCERT describes it

Feature	NCERT's words
Who	All adults encouraged to open bank accounts
Benefits	Accidental insurance cover of Rs 1-2 lakh and overdraft facility of Rs 10,000
Transfers	Wages from government-related jobs and works under MNREGA, old age pension and other social security payments go to the account
Balance	No need to keep a minimum bank balance
Result	More than 50 crore people opened accounts; banks mobilised more than Rs 2,00,000 crores

Step 5 · NCERT's critical appraisal of rural banking

- Positive: rapid expansion of banking helped rural farm and non-farm output, income and employment, especially after the Green Revolution. Famines became events of the past.
- Negative: except commercial banks, other formal institutions failed to develop a culture of deposit mobilisation, lending to worthwhile borrowers and effective loan recovery. Agriculture loan default rates have been chronically high. Expansion of rural banking "has taken a backseat after reforms".

NCERT differs: NCERT's Jan Dhan result is "more than 50 crore" accounts; the handout gives "over 70% of adults and 99%+ of households banked". Different measures; quote the handout's percentages and NCERT's count only if the question asks for accounts. (*handout/teacher wins in class*)

NCERT differs: NCERT does not date RRBs, the Lead Bank Scheme or the SHG-Bank Linkage Programme, and says NABARD was set up in 1982; the handout lists NABARD with DFIs of the 1980s (consistent). Learn the handout's years. (*handout/teacher wins in class*)

⭐ **REMEMBER**

Area-focused (open branches, hope) → person-focused (find each person): Jan Dhan, Aug 2014.

MY NOTES

🧠 MEMORY AID · THE FIVE PHASES, IN ORDER

Seeds Sprout, Liberalisation Spreads, People

S State intervention: 1955, 1969, 1980	**S** Specialised architecture: co-operatives, RRBs, DFIs
L Liberalisation of the 1990s: private banks, BC model	**S** Structural innovation 2013-14: SFBs, payments banks
P PM Jan Dhan Yojana, Aug 2014: person-focused	

Own memory aid (not from the handout): seeds are planted by the state and spread by liberalisation until people are reached. Order matters.

8 · PRIORITY SECTOR LENDING (PSL)

🧠 UNDERSTAND IT FIRST

RBI says: out of every rupee of bank credit, a fixed share must go to sectors the nation treats as priority, like farming, small business, education, housing, renewable energy and start-ups. Bigger commercial banks owe 40%; smaller, local-type banks owe 75%. Only the quantity is fixed, not the price; loans still cost market rates, and cheaper farm loans come through a separate interest subsidy. A bank that falls short can park the gap in a rural infrastructure fund or buy certificates from a bank that overshoots.

✏ EXAMPLE

The handout's targets: 40% of ANBC for scheduled commercial banks and sizeable foreign private banks; 75% of ANBC for RRBs, co-operative banks and Small Finance Banks. Start-ups got PSL status in 2020. Shortfall: invest in RIDF at a low return or buy PSLCs.

📐 Formulas of this section

PSL TARGET

Scheduled commercial and foreign private banks: 40% of ANBC · RRBs, co-operative banks, SFBs: 75% of ANBC

ANBC = Adjusted Net Bank Credit

SHORTFALL

invest in RIDF at a low return or buy PSLCs

PSL fixes allocation, not price

RBI designates certain sectors as priority and makes **all banks** (domestic or foreign, RRB or co-operative, rural or urban, small banks) lend a share

MY NOTES

of credit to them. Sectors: **agriculture** (sub-targets for small and marginal farmers), **MSMEs and exports, education, housing and social infrastructure, renewable energy,** and **start-ups (status given in 2020).**

PSL targets and tools

Item	Detail
Base	**ANBC** (Adjusted Net Bank Credit)
Scheduled commercial banks and foreign private banks (sizeable presence)	**40% of ANBC**
RRBs, co-operative banks, Small Finance Banks	**75% of ANBC**
Price	PSL fixes the **allocation, not the price.** Loans carry market rates. Cheaper farm loans come through an **Interest Subvention Scheme (ISS)**
Shortfall	Invest the shortfall in **NABARD's RIDF** (Rural Infrastructure Development Fund) at a low return, or buy **PSLCs** (Priority Sector Lending Certificates) from banks that overshoot

⭐ REMEMBER

PSL fixes the allocation, not the price. 40% (commercial) and 75% (RRB, co-operative, SFB) of ANBC.

9 · TYPES OF BANKS AND FINANCIAL ENTITIES

🧠 UNDERSTAND IT FIRST

India has many kinds of banks because each does a different job. Commercial banks are for profit and regulated only by RBI. Co-operative banks serve members and answer to both a State and RBI. Scheduled banks are in the RBI Act's Second Schedule, so they can borrow from RBI. RRBs mix local feel with professional skill. DFIs give long-term money to others, not to the public. SFBs and payments banks were created for inclusion, and NBFCs lend but cannot take demand deposits or issue cheques. NBFCs are then sorted into four layers by size and risk.

✏ EXAMPLE

The handout's differences: payments bank holds 75% of deposits in Government Securities and cannot lend (deposits up to ₹2 Lakh per customer); SFB gives 75% of loans to PSL and at least 50% of its portfolio in loans under ₹25 Lakh. NBFC layers from 2022: Base below ₹1,000 Crore, Middle, Upper, Top (ideally empty).

MY NOTES

📐 Formulas of this section

SFB
75% of loans to PSL · at least 50% of portfolio in loans under ₹25 Lakh
cannot set up insurance or pension subsidiaries

PAYMENTS BANK
deposits up to ₹2 Lakh per customer · 75% of deposits in Government Securities · no loans

NBFC LAYERS
Base below ₹1,000 Cr · Middle · Upper · Top
SBR effective 2022

Types of banks and entities

Type	Key features (from the handout)
Commercial banks (PSB, private, foreign)	Regulated solely by **RBI** under the BR Act 1949; companies under the Companies Act; profit motive
Co-operative banks	Formed under State Cooperative Societies Acts or the Multi-State Cooperative Societies Act. **Dual regulation:** State Government/Registrar for incorporation and management, RBI for core banking functions (capital, liquidity). Motive: mutual assistance
Scheduled banks	In the **Second Schedule of the RBI Act, 1934;** minimum paid-up capital; eligible for **LAF** window loans (Repo/MSF) and automatic clearing-house membership
Non-scheduled banks	Not in the Second Schedule; subject to statutory reserves but no automatic RBI borrowing
RRBs (1975)	Local feel of a co-operative plus professionalism of a commercial bank; **50:15:35** (Centre, State, sponsor bank)
DFIs	Statutory bodies (NABARD, SIDBI, EXIM): long-term patient capital; **refinance** rather than retail lend
Small Finance Banks	Micro-credit for inclusion. **75% of loans to PSL;** at least **50% of portfolio in loans under ₹25 Lakh** (also "majority of loans under ₹25 Lakh" elsewhere in the handout). Can accept all deposits and issue all loans; cannot set up subsidiaries for insurance or pensions
Payments Banks	Remittances and digital payments. Deposits (**demand deposits up to ₹2 Lakh** per customer); **no loans or credit cards;** must hold **75% of deposits in Government Securities**
NBFCs	Companies under the Companies Act in lending, investment or leasing that **cannot accept demand deposits (CASA)** and **cannot issue cheques**
Nidhi companies	Mutual benefit societies lending and borrowing only among members; MCA regulates operations, RBI only deposit-acceptance rules

MY NOTES

Type	Key features (from the handout)
Chit funds	Traditional savings and borrowing schemes; State Governments under the **Chit Funds Act, 1982;** RBI advisory only

NBFC regulation: who regulates whom, and the Scale-Based Regulation (SBR) layers (effective 2022)

Layer / entity	Meaning
Regulators	RBI regulates core lending NBFCs. **Merchant bankers and venture capital funds: SEBI. Housing finance companies: RBI (formerly NHB). Insurance companies: IRDAI**
Base Layer (NBFC-BL)	Non-deposit-taking, asset size **below ₹1,000 Crore;** light regulation
Middle Layer (NBFC-ML)	All deposit-taking NBFCs and non-deposit-taking ones **above ₹1,000 Crore**
Upper Layer (NBFC-UL)	Identified by RBI as systemically critical; bank-like scrutiny
Top Layer (NBFC-TL)	Ideally **empty;** for extreme systemic risk needing bespoke regulation

HANDOUT ALERT: SFB LOAN RULE AND NBFC THRESHOLD

Small Finance Bank ticket-size rule is worded **"majority"** in one place and **"at least 50%"** in another. The SARFAESI NBFC threshold is **₹100 Crore** while the SBR base layer limit is **₹1,000 Crore:** two different rules for two different purposes. Exam-hall rule: SFB = "50%+ of loans under ₹25 L, 75% PSL"; do not mix ₹100 Cr (SARFAESI) with ₹1,000 Cr (SBR).

📘 **FROM NCERT · XI CH 5 §5.3 AND §5.4 (INSTITUTIONS; COOPERATIVES), BOX 5.1, XI GLOSSARY, XII MACRO CH 3**

In plain words: The handout's table of bank types has co-operative banks, RRBs and DFIs. NCERT adds the rural set of institutions and a short verdict on cooperatives. The commercial-bank functions (accepting deposits, lending, the spread) are in the Chapter 8 NCERT boxes.

Link to the handout: Handout section 9: commercial banks, co-operative banks, RRBs, DFIs. NCERT's "multi-agency" set uses the same names and adds land development banks.

NCERT's multi-agency set of rural institutions

Institution (NCERT)	Where it is in the handout
Commercial banks	Section 9: regulated solely by RBI
Regional rural banks (RRBs)	Section 9 and section 7: 1975, 50:15:35

MY NOTES

Institution (NCERT)	Where it is in the handout
Cooperatives	Section 9: co-operative banks, dual regulation
Land development banks	Not in the handout; NCERT only names them
NABARD (apex body, 1982)	Section 7 and 9: DFI that refinances retail banks

Cooperatives: NCERT's verdict (marketing side)

- The success of milk cooperatives in Gujarat and some other parts of the country shows the role of cooperatives.
- Cooperatives have had a setback because of inadequate coverage of farmer members, lack of an appropriate link between marketing and processing cooperatives, and inefficient financial management.

NCERT differs: NCERT's cooperative verdict is about marketing cooperatives; the handout's co-operative banks are credit bodies with dual regulation (State Registrar and RBI). Do not mix the two. *(handout/teacher wins in class)*

⭐ REMEMBER

Trap: ₹100 Cr is the SARFAESI NBFC threshold; ₹1,000 Cr is the SBR base-layer limit. Payments bank: no loans.

🧠 MEMORY AID · NBFC SCALE-BASED LAYERS, LIGHTEST TO HEAVIEST (AN ORDER)

Bigger Means Upper Tier

B Base layer: non-deposit-taking, below ₹1,000 Crore

M Middle layer: all deposit-taking NBFCs and larger non-deposit-taking

U Upper layer: systemically critical, bank-like scrutiny

T Top layer: ideally empty

Own memory aid (not from the handout): a bigger NBFC moves to a higher layer and a tighter watch.

MY NOTES

FORMULA SHEET, NUMBER CARD AND DRILLS

MY NOTES

📐 FORMULA SHEET: COVER THE THIRD COLUMN, SAY THE FORMULA, THEN CHECK

Where	Name	Formula	Source
Sec 1	Debt	**money given is repaid, generally with interest, in a promised period**	handout
Sec 1	Equity	**money is not paid back; supplier gets rights and part-ownership**	handout
Sec 3	CRAR	**CRAR = Capital ÷ Risk Weighted Assets ≥ 9%**	handout
Sec 3	Risk weighted assets	**RWA = Risk × loan value**	handout
Sec 3	Capital CCB	**Capital Conservation Buffer = 2.5% of RWA**	handout
Sec 3	Capital needed for a loan	**Provisioning + 9% × (risk × loan)**	handout
Sec 3	Farmer example	**3% × ₹10 L = ₹30,000 · 20% × ₹10 L = ₹2 L · 9% × ₹2 L = ₹18,000 · total ₹48,000**	handout
Sec 4	Overdue ladder	**SMA-0: 1-30 · SMA-1: 31-60 · SMA-2: 61-90 · NPA: more than 90 days**	handout
Sec 4	GNPA	**GNPA = total loans classified NPA (as % of total loans)**	handout
Sec 4	Net NPA	**Net NPA = GNPA − provisioning**	handout
Sec 4	PCR	**PCR (Provisioning Coverage Ratio) = capital as a proportion of GNPAs**	handout
Sec 4	Stressed assets	**Stressed assets = GNPAs + restructured assets**	handout
Sec 6	IBC clock	**30 + 180 + 90 = 300 days (revised to 330 days now)**	handout
Sec 6	IBC plan vote	**plan needs 2/3 of creditors by credit value**	handout
Sec 6	SARFAESI limits	**not agricultural loans · not dues under ₹1 lakh · not if 80% or more of principal repaid**	handout
Sec 6	Recapitalisation loop	**government issues bonds ⇒ banks lend to it ⇒ government returns the money as equity**	handout
Sec 6	Bhushan Steel	**₹35,200 Cr of ₹56,000 Cr claims (63%)**	handout

MY NOTES

Where	Name	Formula	Source
Sec 7	RRB ownership	**Centre 50% : State 15% : sponsor bank 35%**	handout
Sec 7	Area approach	**one branch per defined area, e.g. 5,000 people (2,000 adults in hilly areas)**	handout
Sec 8	PSL target	**Scheduled commercial and foreign private banks: 40% of ANBC · RRBs, co-operative banks, SFBs: 75% of ANBC**	handout
Sec 8	Shortfall	**invest in RIDF at a low return or buy PSLCs**	handout
Sec 9	SFB	**75% of loans to PSL · at least 50% of portfolio in loans under ₹25 Lakh**	handout
Sec 9	Payments bank	**deposits up to ₹2 Lakh per customer · 75% of deposits in Government Securities · no loans**	handout
Sec 9	NBFC layers	**Base below ₹1,000 Cr · Middle · Upper · Top**	handout

🔢 NUMBER CARD: FIGURES TO HOLD

- **9% / 8%** CRAR: RBI / Basel
- **2.5%** Capital Conservation Buffer
- **₹48,000** capital for a ₹10 L farm loan
- **90 days** overdue = NPA
- **~15%, 25-100%, 100%** provision: sub-standard, doubtful, loss
- **14.58%** PSB GNPA peak, March 2018
- **2.6% / 0.6%** GNPA / Net NPA, Sept 2024
- **₹2.11 Lakh Cr** recap package, Oct 2017
- **2/3 · 180 + 90** IBC plan vote; days (330 now)
- **2016** IBC enacted
- **40% / 75%** PSL of ANBC
- **₹1,000 Cr / ₹100 Cr** SBR base layer / SARFAESI NBFC size
- **50 : 15 : 35** RRB ownership
- **Aug 2014** PMJDY
- **₹25 L · ₹2 L** SFB loan ticket · payments-bank deposit cap

MY NOTES

✏ BLANK-PAGE DRILL: DRAW THESE FROM MEMORY, THEN CHECK

- Redraw the handout's IBC / CIRP chart: Default, NCLT admission, IRP takeover, CoC within 30 days, then Resolution or Liquidation.
- Write the ladder of bad loans (SMA-0 to Loss) with days and provisions, and the sentence "Some Slip, Some Sink, Debts Linger".
- Write the financial-inclusion "Quick reference" years 1955 to 2015 from memory, then the five phases with "Seeds Sprout, Liberalisation Spreads, People".

NCERT CHECKLIST: END BOXES, QUESTIONS, KEY CONCEPTS

📘 NCERT PARTS WITH NO MATCHING HANDOUT SECTION (READ THEM FROM NCERT)

- **XII Macro Ch 3 §3.2 to §3.4: commercial banks, money creation, RBI tools**: Covered by the Chapter 8 NCERT boxes; read the chapter there
- **XII Macro Ch 3 Box 3.2: Demonetisation**: Chapter 8; not a banking-regulation topic
- **XI Ch 5 §5.4: Agricultural market system, MSP, buffer stocks**: Agriculture chapter, not banking
- **XI Ch 3: tax, trade, foreign exchange, disinvestment reforms**: Reforms chapter; only the financial-sector part is used above
- **XI Ch 2 (1950-1990): bank loans at lower interest for small units**: One line on concessions to small industry; no banking structure
- **XI Ch 4: Human capital formation**: Education and health; no banking content

📘 NCERT KEY CONCEPTS: TICK EACH WHEN YOU CAN DEFINE IT

☐ Financial institutions ☐ Merchant bankers
☐ Foreign Institutional Investors (FIIs) ☐ Cash Reserve Ratio (CRR)
☐ Statutory Liquidity Ratio (SLR) ☐ Reserve deposit ratio
☐ Social banking ☐ Multi-agency approach ☐ NABARD
☐ Self-Help Group (SHG) ☐ Micro-credit ☐ Jan Dhan Yojana

📘 NCERT'S OWN END-OF-CHAPTER QUESTIONS: CAN YOU ANSWER EACH FROM THESE NOTES?

MY NOTES

NCERT question	Answer lives in
Exercise 3 (XI Ch 3): Why did RBI have to change its role from controller to facilitator of financial sector in India?	Section 7 NCERT box, Step 1
Exercise 4 (XI Ch 3): How is RBI controlling the commercial banks?	Section 2 NCERT box, Step 1 (and section 2 of the handout)
Exercise 2 (XI Ch 5): Discuss the importance of credit in rural development.	Section 7 NCERT box on rural credit, Steps 1 and 2
Exercise 3 (XI Ch 5): Explain the role of micro-credit in meeting credit requirements of the poor.	Section 7 NCERT box, Step 3
Exercise 6 (XI Ch 5): Critically evaluate the role of the rural banking system in the process of rural development in India.	Section 7 NCERT box, Step 5 (and section 5 box)
Exercise 7 (XII Macro Ch 3): Explain the functions of a commercial bank.	Chapter 8 NCERT box (§3.2.2); not in this handout chapter

ABBREVIATION COLUMN

Every short form used in this chapter, expanded.

NCERT = National Council of Educational Research and Training — publisher of the school textbooks the teacher calls "very, very important"

RBI = Reserve Bank of India — central bank

NPA = Non-Performing Asset — loan with interest or principal overdue for 90 days or more

IBC = Insolvency and Bankruptcy Code — 2016 law for time-bound resolution of insolvency

GNPA = Gross Non-Performing Assets — total loans classified as NPA, as a % of total loans

NPAs = Non-Performing Assets — loans overdue more than 90 days

PSL = Priority Sector Lending — bank lending targets for sectors such as agriculture and MSMEs

SARFAESI = Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 — lets lenders enforce security on secured loans without going to court

RRBs = Regional Rural Banks — rural banks

NBFCs = Non-Banking Financial Companies — lenders that are not banks; regulated by the RBI

PSBs = Public Sector Banks — banks owned mainly by the government

ANBC = Adjusted Net Bank Credit — the credit base on which PSL targets are measured

CRR = Cash Reserve Ratio — share of deposits banks keep as cash with RBI

MY NOTES

NBFC = Non-Banking Financial Company — lender that is not a bank; regulated by the RBI

RWA = Risk Weighted Assets — loan value multiplied by its risk %; the base for CRAR

CRAR = Capital to Risk-weighted Assets Ratio — India's name for the capital adequacy ratio

NABARD = National Bank for Agriculture and Rural Development — apex bank for agriculture and rural credit

PSB = Public Sector Bank — bank owned mainly by the government

AQR = Asset Quality Review — RBI exercise from 2015 that forced banks to classify stressed loans correctly

SEBI = Securities and Exchange Board of India — regulator of the securities market

SLR = Statutory Liquidity Ratio — share of deposits banks keep in liquid assets

DFIs = Development Financial Institutions — lenders for long-term development finance

NCLT = National Company Law Tribunal — adjudicating authority for corporate insolvency under the IBC

SFB = Small Finance Bank — differentiated bank for micro-credit and inclusion; 75% of loans to PSL

CIRP = Corporate Insolvency Resolution Process — the IBC process for corporate defaulters

RRB = Regional Rural Bank — rural bank owned 50% Centre, 15% State, 35% sponsor bank

SMA-0 = Special Mention Account 0 — overdue 1 to 30 days

BR = Base Rate — minimum lending rate that replaced PLR in 2010

IRP = Interim Resolution Professional — licensed expert who takes over a defaulting firm at the start of CIRP

PMJDY = Pradhan Mantri Jan Dhan Yojana — national scheme for zero-balance bank accounts

SBR = Scale-Based Regulation — RBI's four-layer framework for NBFCs, effective 2022

SHG = Self-Help Group — small group that pools savings and lends to its members

CCB = Capital Conservation Buffer — extra 2.5% of RWA held to protect the 9% CRAR line in stress

DRT = Debt Recovery Tribunal — tribunal for quick recovery of bank dues; handles non-corporate defaulters under the IBC

GNPAs = Gross Non-Performing Assets — total loans classified as NPA

PCR = Provisioning Coverage Ratio — how much of GNPAs the bank has covered with provisions

SFBs = Small Finance Banks — differentiated banks for micro-credit and inclusion

SMA-1 = Special Mention Account 1 — overdue more than 30 up to 60 days

SMA-2 = Special Mention Account 2 — overdue more than 60 up to 90 days

BBB = Bank Board Bureau — body formed in 2016 to choose heads of PSBs; later replaced by FSIB

FIIs = Foreign Institutional Investors — large foreign funds investing in Indian markets

FSIB = Financial Services Institutions Bureau — body that replaced the BBB to recommend PSB appointments

MY NOTES

MSMEs = Micro, Small and Medium Enterprises — small businesses

SMA = Special Mention Account — early-warning class for a loan overdue 1 to 90 days

EMI = Equated Monthly Instalment — fixed monthly loan repayment

IBBI = Insolvency and Bankruptcy Board of India — regulator of the IBC ecosystem

PSLCs = Priority Sector Lending Certificates — certificates a bank buys to make up a PSL shortfall

RIDF = Rural Infrastructure Development Fund — NABARD fund where PSL shortfall can be parked at a low return

SBI = State Bank of India — formed in 1955 from the Imperial Bank

ARC = Asset Reconstruction Company — buys bad loans from banks and tries to recover them

CRILC = Central Repository of Information on Large Credits — RBI database of exposures above ₹5 Crore

DFR = Double Financial Repression — bank squeezed because assets earn nothing while deposits must still be paid

RDDB = Recovery of Debt due to Banks Act, 1993 — set up DRT and DRAT

SHGs = Self-Help Groups — small groups that pool savings and lend to members

ARCs = Asset Reconstruction Companies — buy bad loans from banks

BHC = Bank Holding Company — body proposed to hold government shares in PSBs and appoint CEOs on merit

EXIM = Export-Import Bank of India — finances foreign trade

IP = Insolvency Professional — licensed turnaround expert appointed by the CoC

IU = Information Utility — digital database holding verified records of debts and defaults

NCLAT = National Company Law Appellate Tribunal — hears appeals against NCLT orders

NHB = National Housing Bank — regulator and refinancer of housing finance

SIDBI = Small Industries Development Bank of India — apex bank for small industry

SRs = Security Receipts — paper an ARC issues when it buys a bank's bad loan

TBP = Twin Balance Sheet Problem — stress in both the borrower's and the bank's balance sheet

AA = Adjudicating Authority — NCLT for corporates, DRT for non-corporates

BC = Business Correspondent — bank mitra; mobile branch that takes deposits and pays out but cannot lend

BCBS = Basel Committee on Banking Supervision — issues the Basel prudential norms

BIS = Bank for International Settlements — Basel-based body through which central banks coordinate

BSBDA = Basic Savings Bank Deposit Account — zero-balance account (earlier No-Frills Account)

BSBDAs = Basic Savings Bank Deposit Accounts — zero-balance accounts

CAG = Comptroller and Auditor General — audits government accounts

CAR = Capital Adequacy Ratio — bank capital as a share of risk-weighted assets

MY NOTES

CASA = Current Account Savings Account — demand deposits that NBFCs cannot accept

CAs = Chartered Accountants — one source of licensed insolvency professionals

CBI = Central Bureau of Investigation — one of the "Three Cs of Fear" for PSB managers

CEOs = Chief Executive Officers — top managers of the banks

CIRPs = Corporate Insolvency Resolution Processes — IBC processes for corporate defaulters

CSs = Company Secretaries — one source of licensed insolvency professionals

CVC = Central Vigilance Commission — one of the "Three Cs of Fear" for PSB managers

CoCs = Committees of Creditors — bodies of financial creditors that vote on resolution plans

DFI = Development Financial Institution — statutory body giving long-term patient capital (NABARD, SIDBI, EXIM)

DRAT = Debt Recovery Appellate Tribunal — hears appeals against DRT orders

DRTs = Debt Recovery Tribunals — tribunals for quick recovery of bank dues

HDFC = Housing Development Finance Corporation — one of the private banks licensed in 1993

ICICI = Industrial Credit and Investment Corporation of India — one of the private banks licensed in 1993

IPs = Insolvency Professionals — licensed turnaround experts

IRDAI = Insurance Regulatory and Development Authority of India — insurance regulator

IRPs = Interim Resolution Professionals — licensed experts who take over a defaulting firm

ISS = Interest Subvention Scheme — government scheme that makes farm loans cheaper

IT = Information Technology — software and computer services

IUs = Information Utilities — digital databases of verified debt records

LAF = Liquidity Adjustment Facility — RBI's daily window for banks to borrow (repo) or park (reverse repo) money

MCA = Ministry of Corporate Affairs — operates Nidhi company rules

MNREGA = Mahatma Gandhi National Rural Employment Guarantee Act — law promising 100 days of wage work

MSF = Marginal Standing Facility — RBI window for emergency overnight borrowing at a higher rate

MSME = Micro, Small and Medium Enterprises — small businesses

MSP = Managed Service Provider — company running the GSTN systems (Infosys); also minimum support price elsewhere

NBFC-BL = NBFC Base Layer — non-deposit-taking, below ₹1,000 Crore

NBFC-ML = NBFC Middle Layer — all deposit-taking NBFCs and larger non-deposit-taking ones

NBFC-TL = NBFC Top Layer — ideally empty; extreme systemic risk

NBFC-UL = NBFC Upper Layer — systemically critical NBFCs

NeSL = National E-Governance Services Ltd — an Information Utility

MY NOTES

PPIRP = Pre-Packaged Insolvency Resolution Process — faster insolvency route for MSMEs (2021)

PVB = Private Sector Bank — bank owned by private shareholders

RDDBFI = Recovery of Debts Due to Banks and Financial Institutions Act — the full name of the 1993 recovery law

RP = Resolution Professional — insolvency professional who runs the resolution

UNCITRAL = United Nations Commission on International Trade Law — its Model Law covers cross-border insolvency

Meanings are plain-language aids; verify before quoting in an answer.

MY NOTES

CURRENT AFFAIRS

MDR on high-value UPI merchant payments

September 2026 Prelims

NPCI announced a Merchant Discount Rate on select high-value person-to-merchant (P2M) UPI payments under the Payment and Settlement Systems Act, 2007. UPI stays free for P2P.

MDR: fee a merchant pays its bank for accepting digital payments, as a percentage of value; shared among acquiring bank, issuing bank, UPI app and NPCI.

Framework: P2P free (any amount); P2M up to **Rs 2,000** free; above **Rs 2,000** **0.4%**; capped at **Rs 300** for **Rs 75,000** and above; essential sectors (railways, telecom, insurance, fuel, utilities) above **Rs 2,000** flat **Rs 5**.

A Small Merchant Fund from part of MDR revenue for Tier 3-6 centres, North-East, J&K, Ladakh, and PM SVANidhi and PM Vishwakarma beneficiaries. Merchants cannot pass MDR to customers.

Keywords MDR · P2M · PSS Act 2007 · UPI sustainability

National Company Law Tribunal (NCLT)

September 2026 Prelims

A special five-member NCLT Bench stayed approval of Subhash Chandra's repayment plan in his personal insolvency case and restrained transfer of his assets.

NCLT: constituted under Section 408, Companies Act, **2013**; operational **2016**; quasi-judicial. Principal Bench in New Delhi; sanctioned strength 62 (31 Judicial and 31 Technical). President must be or have been a High Court judge for five years. Handles Companies Act and IBC **2016** matters; appeal lies to NCLAT.

Keywords NCLT · NCLAT · IBC

TIMELINE AND NUMBERS

When	What
1872	Indian Contracts Act.

When	What
1934	RBI Act (Second Schedule defines scheduled banks).
1949	Banking Regulation Act: RBI regulates banking. ★
1955	Imperial Bank nationalised into SBI. ★
1969	First nationalisation (14 banks); Lead Bank Scheme. ★
1975	Regional Rural Banks Ordinance (Act). ★
1980	Second nationalisation (6 banks). ★
1993	RDDB Act; DRT and DRAT; new private bank licences. ★
2002	SARFAESI Act. ★
2005	No-Frills Accounts (BSBDA from 2012).
2006	Business Correspondent model.
2008	GFC: Basel III motive (the handout dates the norms 2008).
2013	AQR proposed; differentiated licensing policy.
2014	SMA category introduced; PMJDY launched (Aug). ★
2015	AQR implemented; SFB and payments bank licences. ★
Feb 2016	Bank Board Bureau constituted.
2016	IBC enacted. ★
Oct 2017	₹2.11 Lakh Crore recapitalisation package. ★
2018	Homebuyers made financial creditors; Bhushan Steel acquired by Tata Steel.
2020	Start-ups get PSL status.
2021	Pre-Packaged Insolvency Resolution Process for MSMEs.
2022	NBFC scale-based regulation effective.
2023	Delhi HC strikes BBB mandate; FSIB set up.
Sep 2024	GNPA 2.6%, Net NPA 0.6%. ★

CONNECTS TO OTHER CHAPTERS

Where	Why
Chapter 6: Inflation	Chapter 6 ends by saying inflation control needs expensive money; banks transmit the cost of money.
Chapter 8: Money and Monetary Policy	CRR, SLR, LAF (Repo/MSF) and the RBI's tools sit in the next chapter; scheduled banks get LAF access.
Chapter 9: Capital Markets	This handout's first section splits intermediaries into decision-making (RBI) and decision-facilitating (SEBI); capital markets are the second half of the unit.

MY NOTES

Where	Why
Chapter 13: NABARD and NBFCs	NABARD, RIDF, PSL and priority sectors continue there.
Chapter 12: Budget and Fiscal Policy	Recapitalisation bonds are a fiscal instrument; government borrowing sets the context.

MAINS ANSWER SKELETONS

WHY MUST BANKS BE REGULATED? HOW DO CAPITAL ADEQUACY NORMS MAKE BANKS BEAR THE RISK?

Intro: The bank's business is "heads I win, tails you lose", so the depositor's money needs protection.

- Decision-making intermediary: bank takes the decisions and the reward, so it must take the risk.
- Basel III recognises credit, operational and market risk; central bank, not bank, recognises them.
- Provisioning against each loan plus CRAR 9% of RWA and CCB 2.5%.
- Worked example: ₹10 L farm loan needs ₹48,000 of own capital; riskier loans use capital faster.

Close: The regulation does not ban risk; it makes the bank pay for it with its own money.

DISCUSS THE CAUSES AND CONSEQUENCES OF NPAS IN THE INDIAN BANKING SECTOR. EVALUATE THE 4R STRATEGY.

Intro: NPAs came from wilful default, economic reasons and, above all, poor risk assessment in PSBs.

- Consequences: DFR, Twin Balance Sheet Problem, loss of trust.
- Recognise: AQR 2015 ended evergreening (GNPA 4.6% versus stressed 11.1% in 2015; PSB peak 14.58% in 2018).
- Recover: RDDB, SARFAESI, IBC (creditor-in-control, 330 days).
- Recapitalise (₹2.11 L Cr, 2017) and Reform (BBB then FSIB); GNPA 2.6% in Sept 2024.

Close: Recapitalisation is a bandage; reform of governance is the cure.

HOW DOES THE IBC DIFFER FROM EARLIER RECOVERY MECHANISMS? WHAT CHALLENGES REMAIN?

Intro: IBC moved India to a creditor-in-control, time-bound model.

- RDDB's tribunals got stays from regular courts; SARFAESI was limited to secured, non-agricultural loans.
- IBC: NCLT, IRP replaces management, CoC votes by 2/3, 180 + 90 days.
- Recovery higher than before, but falling on older junk assets.
- Challenges: liquidation and 80-95% haircuts, MSME buyers, cross-border insolvency; PPIRP and homebuyer thresholds as fixes.

MY NOTES

Close: Speed and control improved; value maximisation is the next test.

WHY DID PSBS ACCUMULATE MORE NPAS THAN PRIVATE BANKS? WHAT REFORMS WERE SUGGESTED?

Intro: The cause is incentives and ownership, not just economic cycles.

- Owner's power of appointment exercised by Finance Ministry bureaucrats with no financial skin.
- Three Cs (CBI, CVC, CAG) breed risk aversion; payoff matrix gives no upside and jail downside.
- Telephone banking and patronage.
- P.J. Nayak: Bank Holding Company; BBB (2016) struck down; FSIB.

Close: Reform means creating distance between owner and bank.

TRACE INDIA'S STRATEGIES FOR FINANCIAL INCLUSION FROM 1955 TO JAN DHAN. WHAT ARE THE LIMITS OF AN AREA-FOCUSED APPROACH?

Intro: The state first pushed branches, then built special institutions, then liberalised, then went person-focused.

- 1955 SBI; 1969 and 1980 nationalisation; 1975 RRBs; DFIs.
- 1990s: private licences, Lead Bank Scheme, BSBDA, Business Correspondents.
- 2013: only ~15% of individuals had accounts; SFBs and payments banks.
- PMJDY 2014: person-focused; PSL as a standing mandate (40%, 75%).

Close: Inclusion needs association first, then capability.

PAST-YEAR QUESTIONS · 35 PRELIMS AND 2 MAINS QUESTIONS FROM THE SAARTHI SUBJECT-WISE SHEETS

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question

2 · BANKING AND ITS REGULATION 10 Prelims · 0 Mains

Prelims 2024

Consider the following statements:

Statement-I: Syndicated lending spreads the risk of borrower default across multiple lenders.

Statement-II: The syndicated loan can be a fixed amount/lump sum of funds, but cannot be a credit line. Which one of the following is correct in respect of the above statements?

(a) Both Statement-I and Statement-II are correct and Statement-II explains Statement-I
(b) Both Statement-I and Statement-II are correct, but Statement-II does not explain Statement-I
(c) Statement-I is correct, but Statement-II is incorrect
(d) Statement-I is incorrect, but Statement-II is correct

Answer: **(c)** Statement-I is correct, but Statement-II is incorrect

MY NOTES

Prelims 2022

With reference to the 'Banks Board Bureau (BBB)', which of the following statements are correct ?

1. The Governor of RBI is the Chairman of BBB.
2. BBB recommends for the selection of heads for Public Sector Banks.
3. BBB helps the Public Sector Banks in developing strategies and capital raising plans.

Select the correct answer using the code given below :

(a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(b)** 2 and 3 only

Prelims 2021

In India, the central bank's function as the 'lender of last resort' usually refers to which of the following?

1. Lending to trade and industry bodies when they fail to borrow from other sources
2. Providing liquidity to the banks having a temporary crisis
3. Lending to governments to finance budgetary deficits

Select the correct answer using the code given below:

(a) 1 and 2
(b) 2 only
(c) 2 and 3
(d) 3 only

Answer: **(b)** 2 only

Prelims 2021

Consider the following statements:

1. The Governor of the Reserve Bank of India (RBI) is appointed by the Central Government.
2. Certain provisions in the Constitution of India give the Central Government the right to issue directions to the RBI in public interest.
3. The Governor of the RBI draws his power from the RBI Act.

Which of the above statements are correct?

(a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(c)** 1 and 3 only

Prelims 2019

Which of the following is not included in the assets of a commercial bank in India?

(a) Advances
(b) Deposits
(c) Investments
(d) Money at call and short notice

Answer: **(b)** Deposits

MY NOTES

Prelims 2019

The Chairman of public sector banks are selected by the:

(a) Banks Board Bureau
(b) Reserve Bank of India
(c) Union Ministry of Finance
(d) Management of concerned bank

Answer: **(a)** Banks Board Bureau

Prelims 2016

The Term 'Core Banking Solutions' is sometimes seen in the news. Which of the following statements best describes/describe this term?

1. It is the networking of a bank's branches which enable customers to operate their accounts from any branch of the bank on its network regardless of where they open their accounts.
2. It is an effort to increase RBI's control over commercial banks through computerization.
3. It is a detailed procedure by which a bank with huge non-performing assets is taken over by another bank.

Select the correct answer using the code given below:

(a) 1 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(a)** 1 only

Prelims 2016

With reference to 'Financial Stability and Development Council', consider the following statements:

1. It is an organ of NITI Aayog.
2. It is headed by the Union Finance Minister.
3. It monitors macroprudential supervision of the economy.

Which of the statements given above is/are correct?

(a) 1 and 2 only
(b) 3 only
(c) 2 and 3 only
(d) 1, 2 and 3

Answer: **(c)** 2 and 3 only

Prelims 2013

The Reserve Bank of India regulates the commercial banks in matters of:

1. liquidity of assets
2. branch expansion
3. merger of banks
4. winding-up of banks

Select the correct answer using the code given below:

(a) 1 and 4 only
(b) 2, 3 and 4 only
(c) 1, 2 and 3 only
(d) 1, 2, 3 and 4

Answer: **(d)** 1, 2, 3 and 4

MY NOTES

Prelims 2012

The Reserve Bank of India (RBI) acts as a bankers' bank. This would imply which of the following?

1. Other banks retain their deposits with the RBI.
2. The RBI lends funds to the commercial banks in times of need.
3. The RBI advises the commercial banks on monetary matters.

Select the correct answer using the code given below:

(a) 2 and 3 only
(b) 1 and 2 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(d)** 1, 2 and 3

3 · BASEL NORMS, CAPITAL, PROVISIONING AND CRAR

2 Prelims · 0 Mains

Prelims 2018

Consider the following statements:

1. Capital Adequacy Ratio (CAR) is the amount that banks have to maintain in the form of their own funds to offset any loss that banks incur if the account holders fail to repay dues.
2. CAR is decided by each individual bank.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(a)** 1 only

Prelims 2015

'Basel III Accord' or simply 'Basel III', often seen in the news, seeks to:

(a) develop national strategies for the conservation and sustainable use of biological diversity
(b) improve banking sector's ability to deal with financial and economic stress and improve risk management
(c) reduce the greenhouse gas emissions but places a heavier burden on developed countries
(d) transfer technology from developed Countries to poor countries to enable them to replace the use of chlorofluorocarbons in refrigeration with harmless chemicals

Answer: **(b)** improve banking sector's ability to deal with financial and economic stress and improve risk management

MY NOTES

4 · BAD LOANS: SMA, NPA CLASSES AND RATIOS 1 Prelims · 0 Mains

Prelims 2020

What is the importance of the term "Interest Coverage Ratio" of a firm in India?

1. It helps in understanding the present risk of a firm that a bank is going to give loan to.
2. It helps in evaluating the emerging risk of a firm that a bank is going to give loan to.
3. The higher a borrowing firm's level of Interest Coverage Ratio, the worse is its ability to service its debt.

Select the correct answer using the code given below:

(a) 1 and 2 only
(b) 2 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(a)** 1 and 2 only

5 · WHY NPAS ARISE, AND WHAT THEY DO 1 Prelims · 0 Mains

Prelims 2011

Why is the offering of "teaser loans" by commercial banks a cause of economic concern?

1. The teaser loans are considered to be an aspect of subprime lending and banks may be exposed to the risk of defaulters in future.
2. In India, the teaser loans are mostly given to inexperienced entrepreneurs to set up manufacturing or export units.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(a)** 1 only

6 · THE 4R STRATEGY: RECOGNISE, RECOVER, RECAPITALISE, REFORM 2 Prelims · 0 Mains

Prelims 2019

What was the purpose of the Inter-Creditor Agreement signed by Indian banks and financial institutions recently?

(a) To lessen the Government of India's perennial burden of fiscal deficit and current account deficit
(b) To support the infrastructure projects of Central and State Governments
(c) To act as independent regulator in case of applications for loans of Rs 50 crore or more
(d) To aim at faster resolution of stressed assets of Rs 50 crore or more which are under consortium lending.

Answer: **(d)** To aim at faster resolution of stressed assets of Rs 50 crore or more which are under consortium lending.

MY NOTES

Prelims 2017

Which of the following statements best describes the term 'Scheme for Sustainable Structuring of Stressed Assets (S4A)', recently seen in the news?

(a) It is a procedure for considering ecological costs of developmental schemes formulated by the Government.
(b) It is a scheme of RBI for reworking the financial structure of big corporate entities facing genuine difficulties.
(c) It is a disinvestment plan of the Government regarding Central Public Sector Undertakings.
(d) It is an important provision in 'The Insolvency and Bankruptcy Code' recently implemented by the Government.

Answer: **(b)** It is a scheme of RBI for reworking the financial structure of big corporate entities facing genuine difficulties.

7 · FINANCIAL INCLUSION 8 Prelims · 2 Mains

Prelims 2021

With reference to WaterCredit, consider the following statements :

1. It puts microfinance tools to work in the water and sanitation sector.
2. It is a global initiative launched under the aegis of the World Health Organization and the World Bank.
3. It aims to enable the poor people to meet their water needs without depending on subsidies.

Which of the statements given above are correct?

(a) 1 only
(b) 2 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(c)** 1 and 3 only

Prelims 2016

Regarding 'Atal Pension Yojana', which of the following statements is/are correct?

1. It is a minimum guaranteed pension scheme mainly targeted at unorganized sector workers.
2. Only one member of a family can join the scheme.
3. Same amount of pension is guaranteed for the spouse for life after subscriber's death.

Select the correct answer using the code given below.

(a) 1 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(c)** 1 and 3 only

Prelims 2016

Pradhan Mantri MUDRA Yojana is aimed at

(a) bringing the small entrepreneurs into formal financial system
(b) providing loans to poor farmers for cultivating particular crops
(c) providing pensions to old and destitute persons
(d) funding the voluntary organizations involved in the promotion of skill development and employment generation

Answer: **(a)** bringing the small entrepreneurs into formal financial system

MY NOTES

Prelims 2015

Pradhan Mantri Jan-Dhan Yojana has been launched for

(a) providing housing loan to poor people at cheaper interest rates
(b) promoting women's Self-Help Groups in backward areas
(c) promoting financial inclusion in the country
(d) providing financial help to marginalized communities

Answer: **(c)** promoting financial inclusion in the country

Prelims 2014

What is/are the facility/facilities the beneficiaries can get from the services of Business Correspondent (Bank Saathi) in branchless areas?

1. It enables the beneficiaries to draw their subsidies and social security benefits in their villages.
2. It enables the beneficiaries in the rural areas to make deposits and withdrawals.

Select the correct answer using the code given below:

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(c)** Both 1 and 2

Prelims 2012

The basic aim of Lead Bank Scheme is that

(a) big banks should try to open offices in each district
(b) there should be stiff competition among the various nationalized banks
(c) individual banks should adopt particular districts for intensive development
(d) all the banks should make intensive efforts to mobilize deposits

Answer: **(c)** individual banks should adopt particular districts for intensive development

Prelims 2011

Microfinance is the provision of financial services to people of low-income groups. This includes both the consumers and the self-employed. The service/services rendered under microfinance is/are:

1. Credit facilities
2. Savings facilities
3. Insurance facilities
4. Fund Transfer facilities

Select the correct answer using the code given below the lists:

(a) 1 only
(b) 1 and 4 only
(c) 2 and 3 only
(d) 1, 2, 3 and 4

Answer: **(d)** 1, 2, 3 and 4

MY NOTES

Prelims 2011

With reference to "Aam Admi Bima Yojana". Consider the following statements:

1. The member insured under the scheme must be the head of the family or earning member of the family in a rural landless household.
2. The member insured must be in the age group of 30 to 65 years.
3. There is a provision for free scholarship for up to two children of the insured who are studying between classes 9 and 12.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(c)** 1 and 3 only

Mains 2022 10 marks Market Economy & Financial Inclusion

Is inclusive growth possible under market economy? State the significance of financial inclusion in achieving economic growth in India.

KEYWORDS financial inclusion | market economy | inclusive growth | significance | economic growth

Mains 2016 12.5 marks Pradhan Mantri Jan-Dhan Yojana (PMJDY)

Pradhan Mantri Jan-Dhan Yojana (PMJDY) is necessary for bringing unbanked to the institutional finance fold. Do you agree with this for financial inclusion of the poorer section of the Indian society? Give arguments to justify your opinion.

KEYWORDS PMJDY | unbanked | financial inclusion | bank account | institutional finance | poorer section

8 · PRIORITY SECTOR LENDING (PSL) 2 Prelims · 0 Mains

Prelims 2019

The Service Area Approach was implemented under the purview of:

(a) Integrated Rural Development Programme
(b) Lead Bank Scheme
(c) Mahatma Gandhi National Rural Employment Guarantee Scheme
(d) National Skill Development Mission

Answer: **(b)** Lead Bank Scheme

Prelims 2013

Priority Sector Lending by banks in India constitutes the lending to:

(a) Agriculture
(b) micro and small enterprises
(c) weaker sections
(d) All of the above

Answer: **(d)** All of the above

MY NOTES

9 · TYPES OF BANKS AND FINANCIAL ENTITIES 9 Prelims · 0 Mains

Prelims 2024

With reference to the rule/rules imposed by the Reserve Bank of India while treating foreign banks, consider the following statements:

1. There is no minimum capital requirement for wholly owned banking subsidiaries in India.
2. For wholly owned banking subsidiaries in India, at least 50% of the board members should be Indian nationals.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(b)** 2 only

Prelims 2021

With reference to 'Urban Cooperative Banks' in India, consider the following statements:

1. They are supervised and regulated by local boards set up by the State Governments.
2. They can issue equity shares and preference shares.
3. They were brought under the purview of the Banking Regulation Act, 1949 through an Amendment in 1966.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(b)** 2 and 3 only

Prelims 2020

Consider the following statements:

1. In terms of short-term credit delivery to the agriculture sector, District Central Cooperative Banks (DCCBs) deliver more credit in comparison to Scheduled Commercial Banks and Regional Rural Banks.
2. One of the most important functions of DCCBs is to provide funds to the Primary Agricultural Credit Societies.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(b)** 2 only

MY NOTES

Prelims 2018

With reference to the governance of public sector banking in India, consider the following statements:

1. Capital infusion into public sector banks by the Government of India has steadily increased in the last decade.
2. To put the public sector banks in order, the merger of associate banks with the parent State Bank of India has been affected.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(b)** 2 only

Prelims 2017

What is the purpose of setting up of Small Finance Banks (SFBs) in India?

1. To supply credit to small business units
2. To supply credit to small and marginal farmers
3. To encourage young entrepreneurs to set up business particularly in rural areas.

Select the correct answer using the code given below:

(a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(a)** 1 and 2 only

Prelims 2016

The establishment of 'Payment Banks' is being allowed in India to promote financial inclusion. Which of the following statements is/are correct in this context?

1. Mobile telephone companies and supermarket chains that are owned and controlled by residents are eligible to be promoters of Payment Banks.
2. Payment Banks can issue both credit cards and debit cards.
3. Payment Banks cannot undertake lending activities.

Select the correct answer using the code given below.

(a) 1 and 2 only
(b) 1 and 3 only
(c) 2 only
(d) 1, 2 and 3

Answer: **(b)** 1 and 3 only

Prelims 2013

Which of the following grants/grant direct credit assistance to rural households?

1. Regional Rural Banks
2. National Bank for Agriculture and Rural Development
3. Land Development Banks.

Select the correct answer using the code given below:

(a) 1 and 2 only
(b) 2 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(c)** 1 and 3 only

MY NOTES

Prelims 2011

In India, which of the following have the highest share in disbursement of credit to agriculture and allied activities?

(a) Commercial Banks
(b) Cooperative Banks
(c) Regional Rural Banks
(d) Microfinance Institutions

Answer: **(a)** Commercial Banks

Prelims 2004

Consider the following statements:

1. The National Housing Bank the apex institution of housing finance in India, was set up as a wholly-owned subsidiary of the Reserve Bank of India
2. The Small Industries Development Bank of India was established as a wholly-owned subsidiary of the Industrial Development Bank of India

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(c)** Both 1 and 2

END OF CHAPTER · RECALL AND DRILL

RECALL SHEET: COVER THE RIGHT COLUMN AND ANSWER

Debt contract?	Money to be repaid with interest (loans, bonds).
Decision-facilitating intermediary?	Broker or stock exchange; SEBI regulates.
BIS and BCBS?	Bank for International Settlements; its Basel Committee on Banking Supervision issues Basel norms.
Are deposits capital?	No; they are pure liabilities.
CRAR?	Capital ÷ risk-weighted assets; RBI 9%, Basel 8%.
SMA-0 range?	1-30 days overdue.
When was SMA introduced and why?	2014: early warning because banks reset the clock on day 89.
Doubtful provision?	25% to 100%; NPA over 12 months.
Net NPA?	GNPA − provisioning.
Wilful default: three conditions?	Diversion of loan, diversion to another entity, fraudulent disposal of security.
4R?	Recognise, Recover, Recapitalise, Reform.

MY NOTES

GNPA 2015 versus stressed 2015?	4.6% versus 11.1% (PSBs 13.2%).
RDDB Act 1993?	Created DRT and DRAT.
IBC: who decides?	CoC (financial creditors vote, 2/3 by value).

Prelims trap · SMA is not yet an NPA

SMA-0, 1 and 2 are early red flags for 1 to 90 days overdue. A loan becomes an NPA only when overdue for more than 90 days. *Rule: 90+ days = NPA; sub-standard is up to 12 months, doubtful is more than 12 months.*

Prelims trap · Two different thresholds

The SARFAESI NBFC threshold is ₹100 Crore, while the SBR base layer limit is ₹1,000 Crore. The SFB ticket-size rule is worded 'majority' once and 'at least 50%' elsewhere. *Rule: SFB = 50%+ of loans under ₹25 L and 75% PSL; do not mix ₹100 Cr with ₹1,000 Cr.*

Handout alert · Provisioning 3% or 4%

The farmer example uses 3% provisioning for a 20% risk, but the table row P1 (also agri, 20% risk) uses 4%. The handout never reconciles them. *Rule: use the numbers in the question; remember the method: provisioning + 9% x (risk x loan).*

Handout alert · Three NPA numbers

The text says NPAs reached 18% in PSBs, then gives a PSB GNPA peak of 14.58%. It also says 'less than 2%' while the latest figure is 2.6% (Sept 2024). *Rule: quote 14.58% (PSB peak) and 2.6% (Sept 2024) with the month; treat 18% and 'below 2%' as loose.*

Handout alert · Recovery figures disagree

RDDB recovery is '~10%' in one place and '20-25%' in another. SARFAESI is '10-14%' and '25-30%'. IBC is around 45%, 40% and 31-32%. *Rule: quote the order (civil courts < DRT < SARFAESI < IBC); give a figure only if the question names its source.*

Handout alert · BBB, FSIB and the licence years

The BBB strike-down is dated '2023' and '2022/2023', and FSIB is expanded in two ways. Private licences are dated 1993, differentiated licences 2013 and 2015. *Rule: write FSIB (Financial Services Institutions Bureau); 2013-14 is policy, 2015 is when licences were granted.*

QUICK QUIZ

Q1. Which of these is an example of a decision-making intermediary, according to the handout?

1. Stock broker
2. Stock exchange
3. Bank
4. Depository

Q2. The minimum CRAR that RBI asks banks to maintain, per the handout, is...

1. 8%
2. 9%
3. 10.5%
4. 11.5%

MY NOTES

Q3. A loan overdue for 75 days is...

1. SMA-0
2. SMA-1
3. SMA-2
4. NPA

Q4. A loan that has remained NPA for 18 months is classified as...

1. Sub-standard
2. Doubtful
3. Loss
4. SMA-2

Q5. Net NPA equals...

1. GNPA + restructured assets
2. GNPA − provisioning
3. GNPA ÷ total loans
4. Loss assets only

Q6. Under SARFAESI Act, 2002, which cannot be seized?

1. Secured home loan collateral
2. Agricultural land
3. Industrial plant of a company
4. Pledged securities

Q7. In IBC, who has voting rights in the Committee of Creditors (as of now)?

1. Only operational creditors
2. Only financial creditors
3. Both equally
4. The promoters

Q8. The approval needed for a resolution plan in the CoC is...

1. Simple majority
2. 2/3 of creditors by credit value
3. 75% of promoters
4. Unanimity

Answers: Q1 c, Q2 b, Q3 c, Q4 b, Q5 b, Q6 b, Q7 b, Q8 b

MY NOTES

CHAPTER 8 · HANDOUT PP. 1-31

08 Money and Monetary Policy: Supply, Demand, Cost and Tools

HIGH PRIORITY Mains PYQs quoted: **2024**

Prelims PYQs: **2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023, 2024**

EXAM LENS

Prelims hooks

- properties of money
- legal tender in India (notes, coins, CBDC)
- representative versus fiat money
- seigniorage
- what M1-M4 include and exclude (vault cash, government deposits, post office deposits)
- NM1-NM3
- money multiplier factors
- CRR versus SLR
- repo versus reverse repo versus MSF
- the corridor
- MPC composition
- MCLR versus EBLR
- MSS, SDF, VRRR, LTRO, RDS

Mains hooks

- why trust matters
- why RBI buys only safe assets
- the growth-inflation trade-off and why central banks are better at fighting inflation
- the case for FIT and the MPC
- monetary transmission and why it was weak
- liquidity trap
- sterilisation and the impossible trinity

money is a promise; the RBI's job is to keep that promise adequate and trustworthy.

IN SIMPLE WORDS

- **Money** is anything most sellers will accept for real goods:
  - A **generally acceptable medium of exchange (GA-MOE)**. It runs on **trust**
  - Law only enforces acceptance
- Modern money is a **promise issued by the RBI**, backed by a promise from the government (**bonds**). The RBI earns **seigniorage** because its liabilities cost almost nothing.
- **Money supply = m x M0**. The RBI makes the base (M0)

MY NOTES

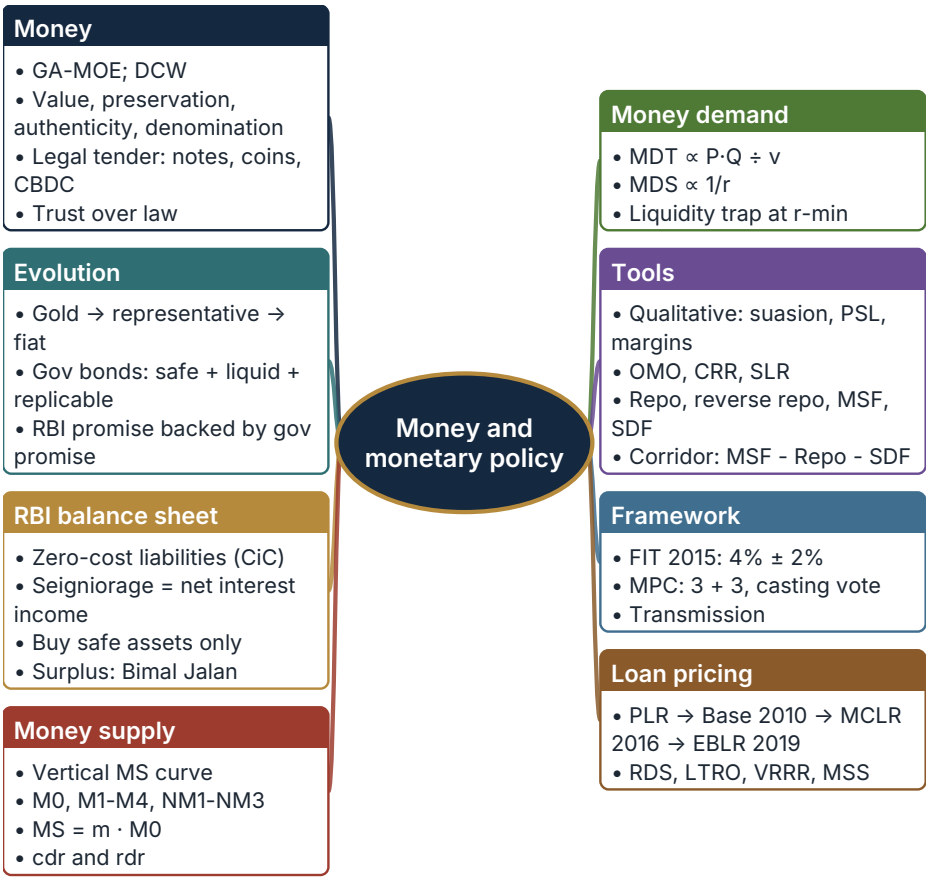
- Banks multiply it. More cash preference (**cdr**) or more reserves (**rdr**) shrinks the multiplier
- The **cost of money** (interest rate) comes from a **vertical supply curve** meeting a downward-sloping demand curve. At **r-min** a **liquidity trap** switches policy off.
- RBI uses **qualitative** tools (nudges) and **quantitative** tools (OMO, CRR, SLR, repo, reverse repo, MSF, SDF). The **corridor** is MSF (ceiling), repo, SDF (floor).
- **FIT 2015** fixes the goal at **4% +/- 2%**, set by a **6-member MPC**. Loan pricing moved **PLR, Base Rate, MCLR, EBLR** to improve transmission.

Key term	In plain words
GA-MOE	Generally acceptable medium of exchange: the definition of money.
Double Coincidence of Wants (DCW)	In barter you must find someone who has what you want and wants what you have.
Legal tender	A way of settling debt that a creditor cannot lawfully refuse; in India notes, coins and CBDC.
Representative money	Paper promises backed 1:1 by gold held in a vault.
Fiat money	Central bank promises backed by government bonds; the rupee is not a claim on gold.
Seigniorage	Net interest income on assets backing the currency, after printing costs.
High-powered money (M0)	Currency notes created by the central bank; the RBI's total liabilities.
Narrow and broad money	M1 and M2 are narrow; M3 and M4 are broad.
Money multiplier (m)	How much banks multiply M0 into total money supply: MS = m x M0.
cdr and rdr	Currency-deposit ratio and reserve-deposit ratio; the higher each is, the lower m.
Velocity (v)	How many times a unit of money changes hands in a period.
Liquidity trap	At r-min everyone holds cash, so more money supply does not lower rates or raise spending.
NDTL	Net demand and time liabilities: demand and time deposits less inter-bank deposits.
Monetary transmission	Whether banks pass RBI's rate decisions on to the real economy.
Sterilisation	Absorbing the rupees created by buying dollars; the MSS does this.

MY NOTES

Key term	In plain words
MIBOR	Mumbai Inter-bank Offered Rate; the standard call rate in the inter-bank market.

CHAPTER MAP



REMEMBER IT AS Money is trust. RBI makes the base, banks multiply it, and the tools and the corridor set what it costs.

EXAM LENS: WHAT THE HANDOUT STRESSES

SOURCE NOTE

Handout only. No class slides and no teacher ink. **No Prelims or Mains PYQ is quoted** in this handout: none quoted in the material. Priority below is the handout's own emphasis (starred "**" statements, worked examples, bonus boxes).

What the handout stresses

Signal in the handout	Where	Why it matters
Money = **Generally Acceptable Medium of Exchange (GA-MOE);** legal tender; **trust overrides law**	Sections 1-2	The idea behind the rest of the chapter
RBI balance sheet: zero-cost liabilities, **seigniorage,** buy only safe assets; surplus to government (**Bimal Jalan** committee)	Section 3	Starred statement

MY NOTES

Signal in the handout	Where	Why it matters
M0, M1-M4, and the new **NM1, NM2, NM3** (Y.V. Reddy Committee, 1998)	Section 4	Definitions and what is excluded
MS = m × M0; m falls with higher **cdr** and **rdr**	Section 5	Formulas
MD = MDT + MDS; MS is vertical; **liquidity trap** at r-min	Section 6	Concept plus graphs
Tools: **OMO, CRR, SLR, Repo, Reverse repo, MSF, Bank Rate, SDF;** corridor MSF-Repo-SDF	Section 8	Statements and ceiling/floor
FIT 2015: 4% ± 2%; **6-member MPC** (3 RBI + 3 external); Governor's casting vote	Section 9	Facts
Loan pricing: **PLR → Base Rate (2010) → MCLR (2016) → EBLR (2019)**	Section 10	Chronology
Recent tools: **RDS 2021, LTRO 2020, VRRR, SDF Apr 2022, MSS 2004**	Section 11	Current-affairs hooks

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: High. 31 Prelims and 1 Mains questions map to this chapter.

Most-asked topics: Tools of monetary policy (10 Prelims, 0 Mains); Some recent tools: the modern arsenal (6 Prelims, 0 Mains); Evolution of money: from gold to fiat (3 Prelims, 0 Mains).

Prelims years: 2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023, 2024. Mains years: 2024.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

START HERE: 60 SECONDS, KEY WORDS, NCERT MAP

THE WHOLE CHAPTER IN 60 SECONDS

- **Money**: a generally acceptable medium of exchange; trust beats law
- **Supply**: RBI makes base money (M0); banks multiply it: MS = m × M0
- **Demand**: transaction (with GDP) + speculative (against r)
- **Price of money**: the interest rate, where vertical MS meets falling MD
- **Tools**: qualitative nudges, quantitative levers, corridor MSF-Repo-SDF
- **Goal**: adequate and trustworthy money: growth vs inflation (FIT 4% ± 2%)

MY NOTES

Word	Meaning
Medium of exchange	the thing everyone accepts in a sale so that you need not find a perfect swap partner
Base money (M0)	the money the RBI itself creates (currency plus bank balances with it)
Money multiplier (m)	how many rupees of money the banking system builds on each rupee of M0
Reserve	the slice of deposits a bank keeps back and does not lend
Interest rate (r)	the price of holding or borrowing money
Liquidity	how quickly and cheaply something turns into spendable cash

📘 READ NCERT FIRST: WHERE EACH NCERT PART FITS THIS CHAPTER

NCERT part	Handout section	What it adds
3.1 Functions of money; cashless society	1, 2	Three functions of money; barter's three weaknesses; price level and purchasing power
3.2 Demand and supply of money; central bank; commercial banks	3, 4, 6	Central bank functions; HPM; spread; the goldsmith story
3.3 Money creation by the banking system	5	Bank balance sheet; CRR and SLR; the ₹100 → ₹500 worked example
3.4 Policy tools to control money supply	8	Lender of last resort; outright vs repo OMO; Bank Rate; the 25% example
Box 3.1 Demand and supply for money in detail	6, 7	k·T, velocity, bond price, MDS formula, liquidity trap
Measures of money supply (M1-M4)	4	NCERT's legal definitions, narrow vs broad
Box 3.2 Demonetisation	11	Nov 2016: aims, exchange limits, effects

MY NOTES

1 · WHAT MONEY IS, AND ITS FOUR PROPERTIES

🧠 **UNDERSTAND IT FIRST**

Imagine a village with no money. You have rice and want cloth, so you must find a weaver who wants rice at that same moment: a double coincidence. As the crowd grows this becomes hopeless. So the village agrees on one thing everybody will take in a sale. That thing is money. It only works if it is valuable, keeps its value, can be trusted as genuine, and can be split or added up to any price.

✏ **EXAMPLE**

The handout's own pictures: you cannot offer 10 L of water for 1 kg of wheat every time (value needs general demand and limited supply); an apple rots (so it cannot preserve value); tea is divisible, a house needs aggregation (denomination).

Money is a **generally acceptable medium of exchange (GA-MOE).** Barter needs a **Double Coincidence of Wants (DCW):** you must find someone who has what you want and wants what you have. As societies grow, DCW becomes "mathematically impossible". Almost anything can be a medium of exchange in an isolated barter; to be **money,** most sellers in the economy must be willing to part with real goods for it.

Properties of money (what makes something generally acceptable)

Property	Meaning
Value	It must have value itself: **intrinsic** (gold) or **fiat** (determined and enforced by a sovereign). It needs general demand **and limited supply** (you cannot offer 10 L of water for 1 kg of wheat all the time)
Preservation of value	The acceptor must trust it will keep its purchasing power. It should not rot (like an apple) and storing it should not be costly
Authenticity of value	The quality and quantity must be easy to verify; otherwise a trusted entity must assure it. That entity must be the **only** producer and be able to stop counterfeiting: the sovereign or **central bank**
Denomination of values	Divisible into small units (tea) and aggregable into large ones (a house). Not too rare, not infinitely abundant. This makes money a **unit of account**

📘 **FROM NCERT CLASS XII MACROECONOMICS, CH 3 · §3.1 FUNCTIONS OF MONEY**

In plain words: The handout told you what makes something money. NCERT tells you what money **does**: three jobs. Read this box first; the handout then reads faster.

MY NOTES

Link to the handout: Handout "Denomination of values" = unit of account; "Preservation of value" = store of value; money as medium of exchange = GA-MOE.

When is money needed at all?

- One person alone, or a family on an isolated island that does not trade, has no use for money. Money matters once two or more people trade through the market.
- Without money (barter) you need a **double coincidence of wants**. Example: a person with surplus rice wants clothing; she must find someone with surplus clothing who wants rice. Search costs "may become prohibitive" as the crowd grows. So an intermediate good acceptable to both sides is needed: money.

The three functions, each with NCERT's own example

Function	What it means	NCERT's example
Medium of exchange (principal role)	Sell for money, buy with money; no double coincidence needed	Sell rice for money, then buy cloth with it
Unit of account	All values expressed in one unit, so relative prices are easy to compute	Watch = ₹500; pencil ₹2, pen ₹10, so a pen = 10 ÷ 2 = 5 pencils
Store of value	Wealth carried forward to a future date	Rice is perishable and bulky; money is not perishable, cheap to store, accepted by anyone. Needs a stable price level; a rising price level erodes it

Purchasing power: the value of money itself

- If the price level rises, one rupee buys less of every commodity: the **purchasing power** of money has deteriorated.
- Other assets (gold, land, houses, bonds) also store value, but they are not easily convertible and lack universal acceptability.

VALUE OF ₹1 IN TERMS OF A GOOD

1 ÷ price of the good

pencil ₹2 → ₹1 = 0.5 pencil; pen ₹10 → ₹1 = 0.1 pen

Cashless society (NCERT's current-issue note)

- Transactions by transfer of digital information, not physical notes and coins.

MY NOTES

- India's push for financial inclusion: Jan Dhan accounts, Aadhaar-enabled payment systems, e-wallets, National Financial Switch (NFS); mobile and smartphone spread makes inclusion "a realistic dream".

⭐ **REMEMBER**

Money = acceptance. Four tests: Value, Preservation, Authenticity, Denomination.

🧠 **MEMORY AID · NCERT'S THREE FUNCTIONS OF MONEY (ORDER IS FREE)**

SUM

S Store of value	**U** Unit of account
M Medium of exchange	

Own memory aid (not from NCERT or the handout): money lets you SUM up value. See the NCERT box above.

2 · EVOLUTION OF MONEY: FROM GOLD TO FIAT

🧠 **UNDERSTAND IT FIRST**

Money began as gold you could hold. Today it is a promise: the central bank prints a note, and we accept it for two reasons, we trust the issuer and the law says a debt can be settled with it. Government bonds can stand in for gold because they are safe and liquid. The chain of promises runs: note ← central bank ← government ← its power to tax.

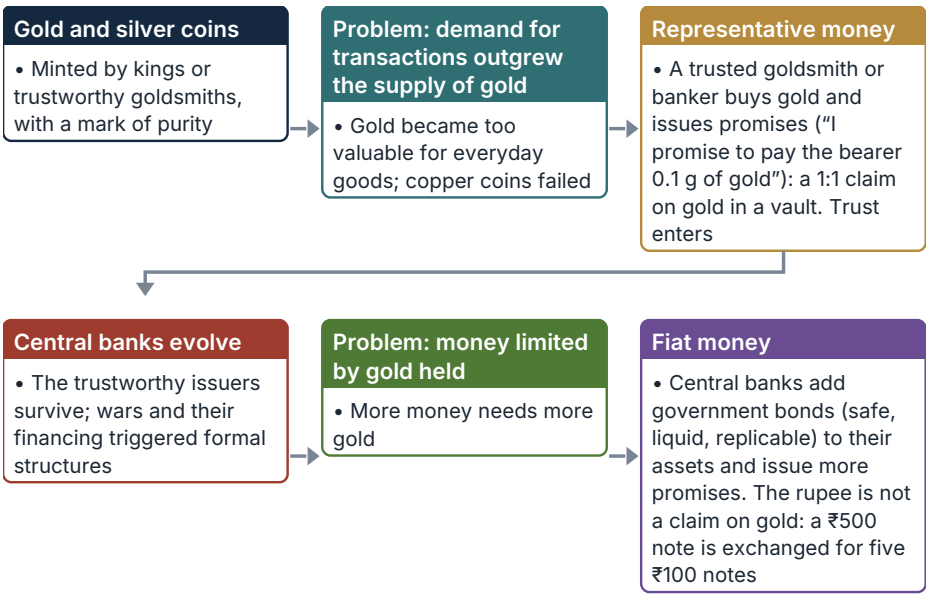
✏ **EXAMPLE**

The handout compares: gold and sovereign bonds are safe; one gram of gold and one share of a company are identical (liquid); land and diamonds are unique units (not replicable, thin market).

- **Modern money** is currency notes: **promises issued by the central bank,** accepted because of **(1) trust** in the issuer and **(2) legal necessity** (legal tender).
- **Legal tender:**
  - A legally mandated way of discharging debt that a creditor **cannot lawfully refuse.** In India, only **currency notes, coins and CBDC** have this status. Legal tender laws do not create value
  - They enforce acceptance for settling a debt. **"Trust always overrides Law in the long run."**

MY NOTES

FROM GOLD TO FIAT (THE HANDOUT'S STORY)



Why government bonds can stand in for gold

Criterion	Meaning	Examples
Safe	Retains value over the long term, not volatile	Gold; sovereign bonds (the government is the least-risk entity in its own country as it can tax)
Liquid	Many buyers and sellers, so no distress sale or large premium. Needs **replicability**	Gold (one gram is like another); shares of one company (each share is identical)
Not replicable	Each unit unique, thin market	Land, diamonds

A **bond** is a debt instrument. For the issuer it is a **liability;** for the buyer an **asset** paying a **coupon** on the **face value** until **maturity.** When the central bank buys government bonds it **creates new money** (digitally today). So **modern money is a promise issued by the central bank, backed by a promise issued by the government,** which in turn rests on its future ability to collect taxes.

📘 FROM NCERT CLASS XII MACROECONOMICS, CH 3 · §3.2.2 AND MEASURES OF MONEY SUPPLY

In plain words: Why do we accept a ₹100 note when the paper is worth almost nothing? NCERT's answer is the same as the handout's: trust in the issuer. It also adds a clean test for what is and is not legal tender.

Link to the handout: Handout: "modern money is a promise issued by the central bank"; legal tender = a creditor cannot lawfully refuse it.

MY NOTES

Where a note gets its value

- The paper in a ₹100 note, or the metal in a ₹5 coin, is worth far less than its face value. Value comes from the **guarantee of the issuing authority**.
- Every note carries the Governor's promise: the RBI will be responsible for giving purchasing power equal to the value printed.

Fiat money and legal tender: the test

- Fiat = no intrinsic value (unlike a gold or silver coin). Legal tender = no citizen can refuse it to settle any transaction.

Item	Fiat money?	Legal tender? (cannot be refused)
Currency notes (issued by the RBI)	Yes	Yes
Coins (issued by the Government of India)	Yes	Yes
Cheque on a savings or current account (demand deposit)	No (it is a bank liability)	**No**: anyone may refuse a cheque

NCERT differs: NCERT's legal tender covers notes and coins only. The handout adds CBDC. Use the handout list (notes, coins, CBDC) in the exam. (*handout/teacher wins in class*)

⭐ REMEMBER

Legal tender forces acceptance for debt; it does not create value. Trust always overrides law.

3 · THE RBI'S BALANCE SHEET, SEIGNIORAGE AND THE SOCIAL CONTRACT

🧠 UNDERSTAND IT FIRST

Read the RBI's balance sheet like a shop's ledger with a very lucky owner. Its liabilities (notes, bank balances) cost almost nothing, while its assets (gold, bonds, foreign assets) earn or appreciate. So it makes big profits, but profit is a by-product. Its real duty is to hold only the safest assets, because if its assets ever fall below its promises, people stop trusting the money.

MY NOTES

✏ EXAMPLE

Handout's example: RBI earns 7% on government bonds, pays 0% on a ₹500 note, printing costs about ₹1.2-1.3 a note. The bitcoin case: bought for ₹10 L, falls to ₹5 L, liabilities stay ₹10 L, so liabilities exceed assets and trust is lost.

📐 Formulas of this section

BASE MONEY (M0)

M0 = RBI's total liabilities

currency in circulation + bank deposits + government deposits + provisions

SEIGNIORAGE

interest earned on assets − printing cost

example: 7% on bonds − 0% on a ₹500 note, minus ≈ ₹1.2-1.3 printing cost

RBI's balance sheet (as the handout sets it out)

Assets (what RBI owns)	Liabilities (what RBI owes)
1 · Appreciating assets (no interest, capital gains): physical gold; foreign currency assets (FCA)	**1 · Zero-cost liabilities:** Currency in Circulation (CiC), cost only printing and logistics, interest 0%
2 · Interest-bearing assets: rupee securities (domestic government bonds); foreign government bonds; loans and advances to commercial banks (LAF/repo)	**2 · Low or zero-cost:** bank deposits (CRR balances, interest 0%); government deposits (Centre and States)
	3 · Accounting provisions and buffers: CGRA (Currency and Gold Revaluation Account: unrealised gains on gold and forex); Contingency Fund (CRB)
Total assets	**Total liabilities = Base Money (M0)**

- RBI creates money by **buying assets** and printing promises. Its assets appreciate or earn interest, and its liabilities cost almost nothing, so it earns large profits.
- **Seigniorage** is the **net interest income** earned on assets backing the currency. Example: RBI earns **7%** on government bonds but pays **0%** on a ₹500 note. The spread minus printing costs is true seigniorage. (Printing costs about ₹1.2-1.3 per note.)
- **Profit is incidental, not intentional.** RBI must buy only the **highest-quality, least-risk** assets so it can always discharge its liabilities. If it bought a volatile asset (the handout's bitcoin example: bought for ₹10 L, value falls to ₹5 L, liabilities stay ₹10 L) liabilities exceed assets, trust is lost and society looks for another GA-MOE. That is the **social contract of modern money.**

MY NOTES

- After costs, RBI transfers the surplus to the government under the **Economic Capital framework recommended by the Bimal Jalan committee,** setting aside some profits for potential losses.

📘 **FROM NCERT CLASS XII MACROECONOMICS, CH 3 · §3.2.2 CENTRAL BANK**

In plain words: Before the RBI's balance sheet, know what the RBI does for a living. NCERT lists the jobs; the handout then explains the money-making side of one of them (issuing currency).

Link to the handout: The currency the RBI issues is its liability (handout, "zero-cost liabilities"); NCERT calls this base "high-powered money".

NCERT's list of central bank functions (India: RBI, set up 1935)

#	Function	In one line
1	Issues the currency	Notes held by the public or by commercial banks
2	Controls money supply	Bank rate, open market operations, variations in reserve ratios
3	Banker to the government	
4	Custodian of foreign-exchange reserves	
5	Bank to the banking system	Including **lender of last resort** (section 8)

High-powered money, three names

- Currency issued by the central bank (held by the public or banks) = **high-powered money** = **reserve money** = **monetary base**, because it is the basis for credit creation.
- From the money-supply point of view, the function to focus on is the issue of currency. RBI is "the only institution which can issue currency".

⭐ **REMEMBER**

Seigniorage = interest on assets that back a zero-cost promise. RBI buys only the safest assets.

MY NOTES

4 · MONEY SUPPLY AND ITS MEASURES

🧠 **UNDERSTAND IT FIRST**

Money is not one number. M0 is what the RBI creates. Then we widen the net step by step: M1 is the most spendable money (cash plus demand deposits), M2 adds post-office savings, M3 adds time deposits with banks, M4 adds all post-office deposits. As you go down the ladder, money becomes less liquid. The supply curve is vertical because a monopoly central bank prints for adequacy and trust, not for the interest it could earn.

✏ **EXAMPLE**

The handout's reason for the new aggregates: a 14-day FD and a 10-year FD were both "time deposits" in M3 although the first is nearly cash. So the Reddy Committee (1998) moved to maturity: NM1, NM2 (up to 1 year), NM3 (also over 1 year).

📐 Formulas of this section

M1 (NARROW)
M1 = CC + DD + "Other" deposits with RBI
cash with the public + demand deposits

M2 (NARROW)
M2 = M1 + P.O. demand deposits

M3 (BROAD)
M3 = M1 + TD with banks
the handout's most important metric for RBI

M4 (BROAD)
M4 = M3 + post-office deposits (DD, TD, other)

NM1
NM1 = CC + DD + other deposits with RBI
practically the old M1

NM2
NM2 = NM1 + short-term TD (up to 1 year)

NM3
NM3 = NM2 + long-term TD (over 1 year) + call/term funding
Y.V. Reddy Committee, 1998

Modern money has two forms: **(i) currency notes** created by the central bank (**high-powered money**) and **(ii) deposits** created by the banking system. RBI controls both and is a **monopolistic producer.**

MY NOTES

WHY THE MONEY SUPPLY CURVE IS VERTICAL

For an ordinary good supply rises with price because **(a)** new producers enter and **(b)** existing producers earn more. For money: **(1)** RBI is a monopoly, so no one else can enter; **(2)** RBI's objective is **adequacy and trustworthiness,** not profit, so higher interest earnings do not make it print more. So **MS is independent of its price (the interest rate):** the curve is a **perfectly vertical line,** perfectly inelastic to the interest rate.

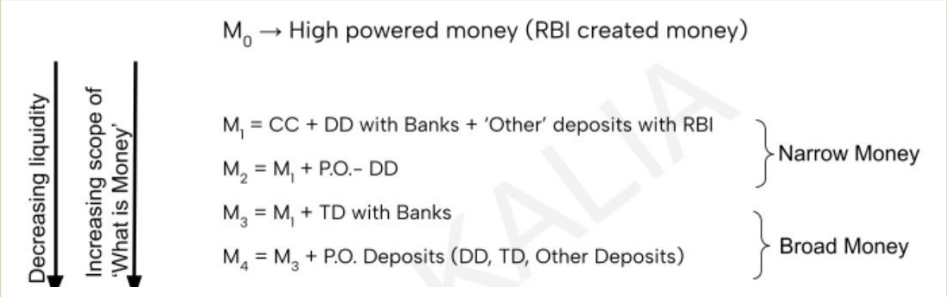


Figure. The handout's ladder of money measures. M0 = high-powered money (RBI-created). M1 = CC + DD with banks + "Other" deposits with RBI. M2 = M1 + post-office demand deposits (P.O.–DD). M3 = M1 + time deposits (TD) with banks. M4 = M3 + post-office deposits (DD, TD, other deposits). M1 and M2 are narrow money; M3 and M4 broad money. Liquidity decreases and the scope of "what is money" increases going down.

Terms in the measures

Term	Meaning and what is excluded
CC	Currency in circulation **with the public. Vault cash with banks is excluded**
DD	Demand deposits of the public with the banking system, as liquid as cash. **Inter-bank deposits are not counted**
"Other" deposits with RBI	A tiny fraction: foreign central banks, the IMF, quasi-government institutions (like NABARD). **Strictly excludes the Government of India's deposits** because the government is the producer/manager of money; MS measures what the public holds
TD	Time deposits: available at specific points of time, less liquid than DD. The handout calls it the **most important metric for RBI** (stable capital base for long-term loans)
PO deposits	Deposits with post offices. Not part of the banking payment and settlement system. Long-term products (e.g. National Savings Certificate) are not redeemable before maturity, so they lose the character of money and are not in M1-M3

BONUS: THE NEW AGGREGATES (Y.V. REDDY COMMITTEE, 1998)

Why: after 1991 banks innovated; **post offices lost relevance** as banks spread to rural areas; and the **time maturity blur:** a 14-day FD and a 10-year FD were both "time deposits" in M3, though the first is nearly cash. RBI moved from **who holds money** to **time (liquidity).**

MY NOTES

The new monetary aggregates

Aggregate	Definition
NM1 (new narrow money)	Currency with the public + demand deposits + other deposits with RBI (practically identical to old M1)
NM2	NM1 + **short-term** time deposits of residents (**up to and including 1 year**)
NM3 (new broad money)	NM2 + **long-term** time deposits of residents (**over 1 year**) + call/term funding from financial institutions

📘 **FROM NCERT CLASS XII MACROECONOMICS, CH 3 · MEASURES OF MONEY SUPPLY (END OF CHAPTER) AND APPENDIX 3.2, 3.3**

In plain words: M1 to M4 is a ladder: start at money you can spend instantly and keep widening the net. NCERT gives its own version of each rung; the handout's ladder wins in class, so read NCERT's version only to recognise it if a question quotes it.

Link to the handout: Handout formulas are in the card above. Money supply (MS) is a **stock**: how much the public holds at one moment.

NCERT's legal definitions (use for recognition)

- CU = currency (notes plus coins) held by the public. DD = net demand deposits held by commercial banks.
- "Net" means only the public's deposits count. Interbank deposits (one bank's deposit in another) are **not** part of money supply.
- Demand deposits (savings, current) are payable on demand; time deposits (e.g. fixed deposits) have a fixed maturity.
- M1, M2 = narrow money. M3, M4 = broad money. Decreasing order of liquidity: M1 most liquid, M4 least.

M1 (NARROW)
CU + DD

M2 (NARROW)
M1 + savings deposits with Post Office savings banks

M3 (BROAD)
M1 + net time deposits of commercial banks
most commonly used; "aggregate monetary resources"

M4 (BROAD)
M3 + total deposits with Post Office savings organisations (excl. NSC)

MY NOTES

What the data show (Appendix 3.2, RBI Handbook 2024-25), in ₹ crore

- NCERT's note: the difference between the two columns is the time deposits held by commercial banks. Broad money has grown much faster than narrow money.

Year	M1 (narrow)	M3 (broad)	M3 − M1 = time deposits (worked out here)
1999-00	3,41,796	11,24,174	7,82,378
2009-10	14,89,268	56,02,698	41,13,430
2019-20	41,25,948	1,67,99,963	1,26,74,015
2024-25	65,84,081	2,72,86,589	2,07,02,508

What the base (M0) is made of: Appendix 3.3, 2023-24, ₹ crore

- Reading the table: currency with the public = currency in circulation minus cash that banks themselves hold. NCERT's 2024-25 row does not add up as printed (3,724,448 − 9,396 ≠ 3,630,751), so use the 2023-24 row.

Component	₹ crore
Currency in circulation	35,11,461
− Cash with banks	1,01,185
= Currency with the public	34,10,276
+ Other deposits with RBI	94,536
+ Bankers' deposit with the RBI	10,25,449

NCERT differs: NCERT M1 = CU + DD only. The handout's M1 also includes "Other" deposits with RBI. Handout wins for class. (*handout/teacher wins in class*)

NCERT differs: NCERT M2 adds "savings deposits with Post Office savings banks"; the handout says post-office demand deposits. NCERT M4 adds total post-office deposits; the handout lists DD, TD and other. Learn the handout ladder. (*handout/teacher wins in class*)

⭐ **REMEMBER**

M1/M2 narrow, M3/M4 broad. Down the ladder: less liquid, wider net. MS is vertical.

MY NOTES

5 · MONEY CREATION BY BANKS: THE MULTIPLIER

🧠 **UNDERSTAND IT FIRST**

The RBI puts base money into the system. A seller keeps some as cash and deposits the rest; the bank keeps a reserve and lends the rest; the borrower spends it and the receiver again keeps some cash and deposits the rest. Each round is smaller, so the chain stops. A higher cash habit (cdr) or a higher reserve (rdr) means a shorter chain and a smaller multiplier.

✏ **EXAMPLE**

The handout's story: depositors may withdraw everything but banks reserve only for "normal" demand; left alone, banks push the reserve towards zero (reserves give 100% liquidity and 0% profit), so RBI fixes a minimum, the CRR: "the legal enforcement of trust".

📐 Formulas of this section

MONEY SUPPLY

MS = m × M0

M0 = high-powered money; m = money multiplier

CDR

cdr = cash ÷ deposits

m, MS ∝ 1 ÷ cdr

RDR

rdr = reserves ÷ deposits

m, MS ∝ 1 ÷ rdr

RBI injects **M0** by buying assets from primary dealers. The seller keeps part as cash (**cash preference**) and deposits the rest. The bank keeps a **reserve** and lends the rest. The borrower spends it, the receiver again keeps some cash and deposits the rest, and so on. Each round creates less than the last (cash preference and reserves), so the cycle halts. The handout points to **NCERT Macroeconomics** for the full explanation.

FORMULA

MS = m · M0 where M0 is high-powered money, m the money multiplier, MS total money supply.

MY NOTES

The two factors behind the multiplier

Ratio	Meaning	Effect on m and MS
cdr (currency-deposit ratio) = cash ÷ deposit	People's preference for cash over deposits. Depends on culture (saving versus spending), access to banking, season (more cash in festivals), black money and tax laws	More cash preference, less deposited and lent: **m, MS ∝ 1/cdr**
rdr (reserve-deposit ratio) = reserves ÷ deposits	Proportion of deposits banks set aside and cannot lend	Higher rdr, fewer cycles: **m, MS ∝ 1/rdr**

- **Reserves and trust:** depositors have a right to withdraw everything, but banks can assess "normal" demand and reserve for it. Reserves are costly (**liquidity versus profitability:** reserves give 100% liquidity and 0% profit), so banks left alone push rdr towards zero, risking **bank runs.**
- Without trust no one deposits and no multiplication happens
- The banking system also **amplifies the reach** of money. So RBI sets a minimum: the **legal reserve ratio (LRR)** in general, the **CRR** in India. MS is therefore seen as depending mainly on the reserve ratio
- **"The CRR is the legal enforcement of trust."** A free market cannot self-regulate bank reserves.

📘 **FROM NCERT CLASS XII MACROECONOMICS, CH 3 · §3.2.2 AND §3.3 BANKS AND MONEY CREATION**

In plain words: This is the one chapter section where the teacher said "read NCERT". The idea: a bank lends out most of what you deposit, the borrower deposits it again, and the chain multiplies money. NCERT shows it with a story, a balance sheet and a table. Read in this order: bank job → Lala's story → balance sheet → the table → the formula.

Link to the handout: NCERT assumes no cash is kept by the public (M1 = 0 + deposits), so only the reserve ratio matters. That is the handout's m ∝ 1/rdr case (cdr = 0).

1 · What a commercial bank does (NCERT Q7)

- Accepts deposits from the public; lends part of the funds to those who want to borrow (home loans, crop loans).
- Earns the **spread**: interest paid to depositors is lower than interest charged to borrowers.
- Depositors come for interest and safety; a demand deposit with cheques and debit cards makes big payments convenient.

MY NOTES

- Survival rule: a bank must lend as much as it can for profit, but keep enough to repay any depositor on demand. Depositors stay only if fully confident of getting money back.

2 · Lala the goldsmith: money out of thin air

- Lala has "created money out of thin air". A modern bank works the same way: **when a bank lends, a new deposit is opened in the borrower's name**, so money supply rises by the new deposit.

Step	What happens	Receipts (money) out-standing
1	Villagers keep 100 kg of gold with Lala and get paper receipts; receipts start circulating as money	100 kg
2	Ramu asks for a loan of 25 kg. Lala bets not everyone will withdraw at once, and lends	100 kg (+25 kg lent)
3	Ramu pays Ali with the 25 kg; Ali deposits it with Lala for a receipt	**125 kg**

3 · The bank's balance sheet

ASSETS
Reserves + Loans
Reserves = deposits with RBI + the bank's cash

LIABILITIES
Deposits
what the bank owes to depositors

NET WORTH
Assets − Liabilities
both sides must balance

Table 3.1 (start)	Assets	Liabilities
	Reserves ₹100	Deposits ₹100
	Net worth ₹0 (balance)	
Total	₹100	₹100

4 · CRR and SLR in NCERT's words

- **CRR**: the percentage of deposits a bank must keep as cash reserves. Fixed by the RBI so that no bank is "over lending"; legally binding.
- **SLR**: apart from CRR, banks must keep some reserves in liquid form in the short term.

MY NOTES

- At CRR 20%, deposits of ₹100 force the bank to keep ₹20 and lend only ₹80: the reserve requirement is the limit to credit creation.

5 · The multiplier, round by round (CRR = 20%, one bank, no cash with the public)

- Why 180 in round 2: the ₹80 loan comes back as a deposit (100 + 80). Reserve needed is 20% of 180 = ₹36, so the bank can lend ₹64 (the original ₹100 of cash minus ₹36).
- The chain stops when required reserves reach ₹100, the cash the bank actually has: that is at deposits of ₹500 (20% of 500 = 100).
- Final balance sheet (Table 3.3): Reserves ₹100; Loans ₹400 | Deposits ₹500. M1 = 0 + 500 = ₹500, up from ₹100.

MONEY MULTIPLIER
1 ÷ CRR
NCERT: 1 ÷ 20% = 1 ÷ 0.2 = 5 (arithmetic)

DEPOSITS CREATED
multiplier × reserves
5 × ₹100 = ₹500

Round	Deposits at start	Required reserve (20%)	Loan made
1	100	20	80
2	180 (100 + 80 re-deposited)	36	64
3, 4, ...	keeps rising	keeps rising	keeps shrinking
Last	**500**	**100**	**400**

Sum of the chain (NCERT Appendix 3.1)

INFINITE GEOMETRIC SERIES
S = a ÷ (1 − r)
for 0 < r < 1; derived by S − rS = a

NCERT differs: NCERT says reserves are kept partly as cash and partly in bonds and treasury bills issued by the RBI. The handout keeps CRR as cash with the RBI and SLR as gold and G-secs. Handout wins. (*handout/teacher wins in class*)

NCERT differs: NCERT Appendix 3.1 proves S = a ÷ (1 − r), but its printed numbers (r = 0.4, answer 5/3) do not match the chapter's 20% case (multiplier 5). Use 5 for the example; take only the formula from the appendix. (*handout/teacher wins in class*)

MY NOTES

⭐ REMEMBER

MS = m × M0. m falls when cdr rises or rdr rises: m, MS ∝ 1/cdr and 1/rdr.

6 · DEMAND FOR MONEY

🧠 UNDERSTAND IT FIRST

People hold money for three reasons: to spend now and in emergencies (transaction), and to protect wealth when they expect assets to lose value (speculative). Transaction demand grows with the size of the economy (P·Q) and falls if money circulates faster. Speculative demand depends on what you expect interest rates to do. When rates are very low everyone expects them to rise, so everyone hoards cash: the liquidity trap.

✏ EXAMPLE

Handout: a ₹100 note changing hands 10 times a month carries ₹1,000 of transactions (v = 10). With v = 5 you need ₹200 for the same ₹1,000. Bond case: hold a 5% bond, RBI lifts market rates to 8%, nobody wants your 5% bond, so its price must fall.

📐 Formulas of this section

TOTAL MONEY DEMAND

$$MD = MD_T + MD_S$$

transaction + speculative

TRANSACTION DEMAND

$$MD_T \propto V_T \propto P{\cdot}Q$$

V_T = value of transactions; P·Q = nominal GDP

WITH VELOCITY

$$MD_T \propto P{\cdot}Q \div v$$

v = ₹1,000 ÷ ₹100 = 10 per month (handout)

SPECULATIVE DEMAND

$$MD_S \propto 1 \div r$$

r high → MDS falls; r = r-min → ∞

Money is demanded for three purposes: **transaction** (now), **precautionary** (emergencies, potential future transactions) and **speculative** (to preserve the value of wealth). The handout combines the first two as **transaction demand (MDT).**

- **MDT ∝ VT** (total value of transactions). **VT ∝ P · Q,** so **VT ∝ nominal GDP.**

MY NOTES

- **Velocity (v)** is how many times money changes hands in a period. A ₹100 note changing hands 10 times a month carries ₹1,000 of transactions, so v = 10 per month
- With v = 5, ₹200 is needed for the same ₹1,000. So **MDT ∝ 1/v,** and **MDT ∝ P·Q ÷ v** (with v constant, MDT ∝ P·Q)
- Velocity depends on spending habits, culture, season (festivals), and the payments system.

SPECULATIVE DEMAND (MDS)

If people expect asset prices to fall, they keep money; if to rise, they hold assets. Expectations depend on the expected move in the **interest rate (r).**

Interest rate, expectations and speculative demand

Cur-rent r	What people expect	Asset prices expected	Rational action	MDS
High	r will fall (money cheaper, more borrowing and spending)	Rise	Buy assets (use money)	**Falls**
Low	r will rise (money dearer, less demand)	Fall	Keep money; sell assets	**Rises**

> **BOND PRICES AND INTEREST RATES ARE INVERSELY RELATED**
> The handout's example: hold a bond paying 5%, RBI raises market rates to 8%, nobody wants the 5% bond, so you must cut its price. **Rising interest rates crush the value of existing assets.**

The two extremes of r

Point	Meaning	Result
r-max	The rate at which no one expects it to rise any further, so everyone expects assets to rise and wants to buy	No one sells; money stays in money form but is **not speculative.** Speculative demand is **zero.** So as r rises, MDS keeps falling
r-min	The rate at which no one expects it to fall further, so everyone expects assets to fall and wants to sell	All money beyond transaction needs is speculative. **MDS is infinitely elastic at r = r-min**

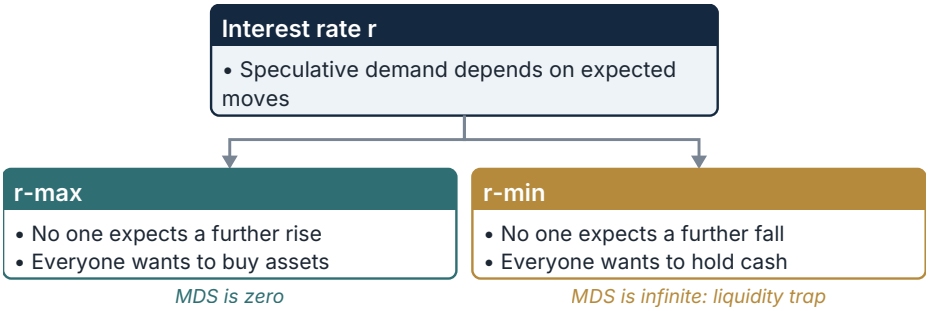
So **MDS ∝ 1/r,** and **MD = MDT + MDS** (total demand is transaction plus speculative). MD is directly proportional to **nominal GDP (P·Q)** and inversely to **r:** the **money demand curve slopes downward.**

> **LIQUIDITY TRAP**
> At **r = r-min** everyone holds wealth in cash (MDS = ∞). People prefer cash to investing or spending because they expect interest rates to

MY NOTES

rise. **An increase in money supply does not lower interest rates or raise spending, so monetary policy loses its power.**

LIQUIDITY TRAP: THE TWO ENDS OF THE INTEREST RATE



📘 FROM NCERT CLASS XII MACROECONOMICS, CH 3 · §3.2.1 AND BOX 3.1 DEMAND FOR MONEY

In plain words: Why does anyone hold money when a bank pays interest? Two reasons: you need cash to spend (transaction), and you may wait in cash when you fear bonds will lose value (speculative). Read the four small steps below in order: each has a tiny story and one formula.

Link to the handout: Handout MDT ∝ P·Q ÷ v is NCERT's MDT = k·P·Y with v = 1/k (same thing). Handout MDS ∝ 1/r is NCERT's MDS formula below. NCERT counts two motives; the handout folds "precautionary" into transaction.

Step 1 · Liquidity preference and its price

- Demand for money balances = **liquidity preference**. Money is the most liquid asset: universally acceptable, easy to swap for goods.
- But money has an **opportunity cost**: the interest you could earn (say, in a fixed deposit). You trade liquidity against forgone interest.
- Plain rule (§3.2.1): higher income → more transactions → more money demanded. Higher interest rate → people hold less money → money demand falls.

Step 2 · Transaction demand: the salary story

- One person: average cash held = half the monthly income; transactions made = ₹100. Two-person economy: money used = ₹100 but transactions = ₹200 (firm sells ₹100 of output; worker sells ₹100 of services).
- Each rupee changes hands **twice**: the number of times a unit of money changes hands in a period is the **velocity of circulation**.

MY NOTES

- MDT is a **stock** (money people wish to hold); T is a **flow**; v has the time dimension.

TRANSACTION DEMAND
$MD_T = k \cdot T$
T = nominal value of transactions; k a positive fraction

VELOCITY
$v = 1 \div k$
example: k = ½, v = 2

VELOCITY FORM
$v \cdot MD_T = T$
money × turns = transactions

LINK TO GDP
$MD_T = k \cdot P \cdot Y$
P = price level (GDP deflator); Y = real GDP

	Day 1 of month	Last day	Average balance
Worker (earns ₹100, spends evenly)	₹100	₹0	(100 + 0) ÷ 2 = **₹50**
Firm (receives ₹100 back)	₹0	₹100	₹50

Step 3 · Bond price story: why interest rate and bond price move opposite

- "Bond" = any paper promising future money, issued by governments or firms. Example bond: face value ₹100, 2 years, coupon 10% (pays ₹10 after year 1, ₹10 + ₹100 after year 2).
- Compare with a savings account at 5%: how much money in the bank gives ₹10 after one year, and ₹110 after two? Add the two = **present value (PV)**.

PRESENT VALUE OF THE BOND
$10 \div (1 + r) + 110 \div (1 + r)^2$
r = market rate as a fraction (values worked out here): r = 0.05 → 109.29; r = 0.06 → 107.33

Market interest rate	PV of the bond (its fair price)	Compared with face value ₹100	What happens
5%	**₹109.29** (approx.)	Higher	Bond looks attractive; people rush; bidding raises its price until price = PV
6%	**₹107.33** (approx.)	Still higher, but lower than at 5%	Rate up ⇒ bond price down: inverse relation

MY NOTES

Step 4 · From bond fears to cash hoarding (speculative demand)

- If you expect the rate to rise (say settle at 8% when it is 5%), you expect bond prices to fall: a **capital loss**. So you sell bonds and hold money.
- **High r**: everyone expects it to fall, so expects capital gains, so holds bonds: speculative demand for money is **low**. **Low r**: everyone expects a rise, expects capital loss, holds money: demand is **high**.

SPECULATIVE DEMAND

$$MD_S = (r_{max} - r) \div (r - r_{min})$$

r_{max}, r_{min} = upper and lower limits of r (positive constants)

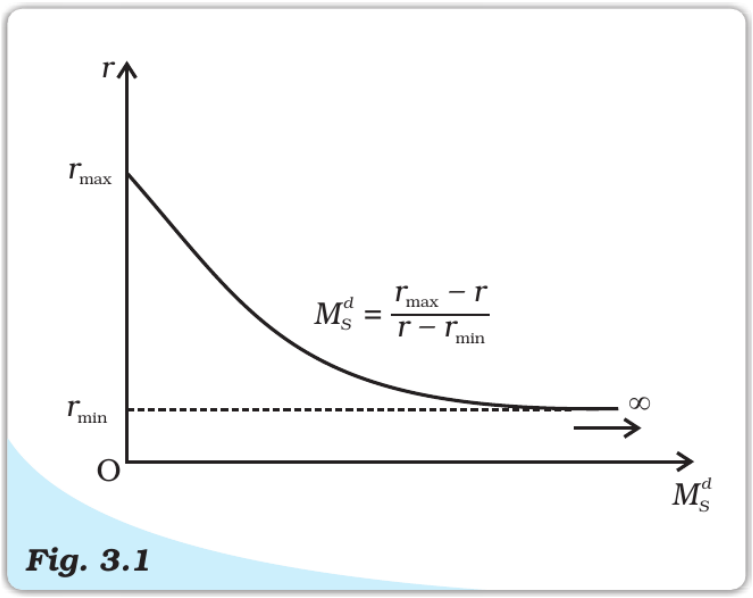
TOTAL MONEY DEMAND

$$MD = k \cdot P \cdot Y + (r_{max} - r) \div (r - r_{min})$$

transaction part ∝ real GDP and price level; speculative part falls as r rises

Where r stands	MDS value	Meaning
r = r-max	0	Everyone has put speculative money into bonds
r falls from r-max towards r-min	rises from 0	More and more people expect capital loss
r = r-min	∞	Liquidity trap: everyone holds money; speculative demand infinitely elastic

MY NOTES



NCERT Fig. 3.1, original: speculative demand for money. r on the vertical axis; the curve falls from r-max and flattens towards r-min, where MDS goes to ∞ (the arrow). How to read: lower r, more money held for speculation.

NCERT differs: The handout lists three purposes (transaction, precautionary, speculative); NCERT has two. For the exam, write the handout's three. *(handout/teacher wins in class)*

⭐ **REMEMBER**

MD = MDT + MDS. MDT ∝ P·Q ÷ v. MDS ∝ 1/r. Bond price and interest rate move opposite. r-min = liquidity trap.

7 · THE COST OF MONEY AND THE DUAL MANDATE

🧠 **UNDERSTAND IT FIRST**

Supply is a fixed vertical line set by the RBI; demand slopes down with cost. Where they cross is the interest rate. So the RBI can steer the interest rate by moving supply. Too little money chokes growth; too much money makes people doubt the money itself. Every move has a good and a bad side: that is the dual mandate.

✏ **EXAMPLE**

Handout: if growth falls, increase supply, r falls, spending and AD rise. If money is too plentiful, cut supply, r rises, AD falls, prices cool.

MY NOTES

📐 Formulas of this section

INTEREST RATE

r0 is where vertical MS = falling MD

handout figure, section 7

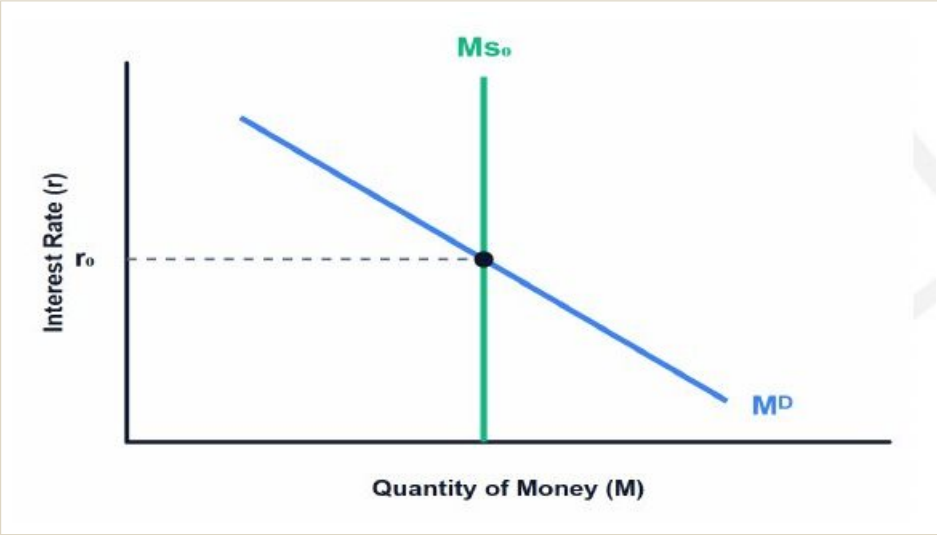


Figure. Interest rate set by demand and supply of money: a vertical money supply curve (set by the central bank) meets the downward-sloping money demand curve MD at the interest rate r0.

- The central bank sets supply (independent of cost)
- Demand varies inversely with cost. Together they set the **interest rate.** Monetary policy aims at the twin objectives of **adequacy and trustworthiness.**
- **Inadequate money** (growth falls): increase supply, r falls, spending and AD rise, growth revives.
- **Too much money:** people doubt the quality of RBI's assets, and money loses purchasing power (a sign of lost trust). Cut supply, r rises, AD falls, prices cool.
- **Dual mandate:** each action has one good and one bad effect. This is the **growth-inflation trade-off** in monetary policy.

📘 FROM NCERT CLASS XII MACROECONOMICS, CH 3 · BOX 3.1 (LAST PART)

In plain words: This is the link between the money you see (supply) and the interest rate. NCERT adds the actual chain of events behind "more money lowers the interest rate".

Link to the handout: Handout section 7 figure: vertical MS meets falling MD at r0. NCERT explains the arrow of cause behind it.

Why extra money pushes the interest rate down

- The interest rate is the "price" of holding money balances, so it comes down as supply rises.

MY NOTES

- NCERT's chapter summary: RBI regulates money supply by controlling high-powered money, the bank rate and reserve requirements; it also "sterilises" money supply against external shocks (see section 11).

Step	Event
1	Money supply increases
2	People use the extra money to buy bonds
3	Demand for bonds goes up, so bond prices rise
4	Bond price up ⇒ interest rate falls (inverse relation)
5	The fall stops at r-min: everyone then expects a rise, so extra money just piles up as cash (liquidity trap)

⭐ REMEMBER

Supply (RBI) × Demand = interest rate. Dual mandate = growth vs inflation, each tool has two sides.

8 · TOOLS OF MONETARY POLICY

🧠 UNDERSTAND IT FIRST

The RBI has two kinds of lever. Qualitative tools are nudges and rules about behaviour: they steer direction but the exact effect is hard to predict. Quantitative tools are precise levers: the RBI can calculate the liquidity added or drained. The modern interest-rate framework is a corridor with the MSF rate as ceiling, the repo rate in the middle as anchor, and the SDF rate as floor.

✏ EXAMPLE

Handout's LTV example: a ₹60 loan against ₹100 of gold instead of ₹80 is tighter credit with no change in interest rates. Moral suasion example: asking banks to restrict lending for speculative stock-market buying in a bubble.

📐 Formulas of this section

NDTL (BASE OF CRR/SLR)

NDTL = demand + time deposits − inter-bank deposits

POLICY CORRIDOR

SDF rate < Repo rate < MSF rate

floor, anchor, ceiling

TIGHTENING CHAIN

CRR or SLR ↑ ⇒ m ↓ ⇒ MS ↓

handout, quantitative tools table

MY NOTES

Qualitative versus quantitative tools

	Qualitative	Quantitative
Nature	Influence the **direction** of money supply; exact outcome hard to predict. Work on behaviour, nudging the **multiplier (m)** without changing the monetary base	Precise levers; RBI can calculate the liquidity injected or drained
Tools	Moral suasion; rationing of credit (PSL); regulation of consumer credit; margin requirements (LTV); direct action	OMOs; reserve ratios (CRR, SLR); LAF (repo and reverse repo); MSF; Bank Rate; SDF

A · QUALITATIVE TOOLS

- **1. Moral suasion:** persuading banks to adopt certain lending behaviour (e.g. voluntarily restrict lending to speculative stock-market activity in a bubble).
- **2. Rationing of credit (PSL):** a mandated percentage of lending to vital sectors (agriculture, MSMEs, education).
- **3. Regulation of consumer credit:** higher down payments or shorter repayment tenures to cool consumer demand without changing the cost of money.
- **4. Margin requirements (LTV, Loan to Value):** e.g. ₹100 of gold for a ₹60 loan instead of ₹80.
- **5. Direct action:** penal interest rates or refusal to extend credit to violators.

MEMORY AID · QUALITATIVE TOOLS: FIVE WAYS TO CLAMP CREDIT

C **L** **A** **M** **P**

Qualitative tools CLAMP down on lending behaviour without touching the cost of money.

C Consumer credit rules: higher down payment, shorter tenure
L LTV margins: e.g. Rs 60 loan on Rs 100 of gold, not Rs 80
A Action, direct: penal rates or refusal of credit
M Moral suasion: persuade banks on lending behaviour
P PSL rationing: mandated lending to vital sectors

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

MY NOTES

B · QUANTITATIVE TOOLS

Quantitative tools

Tool	What it is	Effect
Open Market Operations (OMO)	RBI buys or sells **G-Secs** in the market. **Controls the base (M0)**	Buying: pays with new currency, injects M0 (expansionary). Selling: buyers pay RBI with existing currency, the liability is discharged, M0 falls (contractionary)
CRR (Cash Reserve Ratio)	Share of **NDTL** (Net Demand and Time Liabilities = demand and time deposits less inter-bank deposits) kept **with RBI, in cash, earning no interest**	A pure cost to banks. **The RBI Amendment Act of 2006 removed the 3% floor and 40% ceiling,** so RBI can set CRR anywhere from 0% to 100%
SLR (Statutory Liquidity Ratio)	Share of NDTL banks must hold in **gold and government bonds** (safe, liquid)	A compromise because high CRR kills profits: bonds pay interest or appreciate; they can be sold in a run
Raising CRR or SLR	Less deposit available to lend	Multiplier m shrinks, MS contracts
Repo (LAF)	RBI **lends** to banks for a short time (**usually one day, maximum 14 days**) against assets; **Repurchase Agreement.** Bank sells assets, RBI creates money (M0 up), bank repurchases later (M0 restored)	Higher repo makes borrowing costlier and is passed on to borrowers
Reverse repo (LAF)	RBI **borrows** from banks when liquidity is in surplus	Higher reverse repo rate: banks park more with RBI, money supply in the economy falls
MSF (Marginal Standing Facility)	When banks run out of G-secs for LAF, they may **dip below the SLR** in a limited way and borrow against the freed securities	At a **penal rate (MSF rate):** it reduces the safety of the system, so RBI "punishes your balance sheet so you don't make a habit of breaching statutory trust"
Bank Rate	Historically RBI's long-term lending rate to banks	**Operationally dormant;** now aligned with the MSF rate and used mainly as the baseline for statutory penalties

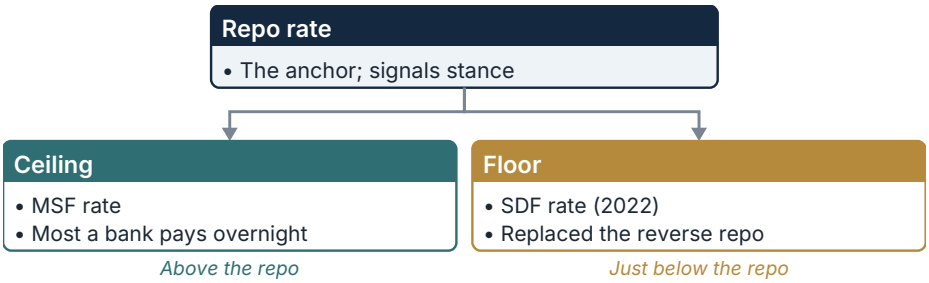
To fill a liquidity gap banks can also solicit deposits, borrow in the **call money** market, issue bonds, raise capital, or issue **certificates of deposit.** LAF is the RBI window for the mismatch between loan demand and deposits (liquidity surplus or deficit).

MY NOTES

THE POLICY CORRIDOR (MODERN FRAMEWORK)

Ceiling: MSF rate (the most a bank will pay for overnight funds). **Benchmark: Repo rate** (the anchor, signals stance). **Floor: SDF rate** (earlier the reverse repo; **in 2022 the SDF** replaced it as the hard floor, set just below the repo). RBI guides the market cost of money without dictating it by decree.

THE POLICY CORRIDOR



📘 FROM NCERT CLASS XII MACROECONOMICS, CH 3 · §3.4 POLICY TOOLS TO CONTROL MONEY SUPPLY

In plain words: NCERT's tool list is short; its value is the worked cases. Use the tables to see what each tool does to reserves, loans and money supply.

Link to the handout: Handout classification wins: repo and reverse repo are filed under LAF, separate from OMO.

Lender of last resort

- When banks need more funds for credit they go to the market, or to the central bank. The RBI being ready to lend to banks at all times is the **lender of last resort** role.

NCERT's two families of tools

Quantitative (changes the extent of money supply)	Qualitative (persuasion to encourage or discourage lending)
CRR, Bank Rate, Open Market Operations	Moral suasion, margin requirement, etc.

Reserve ratio at work: the 20% to 25% case

- Higher reserve ratio ⇒ less lending ⇒ fewer deposits ⇒ lower money supply.
- NCERT's sentence says "₹400" for the earlier case; its own table shows ₹500 at 20%. Rule: ₹500 at 20%, ₹400 at 25%.

MY NOTES

Reserve ratio	₹100 of reserves supports deposits of	Loans possible	Result
20%	₹500	₹400	Starting position
25%	₹400 (₹100 ÷ 0.25, arithmetic)	₹300	Banks must call back some loans; money supply falls

Open market operations: four cases in one table

- Purchase and sale are entrusted to the RBI on behalf of the Government.
- RBI runs repo and reverse repo at overnight, 7-day, 14-day and other maturities; NCERT calls this now the **main tool** of monetary policy.

Operation	What RBI does	Promise to reverse?	Effect on reserves and money
Outright purchase	Buys government bonds, pays by **cheque**	No: permanent	Reserves up; money supply up
Outright sale	Sells bonds to private persons or institutions	No: permanent	Reserves down; money supply down
Repo (repurchase agreement)	Buys with a date and price of resale; the rate = **repo rate**	Yes	Money injected, then returned
Reverse repo	Sells with a date and price of repurchase; the rate = **reverse repo rate**	Yes	Money withdrawn, then returned

Bank Rate (NCERT's version)

- The rate at which RBI gives loans to commercial banks. Raise it: loans costlier, banks' reserves fall, money supply decreases. Cut it: money supply can rise.

NCERT differs: NCERT treats the Bank Rate as a live lever. The handout says it is operationally dormant, aligned with the MSF rate and used mainly as the baseline for penalties. Handout wins. (*handout/teacher wins in class*)

NCERT differs: NCERT treats repo and reverse repo as types of OMO; the handout files them under LAF. Use the handout's classification in answers. (*handout/teacher wins in class*)

MY NOTES

⭐ **REMEMBER**

Qualitative = CLAMP the behaviour. Quantitative = OMO, CRR, SLR, LAF, MSF, Bank Rate, SDF. Corridor: MSF > Repo > SDF.

9 · CONDUCT OF POLICY: RESOLVING THE GROWTH-INFLATION TRADE-OFF

🧠 **UNDERSTAND IT FIRST**

Two limits shape policy. First, the RBI can supply money but cannot make people borrow: weak roads, high taxes and a poor business climate keep growth stuck even at 0% interest. Second, raising the price of money cuts spending whatever caused inflation, so central banks are better at crushing inflation than at lifting growth. Rules (FIT) replace the Governor's mood.

✏ **EXAMPLE**

Handout: governments facing elections press for cheap money to create a temporary boom that later brings long-term inflation (time inconsistency). So the 2015 framework fixes the target: 4% with a band of ±2%.

📐 Formulas of this section

FIT BAND

CPI target 4% ± 2% = 2% to 6%

inside: may help growth; above 6%: must hike

- **Problem:** policy depended on the **Governor's preference** (subjectivity) and on **time inconsistency:** governments facing elections press for cheap money to create a temporary boom, which later brings long-term inflation.
- **Limits of fostering growth:** growth needs infrastructure, taxation, EODB, export competitiveness and raw materials. If taxes are oppressive and infrastructure is poor, no one borrows even at 0%. RBI can supply money but cannot force the economy to use it.
- **Dominance in crushing inflation:** structural fixes take years, but raising the cost of money cuts spending whatever the cause. Monetary policy beats fiscal policy for rapid inflation control. So **central banks are more effective against high inflation than at raising growth.**

FLEXIBLE INFLATION TARGETING (FIT) AND THE MPC

Monetary Policy Framework Agreement, 2015: RBI's primary legal responsibility is **CPI inflation of 4% with a ±2% band (2% to 6%).** Within the band, RBI may cut rates to help growth; above 6%, it must hike. A statutory **6-member Monetary Policy Committee (MPC)** sets rates: **3 internal RBI officials (including the Governor)** and **3 external**

MY NOTES

experts nominated by the Government. Decisions by **majority vote;** the **Governor has a casting vote only in a tie.**

⭐ REMEMBER

Inside 2-6%: RBI may help growth. Above 6%: must hike. MPC = 3 RBI + 3 external, Governor casts only in a tie.

10 · TRANSMISSION AND THE EVOLUTION OF LOAN PRICING

🧠 UNDERSTAND IT FIRST

The RBI lends only to banks, not to you. Its decision matters only if banks pass it on. For years they did not. So the way loans are priced was changed four times, each time tying it more tightly to something outside the bank's control until a repo cut reaches your home-loan EMI automatically.

✏ EXAMPLE

Handout example: home loan = repo 6.5% + 3% spread = 9.5%. Repo cut by 50 basis points to 6.0%, the EMI resets to 9.0% at the next reset date; the bank cannot block it.

📐 Formulas of this section

EBLR LOAN RATE

loan rate = repo + spread

6.5% + 3% = 9.5%; repo −50 bps → 6.0% → 9.0%

RBI lends only to banks, not to citizens. So effectiveness is judged by **transmission:** whether banks pass RBI's decisions on to the economy. If banks do not lower lending rates when RBI cuts, the policy "signal" never reaches the real economy: the **Monetary Transmission Mechanism.**

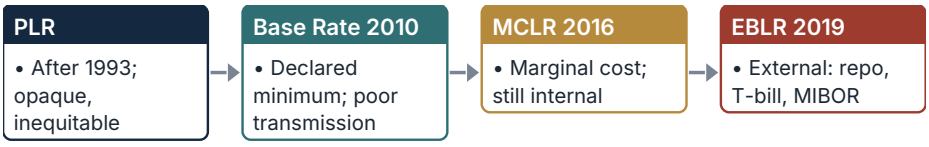
Four phases of loan pricing

Phase	Rate	What it did	Weakness
1	**PLR** (Prime Lending Rate), after 1993 deregu-lation	The lowest rate, charged to the least-risk customer	Not transparently declared: those who could negotiate paid less than the risk-appropriate rate; others paid more. Inequitable
2 (2010)	**Base Rate**	A **declared PLR:** the minimum any customer pays; no one lends below it. Ended cross-subsidisation	Transmission **poor:** a bank's average cost includes millions of old 5-year FDs, so a repo cut barely moved it

MY NOTES

Phase	Rate	What it did	Weakness
3 (2016)	**MCLR** (Marginal Cost of Funds based Lending Rate)	Linked lending rate to the dynamic **marginal** cost: interest on deposits, operating costs, maintenance, and the market cost of marginal funds	Still an **internal** benchmark: banks tweaked variables (inflating operating costs) to keep MCLR high
4 (2019 to present)	**EBLR** (External Benchmark Lending Rate)	All new floating-rate **retail (home, auto) and MSME loans** must link to an external benchmark: **repo rate, 91-day or 182-day T-bill yield, MIBOR**	Near-perfect transmission

LOAN PRICING: FOUR PHASES



EBLR example: home loan = repo (6.5%) + 3% spread = **9.5%.** If repo is cut by 50 basis points to 6.0%, the EMI resets to **9.0%** at the next reset date; the bank cannot block it. **MIBOR** (Mumbai Inter-bank Offered Rate) is the standard call rate in the inter-bank market.

HANDOUT ALERT: "EBLR = MCLR = BR"

The handout writes "**EBLR = MCLR = BR = f(marginal cost of funds)**" as a way to remember that all three express the bank's lending rate. They are **not** the same rule: the Base Rate and MCLR are **internal,** EBLR is **external.** Exam-hall rule: Base Rate 2010 → MCLR 2016 → EBLR 2019; only EBLR is linked to an outside rate.

⭐ **REMEMBER**

PLR (after 1993) → Base Rate 2010 → MCLR 2016 → EBLR 2019. Only EBLR is external.

11 · SOME RECENT TOOLS: THE MODERN ARSENAL

🧠 **UNDERSTAND IT FIRST**

Each recent tool answers a specific problem: banks hoarding cash in COVID (LTRO/TLTRO), surplus parked at the RBI (VRRR, SDF), small investors locked out of G-secs (Retail Direct), and foreign inflows that print rupees (sterilisation via MSS).

MY NOTES

✏ EXAMPLE

Handout: VRRR announces an amount (say ₹2 Lakh Crore) and banks bid the rate; SDF takes overnight funds with no G-Sec collateral, because selling G-Secs to absorb money would crash prices and raise government borrowing costs.

Recent tools

Tool	What	Why
Retail Direct Scheme (RDS), 2021	Individuals open a **Retail Direct Gilt (RDG)** account directly with RBI to buy and sell G-Secs, T-Bills and Sovereign Gold Bonds, **free of charge**	Broaden the investor base so government borrows from the public, not only banks; a safe alternative to stocks and low-yield FDs
LTRO and TLTRO (2020)	RBI lent to banks at the short-term **repo rate for 1 to 3 years** (normal LAF is overnight to 14 days). **Targeted** version: banks had to buy **corporate bonds of stressed sectors** (NBFCs, microfinance)	COVID liquidity freeze: banks hoarded cash; long cheap funding forced transmission
Variable Rate Reverse Repo (VRRR)	Auction-based absorption: RBI announces an amount (e.g. ₹2 Lakh Crore) and banks **bid** the rate	Post-COVID surplus: banks parked trillions at the fixed reverse repo; VRRR pushed short rates towards repo, **tightening without hiking the repo rate**
Standing Deposit Facility (SDF), April 2022	Overnight absorption of funds **without giving any G-Sec collateral; replaced the fixed reverse repo as the floor**	Reverse repo needs collateral; selling G-Secs would crash prices and raise government borrowing costs
Sterilisation and MSS (2004)	Government issues special **MSS bonds;** the money is kept in a locked account with RBI and cannot be spent	Heavy foreign inflows: RBI buys dollars (to protect exporters) and prints rupees (M0), causing inflation; MSS absorbs those rupees. The handout links this to the **Impossible Trinity**

📘 FROM NCERT CLASS XII MACROECONOMICS, CH 3 · BOX 3.2 DEMONETISATION

In plain words: A real-life use of the "legal tender" idea: the state declared old notes no longer legal tender. NCERT records the dates, limits and the debate.

Link to the handout: Legal tender (section 2) · cdr and cash habit (section 5) · formal payments shift (cashless society, NCERT §3.1).

MY NOTES

What happened and when

When	What
Nov 2016	Old ₹500 and ₹1000 notes stop being legal tender; new ₹500 and ₹2000 notes launched
Till 12 Dec 2016	Old notes still accepted at petrol pumps, government hospitals, and for government dues (taxes, power bills)
Till 31 Dec 2016	Deposit old notes in a bank account without declaration
Up to 31 Mar 2017	Deposit with the RBI, with declaration
Per person per day	Exchange of old notes worth ₹4,000 for new (as printed in NCERT)

The aims and the debate

Aims	Costs	Gains cited
Corruption, black money, terrorism, fake currency	Long queues at banks and ATMs; currency shortage hurt economic activity; normalcy returned with time	Better tax compliance; savings channelised into the formal system (banks lend more at lower rates); signal against tax evasion; shift from cash to electronic payment

⭐ **REMEMBER**

LTRO = long cheap loans. VRRR = auction to absorb. SDF = floor, no collateral. MSS 2004 = lock the rupees.

MY NOTES

FORMULA SHEET, NUMBER CARD AND DRILLS

MY NOTES

📐 FORMULA SHEET: COVER THE THIRD COLUMN, SAY THE FORMULA, THEN CHECK

Where	Name	Formula	Source
Sec 3	Base money (M0)	**M0 = RBI's total liabilities**	handout
Sec 3	Seigniorage	**interest earned on assets – printing cost**	handout
Sec 4	M1 (narrow)	**M1 = CC + DD + "Other" deposits with RBI**	handout
Sec 4	M2 (narrow)	**M2 = M1 + P.O. demand deposits**	handout
Sec 4	M3 (broad)	**M3 = M1 + TD with banks**	handout
Sec 4	M4 (broad)	**M4 = M3 + post-office deposits (DD, TD, other)**	handout
Sec 4	NM1	**NM1 = CC + DD + other deposits with RBI**	handout
Sec 4	NM2	**NM2 = NM1 + short-term TD (up to 1 year)**	handout
Sec 4	NM3	**NM3 = NM2 + long-term TD (over 1 year) + call/term funding**	handout
Sec 5	Money supply	**MS = m × M0**	handout
Sec 5	cdr	**cdr = cash ÷ deposits**	handout
Sec 5	rdr	**rdr = reserves ÷ deposits**	handout
Sec 6	Total money demand	**$MD = MD_T + MD_S$**	handout
Sec 6	Transaction demand	**$MD_T \propto V_T \propto P \cdot Q$**	handout
Sec 6	With velocity	**$MD_T \propto P \cdot Q \div v$**	handout
Sec 6	Speculative demand	**$MD_S \propto 1 \div r$**	handout
Sec 7	Interest rate	**r0 is where vertical MS = falling MD**	handout
Sec 8	NDTL (base of CRR/SLR)	**NDTL = demand + time deposits – inter-bank deposits**	handout
Sec 8	Policy corridor	**SDF rate < Repo rate < MSF rate**	handout
Sec 8	Tightening chain	**CRR or SLR ↑ ⇒ m ↓ ⇒ MS ↓**	handout
Sec 9	FIT band	**CPI target 4% ± 2% = 2% to 6%**	handout
Sec 10	EBLR loan rate	**loan rate = repo + spread**	handout

MY NOTES

Where	Name	Formula	Source
Sec 1	Value of ₹1 in terms of a good	**1 ÷ price of the good**	NCERT
Sec 4	M1 (narrow)	**CU + DD**	NCERT
Sec 4	M2 (narrow)	**M1 + savings deposits with Post Office savings banks**	NCERT
Sec 4	M3 (broad)	**M1 + net time deposits of commercial banks**	NCERT
Sec 4	M4 (broad)	**M3 + total deposits with Post Office savings organisations (excl. NSC)**	NCERT
Sec 5	Assets	**Reserves + Loans**	NCERT
Sec 5	Liabilities	**Deposits**	NCERT
Sec 5	Net worth	**Assets − Liabilities**	NCERT
Sec 5	Money multiplier	**1 ÷ CRR**	NCERT
Sec 5	Deposits created	**multiplier × reserves**	NCERT
Sec 5	Infinite geometric series	**$S = a \div (1 - r)$**	NCERT
Sec 6	Transaction demand	**$MD_T = k \cdot T$**	NCERT
Sec 6	Velocity	**$v = 1 \div k$**	NCERT
Sec 6	Velocity form	**$v \cdot MD_T = T$**	NCERT
Sec 6	Link to GDP	**$MD_T = k \cdot P \cdot Y$**	NCERT
Sec 6	Present value of the bond	**$10 \div (1 + r) + 110 \div (1 + r)^2$**	NCERT
Sec 6	Speculative demand	**$MD_S = (r_{max} - r) \div (r - r_{min})$**	NCERT
Sec 6	Total money demand	**$MD = k \cdot P \cdot Y + (r_{max} - r) \div (r - r_{min})$**	NCERT

MY NOTES

🔢 NUMBER CARD: FIGURES TO HOLD

- **4% ± 2%** FIT target band (2015)
- **6** members in the MPC (3 RBI + 3 external)
- **0% to 100%** CRR range after the 2006 Amendment (earlier floor 3%, ceiling 40%)
- **1998** Y.V. Reddy Committee: NM1-NM3
- **2004** MSS introduced
- **2010 / 2016 / 2019** Base Rate / MCLR / EBLR
- **2020** LTRO / TLTRO
- **2021** Retail Direct Scheme
- **Apr 2022** SDF becomes the floor
- **14 days** maximum repo tenor in the handout
- **₹1.2-1.3** printing cost per note (handout)
- **6.5% + 3% = 9.5%** EBLR home-loan example

✏ BLANK-PAGE DRILL: DRAW THESE FROM MEMORY, THEN CHECK

- Redraw the handout's figure of the ladder of money measures (M0 to M4) from section 4, and mark narrow and broad money.
- Redraw the handout's figure with the vertical money supply curve crossing the falling money demand curve at r0 (section 7).
- Write the corridor: MSF (ceiling) > Repo (anchor) > SDF (floor), and the four loan-pricing phases in order.

NCERT CHECKLIST: END BOXES, QUESTIONS, KEY CONCEPTS

📘 NCERT KEY CONCEPTS: TICK EACH WHEN YOU CAN DEFINE IT

☐ Barter exchange ☐ Double coincidence of wants ☐ Money
☐ Medium of exchange ☐ Unit of account ☐ Store of value
☐ Bonds ☐ Rate of interest ☐ Liquidity trap ☐ Fiat money
☐ Legal tender ☐ Narrow money ☐ Broad money
☐ Currency deposit ratio ☐ Reserve deposit ratio
☐ High powered money ☐ Money multiplier
☐ Lender of last resort ☐ Open market operation ☐ Bank Rate
☐ Cash Reserve Ratio (CRR) ☐ Repo Rate ☐ Reverse Repo Rate

MY NOTES

📘 NCERT'S OWN END-OF-CHAPTER QUESTIONS: CAN YOU ANSWER EACH FROM THESE NOTES?

NCERT question	Answer lives in
What is a barter system? Its draw-backs?	Section 1 and NCERT 3.1
Main functions of money; how does it overcome barter's shortcomings?	NCERT 3.1 (handout: section 1)
What is transaction demand for money; how is it related to the value of transac-tions?	Section 6 + NCERT Box 3.1
Alternative definitions of money supply in India?	Section 4 (handout ladder) + NCERT defini-tions
What is a legal tender? What is fiat money?	Section 2 + NCERT 3.2
What is High Powered Money?	Sections 3-4 + NCERT 3.2.2
Explain the functions of a commercial bank.	NCERT 3.2.2 (not in the handout)
What is the money multiplier? What determines its value?	Section 5 + NCERT 3.3
What are the instruments of monetary policy of RBI?	Section 8 + NCERT 3.4
Is a commercial bank a creator of money?	Section 5 + NCERT 3.3
Which role of RBI is "lender of last resort"?	NCERT 3.4 (handout: sections 8, 11)

ABBREVIATION COLUMN

Every short form used in this chapter, expanded.

NCERT = National Council of Educational Research and Training — publisher of the school textbooks the teacher calls "very, very important"

RBI = Reserve Bank of India — central bank

MD = Money Demand — total demand for money = transaction + speculative

CRR = Cash Reserve Ratio — share of deposits banks keep as cash with RBI

MS = Money Supply — total money in the economy

SDF = Standing Deposit Facility — floor of the RBI corridor

DD = Demand Deposits — bank deposits payable on demand (savings and current accounts)

MY NOTES

MDS = Money Demand for Speculation — money held to protect wealth when asset prices are expected to fall; falls as r rises

MSF = Marginal Standing Facility — RBI window for emergency overnight borrowing at a higher rate

SLR = Statutory Liquidity Ratio — share of deposits banks keep in liquid assets

EBLR = External Benchmark Lending Rate — loan rate tied to an outside benchmark

MDT = Money Demand for Transactions — money held to spend now and for emergencies; rises with P·Q

TD = Time Deposits — bank deposits with a fixed maturity, e.g. fixed deposits

LAF = Liquidity Adjustment Facility — RBI's daily window for banks to borrow (repo) or park (reverse repo) money

NM1 = New Monetary aggregate 1 (new narrow money) — currency with public + demand deposits + other deposits with RBI

NM2 = New Monetary aggregate 2 — NM1 + short-term time deposits (up to 1 year)

GDP = Gross Domestic Product — value of all final goods and services produced inside a country in a year

MCLR = Marginal Cost of Funds based Lending Rate — bank's internal benchmark lending rate

MSS = Market Stabilisation Scheme (2004) — special bonds whose proceeds are locked at the RBI to absorb surplus rupees

FIT = Flexible Inflation Targeting — RBI framework: keep CPI inflation near 4% with a ±2% band

NM3 = New Monetary aggregate 3 (new broad money) — NM2 + long-term time deposits + call/term funding from financial institutions

VRRR = Variable Rate Reverse Repo — RBI auction to absorb money

CC = Currency in Circulation (with the public) — notes and coins held by the public; vault cash is excluded

LTRO = Long Term Repo Operation — RBI lends to banks at repo for 1 to 3 years

MPC = Monetary Policy Committee — six-member committee that sets the repo rate

NDTL = Net Demand and Time Liabilities — demand plus time deposits less inter-bank deposits; base for CRR and SLR

OMO = Open Market Operations — RBI buying or selling government bonds

AD = Authorized Dealer — bank licensed to convert currency (also Aggregate Demand elsewhere)

CBDC = Central Bank Digital Currency — digital rupee

CU = Currency held by the public — NCERT's term for notes plus coins with the public

FD = Fixed Deposit — bank deposit for a fixed term

GA-MOE = General Acceptability as Medium of Exchange — a test of money

PLR = Prime Lending Rate — first benchmark lending rate, after 1993 deregulation

COVID = Coronavirus Disease — pandemic of 2020 that froze liquidity

CPI = Consumer Price Index — tracks the price of a retail basket of goods and services that households buy

MY NOTES

EMI = Equated Monthly Instalment — fixed monthly loan repayment

LTV = Loan to Value — loan as a share of the value of the asset pledged

M1-M4 = Money measures M1 to M4 — ladder from narrow (M1) to broad (M4) money

PV = Present Value — today's worth of future money

RDS = Retail Direct Scheme (2021) — individuals buy G-Secs directly from the RBI

TLTRO = Targeted Long Term Repo Operation — LTRO where banks must buy bonds of stressed sectors

VT = Value of Transactions — total value of all transactions in a period

DCW = Double Coincidence of Wants — in barter, finding someone who has what you want and wants what you have

FDs = Fixed Deposits — bank deposits for a fixed term

MIBOR = Mumbai Interbank Offered Rate — overnight lending rate between banks

NM1-NM3 = New Monetary aggregates 1 to 3 — the Y.V. Reddy Committee (1998) measures based on maturity

NSC = National Savings Certificate — long-term post-office saving product; not redeemable before maturity

PSL = Priority Sector Lending — bank lending targets for sectors such as agriculture and MSMEs

ATMs = Automated Teller Machines — cash dispensing machines

BR = Base Rate — minimum lending rate that replaced PLR in 2010

CGRA = Currency and Gold Revaluation Account — RBI buffer holding unrealised gains on gold and forex

CRB = Contingency Reserve (Fund) of the RBI — buffer for unexpected losses

EODB = Ease of Doing Business — how easy it is to run a business

FCA = Foreign Currency Assets — cash and foreign government bonds in reserves

HPM = High-Powered Money — currency issued by the central bank; the base for credit creation (also reserve money, monetary base)

IMF = International Monetary Fund — crisis manager of the BoP

LRR = Legal Reserve Ratio — general name for the legal minimum reserve ratio; CRR in India

M1-M3 = Money measures M1 to M3 — ladder from narrow to broad money

MSME = Micro, Small and Medium Enterprises — small businesses

MSMEs = Micro, Small and Medium Enterprises — small businesses

NABARD = National Bank for Agriculture and Rural Development — apex bank for agriculture and rural credit

NBFCs = Non-Banking Financial Companies — lenders that are not banks; regulated by the RBI

NFS = National Financial Switch — inter-bank ATM network, used by NCERT as a cashless-India example

OMOs = Open Market Operations — RBI buys or sells government securities

PO = Post Office — post-office deposits sit outside the banking system

RDG = Retail Direct Gilt (account) — account with RBI for buying G-Secs

MY NOTES

Meanings are plain-language aids; verify before quoting in an answer.

CURRENT AFFAIRS

Flexible Inflation Targeting (FIT): 10 years

September 2026 Prelims · Mains

*India's Flexible Inflation Targeting framework completed **10 years**.*

FIT: RBI uses interest rates to keep inflation within a publicly announced range while supporting growth. Legal basis: RBI Act, **1934** amended in **2016**.

Centre, in consultation with the RBI, sets the target every five years, based on headline CPI. Retained at **4%** with a **+/-2%** band for April **2026** to March **2031**. Inflation outside the band for three consecutive quarters is a failure. The MPC sets the repo rate.

Results: average CPI inflation fell from **8.1%** (**2006-16**) to **4.6%** (**2016-26**); average GDP growth **6.8%** to **7%**. Inflation stayed within the band three-fourths of the time in **2016-21** and two-thirds in **2021-26**.

RBI Discussion Paper (August 2025): headline vs core (food and fuel are over **37%** of the consumption basket; only Uganda targets core); **4%** still right (advanced economies about **2%**, major developing 3-**6%**); band should be guided by threshold inflation (upper) and the rate below which low inflation discourages production (lower).

Concerns: weak transmission to lending rates; flat Phillips curve (**2012-2026**) so rate hikes may cost jobs with little fall in inflation, raising stagflation risk; about **90%** of workforce informal; inflation mostly supply-driven (crop failure, heatwaves, crude).

Way forward: Government absorbs supply shocks, RBI prevents second-round effects; extend benchmark-linked rates to NBFCs and microfinance; bring inflation closer to **4%**; cold chains, warehousing, APMC reform, rule-based buffer stock release.

PRELIMS FODDER

MPC: statutory body under the RBI Act, **2016**; 6 members (3 RBI, 3 Government nominees); majority vote; Governor has the casting vote.

Headline inflation = total; core inflation excludes food and energy.

Phillips curve: inverse relation between inflation and unemployment. Stagflation: high inflation, stagnation and unemployment together.

MAINS FODDER

Urjit Patel Committee (2014): CPI as nominal anchor, **4%** target with **+/-2%** band, committee-based decisions.

Keywords Price stability · Credible nominal anchor · Inflation expectations · Flat Phillips curve · Supply-side inflation

PYQ CONNECT

MY NOTES

2017 Prelims: MPC decides the benchmark rates; it is not a 12-member body and not chaired by the Finance Minister.

Surge in inflows under RBI's forex swap facility

September 2026 Prelims · Mains

Inflows under the RBI special USD-INR swap facility reached ***$143.596 billion*** *(data to 18 September* ***2026****).*

RBI introduced special USD-INR swap facilities in June **2026** for fresh FCNR(B) deposits and specified ECBs and OFCBs. FCNR(B) window: fresh deposits with tenor 3 to **5 years**; closed in August **2026**.

Swap is two-legged: spot leg (banks give dollars, RBI gives rupees) and reverse leg at maturity.

Other RBI steps: dollar sales and sell-buy swaps; special dollar window for IOCL, BPCL, HPCL; restrictions on forex derivatives (exposure threshold cut from **$100 million** to **$5 million**; cancelled contracts cannot be rebooked); Forex Risk Reserve (**20%** requirement on specified derivatives above **$2 million**); non-deliverable rupee contracts only for genuine hedging.

Why inflows matter: rupee stability, reserves, financing the CAD, import security (crude, fertiliser), lower imported inflation (but excessive appreciation hurts exports).

Concerns: oil import dependence; volatile capital flows (US yields); rupee weakened beyond **Rs 90** per dollar in early **2026**; nearly **$133 billion** of the **$143.596 billion** came from FCNR(B), a temporary buffer with repayment obligations; surplus liquidity of **Rs 11.16 lakh crore** in September **2026**.

Way forward: diversify energy imports; stable long-term FDI and deeper bond markets; exchange-rate flexibility with targeted intervention; reserve adequacy checks; sterilisation through VRRR, SDF and OMO.

PRELIMS FODDER

Reserves: Foreign Currency Assets, Gold, SDRs, Reserve Tranche Position in IMF.

FCNR(B) and ECBs operate under FEMA, **1999**.

MAINS FODDER

Impossible Trinity: free capital mobility, managed exchange rate and monetary autonomy cannot all be held.

2013 taper tantrum: FCNR(B) and overseas-borrowing swap windows mobilised about **$34.3 billion**.

Keywords Sterilised intervention · Reserve adequacy · Monetary trilemma · Debt-creating inflows · Rollover risk

MY NOTES

MDR on high-value UPI merchant payments

September 2026 Prelims

NPCI announced a Merchant Discount Rate on select high-value person-to-merchant (P2M) UPI payments under the Payment and Settlement Systems Act, 2007. UPI stays free for P2P.

MDR: fee a merchant pays its bank for accepting digital payments, as a percentage of value; shared among acquiring bank, issuing bank, UPI app and NPCI.

Framework: P2P free (any amount); P2M up to **Rs 2,000** free; above **Rs 2,000** **0.4%**; capped at **Rs 300** for **Rs 75,000** and above; essential sectors (railways, telecom, insurance, fuel, utilities) above **Rs 2,000** flat **Rs 5**.

A Small Merchant Fund from part of MDR revenue for Tier 3-6 centres, North-East, J&K, Ladakh, and PM SVANidhi and PM Vishwakarma beneficiaries. Merchants cannot pass MDR to customers.

Keywords MDR · P2M · PSS Act 2007 · UPI sustainability

Variable Rate Reverse Repo (VRRR)

September 2026 Prelims

*RBI absorbed over **Rs 6.02 lakh crore** in two three-day VRRR auctions; both cut-off rates were **5.24%**.*

VRRR: RBI absorbs surplus funds from banks for a set period at a rate found by competitive bidding. Keeps short-term rates aligned with the policy stance.

VRRR absorbs liquidity; Variable Rate Repo (VRR) injects liquidity.

Keywords Liquidity absorption · Competitive bidding

TIMELINE AND NUMBERS

When	What
1993	RBI begins deregulating interest rates; PLR era.
1998	Y.V. Reddy Committee: new monetary aggregates NM1-NM3. ★
2004	Market Stabilisation Scheme introduced. ★
2006	RBI Amendment Act removes CRR floor (3%) and ceiling (40%). ★
2010	Base Rate replaces PLR. ★
2015	Monetary Policy Framework Agreement: FIT 4% ± 2%; MPC. ★
2016	MCLR introduced. ★
2019	EBLR for new floating-rate retail and MSME loans. ★
2020	LTRO / TLTRO during COVID.
2021	RBI Retail Direct Scheme launched.
Apr 2022	Standing Deposit Facility introduced; becomes the floor. ★

MY NOTES

CONNECTS TO OTHER CHAPTERS

Where	Why
Chapter 6: Inflation	This chapter completes Chapter 6's argument: make money expensive to cool AD.
Chapter 7: Banking and NBFCs	CRR, SLR and LAF act through banks; PSL is a qualitative tool; scheduled banks get LAF access; reserves and trust link to regulation.
Chapter 4: Basic Concepts	Bonds and "safe, liquid, replicable" assets apply the stock-flow and capital ideas; demand and supply of money use the same logic as of goods.
Chapter 10: External Sector	Sterilisation, MSS and the impossible trinity connect RBI's forex purchases to money supply.
Chapter 12: Budget and Fiscal Policy	Government bonds are the asset that backs the rupee; the fiscal deficit decides bond supply.

MAINS ANSWER SKELETONS

"MODERN MONEY IS A PROMISE ISSUED BY THE CENTRAL BANK, BACKED BY A PROMISE ISSUED BY THE GOVERNMENT." EXPLAIN WITH THE EVOLUTION OF MONEY.

Intro: Money is a generally acceptable medium of exchange built on trust.

- Gold coins, then representative money, then fiat money.
- Central banks added government bonds (safe, liquid, replicable) to supplement gold.
- RBI's balance sheet: bonds and gold against zero-cost liabilities; seigniorage is incidental.
- Legal tender enforces acceptance; trust sustains value.

Close: Trust always overrides law in the long run.

EXPLAIN THE MONEY MULTIPLIER AND THE DETERMINANTS OF MONEY SUPPLY.

Intro: Banks multiply the high-powered money injected by RBI.

- Lending, spending, receiving, depositing, reserving: each cycle smaller.
- MS = m · M0; m falls with cdr and rdr.
- Reserves versus profitability; CRR as the legal enforcement of trust.
- MS curve vertical because RBI is a monopoly with a trust objective.

Close: The central bank controls supply; banks amplify it.

WHAT IS THE LIQUIDITY TRAP? WHY DOES MONETARY POLICY LOSE POWER?

Intro: It is the situation at the minimum interest rate where everyone prefers cash.

- MDS ∝ 1/r; at r-min MDS is infinite.
- People expect rates to rise and asset prices to fall.

MY NOTES

- Extra money is held, not spent.
- Rates cannot fall and AD does not rise.

Close: Cheap money cannot force people to spend.

DISCUSS THE GROWTH-INFLATION TRADE-OFF IN MONETARY POLICY. HOW DID FIT AND THE MPC ADDRESS IT?

Intro: Easing helps growth but raises inflation; tightening does the opposite.

- Dependence on one Governor created subjectivity and time inconsistency before elections.
- Central banks are more effective at fighting inflation than at creating growth.
- FIT 2015: 4% ± 2%; flexibility within the band, hike above 6%.
- MPC 3 + 3, majority vote, casting vote for the Governor.

Close: Rules and committees replace discretion.

WHY WAS MONETARY TRANSMISSION WEAK IN INDIA? HOW DID LOAN PRICING EVOLVE TO FIX IT?

Intro: RBI acts only on banks, so policy works only if banks pass it on.

- PLR opaque; Base Rate (2010) fair but sticky because of old FDs.
- MCLR (2016) marginal cost but internal, so manipulated.
- EBLR (2019): repo, T-bill or MIBOR plus spread; EMI resets mandatorily.
- Recent tools (LTRO, VRRR, SDF) address liquidity conditions.

Close: External benchmarking made transmission nearly frictionless.

PAST-YEAR QUESTIONS · 31 PRELIMS AND 1 MAINS QUESTIONS FROM THE SAARTHI SUBJECT-WISE SHEETS

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question

1 · WHAT MONEY IS, AND ITS FOUR PROPERTIES 1 Prelims · 0 Mains

Prelims 2018

Which one of the following statements correctly describes the meaning of legal tender money?

(a) The money which is tendered in courts of law to defray the fee of legal cases.
(b) The money which a creditor is under compulsion to accept in settlement of his claims.
(c) The bank money in the form of cheques, drafts, bills of exchange, etc.
(d) The metallic money in circulation in a country.

Answer: **(b)** The money which a creditor is under compulsion to accept in settlement of his claims.

MY NOTES

2 · EVOLUTION OF MONEY: FROM GOLD TO FIAT 3 Prelims · 0 Mains

Prelims 2022

With reference to Non-Fungible Tokens (NFTs), consider the following statements :

1. They enable the digital representation of physical assets.
2. They are unique cryptographic tokens that exist on a blockchain.
3. They can be traded or exchanged at equivalency and therefore can be used as a medium of commercial transactions.

Which of the statements given above are correct ?

(a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(a)** 1 and 2 only

Prelims 2020

With reference to "Blockchain Technology" consider the following statements:

1. It is a public ledger that everyone can inspect, but which no single user controls.
2. The structure and design of blockchain is such that all the data in it are about cryptocurrency only.
3. Applications that depend on basic features of blockchain can be developed without anybody's permission.

Which of the statements given above is/are correct?

(a) 1 only
(b) 1 and 2 only
(c) 2 only
(d) 1 and 3 only

Answer: **(d)** 1 and 3 only

Prelims 2016

With reference to 'Bitcoins', sometimes seen in the news, which of the following statements is/are correct?

1. Bitcoins are tracked by the Central Banks of the countries.
2. Anyone with a Bitcoin address can send and receive Bitcoins from anyone else with a Bitcoin address.
3. Online payments can be sent without either side knowing the identity of the other.

Select the correct answer using the code given below.

(a) 1 and 2 only
(b) 2 and 3 only
(c) 3 only
(d) 1, 2 and 3

Answer: **(b)** 2 and 3 only

MY NOTES

4 · MONEY SUPPLY AND ITS MEASURES 2 Prelims · 0 Mains

Prelims 2020

If you withdraw Rs. 1,00,000 in cash from your Demand Deposit Account at your bank, the immediate effect on aggregate money supply in the economy will be

(a) to reduce it by Rs. 1,00,000
(b) to increase it by Rs. 1,00,000
(c) to increase it by more than Rs. 1,00,000
(d) to leave it unchanged

Answer: **(d)** to leave it unchanged

Prelims 2013

Consider the following liquid assets:

1. Demand deposits with the banks
2. Time deposits with the banks
3. Savings deposits with the banks
4. Currency The correct sequence of these assets in the decreasing order of liquidity is

(a) 1-4-3-2
(b) 4-3-2-1
(c) 2-3-1-4
(d) 4-1-3-2

Answer: **(d)** 4-1-3-2

5 · MONEY CREATION BY BANKS: THE MULTIPLIER 2 Prelims · 0 Mains

Prelims 2021

The money multiplier in an economy increases with which one of the following?

(a) Increase in the Cash Reserve Ratio in the banks
(b) Increase in the Statutory Liquidity Ratio in the banks
(c) Increase in the banking habit of the people
(d) Increase in the population of the country

Answer: **(c)** Increase in the banking habit of the people

Prelims 2019

The money multiplier in an economy increases with which one of the following?

(a) Increase in the cash reserve ratio
(b) Increase in the banking habit of the population
(c) Increase in the statutory liquidity ratio
(d) Increase in the population of the country

Answer: **(b)** Increase in the banking habit of the population

6 · DEMAND FOR MONEY 1 Prelims · 0 Mains

Prelims 2013

Supply of money remaining the same when there is an increase in demand for money, there will be

(a) a fall in the level of prices
(b) an increase in the rate of interest
(c) a decrease in the rate of interest
(d) an increase in the level of income and employment

Answer: **(b)** an increase in the rate of interest

MY NOTES

7 · THE COST OF MONEY AND THE DUAL MANDATE 3 Prelims · 0 Mains

Prelims 2022

In India, which one of the following is responsible for maintaining price stability by controlling inflation?

(a) Department of Consumer Affairs
(b) Expenditure Management Commission
(c) Financial Stability and Development Council
(d) Reserve Bank of India

Answer: **(d)** Reserve Bank of India

Prelims 2017

Which of the following statements is/are correct regarding the 'Monetary Policy Committee (MPC)'?

1. It decides the RBI's benchmark interest rates.
2. It is a 6-member body including the Governor of RBI and is reconstituted every year.
3. It functions under the chairmanship of the Union Finance Minister.

Select the correct answer using the code given below:

(a) 1 only
(b) 1 and 2 only
(c) 3 only
(d) 2 and 3 only

Answer: **(a)** 1 only

Prelims 2014

If the interest rate is decreased in an economy, it will

(a) decrease the consumption expenditure in the economy.
(b) increase the tax collection of the Government
(c) increase the investment expenditure in the economy
(d) increase the total savings in the economy

Answer: **(c)** increase the investment expenditure in the economy

8 · TOOLS OF MONETARY POLICY 10 Prelims · 0 Mains

Prelims 2023

Which one of the following activities of the Reserve Bank of India is considered to be part of 'sterilization'?

(a) Conducting "Open Market Operations"
(b) Oversight of settlement and payment systems
(c) Debt and cash management for the Central and State Governments
(d) Regulating the functions of Non-banking Financial Institutions

Answer: **(a)** Conducting "Open Market Operations"

MY NOTES

Prelims 2020

If the RBI decides to adopt an expansionist monetary policy, which of the following it would not do?

1. Cut and optimize the Statutory Liquidity Ratio
2. Increase the Marginal Standing Facility Rate
3. Cut the Bank Rate and Repo Rate

Select the correct answer using the code given below:

(a) 1 and 2 only
(b) 2 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(b)** 2 only

Prelims 2015

When the Reserve Bank of India reduces the Statutory Liquidity by 50 basis points, which of the following is likely to happen?

(a) India's GDP growth rate increases drastically
(b) Foreign Institutional Investors may bring more capital into our country
(c) Scheduled Commercial Banks may cut their lending rates
(d) It may drastically reduce the liquidity to the banking system.

Answer: **(c)** Scheduled Commercial Banks may cut their lending rates

Prelims 2015

With reference to India economy, consider the following:

1. Bank rate
2. Open market operations
3. Public debt
4. Public revenue

Which of the above is/are component/ components of Monetary Policy?

(a) 1 only
(b) 2, 3 and 4 only
(c) 1 and 2 only
(d) 1, 3 and 4 only

Answer: **(c)** 1 and 2 only

Prelims 2014

The terms 'Marginal Standing Facility Rate' and 'Net Demand and Time Liabilities' sometimes appearing in news, are used in relation to:

(a) Banking operations
(b) Communication networking
(c) Military strategies
(d) Supply and demand of agricultural products

Answer: **(a)** Banking operations

MY NOTES

Prelims 2014

In the context of the Indian economy, which of the following is/are the purpose/purposes of 'Statutory Reserve Requirements'?

1. To enable the Central Bank to control the amount of advances the banks can create.
2. To make the people's deposits with banks safe and liquid.
3. To prevent the commercial banks from making excessive profits.
4. To force the banks to have sufficient vault cash to meet their day-to-day requirements.

Select the correct answer using the code given below:

(a) 1 only
(b) 1 and 2 only
(c) 2 and 3 only
(d) 1, 2, 3 and 4

Answer: **(b)** 1 and 2 only

Prelims 2013

In the context of Indian economy, 'Open Market Operations' refers to:

(a) borrowing by scheduled banks from the RBI
(b) lending by commercial banks to industry and trade
(c) purchase and sale of government securities by the RBI
(d) None of the above

Answer: **(c)** purchase and sale of government securities by the RBI

Prelims 2013

An increase in the Bank Rate generally indicates that the

(a) Market rate of interest is likely to fall
(b) Central Bank is no longer making loans to commercial banks
(c) Central Bank is following an easy money policy
(d) Central Bank is following a tight money policy

Answer: **(d)** Central Bank is following a tight money policy

Prelims 2012

Which of the following measures would result in an increase in the money supply in the economy?

1. Purchase of government securities from the public by the Central Bank
2. Deposit of currency in commercial banks by the public
3. Borrowing by the government from the Central Bank
4. Sale of government securities to the public by the Central Bank

Select the correct answer using the code given below:

(a) 1 only
(b) 2 and 4 only
(c) 1 and 3 only
(d) 2, 3 and 4 only

Answer: **(c)** 1 and 3 only

Prelims 2011

The lowering of Bank Rate by the Reserve Bank of India leads to

(a) More liquidity in the market
(b) Less liquidity in the market
(c) No change in the liquidity in the market
(d) Mobilization of more deposits by commercial banks

Answer: **(a)** More liquidity in the market

MY NOTES

9 · CONDUCT OF POLICY: RESOLVING THE GROWTH-INFLATION TRADE-OFF 2 Prelims · 1 Mains

Prelims 2023

Consider the following statements:

Statement-I: In the post-pandemic recent past, many Central Banks worldwide had carried out interest rate hikes.

Statement-II: Central Banks generally assume that they have the ability to counteract the rising consumer prices via monetary policy means. Which one of the following is correct in respect of the above statements?

(a) Both Statement-I and Statement-II are correct and Statement-II is the correct explanation for Statement-I
(b) Both Statement-I and Statement-II are correct and Statement-II is not the correct explanation for Statement-I
(c) Statement-I is correct but Statement-II is incorrect
(d) Statement-I is incorrect but Statement-II is correct

Answer: **(a)** Both Statement-I and Statement-II are correct and Statement-II is the correct explanation for Statement-I

Prelims 2022

With reference to the Indian economy, consider the following statements:

1. If the inflation is too high, the Reserve Bank of India (RBI) is likely to buy government securities.
2. If the rupee is rapidly depreciating, RBI is likely to sell dollars in the market.
3. If interest rates in the USA or European Union were to fall, that is likely to induce RBI to buy dollars.

Which of the statements given above are correct?

(a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(b)** 2 and 3 only

Mains 2024 10 marks Food Inflation & Monetary Policy

What are the causes of persistent high food inflation in India? Comment on the effectiveness of the monetary policy of the RBI to control this type of inflation.

KEYWORDS monetary policy | RBI | repo rate | CPI | food inflation | effectiveness

MY NOTES

10 · TRANSMISSION AND THE EVOLUTION OF LOAN PRICING

1 Prelims · 0 Mains

Prelims 2016

What is/are the purpose/purposes of 'Marginal Cost of Funds based Lending Rate (MCLR)' announced by the RBI?

1. These guidelines help improve the transparency in the methodology followed by the banks for determining the interest rates on advances.
2. These guidelines help ensure the availability of bank credit at interest rates which are fair to the borrowers as well as the banks.

Select the correct answers using the code given below:

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(c)** Both 1 and 2

11 · SOME RECENT TOOLS: THE MODERN ARSENAL

6 Prelims · 0 Mains

Prelims 2024

Consider the following statements with respect of the digital rupee:

1. It is a sovereign currency issued by the Reserve Bank of India (RBI) in alignment with its monetary policy.
2. It appears as a liability on the RBI's balance sheet.
3. It is insured against inflation by its very design.
4. It is freely convertible against commercial bank money and cash.

Which of the statements given above are correct?

(a) 1 and 2 only
(b) 1 and 3 only
(c) 2 and 4 only
(d) 1, 2 and 4

Answer: **(d)** 1, 2 and 4

Prelims 2023

With reference to the Central Bank digital currencies, consider the following statements:

1. It is possible to make payments in a digital currency without using US dollar or SWIFT system.
2. A digital currency can be distributed with a condition programmed into it such as time-frame for spending it.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(c)** Both 1 and 2

Prelims 2018

Which one of the following links all the ATMs in India?

(a) Indian Banks' Association
(b) National Securities Depository Limited
(c) National Payments Corporation of India
(d) Reserve Bank of India

Answer: **(c)** National Payments Corporation of India

MY NOTES

Prelims 2018

With reference to digital payments, consider the following statements:

1. BHIM app allows the user to transfer money to anyone with a UPI-enabled bank account.
2. While a chip-pin debit card has four factors of authentication, BHIM app has only two factors of authentication.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(a)** 1 only

Prelims 2018

Which one of the following best describes the term "Merchant Discount Rate" sometimes seen in news?

(a) The incentive given by a bank to a merchant for accepting payments through debit cards pertaining to that bank.
(b) The amount paid back by banks to their customers when they use debit cards for financial transactions for purchasing goods or services.
(c) The charge to a merchant by a bank for accepting payments from his customers through the bank's debit cards.
(d) The incentive given by the Government, to merchants for promoting digital payments by their customers through Point of Sale (PoS) machines and debit cards.

Answer: **(c)** The charge to a merchant by a bank for accepting payments from his customers through the bank's debit cards.

Prelims 2017

Consider the following statements:

1. National Payments Corporation of India (NPCI) helps in promoting the financial inclusion in the country.
2. NPCI has launched RuPay, a card payment scheme.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(c)** Both 1 and 2

MY NOTES

END OF CHAPTER · RECALL AND DRILL

RECALL SHEET: COVER THE RIGHT COLUMN AND ANSWER

Money?	A generally acceptable medium of exchange (GA-MOE).
Legal tender in India?	Currency notes, coins and CBDC.
Fiat money?	Central bank promises backed by government bonds, not claims on gold.
Bond: issuer versus buyer?	Liability for issuer; asset for buyer.

Why must RBI buy safe assets?	To always discharge liabilities and keep trust.
M1?	CC + DD with banks + other deposits with RBI.
What is excluded from MS?	Vault cash, inter-bank deposits, Government of India deposits.
NM3?	NM2 + long-term time deposits + call/term funding.
rdr?	Reserves ÷ deposits; higher rdr, lower m.
Velocity?	How many times money changes hands in a period.
r-max?	No one expects a further rise; MDS zero.
Qualitative tools?	Moral suasion, PSL, consumer credit regulation, margins (LTV), direct action.
NDTL?	Net demand and time liabilities (less inter-bank deposits).
Reverse repo?	RBI borrows from banks with surplus.

Concept trap · Trust beats law

Legal tender laws do not create value; they only enforce acceptance for settling a debt. *Rule: value comes from trust; legal tender gives enforced acceptance, not value.*

Prelims trap · What money supply leaves out

Vault cash with banks, inter-bank deposits and the Government of India's deposits with RBI are not counted. *Rule: MS measures what the public holds; if an option counts vault cash or government deposits, reject it.*

Concept trap · Repo versus reverse repo

In repo the RBI lends to banks; in reverse repo the RBI borrows from banks when liquidity is in surplus. *Rule: repo = RBI lends (1 to 14 days); reverse repo = RBI borrows.*

Prelims trap · The floor is now the SDF

The floor was earlier the reverse repo; since April 2022 the SDF is the hard floor, set just below the repo. *Rule: ceiling MSF, benchmark repo, floor SDF.*

Prelims trap · CRR limits since 2006

The RBI Amendment Act of 2006 removed the 3% floor and the 40% ceiling on CRR. *Rule: CRR can be set anywhere from 0% to 100%; CRR is cash with RBI earning nothing, SLR is gold and bonds.*

MY NOTES

Handout alert · EBLR = MCLR = BR

The handout writes all three as f(marginal cost of funds), but Base Rate and MCLR are internal while EBLR is external. *Rule: Base Rate 2010, MCLR 2016, EBLR 2019; only EBLR is linked to an outside rate.*

QUICK QUIZ

Q1. Which of the following has the status of legal tender in India, per the handout?

1. Currency notes only
2. Notes, coins and CBDC
3. Bank deposits
4. Gold bonds

Q2. Seigniorage, as defined in the handout, is…

1. the printing cost of notes
2. net interest income on assets backing the currency
3. RBI's foreign exchange gain only
4. tax on currency

Q3. Why is the money supply curve drawn vertical?

1. Money demand is constant
2. RBI is a monopoly producer and its objective is adequacy and trust, not profit
3. Banks create unlimited money
4. Interest rates are fixed by law

Q4. Which is excluded from the money supply measures M1 to M4?

1. Demand deposits of the public
2. Currency with the public
3. Deposits of the Government of India with RBI
4. Time deposits with banks

Q5. NM2 equals NM1 plus…

1. post-office deposits
2. short-term time deposits of residents (up to 1 year)
3. long-term time deposits (over 1 year)
4. call and term funding

Q6. The money multiplier falls when…

1. cdr falls
2. rdr rises
3. rdr falls
4. M0 rises

Q7. A liquidity trap occurs when…

1. interest rates are at r-max
2. people hold cash because they expect rates to rise, and more money supply does not lower rates or raise spending
3. banks have no reserves
4. inflation is above 6%

Q8. The CRR is kept…

1. with the bank in G-secs
2. with RBI in cash, earning no interest
3. with RBI in G-secs earning interest
4. in gold

Answers: Q1 b, Q2 b, Q3 b, Q4 c, Q5 b, Q6 b, Q7 b, Q8 b

MY NOTES

CHAPTER 9 · HANDOUT PP. 1-18

09 Capital Markets: Money Market, Stock Market, Derivatives and Funds

HIGH PRIORITY Mains PYQs quoted: **2013**

Prelims PYQs: **2014, 2019, 2020, 2021, 2022, 2023, 2024**

EXAM LENS

Prelims hooks

- T-bill and CMB maturities
- who can issue CP and CoD
- primary versus secondary market
- IPO versus OFS
- DRHP/RHP
- ASBA
- green shoe
- novation
- NSDL and CDSL
- Sensex and Nifty facts
- alpha and beta
- futures versus options
- NAV and TER
- ETF
- ADR, GDR, IDR
- P-Notes

Mains hooks

- what stock exchanges, clearing houses and depositories do for trust
- why the stock market is not the economy and why it can rise when the economy falls
- why derivatives are risk-management tools
- why retail investors lose
- regulation of P-Notes

a market works because strangers can trust each other; every institution in it exists to manufacture that trust.

IN SIMPLE WORDS

- The **money market** trades short-term (**under 1 year**) debt for working capital. The **capital market** trades equity and longer debt for fixed capital.
- In **primary** markets the company issues new shares. In **secondary** markets investors trade and the company is not involved. In an **OFS** the company receives **zero**.
- Strangers can trade because institutions build trust: the **exchange**, the **clearing house** (pre-funding and novation), **depositories** (NSDL, CDSL) and **brokers**.
- **Alpha** is the extra return over a benchmark

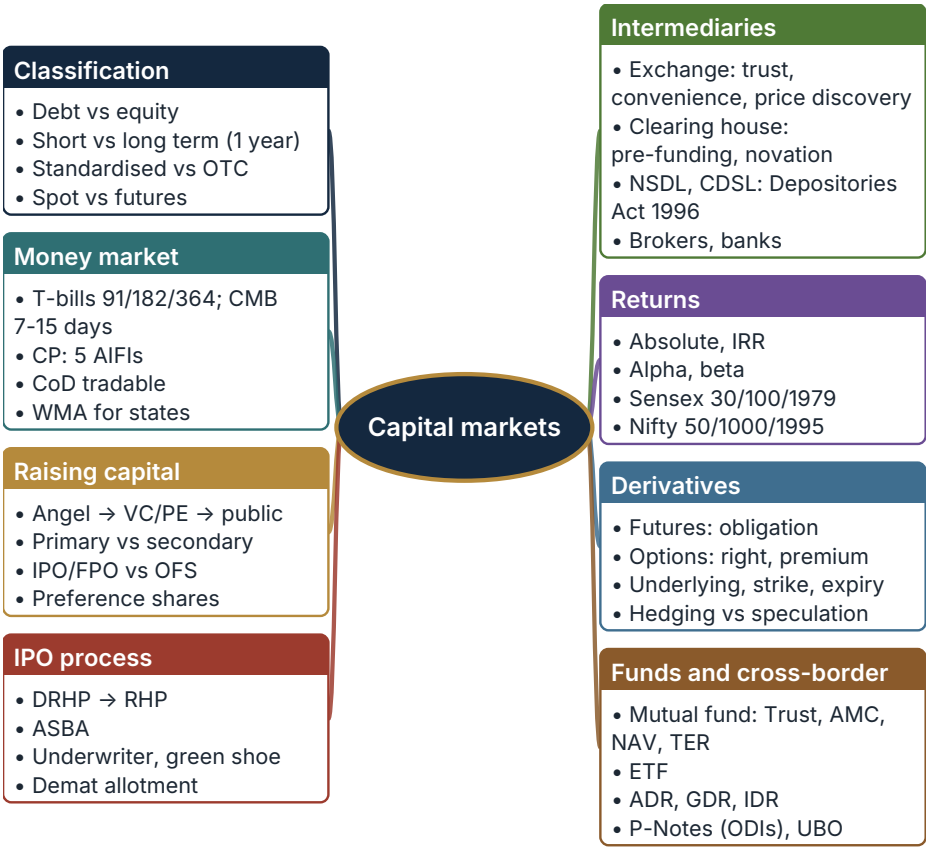
MY NOTES

- **beta** is volatility against it. **Sensex** and **Nifty** are baskets, and an index is **not the economy**
- **Futures** are an obligation
- **options** are a right with a loss capped at the **premium**. Funds, ETFs, depository receipts and P-Notes are other ways to invest

Key term	In plain words
Near money	Money market instruments: very liquid, low risk and low interest.
Zero coupon	No interest paid; sold at a discount and redeemed at par, as with T-bills.
OTC	Over The Counter: customised contracts that are not easily traded.
Derivative	A contract with no value of its own; it derives value from an underlying.
Underwriter	An investment bank that promises to buy all unsold shares.
DRHP and RHP	Draft prospectus with no valuation, which becomes the RHP once the price band is final.
ASBA	Application Supported by Blocked Amount: money is blocked, not debited.
Green shoe option	Over-allotment option used to stabilise the price after listing.
Novation	The clearing house becomes buyer to every seller and seller to every buyer.
Demat	Digital holding of shares, kept with a depository.
Settlement cycle	Time from execution to credit of shares and money; now T+1.
Alpha	Additional return a portfolio earns over the benchmark.
Beta	Volatility relative to the benchmark; 1.5 means 50% more volatile.
NAV	Net asset value per unit: (assets minus liabilities and expenses) divided by units.
ETF	Passively managed fund whose units are listed and traded live on the exchange.
P-Notes (ODIs)	Offshore Derivative Instruments issued by FIIs; SEBI now requires UBO disclosure.

MY NOTES

CHAPTER MAP



REMEMBER IT AS Short debt is the money market, long money is the capital market, and every institution in between exists to manufacture trust.

EXAM LENS: WHAT THE HANDOUT STRESSES

SOURCE NOTE

Handout only. No class slides, no teacher ink. **No Prelims or Mains PYQ is quoted** in this handout: none quoted in the material. Priority below is the handout's own emphasis (explicit numbers, definitions and its "starred" points).

What the handout stresses

Signal in the handout	Where	Why it matters
Money market = under **1 year,** debt only, "near money"; capital market = long term (fixed capital formation)	Section 1	Basic classification
T-bills 91, 182, 364 days; CMBs 7-15 days; only the Centre issues them; zero-coupon, sold at a discount	Section 2	Numbers
CP: investment-grade rating (SEBI); **5 AIFIs** can issue (NABARD, NHB, SIDBI, EXIM, NaBFID). **CoD** tradable	Section 2	Lists

MY NOTES

Signal in the handout	Where	Why it matters
Primary versus secondary; IPO/FPO versus **OFS** (company gets zero); **DRHP → RHP; ASBA; green shoe**	Sections 3-4	Process terms
Clearing house: pre-funding and **novation; Depositories Act 1996:** NSDL, CDSL; **T+1,** moving to T+0	Section 5	Institutions and dates
Alpha and beta; Sensex 30 companies, base 100, 1979; Nifty 50, base 1000, 1995; rebalanced about every 6 months	Sections 6-7	Numbers
Futures (obligation) versus options (right); **strike, expiry, premium**	Section 8	Highway-and-land example
Mutual fund as a Trust (Indian Trusts Act 1882); AMC; NAV; TER; ETF; **ADR, GDR, IDR; P-Notes (ODIs),** UBO rules 2016-2017	Sections 9-10	Definitions

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: High. 16 Prelims and 1 Mains questions map to this chapter.

Most-asked topics: Money market instruments (8 Prelims, 0 Mains); Stock market intermediaries (3 Prelims, 0 Mains); From a business idea to a public company (2 Prelims, 1 Mains).

Prelims years: 2014, 2019, 2020, 2021, 2022, 2023, 2024. Mains years: 2013.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

START HERE: 60 SECONDS, KEY WORDS, NCERT MAP

THE WHOLE CHAPTER IN 60 SECONDS

- **Two markets**: money market = debt under 1 year, near money; capital market = equity and debt over 1 year, fixed capital
- **Instruments**: T-bills 91/182/364 days and CMBs 7-15 days (Centre only); CP; CoD (tradable)
- **Raising money**: primary market = company gets money (IPO/FPO); secondary = investor to investor; OFS = company gets zero
- **Trust architecture**: exchange + clearing house (pre-funding, novation) + depositories (NSDL, CDSL) + broker + bank
- **Yardsticks**: Sensex 30 firms base 100 (1979); Nifty 50 base 1000 (1995); alpha = extra return, beta = volatility
- **Derivatives and funds**: futures = obligation, option = right with capped loss; mutual fund = Trust with NAV; ETF trades live

MY NOTES

Word	Meaning
Money market	the place for borrowing and lending for less than a year, to keep day-to-day cash flowing
Capital market	the place where money is tied up for long, to build factories and expand
Primary market	where a company sells brand-new shares and receives the money
Secondary market	where one investor sells to another; the company is not involved
Clearing house	the middleman that stands as buyer to every seller and seller to every buyer, so nobody can default on you
Derivative	a contract with no value of its own; it draws its value from something else (the underlying)
NAV	the value of one mutual fund unit: (assets minus liabilities) divided by units
Depository receipt	a paper traded abroad that stands for real shares kept at home

📘 READ NCERT FIRST: WHERE EACH NCERT PART FITS THIS CHAPTER

NCERT part	Handout section	What it adds
Class XI Ch 3: financial sector reforms, FII, glossary	1, 5, 10	RBI from regulator to facilitator; FII allowed; stock market and exchange definitions
Class XI Ch 3: privatisation and disinvestment	4	Disinvestment, targets and criticism
Class XII Ch 3: OMO, repo, reverse repo, reserves	2	Outright versus repo operations; maturities
Class XII Ch 3: bonds and present value	Current affairs	Why bond prices and yields move opposite
Class XII Ch 1: macro decision makers	5	RBI and SEBI as public-goal bodies

MY NOTES

1 · CAPITAL MARKETS: THE FOUR WAYS TO CLASSIFY CONTRACTS

🧠 **UNDERSTAND IT FIRST**

Think of two kinds of money jobs. One is plumbing: a shop needs cash for a few weeks to pay suppliers, so it borrows for under a year. That is the money market, low risk and almost as good as cash. The other is construction: a factory needs money for years, so the investor parts with cash for long and cannot easily get it back. That is the capital market. In both, the people with and without money decide themselves and carry the risk; the middlemen only help with information, trust and paperwork.

✏ **EXAMPLE**

The handout's own line: equity gives rights in perpetuity, so it is long term and belongs to the capital market; only debt below 1 year is money market. Banking is different: there the bank decides (Chapter 7).

In capital markets the **demanders and suppliers themselves decide,** so they **bear the risks** and enjoy most of the reward. Intermediaries give information, build trust and do back-end work. (In banking, by contrast, the bank decides: see Chapter 7.) Contracts are classified by:

- **1. Rights and obligations:** debt versus equity.
- **2. Maturity:**
  - Less than 1 year is **short term**
  - more than 1 year is **long term.**
- **3. Terms and conditions:** standardised versus customised.
- **4. Settlement:** spot versus futures (derivatives).

Money market versus capital market

	Money market	Capital market
Contracts	Short-term (**below 1 year**) **debt** contracts (equity gives rights in perpetuity, so it is long term)	Equity, and debt of **more than 1 year** (loans, bonds)
Purpose	Manage **working capital** and short-term liquidity mismatches	**Fixed capital formation** (factories, expansion)
Features	Less risky, usually **unsecured,** low interest, extremely liquid: **"near money"**	Money turns into an asset for long: money loses liquidity (the asset itself may be liquid)

📘 **FROM NCERT · NCERT CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 3 (FINANCIAL SECTOR REFORMS) AND GLOSSARY**

In plain words: The handout says the capital market is where demanders and suppliers decide for themselves. NCERT tells the same story from the side of the regulator: after 1991 the

MY NOTES

RBI was meant to step back from controller to helper, so that markets could decide more. Read the three small steps below.

Link to the handout: Handout section 1: "in banking the bank decides; in capital markets the parties decide". NCERT's reform aim is the move from decision-making by the RBI towards decision-facilitating.

What the "financial sector" means in NCERT

- Financial sector = financial institutions such as commercial banks, investment banks, stock exchange operations and the foreign exchange market. It is regulated by the RBI.
- Glossary: **Financial Institutions** = institutions that mobilise and allocate savings: commercial banks, cooperative banks, developmental banks and investment institutions.
- Before reforms the RBI decided the amount of money banks could keep with themselves, fixed interest rates and the nature of lending to sectors.

The reform aim and what changed

Reform point (NCERT)	In plain words
RBI to move "from regulator to facilitator"	The financial sector may take many decisions without consulting the RBI
Private sector banks, Indian and foreign, allowed	More players in banking
Foreign investment limit in banks raised to around 74 per cent	Foreign money may own a large part of a bank
Banks meeting conditions may open branches without RBI approval	Less permission-raj
Foreign Institutional Investors (FII), such as merchant bankers, mutual funds and pension funds, allowed to invest in Indian financial markets	Foreign money into the stock market: the origin of today's FPIs

NCERT glossary words you will meet in this chapter

Term	NCERT's definition (short)
Stock Market	An institution where stocks and shares are traded
Stock Exchange	A market in which the securities of governments and public companies are traded; it provides facilities for stock brokers to trade company stocks and other securities

MY NOTES

Term	NCERT's definition (short)
Merchant Bankers	Banks or financial institutions, also known as investment bankers, that specialise in advising companies and managing their equity and debt requirement through floatation and sale or purchase of stocks and bonds

NCERT differs: NCERT's Stock Exchange glossary says securities of "governments and public companies" are traded; the handout also stresses that the same exchanges (NSE, BSE) serve the primary market (IPOs) as well. Both are true; the handout adds the primary-market role. *(handout/teacher wins in class)*

⭐ REMEMBER

Money market = under 1 year, debt, near money. Capital market = factories, long term. Four splits: rights, maturity, terms, settlement.

2 · MONEY MARKET INSTRUMENTS

🧠 UNDERSTAND IT FIRST

Four short-term IOUs. A T-bill is the Centre's IOU sold at a discount (say you pay less today and get the full face value back later), so there is no interest coupon. A CMB is the same idea but for just days. Commercial paper is a company's IOU, allowed only if its rating is good enough. A certificate of deposit is a bank's IOU, and unlike an FD you can sell it on.

✏ EXAMPLE

The handout: States do not issue T-bills; they use Ways and Means Advances (WMA) from RBI. Five AIFIs can issue CP: NABARD, NHB, SIDBI, EXIM Bank, NaBFID.

T-bills, CMBs, CP and CoD

Instrument	Issuer	Key facts (from the handout)
Treasury Bills (T-bills)	**Only the Centre**	Unsecured short-term government debt; maturity **91, 182, 364 days; zero coupon:** sold by **auction at a discount** and redeemed at par (face value)
Cash Management Bills (CMBs)	**Only the Centre**	Maturity **7 to 15 days. State governments** manage short-term mismatches through **Ways and Means Advances (WMA) from RBI,** not T-bills

MY NOTES

Instrument	Issuer	Key facts (from the handout)
Commercial Paper (CP)	Corporations, several NBFCs, **InvITs, DFIs**	Unsecured; issuer needs a rating **above a SEBI-prescribed minimum investment grade.** Five **AIFIs** (All India Financial Institutions) can issue: **NABARD, NHB, SIDBI, EXIM Bank, NaBFID** (National Bank for Financing Infrastructure Development)
Certificate of Deposit (CoD)	Banks	Short-term deposits raised by issuing certificates, used when banks face a liquidity crunch. Unlike FDs, **CoDs are tradable**

📘 FROM NCERT · NCERT CLASS XII MACROECONOMICS, CH 3 (OPEN MARKET OPERATIONS; BANK RESERVES)

In plain words: The handout lists the instruments that the money market trades. NCERT adds two things the handout does not: how the RBI itself buys and sells government paper (OMO), and the repo, the money market's everyday loan.

Link to the handout: Handout section 2 (T-bills, CMBs, CP, CoD) and Chapter 8 (RBI's tools). The repo and reverse repo are the RBI's short-term lending and borrowing against government securities.

Step 1 · Open Market Operations (OMO)

- OMO = buying and selling of bonds issued by the Government in the open market, entrusted to the central bank on behalf of the Government.
- RBI buys a bond and pays by cheque: reserves in the economy rise, so money supply rises. RBI sells a bond to private individuals or institutions: reserves fall, so money supply falls.

Step 2 · Two kinds of OMO

- RBI conducts repo and reverse repo operations at various maturities: overnight, 7-day, 14-day. NCERT calls these the main tool of monetary policy.

Kind	What happens	Effect
Outright	RBI buys or sells the securities with no promise to reverse the deal later	Permanent injection or absorption of money
Repo (repurchase agreement)	RBI buys a security and the agreement also fixes the date and price of resale	Money lent for a fixed time; the interest rate is the **repo rate**

MY NOTES

Kind	What happens	Effect
Reverse repo	RBI sells a security with a fixed date and price at which it will be repurchased	Money withdrawn for a fixed time; the rate is the **reverse repo rate**

Step 3 · Treasury bills in NCERT's bank-reserve story

- NCERT says a bank's reserves are deposits with the RBI plus its cash, "kept partly as cash and partly in the form of financial instruments (bonds and treasury bills) issued by the RBI".

NCERT differs: NCERT says bonds and treasury bills are "issued by the RBI". The handout says T-bills and CMBs are issued only by the Centre (the RBI runs the auction for it). Use the handout in class: only the Centre issues T-bills. *(handout/teacher wins in class)*

NCERT differs: NCERT's repo and reverse repo pair is older wording; the Chapter 8 handout uses the corridor with the SDF as floor. Learn the handout corridor, recognise NCERT's terms. *(handout/teacher wins in class)*

⭐ REMEMBER

T-bill 91-182-364; CMB 7-15 days; only the Centre. CP = rated company paper; CoD = bank paper you can trade.

3 · CUSTOMISED VERSUS STANDARDISED, SPOT VERSUS FUTURES

🧠 UNDERSTAND IT FIRST

Some contracts are tailor-made (a loan, a debenture) and so are hard to sell to a stranger. Others come in standard sizes (a bond, an ordinary share) so many people trade them freely. Separately, you can settle at once (spot) or fix a price today for a deal later (futures or forward). A derivative is a contract whose value comes from something else, like a betting slip on rain.

✏ EXAMPLE

The handout's pairs: customised (OTC) = loans, debentures, preference shares; standardised = bonds, common equity. Futures are standardised; forwards are OTC.

MY NOTES

Two more splits

	Customised (OTC)	Standardised
Liquidity	Market not well developed, not easily tradable except via specific counters: **Over The Counter (OTC)**	Many buyers and sellers, easily tradable on markets
Examples	Loans, debentures, preference shares	Bonds, common equity

- **Spot contracts:**
  - Settled on the spot (buyer pays, seller delivers)
  - Also called **CNC (Cash and Carry).**
- **Futures (standardised) / Forwards (OTC):**
  - Signed today, exchange at a **future date** at a **predetermined price.** The **underlying** is the commodity or contract
  - The agreed price is the **strike price** (the biggest factor is the **current market price, CMP**)
  - The time limit is **maturity.**
- **Derivatives:**
  - Contracts with no value of their own
  - They **derive** value from the underlying (futures, options, swaps, securitised loans). The handout likens one to a **betting slip** on rain

⭐ **REMEMBER**

Customised = OTC, hard to trade. Standard = liquid. Spot = now; futures = fixed price, later. Derivative = value borrowed from the underlying.

4 · FROM A BUSINESS IDEA TO A PUBLIC COMPANY

🧠 **UNDERSTAND IT FIRST**

A business starts as one person's idea, then becomes a company, a separate legal body that can sign contracts and be sued. To grow it takes money from angel investors, then funds and investment banks, and at last the public through an IPO. In an IPO the company sells new shares and gets the cash. In an OFS the early owners sell their shares and the company gets nothing. So always ask how much of the headline is fresh issue.

✏ **EXAMPLE**

The handout's sum: a ₹10,000 Cr IPO with ₹9,000 Cr as OFS means the company raises only ₹1,000 Cr. The green shoe: the underwriter borrows extra shares from promoters, sells them, and if the price crashes on listing uses that cash to buy shares back.

MY NOTES

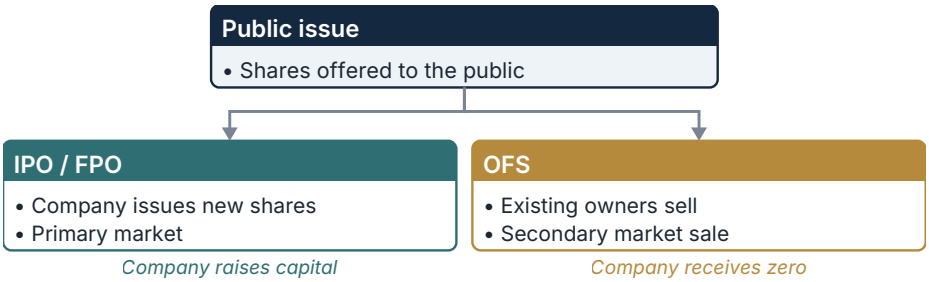
📐 Formulas of this section

OFS ARITHMETIC

company raises = IPO size − OFS part

₹10,000 Cr − ₹9,000 Cr = ₹1,000 Cr (handout)

IPO OR OFS: WHO GETS THE MONEY?



- A **company** exists independently of the entrepreneur, so it can enter enforceable contracts, sue and be sued. **Authorised capital** is the total shares of some face value it may issue
- The part issued is **paid-up capital.** Promoters bring the initial capital. Shares can be given without money, e.g. **sweat equity** for employees
- Growth stages:
  - **Angel investors** (money plus experience, network, mentoring; a valuation is negotiated and equity given)
  - Then **venture capital funds, private equity funds, investment banks** (who raise from firms and HNIs)
  - Finally the **public.**
- **Primary market:**
  - The company issues **new shares** from its authorised capital. **Secondary market:** an existing investor sells to a new one
  - **The company is nowhere involved.**
- **Preference shares:** customised shares with **priority rights** (fixed dividend first and capital back first on bankruptcy). Only beyond a point are standardised shares issued for liquidity.

Public issue

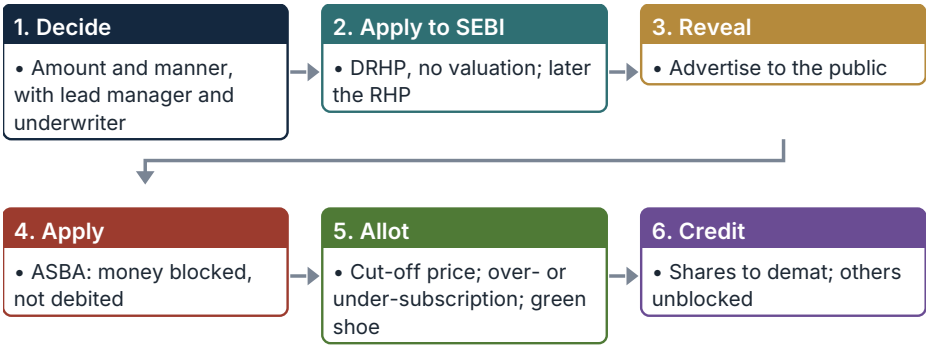
Term	Meaning
IPO / FPO	Initial / Follow-on Public Offer: the company issues shares and **raises capital**
OFS (Offer for Sale)	Existing owners sell to the public: a **secondary market** sale. **The company receives ZERO.** Example in the handout: a ₹10,000 Cr IPO with ₹9,000 Cr as OFS means the company raises only ₹1,000 Cr

MY NOTES

THE IPO PROCESS (SEBI-PRESCRIBED)

- **1.** The company decides the amount (e.g. ₹10,000 Cr) and manner (fresh issue or OFS, capital structure, valuation) with advisors: **investment banks (lead manager, underwriter).** An **underwriter** promises to buy all unsold shares.
- **2. Application to SEBI:**
  - Documents (balance sheet, promoter records, risks). The **DRHP (Draft Red Herring Prospectus)** has **no valuation**
  - after approval and once the price band is final it becomes the **RHP.** ("Red herring": intentionally lacks final price and quantity.)
- **3. Revealing to the public** by advertisement.
- **4. Application and allotment** through **ASBA (Application Supported by Blocked Amount):** the money is **blocked, not debited,** so you keep earning savings interest and refunds are not delayed.
- **5. Cut-off price. Over-subscription:**
  - Demand exceeds supply (fair allocation)
  - **Under-subscription:** demand below supply (the underwriter steps in). The **green shoe option** is an over-allotment option for price stabilisation: the underwriter borrows extra shares from promoters and sells them
  - If the price crashes on listing, the cash is used to buy back shares from the market
- **6.** Successful applicants get shares in their **demat** accounts
- Others get funds unblocked

THE IPO PROCESS IN SIX STEPS



Public issues and trading both take place on **NSE and BSE;** exchanges serve the **primary** as well as the secondary market (commonly forgotten).

📘 **FROM NCERT · NCERT CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 3 (PRIVATISATION, DISINVESTMENT)**

> **In plain words:** An OFS or a public sale of shares is also how the government sells part of a public company. NCERT calls

MY NOTES

this **disinvestment**. It explains why the handout's warning "read who gets the money" matters for government sales as well.

Link to the handout: Handout section 4: IPO, FPO, OFS. NCERT's disinvestment is the government selling part of its equity to the public.

Step 1 · What disinvestment is

- Privatisation of public sector enterprises by selling off part of their equity to the public is known as **disinvestment**.
- Glossary: disinvestment = a deliberate sale of a part of the capital stock of a company to raise resources and change the equity and/or management structure of a company.
- Two routes to privatisation: (i) withdrawal of the government from ownership and management of public sector companies, and/or (ii) outright sale of public sector companies.
- Purpose according to the government: to improve financial discipline and facilitate modernisation; private capital and managerial capabilities could improve the performance of PSUs.

Step 2 · The numbers NCERT gives

- Every year the government fixes a target for disinvestment of PSEs.

Year	What happened
1991-92	Target: mobilise Rs 2500 crore; the government mobilised Rs 3,040 crore more than the target
2022-23	Government mobilised about Rs. 46,000 crores

Step 3 · The criticism NCERT records

- Critics: assets of PSEs were undervalued and sold to the private sector, a substantial loss to the government.
- Proceeds were used to offset the shortage of government revenues, not for developing the PSEs or building social infrastructure.
- Navratnas, maharatnas and miniratnas: PSEs given special status and managerial autonomy (NCERT Box 3.1) to compete better.

NCERT differs: NCERT's "strategic and minority sale" (its Exercise 6) is not explained in the text and is not in the handout; the handout only separates primary issue from OFS. *(handout/teacher wins in class)*

MY NOTES

⭐ **REMEMBER**

Primary = company gets money. Secondary = investor to investor. OFS = company gets ZERO. DRHP (no price) becomes RHP (price band).

🧠 **MEMORY AID · THE IPO PROCESS, SIX STEPS IN ORDER**

Don't Skip Reading Any Company Documents

D Decide amount and manner with advisors (lead manager, underwriter)	**S** SEBI application: DRHP becomes RHP
R Reveal to the public by advertisement	**A** Apply through ASBA (money blocked, not debited)
C Cut-off price; over- or under-subscription; green shoe	**D** Demat credit to successful applicants, funds unblocked for others

Own memory aid (not from the handout): the six steps are the handout's own list, in its order.

5 · STOCK MARKET INTERMEDIARIES

🧠 **UNDERSTAND IT FIRST**

Strangers will not hand money to strangers unless someone guarantees the deal. The exchange is the marketplace and price-finder. The clearing house checks that money and shares are locked before the order and then stands in the middle of every trade, so if one side fails the other is still safe. Depositories keep your shares safely in digital form. A broker is your gateway, and banks supply the money. Settlement, the time from trade to delivery, has shrunk from 14 days to T+1.

✏ **EXAMPLE**

The handout: before the Depositories Act, 1996 shares were paper, settlement took 14 days and brokers misused client assets, ending in the 1992 stock market scam. Brokers first met under a Banyan tree in Mumbai in 1875.

MY NOTES

Five main intermediaries

Intermediary	Role (from the handout)
Stock exchanges (NSE, BSE)	Background tasks, **trust** between strangers, information on demand, supply and price, for **rational price discovery.** Brokers first met under a **Banyan tree in Mumbai in 1875** (today's BSE). Three functions: **trust** (the market is the guarantor; the "Amazon" function), **convenience** (transfer of title via the Registrar), **rationality / price discovery** (participation gives depth, so no one can manipulate the price)
Clearing house (CH)	The **trust architect. Pre-funding:** buyer's money is blocked in the trading account and the seller's shares are blocked in the demat account before the order. **Novation:** the CH becomes buyer to every seller and seller to every buyer, so **counterparty risk is annihilated**
Depositories and DPs	Safe storage of digital assets (shares, bonds, MF units, T-bills). The **Depositories Act, 1996** created **NSDL and CDSL** and mandated **dematerialisation.** Before, shares were paper, settlement took **14 days,** and brokers misused client assets, culminating in the **1992 stock market scam**
Brokers	The gateway: citizens cannot trade directly. A **SEBI-registered broker** opens a **trading account** (holds funds); a **demat** account is opened with NSDL or CDSL
Banks	Provide money to investors, own or borrowed

MEMORY AID · FIVE STOCK MARKET INTERMEDIARIES

S **H** **R** **E** **D**

Intermediaries SHRED the distrust between strangers who trade.

S Sources of money: banks give investors their own or borrowed funds
H House, the clearing house: pre-funding and novation
R Registered brokers: the SEBI-registered gateway to trading
E Exchanges (NSE, BSE): trust, convenience, price discovery
D Depositories and DPs: NSDL and CDSL store digital assets

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

The flow: open trading and demat accounts, place a buy order via the broker, the CH makes sure obligations are met first, orders form **bids and asks,** a matched order is **executed.** The time from execution to credit of shares and money is the **settlement cycle.** Settlement is now **T+1** (T = transaction day) with a **migration to same-day (T+0)** started.

MY NOTES

HANDOUT ALERT: DEMAT DATE AND SETTLEMENT

The handout says the **Depositories Act was passed in 1996** and, later, that SEBI required **dematerialisation in 1995.** The 1996 Act is the statutory date; **1995** is given for the SEBI requirement. Also, settlement was **14 days** earlier and is **T+1** now. Exam-hall rule: quote **Depositories Act 1996 (NSDL, CDSL)**; mention 1995 only if a question uses it.

📘 **FROM NCERT · NCERT CLASS XII MACROECONOMICS, CH 1 (MACRO PLAYERS)**

In plain words: The handout names SEBI as the market regulator. NCERT's one line puts it with the RBI as a macro decision maker whose goals are public goals, not private profit.

Link to the handout: Handout section 5, exchanges and the regulator (SEBI); Chapter 7 puts the RBI as decision-maker and SEBI as decision-facilitator.

What NCERT says

- Macroeconomic policies are pursued by the State itself or by statutory bodies like the Reserve Bank of India (RBI), the Securities and Exchange Board of India (SEBI) and similar institutions.
- Each such body has one or more public goals defined by law or the Constitution of India; they are not the goals of individuals maximising private profit or welfare.

⭐ **REMEMBER**

Exchange = trust, convenience, price discovery. CH = pre-funding + novation. NSDL and CDSL = Act of 1996. T+1, moving to T+0.

6 · RETURNS: ABSOLUTE, IRR, ALPHA AND BETA

🧠 **UNDERSTAND IT FIRST**

Return can be told in several ways. Absolute return is just start to finish. Average return is the yearly compounded figure. IRR looks at every cash flow in between, like rent and repairs on a flat. Comparative return asks whether you beat the benchmark. Alpha is the extra return over the benchmark; beta is how wildly you swing compared with it. A high beta with no alpha means more risk for no reward.

MY NOTES

✏ EXAMPLE

The handout's house example: bought at ₹2 Cr, worth ₹5 Cr in 5 years, but rent and maintenance cash flows change the real return. Beta 1 moves exactly with the Nifty; beta 1.5 is 50% more volatile.

📐 Formulas of this section

BETA READING

beta 1 = moves with Nifty; beta 1.5 = 50% more volatile

high beta + no alpha = more risk, no extra return

Ways to look at returns

Kind	Meaning
Absolute returns	Point to point over a period
Average returns	Per year, as a **compounded** average
IRR / XIRR	Internal rate of return on **cash flows** (regular or irregular investments, dividends, rent, maintenance). The handout's house example: bought at ₹2 Cr, worth ₹5 Cr in 5 years, but rent and maintenance cash flows change the real return
Comparative returns	Against a **benchmark** (Nifty 50, Sensex or a relevant index)
Alpha	The **additional** return a portfolio earns over the benchmark
Beta	The portfolio's **volatility relative to the benchmark.** Beta 1 moves exactly with the Nifty; **beta 1.5 is 50% more volatile (riskier).** High beta with no alpha means more risk without better returns

⭐ REMEMBER

Alpha = extra return. Beta = volatility versus the benchmark. IRR counts cash flows.

7 · BENCHMARKS AND INDICES: NIFTY, SENSEX AND MARKET VERSUS ECONOMY

🧠 UNDERSTAND IT FIRST

An index is a scoreboard for a basket of big listed companies, weighted by size. It starts at a base value (100 or 1000) and moves with the weighted average price. But the scoreboard covers only the largest, most formal firms, so it can hit a record while small businesses, farmers and the jobless suffer. Also, markets look ahead while the economy reports the past.

MY NOTES

✏ EXAMPLE

The handout's sum: if the weighted average price rises from 10,000 (index 100) to 100,000 the index is 1000, ten times in 10 years. COVID: the market hit record highs while GDP fell, because large firms survived and took the share of dying small ones.

📐 Formulas of this section

INDEX JUMP

index = base × (WAP now ÷ WAP at base)

WAP 10,000 → 100,000 on base 100 gives 1000

- A **benchmark** is a basket of listed companies with **weights** by relative importance (assessed mainly by **free-float market capitalisation**). Its **weighted average price (WAP)** at the base date is **indexed** to 100 or 1000. If WAP goes from 10,000 (index 100) to 100,000 the index is **1000:** the sector gave **10 times** over 10 years. A relevant benchmark for an IT-heavy portfolio is an IT index.
- Indices are **rebalanced about every 6 months** (firms exit and enter, weights change).

Sensex versus Nifty

	BSE Sensex	Nifty 50
Companies	30	50
Base value	100	1000
Base year	1979	1995

MARKET VERSUS ECONOMY

- Broad indices are used as a **proxy** for economic health, which can mislead. They reflect only the WAP of **50 largest, most formal, cash-rich corporations,** not unorganised MSMEs, agricultural distress, poverty, unemployment, inflation or trade.
- In **systemic shocks (COVID-19)** the market can hit **record highs** while GDP falls and unemployment rises, because large firms survive and capture the share of dying small businesses.
- **Forward-discounting mechanism:** the economy is a mirror of the past and present, but the stock market **discounts the future** (about 18 months ahead in the handout's words). A stock price is the aggregate of what millions expect a company to earn.

⭐ REMEMBER

Sensex 30 / 100 / 1979. Nifty 50 / 1000 / 1995. Market looks forward, economy mirrors the past.

MY NOTES

8 · DERIVATIVES: THE HIGHWAY-AND-LAND EXAMPLE

🧠 **UNDERSTAND IT FIRST**

Picture a plot of land worth ₹10 L that becomes ₹50 L if a highway is approved and ₹5 L if cancelled. Buying now ties up all your cash. A future locks a price for one year with nothing paid now, and you must buy whatever happens, so you can lose. An option costs a small non-refundable fee for the right, not the duty, to buy, so your loss is capped at the fee. The contract itself can become valuable and tradable.

✏ **EXAMPLE**

The handout's table: futures at ₹11 L give profit ₹39 L if approved, loss ₹6 L if cancelled. Option with ₹1 L premium gives net profit ₹38 L if approved, loss only ₹1 L if cancelled.

📐 Formulas of this section

FUTURES PAYOFF

profit = market value − agreed price

₹50 L − ₹11 L = ₹39 L; ₹5 L − ₹11 L = −₹6 L

OPTION PAYOFF

net = market value − strike − premium

₹50 L − ₹11 L − ₹1 L = ₹38 L; loss capped at ₹1 L

The handout uses land worth ₹10 L that could be worth ₹50 L if a highway is approved or ₹5 L if cancelled, with the decision in one year.

Spot versus futures versus option

Contract	What you do	If approved (₹50 L)	If cancelled (₹5 L)	Risk
Spot (cash and carry)	Pay ₹10 L now, take the papers	You own it	You own it	100% risk, all capital tied up
Futures / forward	Agree to buy for **₹11 L** in one year; no money now	Profit **₹39 L**	Loss **₹6 L** (bound to buy a worthless plot)	**Symmetrical,** an obligation for both
Option	Pay a non-refundable **₹1 L premium** for the **right, not the obligation,** to buy at ₹11 L	Net profit **₹38 L** (cost ₹12 L)	Loss **only ₹1 L:** tear up the contract	**Asymmetrical:** upside large, downside capped at the premium

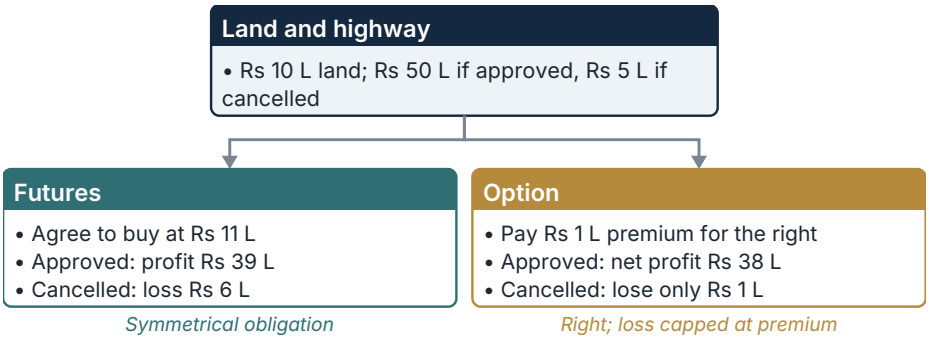
MY NOTES

Mapping to market terms

In the example	Term
The barren land	**Underlying asset** (shares, gold, wheat)
The 1-year deadline	**Expiry date**
The agreed ₹11 L	**Strike price**
The ₹1 L token	**Option premium**

- The option itself becomes tradable and valuable (others may offer ₹15 L for it): that is why derivatives are traded.

FUTURES VERSUS OPTION



- **Philosophy:**
  - Derivatives are **risk-management (hedging)** vehicles
  - Institutions buy options as insurance. Retail traders use the **leverage** (₹1 L premium controls ₹50 L of exposure) for gambling
  - The handout says **99% of retail derivative traders lose money.**
- **The ticking clock:**
  - In spot markets you need to be right on **direction**
  - in derivatives you must be right on **direction AND time.** A call option expiring March 31 is worthless if the highway is announced April 1

⭐ **REMEMBER**

Future = obligation, symmetrical. Option = right, loss capped at premium. Be right on direction AND time.

MY NOTES

9 · EXPERT HANDLING OF MONEY: MUTUAL FUNDS AND ETFS

🧠 **UNDERSTAND IT FIRST**

Trading yourself means competing against institutions that heard the news months before you. The handout's advice is to hand your money to experts. A mutual fund pools money from many people, a fund manager invests it, and each investor holds units. An ETF is a fund that simply copies an index and trades live on the exchange like a share.

✏ **EXAMPLE**

The handout: a Nifty 50 ETF holds the exact 50 stocks in index weights. A mutual fund NAV is computed once a day (EOD); an ETF value can be computed every second.

📐 Formulas of this section

NAV

NAV = (assets − liabilities and expenses) ÷ units

one unit of a mutual fund

- **Retail trap:**
  - Slogans like "Yeh market sabka hai" and FOMO
  - By the time news reaches retail traders, institutions have known for months. The handout says **9 out of 10 retail traders lose money** and advises handing capital to experts, i.e. **mutual funds.**
- Every "fund" has: an **owner,** a **designated objective,** a **fund manager, voluntary contributors** and a **corpus.**

Mutual fund versus ETF

	Mutual fund	ETF (Exchange Traded Fund)
Structure	A **Trust** under the **Indian Trusts Act, 1882;** investors are beneficiaries; a board of **Trustees** oversees. An **AMC** (Asset Management Company) launches schemes and hires fund managers	Passively managed: e.g. a Nifty 50 ETF holds the exact 50 stocks in index weights
Unit value	Investors get **Units;** value of one unit is **NAV = (assets − liabilities and expenses) ÷ units. TER (Total Expense Ratio)** is capped by SEBI	Value computable every second
Trading	NAV computed **once a day (EOD);** buy and sell **with the AMC,** not on the exchange	Units **listed on the stock exchange** and traded live like shares

MY NOTES

⭐ **REMEMBER**

Fund = owner + objective + manager + contributors + corpus. NAV = (assets − liabilities) ÷ units. ETF = index, traded live.

10 · CROSSING BORDERS: DEPOSITORY RECEIPTS AND P-NOTES

🧠 **UNDERSTAND IT FIRST**

An Indian company that wants dollars from abroad can keep its shares with a bank in Mumbai and let a bank overseas issue receipts against them, traded in dollars. That is an ADR (US) or GDR (global). An IDR is the mirror: a foreign company raises rupees here. P-Notes were a back door: black money went offshore, came back through a registered FII, and SEBI could not see the real owner. After 2016-2017 FIIs had to disclose the Ultimate Beneficial Owner.

✏ **EXAMPLE**

The handout's examples: Infosys for ADR and GDR, Standard Chartered for IDR, Mauritius as the tax haven in the P-Note round trip.

Depository receipts

Instrument	Meaning
Mechanism	An Indian company (the handout uses Infosys) deposits shares with a **local custodian bank** in Mumbai; an **overseas depository bank** issues **receipts** against them, traded in dollars abroad. Avoids conforming the whole accounting system to US standards
ADR	American Depository Receipt: traded in the US
GDR	Global Depository Receipt: Europe or other global markets
IDR	Indian Depository Receipt: the reverse; a **foreign** company raises rupees from Indian investors by issuing IDRs on BSE/NSE (the handout's example: Standard Chartered)

Participatory Notes (P-Notes) are officially **Offshore Derivative Instruments (ODIs).** They were used as a "washing mechanism" (round-tripping) for black money: illegal wealth goes to a tax haven (Mauritius), is handed to a SEBI-registered **FII** which invests in its own name; the FII issues a P-Note to the owner, passing on the profits. SEBI could not see the real owner. In **2016-2017** SEBI required FIIs to disclose the **Ultimate Beneficial Owner (UBO)** of every P-Note on request; issuance then fell sharply.

📘 **FROM NCERT · NCERT CLASS XI GLOSSARY: FII, FDI**

MY NOTES

In plain words: The handout's P-Notes story is about FIIs. NCERT's glossary gives the plain definitions of who an FII is and why "hot money" worries economists.

Link to the handout: Handout section 10 (P-Notes and FIIs) and Chapter 10 section 4 (FDI versus FPI).

Definitions as printed in NCERT

- NCERT's hot money point: equity investments are potentially "hot money" that can leave at the first sign of trouble, whereas FDI is durable and useful whether things go well or badly.
- NCERT growth figure: foreign investment (FDI plus FII) rose from about US $100 million in 1990-91 to US $ 23 billion in 2022-23.

Term	NCERT's words (short)
Foreign Institutional Investment	Foreign investments in the form of stocks, bonds or other financial assets; does not entail active management or control over the firms
Foreign Institutional Investors (FIIs)	Banking and non-banking financial institutions of foreign origin, e.g. commercial banks, investment banks, mutual funds, pension funds, as distinct from domestic institutions
Foreign Direct Investment	Investment of foreign assets into domestic structures, equipment and organisations; "does not include foreign investment into the stock markets"

NCERT differs: NCERT uses the old term FII. The handout (Chapter 10) says SEBI merged FIIs into FPIs in 2014; the handout term wins. (*handout/teacher wins in class*)

⭐ **REMEMBER**

ADR = US, GDR = global, IDR = foreigner raising rupees. P-Note = hidden owner; UBO rule 2016-2017.

MY NOTES

FORMULA SHEET, NUMBER CARD AND DRILLS

📐 FORMULA SHEET: COVER THE THIRD COLUMN, SAY THE FORMULA, THEN CHECK

Where	Name	Formula	Source
Sec 4	OFS arithmetic	**company raises = IPO size – OFS part**	handout
Sec 6	Beta reading	**beta 1 = moves with Nifty; beta 1.5 = 50% more volatile**	handout
Sec 7	Index jump	**index = base × (WAP now ÷ WAP at base)**	handout
Sec 8	Futures payoff	**profit = market value – agreed price**	handout
Sec 8	Option payoff	**net = market value – strike – premium**	handout
Sec 9	NAV	**NAV = (assets – liabilities and expenses) ÷ units**	handout
Sec end	Present value	**$10 \div (1 + r) + 110 \div (1 + r)^2$**	NCERT

🔢 NUMBER CARD: FIGURES TO HOLD

- **91 / 182 / 364** T-bill maturities in days
- **7-15 days** Cash Management Bills
- **5** AIFIs that can issue CP
- **₹10,000 Cr / ₹9,000 Cr** IPO with OFS: company raises only ₹1,000 Cr
- **1875** Brokers under a Banyan tree (BSE)
- **1992** Stock market scam
- **1996** Depositories Act: NSDL, CDSL
- **14 days to T+1** settlement cycle
- **30 / 100 / 1979** Sensex companies, base value, base year
- **50 / 1000 / 1995** Nifty companies, base value, base year
- **6 months** index rebalancing gap
- **₹10 L, ₹50 L, ₹5 L, ₹11 L, ₹1 L** highway-land example
- **1882** Indian Trusts Act (mutual fund)
- **2016-2017** SEBI UBO rule for P-Notes

MY NOTES

✏ BLANK-PAGE DRILL: DRAW THESE FROM MEMORY, THEN CHECK

- Redraw the handout's fork on IPO or OFS (section 4): who gets the money? Write ₹10,000 Cr, ₹9,000 Cr and ₹1,000 Cr on it.
- Redraw the handout's six-step IPO flow (section 4) from memory, then the five intermediaries (SHRED) of section 5.
- Redraw the handout's fork of futures versus option (section 8) with the ₹50 L and ₹5 L outcomes.

NCERT CHECKLIST: END BOXES, QUESTIONS, KEY CONCEPTS

📘 FROM NCERT · NCERT CLASS XII MACROECONOMICS, CH 3 (BONDS, PRESENT VALUE)

In plain words: The September current affairs item on the global bond sell-off says "bond prices and yields move in opposite directions". NCERT proves it with a small sum. Read it once and you never forget which way it goes.

Link to the handout: Handout current affairs: global bond sell-off and rising sovereign yields. Same rule as Chapter 8 section 6 (bond price and interest rate).

NCERT's bond: face value Rs 100, 2 years, coupon 10%

- The bond pays Rs 10 after year 1 and Rs 10 plus the Rs 100 principal after year 2.
- Compare it with a savings account: what sum today would give you the same? That sum is the **present value (PV)**. Competitive bidding pushes the bond's price to its PV.

PRESENT VALUE

$$10 \div (1 + r) + 110 \div (1 + r)^2$$

r = market interest rate as a fraction

Market rate	Price of the bond (PV)
5 per cent	109.29 (approx.)
6 per cent	107.33 (approx.)

The rule

- Interest rate up, bond price down; interest rate down, bond price up. A falling bond price is a capital loss to the holder.

📘 NCERT PARTS WITH NO MATCHING HANDOUT SECTION (READ THEM FROM NCERT)

- **Class XI Ch 3, strategic versus minority sale (Exercise 6)**: Asked in the chapter's exercises but not explained in the NCERT text; no home in this handout

MY NOTES

- **Class XI Ch 3, Navratna policy (Box 3.1)**: Public enterprise status and autonomy; read it in NCERT, only touched in section 4 here

📘 NCERT KEY CONCEPTS: TICK EACH WHEN YOU CAN DEFINE IT

☐ Financial Institutions ☐ Stock Market ☐ Stock Exchange
☐ Merchant Bankers ☐ Foreign Institutional Investors (FIIs)
☐ Foreign Direct Investment ☐ Disinvestment ☐ Bonds
☐ Present value ☐ Open Market Operations
☐ Repo and reverse repo

📘 NCERT'S OWN END-OF-CHAPTER QUESTIONS: CAN YOU ANSWER EACH FROM THESE NOTES?

NCERT question	Answer lives in
Why did RBI have to change its role from controller to facilitator of the financial sector in India? (Class XI Ch 3, Q3)	NCERT box in section 1
Distinguish between strategic and minority sale (Class XI Ch 3, Q6 i)	Not explained in NCERT text or the handout; see NCONLY
Those PSUs which are making profits should be privatised. Do you agree? (Class XI Ch 3, Q9)	NCERT box in section 4 (disinvestment arguments)

ABBREVIATION COLUMN

Every short form used in this chapter, expanded.

NCERT = National Council of Educational Research and Training — publisher of the school textbooks the teacher calls "very, very important"

RBI = Reserve Bank of India — central bank

SEBI = Securities and Exchange Board of India — regulator of the securities market

OFS = Offer for Sale — existing owners sell shares; the company gets nothing

IPO = Initial Public Offer — first sale of shares to the public

NAV = Net Asset Value — value of one fund unit

ETF = Exchange Traded Fund — index-copying fund traded live on an exchange

FII = Foreign Institutional Investor — large foreign fund investing in Indian markets

CP = Commercial Paper — short-term unsecured IOU of a rated company

MY NOTES

CDSL = Central Depository Services Limited — a depository for shares in digital form

NSDL = National Securities Depository Limited — a depository for shares in digital form

WAP = Weighted Average Price — size-weighted average price of an index basket

BSE = Bombay Stock Exchange — India's oldest exchange

FIIs = Foreign Institutional Investors — large foreign funds investing in Indian markets

ADR = American Depository Receipt — receipt on Indian shares traded in the US

CMBs = Cash Management Bills — very short (7-15 days) bills of the Centre

GDR = Global Depository Receipt — receipt on shares traded in other global markets

IDR = Indian Depository Receipt — foreign company raising rupees in India

OTC = Over The Counter — traded privately, not on an exchange

US = United States — a country

DRHP = Draft Red Herring Prospectus — offer document without the final price

OMO = Open Market Operations — RBI buying or selling government bonds

RHP = Red Herring Prospectus — offer document after the price band is fixed

AIFIs = All India Financial Institutions — national-level development finance bodies

ASBA = Application Supported by Blocked Amount — bid money stays blocked in your account, not debited

CH = Clearing House — guarantor that stands between buyer and seller

FDI = Foreign Direct Investment — 10% or more of equity, control intended

FPO = Follow-on Public Offer — later sale of fresh shares to the public

NSE = National Stock Exchange — India's largest exchange

PSEs = Public Sector Enterprises — government-owned companies

UBO = Ultimate Beneficial Owner — the real person who owns an investment

AMC = Asset Management Company — company that launches and runs fund schemes

CMB = Cash Management Bill — very short (7-15 days) bill of the Centre

EXIM = Export-Import Bank of India — finances foreign trade

IOU = I Owe You — a promise to repay a borrowed sum

IRR = Internal Rate of Return — return that counts every cash flow

NABARD = National Bank for Agriculture and Rural Development — apex bank for agriculture and rural credit

NHB = National Housing Bank — regulator and refinancer of housing finance

NaBFID = National Bank for Financing Infrastructure Development — infrastructure lender

PV = Present Value — today's worth of future money

SIDBI = Small Industries Development Bank of India — apex bank for small industry

TER = Total Expense Ratio — yearly cost of running a fund, capped by SEBI

MY NOTES

EOD = End of Day — computed once at the close of the day

FPIs = Foreign Portfolio Investors — foreign investors holding below 10% in a company

GDP = Gross Domestic Product — value of all final goods and services produced inside a country in a year

IT = Information Technology — software and computer services

ODIs = Offshore Derivative Instruments — official name of P-Notes

PSUs = Public Sector Undertakings — government-owned companies

WMA = Ways and Means Advances — RBI's short-term advance to a State government

CMP = Current Market Price — today's price of the underlying

CNC = Cash and Carry — spot deal: pay and take delivery now

COVID = Coronavirus Disease — pandemic of 2020 that froze liquidity

COVID-19 = Coronavirus disease 2019 — the pandemic

CoDs = Certificates of Deposit — tradable short-term bank deposit certificates

DFIs = Development Financial Institutions — lenders for long-term development finance

DPs = Depository Participants — agents through which you hold a demat account

FD = Fixed Deposit — bank deposit for a fixed term

FDs = Fixed Deposits — bank deposits for a fixed term

FOMO = Fear Of Missing Out — rushing in because others are

FPI = Foreign Portfolio Investment — below 10%, no control, hot money

HNIs = High Net-worth Individuals — very rich investors

IDRs = Indian Depository Receipts — receipts for foreign shares sold in India

IOUs = I Owe Yous — promises to repay borrowed sums

IPOs = Initial Public Offers — first sales of shares to the public

MF = Mutual Fund — pooled money managed by experts

MSMEs = Micro, Small and Medium Enterprises — small businesses

NBFCs = Non-Banking Financial Companies — lenders that are not banks; regulated by the RBI

SDF = Standing Deposit Facility — floor of the RBI corridor

XIRR = Extended IRR — IRR for irregular dates

Meanings are plain-language aids; verify before quoting in an answer.

MY NOTES

CURRENT AFFAIRS

Global bond sell-off and rising sovereign yields

September 2026 Prelims · Mains

Long-term yields in the US, UK, France and Japan hit multi-decade highs on inflation worries and fiscal pressure.

US 10-year Treasury yield touched **5.34%**, highest since **2002**, with the sharpest quarterly rise since **1994** in Q3 **2026**. UK 30-year gilt crossed **6%**, highest since **1998**. France and Japan yields also rose.

Bond prices and yields move in opposite directions. Causes: persistent inflation, high interest-rate expectations, fiscal pressure (more bond supply), higher energy prices.

Why it matters: costlier government borrowing, less fiscal space, higher corporate and household rates, pressure on equities, risk to banks and pension funds.

For India: FPI outflow risk, rupee pressure, imported inflation, higher G-sec yields, tougher balance for RBI.

PRELIMS FODDER

1 basis point = 0.01 percentage point.

Real yield = nominal yield adjusted for expected inflation. Yield curve = yields across maturities. Quantitative easing = central bank asset purchases. Fisher effect: nominal yield = real yield + expected inflation.

MAINS FODDER

Structural shift away from the post-2008 era of very low rates and QE; global spillover to emerging economies even without domestic rate hikes.

Keywords Real yield · Yield curve · Imported inflation · Quantitative easing · Fiscal space

PYQ CONNECT

2021 Prelims: Indian G-sec yields are influenced by US Fed actions, RBI actions, and inflation and short-term rates (all three).

National Investment and Infrastructure Fund (NIIF)

September 2026 Prelims

*NIIF Infrastructure Fund II has raised about **Rs 19,000 crore** towards a **Rs 30,000 crore** target. Fund I had about **Rs 16,000 crore**.*

NIIF is a sovereign-anchored fund (government a key investor, also draws large domestic and global institutions), run by NIIFL; Government holds **49%**.

Funds: Master fund, fund of funds (e.g. India-UK Green Growth Equity Fund), Strategic Opportunities Fund, India-Japan Fund.

Keywords Sovereign-anchored fund

PYQ CONNECT

2017 Prelims: NIIF is not an organ of NITI Aayog and does not have a corpus of **Rs 4,00,000 crore**.

Certificate of Deposit (CD)

September 2026 Prelims

*Three-month CD rates fell to about **6.3%** from 7.09-**7.23%** in June **2026**, as FCNR(B) inflows (about **$127.2 billion**) raised liquidity and cut banks' need for wholesale funds.*

MY NOTES

CD: negotiable money market instrument against funds deposited for a fixed period; issued by scheduled commercial banks (not RRBs, Local Area Banks) and eligible AIFIs; bank CDs mature in **7 days** to one year.

Keywords Money market instrument

PYQ CONNECT

2020 Prelims: CD is not a long-term RBI instrument; commercial paper is a short-term unsecured note; call money is for inter-bank use.

Demutualisation of stock exchanges (NSE IPO)

September 2026 Prelims

NSE launched its IPO, bringing demutualisation into focus.

Demutualisation converts a member-owned exchange into a shareholder-owned company, separating ownership from trading rights, to reduce broker conflict of interest. SEBI's group under Justice M.H. Kania (**2002**) recommended corporatisation and demutualisation.

Keywords Demutualisation · Kania group

Demat 2.0 (tokenised corporate bonds)

September 2026 Prelims

SEBI and RBI launched the Demat 2.0 pilot for tokenised corporate bonds using Distributed Ledger Technology and wholesale digital rupee settlement.

Bonds are DLT tokens rather than book-entry records; settlement uses wholesale CBDC (e-rupee) through the Unified Market Interface with atomic settlement; smart contracts automate interest and redemption.

India is the first country to issue bonds natively on a statutory depository-owned distributed ledger with CBDC settlement. Pilot: REC, L&T and IIFL issued tokenised bonds worth **Rs 1,025 crore**.

Keywords DLT · Wholesale CBDC · Atomic settlement · Smart contract

SEBI's IT Resilience Index (ITRI)

September 2026 Prelims

SEBI introduced ITRI for Market Infrastructure Institutions (exchanges, clearing corporations, depositories).

System-driven index of 9 parameters totalling 100; Availability (**20%**) and Security (**20%**) weigh most. Others: Integrity, Governance, Reliability and Monitoring, Business Continuity, Modularity and Flexibility, Scalability, Incident Handling.

Keywords ITRI · MII

MY NOTES

TIMELINE AND NUMBERS

When	What
1875	Brokers gather under a Banyan tree in Mumbai (today's BSE). ★
1882	Indian Trusts Act (legal form of a mutual fund).
1979	Sensex base year (base value 100). ★
1992	Stock market scam (broker misuse of client assets). ★
1995	Nifty base year (base value 1000); demat requirement by SEBI. ★
1996	Depositories Act: NSDL and CDSL. ★
2016-2017	SEBI UBO disclosure rules for P-Notes. ★

CONNECTS TO OTHER CHAPTERS

Where	Why
Chapter 7: Banking and NBFCs	The previous handout's section 1 on contracts and intermediaries leads here: banks are decision-making intermediaries (RBI), exchanges are decision-facilitating (SEBI).
Chapter 8: Money and Monetary Policy	T-bills, MIBOR, CoD and G-secs are the market instruments RBI uses; T-bills appear as EBLR benchmarks.
Chapter 5: National Income Accounting	The market-versus-economy section contrasts index levels with GDP, unemployment and poverty.
Chapter 10: External Sector	ADR, GDR, IDR, FII and P-Notes link to capital account flows.
Chapter 12: Budget and Fiscal Policy	T-bills and CMBs fund the Centre's short-term needs; States use WMA.

MAINS ANSWER SKELETONS

DISTINGUISH THE MONEY MARKET FROM THE CAPITAL MARKET. EXPLAIN THE INSTRUMENTS OF THE MONEY MARKET.

Intro: The money market is short-term debt for working capital; the capital market is long-term for fixed capital.

- Under 1 year, debt, near money, usually unsecured.
- T-bills (91/182/364 days), CMBs (7-15 days): only the Centre; WMA for States.
- CP: investment-grade, 5 AIFIs. CoD: tradable bank deposit.
- Capital market: equity and debt over 1 year.

Close: The money market keeps the economy's plumbing liquid.

EXPLAIN HOW A COMPANY RAISES CAPITAL AND THE PROCESS OF AN IPO. WHY SHOULD INVESTORS READ AN OFS DIFFERENTLY?

MY NOTES

Intro: Companies raise capital through equity and debt at successive stages of growth.

- Angel, VC/PE, investment banks, public issue.
- IPO process: lead manager and underwriter, DRHP to RHP, ASBA, cut-off, green shoe, demat allotment.
- Primary versus secondary market.
- In an OFS the company receives zero: it is early investors cashing out.

Close: Read the size of the fresh issue, not the headline.

DISCUSS THE ROLE OF THE STOCK EXCHANGE, CLEARING HOUSE AND DEPOSITORIES IN BUILDING TRUST IN THE MARKET.

Intro: A stock market is an institutional solution to anonymous strangers trusting each other with money.

- Exchange: trust, convenience and price discovery.
- Clearing house: pre-funding and novation remove counterparty risk.
- Depositories Act 1996, NSDL and CDSL ended physical fraud after the 1992 scam.
- Settlement shortened to T+1 and moving to T+0.

Close: Trust is the product that markets sell.

WHY IS THE STOCK MARKET NOT A RELIABLE INDICATOR OF THE HEALTH OF THE ECONOMY?

Intro: Indices reflect a weighted average of a few large listed firms.

- Nifty 50 excludes MSMEs, agriculture, unemployment, poverty.
- COVID: record highs while GDP fell, as large firms captured share.
- Forward-discounting: prices reflect expectations about the future.
- Constituents tend to do well when the economy does, but there is no guarantee.

Close: The economy mirrors the past; the market bets on the future.

DIFFERENTIATE FUTURES AND OPTIONS. WHY WERE DERIVATIVES DESIGNED, AND WHY DO RETAIL TRADERS LOSE?

Intro: Both derive their value from an underlying asset.

- Futures: symmetrical obligation; options: right with a capped loss (premium).
- Underlying, strike, expiry, premium.
- Designed for hedging by institutions.
- Retail: leverage, need to be right on direction and time; 99% lose per the handout.

Close: Derivatives are insurance in the hands of institutions and lottery tickets for retail.

MY NOTES

PAST-YEAR QUESTIONS · 16 PRELIMS AND 1 MAINS QUESTIONS FROM THE SAARTHI SUBJECT-WISE SHEETS

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question

2 · MONEY MARKET INSTRUMENTS 8 Prelims · 0 Mains

Prelims 2024

With reference to the Indian economy, "Collateral Borrowing and Lending Obligations" are the instruments of:

(a) Bond market
(b) Forex market
(c) Money market
(d) Stock market

Answer: **(c)** Money market

Prelims 2024

Consider the following statements:

Statement-I: If the United States of America (USA) were to default on its debt, holders of US Treasury Bonds will not be able to exercise their claims to receive payment.

Statement-II: The US Government debt is not backed by any hard assets, but only by the faith of the Government. Which one of the following is correct in respect of the above statements?

(a) Both Statement-I and Statement-II are correct and Statement-II explains Statement-I
(b) Both Statement-I and Statement-II are correct, but Statement-II does not explain Statement-I
(c) Statement-I is correct, but Statement-II is incorrect
(d) Statement-I is incorrect, but Statement-II is correct

Answer: **(a)** Both Statement-I and Statement-II are correct and Statement-II explains Statement-I

Prelims 2023

Consider the following markets:

1. Government Bond Market
2. Call Money Market
3. Treasury Bill Market
4. Stock Market

How many of the above are included in capital markets?

(a) Only one
(b) Only two
(c) Only three
(d) All four

Answer: **(b)** Only two

MY NOTES

Prelims 2022

With reference to the Indian economy, what are the advantages of "Inflation-Indexed Bonds (IIBs)" ?

1. Government can reduce the coupon rates on its borrowing by way of IIBs.
2. IIBs provide protection to the investors from uncertainty regarding inflation.
3. The interest received as well as capital gains on IIBs are not taxable.

Which of the statements given above are correct ?

(a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(a)** 1 and 2 only

Prelims 2022

With reference to Convertible Bonds, consider the following statements:

1. As there is an option to exchange the bond for equity, Convertible Bonds pay a lower rate of interest.
2. The option to convert to equity affords the bondholder a degree of indexation to rising consumer prices.

Which of the statements given above is/are correct ?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(c)** Both 1 and 2

Prelims 2021

Indian Government Bond Yields are influenced by which of the following?

1. Actions of the United States Federal Reserve
2. Actions of the Reserve Bank of India
3. Inflation and short-term interest rates

Select the correct answer using the code given below:

(a) 1 and 2 only
(b) 2 only
(c) 3 only
(d) 1, 2 and 3

Answer: **(d)** 1, 2 and 3

Prelims 2020

In the context of the Indian economy, non-financial debt includes which of the following?

1. Housing loans owned by household
2. Amounts outstanding on credit cards
3. Treasury Bills

Select the correct answer using the code given below:

(a) 1 only
(b) 1 and 2 only
(c) 3 only
(d) 1, 2 and 3

Answer: **(d)** 1, 2 and 3

MY NOTES

Prelims 2020

With reference to the Indian Economy, consider the following statements:

1. 'Commercial Paper' is a short term unsecured promissory note.
2. 'Certificate of Deposit' is a long-term instrument issued by the Reserve Bank of India to a corporation.
3. 'Call Money' is a short-term finance used for interbank transactions.
4. 'Zero-Coupon Bonds' are the interest- bearing short-term bonds issued by the Scheduled Commercial Banks to corporations.

Which of the statements given above is/are correct?

(a) 1 and 2 only
(b) 4 only
(c) 1 and 3 only
(d) 2, 3 and 4 only

Answer: **(c)** 1 and 3 only

4 · FROM A BUSINESS IDEA TO A PUBLIC COMPANY 2 Prelims · 1 Mains

Prelims 2024

With reference to Corporate Social Responsibility (CSR) rules in India, consider the following statements:

1. CSR rules specify that expenditures that benefit the company directly or its employees will not be considered as CSR activities.
2. CSR rules do not specify minimum spending on CSR activities.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(a)** 1 only

Prelims 2014

What does venture capital mean?

(a) A short-term capital provided to industries
(b) A long-term start-up capital provided to new entrepreneurs
(c) Funds provided to industries at times of incurring losses
(d) Funds provided for replacement and renovation of industries

Answer: **(b)** A long-term start-up capital provided to new entrepreneurs

Mains 2013 10 marks CSR & Inclusive Growth

With a consideration towards the strategy of inclusive growth, the new companies bill, 2013 has indirectly made CSR a mandatory obligation. Discuss the challenges expected in its implementation in right earnest. Also discuss other provisions in the bill and their implications.

KEYWORDS profit | CSR | mandatory | inclusive growth | challenges | implementation

MY NOTES

5 · STOCK MARKET INTERMEDIARIES 3 Prelims · 0 Mains

Prelims 2024

In India, which of the following can trade in Corporate Bonds and Government Securities?

1. Insurance Companies
2. Pension Funds
3. Retail Investors

Select the correct answer using the code given below:

(a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(d)** 1, 2 and 3

Prelims 2022

Consider the following statements:

1. In India, credit rating agencies are regulated by the Reserve Bank of India.
2. The rating agency popularly known as ICRA is a public limited company.
3. Brickwork Ratings is an Indian credit rating agency.

Which of the statements given above are correct?

(a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(b)** 2 and 3 only

Prelims 2021

With reference to India, consider the following statements :

1. Retail investors through demat accounts can invest in 'Treasury Bills' and 'Government of India Debt Bonds' in the primary market.
2. The 'Negotiated Dealing System- Order Matching' is a government securities trading platform of the Reserve Bank of India.
3. The 'Central Depository Services Ltd.' is jointly promoted by the Reserve Bank of India and the Bombay Stock Exchange.

Which of the statements given above is/are correct?

(a) 1 only
(b) 1 and 2
(c) 3 only
(d) 2 and 3

Answer: **(b)** 1 and 2

6 · RETURNS: ABSOLUTE, IRR, ALPHA AND BETA 1 Prelims · 0 Mains

Prelims 2023

In the context of finance, the term 'beta' refers to

(a) the process of simultaneous buying and selling of an asset from different platforms
(b) an investment strategy of a portfolio manager to balance risk versus reward
(c) a type of systemic risk that arises where perfect hedging is not possible
(d) a numeric value that measures the fluctuations of a stock to changes in the overall stock market

Answer: **(d)** a numeric value that measures the fluctuations of a stock to changes in the overall stock market

MY NOTES

9 · EXPERT HANDLING OF MONEY: MUTUAL FUNDS AND ETFS

1 Prelims · 0 Mains

Prelims 2024

Consider the following:

1. Exchange-Traded Funds (ETF)
2. Motor vehicles
3. Currency swap

Which of the above is/are considered financial instruments?

(a) 1 only
(b) 2 and 3 only
(c) 1, 2 and 3
(d) 1 and 3 only

Answer: **(d)** 1 and 3 only

10 · CROSSING BORDERS: DEPOSITORY RECEIPTS AND P-NOTES 1

Prelims · 0 Mains

Prelims 2019

Which of the following is issued by registered foreign portfolio investors to overseas investors who want to be part of the Indian stock market without registering themselves directly?

(a) Certificate of Deposit
(b) Commercial Paper
(c) Promissory Note
(d) Participatory Note

Answer: **(d)** Participatory Note

END OF CHAPTER · RECALL AND DRILL

RECALL SHEET: COVER THE RIGHT COLUMN AND ANSWER

Money market maturity?	Under 1 year; debt contracts only.
Capital market purpose?	Fixed capital formation.
T-bill pricing?	Zero coupon; sold at discount, redeemed at par.
CP eligibility?	Rating above SEBI's minimum investment grade.
OTC contract examples?	Loans, debentures, preference shares.
Underlying, strike, maturity?	The asset; the agreed price; the delivery date.
Sweat equity?	Shares given to employees for contribution.
Preference shares?	Fixed dividend first; capital first on bankruptcy.
DRHP vs RHP?	Draft with no valuation vs final with price band.
Oversubscription?	Demand exceeds supply.

MY NOTES

Clearing house tools?	Pre-funding and novation.
Why demat?	Physical paper fraud: 14-day settlement, 1992 scam.
Alpha?	Excess return over the benchmark.
Nifty facts?	50 companies, base 1000, 1995.

Prelims trap · T-bills versus CMBs

T-bills mature in 91, 182 or 364 days; CMBs in 7 to 15 days. Only the Centre issues both; States use Ways and Means Advances from RBI. *Rule: 91/182/364 = T-bill, 7 to 15 days = CMB, States = WMA.*

Concept trap · OFS gives the company nothing

In an Offer for Sale existing owners sell to the public, a secondary market sale. In the handout's example a Rs 10,000 Cr IPO with Rs 9,000 Cr as OFS raises only Rs 1,000 Cr for the company. *Rule: IPO/FPO raises capital for the company; OFS = company gets zero.*

Concept trap · Exchanges serve the primary market too

Public issues and trading both take place on NSE and BSE, a point commonly forgotten. *Rule: exchanges serve both primary and secondary markets.*

Handout alert · Demat 1995 or 1996

The handout says the Depositories Act was passed in 1996 and also that SEBI required dematerialisation in 1995. *Rule: quote Depositories Act 1996 (NSDL, CDSL); mention 1995 only if the question uses it.*

Prelims trap · Sensex and Nifty numbers

Sensex has 30 companies, base 100, base year 1979. Nifty has 50 companies, base 1000, base year 1995. *Rule: 30/100/1979 = Sensex; 50/1000/1995 = Nifty.*

Concept trap · Futures versus options risk

Futures are a symmetrical obligation for both sides. An option is a right, so the buyer's loss is capped at the premium. *Rule: obligation and symmetrical = futures; right and capped loss = option.*

QUICK QUIZ

Q1. Which of these is a money market instrument?

1. Equity share
2. Debenture of 5 years
3. Treasury Bill
4. Preference share

Q2. Cash Management Bills have a maturity of...

1. 7 to 15 days
2. 91 days
3. 182 days
4. 364 days

Q3. State governments meet short-term mismatches through...

1. T-bills
2. CMBs
3. Ways and Means Advances from RBI
4. Commercial paper

MY NOTES

Q4. Which of the following is NOT an AIFI that can issue Commercial Paper per the handout?

1. NABARD
2. SIDBI
3. EXIM Bank
4. RBI

Q5. In an Offer for Sale (OFS), the company receives...

1. the full amount
2. half of the amount
3. nothing
4. only the premium

Q6. A Draft Red Herring Prospectus differs from the RHP because it...

1. has no valuation or final price
2. has final price band
3. is filed with RBI
4. is only for FPO

Q7. ASBA means...

1. a bank debits your money at application
2. the amount is blocked in your account, not debited, until allotment
3. cheques are sent physically
4. shares are issued free

Q8. The mechanism by which the clearing house becomes buyer to every seller and seller to every buyer is...

1. Novation
2. Green shoe
3. Rebalancing
4. Hedging

Answers: Q1 c, Q2 a, Q3 c, Q4 d, Q5 c, Q6 a, Q7 b, Q8 a

MY NOTES

PART 4

External sector, GST and the budget

The external sector, GST and the Union budget

CHAPTER 10 · SLIDES 232-250, HANDOUT PP. 1-47

10 External Sector: BoP, Foreign Investment, Exchange Rates, CAD and IMF/World Bank

HIGH PRIORITY Mains PYQs quoted: **2013, 2014, 2015, 2016, 2018, 2023, 2025**

Prelims PYQs: **2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022**

EXAM LENS

Prelims hooks

- components of current and capital accounts
- invisibles
- where reserves sit
- FDI versus FPI and the 10% rule
- FDI caps (insurance 74%, defence 74% automatic, print media 26%)
- FIPB abolished
- managed float and VERS 1993
- Tarapore committees
- Masala bonds
- NEER/REER index reading
- J-curve
- Bretton Woods
- IBRD versus IDA versus IFC versus MIGA versus ICSID
- IMF quota, SDR, RTP, SBA versus EFF

Mains hooks

- causes and cures of CAD with side effects (the slides' cause-policy-consequence frame)
- why devaluation can worsen CAD
- currency wars
- why FDI is better than FPI to finance CAD
- reserve adequacy
- why rupee convertibility on capital account is partial
- IMF governance and voting-power criticism
- India and ICSID

a deficit is not evil; what matters is how it is financed and whether the economy can sustain it.

IN SIMPLE WORDS

- The **Balance of Payments (BoP)** is the record of **flows** between **residents and non-residents**. Every entry is **double entry**: a credit and a debit of equal value.
- **Autonomous** items (current and capital accounts) are the choices of people and firms. **Accommodative** items (**change in reserves** and **errors and omissions**) are what the **RBI** does to balance them.
- **FDI** is **10% or more** of equity (an unlisted company is always FDI)

MY NOTES

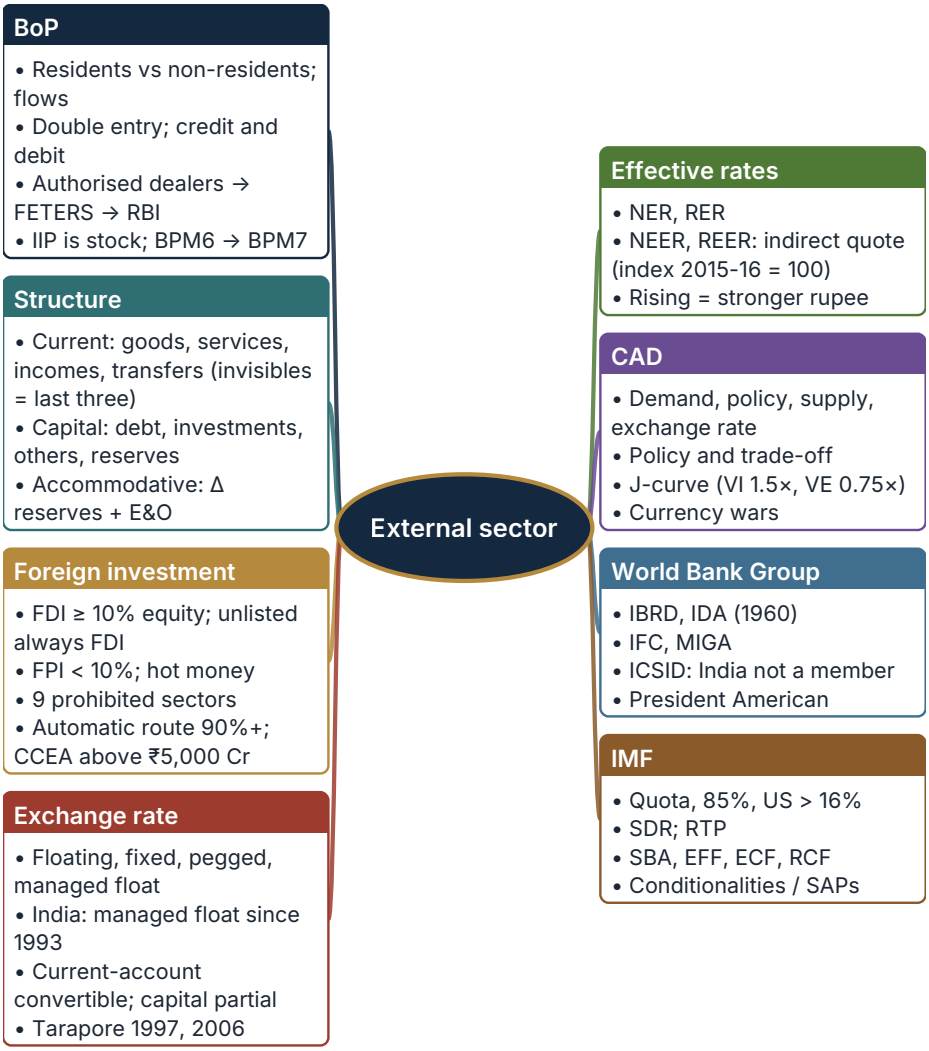
- **FPI** is below 10% and is **hot money**. India follows a **managed float**: the rupee is fully convertible on the current account and only partly on the capital account
- A **CAD = VI − VE**. A deficit is not evil
- What matters is **how it is financed** and whether **reserves** are enough
- **Devaluation** can worsen the CAD first (the **J-curve**), and rival devaluations become **currency wars**.
- The **Bretton Woods twins** are the **IMF** (BoP crisis manager, with **quota**, **SDR** and lending windows) and the **World Bank Group** (IBRD, IDA, IFC, MIGA, ICSID).

Key term	In plain words
Balance of Payments (BoP)	A ledger of all flows between residents and non-residents over a period.
IIP (International Investment Position)	The record of stocks, published along with the BoP; valuation changes show here, not in the BoP.
Autonomous items	Self-interest transactions of individuals and firms, shown above the line.
Accommodative items	Change in reserves and errors and omissions, shown below the line; the RBI balances the books.
Invisibles	Services + incomes + transfers.
ECB (External Commercial Borrowing)	Total commercial debt owed by residents to non-residents.
FDI	Foreign investment with intention of control: 10% or more of equity.
FPI	Foreign investment below 10% with no control; called hot money.
Managed float	Largely floating, but the central bank steps in to curb excessive volatility.
Convertibility	The legal ease of swapping domestic and foreign currency.
NEER / REER	Weighted average of the rupee against partner currencies; REER also adjusts for inflation differences.
Current Account Deficit (CAD)	Outgo on the current account exceeds inflow; VI − VE.
J-curve	After devaluation the CAD first worsens, then (hopefully) improves.
Quota (IMF)	A member's share, which fixes its subscription, voting power and borrowing limit.
SDR	A reserve asset and potential claim on freely usable currencies; not a currency.

MY NOTES

Key term	In plain words
RTP (Reserve Tranche Position)	The 25% foreign-currency part of the subscription, withdrawable unconditionally and counted in reserves.

CHAPTER MAP



REMEMBER IT AS BoP is the ledger of flows; the RBI balances it with reserves. Control decides FDI (10% or more), a CAD is judged by its financing, and IMF and World Bank are the Bretton Woods twins.

MY NOTES

EXAM LENS: WHAT THE HANDOUT STRESSES

SOURCE NOTE

Class slides plus handout. The 19 slides are mostly typed text and Economic Survey charts, not handwritten board work. **The only teacher marks** are **pink ovals and a star** around **2020-21 Q1 and Q2** on the slide "India's BoP: Overall" (slide 13), on both Figure 16 (CAB) and Figure 17a (BoP balance). The slide does not write the reason; the charts show the current account in **surplus** in those two quarters (Figure 17a: blue current-account bars above zero). **No PYQ is quoted** in the slides or the handout: none quoted in the material.

What the class and the handout stress

Signal	Where	Why it matters
Teacher's pink oval and star on 2020-21 Q1-Q2 of the BoP charts	Slide 13	The only marked data point in the deck: a **current-account surplus** quarter pair
BoP = record of **flows** between **residents and non-residents; double entry;** credits and debits	Handout 1-2	Core accounting rules
Autonomous (above the line) versus **accommodative (below the line):** Δ reserves and **errors and omissions**	Handout 2	The "balance" in BoP
FDI: 10% or more equity (unlisted: always FDI); **FPI: below 10%; Arvind Mayaram Committee,** 2013-14; **9 prohibited sectors;** over **90%** via automatic route	Slide 4, handout 3	Numbers and lists
Managed float; current-account convertibility full, capital account partial; **Tarapore Committees 1997 and 2006**	Slides 5-6, handout 3	Classic Prelims
NEER and REER: RBI uses **indirect quotes,** base **2015-16 = 100;** a **rising** index means a **stronger rupee**	Handout 3	Marked as a **"key UPSC trap"**
J-curve and currency wars	Slide 16, handout 4	Worked numbers (VI up 1.5×, VE down to 0.75×)
IMF: 191 members, quota, 85% decisions, US over 16%; SDR is not a currency; **RTP;** lending windows; **World Bank Group: IBRD, IDA, IFC, MIGA, ICSID**	Handout 5	Institution facts

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: High. 45 Prelims and 9 Mains questions map to this chapter.

Most-asked topics: International institutions: cooperation and Bretton Woods (15 Prelims, 2 Mains); Foreign investment: from poverty of cap-

MY NOTES

ital to the control test (5 Prelims, 4 Mains); The IMF: functions, quota, SDR and lending (7 Prelims, 0 Mains).

Prelims years: 2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022. Mains years: 2013, 2014, 2015, 2016, 2018, 2023, 2025.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

START HERE: 60 SECONDS, KEY WORDS, NCERT MAP

THE WHOLE CHAPTER IN 60 SECONDS

- **BoP**: double-entry ledger of residents versus non-residents; autonomous items + Δ reserves + E&O = 0
- **Accounts**: current (goods, services, incomes, transfers) and capital/financial (debt, investments, others, reserves)
- **FDI versus FPI**: 10% or more equity = FDI (control, marriage); below 10% = FPI (hot money); unlisted = always FDI
- **Exchange rate**: price of a currency where demand for dollars meets supply; India = managed float since 1993
- **REER trap**: RBI quotes indirect, base 2015-16 = 100: rising index = stronger rupee = less competitive
- **CAD and J-curve**: CAD = VI − VE; devaluation first worsens it (VI up 1.5×, VE down to 0.75×); currency wars follow
- **IMF**: 191 members; quota fixes votes (85% rule, US over 16%); SDR is not a currency; lends after SDR and RTP
- **World Bank Group**: IBRD, IDA, IFC, MIGA, ICSID; India graduated from IDA in 2014 and is not in ICSID

Word	Meaning
Balance of payments	the ledger of all money flowing between a country's residents and the rest of the world
Current account	settled everyday flows: goods, services, incomes, transfers
Capital account	flows that change who owns what: loans, investments, reserves
Forex reserves	the dollars and gold the RBI keeps to settle gaps and calm the rupee
Depreciation	the rupee buys fewer dollars: $1 costs more rupees (market-driven)
Devaluation	the same fall of the rupee, but by official decision under a fixed system
REER	the rupee's value against a basket of trading partners, adjusted for inflation
SDR	an IMF reserve asset, a potential claim on usable currencies; not money you can spend

MY NOTES

📘 READ NCERT FIRST: WHERE EACH NCERT PART FITS THIS CHAPTER

NCERT part	Handout section	What it adds
Class XII Ch 6: introduction, BoP definition	1	Open economy, stable currency, exchange rate and BoP defined
Class XII Ch 6: 6.1.1 Current account (Fig. 6.1)	2	Trade balance versus invisibles; surplus and deficit; lender and borrower
Class XII Ch 6: 6.1.2 Capital account (Fig. 6.2), Box 6.1	2	Old four-way tree; debit and credit examples; BPM6
Class XII Ch 6: 6.1.3 autonomous, accommodating, E&O	2	Deficit financing; official reserve sale; NCERT's sign slips
Class XII Ch 6: Table 6.1 India sample BoP	3	A BoP table to practise on, with two printing slips
Class XI Ch 2 and Ch 3: import substitution, 1991 crisis, glossary	4, 7, 11	Why reforms came, FDI and FII words, tariffs and quotas
Class XII Ch 6: 6.2 Forex market, flexible, fixed, managed	5, 8	Demand and supply graphs, devaluation, merits and demerits
Class XII Ch 6: PPP, Example 6.1, glossary, Ex. 3, 4, 15	6	Nominal, real rate definitions; shirt example; practice sums
Class XII Ch 6: Appendix 6.1	7	Open economy multiplier and net exports
Class XI Ch 3: GATT and WTO	9	GATT 1948, WTO 1995, criticisms

1 · HOW A PAYMENT CROSSES A BORDER, AND HOW THE BOP GETS BUILT

🧠 UNDERSTAND IT FIRST

Picture a Delhi vendor who buys phone covers from China. The vendor has rupees; the Chinese seller wants yuan. Banks bridge the gap through the dollar, the universal go-between. Every such conversion is reported to the RBI with its purpose, and the RBI adds them all up. That total, kept in double-entry style where every entry has a matching opposite, is the balance of payments. It is a record of flows over a period; the stock of what the country owns and owes sits in the IIP.

MY NOTES

✏ EXAMPLE

The handout's example: 10 lakh covers at 20 Yuan = 2 Crore Yuan, paid as about ₹20 Cr; SBI buys 20 lakh US dollars (assumed ₹100 per dollar) and the Chinese bank sells them at 10 yuan per dollar.

📐 Formulas of this section

DOUBLE ENTRY

credits + debits = 0

every transaction has two entries of equal value

MOBILE COVER SUM

10 lakh × 20 Yuan = 2 Crore Yuan

about ₹20 Cr via 20 lakh US dollars at ₹100 per dollar (handout)

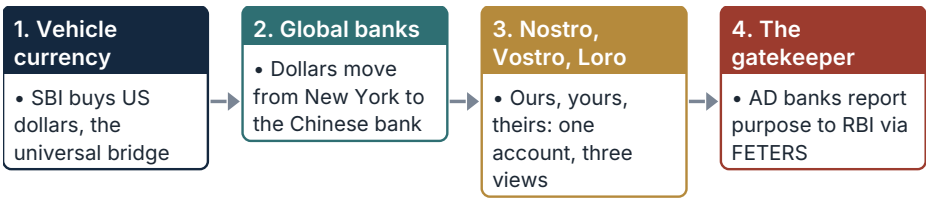
The **Balance of Payments (BoP)** is the ledger of all economic transactions between **residents and non-residents** over a period (the handout calls it "the ultimate macroeconomic ledger of a nation"). Millions transact for selfish motives and do not report to the Commerce Ministry, but every one needs rupees converted into foreign currency or back, and that happens through **Authorized Dealer (AD) banks** who must report the value and **purpose** of every conversion to the RBI daily.

The handout's mobile-cover example (₹20 Cr to China)

Step	What happens
Order	A Delhi vendor buys 10 lakh covers at 20 Yuan each = **2 Crore Yuan.** The buyer has rupees; the seller needs yuan
Step 1: vehicle currency	The buyer pays SBI about ₹20 Cr. The direct INR-yuan market is not deep, so SBI buys **20 lakh US dollars** (assumed ₹100 per dollar). The **US dollar is the universal bridge (vehicle currency)**
Step 2: global banking network	SBI's dollar account is with Bank of America (New York). SBI messages: transfer $20 lakh to the Chinese bank's (SBS) account at Wells Fargo. SBS sells the dollars in the Chinese forex market (assumed 10 yuan per dollar) and credits 2 Cr yuan to the seller
Step 3: Nostro, Vostro, Loro	**Nostro** ("ours"): SBI's view of its account in New York. **Vostro** ("yours"): Bank of America's view of the same account. **Loro** ("theirs"): a third bank (PNB) referring to SBI's New York account
Step 4: the gatekeeper	RBI regulates forex under **FEMA, 1999.** Only licensed **ADs** convert. They ask for a **purpose code** and upload daily to RBI through **FETERS** (Foreign Exchange Transactions Electronic Reporting System). RBI aggregates this into the BoP

MY NOTES

HOW A PAYMENT CROSSES THE BORDER



- RBI compiles the BoP on **IMF standards:**
  - The current standard is **BPM6**
  - **BPM7 was released in 2025** and is expected to be adopted by **2029.**
- The BoP is a record of **flows.** The record of **stocks** is the **International Investment Position (IIP),** published along with it. Valuation changes appear in the IIP, not the BoP.
- **Double entry:**
  - Every transaction has two entries of equal value, a **credit (+)** and a **debit (−)**
  - all entries sum to zero. **Credit** = export of real resources or reduction of foreign assets / increase of foreign liabilities (money entering). **Debit** = imports, or increase of assets / decrease of liabilities (money leaving). One-sided items (gifts) get offsetting **transfer** entries
- **Residents and non-residents** are defined as in national accounts: by **centre of economic interest,** not nationality or legal criteria.

📘 FROM NCERT · NCERT CLASS XII MACROECONOMICS, CH 6 (INTRODUCTION, 6.1)

In plain words: Before the ledger, NCERT tells you why a country needs one at all: once an economy trades with the world, money must cross borders, and there is no world currency. That is why the handout's mobile-cover story needs a dollar and a bank chain.

Link to the handout: Handout section 1: the payment chain and the BoP. NCERT's three linkages and its BoP definition are the plain-words start.

Step 1 · What makes an economy "open"

- Foreign trade affects aggregate demand in two ways. Buying foreign goods is a **leakage** from the circular flow (lowers AD). Exports to foreigners are an **injection** (raise AD).

MY NOTES

Linkage	What it means	NCERT's example
Output market	Trade in goods and services; wider choice between domestic and foreign goods	Indians consume products made around the world; some Indian products are exported
Financial market	Buying financial assets from other countries; choice between domestic and foreign assets	
Labour market	Firms choose where to locate production, workers where to work; immigration laws restrict labour movement	NCERT then focuses on the first two

Step 2 · Why money needs a stable value across borders

- At the international level there is no single currency issued by a single bank, and no authority that can force the use of one.
- Foreign agents accept a national currency only if the goods it buys will not change often, that is, the currency keeps a **stable purchasing power**.
- In the past governments tried to win confidence by promising free convertibility at a fixed price into another asset, most often gold or other national currencies. Credibility depended on two things: the ability to convert freely in unlimited amounts, and the price at which conversion takes place.
- With more transactions, gold ceased to be the asset into which currencies could be converted.

Step 3 · Exchange rate and BoP, defined

- An Indian who wants an American good priced at ten dollars needs dollars, and must know the price of a dollar in rupees. **The price of one currency in terms of another is the foreign exchange rate.**
- The **balance of payments (BoP)** records the transactions in goods, services and assets between residents of a country and the rest of the world for a specified period, typically a year. It has two main accounts: current and capital.

NCERT differs: NCERT says "typically a year"; the handout says "a period" and shows quarterly charts. No conflict. *(handout/teacher wins in class)*

MY NOTES

⭐ **REMEMBER**

BoP = flows, IIP = stocks. Credit = money in, debit = money out. Nostro ours, Vostro yours, Loro theirs. FEMA 1999, FETERS.

2 · STRUCTURE OF THE BOP: AUTONOMOUS AND ACCOMMODATIVE

🧠 **UNDERSTAND IT FIRST**

Split the ledger in two. Above the line are choices made for self-interest: trade, tourism, investment, loans. Below the line are the leftovers: the RBI buying or selling dollars to absorb any gap, plus errors and omissions where the books do not quite match. So the "balance" in the balance of payments is struck by the central bank. If the autonomous items leave a surplus the RBI stores the dollars in reserves; if a deficit, it sells from reserves.

✏ **EXAMPLE**

The handout's numbers: CAD $10 B but capital surplus $25 B means net surplus $15 B, absorbed into reserves. Reserves $500 B, inflows $100 B and outflows $80 B means reserves should rise by $20 B to $520 B; observed $20.4 B gives E&O = +$0.4 B.

📐 Formulas of this section

THE BOP IDEA

autonomous items + Δ reserves + E&O = 0

handout alert: remember the idea, old classification

RESERVE SUM

$500 B + $100 B − $80 B = $520 B

inflows $100 B, outflows $80 B on autonomous items

E&O

E&O = observed Δ reserves − expected Δ reserves

$20.4 B − $20 B = +$0.4 B

MY NOTES

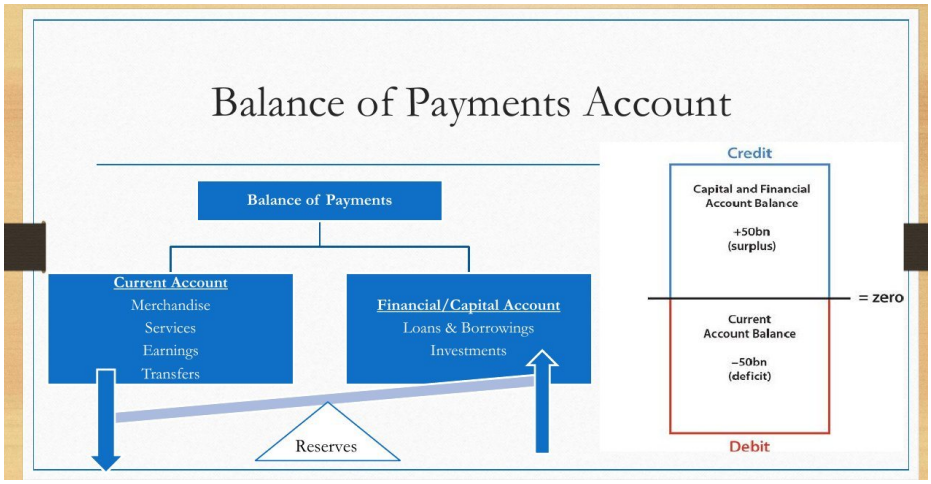


Figure. Slide 2: Balance of Payments splits into the Current Account (Merchandise, Services, Earnings, Transfers) and the Financial/Capital Account (Loans and Borrowings, Investments). Reserves sit below, balancing the two. The side panel shows a current-account deficit of −50 bn against a capital and financial account surplus of +50 bn, netting to zero.

Autonomous versus accommodative transactions

	Autonomous ("above the line")	Accommodative ("below the line")
Motive	Self-interest choices of residents and non-residents; nobody controls them	Not self-interested; **necessitated** by the net balance above
Items	Current account; capital and financial account	**Change in reserves (Δ Reserves)** and **Errors and Omissions (E&O)**
Who acts	Individuals and firms	The central bank (**RBI**)

A · THE CURRENT ACCOUNT (SETTLED TRANSACTIONS)

The current account tracks **settled** transactions that do **not** change assets or liabilities between residents and non-residents.

Current account components

Part	Contents
1.A.a Goods	Merchandise: textiles, electronics, intermediate goods, metals, coal, jewellery, **non-monetary gold** (not held as reserve)
1.A.b Services	Transport, travel, communication, financial, IT, insurance, royalties and licence fees
1.B Incomes	Compensation of employees; investment income (interest, dividends, profits): earned (+), paid (−)
1.C Current transfers	Remittances into India (+), transfers from India (−); no quid pro quo
Invisibles	**Services + incomes + transfers**

MY NOTES

MEMORY AID · CURRENT ACCOUNT: FOUR PARTS

G I S T

Get the GIST of the current account: goods, then the three invisibles.

- **G** Goods: merchandise, including non-monetary gold
- **I** Incomes: pay of employees, interest, dividends
- **S** Services: transport, travel, IT, insurance
- **T** Transfers: remittances, no quid pro quo

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

B · THE CAPITAL (AND FINANCIAL) ACCOUNT: OLD CLASSIFICATION

- **2.A Debt:**
  - Borrowings (+), lendings (−), including principal repayments. Classified by **interest rate** (concessional versus commercial), **currency** (domestic versus foreign) and **place** (onshore versus offshore). Governments borrow **concessionally** from agencies like the World Bank
  - Private firms at **commercial** rates. Total commercial debt owed by residents to non-residents is **ECB (External Commercial Borrowing).**
- **Currency of denomination decides who bears exchange rate risk.** The handout's example: borrow in dollars when $1 = ₹90
- If the dollar rises to ₹100, every ₹90 borrowed needs ₹100 to repay (before interest). Borrowing in rupees shifts the risk to the lender
- **Masala bonds:**
  - **Offshore rupee-denominated bonds** an Indian entity issues in (for example) American markets
  - The exchange rate risk shifts to the buyer
  - They help global recognition and the **internationalisation of the rupee.** An FII buying Indian government bonds is debt taken onshore in rupees
- **2.B Investments:**
  - By Indians abroad (−), by foreigners in India (+)
  - Withdrawal by foreigners is (−). Split into **FDI** and **FPI.**
- **2.C Others:** banking capital, trade credits, **NRI deposits.**
- **2.D Reserves:** under BPM6 reserve assets sit in the **financial account,** but because FEMA works on a current/capital binary, RBI's standard presentation shows the change in reserves in the capital account.

OLD VERSUS NEW CLASSIFICATION (BPM6)

The old "capital account" has moved almost wholly to the **financial account** (external debt and investments). The new **capital account** is

MY NOTES

narrow: **(a)** acquisition or disposal of non-produced, non-financial assets (e.g. a foreign government buying land in Chanakyapuri for an embassy; outright transfer of a brand name or trademark) and **(b) capital transfers** (debt forgiveness between governments, large investment grants, cross-border inheritances). **The Economic Survey still uses the old Current versus Capital classification.** The handout says there is no need to memorise the RBI tables on pages 12-13.

C · ACCOMMODATIVE TRANSACTIONS: RESERVES AND E&O

- If the net autonomous balance is a **surplus** (example: CAD $10 B but capital surplus $25 B = net surplus **$15 B**) RBI **absorbs** the excess foreign currency into **reserves.** In a net deficit RBI **sells dollars** from reserves. These are **accommodating transactions.**
- Why RBI cannot sit out:
  - If an importer's bank cannot find dollars it goes to RBI
  - If an exporter's bank cannot find a buyer it sells to RBI. Without RBI the dollar could crash or spike. In an **open economy the central bank is less autonomous.**
- **Mundell-Fleming trilemma (impossible trinity):** a country cannot have all three of **free capital flow, a fixed/managed exchange rate and independent monetary policy.**
- **Worked example:**
  - Reserves $500 B
  - Inflows $100 B and outflows $80 B on autonomous items, so reserves should rise by **$20 B to $520 B.** That is the "balance" in the BoP
- **Errors and Omissions:**
  - If the observed reserve change is $20.4 B against an expected $20 B, **E&amp**
  - **O = +$0.4 B** balances it. Causes: timing mismatches, exchange rate moves in transit, unrecorded illegal capital flight

HANDOUT ALERT: THE "FINAL EQUATION"

The handout writes the closing equation as **"Current Account + Capital Account − Financial Account (which includes Reserves) + Net Errors & Omissions = 0".** Elsewhere it treats reserves as a part of the capital account (old classification) and says autonomous items are balanced by Δ reserves. The signs are not explained. Exam-hall rule: remember the **idea** (autonomous + Δ reserves + E&O = 0) and the **old classification** unless the question uses BPM6.

MY NOTES

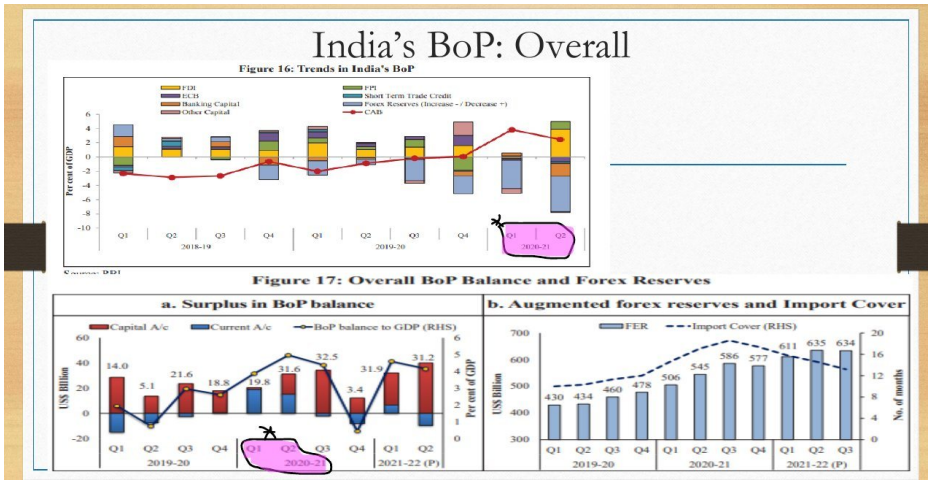


Figure. Slide 13: "India's BoP: Overall" (RBI figures 16 and 17). Teacher's marks: pink ovals and a star around 2020-21 Q1 and Q2 on Figure 16 (CAB as % of GDP is positive) and on Figure 17a (BoP balance, where the current account bars are above zero). Figure 17b shows augmented forex reserves rising to about US$634 billion by 2021-22 Q3.

TEACHER STRESSED (VISUAL)

What is marked: 2020-21 **Q1 and Q2,** circled in pink with a star, on both overall-BoP charts. **Reading from the charts:** the current account swung to **surplus** in those two quarters while capital inflows continued, so the BoP surplus and forex reserves jumped. The slide gives **no written reason.** Check the notebook for the spoken explanation.

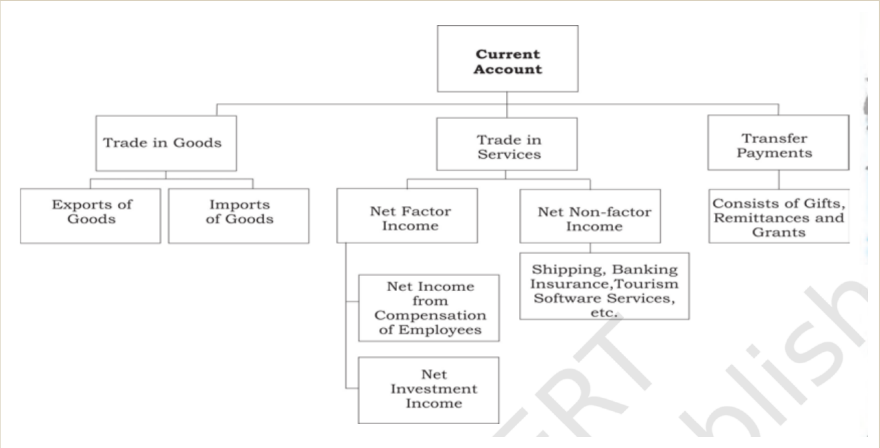
📘 FROM NCERT · NCERT CLASS XII MACROECONOMICS, §6.1.1 CURRENT ACCOUNT, FIG. 6.1

In plain words: NCERT draws the current account as a tree and then gives a neat vocabulary: balance of trade (goods only) and balance on invisibles (everything else). Read the figure first.

Link to the handout: Handout section 2, current account table (goods, services, incomes, transfers, invisibles). NCERT groups the items differently, see the red box.

MY NOTES

Step 1 · The tree



NCERT Fig. 6.1, original: Components of Current Account. Three branches: Trade in Goods (exports, imports), Trade in Services (net factor income: compensation of employees, investment income; net non-factor income: shipping, banking, insurance, tourism, software) and Transfer Payments (gifts, remittances, grants). How to read: left to right, goods, services, free transfers.

Step 2 · Three words and how they relate

- Factor income = net international earnings on factors of production (labour, land, capital). Non-factor income = net sale of service products like shipping, banking, tourism, software services.

Term	NCERT's meaning
Balance of Trade (BOT) = trade balance	Value of exports minus value of imports of **goods**. Exports are a credit, imports a debit
Net invisibles	Exports minus imports of invisibles: services, transfers and flows of income
Current account balance	Trade balance plus net invisibles
Transfer payments	Receipts for "free", with no goods or services in return: gifts, remittances, grants; by government or private citizens living abroad

Step 3 · Surplus, balance, deficit

- NCERT's reading: surplus means the nation is a **lender** to other countries; deficit means it is a **borrower**.
- Trade surplus: exports of goods exceed imports; trade deficit: imports exceed exports. Imports are expenditure from our country and income of the foreign country, so imports lower domestic demand; exports raise it.

MY NOTES

CURRENT ACCOUNT BALANCE

trade balance + net invisibles

NCERT Table 6.1: −90 + 52 = −38

NET INVISIBLES

non-factor services + income + transfers

30 − 10 + 32 = 52

Current account surplus	Balanced	Current account deficit
Receipts > Payments	Receipts = Payments	Receipts < Payments

NCERT differs: NCERT puts net factor income (compensation of employees, investment income) under "Trade in Services". The handout keeps services (1.A.b) and incomes (1.B) as separate parts of invisibles. Use the handout. *(handout/teacher wins in class)*

NCERT differs: NCERT's tree names transfers as gifts, remittances and grants; the handout says current transfers have no quid pro quo. Same idea. *(handout/teacher wins in class)*

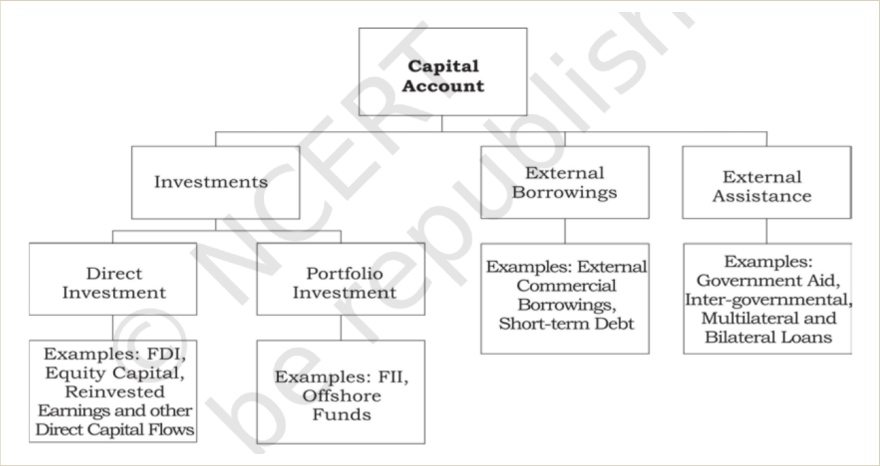
📘 **FROM NCERT · NCERT CLASS XII MACROECONOMICS, §6.1.2 CAPITAL ACCOUNT, FIG. 6.2**

In plain words: The capital account is the record of who bought or sold **assets**. NCERT's tree shows the old four-way split that RBI and the Economic Survey still use.

Link to the handout: Handout section 2 (B): old classification: debt, investments, others, reserves. Compare with NCERT's tree.

MY NOTES

Step 1 · The tree



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NCERT Fig. 6.2, original: Components of Capital Account. Investments (Direct: FDI, equity capital, reinvested earnings and other direct capital flows; Portfolio: FII, offshore funds), External Borrowings (ECB, short-term debt), External Assistance (government aid, inter-governmental, multilateral and bilateral loans). How to read: top to bottom.

Step 2 · Debit or credit? NCERT's two examples

- An **asset** is any form in which wealth can be held: money, stocks, bonds, government debt. Purchase of assets is a debit item.
- Balance: inflows (loans received, sale of assets or shares) equal outflows (repayment of loans, purchase of assets or shares abroad) = balanced. More inflow = surplus; less = deficit.

Case	Entry	Why
An Indian buys a UK car company	Debit on the capital account	Foreign exchange flows out of India
Share of an Indian company sold to a Chinese customer	Credit on the capital account	Foreign exchange flows in

Step 3 · New (BPM6) classification, NCERT Box 6.1

- Under the IMF's sixth manual (BPM6) transactions are in three accounts: current, financial and capital.
- Biggest change: almost all trade in financial assets such as bonds and equity shares moved to the **financial account**. NCERT notes RBI still publishes the old two-account system too.

NCERT differs: NCERT lists "external assistance" as its own group and has no "reserves" inside the capital account; the handout's old classification lists debt, investments, others and

MY NOTES

reserves. Learn the handout list; recognise NCERT's tree. (*handout/teacher wins in class*)

NCERT differs: NCERT still says FII; the handout says FIIs were merged into FPIs in 2014. (*handout/teacher wins in class*)

📘 FROM NCERT · NCERT CLASS XII MACROECONOMICS, §6.1.3 BOP SURPLUS AND DEFICIT, AUTONOMOUS AND ACCOMMODATING ITEMS

In plain words: This is the heart of the handout's "above the line, below the line" idea. NCERT adds the neat saying: a country, like a person, must finance overspending by selling assets or borrowing.

Link to the handout: Handout section 2 (autonomous versus accommodative; reserves; E&O). NCERT's identity omits reserves and E&O when it says the BoP is in equilibrium.

Step 1 · Financing a deficit

- A person who spends more than income must sell assets or borrow. A country with a current account deficit must finance it by selling assets or borrowing abroad.
- So any current account deficit must be financed by a capital account surplus, a net capital inflow.

NCERT'S IDENTITY

current account + capital account ≡ 0

BoP equilibrium: deficit financed entirely by international lending, with no reserve movements

Step 2 · Or use the reserves

- The reserve bank can sell foreign exchange when there is a deficit: **official reserve sale**. The decrease (increase) in official reserves is the overall BoP deficit (surplus).
- The monetary authorities are the ultimate financiers of any deficit (or recipients of any surplus). Official reserve transactions matter more under fixed than under floating exchange rates.

BoP deficit	Balanced BoP	BoP surplus
Overall balance < 0	Overall balance = 0	Overall balance > 0

MY NOTES

Step 3 · Autonomous versus accommodating, in NCERT's words

	Autonomous ("above the line")	Accommodating ("below the line")
Why made	For some reason other than bridging the BoP gap; independent of the state of BoP; one reason could be profit	Determined by the gap in the BoP, that is, by the net result of the autonomous items
BoP surplus or deficit means	Autonomous receipts greater (less) than autonomous payments = surplus (deficit)	Official reserve transactions bridge the gap, so they are the accommodating item

Step 4 · Errors and omissions

- It is difficult to record all international transactions accurately, so there is a third element of the BoP apart from the two accounts: **errors and omissions**.

NCERT differs: NCERT calls only official reserve transactions "accommodating" and treats errors and omissions as a separate third element. The handout groups both Δ reserves and E&O below the line. Handout wins in class. *(handout/teacher wins in class)*

NCERT differs: NCERT's small table pairs "BoP deficit: overall balance < 0" with "reserve change > 0" while its text says a decrease in official reserves is a deficit. Its sign for "reserve change" is the opposite of the text: read the text, not the table row. *(handout/teacher wins in class)*

⭐ **REMEMBER**

Autonomous (above) + Δ reserves and E&O (below) = 0. Old classification: reserves in capital account. Impossible trinity.

3 · SLIDE DATA ON INDIA'S BOP (ECONOMIC SURVEY CHARTS)

🧠 **UNDERSTAND IT FIRST**

This section is a data tour with no new ideas: the slides show charts and tables of India's BoP from 2019-20 to 2021-22. Read them with the structure of section 2 in mind: trade balance, invisibles, capital account, FDI, FPI, reserves. The only mark the teacher made is the pink oval and star on 2020-21 Q1 and Q2, when the current account was in surplus.

MY NOTES

✏ **EXAMPLE**

The handout gives India's top 5 trading partners: USA 11.3%, China 10.9%, UAE 7.3%, Saudi Arabia 4.1%, Hong Kong 3.7%.

The slide deck then shows RBI/Economic Survey charts for 2019-20 to 2021-22. They are charts, not text, so only the headline readings that the slides state are listed:

- **Slide 3 (Table 6):** major components of India's BoP, 2019-20 to 2021-22, US$ billion (current account, merchandise trade balance, invisibles, capital account, FDI, FPI, loans, banking capital, errors and omissions, overall balance, forex reserves change).
- **Slides 7-9 (trade balance):**
  - Growth in exports and imports
  - The **top 10 export commodities** pie
  - The top 10 import sources and export destinations. Slide 19 gives **India's top 5 trading partners** (share of foreign trade): **USA 11.3%, China 10.9%, UAE 7.3%, Saudi Arabia 4.1%, Hong Kong 3.7%.**
- **Slide 10 (invisibles):**
  - Services exports and imports
  - Remittances
  - Composition of net invisibles (services, transfers, income)
- **Slides 11-12:**
  - Current account balance and its composition
  - FDI and FPI trends (FPI **remained volatile**)
  - Capital account composition
- **Slide 18:** sources of forex reserves (FCA, gold, RTP, SDR) and **import cover** (months).



Figure. Slide 19 (PIB graphic): India's top 5 trading partners by share of foreign trade, and the top 5 imports (crude petroleum, gold, petroleum products, coal, coke and briquettes) and top 5 exports (petroleum products, precious stones, drug formulations and biologicals, gold and precious metals, iron and steel).

MY NOTES

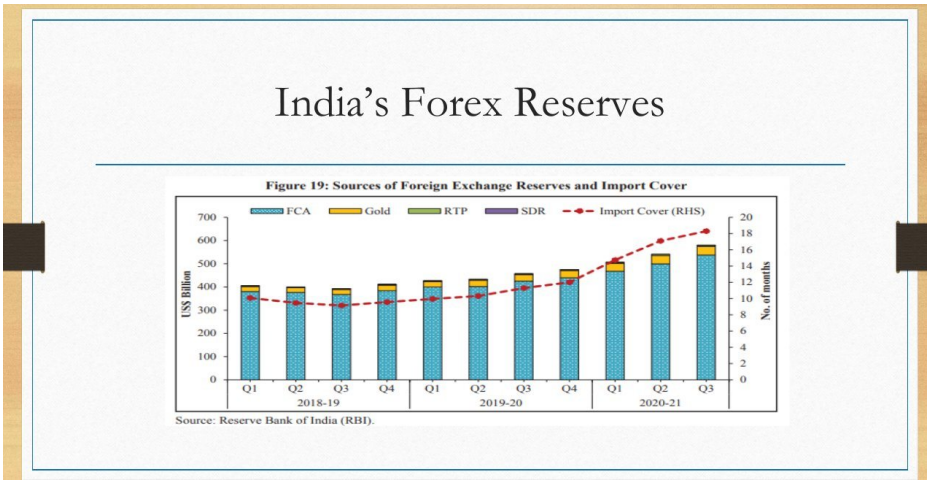


Figure. Slide 18: Figure 19 from the RBI: sources of foreign exchange reserves (FCA, gold, RTP, SDR) and import cover (right axis, months), 2018-19 to 2020-21.

FROM NCERT · NCERT CLASS XII MACROECONOMICS, TABLE 6.1 (SAMPLE BOP FOR INDIA); CLASS XII CH 2 TABLE 2.6

In plain words: The handout shows real charts. NCERT gives a small sample BoP in million US dollars so you can practise the arithmetic once with simple numbers. Fill it in line by line.

Link to the handout: Handout section 3 (Table 6 of the slides: components of India's BoP). Same rows, tiny numbers.

Step 1 · The table, line by line (million USD, as printed)

No.	Item	Million USD
1	Exports (of goods only)	150
2	Imports (of goods only)	240
3	Trade balance	−90
4	(Net) invisibles = 4a + 4b + 4c	52
4a	Non-factor services	30
4b	Income	−10
4c	Transfers	32
5	Current account balance = 3 + 4	−38
6	Capital account balance = 6a + … + 6f	41.15
6a	External assistance (net)	0.15
6b	External commercial borrowings (net)	2
6c	Short-term debt	10
6d	Banking capital (net), of which non-resident deposits (net) 9	15
6e	Foreign investments (net) = FDI 13 + portfolio 6	19
6f	Other flows (net)	−5

MY NOTES

No.	Item	Million USD
7	Errors and omissions	3.15 (as printed)
8	Overall balance = 5 + 6 + 7	0
9	Reserves change	0

Step 2 · What the table says

- There is a trade deficit and a current account deficit, but a capital account surplus. NCERT: "As a result, BOP is in balance."
- Check by arithmetic (worked out here): 0.15 + 2 + 10 + 15 + 19 − 5 = 41.15, and −90 + 52 = −38, so the capital account (41.15) finances the deficit (−38) with 3.15 to spare.

Step 3 · One more NCERT data point: exports and imports of goods and services

- NCERT Table 2.6 (2024-25, ₹ crore, constant 2011-12 prices) lists exports of goods and services 4068098 and imports 4229390.
- Imports exceed exports, so net exports are negative (worked out here: 4068098 − 4229390 = −161292); NCERT prints net exports as 161292 without the minus sign.

NCERT differs: Printing slips in NCERT Table 6.1: (a) the trade balance is labelled "[2 − 1]" but is computed exports minus imports (150 − 240 = −90), so it should read [1 − 2]; (b) errors and omissions is printed as +3.15, but for the overall balance to be 0, the arithmetic needs −3.15 (worked out here: −38 + 41.15 + 3.15 = 6.30, not 0). Take the idea (E&O is the balancing item), not the sign. *(handout/teacher wins in class)*

NCERT differs: NCERT's own text numbers two figures "Fig. 6.1" and two "Fig. 6.2" (BoP trees and exchange-rate graphs). Keep the topic in mind, not the number. *(handout/teacher wins in class)*

⭐ **REMEMBER**

Teacher's star = 2020-21 Q1 and Q2 current-account surplus. FPI stayed volatile.

MY NOTES

4 · FOREIGN INVESTMENT: FROM POVERTY OF CAPITAL TO THE CONTROL TEST

🧠 **UNDERSTAND IT FIRST**

Foreign money comes in two temperaments. FDI is a marriage: the investor wants a say, builds the factory and stays through bad times. FPI is a date: money that buys shares and bonds, leaves when profits are made or losses start, and can shake the exchange rate. India stopped judging by intent and now uses an objective test: 10% or more of the equity means control, so FDI. Unlisted companies are always FDI. Almost every sector is open except nine prohibited ones, and over 90% of FDI comes by the automatic route.

✏ **EXAMPLE**

The handout's cases: 5% equity plus 20% of debt = FPI; an FPI crossing 10% in a listed firm is reclassified as FDI; Budget 2021 raised insurance FDI to 74% from 49%; Kia (greenfield) versus Walmart acquiring Flipkart (brownfield).

📐 Formulas of this section

FDI TEST

equity ≥ 10% = FDI; equity < 10% = FPI

unlisted company: always FDI

THE HISTORY (HANDOUT)

- **1950s-80s:**
  - Absolute poverty
  - Near-zero domestic savings made domestic investment impossible
  - Food dependence on the US **PL-480**
  - the 1962 war, and Shastri's 1965 **"Jai Jawan, Jai Kisan"** call to skip a meal. Foreign capital was needed but offered on draconian terms: partner with an Indian firm, source **60% locally,** no repatriation of profits. The **LPQ (License, Permit, Quota) Raj** made allocation depend on connections. Suzuki's entry for Maruti in the 1980s needed political manoeuvring
- **1991:** the **BoP crisis** (threat of sovereign default, IMF pressure) led to the **LPG reforms.** The mindset shift stayed slow: as late as **2012** the government demanded **30%** local sourcing from Apple, and Apple walked away.
- Reforms listed:
  - **1991** opening, **2000** FDI liberalisation, **2013** new policy, **2016** liberalisation, **2020** foreign investment conditions

MY NOTES

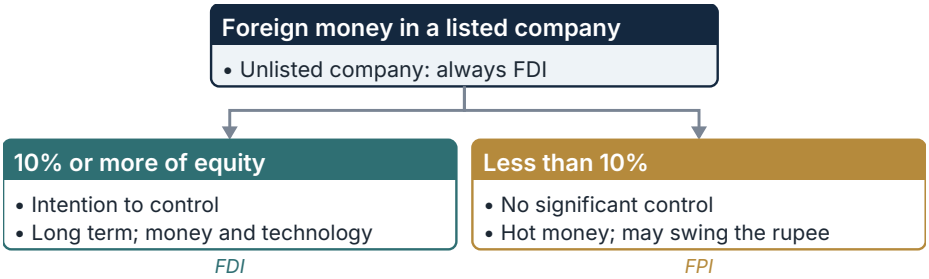
- The handout ties them to **post-nuclear-test isolation, the 2013 US Fed tapering, demonetisation's bad press, and the 2020 supply-chain shock.**

FDI versus FPI (slide 4 and handout)

	FDI (Foreign Direct Investment)	FPI (Foreign Portfolio Investment, formerly FII)
Control	Intention to exercise control: **10% or more** equity	No intention to exercise significant control: **less than 10%**
Nature	Long term, stays through downturns; brings money **and technology**	**"Hot money":** cashes out when targets are met or losses mount; money only
Exchange rate	Stable	Large inflow or outflow may cause **sharp appreciation or depreciation**
Regulation	Sectoral limits (mostly liberalised); **multiple approvals** (sectoral regulator, Home, Defence, Environment); earlier **FIPB** and **CCEA;** now mostly **automatic**	Instrumental limits (mostly liberalised); regulators **RBI and SEBI;** less cumbersome
Example	Honda building cars; Budget 2021: insurance FDI limit **74% from 49%**	FIIs buying Indian stocks and government bonds

Why the old test failed: earlier the split was by **perceived intent** (the old term was **FII**), which was subjective: some "FDI" investors left like hot money and some "FII" funds stayed for decades. In **2013-14,** on the **Arvind Mayaram Committee,** India adopted an **objective "significant control" test** (IMF/OECD).

FDI OR FPI: THE CONTROL TEST



The 10% rule (handout)

Case	Classification
Foreign owner holds **10% or more** of equity in a **listed** Indian company	**FDI**

MY NOTES

Case	Classification
Foreign owner holds **less than 10%** of a listed company	**FPI**
Any foreign investment in an **unlisted** private company or startup	**Always FDI,** whatever the percentage
Equity only counts: 5% equity + 20% of debt	**FPI** (equity below 10%); the debt follows **ECB / FPI-debt** rules
Compulsorily convertible instruments (CCPs, CCDs)	Treated as equity today: the 10% is on **"post-issue paid-up equity capital on a fully diluted basis"**
An FPI like BlackRock crosses 10% in a listed company	That investment is **reclassified as FDI;** BlackRock itself stays registered as an FPI

- The term **FII** now only describes a **class of investors** (large funds like BlackRock, Vanguard, KKR). In **2014 SEBI legally erased the term:** FIIs, sub-accounts and **Qualified Foreign Investors** merged into **Foreign Portfolio Investors (FPIs).**
- FDI is subject to **sectoral regulation** (Defence, Insurance, Telecom limits), apart from SEBI and RBI financial-market rules.

> **HANDOUT ALERT: "10% OR MORE" VERSUS "MORE THAN 10%"**
> The **slide** says FDI is **"More than 10% ownership"** and FPI **"Less than 10% holding".** The **handout** says FDI is **"10% or more"** and FPI **"less than 10%".** Exactly 10% is the only case that differs. Exam-hall rule: use **"10% or more = FDI"** (handout and teacher's handout text win); be careful if an option says "more than 10%".

FDI REFORMS AND THE PRESENT REGIME

- Almost every sector open to the Indian private sector is open to foreigners **except 9 prohibited sectors:** 1 lottery, 2 gambling and betting (including casinos), 3 chit funds, 4 Nidhi companies, 5 trading in Transferable Development Rights (TDRs), 6 real estate business (pure buying and selling of land for profit), 7 manufacture of tobacco products, 8 atomic energy, 9 railway operations (except certain infrastructure).
- Limits go up to **100%** in several sectors. **Budget 2021: insurance FDI raised to 74% from 49%.**
- **Automatic route:**
  - **Over 90% of FDI** comes this way. No prior approval
  - Inform RBI within **30 days** of bringing the money. A foreigner faces the same regulations as an Indian
- **Government (approval) route:** sensitive sectors need the Ministry's prior approval through the **Foreign Investment Facilitation Portal**

MY NOTES

(FIFP). Any foreign investment above **₹5,000 Crore** needs **CCEA** approval. The **FIPB has been abolished.**

- **Defence example:**
  - Up to **74%** in a joint venture is automatic (the JV applies to the Ministry of Defence)
  - **100%** needs **CCEA** approval, given on bringing **state-of-the-art technology. Print media:** FDI capped at **26%** (the Ministry of Information and Broadcasting steps in at the control line)
- **Greenfield** = investment in a **new** entity (e.g. Kia building a new factory in Andhra Pradesh). **Brownfield** = investment in an **existing** entity (e.g. Walmart acquiring Flipkart).
- **FPI is money**
- **FDI is marriage:** the entity is regulated, not the investor. **Fit and proper:** when a Japanese bank like Mitsui wanted a **20%** stake in an Indian bank, it crossed the 10% line and RBI would test its track record, **ultimate beneficial owners** and financial stability. A 6% FPI holding (the handout's Vanguard in Yes Bank example) barely registers

📘 FROM NCERT · NCERT CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 2 (§2.5 TRADE POLICY: IMPORT SUBSTITUTION)

In plain words: The handout's history says foreign capital was needed but treated roughly, and the LPQ Raj made life hard. NCERT explains the trade policy of that time: protect domestic industry behind tariffs and quotas.

Link to the handout: Handout section 4 history (1950s-80s, LPQ Raj, 60% local sourcing). NCERT's import substitution is the trade side of the same inward-looking strategy.

Step 1 · What import substitution meant

- In the first seven plans trade followed an inward-looking strategy called **import substitution**: replacing imports with domestic production (e.g. making vehicles in India instead of importing them).
- Protection from imports took two forms. **Tariffs** are a tax on imported goods, making them more expensive. **Quotas** specify the quantity that can be imported. Both restrict imports and protect domestic firms.

Step 2 · NCERT's reasons

- Developing-country industries were thought unable to compete with goods of more developed economies; protected, they would learn to compete in time.

MY NOTES

- Planners also feared foreign exchange being spent on imported luxury goods if imports were not restricted.
- No serious thought was given to promoting exports until the mid-1980s.

📘 **FROM NCERT · NCERT CLASS XI CH 3 (§3.2 BACKGROUND OF THE 1991 CRISIS; §3.6 ASSESSMENT); GLOSSARY**

In plain words: The handout says "1991: the BoP crisis led to the LPG reforms". NCERT tells the crisis in plain steps and gives the foreign investment and reserves figures after the reforms.

Link to the handout: Handout section 4 (history, 1991, reforms list) and section 11 (IMF conditionalities).

Step 1 · How the crisis built up (NCERT's order)

- NCERT defines the crisis as one "relating to its external debt": the government could not repay borrowings from abroad.

Step	What happened
1	In the late 1980s government expenditure began to exceed revenue by such large margins that borrowing became unsustainable
2	Prices of many essential goods rose sharply; imports grew at a very high rate without matching growth of exports
3	Foreign exchange reserves, partly borrowed, fell to a level not adequate to finance imports for more than two weeks
4	There was not enough foreign exchange to pay interest to international lenders; no country or international funder was willing to lend to India
5	India approached the IBRD (World Bank) and the IMF and received $7 billion as loan; in return it was expected to liberalise and open up the economy

Step 2 · After the reforms: NCERT's figures

Item	1990-91	Later year
Foreign investment (FDI plus FII)	about US $100 million	US $ 23 billion in 2022-23
Foreign exchange reserves	about US $ 6 billion	about US $ 646 billion in 2023-24

Step 3 · Foreign investment words in the NCERT glossary

- **Foreign Direct Investment**: investment of foreign assets into domestic structures, equipment and organisations; "does not

MY NOTES

include foreign investment into the stock markets". FDI is durable; equity investments are potentially "hot money".

- **Foreign Institutional Investment**: foreign investments in stocks, bonds or other financial assets that do not entail active management or control over the firms.
- Trade and investment reforms aimed to raise international competitiveness and bring in foreign investment and technology.

NCERT differs: NCERT's glossary says FDI "does not include foreign investment into the stock markets". The handout's 10% test counts an investor holding 10% or more of a listed company as FDI. Use the handout test. (*handout/teacher wins in class*)

NCERT differs: NCERT keeps the term FII; the handout says FII was merged into FPI in 2014. Handout wins. (*handout/teacher wins in class*)

⭐ REMEMBER

10% or more = FDI = marriage. Below 10% = FPI = hot money. 9 prohibited sectors; automatic route 90%+; CCEA above ₹5,000 Cr.

5 · EXCHANGE RATES: DEMAND, SUPPLY AND QUOTES

🧠 UNDERSTAND IT FIRST

The exchange rate is simply the price of a dollar in rupees, set where those who want dollars meet those who bring dollars. Importers, tourists, students and FPIs selling stocks want dollars. Exporters, investors, borrowers and remitters bring them. An oil price jump means more demand for dollars and a costlier dollar. Countries then choose a system: let the market decide (floating), fix it by decree (fixed), tie it to a big neighbour's currency (pegged), or float with the central bank smoothing wild swings (managed float, India).

✏ EXAMPLE

The handout: $1 = ₹90 direct, ₹1 = $(1/90) ≈ $0.011 indirect. A cheap fixed dollar at ₹40 against a market ₹90 would explode demand and breed black markets (Hawala). Bhutan's ngultrum is pegged 1:1 to the rupee.

MY NOTES

📐 Formulas of this section

DIRECT QUOTE
$1 = ₹90
price of foreign currency in domestic units

INDIRECT QUOTE
₹1 = $(1 ÷ 90) ≈ $0.011
price of domestic currency in foreign units

An **exchange rate (ER)** is the price of one currency in terms of another. Neither the US Fed nor the RBI dictates it in India; millions of buyers and sellers do.

- **Direct quote:** $1 = ₹90 (price of foreign currency in domestic units). **Indirect quote:** ₹1 = $(1/90) ≈ $0.011.
- **Demand for dollars (a minus on the autonomous BoP):**
  - Importers
  - Income outflows (interest and dividends abroad)
  - **Capital flight** (FPIs selling stocks)
  - Citizens abroad (tourists, students)
- **Supply of dollars (a plus on the autonomous BoP):**
  - Exporters
  - Foreign investors (FDI, FPI)
  - Borrowings (ECBs)
  - Remittances and tourism
- The ER is where **D$ meets S$.** A crude oil price surge raises demand for dollars and the dollar becomes costlier (₹90 to ₹95)
- A flood of foreign investment raises supply and the dollar becomes cheaper

EXCHANGE RATE SYSTEMS

The four systems (handout; slide 5 for the first three)

System	What it is	Terms and examples
Floating (market based)	The ER is set by demand and supply; no intervention; free movement of foreign currency; needs a deep forex market	**Appreciation / depreciation** (automatic)
Fixed	An authority sets a rigid rate and **enforces** it. A cheap fixed dollar (₹40 against a market ₹90) would explode demand, so the central bank must sell reserves (finite) or **restrict demand** (import bans, limits on profit repatriation and remittances). This breeds **illegal channels and black markets (Hawala)** and shields inefficient domestic producers	**Devaluation / revaluation.** Slide 5: ways to fix: control demand or supply of foreign currency; peg to a stable commodity (**gold standard** pre-World War); peg to another currency through **currency boards**

MY NOTES

System	What it is	Terms and examples
Pegged (a variant of fixed)	A country without a deep forex market pegs to a large trading partner's or neighbour's currency	Bhutan's ngultrum and Nepal's rupee pegged to the INR (Bhutan 1:1); UAE dirham and Hong Kong dollar pegged to the US dollar
Managed float (dirty float, mixed)	Largely floating, but the central bank **intervenes** on certain objectives (e.g. volatility)	**India follows a managed float.** RBI does **not** target a specific value (₹82 or ₹85); its sole aim is to **curb excessive volatility** by selling or buying dollars. The handout objects to the term **"dirty float"** as pejorative

Evolution of India's exchange rate system (handout)

Period	System
1947 - 1971	**Par Value System:** rigidly pegged to the US dollar
1971 - 1975	Pegged to the **UK pound sterling**
1975 - 1992	Pegged to a **basket of currencies**
1992 - 1993	**LERMS** (Liberalized Exchange Rate Management System): dual-rate transition
1993 - present	**VERS** (Voluntary Exchange Rate System) / managed float; rupee fully convertible on the current account

CONVERTIBILITY OF THE RUPEE

- **Convertibility** is the legal ease of swapping domestic and foreign currency. **Non/partially convertible** (restrictions on amount or purpose) is a hallmark of fixed regimes
- **Fully convertible** needs no RBI permission
- **Before 1993** the rupee was rigidly fixed and restricted. Today it is **100% convertible on the current account.** On the **capital account** it is **partially convertible:** FDI and FPI are free, but there are limits on corporate **ECBs** and on resident Indians sending capital abroad (**LRS limits**). So the rupee is "partly convertible (or almost fully convertible)".
- **Tarapore Committees (1997 and 2006)** on full capital account convertibility concluded it is too dangerous until India fixes its **fiscal deficit** and **bank NPAs. Slide 6:** the Tarapore recommendation is a **graded move** towards full convertibility: control of **fiscal deficit,** control over **inflation,** shoring up the government's ability to repay debts, controlling **gross NPAs** of banks. The **2nd Tarapore Committee** further recommended: raising **ECB limits,** relaxations for **NRIs, abolition of Participatory Notes.**

MY NOTES

MEMORY AID · TARAPORE: CONDITIONS BEFORE FULL CONVERTIBILITY

F I N D

Before opening the capital account, FIND these four things under control.

- **F** Fiscal deficit brought under control
- **I** Inflation brought under control
- **N** NPAs: gross NPAs of banks controlled
- **D** Debt: government's ability to repay is shored up

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

HANDOUT ALERT: TARAPORE COMMITTEE YEARS AND RECOMMENDATIONS

The **slide** lists the first committee's four conditions and a **second** committee's three recommendations without years; the **handout** gives the years **1997 and 2006** and only the conclusion (fiscal deficit and NPAs). Exam-hall rule: **Tarapore I = 1997, Tarapore II = 2006;** link the four preconditions to the first and ECB/NRI/P-Note changes to the second, as the slides do.

EXTERNAL DEBT (SLIDE 8)

- External debt includes: **sovereign debt, ECBs, FII debt, multilateral debt, Masala bonds,** and (proposed) **sovereign debt bonds.**
- Most foreign debt is **denominated in US dollars,** followed by **INR-denominated debt**
- most is of **long-term maturity** (the slide points to an article for detail)

📘 FROM NCERT · NCERT CLASS XII MACROECONOMICS, §6.2 FOREIGN EXCHANGE MARKET; §6.2.1 DEMAND AND SUPPLY OF FOREIGN EXCHANGE; FIG. 6.1 AND 6.2 (FLEXIBLE RATE)

In plain words: NCERT builds the exchange rate the same way as any price: who demands dollars, who supplies them, and where the curves meet. The two original graphs below are the picture of the handout's "D$ meets S$".

Link to the handout: Handout section 5: demand for dollars (importers, income outflows, capital flight, citizens abroad) and supply (exporters, investors, borrowings, remittances).

Step 1 · Demand and supply of foreign exchange (NCERT)

- Foreign exchange market participants: commercial banks, foreign exchange brokers, other authorised dealers and monetary authorities. The market is world-wide.

MY NOTES

- A rise in the price of foreign exchange makes imports costlier in rupees, so demand for imports and for foreign exchange falls. It makes Indian goods cheaper for foreigners, so exports may rise (whether supply actually rises depends on elasticities).

Demand for foreign exchange because...	Supply of foreign exchange because...
People want to buy goods and services from other countries	Exports lead foreigners to buy our goods and services
They want to send gifts abroad	Foreigners send gifts or make transfers
They want to buy financial assets of a country	Foreigners buy the assets of the home country

Step 2 · The flexible (floating) rate: where D meets S

- In a completely flexible system central banks do not intervene.

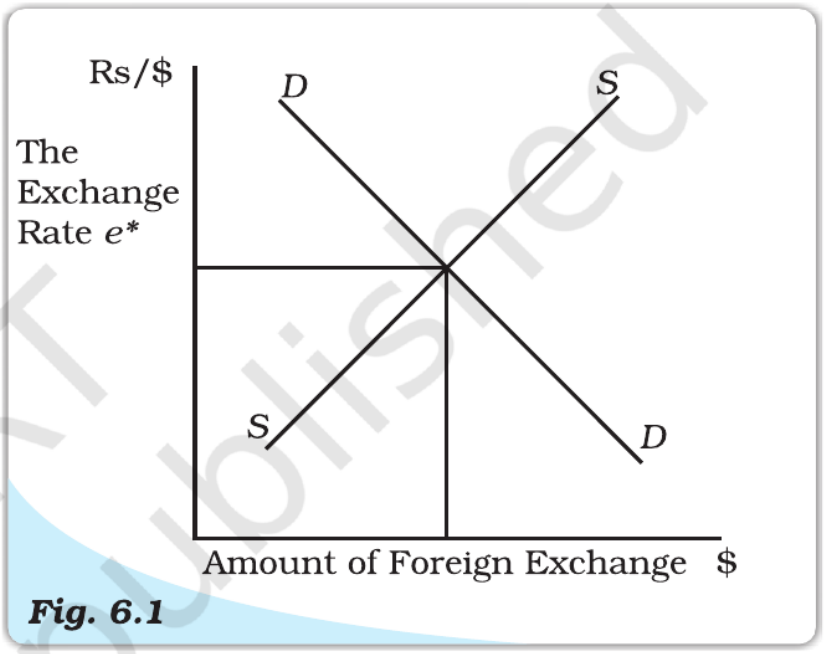


Fig. 6.1

Equilibrium under Flexible Exchange Rates

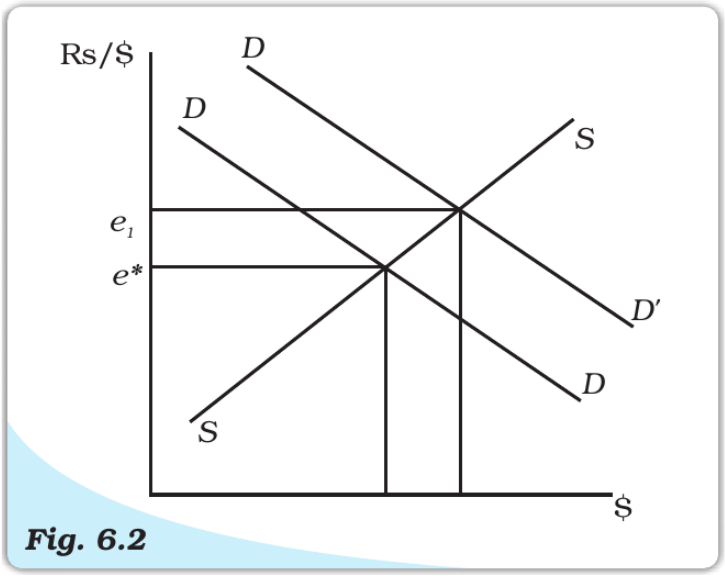
NCERT Fig. 6.1 (exchange-rate graph), original: Equilibrium under flexible exchange rates. Vertical axis Rs/$, horizontal axis amount of foreign exchange ($). The falling D and rising S cross at e*. How to read: that crossing is the market exchange rate.

Step 3 · Shift in demand: depreciation and appreciation

Word	Meaning (floating system)	NCERT example
Depreciation of the rupee	The price of foreign currency in rupees rises; the rupee is worth less	e0 = 50 becomes e1 = 70: Rs 70 needed for a dollar instead of Rs 50

MY NOTES

Word	Meaning (floating system)	NCERT example
Appreci-ation of the rupee	The price of the rupee in dollars rises; fewer rupees are needed for a dollar	The reverse movement



Effect of an Increase in Demand for Imports in the Foreign Exchange Market

NCERT Fig. 6.2 (exchange-rate graph), original: Effect of an increase in demand for imports. The demand curve shifts right (D to D') and the rate moves from e* up to e1. How to read: more demand for dollars, dearer dollar.

NCERT differs: NCERT's floating-rate figures are numbered Fig. 6.1 and Fig. 6.2, the same numbers as its BoP trees (a numbering slip in the book). (*handout/teacher wins in class*)

📘 FROM NCERT · NCERT CLASS XII MACROECONOMICS, §6.2.2 FIXED RATES, DEVALUATION; §6.2.3 MERITS AND DEMERITS; §6.2.4 MANAGED FLOATING; FIG. 6.3

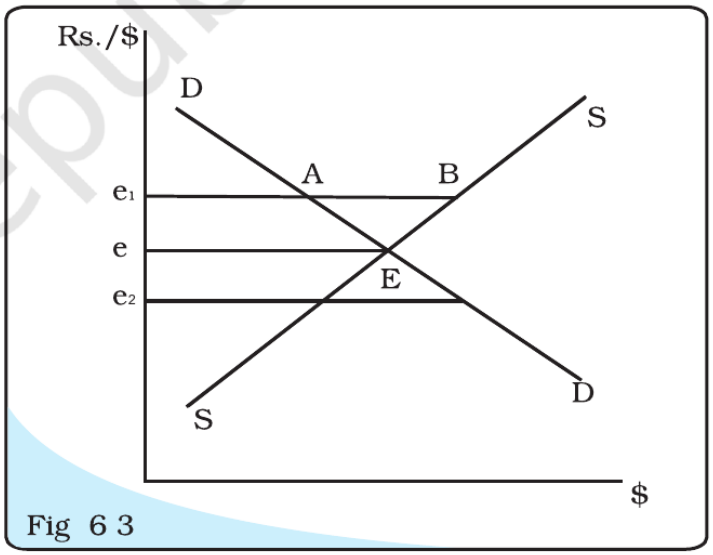
In plain words: The handout gives the four systems. NCERT shows **how** a fixed rate is defended with a graph and why fixed rates collapse: reserves run out and speculators attack.

Link to the handout: Handout section 5 table: floating, fixed, pegged, managed float; also the "fixed rate needs reserves or restrictions" point.

MY NOTES

Step 1 · A fixed rate, defended by the central bank

- Example: the Government wants to encourage exports and fixes Rs 70 per dollar against a market rate of Rs 50. The new rate e1 is above e.
- At e1 supply of dollars exceeds demand (AB). The RBI buys the dollars for rupees and so keeps accumulating foreign exchange as long as it intervenes.
- If the Government fixes the rate at e2 there is excess demand for dollars; it must withdraw dollars from past holdings. If it fails, a black market for dollars may come up.



Foreign Exchange Market with Fixed Exchange Rates

NCERT Fig. 6.3, original: Foreign exchange market with fixed exchange rates. The market rate is e; e1 is above and e2 is below it. At e1 supply of dollars exceeds demand by the stretch AB; at e2 demand exceeds supply. How to read: the gap between the curves at a fixed rate is what the central bank must fill.

Step 2 · Two words

- Glossary: devaluation = the decrease in the price of domestic currency under pegged rates through official action; depreciation = the same fall under floating rates.

Word	NCERT's meaning (fixed system)
Devaluation	Government action raises the exchange rate (rupees per dollar), making the domestic currency cheaper
Revaluation	Government decreases the exchange rate, making the domestic currency costlier

MY NOTES

Step 3 · Merits and demerits, side by side

- NCERT: fixed rates are prone to speculative attacks, as seen before the collapse of the Bretton Woods system.

	Fixed rate	Flexible rate
Main feature	Needs credibility that the government can maintain the rate; deficits are met from official reserves	Exchange-rate movements automatically take care of BoP surpluses and deficits
Reserves	If people think reserves are inadequate they doubt the rate: speculation of devaluation, a **speculative attack on a currency**	No need to hold large stocks of foreign exchange reserves
Monetary policy	Must intervene to maintain the rate	Countries gain independence in conducting monetary policy

Step 4 · Managed floating

- Without any formal international agreement the world has moved to a mix: the float part of a flexible system and the managed part of a fixed system.
- Central banks intervene to buy and sell foreign currencies to moderate movements whenever they feel it appropriate. Official reserve transactions are therefore not equal to zero.
- NCERT also calls this "dirty floating".

NCERT differs: NCERT uses the term "dirty floating"; the handout objects to it as pejorative. Use "managed float" in answers. (*handout/teacher wins in class*)

NCERT differs: NCERT's Fig. 6.3 reads "Fig 6 3" in print (missing full stop). (*handout/teacher wins in class*)

📘 FROM NCERT · NCERT CLASS XII MACROECONOMICS, §6.2.2 SPECULATION; INTEREST RATES; INCOME; CLASS XI CH 3 (FOREIGN EXCHANGE REFORMS)

In plain words: The handout says demand and supply decide the rate. NCERT lists the forces **behind** the shifts: expectations, interest rate gaps and national income. Each has a tiny story.

Link to the handout: Handout section 5: oil price surge raises demand for dollars; foreign investment flood raises supply. NCERT adds three more drivers.

MY NOTES

Four drivers of shifts in demand or supply of dollars

Driver	The mechanism	NCERT's example
Speculation	People hold foreign money if they expect it to gain value; this raises demand now and makes the belief self-fulfilling	Rs 80 to a pound; expected Rs 85 at month end: Rs 80,000 buys 1000 pounds, to be sold for Rs 85,000: profit Rs 5,000
Interest rate gap	Funds move to where interest is highest. Country A bonds pay 8 per cent, country B 10 per cent: A's currency depreciates, B's appreciates	A rise in interest rates at home often leads to an appreciation of the domestic currency (if no restrictions on buying foreign bonds)
Income at home	Higher income raises imports, so the demand curve for foreign exchange shifts right: depreciation	A country whose aggregate demand grows faster than the world's normally finds its currency depreciating
Income abroad	Higher foreign income raises our exports, so supply of foreign exchange shifts out	On balance the currency may or may not depreciate: depends on whether exports grow faster than imports

What happened to India in 1991 (NCERT)

- In 1991, as an immediate measure to resolve the BoP crisis, the rupee was **devalued** against foreign currencies. This led to an increase in the inflow of foreign exchange.
- It also set the tone to free the determination of the rupee's value from government control: now more often than not markets determine exchange rates based on demand and supply.

⭐ **REMEMBER**

D$ meets S$. Direct quote = rupees per dollar. India: Par value 1947-1971 → pound 1971-1975 → basket 1975-1992 → LERMS → VERS 1993. Current account convertible; capital account partial.

MY NOTES

6 · NOMINAL, REAL AND EFFECTIVE EXCHANGE RATES

🧠 **UNDERSTAND IT FIRST**

It is the movement of the rate, not its level, that decides who wins trade. The nominal rate is what you see on the screen. The real rate corrects it for inflation: if your prices rise faster than your partner's, your goods get dearer even with a fixed nominal rate. The effective rate averages the rupee against a whole basket of trading partners. Beware the trap: the dollar falling from ₹90 to ₹80 is a rupee APPRECIATION.

✏ **EXAMPLE**

The handout's numbers: NER ₹80, PF = 105, PD = 110, so RER = 80 × 105 ÷ 110 ≈ ₹76. If NER depreciates to ₹85 the handout says about ₹80 (arithmetic gives about ₹81).

📐 Formulas of this section

REAL EXCHANGE RATE
RER = NER × (PF ÷ PD)
PF = foreign price level, PD = domestic price level

HANDOUT NUMBERS
80 × 105 ÷ 110 ≈ ₹76
RER below NER: rupee actually stronger

AFTER DEPRECIATION
85 × 105 ÷ 110: handout says ~₹80
arithmetic gives about ₹81

The **absolute** level (₹80 or ₹150 per dollar) is "largely irrelevant"; the **movement** decides **trade competitiveness.**

Depreciation versus appreciation (direct quote)

	Depreciation	Appreciation
Rupee	Loses value; $1 moves from ₹80 to ₹90	Gains value; $1 moves from ₹90 to ₹80
Imports	Costlier, discouraged	Cheaper
Exports	Cheaper for foreigners, encouraged	Costlier, uncompetitive

HANDOUT ALERT: THE COGNITIVE TRAP

The dollar falling from ₹90 to ₹80 is a rupee APPRECIATION. The handout warns "this complication may cost dearly in exams". In a **floating** system the terms are appreciation/depreciation; in a **fixed** system they are **revaluation/devaluation.**

MY NOTES

Nominal versus real exchange rate

	Nominal ER (NER)	Real ER (RER)
Meaning	Market price: what exporters actually receive, importers actually pay (e.g. $1 = ₹80)	Inflation-adjusted ER: **RER = NER × (PF ÷ PD)**
Why it matters	Its movement affects trade	Inflation also moves competitiveness: with NER fixed at ₹80, India's 10% inflation against the US 5% raises the price of Indian exports
Handout numbers	NER ₹80; PF = 105; PD = 110	RER = 80 × 105 ÷ 110 ≈ **₹76** (below NER: the rupee is "actually stronger", imports rise, exports fall)
The fix	Let NER depreciate to ₹85	RER = 85 × 105 ÷ 110: the handout says **"~₹80"** (the arithmetic gives about ₹81), restoring competitiveness

Effective Exchange Rate (EER): the weighted average of an ER over a basket of partner currencies, with weights from **each partner's share of India's trade. NEER** = weighted average of bilateral **nominal** rates. **REER** = NEER **adjusted for inflation differentials.**

KEY UPSC TRAP: READING RBI'S NEER AND REER

1. RBI uses **indirect quotes** (it computes the **value of the rupee**), so a **rising EER means a stronger rupee. 2.** RBI publishes an **index** (**base year 2015-16 = 100**). Above 100 means the rupee is **over-valued** against the base; a rising value over time means the rupee is becoming **expensive and losing trade competitiveness. 3.** RBI uses **two baskets:** a quick one with the **6 major trading partners** and a complex one with the **40 largest;** weights follow trade shares and are revised regularly.

📘 FROM NCERT · NCERT CLASS XII MACROECONOMICS, GLOSSARY AND §6.2.2 EXCHANGE RATES IN THE LONG RUN (PPP); EXERCISES 3, 4, 15

In plain words: The handout's real exchange rate sum is one line of arithmetic. NCERT gives the definitions in plain words and the purchasing power parity (PPP) idea behind it: the same shirt should cost the same everywhere.

Link to the handout: Handout section 6: RER = NER × PF ÷ PD. NCERT's "relative price of foreign goods in terms of domestic goods" is the same RER.

MY NOTES

Step 1 · The definitions (NCERT glossary)

- Which rate decides buying a domestic or a foreign good? NCERT asks this (Exercise 3): the real rate, because it compares the prices of goods, not just currencies.

Term	NCERT's words
Nominal exchange rate	The number of units of domestic currency one must give up to get one unit of foreign currency; the price of foreign currency in terms of domestic currency
Real exchange rate	The relative price of foreign goods in terms of domestic goods
Purchasing power parity (PPP)	A theory of international exchange which holds that the price of similar goods in different countries is the same

Step 2 · PPP with the shirt (NCERT Example 6.1)

- Why a rate other than Rs 50 fails: at Rs 60 a US shirt costs Rs 480 against Rs 400 in India, so all foreign customers buy Indian shirts. Below Rs 50, all the business goes to the US.
- PPP is for the long run, in a flexible system, with no trade barriers like tariffs and quotas (except transport costs).

Step	Rupees in India	Dollars in the US	Rate that makes them equal
Start	Shirt Rs 400	Shirt $8	Rs 400 ÷ $8 = Rs 50 per dollar
Prices rise: India 20 per cent, US 50 per cent	Rs 480	$12	$12 must be worth Rs 480: one dollar = Rs 40 (the dollar has depreciated)

Step 3 · NCERT's own practice sums, worked out here (not from the handout)

- Exercise 4: 1.25 yen buy one rupee; price level Japan 3, India 1.2. Worked out here: nominal rate as price of yen in rupees = 1 ÷ 1.25 = 0.8 rupee per yen; real rate = 0.8 × 3 ÷ 1.2 = 2 (using RER = NER × PF ÷ PD).
- Exercise 15: Rs 30 = $1 in 2010; prices doubled in India and stayed fixed in the US over 20 years. By PPP, worked out here: the rate in 2030 is Rs 60 per dollar (the rupee has depreciated).
- Exercise 16: with a fixed rate and higher inflation in country A, A's goods become dearer relative to B's; arithmetic of the real-rate formula then shows A's trade balance worsens.

MY NOTES

NCERT differs: NCERT's glossary RER is the same direction as the handout's formula only when the nominal rate is quoted as domestic currency per foreign unit. The handout uses that direct quote for RER; RBI's REER index uses the opposite (indirect) quote, as the handout's "key UPSC trap" warns. *(handout/teacher wins in class)*

⭐ **REMEMBER**

RER = NER × PF ÷ PD. RBI's NEER and REER: indirect quotes, index 2015-16 = 100, rising = stronger rupee. Baskets: 6 and 40.

7 · CURRENT ACCOUNT DEFICIT: CAUSES, CURES AND SIDE EFFECTS

🧠 **UNDERSTAND IT FIRST**

A current account deficit means we buy more from the world than we sell. It is not evil in itself; a growing country needs machines. The test is whether it is financed by steady money (FDI) or flighty money (FPI, costly ECB), and whether reserves cover 6 to 8 months of imports. The causes fall in four groups, and each cure has a price: cutting demand costs growth, tariffs invite retaliation, supply reforms take long, and devaluation brings the J-curve.

✏ **EXAMPLE**

The handout's groups: 1 demand side (crude, APIs, gold sinkhole), 2 policy side (tariffs, Inverted Duty Structure), 3 supply side (infrastructure, EODB, PLI), 4 strong exchange rate.

📐 Formulas of this section

CURRENT ACCOUNT DEFICIT

CAD = VI − VE

VI = PI·QI, VE = PE·QE

RESERVE TEST

reserves ≥ 6 to 8 months of import bill

handout's adequacy measure

CAD arises when outgo on the current account exceeds inflow, mostly **imports above exports. CAD = VI − VE.** A deficit is **not inherently evil:** for a developing country needing capital machinery it is often unavoidable. The test is **sustainability: quality of financing** (stable **FDI** is sustainable; volatile **FPI** or expensive ECB is not) and **reserve adequacy** (the handout says **6 to 8 months of import bill**).

MY NOTES

Reasons for high imports and low exports

High imports	Low exports
High domestic income growth; dependency on natural resources (crude, APIs); low import tariffs; insufficient domestic production capacity; high inflation (domestic goods dear, imports cheap); strong exchange rate	Poor manufacturing base (EODB, taxes, infrastructure, investment); recession abroad; depletion of natural resources; poor quality; high inflation; strong exchange rate

Slide 14 (causes of deficits): demand side: strong domestic growth, weak foreign growth or recession abroad, strong exchange rate. **Supply side:** low investment, low productivity, high relative inflation, high labour costs, poor quality of exports, depletion of resources. The slide also flags **"*Dutch Disease?"** with no explanation in the slides or the handout, so none is given here.

Four groups of reasons, the policy and its trade-off (handout table and slides 15-17)

Reason	Policy	Consequence or trade-off
1 · Demand side: high incomes; inelastic necessities (crude, APIs); the **"gold sinkhole"** (gold imports lock wealth in vaults, drain forex without productive use); growth itself raises luxury imports	**Demand reduction:** contractionary fiscal or monetary policy; **import restrictions** (tariffs, bans)	The "**sledgehammer**": lower growth, higher unemployment and poverty, loss of business confidence. Restrictions breed **illegal channels;** imports continue and government loses tax revenue
2 · Policy side (tariffs): cheap imports; high taxes on domestic goods. **Inverted Duty Structure (IDS):** tax on finished goods is below tax on intermediates, so importing the finished good is cheaper than assembling	**Impose tariffs, quotas;** raise import taxes, cut taxes on domestic goods, subsidise producers	**Retaliation,** costly, **inflationary, WTO violation,** higher prices for consumers; exports in pharma, petroleum, electronics, gems become uncompetitive because they use imported intermediates
3 · Supply side: poor infrastructure, EODB, low R&D, disasters	**Supply-side policy:** invest in infrastructure; improve EODB, contract enforcement, compliance, land acquisition; skilling; quality checks (**Zero Defect, Zero Effect**); **Production Linked Incentive (PLI) schemes**	**Long term, costly,** no guarantee; all must be achieved together. "Easier said, impossible to do"

MY NOTES

Reason	Policy	Consequence or trade-off
4 · Strong exchange rate: makes imports cheap and exports dear	**Devaluation** of the currency; **domestic subsidies to exports**	**Currency wars,** imports costlier, the **J-curve effect** (below)

THE INVESTMENT PARADOX AND THE OPPORTUNITY COST TRAP

- To fix the supply side a country must invest (ports, highways, power), sacrificing present welfare (healthcare, education, subsidies) for future returns. **The "China illusion":** a highway generates exceptional returns **only if** synchronised with the "software": **EODB, contract enforcement, land, flexible workforce, talent.** Without them the nation suffers the opportunity cost but gets mediocre gains.
- **Winner-takes-all race:**
  - India, Vietnam, Sri Lanka and Egypt compete for factories leaving China or the US
  - Global firms (Apple, Foxconn) choose a **single** destination. Losers are left with debt and empty industrial parks
- **Reality check:** Southeast Asian nations opened earlier and have superior infrastructure, so India "is desperately racing to catch up". It is a case that **investment alone is not enough.**

📘 **FROM NCERT · NCERT CLASS XII MACROECONOMICS, EX. 17 AND §6.1.3; CLASS XI CH 8 (FOREIGN EXCHANGE EARNINGS); CLASS XI GLOSSARY (TARIFF WORDS)**

In plain words: Is a current account deficit a disaster? NCERT's answer is hidden in its sentence "a deficit is a borrower". The handout's test (how is it financed, are reserves enough) is the full answer. NCERT also defines the policy tools the handout names: tariffs and quotas.

Link to the handout: Handout section 7: CAD = VI − VE; four groups of reasons; policy cures (tariffs, quotas, import bans). NCERT Exercise 17 ("Should a current account deficit be a cause for alarm?") is answered by the handout section 7; NCERT's text only supplies the lender-borrower idea.

Step 1 · NCERT's logic of a deficit

- Current account deficit = the nation is a borrower. It must be financed by a capital account surplus (a net capital inflow) or by selling reserves.
- NCERT's Class XI comparison with Pakistan: if a country builds foreign exchange earnings through sustainable export of manufactured goods, it need not worry. In Pakistan most foreign exchange came from remittances from workers in the

MY NOTES

Middle-east and from volatile agricultural exports, with growing dependence on foreign loans and increasing difficulty paying them back.

- This is the "quality of financing" test of the handout, seen from the earnings side.

Step 2 · The policy words in NCERT's glossary

Term	NCERT's definition (short)
Tariff	A tax on imports, levied on physical units (specific) or on value. Reasons: raise revenue, protect domestic industry from subsidised or low-wage imports, boost employment, ease a BoP deficit. NCERT's warning: apart from revenue, tariffs achieve little good; they reduce the volume of trade and raise the price to consumers
Tariff barriers	All restrictions on imports by a government in the form of taxes
Non-tariff barriers	All restrictions on imports in forms other than taxes; mainly restrictions on quantity and quality
Quantitative restrictions	Restrictions in the form of total quantities or quotas imposed on imports to reduce BoP deficit and protect domestic industry
Stabilisation measures	Fiscal and monetary measures adopted to control fluctuations in the balance of payments and a high rate of inflation

Step 3 · What India did on imports after 1991 (NCERT)

- Trade reforms aimed at (i) dismantling quantitative restrictions on imports and exports, (ii) reducing tariff rates, (iii) removing licensing for imports.
- Import licensing was abolished except for hazardous and environmentally sensitive industries. Quantitative restrictions on manufactured consumer goods and agricultural products were fully removed from April 2001. Export duties were removed to improve the competitiveness of Indian goods.

📘 FROM NCERT · NCERT CLASS XII MACROECONOMICS, APPENDIX 6.1 (OPEN ECONOMY INCOME AND MULTIPLIER) AND EXERCISES 13-14

In plain words: Trade changes not just the BoP but your national income. Each rupee spent on imports is a rupee that

MY NOTES

does not come back as domestic income, so the multiplier shrinks. Four steps, one worked sum.

Link to the handout: Handout section 7: CAD = VI − VE (imports and exports). NCERT writes them as M and X and adds net exports NX = X − M to the income identity.

Step 1 · Income identity of an open economy

- Imports depend positively on domestic income and negatively on the real exchange rate R (higher R makes foreign goods dearer). Exports depend on foreign income and R.

CLOSED ECONOMY
$Y = C + I + G$
three sources of demand

OPEN ECONOMY
$Y + M = C + I + G + X$
exports add demand from abroad; imports are the part of demand that falls on foreign goods

NET EXPORTS
$Y = C + I + G + NX$, where $NX = X - M$
NX positive = trade surplus; negative = trade deficit

Step 2 · The import function and the multiplier

- Why smaller: m is a fraction of each extra rupee of income that leaks to foreign goods in every round of the multiplier, so the induced demand for domestic goods is smaller.

IMPORT DEMAND
$M = \bar{M} + mY$
$\bar{M} > 0$ autonomous imports; m = marginal propensity to import, $0 < m < 1$

EQUILIBRIUM INCOME
$Y^* = A \div (1 - c + m)$
A = all autonomous components together

OPEN ECONOMY MULTIPLIER
$\Delta Y \div \Delta A = 1 \div (1 - c + m)$
smaller than the closed economy multiplier $1 \div (1 - c)$

EXPORT AND IMPORT SHOCKS
$\Delta Y^* \div \Delta X = 1 \div (1 - c + m)$; $\Delta Y^* \div \Delta \bar{M} = -1 \div (1 - c + m)$
more exports raise income; more autonomous imports lower it

WITH PROPORTIONAL TAX (NCERT EXERCISE 12, WORKED OUT HERE)
$1 \div (1 - c(1 - t) + m)$
arithmetic: replace T by tY in the same steps

MY NOTES

Step 3 · NCERT's Example 6.2

	Closed economy	Open economy
Multiplier with c = 0.8, m = 0.3	1 ÷ (1 − 0.8) = 1 ÷ 0.2 = 5	1 ÷ (1 − 0.8 + 0.3) = 1 ÷ 0.5 = 2
Autonomous demand rises by 100	Output rises by 500	Output rises by 200

Step 4 · Exercises 13 and 14, solved step by step (worked out here, not from the handout)

- Given C = 40 + 0.8 YD, T = 50, I = 60, G = 40, X = 90, M = 50 + 0.05Y.
- Autonomous part A (worked out here): 40 − 0.8 × 50 + 60 + 40 + 90 − 50 = 140. Multiplier (worked out here): 1 ÷ (1 − 0.8 + 0.05) = 1 ÷ 0.25 = 4. So (a) equilibrium income = 4 × 140 = 560.
- (b) Imports at that income (worked out here): 50 + 0.05 × 560 = 78, so net exports = 90 − 78 = 12.
- (c) G rises from 40 to 50 (worked out here): A = 150, income = 4 × 150 = 600; imports = 50 + 0.05 × 600 = 80, net exports = 90 − 80 = 10.
- Exercise 14, X = 100 with G = 40 (worked out here): A = 150, income = 600, change in income = +40 (that is multiplier 4 × change in X 10); imports = 80, net exports = 100 − 80 = 20, up by 8 from 12.

NCERT differs: This multiplier work is NCERT-only; the handout does not use the income-expenditure model. Treat it as background for the idea that imports leak out of the income circuit. (*handout/teacher wins in class*)

⭐ **REMEMBER**

CAD = VI − VE. Four reasons, four cures, four trade-offs. FDI-financed CAD is sustainable. Reserves: 6 to 8 months of imports.

MY NOTES

🧠 MEMORY AID · FOUR GROUPS OF CAD REASONS, IN THE HANDOUT'S ORDER

Deficits Prompt Strong Exports

D Demand side (incomes, crude, gold)	**P** Policy side (tariffs, IDS)
S Supply side (infrastructure, EODB)	**E** Exchange rate too strong

Own memory aid (not from the handout): the four groups are the handout's own table, in its order.

8 · THE J-CURVE AND CURRENCY WARS

🧠 UNDERSTAND IT FIRST

Devaluation is meant to fix the deficit by making imports dear and exports cheap. But if people cannot cut imports quickly (crude, pulses) and foreign buyers do not rush to buy more, the import bill actually grows while export revenue shrinks. So the deficit first gets worse and only later, hopefully, improves: the J. Meanwhile rivals may devalue too, and everyone ends up poorer, a currency war. A floating rate adjusts on its own and nobody cries foul.

✏ EXAMPLE

The handout's numbers: PI doubles and QI falls to 0.75 QI, so VI′ = 2 × 0.75 = 1.5 VI. PE halves and QE rises to 1.5 QE, so VE′ = 0.5 × 1.5 = 0.75 VE. Import bill up, export revenue down.

📐 Formulas of this section

IMPORT BILL

VI′ = 2 PI × 0.75 QI = 1.5 VI

PI doubles, QI falls to 0.75 QI

EXPORT REVENUE

VE′ = 0.5 PE × 1.5 QE = 0.75 VE

PE halves, QE rises to 1.5 QE

MY NOTES

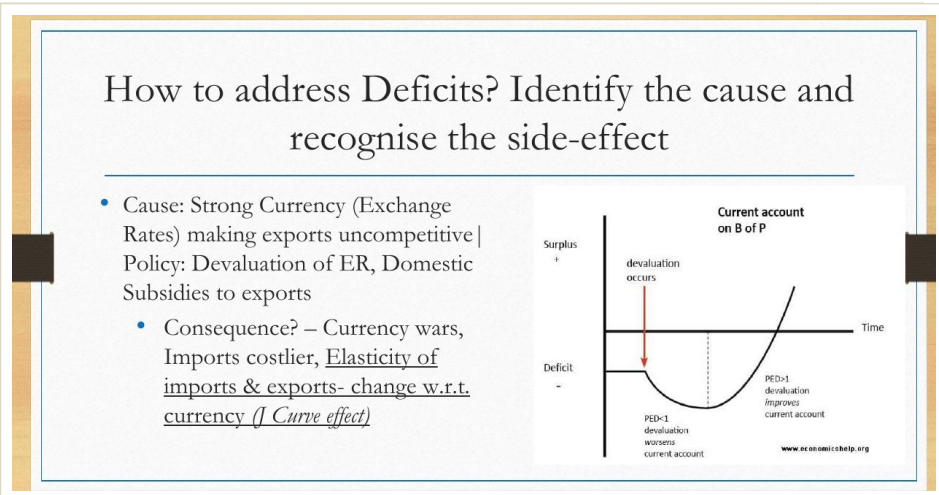


Figure. Slide 16: the J-curve (devaluation occurs; the current account first worsens, then improves). Where PED 1 it improves it. The slide's text: cause, strong currency; policy, devaluation of the exchange rate and domestic subsidies to exports; consequence, currency wars, imports costlier, elasticity of imports and exports changes with currency (J-curve effect).

Devaluation is expected to cut imports and raise exports. But **CAD = VI − VE** where **VI = PI·QI** and **VE = PE·QE.** Upon devaluation PI rises (so QI falls) and PE falls (so QE rises). The net effect depends on **elasticities.**

The handout's worked numbers (inelastic imports and exports)

	Imports	Exports
Price	PI doubles: PI′ = 2 PI	PE halves: PE′ = PE / 2
Quantity	QI falls to 0.75 QI (falls, but less)	QE rises to 1.5 QE (rises, but less)
Value	VI′ = 2 × 0.75 = **1.5 VI** (import bill rises)	VE′ = 0.5 × 1.5 = **0.75 VE** (export revenue falls)

- So **VI up and VE down: CAD worsens first.** The inelasticity assumption is generally true for India: imports are **necessities** (crude, pulses, APIs) and exports are inelastic in the short term (foreign buyers weigh convenience, trust, quality, payment terms, shipping, and competitors cut prices too).
- Countries still devalue hoping that in the **medium to long term** imports fall and exports rise enough to correct the CAD: the **J-curve effect.**

CURRENCY WARS (COMPETITIVE DEVALUATION)

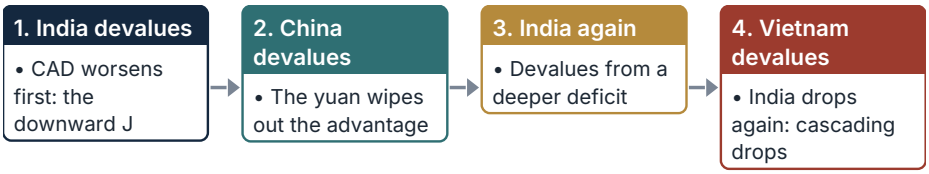
- **1.** India devalues
- CAD worsens immediately (the downward stroke of the J)
- **2.** Just as exports become competitive, **China devalues the yuan** and the advantage is wiped out.
- **3.** India devalues again from a deeper deficit
- Then **Vietnam devalues**

MY NOTES

- India drops again: a series of cascading drops

Result: CAD worsens perpetually, capital flees, reserves are bled dry, inflation crushes the population; the country becomes indebted on terms that may undermine **sovereignty.** A "**beggar thy neighbour**" policy leaves everyone a beggar. Under a **floating** system the CAD causes **depreciation** automatically; no one sees it as an unfair advantage, so there is no retaliation: **floating acts as an automatic stabiliser of CAD.**

CURRENCY WAR: A CASCADE OF DEVALUATIONS



📘 FROM NCERT · NCERT CLASS XII MACROECONOMICS, EXERCISES 7 AND 16; CLASS XI CH 3 (1991 DEVALUATION)

In plain words: The handout's J-curve says devaluation first **worsens** the CAD. NCERT's 1991 story says devaluation **raised** the inflow of foreign exchange. These fit together once you ask "when": the first is the short run, the second looks at the later inflow.

Link to the handout: Handout section 8: elasticities, J-curve, currency wars, floating as automatic stabiliser.

Step 1 · Devaluation versus depreciation (Exercise 7)

	Devaluation	Depreciation
System	Fixed or pegged	Floating
Who causes it	Government action raises the rate (rupees per dollar)	Market forces of demand and supply
Result	Domestic currency becomes cheaper	Domestic currency loses value; the rate rises

Step 2 · Flexible rates take care of deficits by themselves

- NCERT: the major advantage of flexible exchange rates is that rate movements automatically take care of BoP surpluses and deficits. This is the handout's "floating acts as an automatic stabiliser of CAD".
- Fixed rates, by contrast, invite speculative attacks when reserves are thought inadequate (see the box in section 5).

NCERT differs: NCERT's 1991 line says devaluation increased foreign exchange inflow; the handout's J-curve says the CAD worsens first. Learn the handout's explanation for the short

MY NOTES

run; NCERT is not a contradiction, it only reports the later inflow. (*handout/teacher wins in class*)

⭐ **REMEMBER**

VI up 1.5×, VE down to 0.75× = CAD worsens first (J-curve). Currency war = beggar thy neighbour. Floating = automatic stabiliser.

9 · INTERNATIONAL INSTITUTIONS: COOPERATION AND BRETTON WOODS

🧠 **UNDERSTAND IT FIRST**

Countries compete for their own good, and unchecked this ends in tariff wars, devaluations and worse. Game theory says each player grabbing the most can leave all worse off, so rules that everyone accepts are needed. In 1944, 44 countries met at Bretton Woods and built three pillars: the IMF to manage BoP crises, a trade body for rules (the ITO failed and became the WTO in 1995), and the World Bank to rebuild and finance development.

✏ **EXAMPLE**

The handout's story: the East India Company took Bengal through the Nawabs' defaults and the Diwani; British goods paid zero duty in India while Indian goods faced around 200% in Britain. Keynes wanted Bancor; White's US-dollar anchor prevailed.

- International institutions facilitate **cooperation** among countries that compete for national interest (tariffs, retaliation, devaluation, war). **Game theory** (John von Neumann, then John Nash): when each player acts aggressively for its own maximum payoff, all can end worse off ("race to the bottom")
- The **Nash Equilibrium** needs mutually acceptable rules. The handout uses the Iran-Israel-US matrix as a modern illustration
- **Bretton Woods Conference, 1944** (44 countries):
  - After two World Wars, which the handout says were fundamentally caused by economic desperation, **competitive devaluations** and colonial **debt traps** (underlying cause: the BoP). The handout's example: the East India Company did not conquer Bengal with an army
  - The Nawabs defaulted and signed over the **Diwani**
  - British goods paid zero duty in India while Indian goods faced around **200%** in Britain

MY NOTES

- **Keynes (UK)** wanted a neutral global central bank and a stateless currency, the **"Bancor". Harry Dexter White (USA)** demanded a **US dollar (gold-backed) anchor** and voting power proportional to contributions (the US held about **80% of central-bank gold**). White's vision prevailed.

Three questions, three pillars

Problem	Answer
BoP crisis manager: stop a country going bankrupt and being conquered	**International Monetary Fund (IMF)**
Rules of the game: stop tariff wars	The **International Trade Organization (ITO)** was proposed and failed; it became the **WTO in 1995**
The builder: rebuild war-torn Europe and finance newly independent colonies	**World Bank (IBRD)**

The IMF and the World Bank, born together, are the **"Bretton Woods Twins".**

📘 **FROM NCERT · NCERT CLASS XI CH 3 (WTO, GATT); CLASS XII CH 6 (BRETTON WOODS MENTION)**

In plain words: The handout's third pillar is the rule-maker on trade. NCERT tells you what it replaced and what it promises.

Link to the handout: Handout section 9: ITO proposed and failed, WTO from 1995.

GATT to WTO, in NCERT's words

- WTO agreements cover trade in goods as well as services, to facilitate bilateral and multilateral trade through removal of tariff as well as non-tariff barriers and greater market access for all members.
- India kept its WTO commitments by removing quantitative restrictions on imports and reducing tariff rates.
- Critics noted by NCERT: a major volume of trade is among developed nations; developed countries complain about agricultural subsidies elsewhere while developing countries are made to open markets but are denied access to developed markets, e.g. high non-tariff barriers (the US has not removed its quota on textile imports from India and China).

MY NOTES

Body	NCERT's facts
GATT (General Agreement on Tariff and Trade)	Established in 1948 with 23 countries as the global trade organisation to administer all multilateral trade agreements, giving equal opportunities to all countries in the international market
WTO (World Trade Organisation)	Founded in 1995 as the successor organisation to GATT. Expected to set up a rule-based trading regime in which nations cannot place arbitrary restrictions on trade. Also enlarges production and trade of services, ensures optimum utilisation of world resources and protects the environment

Why a single stable world currency was a problem (recap from the introduction)

- No single international currency or authority; the Bretton Woods system of fixed rates collapsed under speculative attacks (NCERT §6.2.3).

NCERT differs: NCERT names GATT (1948) as the WTO's predecessor and does not mention the ITO. The handout names the proposed ITO. Learn both: ITO proposed, GATT 1948, WTO 1995. *(handout/teacher wins in class)*

⭐ **REMEMBER**

1944, 44 countries. IMF = crisis manager, WTO = rule-maker (ITO failed, WTO 1995), World Bank = builder. The Bretton Woods twins.

10 · THE WORLD BANK GROUP

🧠 **UNDERSTAND IT FIRST**

"World Bank" strictly means IBRD plus IDA, but the group has five arms. IBRD lends to middle-income countries on near-commercial terms. IDA gives near-free credit to the poorest. IFC lends to private firms and guarantees their credit. MIGA insures foreign investors against political risk. ICSID settles investor-state disputes, and India is not a member. Votes follow shares, the USA is the largest shareholder, and the President is always an American.

MY NOTES

✏ EXAMPLE

The handout: IDA credits are repaid over 30 to 40 years; India graduated from IDA in 2014; an Indian corporate may pay 7% instead of 4% because of the sovereign ceiling, which the IFC guarantee eases.

- "World Bank" strictly means **IBRD + IDA**
- the **World Bank Group (WBG)** has **five** institutions. **Goals by 2030:** end extreme poverty (people living on less than **$2.15 a day** to no more than **3%** of the world's population) and promote **shared prosperity** (income growth of the **bottom 40%** in every country)
- **Governance:**
  - Voting by shares, not one country one vote
  - The **USA** is the largest shareholder with large veto power over major changes. **Board of Governors** (usually finance ministers, meets annually)
  - **25 Executive Directors** in Washington D.C. approve loans
  - The **President is always an American** nominated by the US (the IMF head is always a European)

Five pillars of the World Bank Group

Institution	Function	Funding and borrowers
IBRD (International Bank for Reconstruction and Development)	The original; long-term, favourable-commercial loans to **middle-income and creditworthy low-income** countries for infrastructure	Issues **World Bank bonds** (AAA rating) in global markets; major borrowers: **India, Indonesia, Brazil, Turkey**
IDA (International Development Association), **1960**	**Concessionary** window: zero to very low interest **"credits"** and grants to the **poorest;** repayment **30 to 40 years**	Funded by **donor contributions, replenished every three years;** beneficiaries: Sub-Saharan Africa (Nigeria, Ethiopia), Bangladesh. **India graduated from IDA in 2014** and is now only an IBRD borrower (formerly a "Blend" nation)
IFC (International Finance Corporation)	**Private sector arm:** lends directly to private corporations. Most transformative role: **credit guarantee** (credit enhancement) because a firm's rating is capped by its **sovereign rating** (the **"sovereign ceiling trap"**: an Indian corporate pays say 7% instead of 4% in the US)	AAA-rated; also pioneers **local currency financing** (e.g. rupee **Masala bonds**) to reduce exchange rate risk

MY NOTES

Institution	Function	Funding and borrowers
MIGA (Multilateral Investment Guarantee Agency)	**Insurance arm: Political Risk Insurance** for foreign investors against **expropriation, breach of contract, war and civil disturbance, currency inconvertibility**	Reduces fear of policy instability
ICSID (International Centre for Settlement of Investment Disputes)	International arbitration of disputes between foreign investors and host states	**India is NOT a member:** it sees bypassing the domestic judicial system as infringing sovereignty and insists on exhausting domestic remedies first

- **Flagship publications:**
  - **World Development Report (WDR)**
  - **Global Economic Prospects** (bi-annual)
  - **Logistics Performance Index (LPI)**
  - the **Ease of Doing Business** index was discontinued and is being replaced by **B-READY.**

📘 **FROM NCERT · NCERT CLASS XI CH 3 (§3.2 BACKGROUND) AND CH 8**

In plain words: A one-line check on the words: NCERT uses "World Bank" for the IBRD and shows India as a borrower in 1991.

Link to the handout: Handout section 10: "World Bank" strictly means IBRD + IDA; India graduated from IDA in 2014.

What NCERT says

- "International Bank for Reconstruction and Development (IBRD), popularly known as World Bank."
- India approached the IBRD and the IMF in 1991 and received $7 billion as loan (see the box in section 4).
- NCERT's comparative chapter: India had to borrow from the IMF and World Bank to set right its balance of payments crisis; foreign exchange is an essential component for any country and it is important to know how it can be earned.

NCERT differs: NCERT equates the "World Bank" with the IBRD; the handout counts IBRD + IDA as the World Bank and five institutions as the Group. Use the handout. *(handout/teacher wins in class)*

MY NOTES

⭐ **REMEMBER**

IBRD builds, IDA gives, IFC lends to firms, MIGA insures, ICSID arbitrates (India outside). 25 Executive Directors; US President; European IMF head.

11 · THE IMF: FUNCTIONS, QUOTA, SDR AND LENDING

🧠 **UNDERSTAND IT FIRST**

The IMF is a fund with 191 owners. Each pays a subscription equal to its quota, three quarters in its own currency and a quarter in usable foreign money or gold. That quarter can be withdrawn unconditionally: the reserve tranche. In a crisis a country first uses its SDRs, selling them to a surplus country for hard currency, and only after SDRs and RTP are exhausted does the IMF lend directly through ECF, RCF, SBA or EFF, usually with conditions that critics call an infringement on sovereignty.

✏ **EXAMPLE**

The handout's story: Sri Lanka sells SDR holdings to Germany and gets currency; Sri Lanka then pays net interest, Germany earns it. India's quota of 4 out of 100 would give 4% of quota-based votes; the Indian Executive Director represents India, Bhutan, Bangladesh and Sri Lanka with about 3.5% votes.

📐 Formulas of this section

IMF SUBSCRIPTION

subscription = quota, in SDR

75% domestic currency + 25% usable currency or gold

FOREX RESERVES

gold + FCA + SDR holdings + RTP

RTP = the 25% part, withdrawable unconditionally

QUOTA-BASED VOTES

votes = country's share of total quota

quota 4 of 100 gives 4% of QBV (handout)

The IMF (conceived July 1944 at Bretton Woods) works for **sustainable growth and prosperity of its 191 members** through three missions: **international monetary cooperation, expansion of trade and growth, discouraging harmful policies.** It monitors global financial flows and puts out **BoP crises** before they cause a global meltdown.

MY NOTES

Core functions

Function	Details
Surveillance	Monitors exchange rates, capital flows, reserve adequacy. **Article IV** consultations: mandatory annual health-checks on every member; publications: **World Economic Outlook (WEO), Fiscal Monitor, Global Financial Stability Report (GFSR)** and country reports
Capacity building	Technical assistance to central banks on inflation and tax policy
Lending	**Lender of last resort** when a country runs out of foreign currency

- **Structure like a fund:**
  - Owner = 191 member countries
  - Objective = stability of the global financial system
  - **Fund manager** = **Executive Board of 25 Executive Directors + 1 Managing Director (26 since 2024)**
  - contributors = members by **quota**
  - corpus = total contributions
- **Quota** is set by size of economy, forex reserves, openness to trade. It fixes **(1) subscription, (2) voting power** (not one country one vote; proportional to quota; major decisions need an **85% supermajority,** which gives the **United States (over 16%)** a veto), and **(3) borrowing limits** (a multiple of quota).
- **Votes:**
  - **Fixed Votes** are shared equally among members (to protect small countries)
  - **Quota-Based Votes** follow each country's share of total quota (if India's quota is 4 of 100, it gets 4% of QBV). Executive Directors represent groups: the **Indian Executive Director represents India, Bhutan, Bangladesh and Sri Lanka** with combined voting power of about **3.5%.** Most decisions are by simple majority
  - Quota reforms need 85%
- Quota reforms are due every 5 years but are slow
- The handout says India now **contributes more than its quota requires** as a signal

HOW SUBSCRIPTIONS WORK, SDR AND RTP

- The subscription (numerically equal to the quota) is counted in **SDRs,** which the country buys from the IMF. **75% is paid in domestic currency (rupees)**
- **25% in freely usable foreign currency or gold** (USD, JPY, RMB, EUR, GBP). SDR holdings count as **forex reserves.**

MY NOTES

- The **25% foreign-currency part** can be withdrawn **unconditionally,** also counted in reserves: the **Reserve Tranche Position (RTP),** "kind of an interest free loan".
- **Forex reserves = gold + foreign currency assets (cash and foreign government bonds) + SDR holdings + RTP.**

What an SDR is

SDR (Special Drawing Rights)	Meaning
Not a currency	Not a medium of exchange: a country cannot buy goods with SDRs
Not a claim on the IMF	A country cannot sell SDRs back to the IMF for currency
Definition	A **potential claim on freely usable currencies** with other IMF members; a **reserve asset** created to supplement reserves
Who can hold	Member countries and prescribed holders (IMF, World Bank, European Central Bank)
Position on joining	**Holdings (asset)** = IMF's liability to the country; **allocations (liability)** = what the country owes. They are equal at the start, so no net interest; the IMF sets the **interest rate weekly**

How it works in a crisis: country X (Sri Lanka in the handout's example) sells its holdings to a surplus country Y (Germany) at the SDR price and gets the currency it needs. X's holdings fall below its allocations and it pays **net interest** to the IMF; Y's rise above and it earns interest **from the IMF.** Y is willing to lend because the **IMF** pays and guarantees repayment: the IMF is a **risk management entity** spreading risk across all members. When X exhausts its SDRs it can ask for more: the IMF can **create SDRs out of thin air,** raising holdings and allocations equally. **Until this point the IMF has not lent a rupee from its corpus.**

Direct IMF lending windows (after SDRs and RTP are exhausted)

Facility	For	Terms
Extended Credit Facility (ECF)	Low-income nations; funded by the **Poverty Reduction and Growth Trust (PRGT)**	Zero-interest; long-term support for deep structural BoP problems
Rapid Credit Facility (RCF)	Low-income nations	Emergency, fast, limited conditions (natural disasters, COVID-19)
Stand-By Arrangement (SBA)	Middle and high-income nations; market-related interest	Short-term (**1-2 years**) for cyclical BoP crises; **most loans lie here**

MY NOTES

Facility	For	Terms
Extended Fund Facility (EFF)	Middle and high-income nations	Longer (**3-4 years**) for deep structural weaknesses (the handout cites Pakistan's repeated bailouts)

- **Conditionalities / Structural Adjustment Programs (SAPs)** on SBA and EFF, released in tranches: fiscal austerity, higher taxes, slashed subsidies, privatisation of PSUs, removal of price controls. Seen as a **gross infringement on sovereignty**
- the handout also notes allegations of **bias** (EU defaulters get fewer conditions than South Asian countries)
- Before lending, the IMF often consults the **FATF** to check the borrower is not a hub for money laundering or terror financing.

📘 FROM NCERT · NCERT CLASS XI CH 3 (§3.2 NEW ECONOMIC POLICY: CONDITIONALITIES)

In plain words: The handout's IMF section ends on conditionalities (SAPs). NCERT shows the one case every Indian student must know: India itself in 1991.

Link to the handout: Handout section 11: conditionalities on SBA and EFF, released in tranches.

Step 1 · What the lenders expected

- For the loan the international agencies expected India to liberalise and open up the economy: remove restrictions on the private sector, reduce the role of government in many areas and remove trade restrictions.
- India agreed to the conditionalities of the World Bank and IMF and announced the New Economic Policy (NEP).

Step 2 · Two groups of NEP measures

	Stabilisation measures	Structural reform measures
Time	Short-term	Long-term
Aim	Correct weaknesses in the balance of payments and bring inflation under control: sufficient forex reserves, prices under control	Improve efficiency and international competitiveness by removing rigidities in segments of the economy
Heads		Liberalisation, privatisation and globalisation

MY NOTES

Step 3 · NCERT's balance of the debate

- Some studies argue the early-1990s crisis was an outcome of deep-rooted inequalities in Indian society and that the externally advised policy package aggravated inequalities.
- Critics: globalisation is a strategy of developed countries to expand their markets; market-driven globalisation has widened economic disparities. Supporters: an opportunity with greater access to global markets and technology.

⭐ **REMEMBER**

Quota = subscription = votes = borrowing limit. 85% for big decisions, US over 16%. SDR is not a currency. Reserves = gold + FCA + SDR + RTP.

MY NOTES

FORMULA SHEET, NUMBER CARD AND DRILLS

MY NOTES

📐 FORMULA SHEET: COVER THE THIRD COLUMN, SAY THE FORMULA, THEN CHECK

Where	Name	Formula	Source
Sec 1	Double entry	**credits + debits = 0**	handout
Sec 1	Mobile cover sum	**10 lakh × 20 Yuan = 2 Crore Yuan**	handout
Sec 2	The BoP idea	**autonomous items + Δ reserves + E&O = 0**	handout
Sec 2	Reserve sum	**$500 B + $100 B − $80 B = $520 B**	handout
Sec 2	E&O	**E&O = observed Δ reserves − expected Δ reserves**	handout
Sec 4	FDI test	**equity ≥ 10% = FDI; equity < 10% = FPI**	handout
Sec 5	Direct quote	**$1 = ₹90**	handout
Sec 5	Indirect quote	**₹1 = $(1 ÷ 90) ≈ $0.011**	handout
Sec 6	Real exchange rate	**RER = NER × (PF ÷ PD)**	handout
Sec 6	Handout numbers	**80 × 105 ÷ 110 ≈ ₹76**	handout
Sec 6	After depreciation	**85 × 105 ÷ 110: handout says ~₹80**	handout
Sec 7	Current account deficit	**CAD = VI − VE**	handout
Sec 7	Reserve test	**reserves ≥ 6 to 8 months of import bill**	handout
Sec 8	Import bill	**VI′ = 2 PI × 0.75 QI = 1.5 VI**	handout
Sec 8	Export revenue	**VE′ = 0.5 PE × 1.5 QE = 0.75 VE**	handout
Sec 11	IMF subscription	**subscription = quota, in SDR**	handout
Sec 11	Forex reserves	**gold + FCA + SDR holdings + RTP**	handout
Sec 11	Quota-based votes	**votes = country's share of total quota**	handout
Sec 2	Current account balance	**trade balance + net invisibles**	NCERT
Sec 2	Net invisibles	**non-factor services + income + transfers**	NCERT
Sec 2	NCERT's identity	**current account + capital account ≡ 0**	NCERT
Sec 7	Closed economy	**Y = C + I + G**	NCERT
Sec 7	Open economy	**Y + M = C + I + G + X**	NCERT

MY NOTES

Where	Name	Formula	Source
Sec 7	Net exports	**$Y = C + I + G + NX$, where $NX = X - M$**	NCERT
Sec 7	Import demand	**$M = \bar{M} + mY$**	NCERT
Sec 7	Equilibrium income	**$Y^* = A \div (1 - c + m)$**	NCERT
Sec 7	Open economy multiplier	**$\Delta Y \div \Delta A = 1 \div (1 - c + m)$**	NCERT
Sec 7	Export and import shocks	**$\Delta Y^* \div \Delta X = 1 \div (1 - c + m)$; $\Delta Y^* \div \Delta \bar{M} = -1 \div (1 - c + m)$**	NCERT
Sec 7	With proportional tax (NCERT Exercise 12, worked out here)	**$1 \div (1 - c(1 - t) + m)$**	NCERT

🔢 NUMBER CARD: FIGURES TO HOLD

- **44 / 1944** countries at Bretton Woods and the year
- **191** IMF members
- **85% / over 16%** IMF supermajority and the US share
- **75% / 25%** IMF subscription: domestic currency versus usable currency or gold
- **10%** FDI control test (10% or more)
- **9** prohibited FDI sectors
- **over 90%** FDI via automatic route
- **₹5,000 Cr** foreign investment above this needs CCEA approval
- **74%** insurance FDI (from 49%) and defence automatic limit
- **1993** VERS and managed float; current account convertible
- **1997 / 2006** Tarapore Committees
- **2015-16 = 100** NEER and REER base year
- **6 and 40** partner currencies in RBI's two baskets
- **1.5× and 0.75×** VI and VE after devaluation (handout)
- **6 to 8 months** import cover considered adequate
- **2014** India graduates from IDA; SEBI erases the term FII

MY NOTES

✏ BLANK-PAGE DRILL: DRAW THESE FROM MEMORY, THEN CHECK

- Redraw the handout's BoP structure figure (section 2): current account on one side, capital and financial account on the other, reserves below, with the −50 bn and +50 bn side panel.
- Redraw the handout's J-curve (section 8): the line first dips, then rises; write VI × 1.5 and VE × 0.75 beside it.
- Write the FDI versus FPI table (10% rule) and the five World Bank Group names with one job each, from memory.

NCERT CHECKLIST: END BOXES, QUESTIONS, KEY CONCEPTS

📘 NCERT PARTS WITH NO MATCHING HANDOUT SECTION (READ THEM FROM NCERT)

- **Class XII Ch 6, Box 6.2 (gold standard) and Exercise 5**: Cited in the chapter, but its text is not in the NCERT file used here; read it in the printed book
- **Class XII Ch 6, Exercise 9: demand for domestic goods versus domestic demand for goods**: Appendix idea (imports as part of domestic demand); not in the handout
- **Class XI Ch 3, outsourcing and Box 3.2 "Global footprint"**: Globalisation examples (Indian firms abroad, BPO); no home in this handout chapter
- **Class XI Ch 8, trade between India and Pakistan (table of exports and imports)**: Comparative data exercise; only the foreign exchange earnings point is used in section 7

📘 NCERT KEY CONCEPTS: TICK EACH WHEN YOU CAN DEFINE IT

☐ Open economy ☐ Balance of payments
☐ Current account deficit ☐ Official reserve transactions
☐ Autonomous and accommodating transactions
☐ Nominal and real exchange rate ☐ Purchasing power parity
☐ Flexible exchange rate ☐ Depreciation
☐ Interest rate differential ☐ Fixed exchange rate
☐ Devaluation ☐ Managed floating
☐ Demand for domestic goods ☐ Marginal propensity to import
☐ Net exports ☐ Open economy multiplier

📘 NCERT'S OWN END-OF-CHAPTER QUESTIONS: CAN YOU ANSWER EACH FROM THESE NOTES?

MY NOTES

NCERT question	Answer lives in
Differentiate between balance of trade and current account balance (Class XII Ch 6, Q1)	NCERT box in section 2 and handout section 2
What are official reserve transactions? Explain their importance in the BoP (Q2)	Section 2 (accommodative transactions) and NCERT box
Distinguish nominal and real exchange rate; which is relevant for buying domestic or foreign goods? (Q3)	Section 6 and NCERT box
Calculate the real exchange rate between India and Japan (Q4)	Worked in the NCERT box in section 6
Explain the automatic mechanism by which BoP equilibrium was achieved under the gold standard (Q5)	Not in this handout; NCERT Box 6.2 text is missing from the file used here, see NCONLY
How is the exchange rate determined under a flexible exchange rate regime? (Q6)	Section 5 and NCERT box (Fig. 6.1 and 6.2)
Differentiate between devaluation and depreciation (Q7)	NCERT box in section 8
Would the central bank need to intervene in a managed floating system? (Q8)	Section 5, managed float, and NCERT box
Marginal propensity to import; open economy multiplier (Q10-Q14, Q18)	NCERT Appendix box in section 7 (Q13 and Q14 worked)
If inflation is higher in country A than in B and the rate is fixed, what happens to the trade balance? (Q16)	Section 6 (real exchange rate) and NCERT box
Should a current account deficit be a cause for alarm? (Q17)	Section 7
Discuss exchange rate arrangements for stability in external accounts (Q19)	Section 5 and NCERT box
Why is it necessary to become a member of WTO? (Class XI Ch 3, Q2); What is devaluation of the rupee? (Q5); tariff and non-tariff barriers (Q6 iii), why tariffs (Q7), meaning of quantitative restrictions (Q8)	NCERT boxes in sections 5, 7 and 9

ABBREVIATION COLUMN

Every short form used in this chapter, expanded.

MY NOTES

NCERT = National Council of Educational Research and Training — publisher of the school textbooks the teacher calls "very, very important"

FDI = Foreign Direct Investment — 10% or more of equity, control intended

IMF = International Monetary Fund — crisis manager of the BoP

RBI = Reserve Bank of India — central bank

US = United States — a country

FPI = Foreign Portfolio Investment — below 10%, no control, hot money

CAD = Current Account Deficit — imports and other outgo exceed inflow on current account

VE = Value of Exports — export revenue = PE × QE

SDR = Special Drawing Rights — IMF reserve asset, not a currency

E&O = Errors and Omissions — balancing item of the BoP

IBRD = International Bank for Reconstruction and Development — the original World Bank

IDA = International Development Association — concessional window for the poorest

WTO = World Trade Organization — rule-maker for trade, from 1995

NER = Nominal Exchange Rate — market price of a currency

RER = Real Exchange Rate — inflation-adjusted exchange rate

RTP = Reserve Tranche Position — withdrawable 25% of the IMF subscription

FII = Foreign Institutional Investor — large foreign fund investing in Indian markets

QE = Quantitative Easing — central bank buying bonds to push money into the system

QI = Quantity of Imports — import volume

PE = Private Equity — funds investing in unlisted companies

PI = Personal Income — the part of national income that reaches households

PD = Primary Deficit — fiscal deficit minus interest payments

PF = Provident Fund — retirement savings fund with employer and employee contributions

GATT = General Agreement on Tariffs and Trade — trade agreement of 1948, predecessor of WTO

ICSID = International Centre for Settlement of Investment Disputes — arbitration of investor-state disputes

REER = Real Effective Exchange Rate — NEER adjusted for inflation differences

SDRs = Special Drawing Rights — IMF's reserve asset; plural of SDR

ECB = External Commercial Borrowing — loan taken by Indian firms from abroad

ER = Exchange Rate — price of one currency in another

IFC = International Finance Corporation — private-sector arm of the World Bank Group

ITO = International Trade Organization — proposed trade body that failed; became the WTO

PPP = Public-Private Partnership — joint working of government and private firms (also purchasing power parity elsewhere)

SBI = State Bank of India — formed in 1955 from the Imperial Bank

BPM6 = Balance of Payments Manual, 6th edition — IMF standard used by RBI today

EODB = Ease of Doing Business — how easy it is to run a business

MY NOTES

MIGA = Multilateral Investment Guarantee Agency — political risk insurance

NEER = Nominal Effective Exchange Rate — weighted average of bilateral nominal rates

NX = Net Exports — exports minus imports (X − M)

CCEA = Cabinet Committee on Economic Affairs — approves large investments

EFF = Extended Fund Facility — longer IMF loan for structural problems

FCA = Foreign Currency Assets — cash and foreign government bonds in reserves

SBA = Stand-By Arrangement — short IMF loan for cyclical crises

USA = United States of America — country

APIs = Active Pharmaceutical Ingredients — key drug raw materials

FPIs = Foreign Portfolio Investors — foreign investors holding below 10% in a company

IIP = International Investment Position — stock of what a country owns and owes abroad

SEBI = Securities and Exchange Board of India — regulator of the securities market

VERS = Voluntary Exchange Rate System — managed float from 1993

AD = Authorized Dealer — bank licensed to convert currency (also Aggregate Demand elsewhere)

ECBs = External Commercial Borrowings — commercial debt owed to non-residents

FEMA = Foreign Exchange Management Act — 1999 law governing foreign-exchange transactions in India

FIIs = Foreign Institutional Investors — large foreign funds investing in Indian markets

FIPB = Foreign Investment Promotion Board — abolished approval body

INR = Indian Rupee — currency code

LPQ = License, Permit, Quota — the old control regime

NPAs = Non-Performing Assets — loans overdue more than 90 days

UAE = United Arab Emirates — a Gulf country

UK = United Kingdom — a country

USD = United States Dollar — currency code

AAA = Triple-A credit rating — the top credit rating

CAB = Current Account Balance — net of current account flows

ECF = Extended Credit Facility — zero-interest IMF loans for low-income countries

EER = Effective Exchange Rate — weighted average against a basket of currencies

FETERS = Foreign Exchange Transactions Electronic Reporting System — daily reporting of conversions to RBI

IDS = Inverted Duty Structure — tax on finished goods below tax on inputs

LERMS = Liberalized Exchange Rate Management System — dual-rate transition, 1992-1993

LPG = Liberalisation, Privatisation, Globalisation — 1991 reforms

NEP = National Education Policy — policy document of 2020

NRI = Non-Resident Indian — Indian citizen living abroad

PLI = Production Linked Incentive — subsidy tied to output

MY NOTES

QBV = Quota-Based Votes — votes following each country's quota share

RCF = Rapid Credit Facility — fast emergency IMF credit

SAPs = Structural Adjustment Programs — IMF loan conditions

SBS = Chinese bank in the handout example — receiving bank of the Chinese seller

ADs = Authorized Dealers — banks licensed to convert currency

B-READY = Business Ready — index replacing Ease of Doing Business

BOP = Balance of Payments — ledger of flows between residents and the rest of the world

BOT = Build-Operate-Transfer — PPP contract type

BPM7 = Balance of Payments Manual, 7th edition — released in 2025

BPO = Business Process Outsourcing — hiring outside firms for services such as call centres

CCDs = Compulsorily Convertible Debentures — treated as equity

CCPs = Compulsorily Convertible Preference shares — treated as equity

COVID-19 = Coronavirus disease 2019 — the pandemic

EU = European Union — bloc of European countries

EUR = Euro — currency code

FATF = Financial Action Task Force — global body on money laundering and terror finance

FIFP = Foreign Investment Facilitation Portal — portal for approval-route proposals

GBP = Pound Sterling — currency code

GDP = Gross Domestic Product — value of all final goods and services produced inside a country in a year

GFSR = Global Financial Stability Report — IMF publication

IT = Information Technology — software and computer services

JPY = Japanese Yen — currency code

JV = Joint Venture — business owned together by two partners

KKR = Kohlberg Kravis Roberts — a large investment fund

LPI = Logistics Performance Index — World Bank trade-logistics ranking

LRS = Liberalised Remittance Scheme — limit on residents sending money abroad

NRIs = Non-Resident Indians — Indian citizens living abroad

OECD = Organisation for Economic Co-operation and Development — club of mostly rich countries that publishes economic statistics

PED = Price Elasticity of Demand — how strongly quantity reacts to price

PIB = Press Information Bureau — government news agency

PL-480 = Public Law 480 — US food aid programme

PNB = Punjab National Bank — a public sector bank

PRGT = Poverty Reduction and Growth Trust — fund behind the ECF

PSUs = Public Sector Undertakings — government-owned companies

R&D = Research and Development — spending on new products and processes

RMB = Chinese Renminbi — currency code

TDRs = Transferable Development Rights — tradable land-use rights

MY NOTES

WBG = World Bank Group — five institutions

WEO = World Economic Outlook — IMF publication

WDR = World Development Report — World Bank flagship publication

YD = Disposable income — income after taxes (NCERT notation)

Meanings are plain-language aids; verify before quoting in an answer.

MY NOTES

CURRENT AFFAIRS

Surge in inflows under RBI's forex swap facility

September 2026 Prelims · Mains

*Inflows under the RBI special USD-INR swap facility reached **$143.596 billion** (data to 18 September **2026**).*

RBI introduced special USD-INR swap facilities in June **2026** for fresh FCNR(B) deposits and specified ECBs and OFCBs. FCNR(B) window: fresh deposits with tenor 3 to **5 years**; closed in August **2026**.

Swap is two-legged: spot leg (banks give dollars, RBI gives rupees) and reverse leg at maturity.

Other RBI steps: dollar sales and sell-buy swaps; special dollar window for IOCL, BPCL, HPCL; restrictions on forex derivatives (exposure threshold cut from **$100 million** to **$5 million**; cancelled contracts cannot be rebooked); Forex Risk Reserve (**20%** requirement on specified derivatives above **$2 million**); non-deliverable rupee contracts only for genuine hedging.

Why inflows matter: rupee stability, reserves, financing the CAD, import security (crude, fertiliser), lower imported inflation (but excessive appreciation hurts exports).

Concerns: oil import dependence; volatile capital flows (US yields); rupee weakened beyond **Rs 90** per dollar in early **2026**; nearly **$133 billion** of the **$143.596 billion** came from FCNR(B), a temporary buffer with repayment obligations; surplus liquidity of **Rs 11.16 lakh crore** in September **2026**.

Way forward: diversify energy imports; stable long-term FDI and deeper bond markets; exchange-rate flexibility with targeted intervention; reserve adequacy checks; sterilisation through VRRR, SDF and OMO.

> PRELIMS FODDER
>
> **Reserves:** Foreign Currency Assets, Gold, SDRs, Reserve Tranche Position in IMF.
>
> FCNR(B) and ECBs operate under FEMA, **1999**.

> MAINS FODDER
>
> **Impossible Trinity:** free capital mobility, managed exchange rate and monetary autonomy cannot all be held.

2013 taper tantrum: FCNR(B) and overseas-borrowing swap windows mobilised about **$34.3 billion**.

Keywords Sterilised intervention · Reserve adequacy · Monetary trilemma · Debt-creating inflows · Rollover risk

Global bond sell-off and rising sovereign yields

September 2026 Prelims · Mains

Long-term yields in the US, UK, France and Japan hit multi-decade highs on inflation worries and fiscal pressure.

US 10-year Treasury yield touched **5.34%**, highest since **2002**, with the sharpest quarterly rise since **1994** in Q3 **2026**. UK 30-year gilt crossed **6%**, highest since **1998**. France and Japan yields also rose.

Bond prices and yields move in opposite directions. Causes: persistent inflation, high interest-rate expectations, fiscal pressure (more bond supply), higher energy prices.

Why it matters: costlier government borrowing, less fiscal space, higher corporate and household rates, pressure on equities, risk to banks and pension funds.

For India: FPI outflow risk, rupee pressure, imported inflation, higher G-sec yields, tougher balance for RBI.

PRELIMS FODDER

1 basis point = 0.01 percentage point.

Real yield = nominal yield adjusted for expected inflation. Yield curve = yields across maturities. Quantitative easing = central bank asset purchases. Fisher effect: nominal yield = real yield + expected inflation.

MAINS FODDER

Structural shift away from the post-**2008** era of very low rates and QE; global spillover to emerging economies even without domestic rate hikes.

Keywords Real yield · Yield curve · Imported inflation · Quantitative easing · Fiscal space

PYQ CONNECT

2021 Prelims: Indian G-sec yields are influenced by US Fed actions, RBI actions, and inflation and short-term rates (all three).

Districts as Export Hubs (DEH)

September 2026 Prelims · Mains

*The Districts as Export Hubs initiative now covers over 770 districts. India's goods and services exports were **US$ 825.25 billion** in **2024-25**.*

Aim: turn every district into an export hub by finding export-potential products and services, removing bottlenecks, improving market access. Nodal: Department of Commerce; implemented by DGFT; institutionalised under FTP **2023**. A convergence framework using existing Central and State schemes.

MY NOTES

ODOP vs DEH: ODOP focuses on a distinctive product (branding, promotion); DEH on the whole district export ecosystem (products, services, logistics, standards, market access) through Centre-State-District convergence.

Focused implementation phase from June 2026 in 27 States/UTs with 24 DGFT regional authorities; focus on exporter activation, capacity building and export growth.

Keywords Export ecosystem · Centre-State-District convergence · ODOP

Copper price rise

September 2026 Prelims

Copper prices are up on short-term supply disruption and structural demand growth.

Causes: ageing mines and disruptions; demand from EVs and AI/ data centres; US tariff expectations drawing stocks to the US.

Copper: non-ferrous base metal with high electrical and thermal conductivity; about three-fourths of use is electrical. Top producers: Chile, Peru, DR Congo. India: Madhya Pradesh, Rajasthan, Jharkhand.

Keywords Critical minerals · Base metal

Anti-dumping duties on aluminium products

September 2026 Prelims

DGTR recommended extending anti-dumping duty for five years on certain aluminium imports.

Dumping: selling abroad below the home-market price. Governed by the WTO Anti-Dumping Agreement (Article VI of GATT 1994).

DGTR: attached office of the Department of Commerce; investigates anti-dumping, countervailing and safeguard cases.

Keywords DGTR · Trade remedies

UK recognises India's CCTS under UK CBAM

September 2026 Prelims · Mains

The UK recognised India's Carbon Credit Trading Scheme as a qualifying overseas carbon-pricing scheme under its Carbon Border Adjustment Mechanism.

UK CBAM applies from 1 January 2027 to carbon-intensive imports (iron and steel, aluminium, cement, fertilisers, hydrogen); charge based on embedded emissions; carbon price paid in the exporting country can be credited.

CCTS: market-based mechanism creating the Indian Carbon Market with tradable Carbon Credit Certificates (CCCs); notified June 2023 under the Energy Conservation Act 2001 as amended in 2022; targets emission intensity in energy-intensive industries and India's NDC.

MY NOTES

Institutions: Central Government; National Steering Committee (NSCICM); BEE as administrator (rules, targets, accreditation, issues CCCs); Grid India (registry); CERC (regulates trading on power exchanges); Accredited Carbon Verification Agencies. Obligated entities meet targets or buy CCCs; offset mechanism lets non-obligated projects earn CCCs.

Challenges: relief conditional on proof and verification; only carbon price actually paid counts (not free allowances, rebates); compliance burden on MSMEs; UK can review recognition. Way forward: stronger MRV, credible price signal, MSME support, policy stability.

India's first soil carbon payments (September **2026**): over **Rs 2.9 crore** by DBT to 2,550 small farmers in Punjab and Haryana; Aadi Programme (Grow Indigo since **2019**, ICAR support); Verra VM0042 methodology.

Keywords CBAM · Carbon pricing · MRV

TIMELINE AND NUMBERS

When	What
1944	Bretton Woods Conference (44 countries): IMF and World Bank. ★
1947-1971	Par value system: rupee pegged to the US dollar.
1960	IDA established.
1971-1975	Rupee pegged to the pound sterling.
1975-1992	Rupee pegged to a basket of currencies.
1991	BoP crisis; LPG reforms. ★
1992-1993	LERMS dual rate; then VERS / managed float from 1993. ★
1995	WTO comes up (the ITO's successor).
1997	First Tarapore Committee on capital account convertibility. ★
1999	FEMA replaces earlier foreign exchange law.
2006	Second Tarapore Committee. ★
2013-2014	Arvind Mayaram Committee: 10% control test; SEBI erases the term FII (2014). ★
2014	India graduates from IDA.
2021	Budget 2021: insurance FDI cap 74% from 49%. ★
2025	BPM7 released (adoption expected by 2029).

CONNECTS TO OTHER CHAPTERS

Where	Why
Chapter 8: Money and Monetary Policy	RBI's forex purchases and sterilisation (MSS) link reserves to money supply; the impossible trinity is mentioned in both.

MY NOTES

Where	Why
Chapter 9: Capital Markets	FPI, ADR, GDR, IDR and P-Notes belong to capital flows recorded in the BoP.
Chapter 7: Banking and NBFCs	AD banks report to RBI; NPAs are a Tarapore precondition.
Chapter 5: National Income Accounting	Residents and non-residents follow the SNA concept; net exports are part of GDP.
Chapter 6: Inflation	Higher relative inflation raises the REER and hurts exports; devaluation is inflationary.
Chapter 11: GST	Taxes on domestic goods and the Inverted Duty Structure link to export competitiveness.

MAINS ANSWER SKELETONS

EXPLAIN HOW THE BALANCE OF PAYMENTS IS CONSTRUCTED. DISTINGUISH AUTONOMOUS AND ACCOMMODATIVE TRANSACTIONS.

Intro: The BoP is a double-entry record of flows between residents and non-residents.

- Authorised dealers report each conversion with purpose to RBI (FETERS); IMF standard BPM6.
- Current account: goods, services, incomes, transfers; capital account: debt, investments, others, reserves.
- Autonomous items rarely sum to zero; Δ reserves and E&O balance them.
- Impossible trinity explains why the central bank must accommodate.

Close: The balance in the BoP is struck by the central bank.

DISTINGUISH FDI FROM FPI. WHY IS FDI PREFERRED FOR FINANCING A CAD?

Intro: The modern test is significant control: 10% or more of equity in a listed company.

- FDI long-term, brings technology; FPI hot money causing exchange rate swings.
- Mayaram Committee 2013-14; unlisted investments always FDI; FII merged into FPI in 2014.
- Reforms: 9 prohibited sectors, automatic route 90%+, FIPB abolished, CCEA above ₹5,000 Cr.
- A CAD funded by FDI is sustainable; one funded by FPI is not.

Close: FPI is money; FDI is marriage.

DISCUSS THE CAUSES OF INDIA'S CAD AND THE POLICY OPTIONS WITH THEIR TRADE-OFFS.

Intro: CAD is imports above exports; a deficit is not evil if sustainably financed.

- Demand side: incomes, crude and APIs, gold; cure is demand reduction with a growth cost.

MY NOTES

- Policy side: tariffs and the inverted duty structure; cure risks retaliation and WTO violation.
- Supply side: infrastructure, EODB, PLI; long term, costly, no guarantee.
- Exchange rate: devaluation brings the J-curve and currency wars.

Close: Every cure for CAD has a cost; the right one depends on the cause.

WHY DOES DEVALUATION NOT ALWAYS IMPROVE THE CURRENT ACCOUNT? EXPLAIN THE J-CURVE AND CURRENCY WARS.

Intro: The effect depends on elasticities of imports and exports.

- Inelastic trade: VI up 1.5 times, VE down to 0.75 in the handout's numbers.
- CAD worsens first; hope of later recovery is the J.
- Competitors devalue in response; each round starts from a deeper deficit.
- A floating rate acts as an automatic stabiliser of CAD.

Close: In a currency war there are only beggars.

CRITICALLY EXAMINE THE FUNCTIONING OF THE IMF AND WORLD BANK IN THE LIGHT OF THE BRETTON WOODS ORDER.

Intro: They emerged from Bretton Woods 1944 to prevent the competitive devaluations and debt traps of the past.

- IMF: surveillance, lending, quota-based votes, SDRs, SBA and EFF; US veto at 85%.
- World Bank Group: IBRD, IDA, IFC, MIGA, ICSID; American president and European IMF head.
- Conditionalities (SAPs) and alleged bias in treatment of borrowers.
- Slow quota reform; India's contribution above its quota as a signal; India outside ICSID.

Close: Institutions of cooperation still reflect the power of those who built them.

PAST-YEAR QUESTIONS · 45 PRELIMS AND 9 MAINS QUESTIONS FROM THE SAARTHI SUBJECT-WISE SHEETS

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question

MY NOTES

1 · HOW A PAYMENT CROSSES A BORDER, AND HOW THE BOP GETS BUILT

1 Prelims · 0 Mains

Prelims 2013

The Balance of Payments of a country is a systematic record of

(a) all import and export transactions of a country during a given period of time, normally a year
(b) goods exported from a country during a year
(c) economic transaction between the government of one country to another
(d) capital movements from one country to another

Answer: **(a)** all import and export transactions of a country during a given period of time, normally a year

2 · STRUCTURE OF THE BOP: AUTONOMOUS AND ACCOMMODATIVE

3 Prelims · 0 Mains

Prelims 2014

With reference to Balance of Payments, which of the following constitutes/ constitute the Current Account?

1. Balance of Trade
2. Foreign Assets
3. Balance of Invisibles
4. Special Drawing Rights

Select the correct answer using the code given below:

(a) 1 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 4

Answer: **(c)** 1 and 3 only

Prelims 2013

Which of the following constitute Capital Account?

1. Foreign Loans
2. Foreign Direct Investment
3. Private Remittances
4. Portfolio Investment

Select the correct answer using the code given below:

(a) 1, 2 and 3 only
(b) 1, 2 and 4 only
(c) 2, 3 and 4 only
(d) 1, 3 and 4 only

Answer: **(b)** 1, 2 and 4 only

Prelims 2011

In terms of economy, the visit by foreign nationals to witness the XIX Commonwealth Games in India amounted to

(a) Export
(b) Import
(c) Production
(d) Consumption

Answer: **(a)** Export

MY NOTES

3 · SLIDE DATA ON INDIA'S BOP (ECONOMIC SURVEY CHARTS)

5 Prelims · 0 Mains

Prelims 2020

Consider the following statements:

1. The value of Indo-Sri Lanka trade has consistently increased in the last decade.
2. "Textile and textile articles" constitute an important item of the trade between India and Bangladesh.
3. In the last five years, Nepal has been the largest trading partner of India in South Asia.

Which of the statements given above is/are correct?

(a) 1 and 2 only
(b) 2 only
(c) 3 only
(d) 1, 2 and 3

Answer: **(b)** 2 only

Prelims 2020

Term 'West Texas Intermediate', sometimes found in news, refers to a grade of _ _

(a) Crude oil
(b) Bullion
(c) Rare earth elements
(d) Uranium

Answer: **(a)** Crude oil

Prelims 2019

Consider the following statements:

1. Most of India's external debt is owed by governmental entities.
2. All of India's external debt is denominated in US dollars.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(d)** Neither 1 nor 2

Prelims 2016

Which of the following best describes the term 'import cover', sometimes seen in the news?

(a) It is the ratio of value of imports to the Gross Domestic Product of a country.
(b) It is the total value of imports of a country in a year.
(c) It is the ratio between the value of exports and that of imports between two countries.
(d) It is the number of months of imports that could be paid for by a country's international reserves.

Answer: **(d)** It is the number of months of imports that could be paid for by a country's international reserves.

MY NOTES

Prelims 2013

Which one of the following groups of items is included in India's foreign – exchange reserves?

(a) Foreign – currency assets, Special Drawing Rights (SDRs) and loans from foreign countries.
(b) Foreign-currency assets, gold holdings of the RBI and SDRs.
(c) Foreign-currency assets, loans from the World Bank and SDRs.
(d) Foreign-currency assets, gold holdings of the RBI and loans from the World Bank.

Answer: **(b)** Foreign-currency assets, gold holdings of the RBI and SDRs.

4 · FOREIGN INVESTMENT: FROM POVERTY OF CAPITAL TO THE CONTROL TEST 5 Prelims · 4 Mains

Prelims 2022

With reference to foreign-owned e-commerce firms operating in India, which of the following statements is/are correct?

1. They can sell their own goods in addition to offering their platforms as marketplaces.
2. The degree to which they can own big sellers on their platforms is limited.

Select the correct answer using the code given below :

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(b)** 2 only

Prelims 2021

Consider the following :

1. Foreign currency convertible bonds
2. Foreign institutional investment with certain conditions
3. Global depository receipts
4. Non-resident external deposits

Which of the above can be included in Foreign Direct Investments?

(a) 1, 2 and 3
(b) 3 only
(c) 2 and 4
(d) 1 and 4

Answer: **(a)** 1, 2 and 3

Prelims 2020

With reference to Foreign Direct Investment in India, which one of the following is considered its major characteristic?

(a) It is the investment through capital instruments essentially in a listed company.
(b) It is largely non-debt, creating capital flow.
(c) It is an investment which involves debt-servicing.
(d) It is the instrument made by foreign institutional investors in the Government securities.

Answer: **(b)** It is largely non-debt, creating capital flow.

MY NOTES

Prelims 2016

With reference to 'IFC Masala Bonds', sometimes seen in the news, which of the statements given below is/are correct?

1. The International Finance Corporation, which offers these bonds, is an arm of the World Bank.
2. They are the rupee-denominated bonds and are a source of debt financing for the public and private sectors.

Select the correct answer using the code given below.

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(c)** Both 1 and 2

Prelims 2012

Which of the following would include Foreign Direct Investment in India?

1. Subsidiaries of foreign companies in India
2. Majority foreign equity holding in Indian companies
3. Companies exclusively financed by foreign companies
4. Portfolio investment

Select the correct answer using the code given below:

(a) 1, 2, 3 and 4
(b) 2 and 4 only
(c) 1 and 3 only
(d) 1, 2 and 3 only

Answer: **(d)** 1, 2 and 3 only

Mains 2016 12.5 marks Foreign Investments

Justify the need for FDI for the development of the Indian economy. Why there is gap between MOUs signed and actual FDIs? Suggest remedial steps to be taken for increasing actual FDIs in India.

KEYWORDS: FDI | gap | MOUs signed | actual FDI | remedial steps

Mains 2014 12.5 marks Foreign Investments (Defence Sector)

Foreign direct investment in the defence sector is now said to be liberalised. What influence this is expected to have on Indian defence and economy in the short and long run?

KEYWORDS: FDI | liberalised | defence sector | short and long run

Mains 2013 5 marks Foreign Investments (Multi-Brand Retail)

Discuss the impact of FDI entry into multi-trade retail sector on supply chain management in commodity trade pattern of the economy.

KEYWORDS: FDI | supply chain management | commodity trade

Mains 2013 5 marks Foreign Investments

Though India allowed foreign direct investment (FDI) in what is called multi brand retail through joint venture route in September 2012, the FDI even after a year, has not picket up. Discuss the reasons.

KEYWORDS: FDI | joint venture | multi-brand retail | reasons

MY NOTES

5 · EXCHANGE RATES: DEMAND, SUPPLY AND QUOTES

4 Prelims · 0 Mains

Prelims 2021

Consider the following statements : The effect of devaluation of a currency is that it necessarily

1. improves the competitiveness of the domestic exports in the foreign markets
2. increases the foreign value of domestic currency
3. improves the trade balance

Which of the above statements is/are correct?

(a) 1 only
(b) 1 and 2
(c) 3 only
(d) 2 and 3

Answer: **(a)** 1 only

Prelims 2019

Which one of the following is not the most likely measure the Government/ RBI takes to stop the slide of the Indian rupee?

(a) Curbing imports of non-essential goods and promoting exports.
(b) Encouraging Indian borrowers to issue rupee denominated Masala Bonds.
(c) Easing conditions relating to external commercial borrowing.
(d) Following an expansionary monetary policy.

Answer: **(d)** Following an expansionary monetary policy.

Prelims 2015

Convertibility of rupee implies:

(a) being able to convert rupee notes into gold
(b) allowing the value of rupee to be fixed by market forces
(c) freely permitting the conversion of rupee to other currencies and vice versa
(d) developing an international market for currencies in India

Answer: **(c)** freely permitting the conversion of rupee to other currencies and vice versa

Prelims 2012

The price of any currency in international market is decided by the:

1. World Bank
2. demand for goods/services provided by the country concerned
3. stability of the government of the concerned country
4. economic potential of the country in question

Which of the statements given above are correct?

(a) 1, 2, 3 and 4
(b) 2 and 3 only
(c) 3 and 4 only
(d) 1 and 4 only

Answer: **(b)** 2 and 3 only

MY NOTES

6 · NOMINAL, REAL AND EFFECTIVE EXCHANGE RATES
1 Prelims · 0 Mains

Prelims 2019

Consider the following statements:

1. Purchasing Power Parity (PPP) exchange rates are calculated by comparing the prices of the same basket of goods and services in different countries.
2. In terms of PPP dollars, India is the sixth largest economy in the world.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(a)** 1 only

7 · CURRENT ACCOUNT DEFICIT: CAUSES, CURES AND SIDE EFFECTS
2 Prelims · 1 Mains

Prelims 2016

What is/are the purpose/purposes of the Government's 'Sovereign Gold Bond Scheme' and 'Gold Monetization Scheme'?

1. To bring the idle gold lying with Indian households into the economy
2. To promote FDI in the gold and jewellery sector
3. To reduce Indian's dependence on gold imports

Select the correct answer using the code given below.

(a) 1 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(c)** 1 and 3 only

Prelims 2011

Consider the following action which the Government can take:

1. Devaluing the domestic currency.
2. Reduction in export subsidy.
3. Adopting suitable policies which attract greater FDI and more funds from FIIs.

Which of the following action/actions can help in reducing the Current Account Deficit?

(a) 1 and 2 only
(b) 2 and 3 only
(c) 3 only
(d) 1 and 3 only

Answer: **(d)** 1 and 3 only

Mains 2015 12.5 marks Gold Monetization Scheme

Craze for gold in Indians have led to a surge in import of gold in recent years and put pressure on balance of payments and external value of rupee. In view of this, examine the merits of Gold Monetization Scheme.

KEYWORDS: gold imports | balance of payments | current account deficit | Gold Monetization Scheme | external value of rupee | merits

MY NOTES

8 · THE J-CURVE AND CURRENCY WARS 2 Prelims · 2 Mains

Prelims 2022

Consider the following statements:

1. Tight monetary policy of the US Federal Reserve could lead to capital flight.
2. Capital flight may increase the interest cost of firms with existing External Commercial Borrowings (ECBs).
3. Devaluation of domestic currency decreases the currency risk associated with ECBs.

Which of the statements given above are correct ?

(a) 1 and 2 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(a)** 1 and 2 only

Prelims 2020

If another global financial crisis happens in the near future, which of the following actions/policies are most likely to give some immunity to India?

1. Not depending on the short-term foreign borrowings
2. Opening up to more foreign banks
3. Maintaining full capital account convertibility

Select the correct answer using the code given below:

(a) 1 only
(b) 1 and 2 only
(c) 3 only
(d) 1, 2 and 3

Answer: **(a)** 1 only

Mains 2025 10 marks Protectionism

What are the challenges before the Indian economy when the world is moving away from free trade and multilateralism to protectionism and bilateralism? How can these challenges be met?

KEYWORDS protectionism · bilateralism · multilateralism · free trade · challenges

Mains 2018 15 marks Protectionism

How would the recent phenomena of protectionism and currency manipulations in world trade affect macroeconomic stability of India?

KEYWORDS world trade · protectionism · currency manipulations · macroeconomic stability

MY NOTES

9 · INTERNATIONAL INSTITUTIONS: COOPERATION AND BRETTON WOODS 15 Prelims · 2 Mains

Prelims 2020

Find correct statement(s) about AIIB:

1. AIIB has more than 80 member nations.
2. India is the largest shareholder in AIIB.
3. AIIB does not have any members from outside Asia.

Codes:

(a) 1 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3 only

Answer: **(a)** 1 only

Prelims 2020

With reference to Trade–Related Investment Measures (TRIMS), which of the following statements is/are correct?

1. Quantitative restrictions on imports by foreign investors are prohibited.
2. They apply to investment measures related to trade in both goods and services.
3. They are not concerned with the regulation of foreign investment.

Select the correct answer using the code given below:

(a) 1 and 2 only
(b) 2 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(c)** 1 and 3 only

Prelims 2020

In which one of the following groups are all the four countries members of G20 ?

(a) Argentina, Mexico, South Africa and Turkey
(b) Australia, Canada, Malaysia and New Zealand
(c) Brazil, Saudi Arabia and Vietnam
(d) Indonesia, Japan, Singapore and South Korea

Answer: **(a)** Argentina, Mexico, South Africa and Turkey

Prelims 2018

Consider the following countries :

1. Australia
2. Canada
3. China
4. India
5. Japan
6. USA

Which of the above are among the 'free-trade partners' of ASEAN ?

(a) 1, 2, 4 and 5
(b) 3, 4, 5 and 6
(c) 1, 3, 4 and 5
(d) 2, 3, 4 and 6

Answer: **(c)** 1, 3, 4 and 5

MY NOTES

Prelims 2018

India enacted the Geographical Indications of Goods (Registration and Protection) Act, 1999 in order to comply with the obligations

(a) ILO
(b) IMF
(c) UNCTAD
(d) WTO

Answer: **(d)** WTO

Prelims 2017

Consider the following statements:

1. India has ratified the Trade Facilitation Agreement (TFA) of WTO.
2. TFA is a part of WTO's Bali Ministerial Package of 2013.
3. TFA came into force in January 2016.

Which of the statements given above is/are correct?

(a) 1 and 2 only
(b) 1 and 3 only
(c) 2 and 3 only
(d) 1, 2 and 3

Answer: **(a)** 1 and 2 only

Prelims 2017

The Global Infrastructure Facility is a/an

(a) ASEAN initiative to upgrade infrastructure in Asia and financed by credit from the Asian Development Bank.
(b) World Bank collaboration that facilitates the preparation and structuring of complex infrastructure Public-Private Partnerships (PPPs) to enable mobilization of private sector and institutional investor capital.
(c) Collaboration among the major banks of the world working with the OECD and focused on expanding the set of infrastructure projects that have the potential to mobilize private investment.
(d) UNCTAD funded initiative that seeks to finance and facilitate infrastructure development in the world.

Answer: **(b)** World Bank collaboration that facilitates the preparation and structuring of complex infrastructure Public-Private Partnerships (PPPs) to enable mobilization of private sector and institutional investor capital.

Prelims 2016

Find correct statement(s):

1. New Development Bank has been set up by APEC.
2. The headquarters of New Development Bank is in Shanghai.

Answer Codes:

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(b)** 2 only

MY NOTES

Prelims 2016

In the context of which of the following do you sometimes find the terms amber box, blue box, and green box in the news?

(a) WTO affairs
(b) SAARC affairs
(c) UNFCCC affairs
(d) India–EU negotiations on FTA

Answer: **(a)** WTO affairs

Prelims 2015

The problem of international liquidity is related to the non-availability of:

(a) goods and services
(b) gold and silver
(c) dollars and other hard currencies
(d) exportable surplus

Answer: **(c)** dollars and other hard currencies

Prelims 2015

The terms 'Agreement on Agriculture', 'Agreement on the Application of Sanitary and Phytosanitary Measures' and 'Peace Clause' appear in the news frequently in the context of the affairs of the

(a) Food and Agriculture Organization
(b) United Nations Framework Conference on Climate Change
(c) World Trade Organisation
(d) United Nations Environment Programme

Answer: **(c)** World Trade Organisation

Prelims 2014

'Broad-based Trade and Investment Agreement (BTIA)' is sometimes seen in the news in the context of negotiations held between India and

(a) European Union
(b) Gulf Cooperation Council
(c) Organization for Economic Cooperation and Development
(d) Shanghai Cooperation Organization

Answer: **(a)** European Union

Prelims year not stated

With reference to the "G20 Common Framework", consider the following statements:

1. It is an initiative endorsed by the G20 together with the Paris Club.
2. It is an initiative to support Low Income Countries with unsustainable debt.

Which of the statements given above is/are correct ?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(c)** Both 1 and 2

MY NOTES

Prelims year not stated

The Global Competitiveness Report is published by the

(a) International Monetary Fund
(b) United Nations Conference on Trade and Development
(c) World Economic Forum
(d) World Bank

Answer: **(c)** World Economic Forum

Prelims year not stated

Consider the following:

1. Asian Infrastructure Investment Bank
2. Missile Technology Control Regime
3. Shanghai Cooperation Organisation India is a member of which of the above?

(a) 1 and 2 only
(b) 3 only
(c) 2 and 3 only
(d) 1, 2 and 3

Answer: **(d)** 1, 2 and 3

Mains 2023 15 marks Farm Subsidies and WTO

What are the direct and indirect subsidies provided to farm sector in India. Discuss the issues raised by the World Trade Organization (WTO) in relation to agricultural subsidies.

KEYWORDS: WTO | agricultural subsidies | direct and indirect subsidies

Mains 2013 10 marks Food security and WTO

Food security bill is expected to eliminate hunger and malnutrition in India. Critically discuss various apprehensions in its effective implementation along with the concerns it has generated in WTO

KEYWORDS: WTO | food security | apprehensions | hunger and malnutrition

11 · THE IMF: FUNCTIONS, QUOTA, SDR AND LENDING 7 Prelims · 0 Mains

Prelims 2022

"Rapid Financing Instrument" and "Rapid Credit Facility" are related to the provisions of lending by which one of the following?

(a) Asian Development Bank
(b) International Monetary Fund
(c) United Nations Environment Programme Finance Initiative
(d) World Bank

Answer: **(b)** International Monetary Fund

Prelims 2020

"Gold Tranche" (Reserve Tranche) refers to

(a) a loan system of the World Bank
(b) one of the operations of a Central Bank
(c) a credit system granted by WTO to its members
(d) a credit system granted by IMF to its members

Answer: **(d)** a credit system granted by IMF to its members

MY NOTES

Prelims 2016

Recently, which one of the following currencies has been proposed to be added to the basket of IMF's SDR?

(a) Rouble
(b) Rand
(c) Indian Rupee
(d) Renminbi

Answer: **(d)** Renminbi

Prelims 2016

With reference to the International Monetary and Financial Committee (IMFC), consider the following statements:

1. IMFC discusses matters of concern affecting the global economy and advises the International Monetary Fund (IMF) on the direction of its work.
2. The World Bank participates as an observer in IMFC's meetings.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(c)** Both 1 and 2

Prelims 2016

'Global Financial Stability Report' is prepared by the

(a) European Central Bank
(b) International Monetary Fund
(c) International Bank for Reconstruction and Development
(d) Organization for Economic Cooperation and Development

Answer: **(b)** International Monetary Fund

Prelims 2014

Which of the following organizations brings out the publication known as 'World Economic Outlook'?

(a) The International Monetary Fund
(b) The United Nations Development Programme
(c) The World Economic Forum
(d) The World Bank

Answer: **(a)** The International Monetary Fund

Prelims 2011

Regarding the International Monetary Fund, which one of the following statements is correct?

(a) It can grant loans to any country.
(b) It can grant loans to only developed countries.
(c) It grants loans to only member countries.
(d) It can grant loans to the central bank of a country.

Answer: **(c)** It grants loans to only member countries.

MY NOTES

END OF CHAPTER · RECALL AND DRILL

RECALL SHEET: COVER THE RIGHT COLUMN AND ANSWER

What is the BoP?	A record of flows between residents and non-residents over a period.
Credit versus debit?	Credit: money entering (exports, reduced assets or raised liabilities). Debit: money leaving.
Invisibles?	Services + incomes + transfers.
Masala bonds?	Offshore rupee-denominated bonds; exchange risk with the lender.
Loro?	Their account held with a third bank.
FDI threshold?	10% or more of equity in a listed company.
Fully diluted basis?	Compulsorily convertible instruments counted as equity for the 10% test.
FIPB?	Abolished.
Direct quote?	$1 = ₹90 (price of foreign currency in rupees).
RBI's managed float aim?	Curb volatility, not target a level.
Tarapore committees?	1997 and 2006.
Reading RBI's EER?	Indirect quote; index base 2015-16 = 100; rising = stronger rupee.
Inverted Duty Structure?	Tax on finished goods below tax on intermediates.
Why floating acts as a stabiliser?	Depreciation is automatic and not seen as unfair; no retaliation.

Handout alert · 10% or more, or more than 10%

The slide says FDI is 'more than 10%'. The handout says '10% or more' and FPI 'less than 10%'. Only exactly 10% differs. *Rule: use '10% or more = FDI'; be careful if an option says 'more than 10%'.*

Prelims trap · Rising NEER/REER means a stronger rupee

RBI uses indirect quotes (the value of the rupee) and an index with base 2015-16 = 100. Above 100 means over-valued. *Rule: index up = rupee stronger and less trade competitive.*

MY NOTES

Concept trap · Dollar falls from ₹90 to ₹80

This is a rupee appreciation, not a depreciation. The handout warns it may cost dearly in exams. *Rule: floating system = appreciation/depreciation; fixed system = revaluation/devaluation.*

Concept trap · Devaluation does not cure the CAD at once

With inelastic trade, the import bill rises to 1.5 VI and export revenue falls to 0.75 VE, so the CAD worsens first. *Rule: devaluation helps only in the medium to long term (J-curve).*

Prelims trap · SDR is not a currency

You cannot buy goods with SDRs and cannot sell them back to the IMF. It is a potential claim on freely usable currencies. *Rule: SDR = reserve asset, not currency and not a claim on the IMF.*

Handout alert · Tarapore I and II

The slide gives the four conditions and the later recommendations without years. The handout gives 1997 and 2006. *Rule: Tarapore I = 1997 (fiscal deficit, inflation, debt, NPAs); Tarapore II = 2006 (ECB, NRIs, P-Notes).*

QUICK QUIZ

Q1. Which of the following is NOT part of invisibles in the current account?

1. Services
2. Income
3. Transfers
4. Merchandise trade

Q2. The "below the line" items of the BoP are…

1. exports and imports
2. FDI and FPI
3. change in reserves and errors and omissions
4. remittances

Q3. RBI collects the data to build the BoP mainly through…

1. Customs ports only
2. Authorised Dealer banks reporting purpose codes (via FETERS)
3. the Commerce Ministry
4. the stock exchanges

Q4. According to the handout, a foreign investment in a listed company is FDI when equity holding is…

1. more than 26%
2. 10% or more
3. more than 49%
4. any amount

Q5. Which of these is a prohibited sector for FDI per the handout?

1. Insurance
2. Defence
3. Manufacture of tobacco products
4. Print media

Q6. Budget 2021 raised the FDI limit in insurance from…

1. 26% to 49%
2. 49% to 74%
3. 49% to 100%
4. 74% to 100%

Q7. India's exchange rate system since 1993 is…

1. Par value system
2. Pegged to a basket
3. Voluntary Exchange Rate System / managed float
4. Currency board

MY NOTES

Q8. The Indian rupee is currently...

1. fully convertible on both accounts
2. convertible on the current account and partially on the capital account
3. not convertible
4. convertible on the capital account only

Answers: Q1 d, Q2 c, Q3 b, Q4 b, Q5 c, Q6 b, Q7 c, Q8 b

MY NOTES

11 Goods and Services Tax (GST)

CHAPTER 11 · HANDOUT PP. 1-13

MEDIUM PRIORITY Mains PYQs quoted: **2013, 2019, 2020**

Prelims PYQs: **2011, 2014, 2017, 2018**

EXAM LENS

Prelims hooks

- the three properties of GST
- GST on what (not alcohol for human consumption)
- CGST, SGST, IGST
- ITC rule
- what is outside GST
- GST Council composition and voting
- Articles 246A, 269A, 279A
- 101st Amendment
- compensation (14%, 5 years)
- zero-rated versus exempt
- RNR
- anti-profiteering
- GSTN
- composition and registration limits

Mains hooks

- how GST ends cascading and why compliance rose
- GST and cooperative federalism (pooled sovereignty versus loss of State autonomy)
- challenges (multiple slabs, lobbying, petroleum outside)
- why compensation became a conflict
- why a single flat rate would be regressive

GST is the 2005 VAT idea taken to its end: one event, one tax chain, one credit system.

IN SIMPLE WORDS

- Taxes are levied on **events**. In the old system many events (production, sale, inter-State sale, entry) were each taxed, so tax piled on tax. This is **cascading**.
- In the shirt example only **₹5.8** of the ₹32 tax was on fresh value
- The rest was tax on tax or on value already taxed
- **VAT (2005)** taxed value added through **Input Tax Credit (ITC)**, which works for a tax against the **same tax** only. VAT still taxed excise, so cascading was not fully gone.
- **GST** is the wider VAT:
  - One event, the **supply** of goods or services, with **CGST + SGST** inside a State and **IGST** across States. It is **destination-based**
  - **customs** stays outside

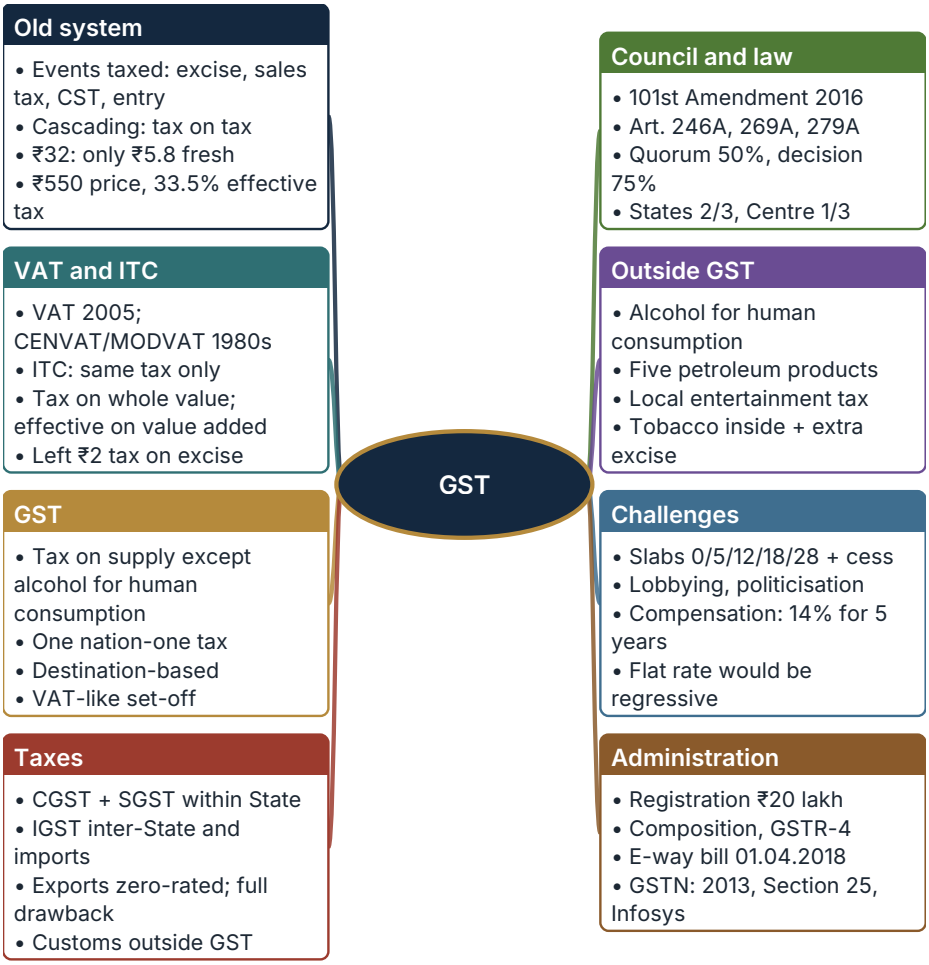
MY NOTES

- The **GST Council** (Art. 279A) decides by a **75%** majority
- States carry **2/3** weight and the Centre **1/3**
- **Alcohol** for human consumption, **five petroleum products** and local **entertainment tax** are outside GST. **Exports are zero-rated**.

Key term	In plain words
Indirect tax	Levied on A, who collects it from B; B bears the burden.
Cascading	Tax on tax and tax on value already taxed.
CST (Central Sales Tax)	Levied by the Centre on inter-State sales; the whole amount goes to the selling State.
VAT	A tax on value added; State sales tax became VAT in 2005.
CENVAT / MODVAT	The 1980s VATting of Central excise duty.
ITC (Input Tax Credit)	Tax paid on inputs is offset against tax on the output, same tax only.
Destination-based	The taxing authority is the place where goods are supplied to.
CGST / SGST	The Centre's and the destination State's parts of GST on a sale within a State.
IGST	Levied by the Centre on inter-State supplies and imports.
Zero-rated	Exports carry no tax and are eligible for full duty drawback.
GST Council	The apex policy body under Art. 279A: Union FM as chair, State ministers as members.
Revenue Neutral Rate (RNR)	The average GST rate that gives the government the same revenue as before.
Anti-profiteering	Law that makes it illegal to keep a tax cut as extra profit.
Composition levy	An optional turnover-based tax for small taxpayers.
E-way bill	The movement document for goods, for inter-State movement from 01.04.2018.
GSTN	The common pass-through portal company for registration, returns and payment.

MY NOTES

CHAPTER MAP



REMEMBER IT AS Tax on events piled up as cascading; VAT and ITC cut it; GST ends it by making the sale the only event. The Council decides by 75%, with States at 2/3.

EXAM LENS: WHAT THE HANDOUT STRESSES

SOURCE NOTE

Handout only. No class slides and no teacher ink. The handout carries the teacher's **handwritten worked examples** (the shirt example in pink); those are part of the handout, not a forecast. **No Prelims or Mains PYQ is quoted** in this handout: none quoted in the material. Priority below is the handout's own emphasis.

What the handout stresses

Signal in the handout	Where	Why it matters
Cascading = tax on tax and tax on value already taxed. Of ₹32 tax, only **₹5.8** was on fresh value	Section 2	Core concept; the shirt example
ITC works only **tax against the same tax**. Tax is always charged on the entire value; ITC makes it effectively a tax on value added	Section 3	Two "very important points" in the handout

MY NOTES

Signal in the handout	Where	Why it matters
GST = tax on supply of goods and services **other than alcohol for human consumption; one nation-one tax, destination-based, VAT-like**	Section 4	Statutory definition
CGST, SGST, IGST; SGST goes to the destination state; customs is not part of GST	Section 4	Statement traps
GST Council (Art. 279A): chair Union FM; quorum 50%; decision by **75%**; States **2/3** weight, Centre **1/3**	Section 5	Numbers
101st Amendment Act, 2016 (08.09.2016); Art. **246A, 269A, 279A;** 5 petroleum products outside GST for now	Sections 5-6	Provisions
Compensation: base on pre-2017 revenue, **14%** assumed growth, **5 years (till 2022);** only for shortfall caused by GST	Section 7	Number and condition
Revenue neutral rate; anti-profiteering; exports zero-rated	Section 7	Concept questions
Registration ₹20 lakh (₹10 lakh special category), **composition, GSTN** (2013, Section 25 company, Infosys), **e-way bill 01.04.2018**	Section 8	Numbers and dates; conflicts flagged

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Medium. 4 Prelims and 3 Mains questions map to this chapter.

Most-asked topics: Benefits, challenges, compensation, RNR and anti-profiteering (1 Prelims, 2 Mains); What GST is (1 Prelims, 0 Mains); The old system: taxes are levied on events (1 Prelims, 0 Mains).

Prelims years: 2011, 2014, 2017, 2018. Mains years: 2013, 2019, 2020.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

MY NOTES

START HERE: 60 SECONDS, KEY WORDS, NCERT MAP

THE WHOLE CHAPTER IN 60 SECONDS

- **Old system**: taxes on many events (production, sale, entry), levied by Centre and States separately
- **Problem**: cascading: tax on tax; of ₹32 only ₹5.8 was on fresh value
- **Cure 1**: VAT (2005) and Input Tax Credit: tax only on value added, same tax against same tax
- **Cure 2**: GST: one event (the sale), one nation-one tax, destination-based, CGST + SGST or IGST
- **Rulebook**: 101st Amendment (08.09.2016), GST Council (Art. 279A): FM chair, 75% to decide, States 2/3 weight
- **Fine print**: benefits, slabs, compensation (14% for 5 years), RNR, anti-profiteering, registration ₹20 lakh

Word	Meaning
Indirect tax	tax put on A, paid to government by A, but collected from B who bears the burden
Cascading	tax on tax, and tax again on value that was already taxed
Value added	what a producer adds to the inputs he bought: the only fresh value at his stage
Input Tax Credit (ITC)	the tax you already paid on inputs, subtracted from the tax you owe on your sale
Destination-based	the tax belongs to the place where the goods are supplied to, not where they were sold from
Zero-rated	exports carry no GST and the exporter can claim full duty drawback; not the same as exempt
Revenue Neutral Rate (RNR)	the average GST rate that leaves government revenue unchanged
Profiteering	a seller keeping a tax cut as extra profit instead of lowering the price

📘 READ NCERT FIRST: WHERE EACH NCERT PART FITS THIS CHAPTER

NCERT part	Handout section	What it adds
Class XII Ch 5, Box 5.3 GST: One Nation, One Tax, One Market	2, 3, 4, 5, 6, 7, 8	Cascading in NCERT's words; list of taxes replaced; Acts; launch; outside-GST items; benefits; the portal

MY NOTES

NCERT part	Handout section	What it adds
Class XII Ch 5, §5.1.2 Classification of receipts	1, 7	Direct and indirect taxes; paper taxes; how excise was shaped; Finance Bill
Class XII Ch 5, Deficit reduction paragraph	7	Indirect taxes are regressive
Class XI Ch 3, Tax reforms and glossary	3, 4, 5, 7	GST aims; glossary definition and slabs

1 · THE OLD SYSTEM: TAXES ARE LEVIED ON EVENTS

🧠 **UNDERSTAND IT FIRST**

Picture a toll road. A tax is a toll on an event: a sale, earning income, a crossing of the border, a company making profit. The person on whom the toll is put hands it to the government. In an indirect tax that person (A) simply adds it to his price and collects it back from B, who bears the burden. In the old system there were many toll booths, Centre and States each with their own, and a State could not tax a sale that crossed its border, so the Centre took Central Sales Tax and gave it to the selling State.

✏ **EXAMPLE**

The handout's old regime: every producer pays excise duty to the Centre on production; on every sale the State levies sales tax; wholesaler and retailer add margins; the consumer bears it all.

- **Taxes are levied on events:** sale of a good or service, generation of income, change of international boundary (customs), profit of a company. The person on whom tax is levied deposits it with the government.

MY NOTES

MEMORY AID · EVENTS THAT ARE TAXED

P **I** **C** **S**

Tax takes PICS of events: whenever something happens, a tax is levied.

- **P** Profit of a company
- **I** Income generated
- **C** Change of international boundary (customs)
- **S** Sale of a good or service

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

- **Indirect tax:** the tax is levied on A and A pays the government, but A **collects it from B,** who bears the burden. Centre, States and local bodies all levied such taxes.
- **Old regime flow:**
  - Every producer pays **excise duty** to the Centre on production. On every sale the State levies **sales tax** (later VAT). Wholesaler and retailer add margins
  - Sales tax applies at every sale. The consumer bears it all
- **Central Sales Tax (CST):** a State cannot tax an inter-State sale because that would distort free movement of goods (**Art. 301-307**). The Centre levies CST and **transfers the entire amount to the selling State.**

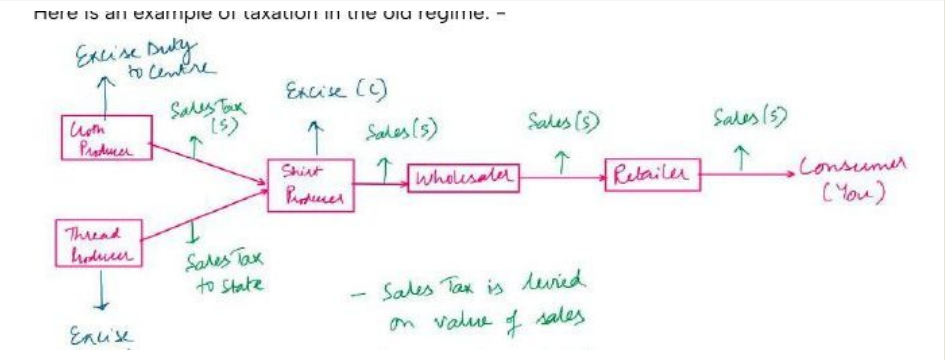


Figure. Handout page 2 (teacher's drawing): the old regime. Cloth and thread producers pay excise duty to the Centre and sales tax to the State; the shirt producer pays excise (C) and sales tax (S) at each stage; the note says sales tax is levied on the value of sales and excise duty on the value of production (or at a fixed rate, i.e. a specific duty).

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, §5.1.2 CLASSIFICATION OF RECEIPTS

In plain words: The handout explained indirect tax by who pays and who bears. NCERT gives its own sorting of the old tax list into two families. Use it to recognise the names in a question.

MY NOTES

Link to the handout: Handout section 1: "indirect tax: A pays, B bears". NCERT lists which taxes belong to each family before GST.

Step 1 NCERT's two families of tax

Family	NCERT's list	NCERT's note
Direct	Personal income tax (on individuals); corporation tax (on firms)	Income tax is progressive: higher the income, higher the rate. Firms are taxed on a proportional basis
Direct, minor	Wealth tax, gift tax, estate duty (now abolished)	Never brought in large revenue, so called "paper taxes"
Indirect	Excise taxes (duties on goods produced within the country); customs duties (goods imported into and exported out of India); service tax	A footnote says GST, which covers both goods and services, was implemented by the Centre, 28 states and 7 Union territories from 1 July 2017

Step 2 How NCERT says excise was shaped (before GST)

- Necessities of life: exempted or taxed at low rates.
- Comforts and semi-luxuries: moderately taxed.
- Luxuries, tobacco and petroleum products: taxed heavily.

Step 3 One extra idea: the Finance Bill

- The Finance Bill is presented along with the Annual Financial Statement. It gives the details of imposing, abolishing, remitting, altering or regulating the taxes proposed in the Budget.

NCERT differs: NCERT's list of indirect taxes names only excise, customs and service tax. The handout also names sales tax/VAT, CST, entry tax and octroi (State and local levies). Use the handout's longer list. (*handout/teacher wins in class*)

⭐ **REMEMBER**

Tax is on an event. Indirect: A pays the government, B bears it.

MY NOTES

2 · THE PROBLEM: CASCADING OF TAXES

🧠 UNDERSTAND IT FIRST

Picture paying a toll, and then the next booth charging a toll on a price that already contains the first toll. That is a tax on tax. The same rupee of value is taxed again at every stage, so by the time a shirt reaches you, a large part of the price is tax on tax. With such a burden nobody would ask for a bill.

✏ EXAMPLE

The handout's shirt: price ₹550, effective tax ₹184 on ₹550 = 33.5%. Of the ₹32 sales tax from producer to wholesaler: ₹5.8 fresh value, ₹2 tax on the excise, ₹20 on value already taxed, ₹2 and ₹2.2 more tax on tax.

The shirt example: value added at each stage is **₹366** (cloth 100, thread 100, shirt producer 58, wholesaler 48, retailer 60). The consumer pays **₹550,** so the effective tax is **₹184 on ₹550 = 33.5%.** The handout's conclusion: with that burden nobody would ask for a bill. The problem is **compounding: double taxation of the same value and a tax on tax.** This is **cascading.**

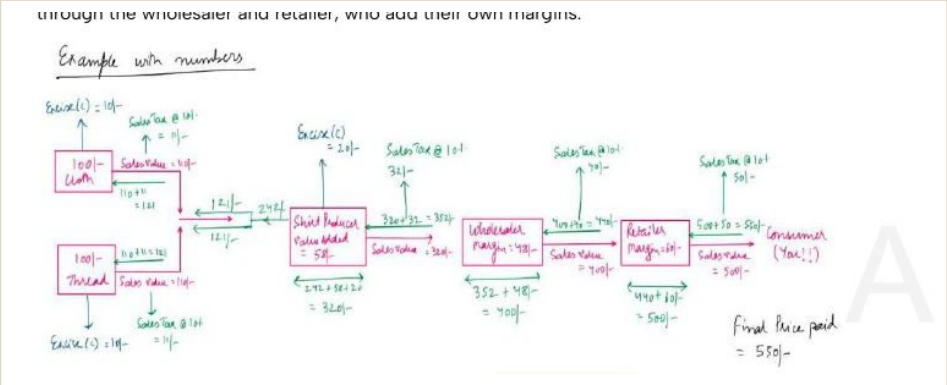


Figure. Handout page 3 (teacher's drawing): the shirt example with numbers. Cloth and thread ₹100 each with excise ₹10 and sales tax ₹11; shirt producer value added ₹58 and excise ₹20; wholesaler margin ₹48; retailer margin ₹60; final price paid ₹550.

Take the sale from producer to wholesaler: sales value **₹320,** sales tax at **10% = ₹32,** so the wholesaler pays **₹352.** The ₹32 breaks down as:

Where the ₹32 comes from

Part	Amount	What it is
Tax on the value added by the shirt producer	**₹5.8**	Fresh value: the only legitimate part
Tax on the producer's own excise duty (₹20)	₹2	Tax on tax
Tax on value added by cloth producer and by thread producer (₹10 each)	₹20 (10 + 10)	Tax on value already taxed

MY NOTES

Part	Amount	What it is
Tax on the excise paid by cloth and thread producers (₹1 each)	₹2	Tax on tax
Tax on the sales tax between cloth/ thread and the shirt producer (₹1.1 each)	₹2.2	Tax on tax

THE PUNCHLINE

Out of ₹32 levied at this stage, only **₹5.8** was on value not yet taxed. The remaining **₹26.2** was tax on tax or tax on value already taxed.

HANDOUT ALERT

In the handout's algebra line, "121 (cost paid to cloth producer)" is written twice; the second should be the thread producer. The totals are unaffected. **Exam-hall rule:** learn the five-part split above, not the algebra.

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, BOX 5.3 GST: ONE NATION, ONE TAX, ONE MARKET

In plain words: NCERT explains cascading in three sentences, with no numbers. Read it as the short definition to write in an answer; the handout's shirt example is the proof.

Link to the handout: Handout's ₹32 split: the ₹26.2 that was "tax on tax" is NCERT's "taxes paid on intermediate goods" hidden inside the total value.

Step 1 What the pre-GST regime did

- It imposed taxes not on the value added at each stage but on the **total value** of the commodity or service.
- There was only a minimal facility of Input Tax Credit (ITC).
- That total value included the taxes paid on intermediate goods and services. This amounted to **cascading of tax**.

Step 2 The same point as a comparison

	Pre-GST regime (NCERT)	Under GST (NCERT)
Tax charged on	Total value, including taxes paid on intermediates	Value addition at each stage
Credit for earlier tax	Minimal	Credit of tax paid at the previous stage is set off at the next stage

MY NOTES

	Pre-GST regime (NCERT)	Under GST (NCERT)
Result	Cascading	Effectively a tax on value addition at each stage of supply

⭐ **REMEMBER**

Of ₹32 levied, only ₹5.8 was on fresh value. ₹26.2 was tax on tax.

3 · THE CORRECTION: VAT (2005) AND INPUT TAX CREDIT

🧠 **UNDERSTAND IT FIRST**

Think of a bill with a credit note. When you bought inputs you already paid tax on them. When you sell, the tax is charged on the whole sale, but you subtract what you paid earlier (proof: the bill) and hand over only the difference. So the government really gets tax on your value added. The rule: credit works only for the same tax, VAT with VAT, never VAT against excise or other levies. VAT still taxed the excise, so some cascading stayed.

✏ **EXAMPLE**

The handout's bills: old regime ₹320 + ₹32 = ₹352. VAT regime: inputs 220 + value added 58 + excise 20 = ₹298, tax ₹29.8, less ITC ₹22 = ₹7.8 payable, wholesaler pays ₹327.8. The ₹7.8 is ₹5.8 + ₹2.

📐 Formulas of this section

TAX PAYABLE AFTER ITC

output tax − ITC (tax already paid on inputs)

old VAT example: 29.8 − 22 = 7.8

VAT TAX BASE (2005-2017)

input + value added + excise = 220 + 58 + 20 = 298

tax 29.8; wholesaler pays 327.8

CASCADING TEST

tax on value added = fresh; the rest = tax on tax

of ₹32: 5.8 fresh, 26.2 not

ITC RULE

tax against the same tax only

VAT against VAT, not excise or State levies

- **From 2005, State sales tax is levied on value added,** not the whole transaction

MY NOTES

- This was itself called **VAT.** For Central excise, the VATting system was already used in the **1980s** and was called **CENVAT / MODVAT.**
- **Aim:** reduce the burden by making taxation fair and so raise **compliance.** In the example, the producer-to-wholesaler tax falls to a tax on ₹58 only (₹5.8).
- **Input Tax Credit (ITC):** the tax already paid on inputs (the previous stage) with proof, the bill, is **offset** against the tax payable on the output. The producer had paid ₹11 each on cloth and thread, so **₹22** of ITC sits in his account.

TWO VERY IMPORTANT POINTS (HANDOUT)

1. Tax is always charged on the entire value of the transaction. The government cannot see your value added. Taxing value added is the **objective;** ITC is how it is **achieved.** The seller's bill shows only inputs plus value added, so the customer is charged accordingly.

2. ITC and offsetting work only for a tax against the same tax. VAT against VAT, not against excise (a Central tax) or State taxes such as entertainment, luxury and octroi.

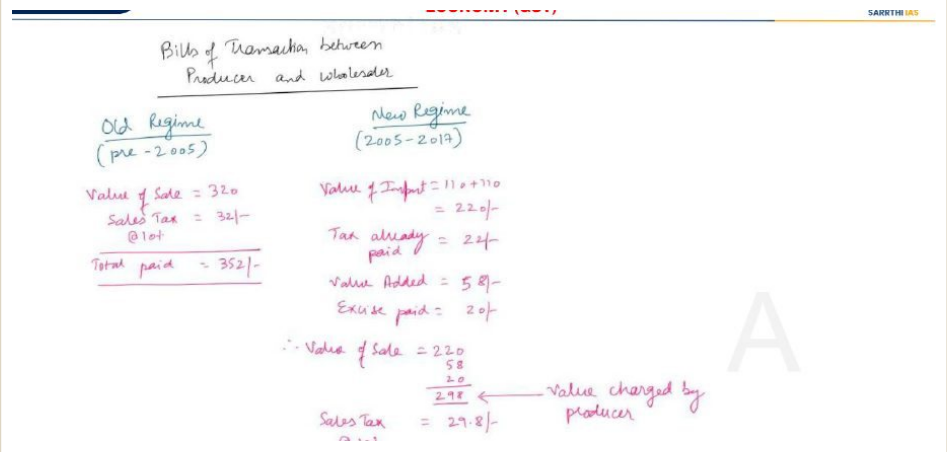


Figure. Handout page 5 (teacher's drawing): bills of transaction between producer and wholesaler. Old regime (pre-2005): value of sale 320, sales tax @10% 32, total paid 352. New regime (2005-2017): value of input 110 + 110 = 220, tax already paid 22, value added 58, excise paid 20, value of sale 220 + 58 + 20 = 298, sales tax 29.8, total paid 327.8; tax paid by the producer = 29.8 − 22 = 7.8 = 5.8 + 2.

Old regime versus VAT: producer to wholesaler

	Old regime (pre-2005)	VAT (2005-2017)
Tax base	₹320 (everything)	₹298 (input 220 + value added 58 + excise 20)
Tax	₹32	₹29.8, less ITC ₹22 = **₹7.8 payable**
Total paid by wholesaler	₹352	₹327.8

MY NOTES

	Old regime (pre-2005)	VAT (2005-2017)
What is left of cascading	All of it	The **₹2 tax on excise** (VAT is still levied on excise duty)

- **Benefit of VAT:** the tax burden falls because the taxable value is far smaller.
- **Shortcoming:** cascading is **not eliminated,** because VAT is still levied on excise. **GST removes it completely** by removing every other event of taxation except sale, so that all taxes can be offset against each other.

PRODUCER TO WHOLESALER: THREE REGIMES

Old regime
- Tax on all ₹320: ₹32 tax, ₹352 paid

→

VAT 2005-2017
- Tax on ₹298, less ITC ₹22: ₹7.8 payable

→

GST
- Every event merged into the sale; credit flows through

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, BOX 5.3 AND CLASS XI CH 3 (TAX REFORMS)

In plain words: VAT started the idea of taxing only value added. NCERT says GST takes that idea to every good and service, which is why the handout calls GST "the wider application of VAT".

Link to the handout: Handout section 3: VAT 2005 and ITC. NCERT's phrase for the next step: extend the principles of "value-added taxation" to all goods and services.

Step 1 NCERT's account of ITC under GST

- Under GST, tax is discharged at every stage of supply.
- The credit of tax paid at the previous stage is available for set-off at the next stage of supply of goods and/or services.
- So it is effectively a tax on value addition at each stage.

Step 2 Why NCERT says GST was needed

- Our economy is large and fast growing, so GST aims to establish parity in taxation across the country and extend value-added taxation to all goods and services.
- Class XI adds a second aim: reform of the indirect taxes, taxes levied on goods and services.

⭐ **REMEMBER**

Charge tax on the whole, ITC trims it to value added. Same tax against same tax only.

MY NOTES

4 · WHAT GST IS

🧠 **UNDERSTAND IT FIRST**

GST is VAT stretched over everything. All the other events of indirect tax (excise, CST, entry tax, octroi) are removed and only one is left: the sale. Because every tax is now the same family, credit flows all the way down the chain, and each stage ends up paying tax only on its own value added. Inside a State you see two parts (Centre and State); across States there is one tax, IGST, collected by the Centre.

✏ **EXAMPLE**

The handout's shirt at an assumed 20%: shirt producer 51.6 − 40 = ₹11.6 (20% of 58); wholesaler 61.2 − 51.6 = ₹9.6; retailer 73.2 − 61.2 = ₹12; consumer pays ₹73.2 = 20% of 366; final price ₹439.2 against ₹550 earlier.

📐 Formulas of this section

NET TAX AT A STAGE
GST on sale − ITC = rate × value added
shirt producer: 51.6 − 40 = 11.6 = 20% of 58

FINAL BURDEN
rate × total value added
20% of 366 = 73.2; price ₹439.2

WITHIN A STATE
CGST + SGST
CGST to the Centre, SGST to the destination State

ACROSS STATES
IGST
levied by the Centre (Art. 269A); imports: basic customs duty then IGST

GST is the wider application of the VAT system. It removes all other events of indirect tax **(except Customs)** and combines them into one event: **the sale of a good or a service.** There is no excise, CST or entry tax/octroi any more. A produces and sells to B: only GST. B sells to C and charges tax on the value added.

MY NOTES

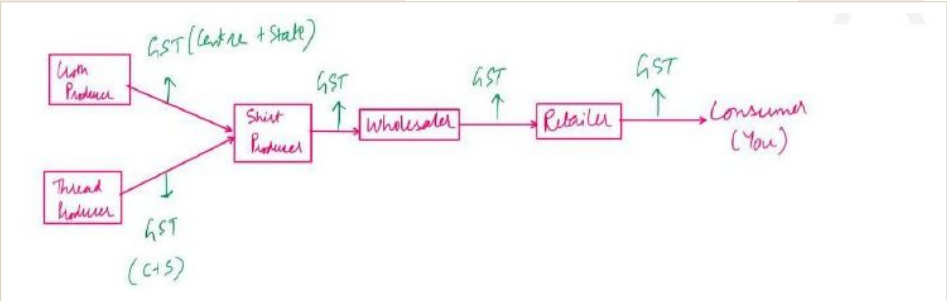


Figure. Handout page 6 (teacher's drawing): the GST chain. Cloth and thread producers, shirt producer, wholesaler and retailer each charge GST (Centre + State); the consumer pays at the end. Small note: "Let GST be @ 20%".

The same shirt under GST at an assumed 20%

Stage	Value added	GST on the sale	Net tax paid after ITC
Cloth and thread producers	₹100 each	₹20 each (on ₹100)	₹20 − 0 = **₹20** each (20% of 100)
Shirt producer	₹58	₹51.6 (on 258)	51.6 − 40 = **₹11.6** (20% of 58)
Wholesaler	₹48	₹61.2 (on 306)	61.2 − 51.6 = **₹9.6** (20% of 48)
Retailer	₹60	₹73.2 (on 366)	73.2 − 61.2 = **₹12** (20% of 60)
Consumer pays	₹366 in total	**₹73.2** = 20% of 366	**Final price ₹439.2** (against ₹550 earlier)

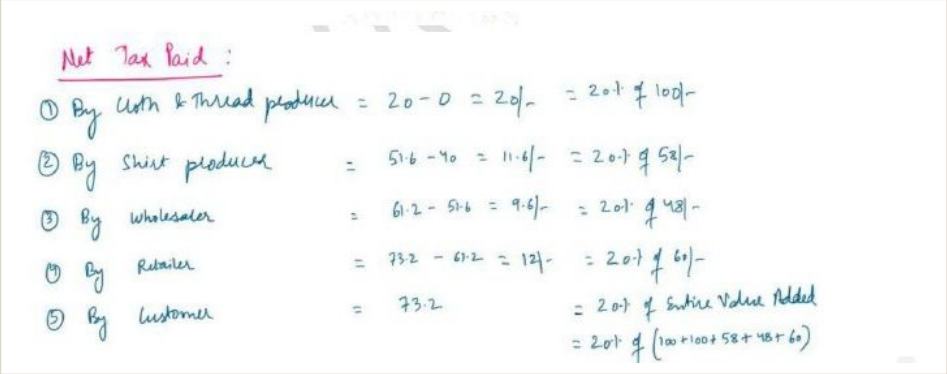


Figure. Handout page 7 (teacher's drawing): "Net tax paid" at each stage, ending with the customer paying 73.2 = 20% of the entire value added (100 + 100 + 58 + 48 + 60).

HANDOUT ALERT

A tiny bracket note at the bottom of the numbers diagram (page 6) is handwritten and hard to read; it appears to compare ₹439.2 with ₹550 under the earlier tax regime. **Check your notebook.** The 20% is the teacher's assumed rate for the example, **not** an actual GST slab (the handout's slabs are 0, 5, 12, 18 and 28).

MY NOTES

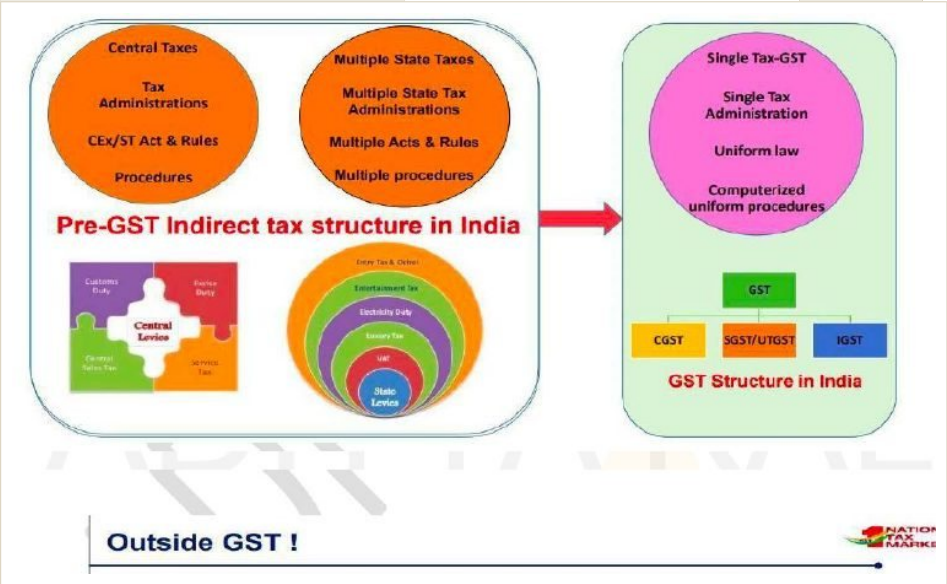


Figure. Handout page 12: the pre-GST structure (Central taxes with their administrations, Acts and procedures; multiple State taxes, administrations, Acts and procedures; Customs, Excise, Electricity duty, Entertainment tax, Luxury tax, VAT, Entry tax and Octroi layered above State levies) giving way to GST: a single tax, single administration, uniform law and computerised uniform procedures, split into CGST, SGST/UTGST and IGST.

STATUTORY DEFINITION AND THREE PROPERTIES

GST is **any tax on supply of goods and services other than on alcohol for human consumption.**

Three properties

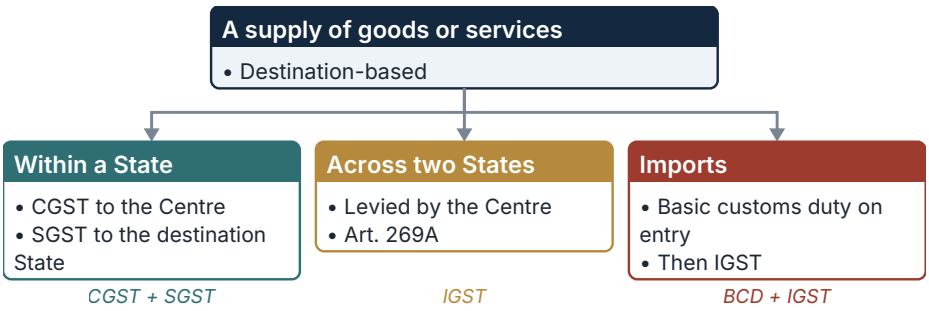
Property	Meaning
One nation-one tax	Subsumes many indirect taxes: **VAT, CST, Excise, Service tax,** etc.
Destination-based	The taxing authority is the place where goods are **supplied to,** not where the sale originates
VAT-like structure	Taxes paid at previous stages are available as **set-off** at the next stage

CGST, SGST and IGST

Tax	When	Who gets the revenue
CGST + SGST	Sale **within a State** (the consumer sees two components)	CGST: the Centre. SGST: the **destination** State
IGST (Integrated GST)	Sale **across two States**	Levied by the Centre on inter-State supplies and imports (Art. 269A)

MY NOTES

WHICH GST APPLIES



- The goods and services to be taxed and the other essential design features must be **common** between the Centre and the States.
- **International trade:** GST is destination-based, so **exports are zero-rated. Zero-rated does not mean exempt:** exporters are eligible for **full duty drawback. Customs duty is not part of GST. Imports** are taxed like domestic goods: **basic customs duty** on entry, then **IGST.**

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, BOX 5.3; CLASS XI GLOSSARY: GOODS AND SERVICES TAX

In plain words: This is the one NCERT box on GST. It repeats the handout's definition in its own words, lists every tax that GST swallowed, and names the laws. Read the table of taxes: it is a favourite for statement questions.

Link to the handout: Handout section 4: "one nation-one tax, destination-based, VAT-like". NCERT uses almost the same three ideas.

Step 1 What GST is (NCERT)

- The single comprehensive indirect tax, operational from 1 July 2017, on supply of goods and services, from the manufacturer or service provider to the consumer.
- A destination based consumption tax with the facility of Input Tax Credit in the supply chain.
- Applicable throughout the country with one rate for one type of goods or service.
- It amalgamated a large number of Central and State taxes and cesses.

Step 2 Taxes that GST replaced (NCERT)

Levied by	Taxes subsumed
Centre	Central Excise Duty, Service Tax, Central Sales Tax, cesses like KKC and SBC

MY NOTES

Levied by	Taxes subsumed
States	VAT/Sales Tax, Entry Tax, Luxury Tax, Octroi, Entertainment Tax, taxes on advertisements, taxes on lottery/betting/gambling, State cesses on goods

Step 3 The laws behind it (NCERT)

- CGST Act, UTGST Act and SGST Acts were enacted for GST.
- Laws, procedures and rates of tax across the country are standardised.

Step 4 Class XI glossary says

- A single indirect tax on the supply of goods and services, introduced in July 2017 by abolishing a variety of taxes such as sales tax and excise.
- Tax is imposed on the basis of value addition at each stage of movement of goods and services.
- Slabs of 0, 5, 12, 18 and 28 per cent on almost all goods and services; the slab is the same throughout the country.

NCERT differs: NCERT Box 5.3 says there are **six** standard rates: 0%, 3%, 5%, 12%, 18% and 28%. The Class XI glossary and the handout list **five** (no 3%). Use the handout's five in class; if a question quotes the NCERT box, recognise the sixth rate. (*handout/teacher wins in class*)

NCERT differs: NCERT's lists of replaced taxes do not mention customs. The handout is explicit that customs duty stays outside GST. (*handout/teacher wins in class*)

⭐ **REMEMBER**

One event (sale), one tax, credit all the way. Net tax at each stage = rate × value added.

5 · GST COUNCIL AND THE CONSTITUTION

🧠 **UNDERSTAND IT FIRST**

Imagine a joint committee that both the Centre and the States sit on, so neither can change the tax alone. The Union Finance Minister chairs it; State ministers fill the seats. At least half the members must be present and a decision needs a 75% majority. Votes are weighted: States hold two-thirds, the Centre one-third. The handout reads this as sovereignty pooled, not surrendered; critics say States gave up control of their own tax rates.

MY NOTES

✏ EXAMPLE

The handout's three articles: Art. 246A (both levy), Art. 269A (Centre levies IGST on inter-State supply and imports), Art. 279A (the Council). Five petroleum products are to come in later on the Council's word.

📐 Formulas of this section

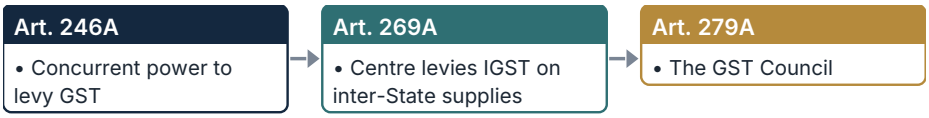
COUNCIL RULE

quorum 50%; decision 75%; weight States 2/3, Centre 1/3

chair: Union Finance Minister (Art. 279A)

- **Constitution (101st Amendment) Act, 2016,** notified on **08.09.2016.**
- **Art. 246A:** concurrent jurisdiction for levy and collection of GST by the Centre and the States.
- **Art. 269A:** the Centre levies and collects **IGST** on inter-State supplies, including imports.
- **Compensation** to States for loss of revenue for **five years** on the recommendation of the GST Council (the handout cites "Clause 19").
- **Petroleum:** crude, high speed diesel, motor spirit (petrol), natural gas and aviation turbine fuel to be brought under GST **from a later date** on the Council's recommendation.

THREE ARTICLES OF THE 101ST AMENDMENT



GST Council (Article 279A)

Feature	Provision
Chairperson	Union Finance Minister
Vice Chairperson	Chosen from the Ministers of State Governments
Members	Minister of State (Finance) and all Finance/Taxation Ministers of each State
Quorum	**50%** of total members
Decision	**75% majority**
Weightage	**States 2/3, Centre 1/3**
Role	Apex policy-making body: recommends on model GST laws, rates, place of supply rules and everything related to GST

FEDERALISM ARGUMENT

Some commentators say GST made States **surrender financial sovereignty** (visible during Covid when States could not raise indirect tax

MY NOTES

rates). The handout rejects this: the Centre and States have **"pooled their sovereign rights"** through the Council to streamline taxation. Use both sides in Mains.

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, BOX 5.3 AND FOOTNOTE 1

In plain words: NCERT tells the story of how GST became law: a constitutional amendment, then three kinds of Act, then a midnight launch. It does not mention the GST Council at all, so for the Council use the handout only.

Link to the handout: Handout section 5: 101st Amendment Act 2016, Art. 246A. NCERT adds the three Acts and the launch session.

Step 1 The order of events (NCERT)

When	What
8 September 2016	The 101st Constitution Amendment Act received the assent of the President
After that	CGST Act, UTGST Act and SGST Acts were enacted
Midnight of 30 June / 1 July 2017	GST rolled out during a special midnight session of Parliament

Step 2 What Art. 246A does (NCERT)

- It "cross empowers" Parliament and the Legislatures of States to make laws on GST imposed by the Union and the States.

Step 3 Who started on 1 July 2017 (NCERT footnote)

- The Centre, 28 states and 7 Union territories.

Step 4 What NCERT calls it

- "The biggest tax reform in the country since independence."
- Class XI Ch 3: expected to "generate additional revenue for the government, reduce tax evasion and create one nation, one tax and one market".

NCERT differs: NCERT says the Amendment "received assent" on 8 September 2016; the handout says "notified" on 08.09.2016. Same date, different word. NCERT also misprints "101th" for 101st. (*handout/teacher wins in class*)

MY NOTES

⭐ **REMEMBER**

Council: FM chairs, quorum 50%, decision 75%, States 2/3 and Centre 1/3.

6 · OUTSIDE GST, AND WHAT GST CHANGED IN ADMINISTRATION

🧠 **UNDERSTAND IT FIRST**

Think of a fence around GST with a few things left outside. Alcohol for human consumption stays with the State, five petroleum products wait for the Council to fix a date, and the entertainment tax of local bodies stays local. Tobacco is inside, but the Centre can add excise. Stamp duties stay with States. Because petroleum is outside, the VAT paid on it cannot be offset against GST.

✏ **EXAMPLE**

The handout's infographic "Outside GST!": alcohol (State), crude oil, diesel, petrol, natural gas and ATF (Council to decide the date), tobacco (inside, extra Central excise), entertainment tax (local bodies).

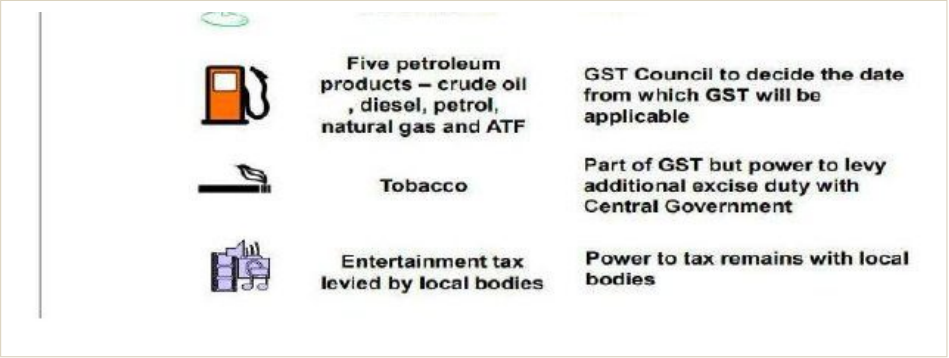


Figure. Handout page 11: "Outside GST!" Alcohol for human consumption: power to tax remains with the State. Five petroleum products (crude oil, diesel, petrol, natural gas, ATF): GST Council to decide the date from which GST will be applicable. Tobacco: part of GST but the Central Government has power to levy additional excise duty. Entertainment tax levied by local bodies: power to tax remains with local bodies.

- **As of March 2022 (handout):**
  - Petroleum and petroleum products are **not** subject to GST
  - They stay under the earlier system. **VAT and other input taxes paid on them cannot be offset against GST.**
- **12 nautical miles:** the area up to 12 nautical miles is under **Central administration,** but States can collect tax on economic activities carried out there.
- **Stamp duties** on legal agreements continue to be levied separately by States.

READING TIP

MY NOTES

The handout's text says GST excludes "alcohol for human consumption", and the infographic adds that **tobacco is inside GST** with an extra Central excise power. **Exam-hall rule:** alcohol, five petroleum products and local entertainment tax are outside GST; tobacco is inside.

📘 **FROM NCERT · CLASS XII MACROECONOMICS CH 5, BOX 5.3**

In plain words: A short check of the "Outside GST" list. NCERT agrees with the handout on all three items and on tobacco.

Link to the handout: Handout section 6: alcohol, five petroleum products, local entertainment tax outside; tobacco inside with extra Central excise.

What NCERT says

Item	NCERT's statement
Five petroleum products	Kept out of GST "for the time being"; with the passage of time they will get sub-sumed
Alcoholic liquor for human consumption	State Governments will continue to levy VAT on it
Tobacco and tobacco products	Attract both GST and Central Excise Duty

NCERT differs: NCERT says petroleum "will get subsumed"; the handout says only that the Council will decide the date, and that it remains outside as of March 2022. Use the handout's cautious wording. *(handout/teacher wins in class)*

⭐ **REMEMBER**

Outside: alcohol, five petroleum products, local entertainment tax. Tobacco is inside.

🧠 **MEMORY AID · WHAT STAYS OUTSIDE GST (ORDER IS FREE)**

A P E

A Alcohol for human consumption

P Petroleum (five products)

E Entertainment tax of local bodies

Own memory aid (not from the handout): the APE stays outside the GST fence. Tobacco is inside.

MY NOTES

7 · BENEFITS, CHALLENGES, COMPENSATION, RNR AND ANTI-PROFITEERING

🧠 **UNDERSTAND IT FIRST**

Benefits: fewer layers, one market, credit across Centre and State taxes (the biggest reform), and a system that catches the evader instead of a tax officer who may be bribed. Problems: many slabs, lobbying to get rates cut, politics in the Council. A single flat rate would be regressive, so slabs add a progressive touch. States were promised compensation for five years. RNR is the break-even rate: widen the base and a lower rate collects the same money. Anti-profiteering makes sure the cut reaches the buyer.

✏ **EXAMPLE**

The handout's RNR: at 30% effective rate, ₹10 of tax means only ₹33 of the ₹100 of output was taxed (one-third of GDP). If GST taxes double the value (two-thirds of GDP), a 15% rate still gives ₹10. Compensation: pre-2017 revenue grown at 14% a year for five years (till 2022).

📐 Formulas of this section

COMPENSATION DUE
pre-2017 revenue grown at 14% a year for 5 years − actual revenue
only if the shortfall is because of GST

REVENUE NEUTRAL RATE
rate × share of GDP taxed = revenue
30% on one-third = ₹10; 15% on two-thirds = ₹10

GOOD TAX LAW
low cost of compliance + high cost of non-compliance
GST: the system catches the evader

BENEFITS

- **Simple to administer and efficient.** A wider and growing tax base (registered users) shows higher compliance. In the old system the honest taxpayer paid his own share and the evader's.
- **ITC across Centre and State taxes** is called the biggest reform:
  - Earlier Central and State taxes were isolated and administered separately, so there was no offsetting. Harmonised administration cuts duplication and red tape
  - Automated GSTN reduces errors and eases filing
- **Compliance logic:** a good tax law has **low cost of compliance and high cost of non-compliance.** Earlier, multiple events and authorities made compliance costly, and catching an evader depended on a

MY NOTES

tax officer, so the penalty was usually a bribe. Under GST the **system** catches the evader and the cost reaches the legal penalty.



Figure. Handout page 13: Benefits of GST (12 items in two groups). Group one: reduction in cascading of taxes and overall price reduction (decrease in inflation); common national market and benefits to small taxpayers (ease of doing business); self-regulating and non-intrusive electronic tax system (decrease in "black" transactions). Group two: simplified tax regime and reduction in multiplicity of taxes (more informed consumer); consumption-based tax and abolition of CST (poorer States to gain); exports zero-rated and protection of domestic industry through IGST (Make in India).

CHALLENGES

- **Multiple slabs:**
  - **0%, 5%, 12%, 18% and 28%** (handout, 2022)
  - Raw agricultural produce is **zero-rated**
  - luxury goods and goods with negative externalities attract a **cess** above 28%. This is the most important challenge
- Filings fell drastically (e.g. **GSTR-3B**) but are still more than the "zero" that businesses practically filed earlier.
- **Lobbying and politicisation:**
  - Producers (especially food processing) seek zero rating
  - The Centre, with its majority in the Council, is accused of cutting rates with an eye on elections
- **One flat rate** may be ideal, but it would be **regressive.** The multiple rates add a **progressive** element: 0 or 5% for necessities, 18% and

MY NOTES

28% plus cess for luxury and demerit goods. A reform of slabs is still desirable.

COMPENSATION TO STATES

- States demanded compensation before pooling their rights. Each State's **pre-2017 indirect tax revenue** was taken and an **average nominal growth of 14% a year for five years** (till **2022**) was assumed.
- If actual revenue under GST falls short of this path, the **Centre compensates the shortfall.** The handout stresses: only for a shortfall **on account of GST implementation.** Not for the State's own failure or a pandemic.
- The **GST compensation cess** on luxury and demerit goods funds this. It was meant to end in 2022
- The handout says it is not yet going away "thanks to Covid"

REVENUE NEUTRAL RATE (RNR)

RNR is the average GST rate at which the government receives **the same revenue** despite the change in tax law, input credits and exemptions. Pre-GST incidence in most States was about **30%** (12% excise, 14% VAT and others). Example: at 30% effective rate, ₹10 of tax means only **₹33** of the ₹100 of output was taxed (one-third of GDP). If GST taxes **double** the value (two-thirds of GDP), a **15%** rate still gives ₹10. That 15% is the RNR.

ANTI-PROFITEERING

With a lower RNR, goods should be cheaper. But the seller may keep the **tax reduction as extra profit** instead of passing it on. That is **profiteering,** and GST law makes it **illegal.** Institutions: **National Anti-Profiteering Authority,** a **Standing Committee** and **State-level Screening Committees** (all "already set up" per the handout).

📘 **FROM NCERT · CLASS XII MACROECONOMICS CH 5, BOX 5.3; CLASS XI CH 3 (TAX REFORMS)**

In plain words: The handout's benefits list is long. NCERT adds a few of its own claims, including one number (a rise in GDP). Read them as the "official promise" of GST.

Link to the handout: Handout section 7, benefits: NCERT's list overlaps heavily; the new items are marked below.

MY NOTES

Step 1 NCERT's benefits of GST

Benefit	NCERT's words (short)	In handout?
Simpler tax system	Simplified the multiplicity of taxes; laws, procedures and rates standardised	Yes
One market	Freedom of movement of goods and services; a common market in the country	Yes
Lower business cost	Reduced cost of business operations and cascading on consumers; reduced overall cost of production	Yes (cascading)
Competitive products	Indian products and services more competitive in domestic and international markets	Partly (Make in India)
Growth	GDP "expected to rise by about 2%"	**New**
Easy compliance	Registration, returns, payments online through one common portal www.gst.gov.in	Yes (GSTN)
Wider base, transparency	Expanded the tax base; higher transparency; reduced human interface between taxpayer and government; ease of doing business	Yes
Class XI: revenue, evasion	Expected to generate additional revenue and reduce tax evasion; procedures simplified and rates substantially lowered to encourage compliance	Partly

Step 2 Two NCERT clues for the "single rate" debate

- Class XII (deficit reduction): indirect taxes "are regressive in nature", they impact all income groups equally.
- Class XII (excise): necessities exempted or taxed low, comforts moderate, luxuries, tobacco and petroleum heavy. This is the same idea as the handout's multiple slabs adding a progressive element.

NCERT differs: NCERT's "about 2%" rise in GDP is an expectation, not a result. The handout gives no such number; quote it only as NCERT's expectation. (*handout/teacher wins in class*)

⭐ REMEMBER

Broader base, lower rate: RNR 30% to 15%. Compensation only for GST-caused shortfall.

MY NOTES

8 · FEATURES OF THE ACT: REGISTRATION, COMPOSITION, E-WAY BILL AND GSTN

🧠 **UNDERSTAND IT FIRST**

Think of the paperwork of a small shop. It need not register unless turnover is above ₹20 lakh. A small taxpayer may choose the composition levy: a fixed percentage of turnover each quarter instead of the normal rate. Everything runs online through the GST Network (GSTN), a company incorporated in 2013 and now completely government owned. The e-way bill tracks goods that move.

✏ **EXAMPLE**

The handout's numbers: registration above ₹20 lakh (₹10 lakh special category States except J&K); deemed registration in three working days; e-way bill from 01.04.2018; GSTN: Section 25 company, ₹10 crore capital, Infosys as managed service provider, 73 GSPs.

📐 Formulas of this section

REGISTRATION

turnover above ₹20 lakh (₹10 lakh special category except J&K)

voluntary registration allowed; deemed in 3 working days

COMPOSITION RETURN

Form GSTR-4 by the 18th after the quarter

July-September 2017 due 18 October 2017

Main features

Feature	Provision (handout)
Jurisdiction	Concurrent: Centre levies **CGST,** States levy **SGST;** Centre levies **IGST** on inter-State supplies and imports
Mode	All transactions and processes **electronic:** non-intrusive administration
Registration	**PAN-based;** only if turnover is **above ₹20 lakh** (**₹10 lakh** for special category States except J&K); **voluntary registration** allowed
Deemed registration	In **three working days**
Input Tax Credit	On taxes paid on all procurements, except a few specified items
E-way bill	For all inter-State movement of goods from **01.04.2018;** by **16.06.2018** all States and UTs had introduced it for intra-State movement

MY NOTES

COMPOSITION LEVY

- An **alternative, optional** levy for small taxpayers to bring simplicity and cut compliance cost: tax at a **prescribed percentage of turnover** every quarter instead of the normal rate.
- **Not available** to inter-State suppliers, service providers (**except restaurant service**) and specified manufacturers.
- **Quarterly return in Form GSTR-4** on the GSTN portal by the **18th of the month** after the quarter (July-September 2017 return due **18 October 2017**).

HANDOUT ALERT

Composition threshold conflict: the "Main Features" list says **₹100 lakh;** the composition-levy paragraph says turnover up to **₹75 lakh (₹50 lakh in a few States).** The handout does not reconcile them. **Exam-hall rule:** if the options carry both, pick the one matching the wording (₹75 lakh with the composition levy paragraph); if only one is present, use it.

GOODS AND SERVICES TAX NETWORK (GSTN)

- Incorporated in **March 2013** as a **Section 25** private limited company with paid-up capital of **₹10 crore.**
- **Equity holders:**
  - Earlier Centre, States **and private sector**
  - **now completely government owned.**
- A **common pass-through portal** for taxpayers to submit registration applications, file returns and pay tax. **Infosys** is the Managed Service Provider (MSP)
- **73 GST Suvidha Providers (GSPs)** appointed

📘 **FROM NCERT · CLASS XII MACROECONOMICS CH 5, BOX 5.3**

In plain words: One small NCERT point that fits the GSTN paragraph: the portal.

Link to the handout: Handout GSTN: "a common pass-through portal for taxpayers".

What NCERT adds

- All tax-payment-related services (registration, returns, payments) are available online through a common portal, www.gst.gov.in.
- This has reduced human interface between taxpayer and government and is furthering ease of doing business.

MY NOTES

⭐ **REMEMBER**

Register above ₹20 lakh. GSTN 2013, e-way bill 01.04.2018, GST 01.07.2017.

🧠 **MEMORY AID · THE ROAD TO GST, IN ORDER (VAT, GSTN, AMENDMENT, GST)**

Value Gets Added Gradually

V VAT 2005	**G** GSTN 2013
A Amendment 08.09.2016	**G** GST 01.07.2017

Own memory aid (not from the handout): keep the order.

MY NOTES

FORMULA SHEET, NUMBER CARD AND DRILLS

📐 FORMULA SHEET: COVER THE THIRD COLUMN, SAY THE FORMULA, THEN CHECK

Where	Name	Formula	Source
Sec 3	Tax payable after ITC	**output tax − ITC (tax already paid on inputs)**	handout
Sec 3	VAT tax base (2005-2017)	**input + value added + excise = 220 + 58 + 20 = 298**	handout
Sec 3	Cascading test	**tax on value added = fresh; the rest = tax on tax**	handout
Sec 3	ITC rule	**tax against the same tax only**	handout
Sec 4	Net tax at a stage	**GST on sale − ITC = rate × value added**	handout
Sec 4	Final burden	**rate × total value added**	handout
Sec 4	Within a State	**CGST + SGST**	handout
Sec 4	Across States	**IGST**	handout
Sec 5	Council rule	**quorum 50%; decision 75%; weight States 2/3, Centre 1/3**	handout
Sec 7	Compensation due	**pre-2017 revenue grown at 14% a year for 5 years − actual revenue**	handout
Sec 7	Revenue neutral rate	**rate × share of GDP taxed = revenue**	handout
Sec 7	Good tax law	**low cost of compliance + high cost of non-compliance**	handout
Sec 8	Registration	**turnover above ₹20 lakh (₹10 lakh special category except J&K)**	handout
Sec 8	Composition return	**Form GSTR-4 by the 18th after the quarter**	handout

MY NOTES

🔢 NUMBER CARD: FIGURES TO HOLD

- **₹32 → ₹5.8** sales tax producer to wholesaler; fresh part (rest ₹26.2)
- **33.5%** effective tax on the ₹550 shirt (₹184)
- **₹7.8** VAT payable after ITC ₹22 on ₹29.8
- **₹439.2 vs ₹550** shirt price under GST at 20% against the old regime
- **2005** State VAT starts
- **08.09.2016** 101st Amendment Act notified
- **01.07.2017** GST comes into effect
- **50% / 75%** Council quorum / decision majority
- **2/3 : 1/3** weight of States : Centre in the Council
- **₹20 lakh / ₹10 lakh** registration limit / special category States
- **14% for 5 years** assumed growth for compensation, till 2022
- **30% → 15%** RNR example: one-third versus two-thirds of GDP
- **March 2013** GSTN incorporated, ₹10 crore capital
- **01.04.2018** e-way bill for inter-State movement
- **0, 5, 12, 18, 28** slabs in the handout (2022)

✏ BLANK-PAGE DRILL: DRAW THESE FROM MEMORY, THEN CHECK

- Redraw the handout's shirt diagram (page 3) with the five value-added figures (100, 100, 58, 48, 60) and the final price ₹550.
- Redraw the handout's bills of transaction (page 5): old regime 320 + 32 and VAT regime 298 with ITC 22, then the GST chain at 20% (page 6).
- Write from memory: Council features (chair, quorum, decision, weights), the "Outside GST" list, and the order VAT, GSTN, Amendment, GST.

NCERT CHECKLIST: END BOXES, QUESTIONS, KEY CONCEPTS

📘 NCERT PARTS WITH NO MATCHING HANDOUT SECTION (READ THEM FROM NCERT)

- **Class XI Ch 3 Tax reforms (direct tax half)**: Income tax and corporation tax cuts since 1991 and why moderate rates were

MY NOTES

thought to encourage savings and disclosure. Read in the Chapter 12 NCERT box (section 9).

📘 NCERT KEY CONCEPTS: TICK EACH WHEN YOU CAN DEFINE IT

☐ Goods and Services Tax (GST)
☐ Destination based consumption tax ☐ Input Tax Credit (ITC)
☐ Cascading of tax ☐ Value addition at each stage
☐ Direct and indirect taxes ☐ Article 246A
☐ CGST, UTGST and SGST Acts ☐ Finance Bill

📘 NCERT'S OWN END-OF-CHAPTER QUESTIONS: CAN YOU ANSWER EACH FROM THESE NOTES?

NCERT question	Answer lives in
What do you understand by G.S.T? How good is the system of G.S.T as compared to the old tax system? State its categories.	Definition: section 4. Old system and cascading: sections 1-3. Benefits: section 7. Categories: CGST, SGST, IGST in section 4 (NCERT also names the UTGST Act)

ABBREVIATION COLUMN

Every short form used in this chapter, expanded.

GST = Goods and Services Tax — common indirect tax on goods and services

NCERT = National Council of Educational Research and Training — publisher of the school textbooks the teacher calls "very, very important"

VAT = Value Added Tax — tax on value added at each stage, with credit for earlier tax

ITC = Input Tax Credit — tax already paid on inputs, set off against tax due on the sale

IGST = Integrated GST — GST on inter-state supply, collected by the Centre

SGST = State GST — State's share of GST on intra-state supply

CGST = Central GST — Centre's share of GST on intra-state supply

GSTN = Goods and Services Tax Network — common IT portal company for registration, returns and payment

RNR = Revenue Neutral Rate — rate that leaves government revenue unchanged

GDP = Gross Domestic Product — value of all final goods and services produced inside a country in a year

CST = Central Sales Tax — tax on inter-State sale, collected by the Centre and given to the selling State

UTGST = Union Territory GST — the State-side GST for Union territories without a legislature

MY NOTES

J&K = Jammu and Kashmir

FM = Finance Minister — chair of the GST Council is the Union FM

GSTR-4 = GST Return form 4 — quarterly return of composition taxpayers

ATF = Aviation Turbine Fuel — jet fuel; one of five petroleum products outside GST

GSPs = GST Suvidha Providers — agencies appointed to help taxpayers use the GSTN portal

CENVAT = Central Value Added Tax — Central excise made creditable

GSTR-3B = GST Return form 3B — monthly summary return

KKC = Krishi Kalyan Cess — a Central cess

MODVAT = Modified Value Added Tax — earlier credit scheme for Central excise

MSP = Managed Service Provider — company running the GSTN systems (Infosys); also minimum support price elsewhere

PAN = Permanent Account Number — tax ID used for GST registration

SBC = Swachh Bharat Cess — a Central cess

UTs = Union Territories — centrally administered areas

Meanings are plain-language aids; verify before quoting in an answer.

TIMELINE AND NUMBERS

When	What
1980s	VATting of excise duty: CENVAT/MODVAT (Central).
2005	State sales tax becomes VAT (tax on value added). ★
March 2013	GSTN incorporated as a Section 25 company, ₹10 crore capital.
08.09.2016	Constitution (101st Amendment) Act, 2016 notified. ★
01.07.2017	GST comes into effect. ★
01.04.2018	E-way bill for all inter-State movement of goods.
16.06.2018	All States and UTs have e-way bill for intra-State movement.
2022	Five-year State compensation period ends (14% assumed growth). Compensation cess still continuing per the handout. ★

CONNECTS TO OTHER CHAPTERS

Where	Why
Chapter 12: Budget and Fiscal Policy	GST revenue, indirect versus direct tax shares and fiscal federalism feed the Budget.
Chapter 6: Inflation	Cascading and price effects: GST's promise of lower prices is an inflation argument.
Chapter 10: External Sector	Zero-rating of exports, IGST on imports and Make in India.
Chapter 5: National Income Accounting	Revenue neutral rate depends on how much of GDP is taxed (tax base).

MY NOTES

Where	Why
Chapter 2: Inequality	Progressive versus regressive elements of the multi-slab GST.

MAINS ANSWER SKELETONS

EXPLAIN HOW GST ADDRESSES THE PROBLEM OF CASCADING TAXES SEEN IN THE EARLIER INDIRECT TAX SYSTEM.

Intro: Under the old system the same value was taxed repeatedly: a tax on tax.

- Old regime: excise, sales tax and CST at each stage; ₹550 price, 33.5% effective tax; ₹26.2 of ₹32 was tax on tax or on taxed value.
- VAT 2005 and CENVAT taxed value added through ITC, but VAT still taxed excise.
- GST merges all events into the sale; ITC across Central and State taxes; same example gives ₹439.2.
- Exports zero-rated, anti-profiteering to pass on gains.

Close: GST finished what the 2005 VAT began.

DISCUSS THE STRUCTURE AND ROLE OF THE GST COUNCIL IN THE CONTEXT OF COOPERATIVE FEDERALISM.

Intro: The Council is the apex body where the Centre and the States jointly decide GST.

- Art. 279A: FM chair, State ministers as members, quorum 50%, decisions by 75%, States 2/3 and Centre 1/3.
- Recommends on laws, rates, place of supply and compensation.
- Argument that States surrendered sovereignty versus the handout's "pooled sovereignty".
- Concerns: Centre accused of influencing rate cuts; Covid-time compensation tension.

Close: A shared taxing power works only if the two sides keep trusting the Council.

WHAT ARE THE CHALLENGES IN THE GST SYSTEM? IS A SINGLE RATE DESIRABLE?

Intro: GST has simplified taxation but problems remain.

- Multiple slabs 0/5/12/18/28 plus cess.
- Lobbying and politicisation; classification disputes.
- Petroleum outside GST; compensation cess continuing.
- Single rate would be regressive; multiple slabs give a progressive element.

Close: Fewer slabs are desirable; one slab is not.

EXPLAIN THE GST COMPENSATION MECHANISM AND THE CONCEPT OF REVENUE NEUTRAL RATE.

Intro: States agreed to pool powers on the promise of protection against loss.

MY NOTES

- Pre-2017 revenue base with 14% assumed growth for five years (till 2022).
- Only for shortfall due to GST implementation; funded by the compensation cess on luxury and demerit goods.
- RNR: average rate that leaves revenue unchanged; 30% on a third of GDP versus 15% on two-thirds.
- Tax base widening is the reason a lower rate can work.

Close: RNR is a promise that a broader base can replace a higher rate.

DISCUSS HOW GST TREATS INTERNATIONAL TRADE AND WHAT LIES OUTSIDE ITS SCOPE.

Intro: GST is destination-based, so it follows the consumption of goods and services.

- Exports zero-rated with full duty drawback; imports: BCD then IGST; customs outside GST.
- Outside GST: alcohol for human consumption, five petroleum products pending Council decision, local entertainment tax; tobacco inside with extra excise.
- IGST protects domestic industry (Make in India).
- Stamp duties and the 12 nautical miles administration.

Close: Where the tax falls is decided by where the goods are consumed.

PAST-YEAR QUESTIONS · 4 PRELIMS AND 3 MAINS QUESTIONS FROM THE SAARTHI SUBJECT-WISE SHEETS

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question

1 · THE OLD SYSTEM: TAXES ARE LEVIED ON EVENTS 1 Prelims · 0 Mains

Prelims 2014

The sales tax you pay while purchasing a toothpaste is:

(a) tax imposed by the Central Government
(b) tax imposed by the Central Government but collected by the State Government
(c) tax imposed by the State Government but collected by Central Government
(d) tax imposed and collected by State Government

Answer: **(d)** tax imposed and collected by State Government

2 · THE PROBLEM: CASCADING OF TAXES 0 Prelims · 1 Mains

Mains 2013 10 marks GST

Discuss the rationale for introducing Good and services tax in India. Bring out critically the reasons for delay in roll out for its regime.

KEYWORDS GST cascading of taxes input tax credit GST Council destination-based VAT rationale delay in roll out

MY NOTES

3 · THE CORRECTION: VAT (2005) AND INPUT TAX CREDIT 1 Prelims · 0 Mains

Prelims 2011

Which one of the following is not a feature of "Value Added Tax"?

(a) It is a multi-point destination-based system of tax.
(b) It is a tax levied on value addition at each stage of transaction in the production distribution chain.
(c) It is a tax on the final consumption of goods or services and must ultimately be borne by the consumer.
(d) It is basically a subject of the Central Government, and the State Governments are only a facilitator for its successful implementation.

Answer: **(d)** It is basically a subject of the Central Government, and the State Governments are only a facilitator for its successful implementation.

4 · WHAT GST IS 1 Prelims · 0 Mains

Prelims 2018

Consider the following items:

1. Cereal grains hulled
2. Chicken eggs cooked
3. Fish processed and canned
4. Newspapers containing advertising material

Which of the above items is/are exempted under GST (Goods and Services Tax)?

(a) 1 only
(b) 2 and 3 only
(c) 1, 2 and 4 only
(d) 1, 2, 3 and 4

Answer: **(d)** 1, 2, 3 and 4

7 · BENEFITS, CHALLENGES, COMPENSATION, RNR AND ANTI-PROFITEERING 1 Prelims · 2 Mains

Prelims 2017

What is/are the most likely advantages of implementing 'Goods and Services Tax (GST)'?

1. It will replace multiple taxes collected by multiple authorities and will thus create a single market in India.
2. It will drastically reduce the 'Current Account Deficit' of India and will enable it to increase its foreign exchange reserves.
3. It will enormously increase the growth and size of the economy of India and will enable it to overtake China in the near future.

Select the correct answer using the code given below:

(a) 1 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(a)** 1 only

MY NOTES

Mains 2020 15 marks GST (Compensation & Federalism)

Explain the rationale behind the Goods and Services Tax (Compensation to States) Act of 2017. How has COVID-19 impacted the GST compensation fund and created new federal tensions?

KEYWORDS: GST Compensation | compensation to States | cess | 14% | COVID-19 | compensation fund | federal tensions

Mains 2019 10 marks GST Revenue Implications

Enumerate the indirect taxes which have been subsumed in the Goods and Services Tax (GST) in India. Also, comment on the revenue implications of the GST introduced in India since July 2017.

KEYWORDS: GST | July 2017 | Revenue Neutral Rate | compensation | revenue implications

MY NOTES

END OF CHAPTER · RECALL AND DRILL

RECALL SHEET: COVER THE RIGHT COLUMN AND ANSWER

Taxes are levied on?	Events: sale, income, border crossing, profit.
Cascading?	Tax on tax and tax on value already taxed.
Of the ₹32 tax, how much was on fresh value?	₹5.8 (₹26.2 was tax on tax or taxed value).
ITC?	Tax paid on inputs offset against tax on output.
What VAT left behind?	A ₹2 tax on excise (VAT on excise).
Event under GST?	Only the sale (supply) of a good or service.
Across States?	IGST.
Zero-rated vs exempt?	Zero-rated gets credit/draw-back; exempt does not.
Art. 246A?	Concurrent power to levy GST.
Council chair and vice chair?	Union FM; a State minister.
Outside GST?	Alcohol for human consumption; 5 petroleum products; local entertainment tax.
Stamp duty?	Levied separately by States.
Raw agricultural produce?	Zero-rated.
RNR?	Rate that keeps government revenue unchanged.

Handout alert · Composition limit: ₹75 lakh or ₹100 lakh

The Main Features list says ₹100 lakh; the composition-levy paragraph says ₹75 lakh (₹50 lakh in a few States). The handout does not reconcile them. *Rule: if both appear, pick the one matching the wording (₹75 lakh with the composition levy); if only one is present, use it.*

Handout alert · 20% is not a GST slab

The 20% in the shirt example is the teacher's assumed rate. The handout's actual slabs are 0, 5, 12, 18 and 28. *Rule: never quote 20% as a slab.*

Prelims trap · Alcohol is out, tobacco is in

The handout excludes alcohol for human consumption. Tobacco is inside GST, with an extra Central excise power. *Rule: outside = alcohol, five petroleum products, local entertainment tax.*

Concept trap · Zero-rated is not exempt

Exports are zero-rated and eligible for full duty drawback. Exempt does not get credit or drawback. *Rule: zero-rated = credit and drawback; exempt = none.*

Concept trap · ITC works for the same tax only

VAT is offset against VAT, not against excise or State taxes like entertainment, luxury and octroi. Tax is always charged on the entire value. *Rule: ITC is how a tax on value added is achieved, never across different taxes under the old system.*

Prelims trap · Compensation covers GST-caused loss only

States get the shortfall from a 14% assumed growth path for five years (till 2022), but only on account of GST implementation. *Rule: not for a State's own failure or a pandemic.*

QUICK QUIZ

Q1. Which of the following correctly describes GST?

1. A tax on income of companies
2. A tax on supply of goods and services other than alcohol for human consumption
3. A tax on all goods including alcohol
4. A tax on imports only

Q2. GST is a destination-based tax. This means...

1. revenue goes to the State where goods are made
2. the taxing authority is where goods are supplied to
3. only imports are taxed
4. tax is levied only at the final stage

Q3. In an inter-State sale, the tax levied is...

1. CGST and SGST
2. IGST
3. CST
4. VAT

Q4. Input Tax Credit under VAT can be offset...

1. against any tax of the Centre
2. against any State tax
3. only against the same tax
4. against excise duty

MY NOTES

Q5. Which tax is NOT part of GST in the handout?

1. Customs duty
2. Service tax
3. Central Sales Tax
4. Excise duty

Q6. Which of these is outside GST (power to tax remains with the State)?

1. Tobacco
2. Alcohol for human consumption
3. Services
4. Electricity transmission

Q7. Under the GST Council voting rules, decisions need...

1. simple majority
2. 2/3 majority
3. 75% majority
4. unanimity

Q8. Concurrent power of the Centre and States to levy GST comes from...

1. Article 246A
2. Article 269A
3. Article 279A
4. Article 301

Answers: Q1 b, Q2 b, Q3 b, Q4 c, Q5 a, Q6 b, Q7 c, Q8 a

MY NOTES

CHAPTER 12 · HANDOUT PP. 1-57

12 Government Budget and Fiscal Policy

HIGH PRIORITY

Mains PYQs quoted: **2013, 2015, 2016, 2017, 2018, 2019, 2021, 2024, 2025**

Prelims PYQs: **2010, 2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023**

EXAM LENS

Prelims hooks

- Art. 112, 113, 265, 280, 275, 282, 279A
- revenue versus capital classification of any item
- definitions and relationships of RD, FD, PD, ERD
- BD and monetised deficit
- WMA (Normal, Special)
- FRBM dates and escape clauses
- public debt versus other liabilities versus external debt
- Finance Commission criteria
- CS versus CSS
- PMFBY trap
- types of tax (progressive, direct, ad valorem, specific)
- MAT
- RNR
- elasticity versus buoyancy

Mains hooks

- why the budget is the annual renewal of the social contract
- why deficits and debt are not bad by themselves but need rules
- why FRBM lost credibility and what N.K. Singh fixed
- counter-cyclical policy
- intergenerational equity (oil bonds)
- fiscal federalism (devolution versus schemes)
- the narrow income-tax base and the complexity-evasion link
- Laffer curve and the 2019 corporate tax cut
- buoyancy as the test of GST

a budget is accounting for the future, and every rule in this chapter exists because governments cannot be trusted to restrain themselves.

IN SIMPLE WORDS

- The **budget** is the yearly statement of expected receipts and spending (**Art. 112**). The **Lok Sabha** gives permission (**Art. 113**). Budgeting is **accounting for the future**.
- The **asset-liability test** sorts every entry. If assets or liabilities change, it is **Capital**
- If not, it is **Revenue**. Interest is revenue, principal repayment is capital, and grants to States are revenue
- **Fiscal Deficit = Total Expenditure - Non-Debt Receipts**, which is the year's **borrowing**. **Primary Deficit** removes

MY NOTES

interest. **Revenue Deficit = RE - RR**. After **WMA (1997)** the Budget Deficit is zero.

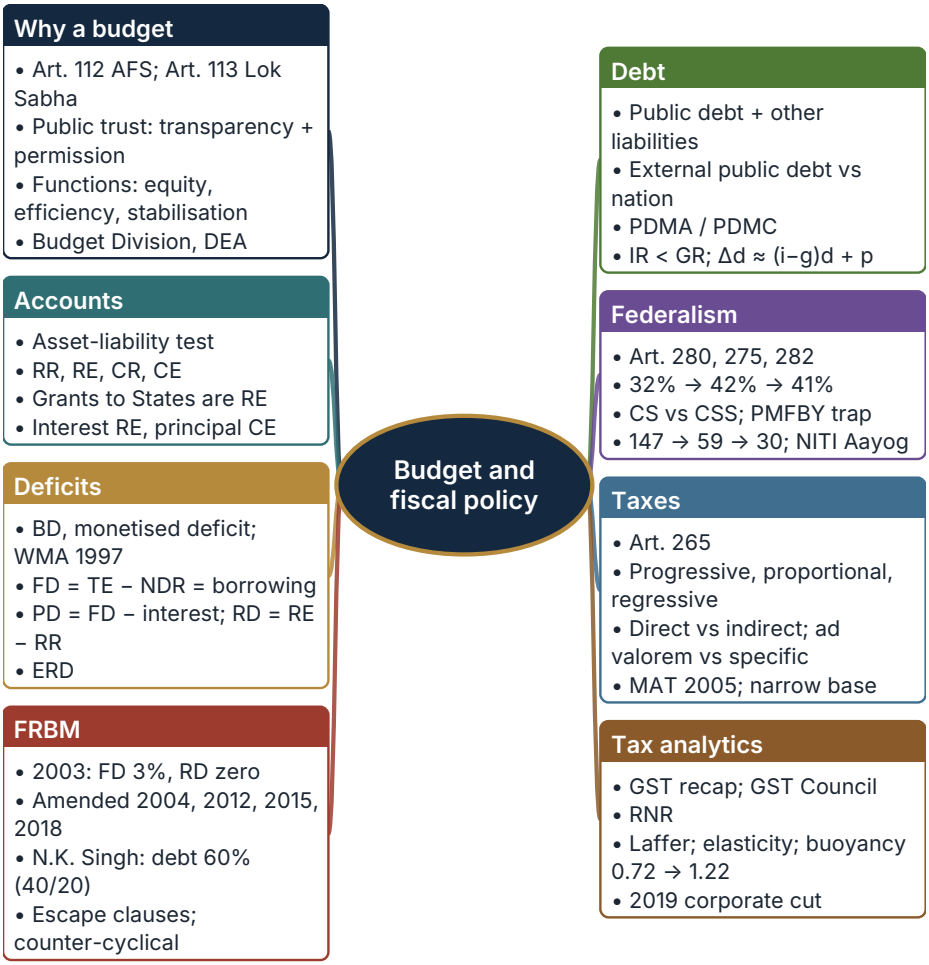
- **FRBM 2003** bound the government to an FD of 3% and no Revenue Deficit. The **N.K. Singh Committee** added a **60% debt anchor** (Centre 40, States 20), escape clauses and counter-cyclical policy.
- Debt stays safe when the **interest rate is below the growth rate (IR < GR)**. Keep **public debt** apart from the **debt of the nation**.
- States get money through **Finance Commission devolution** and through **schemes**. Taxes are classified by burden, by method and by how the rate behaves. **Elasticity** follows the tax rate
- **buoyancy** follows GDP

Key term	In plain words
Budget Deficit (BD)	Total Expenditure minus Total Receipts. The government's intentions exceed its capabilities.
Monetised deficit	The part of the deficit financed by RBI printing money against government bonds.
WMA (1997)	Ways and Means Advances: short-term RBI loans for temporary mismatch. The government promised not to present a BD.
Fiscal Deficit (FD)	Total Expenditure minus Non-Debt Receipts; equals the borrowing in the year.
Primary Deficit (PD)	Fiscal Deficit minus interest payments; shows the current government's own shortfall.
Revenue Deficit (RD)	Revenue Expenditure minus Revenue Receipts; borrowing just to run the government.
Effective Revenue Deficit	Revenue Deficit minus grants given for creating capital assets.
Deficit and debt	Deficit is a yearly flow; debt is the stock of all unpaid past deficits.
Public Debt	Borrowing through G-Secs and T-Bills, held in the Consolidated Fund of India.
Other Liabilities	Money held as banker or trustee (provident funds, NSSF, pension funds), held in the Public Account.
Counter-cyclical policy	Save in good times and spend in bad times; pro-cyclical policy reinforces the cycle.
Central Sector Scheme	Scheme run by central machinery, usually 100% funded by the Centre.
Centrally Sponsored Scheme	Scheme run by the State with a central grant; the State adds a matching share, usually 40%.

MY NOTES

Key term	In plain words
Ad valorem and specific tax	Ad valorem is a percentage of value; specific is based on a physical measure whatever the price.
Revenue Neutral Rate (RNR)	The GST rate that gives the government the same revenue as the old taxes.
Tax buoyancy	% change in tax revenue divided by % change in nominal GDP, with rates unchanged.

CHAPTER MAP



REMEMBER IT AS The asset-liability test sorts the accounts, the deficits measure the borrowing, and rules like FRBM and IR < GR keep debt safe.

EXAM LENS: WHAT THE HANDOUT STRESSES

SOURCE NOTE

No teacher ink. I checked all 29 slides: they are typed text, tables and charts with no handwriting. The handout has none either. **No Prelims or Mains PYQ is quoted** in the slides or the handout: none quoted in the material. Priority below is the handout's own emphasis: its "Crucial Trap" and "Ultimate Prelims Trap" boxes, its explicit tables, and its remark that the debt-dynamics proof "will not be asked in the exam".

MY NOTES

What the handout stresses

Signal in the handout	Where	Why it matters
"The Ultimate Prelims Trap": PMFBY is a **Central Sector** scheme although the States pay 50% of the premium subsidy	Section 7	Explicit trap
"Crucial Trap": External **Public** Debt versus External Debt of the **Nation**	Section 6	Explicit trap
Asset-liability test decides revenue versus capital; grants to States are Revenue Expenditure	Section 3	Classification rule
BD → 0 after WMA (1997); FD = TE − NDR = borrowing; PD = FD − interest; RD = RE − RR; ERD	Sections 4-5	Definitions and formulas
FRBM 2003: FD 3%, eliminate RD, three statements; amendments **2004, 2012, 2015, 2018**	Section 5	Dates
N.K. Singh: debt anchor **60%** (Centre 40, States 20); five escape clauses; counter-cyclical policy	Section 5	Committee
IR < GR; five principles of debt management; $\Delta d \approx (i - g) \cdot d + p$	Section 6	Concept (proof not examined)
Art. 280 and 275; 14th FC 32% → 42%, 15th 41%; horizontal criteria table; **Art. 282**	Section 7	Numbers and weights
CSS reform: 147 → 59 (Chaturvedi) → **30** (Sub-Group of CMs); 6 **core of the core; 25% flexi-fund;** portability	Section 7	Numbers
Direct versus indirect (impact and incidence); progressive, proportional, regressive; ad valorem versus specific; **MAT 2005**	Section 9	Classification
RNR; Laffer curve; elasticity; buoyancy (0.72 → 1.22)	Section 11	Concepts and numbers

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: High. 25 Prelims and 10 Mains questions map to this chapter.

Most-asked topics: Taxation: law, classification and the direct tax picture (8 Prelims, 2 Mains); Expenditure and fiscal federalism (3 Prelims, 3 Mains); The FRBM Act and the family of deficits (3 Prelims, 2 Mains).

Prelims years: 2010, 2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023. Mains years: 2013, 2015, 2016, 2017, 2018, 2019, 2021, 2024, 2025.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

MY NOTES

START HERE: 60 SECONDS, KEY WORDS, NCERT MAP

THE WHOLE CHAPTER IN 60 SECONDS

- **Why a budget**: the State must account for the future: Art. 112 (statement) and Art. 113 (Lok Sabha permission)
- **Three jobs**: taxation (equity), expenditure (efficiency), stabilisation (balance)
- **Two accounts**: asset-liability test: changes assets or liabilities = Capital, else Revenue
- **Deficits**: FD = TE − NDR = borrowing; PD = FD − interest; RD = RE − RR; ERD = RD − asset grants
- **Rules**: WMA 1997 ended BD; FRBM 2003: FD 3%; N.K. Singh: debt anchor 60% (40 + 20)
- **Federalism**: Finance Commission (Art. 280, 275) versus schemes (Art. 282); CSS 147 → 30
- **Tax**: direct versus indirect, progressive versus regressive; narrow base; RNR, Laffer, elasticity, buoyancy

Word	Meaning
Budget	the annual plan of the government's money, laid before Parliament
Revenue account	the day-to-day running money: receipts and expenses that touch no asset or liability
Capital account	money that builds or sells assets, or creates or repays debt
Fiscal deficit	the gap between all spending and all receipts except borrowing: it equals the year's borrowing
Debt	the stock of all past unpaid deficits; deficit is the yearly flow
Monetisation	RBI printing money to fund the government's deficit
Devolution	the Centre's tax money handed to the States by formula
Buoyancy	how fast tax collections grow when the economy grows, without any rate change

📘 READ NCERT FIRST: WHERE EACH NCERT PART FITS THIS CHAPTER

NCERT part	Handout section	What it adds
Ch 5 §5.1 Budget: meaning; Article 112	1	Financial year; why two accounts; mixed economy
Ch 5 §5.1.1 Objectives: allocation, redistribution, stabilisation	2	Public goods test; provision versus production; NCERT's three functions

MY NOTES

NCERT part	Handout section	What it adds
Ch 5 §5.1.2-5.1.3 Receipts, expenditure; Chart 1	3, 7	NCERT's four definitions; the budget tree; subsidies; disinvestment (with Class XI)
Ch 5 §5.2 Balanced, surplus, deficit; Debt	4, 6	Financing a deficit; inflation and crowding out; debt burden; Ricardian equivalence
Ch 5 Box 5.1 Fiscal policy; Examples 5.1-5.3	4, 5	Multipliers; proportional tax; transfers; automatic stabilisers
Ch 5 §5.2.1 Measures of deficit; Table 5.1	5, 8	Deficits worked on real numbers; second form of FD
Ch 5 Box 5.2 FRBMA 2003	5	Eight features; three statements; States; review committee
Ch 5 Box 5.3 GST	10 (and Chapter 11)	Date, rates, kept out
Class XI Ch 3 Tax reforms; Reforms and fiscal policies	9, 11	Why income tax rates were cut; did revenue rise
Class XI Ch 2 Planning; Box 2.3	12	Mahalanobis; licensing; import substitution

1 · WHY THE STATE EXISTS, AND WHY IT MUST PRESENT A BUDGET

🧠 **UNDERSTAND IT FIRST**

Picture a village committee that collects money from everyone and spends it for all. Before it can do so, it must tell people the plan (transparency) and get their permission (assent). The statement of expected receipts and spending is the budget. Only the directly elected Lok Sabha votes on demands for grants: no taxation without representation. The government exists only as long as it is trusted.

MY NOTES

✏ EXAMPLE

The handout's line: the budget "is not just a spreadsheet; it is the annual renewal of the social contract". Art. 112 gives the statement; Art. 113(2) lets the Lok Sabha assent, refuse, or assent with a reduction.

- **The State** is an artificial entity created by the people to provide goods the market cannot (defence, legal systems, clean air). Its **authority** is the right to collect taxes
- Its **responsibility** is to spend for the people
- **Accounting** records the past
- **Budgeting is accounting for the future.** A government cannot be "shocked" or "unprepared", so it must account and budget
- **Article 112 (Annual Financial Statement, AFS):** the President causes a statement of **estimated** receipts and expenditure to be laid before both Houses every financial year. It must show separately the expenditure **charged on the Consolidated Fund** and other expenditure, and **distinguish revenue-account expenditure from other expenditure.**
- **Doctrine of Public Trust:** the government exists only as long as it has legitimacy. Two building blocks of trust: **transparency** (Art. 112) and **permission** (Art. 113).
- **Article 113(2):** the Lok Sabha may assent, refuse, or assent subject to a **reduction** of any demand for grants. This is "no taxation without representation", which is why only the directly elected House votes on the budget.

HANDOUT LINE

The budget "is not just a spreadsheet; it is the annual renewal of the social contract and the ultimate document of public trust."

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, §5.1 GOVERNMENT BUDGET: MEANING

In plain words: The handout explained why the budget exists. NCERT gives the plain facts: the Article, the financial year, and why there are two accounts.

Link to the handout: Handout section 1: Art. 112 and the Annual Financial Statement. NCERT adds the financial year and the reason for two accounts, which prepares section 3.

MY NOTES

Step 1 What the budget document is (NCERT)

- Article 112 requires a statement of estimated receipts and expenditures of the government for every financial year to be presented before Parliament.
- The financial year runs from 1 April to 31 March.
- This "Annual Financial Statement" is the main budget document.

Step 2 Why two accounts

- The budget relates to one financial year, but its impact is felt in later years.
- So there are two accounts: items that relate to the current year only go into the **revenue account** (revenue budget); items that concern the assets and liabilities of the government go into the **capital account** (capital budget).

Step 3 Two more NCERT ideas

- Mixed economy: an economy with both the private sector and the Government.
- Since the Five-Year Plans began, the budget has also become "a significant national policy statement".

⭐ **REMEMBER**

Trust has two blocks: transparency (Art. 112) and permission (Art. 113).

2 · BUDGET FUNCTIONS AND OBJECTIVES

🧠 **UNDERSTAND IT FIRST**

The budget does three jobs. Taxes move money from those who can give more (equity). Spending buys what the market will not supply, such as defence and roads (efficiency). And the whole budget steers the economy: too much tax discourages growth, too much spending brings inflation (balance). The handout stresses that the way you reach these goals matters more than the goals.

✏ **EXAMPLE**

The handout's three rows: Taxation (distribution) → Equity; Expenditure (allocation) → Efficiency; Stabilisation (macro steering) → Balance. Total Receipts include even the money borrowed that year.

MY NOTES

📐 Formulas of this section

TOTAL RECEIPTS
TR = RR + CR
CR = debt and non-debt capital receipts; includes money borrowed that year

THREE FUNCTIONS
tax → equity; spend → efficiency; stabilise → balance

The **Budget Division (Department of Economic Affairs, Ministry of Finance)** prepares the documents. The slides and handout agree on three functions:

Three functions

Function	Objective	Meaning
Taxation (distribution)	**Equity**	Collect more from those who can give more; the budget is the tool of redistribution
Expenditure (allocation)	**Efficiency**	Provide public goods (non-rivalrous consumption); prioritise defence, infrastructure and health over populist freebies
Stabilisation (macro steering)	Balance	Maximising tax discourages growth; maximising spending causes inflation. Aim: desirable inflation, growth, lower unemployment, balanced regional development, exports, technology

The slides add: "these objectives themselves are not as important as the ways to achieve them. Budget is an exercise in which every government presents its vision and strategy."

TOTAL RECEIPTS (HANDOUT ASIDE)
Total Receipts (TR) include even the money **borrowed** that year. **TR = RR + CR,** where CR is debt and non-debt capital receipts.

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, §5.1.1 OBJECTIVES OF GOVERNMENT BUDGET

In plain words: A public good is something you cannot easily charge for, and one person using it does not use it up for others. Think of a street light. That is why the market will not supply it and the government must. NCERT's test has two questions.

Link to the handout: Handout section 2: "Expenditure (allocation): provide public goods (non-rivalrous consumption)". NCERT supplies the full test and the second property, non-excludable.

Step 1 Two questions that separate public from private goods

- Non-paying users of a public good are called **free-riders**. People will not voluntarily pay for what they get free, so the

MY NOTES

link between producer and consumer through payment is broken and the government must step in.

Question	Private good	Public good
Rivalrous? Does my use reduce yours?	Yes (chocolate, a shirt): my consumption is in rival relationship to yours	No (public park, measures to reduce air pollution): the benefit is available to all
Excludable? Can non-payers be kept out?	Yes (no ticket, no film)	No feasible way: non-excludable

Step 2 Provision versus production

- **Public provision**: financed through the budget and used without any direct payment.
- **Public production**: goods produced directly by the government.
- Public goods may be produced by the government or the private sector; provision is what makes them public.

Step 3 NCERT's three functions of the budget, in its own words

Function	What it means in NCERT	Handout's name for it
Allocation	Provide goods the market cannot (national defence, roads, government administration)	Expenditure → efficiency
Redistribution	National income goes to private income (firms and households) or public income. Of private income, what reaches households is personal income; what can be spent is personal disposable income. The government changes it by taxes and transfers to reach a distribution society thinks "fair"	Taxation (distribution) → equity
Stabilisation	Correct fluctuations in income and employment. If demand is too low, raise it; if demand exceeds output and brings inflation, restrain it. Either way is the stabilisation function	Stabilisation → balance

NCERT differs: NCERT's "redistribution" works through taxes **and** transfers (spending). The handout puts all redistribution under taxation. Use the handout's three rows, and know NCERT's names. (*handout/teacher wins in class*)

MY NOTES

⭐ **REMEMBER**

Tax = equity, spend = efficiency, steer = balance.

3 · ACCOUNTING IN THE BUDGET: REVENUE AND CAPITAL ACCOUNTS

🧠 **UNDERSTAND IT FIRST**

Picture two ledgers. The running ledger asks: do rightful receipts cover core running costs? The asset ledger records anything that changes what the government owns or owes. The test is simple: if a transaction changes an asset or a liability, it is Capital. If it leaves them untouched, it is Revenue. So salaries, pensions and interest are Revenue; roads, jets and repaying principal are Capital. A transfer to a State is Revenue for the Centre even if the State builds a road.

✏ **EXAMPLE**

The handout's four entries: Revenue Receipts (taxes, fines, dividends), Revenue Expenditure (salaries, subsidies, interest), Capital Receipts (G-Secs, disinvestment, recovery of loans), Capital Expenditure (highways, loans to States, repayment of principal). Defence: ammunition and rations are Revenue; fighter jets are Capital.

📐 Formulas of this section

ASSET-LIABILITY TEST

changes assets or liabilities → Capital; leaves them untouched → Revenue

the rest is Revenue by default

CAPITAL EXPENDITURE

assets ↑, liabilities ↓ (or no rise)

roads, jets, loans to States, repaying principal

CAPITAL RECEIPTS

assets ↓, liabilities ↑

G-Secs, disinvestment, recovery of loans

INTEREST AND PRINCIPAL

interest = Revenue Expenditure; repaying principal = Capital Expenditure

- **Slides:** Revenue Account Budget and Capital Account Budget. **Plan and Non-Plan budget abolished since 2017** after the **Rangarajan committee (2012)** (slide only). **Railway budget merged** with the general budget. Date of presentation **preponed to 1 February.**

MY NOTES

- The Constitution only says to distinguish revenue expenditure from "other". Over time "other" became the **Capital Account,** and receipts are classified the same way.
- **Why separate revenue?** To test whether the government is **viable day to day:** do its rightful receipts cover its core running costs?
- **The problem:** "core" is subjective (defence yes; free grain for 75% or 30% of people debatable; running an airline or steel plant?). The Supreme Court is quoted: the capital-revenue distinction is **"describable but not strictly definable."**

> **THE SOLUTION: THE ASSET-LIABILITY TEST**
> Define **Capital** strictly; whatever does not fit is Revenue. If a transaction **changes the government's assets or liabilities,** it is **Capital Account.** If it leaves them untouched, it is **Revenue Account.** The handout compares this with the BoP, where the capital account was defined and the rest became current.

Ledger effects

Entry	Assets	Liabilities
Capital Expenditure	↑	↓ (or no rise)
Capital Receipts	↓	↑

The four entries

Entry	Meaning	Examples (handout)
Revenue Receipts (RR)	"Rightful" receipts, **non-redeemable;** no liability, no asset sold	**Tax:** Income tax, corporate tax, GST, customs. **Non-tax:** fines, fees, **PSU dividends, interest received on loans** previously given, **grants from foreign nations**
Revenue Expenditure (RE)	**Maintenance** expenses; creates no asset and reduces no liability	Salaries, pensions, office expenses, **subsidies, interest payments**
Capital Receipts (CR)	Money that **creates a liability or reduces an asset**	**Debt-creating:** G-Secs, T-Bills, sovereign bonds, foreign loans. **Non-debt: disinvestment** (e.g. Air India, LIC), **recovery of loans** advanced to States
Capital Expenditure (CE)	Creates an asset or reduces a liability	**Physical:** highways, ports, hospitals, fighter jets. **Financial:** loans to States or foreign nations, equity into a PSU. **Liability-reducing:** repayment of **principal**

- **Interest is Revenue Expenditure**
- **Repaying principal is Capital Expenditure.**

MY NOTES

- **The Defence rule:**
  - Routine defence maintenance (salaries, rations, ammunition) is Revenue Expenditure
  - Purchase of fighter jets and carriers is Capital
- **Any transfer by the Centre to a State (except a loan) is Revenue Expenditure,** even if the State builds a highway with it, because no asset is created for the Centre. This leads to the **Effective Revenue Deficit** (section 5).

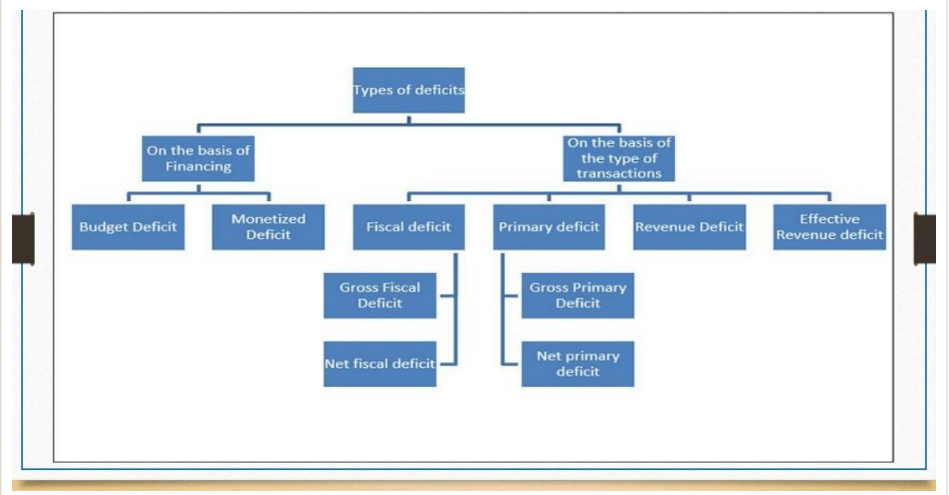


Figure. Slide 13: "Types of deficits." On the basis of financing: Budget Deficit and Monetized Deficit. On the basis of the type of transactions: Fiscal Deficit (Gross and Net), Primary Deficit (Gross and Net), Revenue Deficit and Effective Revenue Deficit.

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, §5.1.2-5.1.3 RECEIPTS AND EXPENDITURE; CHART 1

In plain words: NCERT draws the whole budget as a tree. Read the tree first; it shows where each item sits. Then read the short NCERT definitions: they match the handout's asset-liability test.

Link to the handout: Handout section 3: revenue and capital accounts. NCERT uses the "liability or asset" idea in the same words.

MY NOTES

Step 1 The tree of the budget (original NCERT chart)

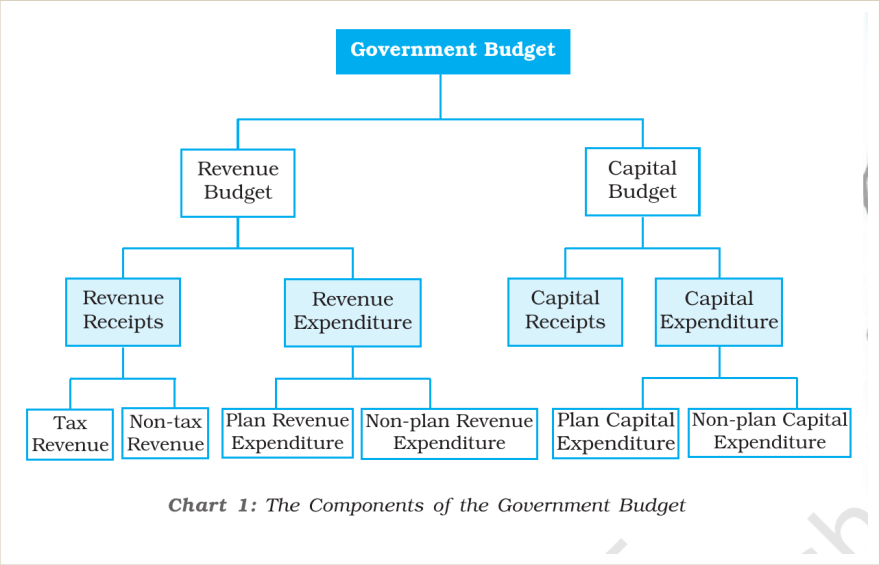


Chart 1: The Components of the Government Budget

NCERT Chart 1: The Components of the Government Budget (revenue and capital budget, each split into receipts and expenditure; plan and non-plan are shown in the NCERT chart)

Step 2 NCERT's definitions of the four entries

Entry	NCERT's definition	NCERT's examples
Revenue receipts	Receipts that do not lead to a claim on the government: **non-redeemable**. Tax revenue and non-tax revenue	Non-tax: interest receipts on loans by the Centre; dividends and profits on investments; fees and other receipts for services; cash grants-in-aid from foreign countries and international organisations
Capital receipts	Receipts that create liability or reduce financial assets. Debt creating or non-debt creating	Fresh loans (must be returned, interest must be paid); sale of assets such as PSU shares (PSU disinvestment); recovery of loans
Revenue expenditure	Expenditure for purposes other than creating physical or financial assets of the Centre	Running of departments and services; interest payments; grants to State governments and other parties (even though some of the grants may be meant for creation of assets)
Capital expenditure	Expenditure that creates physical or financial assets or reduces financial liabilities	Land, building, machinery, equipment; investment in shares; loans and advances to States, Union territories, PSUs and other parties

MY NOTES

Step 3 Why a sale of an asset is a capital receipt (NCERT's reasoning)

- A fresh loan means the money must be returned later and interest paid later.
- Selling an asset means the earnings from that asset will disappear in future.
- That is why both are capital receipts, one debt-creating, the other non-debt-creating.

NCERT differs: NCERT's chart and text divide revenue and capital expenditure into **plan** and **non-plan**. The handout says the Plan and Non-Plan split was abolished since 2017. Treat NCERT's plan/non-plan items as the old classification. *(handout/teacher wins in class)*

NCERT differs: NCERT's text says the plan/non-plan split is "shown in item 6 on Table 5.1"; in the printed table it sits under item 7 (Total Expenditure). A numbering slip in NCERT. *(handout/teacher wins in class)*

MY NOTES

📘 **FROM NCERT · CLASS XII MACROECONOMICS CH 5, §5.1.2 PSU DISINVESTMENT; CLASS XI CH 3 §3.4 PRIVATISATION**

In plain words: Disinvestment is selling part of a government company to the public. It is the example the handout gives of a non-debt capital receipt (Air India, LIC).

Link to the handout: Handout section 3: "non-debt: disinvestment (e.g. Air India, LIC)".

What the two NCERT books say

Point	NCERT
Meaning (Class XI)	Privatisation of public sector enterprises by selling off part of their equity to the public is known as **disinvestment**
Purpose (Class XI, as the government says)	Mainly to improve financial discipline and facilitate modernisation; also that private capital and managerial skill could improve performance
Effect on accounts (Class XII)	Sale of PSU shares reduces the total financial assets of the government: a capital receipt, non-debt creating
Criticism (Class XI)	Assets of PSEs have been undervalued and sold; proceeds are used to offset the shortage of government revenues rather than to develop PSEs or build social infrastructure

⭐ **REMEMBER**

Asset or liability changes → Capital. Untouched → Revenue.

4 · DEFICIT VERSUS DEBT, BUDGET DEFICIT, MONETISATION AND WMA

🧠 **UNDERSTAND IT FIRST**

Deficit is how much you overspent this year (a flow). Debt is the pile of all the unpaid overspending so far (a stock). A Budget Deficit meant spending beyond all receipts, and the gap was filled by RBI printing money. That is a disaster: RBI loses independence, the note loses trust, prices rise. So in 1997 the government agreed not to show a Budget Deficit, and RBI only gives short-term WMA loans for timing gaps. Borrowing is not evil in itself because spending has a multiplier, but it needs limits.

MY NOTES

✏ EXAMPLE

The handout's examples: CADP announced canals the budget could not fund, so AIBP was launched in 1996 to finish them; Oil Bonds (2005-2012) pushed the cost of cheap petrol onto later taxpayers. WMA: Normal (unsecured overdraft) and Special (needs G-Secs or T-Bills).

📐 Formulas of this section

BUDGET DEFICIT

BD = TE − TR

ended in practice by WMA 1997

DEFICIT VERSUS DEBT

deficit = flow (one year); debt = stock (all unpaid deficits)

AGGREGATE DEMAND

AD = C + G + I + X − M

a rise in G raises C and then I, so AD rises by more (multiplier)

- **Deficit** is a **flow:** excess of expenses over receipts in a year. **Debt** is a **stock:** the accumulation of all unpaid past deficits.
- **Budget Deficit (BD) = Total Expenditure − Total Receipts.** TE is the government's **intentions**
- TR its **capabilities.** A habitual BD admits it cannot keep its promises: the budget becomes "political theatricality" and public trust is shattered
- **CADP / AIBP paradox:** the **Command Area Development Programme (1974)** announced canals the budget could not fund, so in **1996** the **Accelerated Irrigation Benefit Programme (AIBP)** was launched to complete the old scheme.
- **Monetised Deficit:** the part of BD financed directly by **RBI printing money** against government bonds.

Why monetisation is catastrophic

Consequence	Explanation
Loss of central bank independence	RBI becomes the government's printing press and cannot control money supply
Destruction of currency integrity	RBI's balance sheet fills with bonds of a heavily indebted government; trust in the note collapses; runaway inflation
Inflation	Excess money. **Excess-money inflation is controllable; inflation from permanent loss of trust is structural**

MY NOTES

WMA (1997): ENDING THE DEFICIT HABIT

- In **1997** RBI and the government entered agreements that effectively **abolished BD and monetisation**
- the most important was the **Ways and Means Advances (WMA) Agreement.** The government **promised not to present a BD.**
- RBI in return helps with **temporary liquidity mismatch** (expenses are daily, receipts periodic). Two loans, to the Centre and States:

WMA

Type	Feature
Normal WMA	Short-term, **unsecured overdraft** based on the government's minimum balance
Special WMA	Beyond the Normal limit; needs **collateral** (G-Secs or T-Bills)

RBI and governments (Centre and States) meet **before each budget** to decide the amount and manner of WMA. These loans are strictly **short term.**

MARKET DISCIPLINE FAILS

- After WMA the logic was that the market would punish indiscipline by refusing to lend or charging high rates. **It failed:** the government that borrows is not the one that repays. Milton Friedman's image: spending is like alcohol, the good effects come immediately and the hangover (inflation) later
- Discipline is withdrawal
- **Inter-generational inequity:**
  - The present generation enjoys the benefit, the **children repay,** and the future loses the ability to borrow in need. **Example: Oil Bonds (2005-2012):** with crude prices high, the government issued bonds to oil marketing companies instead of raising petrol prices
  - Today's taxpayers pay the interest and were told lower oil prices could not be passed on because of the old debt
- **Intra-generational inequity:** heavy borrowing causes **crowding out** (less money for the private sector, higher interest rates for everyone), and the resulting **inflation hurts the poor** (Engel's law, Chapter 6).
- **Debt is not bad by itself:** government spending has a **multiplier** (AD = C + G + I + X − M; a rise in G raises C and then I, so AD rises by more). But borrowing must stay within sustainable limits or the result is **recession with very high inflation.**

📘 **FROM NCERT · CLASS XII MACROECONOMICS CH 5, §5.2 AND DEBT; CLASS XI GLOSSARY**

MY NOTES

In plain words: A budget deficit is simply spending more than you collect. NCERT lists the three ways to pay for it and explains why printing money is the dangerous one.

Link to the handout: Handout section 4: Budget Deficit, monetisation, WMA 1997. NCERT confirms the 1997 date and adds the FRBM rule on RBI borrowing.

Step 1 Balanced, surplus, deficit

- **Balanced budget**: spending equals the revenue collected (glossary: taxes equal government spending).
- **Surplus**: tax collection exceeds the expenditure required.
- **Deficit**: expenditure exceeds revenue: the most common case.
- More formally, a budget deficit is the excess of total expenditure (revenue and capital) over total receipts (revenue and capital).

Step 2 Three ways to finance a deficit (NCERT)

- Taxation, borrowing, or printing money.
- Governments have mostly relied on **borrowing**, which gives rise to government debt.
- Glossary: financing a deficit by borrowing from the central bank increases the money supply and may result in inflation.

Step 3 The two rules NCERT records

- From the 1997-98 budget, the practice of showing a budget deficit has been discontinued in India.
- FRBM Act: the Centre shall not borrow from the RBI except by way of advances to meet a temporary excess of cash disbursements over cash receipts.
- FRBM Act: the RBI must not subscribe to the primary issues of central government securities from the year 2006-07.

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, OTHER PERSPECTIVES ON DEFICITS AND DEBT

In plain words: Two worries about deficits: do they push prices up, and do they squeeze out private borrowers? NCERT answers "it depends on whether resources are idle". The handout states both worries; this is the other side.

Link to the handout: Handout "Market discipline fails": crowding out and inflation hurting the poor.

MY NOTES

Step 1 Are deficits inflationary?

View	NCERT's reasoning
Yes	More spending or lower taxes raises aggregate demand. Firms may not be able to produce more at the going prices, so prices rise
Not neces-sarily	If there are unutilised resources, output is held back by lack of demand. A high fiscal deficit brings higher demand and greater output and need not be inflation-ary

Step 2 Crowding out

- If the government borrows from citizens by issuing bonds, these compete with corporate bonds for the available savings. Some private borrowers get "crowded out".
- Counter-argument: the flow of savings is not fixed. If deficits succeed in raising production, there is more income and more saving, so both government and industry can borrow more.

📘 **FROM NCERT · CLASS XII MACROECONOMICS CH 5, BOX 5.1 FISCAL POLICY; CH 4 §4.3 (MULTIPLIER)**

In plain words: The handout says government spending has a multiplier: a rupee spent raises income by more than a rupee. NCERT shows exactly how much, and why a tax cut works less strongly than the same amount of spending. Do the sums slowly; each is one line.

Link to the handout: Handout section 4: "AD = C + G + I + X − M; a rise in G raises C and then I, so AD rises by more". NCERT's version leaves out X and M (closed economy) and uses c, the marginal propensity to consume (mpc).

Step 1 Put the government into the model (NCERT)

- Taxes (T) do not depend on income (lump-sum). Transfers (TR) are a fixed amount. Disposable income = Y − T + TR.
- Aggregate demand with government: AD = C + c(Y − T + TR) + I + G. Equilibrium is where Y = AD.
- A lump-sum tax shifts the consumption schedule down in a parallel way, so AD shifts down by the same.
- Class XII Ch 4 gives the same idea: G adds to aggregate demand; taxes take part of income away, so households' disposable income is Y − T.

EQUILIBRIUM INCOME

$$Y^* = [1/(1 - c)] \times (C - cT + cTR + I + G)$$

C, T, TR, I, G are fixed amounts

MY NOTES

Step 2 The three multipliers

- Why is the tax multiplier smaller (in absolute value)? Government spending directly adds to total spending. A tax cut only adds to disposable income, and households spend just a fraction c of it, so consumption rises first by $c\Delta T$.
- NCERT's rule: the tax multiplier is always one less in absolute value than the government expenditure multiplier.

GOVERNMENT SPENDING MULTIPLIER
$$\Delta Y/\Delta G = 1/(1 - c)$$
Eq. 5.6

TAX MULTIPLIER
$$\Delta Y/\Delta T = -c/(1 - c)$$
Eq. 5.8: negative

TRANSFER MULTIPLIER
$$\Delta Y/\Delta TR = c/(1 - c)$$
Eq. 5.22

BALANCED BUDGET MULTIPLIER
$$1/(1 - c) + (-c)/(1 - c) = 1$$
Eq. 5.9: G and T rise by the same amount

Step 3 Worked example 5.1 (mpc = 0.8)

- NCERT's picture: the increase in G raises income by 100 directly and then through the chain $\Delta G + c\Delta G + c^2\Delta G + \ldots$ The tax increase enters only when the cut in disposable income lowers consumption by c times the tax.

Change	Multiplier	Change in equilibrium income
Government spending up by 100	1/(1 − 0.8) = 5	5 × 100 = 500
Tax cut of 100 (ΔT = −100)	−0.8/(1 − 0.8) = −4	+400 (less than the 500)
Balanced budget: G up by 100 and T up by 100	Net	500 − 400 = 100: income rises by just 100

MY NOTES

Step 4 The two NCERT graphs (original figures)

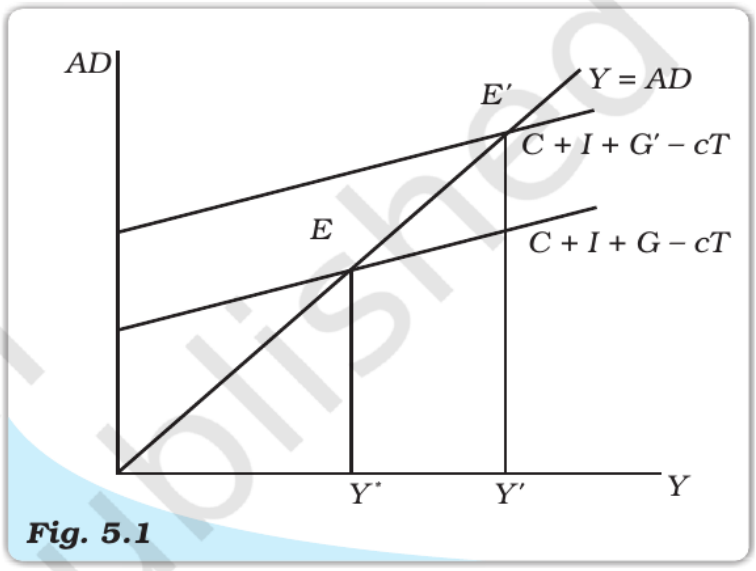


Fig. 5.1

Effect of Higher Government Expenditure

NCERT Fig. 5.1: Effect of Higher Government Expenditure (AD shifts up; equilibrium moves from E to E′, income from Y* to Y′)

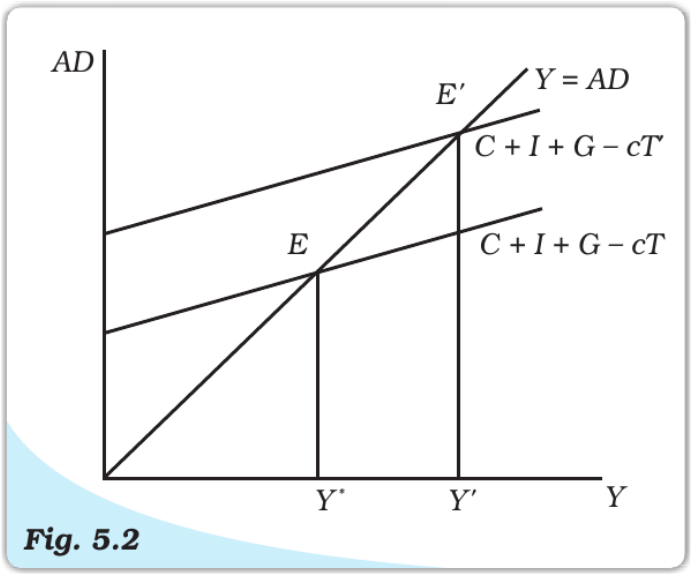


Fig. 5.2

Effect of a Reduction in Taxes

NCERT Fig. 5.2: Effect of a Reduction in Taxes (AD shifts up by a fraction c of the cut; income rises from Y* to Y′)

NCERT differs: Handout writes AD = C + G + I + X − M; NCERT's chapter on the budget uses the closed form without X and M. Use the handout's equation; the multiplier results

MY NOTES

above hold in the closed-economy case NCERT uses. *(handout/teacher wins in class)*

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, CASE OF PROPORTIONAL TAXES; TRANSFERS

In plain words: In real life the government taxes a fraction of income, not a fixed amount. Then every extra rupee of income leaves less to spend, so the chain of spending dies faster and the multiplier falls.

Link to the handout: Handout section 4 says "spending has a multiplier". This box shows how the multiplier shrinks when taxes rise with income, and how a transfer works.

Step 1 Proportional tax: T = tY

- The AD schedule becomes **flatter**, with a larger intercept.

CONSUMPTION

$$C = C + c(1 - t)Y + c \cdot TR$$

mpc out of income becomes c(1 − t)

MULTIPLIER WITH PROPORTIONAL TAX

$$\Delta Y/\Delta A = 1/[1 - c(1 - t)]$$

Eq. 5.18: smaller than 1/(1 − c)

Step 2 Worked example 5.2 (c = 0.8, t = 0.25)

Step	Working	Result
Consumption rises per unit of income by	c(1 − t) = 0.8 × 0.75	0.60 (earlier 0.80)
Multiplier	1/(1 − 0.6) = 1/0.4	2.5 (smaller than 5)
Government spending up by 100	2.5 × 100	250 (smaller than 500)

Step 3 Transfers: worked example 5.3 (c = 0.75, lump-sum taxes)

Change	Working	Change in income
Government purchases up by 20	[1/(1 − 0.75)] × 20 = 4 × 20	80
Transfers up by 20	[0.75/(1 − 0.75)] × 20 = 3 × 20	60 (less: a part of a transfer is saved)

Step 4 Taxes and transfers as a lever

- A tax cut works like a rise in the propensity to consume: AD shifts up.

MY NOTES

- Transfers raise autonomous spending by c × ΔTR only, so output rises by less than with spending on goods and services.

⭐ **REMEMBER**

Deficit = flow, debt = stock. Monetisation kills trust; WMA only bridges timing.

5 · THE FRBM ACT AND THE FAMILY OF DEFICITS

🧠 **UNDERSTAND IT FIRST**

Think of one bank statement read four ways. Fiscal deficit: how much did we borrow this year? Primary deficit: how much of that is the current government's own shortfall, leaving out interest on old debt? Revenue deficit: are we borrowing just to run the office? Effective revenue deficit: some of the Centre's revenue spending (grants to States) actually builds assets, so subtract it. FRBM tried to bind Parliament's own hands; the deadlines kept slipping, and N.K. Singh moved the anchor to debt.

✏ **EXAMPLE**

The handout's Budget 2026-27 numbers (₹ crore): FD 16,95,768 (4.3%), RD 5,92,344 (1.5%), ERD 99,642 (0.3%), PD 2,91,796 (0.7%). FRBM story: target 3%, actual 2.5% in 2007-08, then 6.0% and 6.5% after the crisis.

MY NOTES

Formulas of this section

FISCAL DEFICIT
FD = TE − NDR = Debt CR = borrowing
NDR = RR + non-debt capital receipts

DERIVATION
BD = 0 → TR = TE → RR + Debt CR + NDCR = TE
so Debt CR = TE − (RR + NDCR)

NET FD
NFD = GFD − lending to States and PSUs
borrowing for the government's own use

PRIMARY DEFICIT
PD = FD − interest payments
interest is the largest non-discretionary item

REVENUE DEFICIT
RD = RE − RR
borrowing just to run the government

EFFECTIVE RD
ERD = RD − A
A = grants for creation of capital assets

DEBT ANCHOR
General Government Debt 60% of GDP = Centre 40% + States 20%
N.K. Singh (2016)

FRBM 2003
FD ≤ 3% of GDP; eliminate RD; 3 statements
MFS, MTFP and Fiscal Policy Strategy

FRBM ACT, 2003

- Parliament legally bound its own hands. Original requirements:
  - **(1) keep Fiscal Deficit within 3% of GDP, within 5 years**
  - **(2) eliminate Revenue Deficit, within 5 years**
  - **(3) present three statements** with the budget:
  - **Macro-Economic Framework Statement:** growth prospects, GDP estimates, external sector balance
  - **Medium-Term Fiscal Policy (MTFP) Statement: three-year rolling targets** for Fiscal Deficit, Revenue Deficit and Debt
  - **Fiscal Policy Strategy Statement:** strategic priorities, taxation and expenditure policy, justification for major deviations
- Together these are the **"fiscal consolidation roadmap".** The deadlines were missed, the Act was amended repeatedly, and its credibility fell.

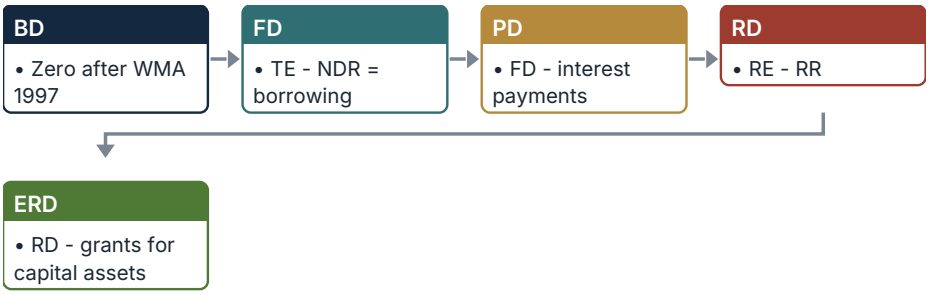
MY NOTES

THE DEFICITS

Definitions

Deficit	Formula or meaning	Handout point
Fiscal Deficit (FD)	**TE – Non-Debt Receipts (NDR)** = Debt CR = **borrowing in the year**	Derivation: since BD = 0 after WMA, TR = TE, so RR + Debt CR + Non-Debt CR = TE, hence Debt CR = TE − (RR + NDCR)
Gross FD (GFD)	TE − NDR: actual borrowing	
Net FD (NFD)	GFD less the government's **lending** to States and PSUs	Shows how much the government borrows for **its own use**
Primary Deficit (PD)	**FD – interest payments**	Interest is the largest, non-discretionary item (all past debt); removing it shows the current government's own shortfall. Gross and Net versions exist
Revenue Deficit (RD)	**RE – RR**	Government is borrowing just to run itself: "the hallmark of an unsustainable State"; FRBM targeted its elimination
Effective Revenue Deficit (ERD)	RD − grants for creation of capital assets (A)	Transfers to States are RE of the Centre but may build assets (CSS: village roads, hospitals, irrigation, power). Add A to CE for **Effective Capital Expenditure;** deduct A from RE for **Effective RE**

HOW THE DEFICITS BUILD ON EACH OTHER



THE GLIDE PATH AND THE AMENDMENTS

FRBM glide path (handout table)

Year	FRBM FD target	Actual FD	Reason
2003-04	Baseline	4.5%	Pre-FRBM baseline
2004-05	~4.2%	4.0%	Strong tax buoyancy
2005-06	~3.9%	4.1%	Slight slip
2006-07	~3.6%	3.5%	GDP growth above 9%

MY NOTES

Year	FRBM FD target	Actual FD	Reason
2007-08	3.0%	**2.5%**	Overachieved; corporate tax collections
2008-09	2.5% (budgeted)	**6.0%**	Global Financial Crisis, 6th Pay Commission, ₹71,000 crore farm loan waiver, oil bonds
2009-10	3.0%	**6.5%**	Stimulus: excise cuts, high expenditure

Amendments

Year	Change
2004	Sunset date for targets pushed from **2008 to 2009**
2012	**ERD introduced;** deadline pushed to **2015**
2015	Deadlines pushed again to **2018**
2018	Act **overhauled** on N.K. Singh Committee lines. **RD and ERD targets scrapped;** FD target pushed to **3% by 2021**

HANDOUT ALERT

The glide-path table lists a **2008-09 FRBM target of "2.5% (budgeted)"** next to a 2007-08 target of 3.0%, and the amendment list says targets were suspended in 2009. The handout does not explain the 2.5% figure. **Exam-hall rule:** remember the story (3% target, 2.5% in 2007-08, 6.0% and 6.5% after the crisis), not the intermediate targets.

N.K. SINGH COMMITTEE (2016)

The original escape clause ("extraordinary circumstances") was vague; the government suspended the Act in 2009. The Committee recommended:

- **1. Debt as the primary anchor,** deficit as the operational target. A ceiling for **General Government Debt at 60% of GDP (Centre 40%, States 20%).**
- **2. Objective escape clauses:**
  - (a) national security or act of war
  - (b) national calamity
  - (c) collapse of agriculture severely affecting farm output and incomes
  - (d) structural reforms with unanticipated fiscal implications
  - (e) a quarterly **fall in real output growth of at least three percentage points below its average of the previous four quarters.**
- **3. Counter-cyclical fiscal policy:** save in booms to have room to borrow and spend in recessions.

MY NOTES

Pro-cyclical reality versus counter-cyclical policy

Parameter	High growth phase	Low growth phase
Ability to borrow and resources (taxes)	High	Low
Need to spend	Low (economy doing well)	High (e.g. high unemployment)
Actual spending (pro-cyclical reality)	High, because ability is high	High but relatively less, through unsustainable borrowing; expenditure is rigid downwards

ECONOMIC SURVEY BOX (QUOTED IN THE HANDOUT)

Counter-cyclical policy is contractionary in good times and expansionary in bad times; pro-cyclical policy reinforces the cycle. "Indian Kings used to build palaces during famines and droughts to provide employment."

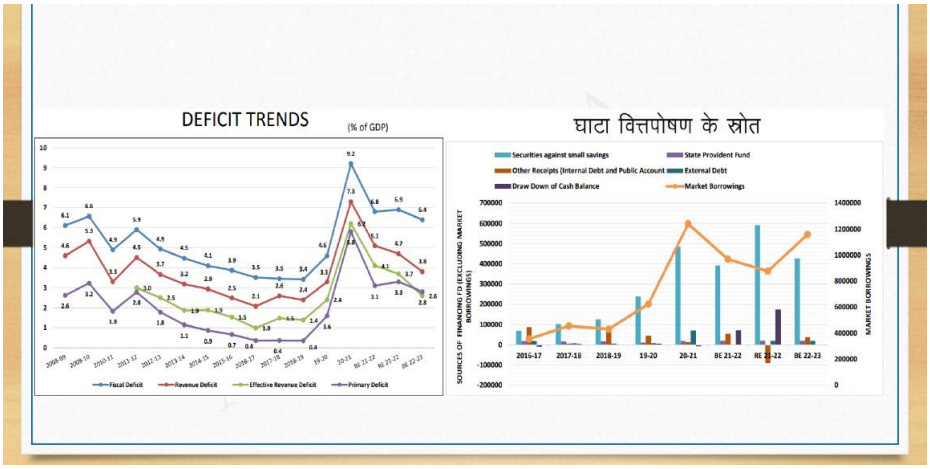


Figure. Slide 14: deficit trends (% of GDP) for Fiscal, Revenue, Effective Revenue and Primary Deficit, with the sources of financing the deficit (market borrowings, securities against small savings, State Provident Fund, draw-down of cash balance and others).

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, §5.2.1 MEASURES OF GOVERNMENT DEFICIT; TABLE 5.1

In plain words: The four deficits are four subtractions on one table. NCERT shows them on real numbers. Follow the steps, one line each. All figures are as per cent of GDP, for the Centre in 2024-25 (P.A.).

Link to the handout: Handout section 5: FD, PD, RD. NCERT's three definitions are the same; NCERT also shows a second way to write FD (below).

MY NOTES

Step 1 Revenue deficit

- When there is a revenue deficit the government is **dissaving**: it uses up the savings of other sectors to finance part of its own consumption.
- It then has to borrow not only for investment but for consumption too. Debt and interest build up. Since most revenue expenditure is committed, the usual cut falls on productive capital or welfare spending: lower growth.

REVENUE DEFICIT (NCERT)

RD = revenue expenditure − revenue receipts

Table: 11.8 − 9.2 = 2.6

Step 2 Fiscal deficit: the table, line by line

Line in Table 5.1	Value (% of GDP)	How it comes
Revenue receipts (tax 7.9 + non-tax 1.4)	9.2	Printed
Non-debt creating capital receipts (recovery of loans 0.1 + other, mainly PSU disinvestment 0.1)	0.2	Printed lines; the sum 0.1 + 0.1 is arithmetic worked out here
Non-debt receipts	9.4	Revenue receipts + 0.1 + 0.1 (printed)
Total expenditure (revenue 11.8 + capital 3.2)	15.0	Worked out here: 11.8 + 3.2. NCERT prints "1.5" in this cell: a printing slip
Gross fiscal deficit = total expenditure − non-debt receipts	5.6	15.0 − 9.4 (arithmetic worked out here); equals borrowings and other liabilities 5.6

Step 3 Two more ways NCERT writes the fiscal deficit

- The fiscal deficit shows the **total borrowing requirement** from all sources; NCERT calls it a key variable for judging the health of the public sector.
- If revenue deficit is a large share of fiscal deficit, a large part of borrowing is going to consumption, not investment (NCERT Summary: the quality of expenditure is deteriorating).

MY NOTES

FINANCING SIDE

GFD = net borrowing at home + borrowing from RBI + borrowing from abroad

home borrowing: small savings (public) and banks through SLR

LINK TO REVENUE DEFICIT

FD = RD + capital expenditure − non-debt creating capital receipts

Table: 2.6 + 3.2 − 0.2 = 5.6 (arithmetic worked out here)

Step 4 Primary deficit

- Goal: to focus on **present** fiscal imbalance, since the borrowing requirement also contains interest on old debt.
- Table: 5.6 − 3.6 = 2.0 (arithmetic worked out here).

PRIMARY DEFICIT (NCERT)

GPD = GFD − net interest liabilities

net interest = interest payments − interest receipts on net domestic lending

NCERT differs: NCERT's table (2024-25, P.A.) shows FD 5.6, RD 2.6 and PD 2.0 (% of GDP). The handout's Budget at a Glance (Actuals 2024-25) shows FD 4.8, RD 1.7 and PD 1.4 (read from the handout's table image; worked out here by reading). The two sources disagree for the same year; use the handout's figures. (*handout/teacher wins in class*)

NCERT differs: NCERT's primary deficit uses "net" interest in the definition but the table subtracts the interest payments (line 2a). The handout subtracts interest payments. (*handout/teacher wins in class*)

NCERT differs: NCERT has no "effective revenue deficit" (the handout's ERD). (*handout/teacher wins in class*)

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, BOX 5.2 FRBMA 2003

In plain words: A law that binds every future government to deficit limits. NCERT lists the eight main features in its own words. The handout adds what later happened (amendments, N.K. Singh).

Link to the handout: Handout section 5: FRBM Act 2003, three statements, glide path. NCERT's features fill gaps: the yearly cuts, the escape grounds, RBI rules and the States.

MY NOTES

Step 1 The eight main features, in short

#	Feature (NCERT)	Handout link
1	Reduce fiscal deficit to not more than 3% of GDP and eliminate the revenue deficit by 31 March 2009; then build revenue surplus (footnote: rescheduled by one year to 2009-10)	Handout: FD 3%, eliminate RD
2	Cut fiscal deficit by 0.3% of GDP a year and revenue deficit by 0.5%; if tax revenue does not do it, cut expenditure	**New**: the yearly steps
3	Deficits may exceed targets only on grounds of national security, natural calamity or other exceptional grounds the Centre may specify	Handout: "escape clause vague"
4	The Centre shall not borrow from the RBI except as advances for a temporary cash mismatch	Handout: WMA
5	RBI must not subscribe to primary issues of central securities from 2006-07	**New**
6	Greater transparency in fiscal operations	
7	Three statements before Parliament with the Annual Financial Statement: Medium-term Fiscal Policy, Fiscal Policy Strategy, Macroeconomic Framework	Handout: same three
8	Quarterly review of receipts and expenditure placed before both Houses	**New**

Step 2 What each statement does (NCERT)

Statement	Job
Medium-term Fiscal Policy	Three-year rolling targets for fiscal indicators; checks if revenue expenditure can be financed by revenue receipts on a sustainable basis and how productively capital receipts, including market borrowings, are used
Fiscal Policy Strategy	Sets the priorities of the government in the fiscal area; examines current policies and justifies any deviation in important fiscal measures
Macroeconomic Framework	Assesses the prospects of the economy: GDP growth rate, fiscal balance of the Centre and external balance

Step 3 Background NCERT adds

- Enacted in August 2003; rules notified with effect from July 2004. The Act binds the Centre; 26 states have enacted fiscal responsibility legislation of their own.
- Fear expressed: welfare expenditure may get reduced to meet the targets.

MY NOTES

- The "FRBM Review Committee" (the handout's N.K. Singh Committee) was asked to revamp the framework: keep the basic 2003 design but fit changing conditions.
- Gender budgeting (footnote): a statement on the gender sensitivities of allocations was introduced in the 2005-06 Budget and enlarged in 2006-07.

NCERT differs: NCERT says the revenue deficit was to be eliminated by 31 March 2009 and then rescheduled to 2009-10. The handout says the sunset date was pushed from 2008 to 2009 in 2004 and the targets were suspended in 2009. For the exam use the handout's dates. (*handout/teacher wins in class*)

NCERT differs: NCERT's box still describes the 2003 Act. The handout says RD and ERD targets were scrapped in 2018. (*handout/teacher wins in class*)

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, FISCAL POLICY; AUTOMATIC STABILISERS; DEFICIT REDUCTION

In plain words: Counter-cyclical policy means spend more in a slump and save in a boom. Some of it happens by itself, without any minister deciding. NCERT calls these built-in shock absorbers. This is the plain-words basis for the handout's "counter-cyclical" point.

Link to the handout: Handout section 5: N.K. Singh's counter-cyclical fiscal policy and the pro-cyclical reality table.

Step 1 Two kinds of fiscal action

- The private sector has built-in stabilisers too: corporations keep dividends steady and households try to keep their living standards.
- Built-in stabilisers reduce only **part** of the fluctuation; the rest needs deliberate policy.

Kind	Meaning (NCERT)	Example
Automatic stabiliser	Works by itself, with no decision-maker taking action. Makes disposable income and consumption less sensitive to swings in GDP	Proportional income tax: when GDP rises, disposable income rises by less; in a recession it falls by less. Welfare transfers also stabilise: tax receipts rise in a boom, welfare payments sustain consumption in a slump

MY NOTES

Kind	Meaning (NCERT)	Example
Discretionary fiscal policy	Deliberate action to stabilise the economy	If investment falls from I0 to I1, raise government spending from G0 to G1 so that autonomous expenditure and equilibrium income stay the same

Step 2 A bigger deficit is not always a more expansionary policy

- In a recession GDP falls, so firms and households pay lower taxes and the deficit rises. In a boom the deficit falls. This happens even with no change in fiscal policy.
- So the same fiscal measures can give a large or small deficit depending on the state of the economy.

Step 3 Deficit reduction (NCERT)

- Ways: raise taxes or cut expenditure.
- India: more reliance on direct taxes (indirect taxes are regressive: they impact all income groups equally); sale of shares in PSUs; but the major thrust is a cut in government expenditure through better planning and administration.
- A Planning Commission study (Programme Evaluation Organisation) estimated that to transfer Re 1 to the poor, government spends Rs 3.65 as food subsidy, showing cash transfers would raise welfare.
- Another way: change the scope of government. But cutting vital areas (agriculture, education, health, poverty alleviation) would hurt the economy.

⭐ **REMEMBER**

FD = borrowing. PD takes out interest. RD = borrowing to run. ERD takes out asset grants.

🧠 **MEMORY AID · N.K. SINGH'S ESCAPE CLAUSES (ORDER IS FREE)**

SCARS

S Security or war (national)	**C** Calamity (national)
A Agriculture collapse	**R** Reforms with unforeseen fiscal cost
S Slowdown: quarterly real growth fall of 3 points	

Own memory aid (not from the handout): the rule is relaxed only when the economy carries real SCARS.

MY NOTES

6 · PUBLIC DEBT, OTHER LIABILITIES AND DEBT SUSTAINABILITY

🧠 **UNDERSTAND IT FIRST**

Total liabilities have two parts: borrowing that sits in the Consolidated Fund (public debt) and money held in trust in the Public Account (provident funds and the like). Public debt can be internal (owed at home) or external (owed to foreigners). The nation's external debt is bigger because it adds private borrowing abroad. Good debt management: cheap, long, rupee-based, home-sourced, and with the interest rate below the growth rate. If interest runs above growth, the debt ratio snowballs even with no new deficit.

✏ **EXAMPLE**

The handout's two scenarios: i = 6%, g = 10%, so (i − g) = −4%: the snowball melts the debt ratio. g = 4%, i = 7%, so +3%: even a zero primary deficit lets the ratio rise.

📐 Formulas of this section

TOTAL LIABILITIES

Total Liabilities = Public Debt + Other Liabilities

public debt in Consolidated Fund; other in Public Account

DEBT DYNAMICS

$\Delta d \approx (i - g) \times d(t-1) + p$

p = primary deficit % of GDP; (i − g) × d is the snowball

SUSTAINABILITY RULE

IR < GR

i = 6%, g = 10%: melts; i = 7%, g = 4%: trap

Total liabilities of the Government of India

Part	Where it sits	What it is
Public Debt	Consolidated Fund of India	Borrowed from the market to finance the Fiscal Deficit via **G-Secs and T-Bills;** a direct contractual obligation. **Sovereign debt** is the international term for this. Slides: **Internal Debt** (owed to residents) and **External Public Debt** (owed to non-residents: FIIs, foreign governments)
Other Liabilities	Public Account of India	Money held in the government's custody as banker or trustee, with interest and principal owed: **NSSF, Provident Funds, Pension Funds (NPS), Judicial Deposits.** Slides name the Public Provident Fund and NPS

Total Liabilities = Public Debt + Other Liabilities.

CRUCIAL TRAP (HANDOUT): PUBLIC DEBT VERSUS THE NATION'S DEBT

MY NOTES

Internal Public Debt: government borrowing within the country (banks, RBI, citizens).

External Public Debt: the government's borrowing from foreign entities (e.g. the World Bank).

External Debt of the Nation: much larger; **External Public Debt plus private-sector borrowing abroad** (e.g. **ECBs by corporates, NRI deposits**). "Do not confuse the debt of the Sovereign with the debt of the Nation." (Slides: ECBs are one large component.)

WHO MANAGES THE DEBT: RBI, PDMA AND PDMC

- RBI is the government's **debt manager** and also the **monetary authority.** The conflict: as monetary authority it fights inflation (raises the cost of money)
- As debt manager it wants the **cheapest loans.**
- The government has several times proposed an independent **Public Debt Management Agency (PDMA).** At present an interim **Public Debt Management Cell (PDMC)** exists within the Ministry of Finance for internal debt
- The transition is incomplete and RBI still plays a major role

FIVE PRINCIPLES OF DEBT MANAGEMENT

- **1. Minimise the cost of borrowing.**
- **2. Prefer domestic over external sources:**
  - Owed in rupees
  - Avoids geopolitical pressure
- **3. External debt in domestic currency** (FII purchase of rupee G-Secs, **Masala Bonds**). Dollar debt plus rupee depreciation can explode the burden (Sri Lanka, Latin America).
- **4. Elongate maturity** (10, 20 or 40 years), because short-term debt such as 91-day T-Bills creates **rollover risk.**
- **5. IR &lt**
- **GR:** the interest rate must stay below the growth rate of the economy

MEMORY AID · FIVE PRINCIPLES OF DEBT MANAGEMENT

M E D I C

A MEDIC keeps the nation's debt healthy.

M	Maturity: elongate it (10, 20 or 40 years)
E	External debt in domestic currency (Masala Bonds)
D	Domestic sources preferred over external
I	Interest rate below the growth rate (IR < GR)
C	Cost of borrowing: minimise it

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

MY NOTES

SLIDE 16: OBJECTIVES OF DEBT MANAGEMENT

Low cost; longer maturity; financed locally; external debt in domestic currency; ability to pay (relationship with growth: the **interest rate-growth rate differential**). N.K. Singh: **Debt:GDP 60% (40% Centre, 20% States).**

WHY IR < GR: THE DEBT DYNAMICS

Let **d** = debt/GDP, **i** = nominal interest rate, **g** = nominal GDP growth, **p** = primary deficit as % of GDP. Starting from FD = PD + interest and interest = i × last year's debt, the handout derives:

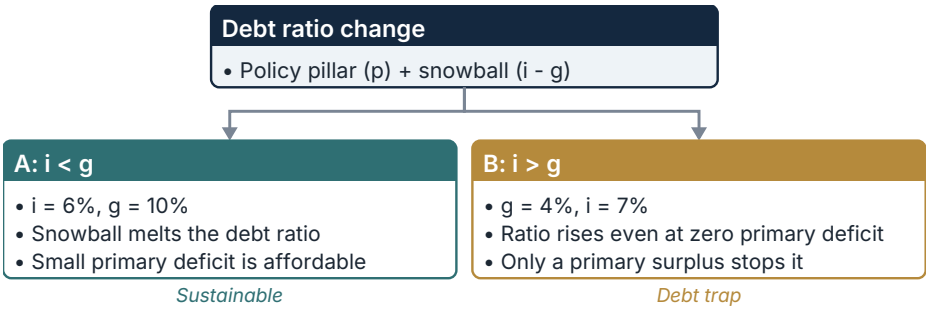
THE RESULT

Δd ≈ (i – g) × d(t–1) + p. Two pillars: the **policy pillar (p)** and the **snowball effect (i – g)·d.**

Two scenarios

Scenario	Example	Result
A: i < g (sustainable)	i = 6%, g = 10%, so (i – g) = −4%	The snowball **melts** the debt ratio; a small primary deficit is affordable; "the nation outgrows its liabilities"
B: i > g (debt trap)	g = 4%, i = 7%, so (i – g) = +3%	Even with **zero primary deficit** the ratio rises; only a **primary surplus** stops it, which is "political suicide"

DEBT DYNAMICS: WHICH SIDE OF IR AND GR?



WHAT NOT TO LEARN

The handout says the full mathematical proof (Economic Survey, chapter 2) "is never going to be asked in an exam". Keep the final relation and the two scenarios.

Slide 15 adds the definition of **External debt of a country:** the external debt of the government plus citizens towards the rest of the world; ECBs are a large component.

FROM NCERT · CLASS XII MACROECONOMICS CH 5, DEBT

MY NOTES

In plain words: Is debt a burden? NCERT says: it depends who owes whom and whether the money builds something that grows. Its last test is the same as the handout's IR < GR.

Link to the handout: Handout section 6: public debt, debt dynamics, IR < GR. NCERT's sentence "the actual debt could be paid off by the growth in output" is the same idea in words.

Step 1 Deficit and debt (NCERT)

- Deficits are a **flow** that add to the **stock** of debt.
- If the government keeps borrowing, interest payments grow, and these interest payments themselves add to the debt.
- A government differs from one small trader: it can raise resources through taxation and printing money.

Step 2 Four views on whether debt is a burden

- NCERT Summary: public debt is burdensome if it reduces future growth in output.

View	NCERT's argument
Burden on future generations	Bonds are issued to people living now but may be paid off some twenty years later by raising taxes on the young entering the workforce, whose disposable income and consumption fall. National savings fall. Borrowing from the people also reduces savings available to the private sector, so capital formation and growth may fall
Ricardian equivalence	Consumers are forward-looking: they know borrowing today means higher taxes tomorrow, and care for their children. They save more now, fully offsetting the government's dissaving, so national savings do not change. Taxation and borrowing are "equivalent" ways of financing spending (after David Ricardo)
"We owe it to ourselves"	There is a transfer between generations but purchasing power stays within the nation. Debt owed to **foreigners** is a burden: goods must be sent abroad for the interest
Depends on what it builds	If the government invests in infrastructure, future generations may be better off provided the return is greater than the rate of interest. The debt could be paid off by growth in output. Judge the growth of debt against the growth of the economy as a whole

NCERT differs: NCERT mentions no PDMA, debt-management principles or the debt-dynamics formula; use the handout for those. *(handout/teacher wins in class)*

MY NOTES

⭐ **REMEMBER**

Keep IR below GR. $\Delta d \approx (i - g) \times d + p$.

7 · EXPENDITURE AND FISCAL FEDERALISM

🧠 **UNDERSTAND IT FIRST**

The Centre holds the richer taxes; the States hold more of the duties. Money flows to the States by two routes: Finance Commission devolution and grants (a rule-based, untied right) and scheme-based transfers (the Centre's choice, often with conditions). The more devolution, the less is left for tied schemes. The handout traces the shift from the Planning Commission's command and control to NITI Aayog's cooperative federalism.

✏ **EXAMPLE**

The handout's numbers: devolution 32% → 42% (14th FC) → 41% (15th FC); CSS 147 → 59 (Chaturvedi) → 30 (Sub-Group of CMs): 6 core of the core, 25% flexi-fund, portability. The trap: PMFBY is a Central Sector scheme though the premium subsidy is shared 50:50.

📐 Formulas of this section

DEVOLUTION
32% → 42% (14th FC) → 41% (15th FC)
Art. 280

CSS SHARING
Centre 60 : State 40 (usually)
Core schemes; flexi-fund 25%

CSS COUNT
147 → 59 → 30
Chaturvedi; Sub-Group of CMs

- **Unitary bias:**
  - The Centre has more and richer tax powers and fewer direct responsibilities than States. Corporate taxes are recorded where a firm is headquartered but earned across the country, so "it is **India's** wealth". Rich States can spend on infrastructure and tax breaks
  - Poor States (Meghalaya, Bihar) cannot even pay salaries without the Centre as equaliser
- Two channels: **(a) Finance Commission devolution and grants, (b) scheme-based transfers.**

MY NOTES

FINANCE COMMISSION (ARTICLES 280 AND 275)

- **Art. 280:**
  - The President constitutes a Finance Commission **every five years**
  - it is a neutral umpire dividing the net proceeds of taxes: **vertical devolution** (Centre versus all States) and **horizontal devolution** (among States)
- **Art. 275 (safety net):**
  - Statutory **grants-in-aid** from the Consolidated Fund of India for structurally weak States with a revenue deficit
  - **Legal, unconditional rights.**
- **Art. 282:** the Centre (or States) may make grants for any "public purpose", even outside legislative competence. This is the route of discretionary scheme transfers.
- **Vertical:**
  - The **14th FC (Y.V. Reddy, 2015-20)** raised the States' share of central taxes from **32% to 42%.** The **15th FC (N.K. Singh, 2021-26)** recommended **41%**
  - the 1% fall is because J&amp
  - K became a Union territory (adding J&K and Ladakh, the share slightly increased). The **16th FC** has been set up

Horizontal devolution: weights

Criterion	14th FC (2015-20)	15th FC (2021-26)	Rationale
Income distance	50.0%	45.0%	Core equity metric: per-capita income against the richest State; poorer States get more
Population (1971)	17.5%	0.0%	Dropped; protected States that controlled population
Population (2011)	10.0%	15.0%	Absolute administrative need; angered Southern States
Demographic performance	0.0%	**12.5%**	New; rewards lower Total Fertility Rates (to pacify Southern States)
Area	15.0%	15.0%	Larger States cost more to administer
Forest cover / ecology	7.5%	10.0%	Rewards preserving forests
Tax and fiscal efforts	0.0%	**2.5%**	New; rewards tax-collection efficiency
Total	100%	100%	

MY NOTES

HANDOUT ALERT

The handout says India's TFR "has now reached 2.0 (**NFHS-2**), which is below the replacement level of 2.1." NFHS-2 is an old survey round, so this is probably a slip for a recent round. **Exam-hall rule:** use only the idea (TFR below replacement level 2.1); check the survey name in your notebook before quoting it.

Demographic argument: the Southern States did not use coercive laws; they went through an **earlier demographic transition** driven by industrialisation, female literacy and maternal healthcare. As Northern States urbanise, their TFR is falling too.

CENTRAL SECTOR SCHEMES VERSUS CENTRALLY SPONSORED SCHEMES

CS versus CSS

	Central Sector (CS)	Centrally Sponsored (CSS)
Subjects	Union List or direct central intervention	State or Concurrent List (health, education, agriculture)
Execution	Entirely by Central machinery	By the State government
Funding	Typically **100% Centre** (PM-KISAN, BharatNet, defence procurement)	Centre gives a **grant-in-aid** to the State; State adds its **matching share (usually 40%)**
Friction	Low	Primary source of friction in federalism: ties up State treasury funds

THE ULTIMATE PRELIMS TRAP: PMFBY

Pradhan Mantri Fasal Bima Yojana is officially a Central Sector Scheme (Statement 4B of the Union Budget) even though the premium subsidy is shared **50:50 by Centre and State** after the farmer pays 1-5% of the premium. Reason: the Centre pays its share **directly to the insurance companies,** bypassing the **State Treasury (State Consolidated Fund).** So "CS = always 100% Centre-funded" is **false.**

Slide 11 lists the examples: Central Sector: **MIS and Price Support, PM-KISAN, Crop Insurance Scheme, Interest Subvention Scheme, NBC, BARC, Ayushman Bharat, FAME India, Khelo India** and more. Centrally Sponsored Schemes are shown as a table of core-of-the-core and core schemes.

FROM COMMAND AND CONTROL TO COOPERATIVE FEDERALISM

- **Planning Commission era:** the Centre used Art. 282 to make State-subject schemes with **tied grants.** A State with its own working scheme (the handout names Tamil Nadu's Mid-day Meal) had to drop it, adopt the Centre's and obey its conditions. Pre-election schemes overlapped (Sabla and Indira Gandhi Matritva Sahyog Yojana).

MY NOTES

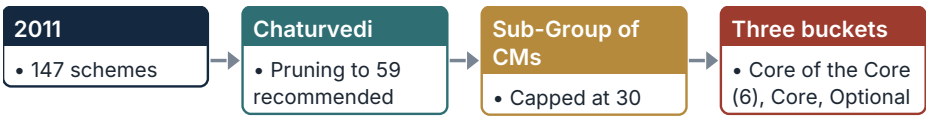
- **2011:** CSS had grown to **147 schemes.** The **B.K. Chaturvedi Committee** recommended pruning to **59.**
- **2014 shift:**
  - (1) the **14th FC** raised devolution from 32% to 42%, leaving less money for conditional CSS
  - (2) market orientation made top-down planning obsolete
  - (3) regional parties demanded cooperative federalism. The **Planning Commission was abolished in 2014 and replaced by NITI Aayog.**
- NITI Aayog's first Governing Council set up a **Sub-Group of Chief Ministers** (headed by Shivraj Singh Chouhan, then CM of Madhya Pradesh). It **capped CSS at 30** in three buckets:

The three buckets

Bucket	Features	Examples
Core of the Core (6)	Social protection umbrellas for the most vulnerable; **first charge** on the budget (funding cannot be cut)	MGNREGA, NSAP, umbrella schemes for SCs, STs and Minorities
Core (~22-24)	Shared **usually 60:40. 25% Flexi-Fund:** States may use 25% of the allocation to tweak components	Jal Jeevan Mission, PM Awas Yojana, National Health Mission
Optional	States may adopt, ignore or replace. **Portability clause:** an unused lump sum can be moved into a Core scheme	Border Area Development Programme

Outcome (handout): the Optional category "withered away": States did not tie up their own funds for optional schemes and used portability to boost Core schemes.

CENTRALLY SPONSORED SCHEMES: THE CLEAN-UP



MAJOR EXPENSES OF THE CENTRE

- **A. Centre's Expenditure:**
  - (a) Establishment expenditure
  - (b) Central Sector Schemes
  - (c) other expenses such as **interest payment.**
- **B. Central Transfers:**
  - (a) **Finance Commission grants** (revenue-filling or sector-specific)
  - (b) **CSS**
  - (c) grants or loans to States

MY NOTES

- **Composition of transfers (handout chart):**
  - A large share is Finance Commission transfers (devolution under Art. 280 and grants under Art. 275)
  - Schemes and other transfers under Art. 282 are the rest. Devolution is **untied** and rising: "this is **fiscal federalism**."

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, §5.1.3 CLASSIFICATION OF EXPENDITURE

In plain words: Where does the Centre's money go? NCERT names the big items and gives data on one of them: subsidies. Treat the shares as examples to recognise.

Link to the handout: Handout section 7 "Major expenses of the Centre" and section 3 (grants to States are Revenue Expenditure).

Step 1 The main items of revenue expenditure (NCERT)

Item	NCERT's point
Interest payments	On market loans, external loans and from various reserve funds: the single largest component of non-plan revenue expenditure
Defence	Committed expenditure: given national security concerns there is little scope for drastic reduction
Subsidies	An important policy instrument to increase welfare. Implicit subsidies by under-pricing public goods such as education and health; explicit subsidies on exports, interest on loans, food and fertilisers
Salaries and pensions	Listed with the above as main non-plan items

Step 2 Subsidies as a share of GDP (NCERT)

Year	Subsidies (% of GDP)
2014-15	2.02
2015-16	1.8
2018-19	1
2020-21	3.6
2022-23 (B.E.)	1.2
2024-25 (Table 5.1, major subsidies)	1.4

Step 3 One cost fact

- A Planning Commission study estimated that to transfer Re 1 to the poor, government spends Rs 3.65 as food subsidy.

MY NOTES

NCERT differs: NCERT does not cover the Finance Commission, devolution, Central Sector or Centrally Sponsored Schemes. Use the handout. *(handout/teacher wins in class)*

⭐ **REMEMBER**

Rule-based money (Art. 280, 275) versus discretionary schemes (Art. 282).

🧠 **MEMORY AID · THREE ARTICLES IN THE ORDER OF THE HANDOUT (280, 275, 282)**

Does Government Decide

D Devolution (Art. 280)	**G** Grants-in-aid (Art. 275)
D Discretionary grants (Art. 282)	

Own memory aid (not from the handout): keep the order. The first two are rights; the third is the Centre's choice.

8 · RECEIPTS AND THE BUDGET AT A GLANCE (2026-27)

🧠 **UNDERSTAND IT FIRST**

The "Budget at a Glance" is the whole chapter in one table: receipts on one side, spending on the other, and the four deficits at the bottom, each worked out from the lines above. Total receipts equal total expenditure, because the borrowing is counted as a receipt. Tax to GDP has barely moved, but the mix has: direct taxes are rising and indirect are falling.

✏ **EXAMPLE**

The handout's 2026-27 BE (₹ crore): revenue receipts 35,33,150, capital receipts 18,14,165 (borrowings 16,95,768), total expenditure 53,47,315. Tax to GDP is 11.2%; direct tax 6.9% against 5.9% in 2017-18, indirect 4.3% against 5.4%.

MY NOTES

📐 Formulas of this section

FISCAL DEFICIT 2026-27
16,95,768 = borrowings and other liabilities
4.3% of GDP

REVENUE DEFICIT
41,25,494 − 35,33,150 = 5,92,344
1.5% of GDP

EFFECTIVE RD
5,92,344 − 4,92,702 = 99,642
0.3% of GDP

PRIMARY DEFICIT
16,95,768 − 14,03,972 = 2,91,796
0.7% of GDP

MY NOTES

Now we are ready to look at receipts and expenses together- the Budget profile.

बजट का सार Budget at a Glance

(₹ करोड़) (In ₹ crore)

		2024-2025 वास्तविक Actuals	2025-2026 बजट अनुमान Budget Estimates	2025-2026 संशोधित अनुमान Revised Estimates	2026-2027 बजट अनुमान Budget Estimates
1. राजस्व प्राप्तियां	1. Revenue Receipts	3036619	3420409	3342323	3533150
2. कर राजस्व (केंद्र को निवल) [1]	2. Tax Revenue (Net to Centre) [1]	2500039	2837409	2674661	2866922
3. कर भिन्न राजस्व	3. Non Tax Revenue	536580	583000	667662	666228
4. पूंजीगत प्राप्तियां	4. Capital Receipts	1616249	1644936	1622519	1814165
5. ऋणों की वसूली	5. Recovery of Loans	24617	29000	30190	38397
6. अन्य प्राप्तियां	6. Other Receipts	17202	47000	33837	80000
7. उधार और अन्य देयताएं [2]	7. Borrowings and Other Liabilities [2]	1574431	1568936	1558492	1695768
8. कुल प्राप्तियां (1+4)	8. Total Receipts (1+4)	4652867	5065345	4964842	5347315
9. कुल व्यय (10+13)	9. Total Expenditure (10+13)	4652867	5065345	4964842	5347315
10. राजस्व लेखा पर	10. On Revenue Account	3600914	3944255	3869087	4125494
जिसमें से	of which				
11. ब्याज भुगतान	11. Interest Payments	1115575	1276338	1274338	1403972
12. पूंजीगत आस्तियों के सृजन हेतु सहायता अनुदान	12. Grants in Aid for creation of Capital Assets	272656	427192	308151	492702
13. पूंजीगत लेखा पर	13. On Capital Account	1051953	1121090	1095755	1221821
14. प्रभावी पूंजीगत व्यय (12+13)	14. Effective Capital Expenditure (12+13)	1324609	1548282	1403906	1714523
15. राजस्व घाटा (10-1)	15. Revenue Deficit (10-1)	564296 (1.7)	523846 (1.5)	526764 (1.5)	592344 (1.5)
16. प्रभावी राजस्व घाटा (15-12)	16. Effective Revenue Deficit (15-12)	291640 (0.9)	96654 (0.3)	218613 (0.6)	99642 (0.3)
17. राजकोषीय घाटा [9-(1+5+6)]	17. Fiscal Deficit [9-(1+5+6)]	1574431 (4.8)	1568936 (4.4)	1558492 (4.4)	1695768 (4.3)
18. प्राथमिक घाटा (17-11)	18. Primary Deficit (17-11)	458856 (1.4)	292598 (0.8)	284154 (0.8)	291796 (0.7)

[1] केन्द्र द्वारा राज्यों को पिछले वर्षों के लिए देय निवल राशि होने के कारण सं.अं 2025-26 में ₹9,084 करोड़ की कमी की गई है।
[2] इससे नगदी शेष में आहरण द्वारा कमी शामिल है।
टिप्पणी :
(i) एनएसओ द्वारा जारी सूचना के अधार पर वित्त वर्ष 2026-27 के लिए जीडीपी

[1] RE 2025-26 is adjusted by ₹9,084 crore on account of net amount receivable by Centre from the States for prior years.
[2] Includes drawdown of Cash Balance.
Notes:
(i) The GDP for FY 2026-27 is estimated at ₹393,00,393 crore,

Figure. Handout page 39: "Budget at a Glance" (₹ crore), Actuals 2024-25, BE 2025-26, RE 2025-26 and BE 2026-27. For 2026-27 BE: revenue receipts 35,33,150; capital receipts 18,14,165 (recovery of loans 38,397; other receipts 80,000; borrowings and other liabilities 16,95,768); total expenditure 53,47,315; interest payments 14,03,972; effective capital expenditure 17,14,523; revenue deficit 5,92,344 (1.5% of GDP); effective revenue deficit 99,642 (0.3%); fiscal deficit 16,95,768 (4.3%); primary deficit 2,91,796 (0.7%). Footnote: GDP for 2026-27 is estimated at ₹393,00,393 crore.

Budget 2026-27 BE: how the identities work

Item	Figure (₹ crore)	% of GDP	Check
Fiscal Deficit	16,95,768	**4.3%**	= Borrowings and other liabilities = TE − (RR + recovery of loans + other receipts)
Revenue Deficit	5,92,344	**1.5%**	= Revenue expenditure 41,25,494 − Revenue receipts 35,33,150
Effective Revenue Deficit	99,642	**0.3%**	= RD − grants for capital assets 4,92,702

MY NOTES

Item	Figure (₹ crore)	% of GDP	Check
Primary Deficit	2,91,796	**0.7%**	= FD − interest payments 14,03,972

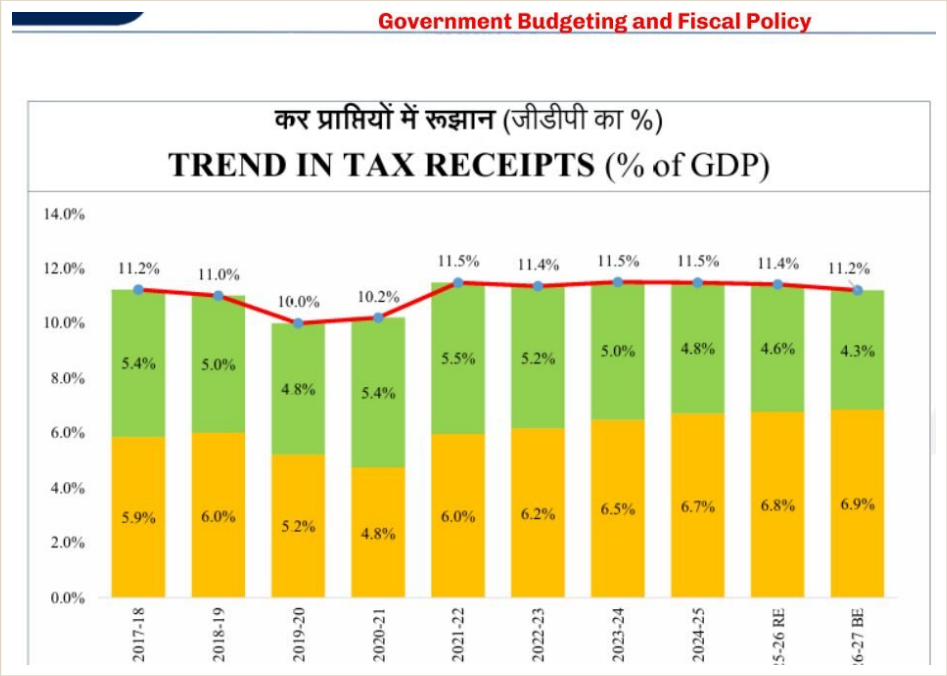


Figure. Handout page 37: trend in tax receipts (% of GDP). Gross tax revenue stays about 10-11.5% of GDP (11.2% in 2026-27 BE); direct tax rises from 5.9% (2017-18) to 6.9% (2026-27 BE) while indirect tax falls from 5.4% to 4.3%.

- **Tax:GDP is stable** (the handout says it was the same 20 years ago). The key change is the **rising share of direct taxes.** Net receipts have risen, but as a share of GDP they are almost the same.
- **Receipts pie (handout):** the share of **Income tax on individuals is greater than any other tax, including corporation tax.** "Do not jump to conclusions so quickly" (see section 9).
- **Slide 12 (Budget Profile)** draws the receipts and expenditure of the Centre as one picture (budget size ₹39.45 lakh crore in the slide; gross tax revenue, net tax receipts, non-debt capital receipts, debt receipts on one side; scheme expenditure, transfers and establishment, interest payment on the other).

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, TABLE 5.1 (RECEIPTS AND EXPENDITURES OF THE CENTRAL GOVERNMENT, 2024-25 P.A.)

> **In plain words:** The same "Budget at a Glance", but in NCERT's format and as per cent of GDP. Use it to practise reading a budget table; for exam numbers use the handout's ₹ crore table.

MY NOTES

Link to the handout: Handout section 8: Budget at a Glance. Every NCERT line has a matching line there.

NCERT Table 5.1 (per cent of GDP)

Line	Item	% of GDP	Matching handout line
1	Revenue receipts (tax net of States' share 7.9 + non-tax 1.4)	9.2	Revenue receipts
2	Revenue expenditure (interest 3.6; major subsidies 1.4; defence 1.0)	11.8	On revenue account; interest payments
3	Revenue deficit (2 − 1)	2.6	Revenue deficit
4	Capital receipts (recovery of loans 0.1; other, mainly PSU disinvestment 0.1; borrowings and other liabilities 5.6)	5.8	Capital receipts
5	Capital expenditure	3.2	On capital account
6	Non-debt receipts [1 + 4(a) + 4(b)]	9.4	—
7	Total expenditure [2 + 5]	printed 1.5 (slip)	Total expenditure
8	Fiscal deficit [7 − 1 − 4(a) − 4(b)]	5.6	Fiscal deficit
9	Primary deficit [8 − 2(a)]	2.0	Primary deficit

NCERT differs: The printed value of line 7 (1.5) is a slip; lines 2 and 5 add to 15.0 (arithmetic worked out here), which is what line 8 uses. (*handout/teacher wins in class*)

NCERT differs: NCERT's 2024-25 FD, RD and PD (5.6, 2.6, 2.0) differ from the handout's Actuals 2024-25 (4.8, 1.7, 1.4: read from the handout's table image; worked out here by reading). Use the handout. NCERT has no effective revenue deficit or effective capital expenditure line. (*handout/teacher wins in class*)

⭐ **REMEMBER**

Every deficit is a subtraction from the table. Direct up, indirect down, total flat.

MY NOTES

9 · TAXATION: LAW, CLASSIFICATION AND THE DIRECT TAX PICTURE

🧠 **UNDERSTAND IT FIRST**

Tax law must be a law (Art. 265), with five parts: the event, the value, the rate, who is responsible and how it is paid. Taxes are sorted three ways: by how the rate behaves (progressive, proportional, regressive), by who finally bears the burden (direct: the same person; indirect: shifted to another) and by method (percentage of value, or a fixed amount per unit). The base is very narrow, so a few salaried taxpayers carry most of the load, and a very long, complex law makes evasion easier.

✏ **EXAMPLE**

The handout's examples: income tax is progressive (5% to 30%); corporate tax proportional; GST on a biscuit packet is regressive in effect. Of 140 crore people only 8-9 crore file returns; the effective taxpaying base is under 2 crore, and the top 1% bear nearly 90% of direct tax.

📐 Formulas of this section

IMPACT AND INCIDENCE
direct: same person; indirect: impact on one, incidence on another
exceptions: reverse charge, TDS

RATE BEHAVIOUR
progressive: rate rises; proportional: flat; regressive: falls as income rises

METHOD
ad valorem = % of value; specific = per physical unit
compound = both

- Taxation is the financial execution of the **social contract** for goods that are **non-rivalrous and non-excludable.** It is "forceful extraction", so **Article 265: "No tax shall be levied or collected except by authority of law."**
- **Structure of a tax law:**
  - (1) **taxable event**
  - (2) **taxable value** (deductions, exemptions)
  - (3) **rate**
  - (4) **responsible entity**
  - (5) **manner of payment and collection** (TDS, advance tax; designated department)

MY NOTES

Classification of taxes

Basis	Types	Handout examples and notes
Distributive features (slide 18, handout)	**Progressive:** rate rises with taxable amount. **Proportional:** flat rate. **Regressive:** the rate falls as income rises (the poor pay a larger share)	Progressive: **income tax** (5% to 30%). Proportional: **corporate tax** (~25% small, 30% larger; flat within each tier). Regressive: **indirect taxes on goods** (same tax on a biscuit packet; the government uses luxury and necessity slabs to make it progressive). Direct tax can turn regressive when the rich evade and the salaried middle class bears the burden
Bearer of burden	**Direct: impact** (initial liability) and **incidence** (final burden) on the **same person. Indirect:** impact on one, incidence on another	Direct: income tax, corporate tax. Indirect: GST on the seller (impact), shifted to the consumer (incidence). The seller must still **deposit** the tax. **Exceptions:** GST **Reverse Charge Mechanism** (buyer deposits); **TDS** (payer deposits)
Method of levying	**Ad valorem:** a percentage of value. **Specific:** based on a physical characteristic regardless of price	Ad valorem: 18% GST on a phone, 7% stamp duty, 10% customs. A higher rate for luxuries (28%) does not change its nature. Specific: excise on volume of fuel, carbon tax on coal (e.g. ₹400 per tonne), professional tax (₹2,500 a year). **Compound duty:** both together, e.g. **cigarettes** (ad valorem on MRP plus specific on filter length)

Taxes by event (handout and slide 19)

Tax	Event	Levying entity	Pays government	Bears burden
Income tax	Earning income (IT Act 1961, now **2025 Act**)	Centre	Earner	Earner
Corporate income tax	Profits of a company	Centre	Company	Company
Minimum Alternate Tax (MAT)	If tax paid is less than the threshold (slide: only if CIT is **below 18%** of profits under the Companies Act)	Centre	Company	Company
Professional tax	Being a professional	State	Professional	Professional
Excise duty	Production	Centre	Producer	Buyer

MY NOTES

Tax	Event	Levying entity	Pays government	Bears burden
Customs duty	Entry into a country	Centre	The importer (changer of boundary)	Buyer
Entry tax / Octroi	Entry into a State / local body	State / Local body	The importer	Buyer
Service tax	Sale of service	Centre	Seller	Consumer
Central Sales Tax	Inter-State sale of goods	Centre, **given entirely to the selling State**	Seller	Buyer
Sales tax / VAT	Intra-State sale	State	Seller	Buyer
GST	Sale of goods and services	Centre + State	Seller	Buyer

Other direct taxes: **Wealth tax (Centre; now abolished), Professional tax (States), capital gains tax (part of IT).**

> **HANDOUT ALERT**
> In the narrative on indirect tax events, the **labels are swapped:** "Intra-State sale" describes a Delhi buyer ordering from a Maharashtra seller (that is **inter-State**, which attracted CST), and "Inter-State sale" describes buyer and seller in the same State (that is **intra-State**, taxed by sales tax or VAT). The handout's own table has them right. **Exam-hall rule:** CST = inter-State; sales tax/VAT = intra-State.

INCOME TAX IN THE HANDOUT

- The **IT Act, 1961** (replaced by the **2025 Act**) recognises **five heads of income:** Salaries, House Property, Business/Profession, Capital Gains, Other Sources. **Agriculture** is a source of income but the Centre cannot tax it
- Only States can, and **no State does.**

MY NOTES

MEMORY AID · FIVE HEADS OF INCOME

C H O P S

The Income Tax Act CHOPS your income into five heads.

- **C** Capital gains
- **H** House property
- **O** Other sources
- **P** Profession or business
- **S** Salaries

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

- A tax law must: recognise income (borrowing is a liability, not income; only the ₹2,000 profit on a ₹8,000 saree sold for ₹10,000 is income), determine taxable value (flat **30% standard deduction** on rent; earlier **indexation** on real-estate capital gains), apply rates by asset class and holding period, and collect (**TDS**).
- Exemptions are a **nudge** towards "good" expenses (health and life insurance, housing, capital goods, charity). To stop firms avoiding a fair minimum, **MAT was introduced in 2005** (tax on profits declared under the **Companies Act, 2013**)
- For individuals the equivalent is the **AMT (Alternate Minimum Tax).**

COMPLEXITY FEEDS EVASION

- Law works only if the **cost of compliance is low and the cost of non-compliance is high,** both together (speed-limit example).
- A **700-page** Act amended yearly to stop evasion has become the **facilitator** of evasion: honest taxpayers need chartered accountants (high compliance cost) and the State cannot track every creative scheme (low non-compliance cost). The rich exploit it (trusts, shell companies, "agricultural" farmhouses). A simpler **Direct Tax Code (DTC)** makes evasion harder.

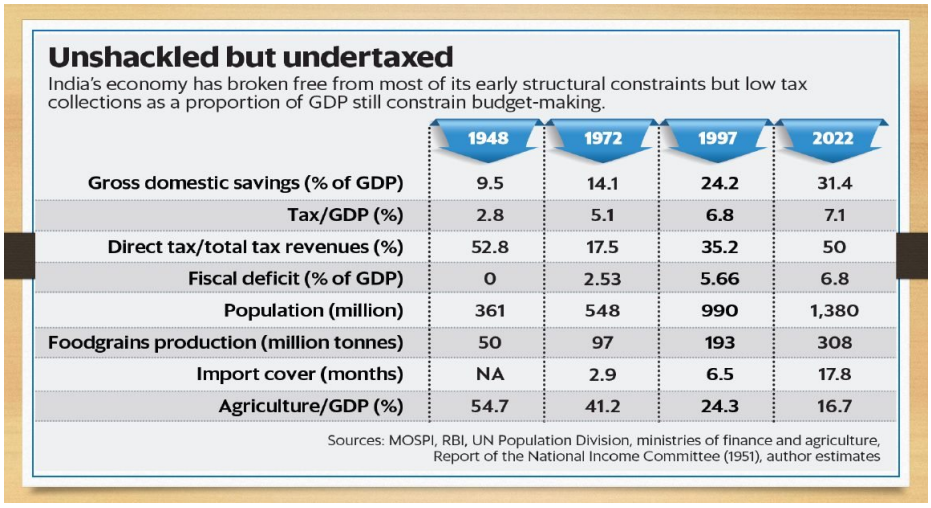
CORPORATE VERSUS PERSONAL TAX: BUSTING THE MYTH

- In **2019** the base corporate rate was cut from about **30% to 22%** (15% for new manufacturing). From **2021 onwards PIT collections surpassed CIT.**
- The handout argues this is **not inherently anti-poor**:
  - Companies do not consume
  - Profits reach individuals as dividends and salaries, which are then taxed as personal income. In most G7 economies **corporate tax is below 10%** of tax revenue
  - India's CIT share is about **22-26%.**

MY NOTES

THE NARROW TAX BASE

- Of **140 crore** people only **8-9 crore** file returns
- About **7 crore** are zero-tax filers
- The effective taxpaying base is **under 2 crore (about 1.5%).** The **top 1% of taxpayers bear nearly 90%** of direct tax, mostly the salaried middle class under **TDS.**
- The handout calls the new Direct Tax Code "a moral imperative" to widen the net.



Unshackled but undertaxed

India's economy has broken free from most of its early structural constraints but low tax collections as a proportion of GDP still constrain budget-making.

	1948	1972	1997	2022
Gross domestic savings (% of GDP)	9.5	14.1	24.2	31.4
Tax/GDP (%)	2.8	5.1	6.8	7.1
Direct tax/total tax revenues (%)	52.8	17.5	35.2	50
Fiscal deficit (% of GDP)	0	2.53	5.66	6.8
Population (million)	361	548	990	1,380
Foodgrains production (million tonnes)	50	97	193	308
Import cover (months)	NA	2.9	6.5	17.8
Agriculture/GDP (%)	54.7	41.2	24.3	16.7

Sources: MOSPI, RBI, UN Population Division, ministries of finance and agriculture, Report of the National Income Committee (1951), author estimates

Figure. Slide 22: "Unshackled but undertaxed" (MOSPI, RBI, UN, ministries; National Income Committee 1951). Gross domestic savings 9.5, 14.1, 24.2, 31.4 (% of GDP); Tax/GDP 2.8, 5.1, 6.8, 7.1; Direct tax/total tax revenues 52.8, 17.5, 35.2, 50; Fiscal deficit 0, 2.53, 5.66, 6.8; Population (million) 361, 548, 990, 1,380; Foodgrains 50, 97, 193, 308 million tonnes; Import cover (months) NA, 2.9, 6.5, 17.8; Agriculture/GDP 54.7, 41.2, 24.3, 16.7 for 1948, 1972, 1997 and 2022.

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, §5.1.2 (TAX REVENUE); DEFICIT REDUCTION

In plain words: NCERT sorts taxes in two lines and tells you which is progressive and which proportional. It also makes the "indirect taxes are regressive" point in one sentence.

Link to the handout: Handout section 9: progressive, proportional, regressive; direct versus indirect.

NCERT's statements

Topic	NCERT says	Handout link
Direct taxes	Personal income tax (individuals) and corporation tax (firms)	Direct: income tax, corporate tax
Progressive	Redistribution is sought through progressive income taxation: the higher the income, the higher the tax rate	Income tax 5% to 30%

MY NOTES

Topic	NCERT says	Handout link
Proportional	Firms are taxed on a proportional basis: a particular proportion of profits	Corporate tax flat within a tier
Regressive	Indirect taxes are regressive in nature: they impact all income groups equally	Same tax on a biscuit packet
"Paper taxes"	Wealth tax, gift tax and estate duty (now abolished) never brought in large revenue	Wealth tax now abolished
Excise grading	Necessities exempt or low; comforts moderate; luxuries, tobacco and petroleum heavy	Luxury and necessity slabs

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT CH 3, TAX REFORMS

In plain words: After 1991 India lowered income tax rates on purpose. NCERT gives the reason in one idea: a very high rate pushes people to hide income.

Link to the handout: Handout section 9: "complexity feeds evasion" and the narrow base; also the 2019 corporate cut in section 11.

Step 1 What the reforms did (NCERT)

- Tax reforms are reforms in the government's taxation and public expenditure policies, collectively known as its **fiscal policy**.
- Since 1991, a continuous reduction in taxes on individual incomes: high rates of income tax were felt to be an important reason for tax evasion.
- Now widely accepted: moderate rates of income tax encourage savings and voluntary disclosure of income.
- The rate of corporation tax, very high earlier, has been gradually reduced.

Step 2 The other half of the reform

- Reform of indirect taxes, with GST (the 2016 amendment) expected to generate additional revenue, reduce tax evasion and create "one nation, one tax and one market".
- Simplification: many procedures simplified and rates substantially lowered, to encourage better compliance.

MY NOTES

⭐ REMEMBER

Slab shape, burden shifted or not, percentage or per unit. The base is narrow.

10 · FROM VAT TO GST: THE RECAP IN THIS HANDOUT

🧠 UNDERSTAND IT FIRST

This is a recap of Chapter 11 and a note on later changes. VAT cut cascading inside the State but could not offset across taxes or across States and had 29 sets of rules. GST fixed these with one tax, destination basis and credit that flows through all stages. The Council gives Centre and States a joint voice, which the handout defends against the charge that States lost autonomy. An inverted duty structure (inputs taxed higher than output) piles up credit and forces refunds.

✏ EXAMPLE

The handout's example: a ₹1,000 intra-State sale at 18% gives CGST ₹90 to the Centre and SGST ₹90 to the State; an inter-State sale gives IGST ₹180. Ease of Doing Business rank: 130 (2017), 77 (2019), 63 (2020).

📐 Formulas of this section

GST SPLIT

₹1,000 at 18% intra-State: CGST 90 + SGST 90; inter-State: IGST 180

handout's example

READ THIS WITH CHAPTER 11

The handout says you should not proceed unless you have read the separate GST handout (Chapter 11). This section repeats the core and adds the later developments.

VAT: achieved and not solved

What VAT achieved	What VAT could not solve
Reduced cascading within State taxes; tax effectively on value addition	**No ITC across different taxes:** VAT could not be offset against **excise** (Central) or **service tax;** excise could not be offset against VAT, so cascading continued
Self-policing: the buyer wants an invoice to claim ITC	**No ITC across States:** VAT paid in Maharashtra not offset-able in Gujarat; inter-State trade still bore **CST** (non-creditable)

MY NOTES

What VAT achieved	What VAT could not solve
Lower effective burden and better compliance	**Fragmented rates:** each State had its own rates, exemptions and procedures: **29 VAT laws**

- **GST** (101st Amendment Act, 2016; effective **1 July 2017**): tax on supply of goods and services other than alcohol for human consumption. Three properties: **one nation-one tax** (subsumes excise, service tax, VAT, CST, entry tax, octroi, luxury tax), **destination-based** (a shirt made in Tamil Nadu and sold in Delhi gives the State component to **Delhi**), and **seamless ITC** (across goods and services, across CGST and SGST and IGST, and across all stages).
- **Example:**
  - A ₹1,000 intra-State sale at 18% gives **CGST ₹90 to the Centre and SGST ₹90 to the State**
  - an inter-State sale gives **IGST ₹180 collected by the Centre** (half shared with the destination State later)
- **GST Council (Art. 279A):**
  - Union FM chair
  - **Vice-Chairperson a State Finance Minister elected by State members**
  - members: Union MoS (Finance) and Finance/Taxation Ministers of **all States and UTs**
  - quorum **50%**
  - weights **Centre 1/3, States 2/3**
  - majority **75%**, so the Centre cannot decide alone. Recommendations are **not constitutionally binding,** but in practice both sides implement them

Federalism debate

States' argument	Counter-argument (handout)
GST **destroyed fiscal autonomy:** earlier a State could raise VAT overnight for drought relief. **Kerala floods (2018)** and **COVID (2020)** are cited: States could not raise indirect taxes unilaterally	Old autonomy meant barriers to trade, octroi and check-post harassment, and **29 different VAT rates.** A unified market gave the consumer and honest businessman more. **Ease of Doing Business rank: 130 (2017), 77 (2019), 63 (2020).** Gains for States: higher revenue, Centre borrowing on their behalf in COVID, a national common market (Art. 301-307), end of check-post raj

MY NOTES

HANDOUT ALERT

Two things changed after the GST handout (Chapter 11). (1) This handout says **GST 2.0 in August-September 2025 rationalised the tax rates** and refers to an "updated GST document" that is **not in the material.** Chapter 11 still lists the old five slabs (0, 5, 12, 18, 28). I have not written the new slabs. **Exam-hall rule:** for current rates use the latest Council notification, not this chapter. (2) This handout puts the pre-GST effective indirect-tax rate at **about 33%** and the RNR examples at 25% and 20%; Chapter 11 says **about 30%** and a 15% example. They are different illustrations of the same idea.

INVERTED DUTY STRUCTURE (GST 1.0)

When the **input tax rate is higher than the output rate,** ITC piles up and the firm depends on refunds. The handout's examples: **textiles** (input 12-18% against 5% on fabric), **pharmaceuticals** (12-18% on APIs and packaging, against 5-12% on medicines), **fertilisers** (5-18% inputs, 5% or exempt output) and **export-oriented units** (0% on exports). FY 2025-26: **₹1.5 lakh crore+** refunds pending (all categories). The simple fix is aligning rates; it was not done because of political sensitivity, revenue loss and lobbying. **GST 2.0 (August-September 2025) addressed it by rationalising rates.**

- **Final assessment:**
  - A unified market, irreversible formalisation (**1.44 crore businesses** in the formal system), check-posts gone, and, in the handout's words, "cascading is 70% eliminated, the remaining is only and only because of petroleum." Gaps: refunds, litigation, rates, petroleum, federalism tensions. For consumers, goods cheaper but **services costlier**
  - SMEs mixed
  - Large enterprises clear winners

📘 **FROM NCERT · CLASS XII MACROECONOMICS CH 5, BOX 5.3 (GST) AND CLASS XI GLOSSARY**

In plain words: This handout section repeats Chapter 11. The full NCERT GST boxes are in the Chapter 11 notes. Only the points that can trip you in this chapter are repeated.

Link to the handout: Handout section 10: three GST properties, 101st Amendment, GST 2.0, inverted duty structure.

Four NCERT points to hold

Point	NCERT
Date	Operational from 1 July 2017; the 101st Amendment received assent on 8 September 2016; Article 246A cross-empowers Parliament and State Legislatures

MY NOTES

Point	NCERT
Rates	Box 5.3: six standard rates 0%, 3%, 5%, 12%, 18%, 28%. Class XI glossary: five slabs 0, 5, 12, 18, 28 per cent
Kept out	Five petroleum products out for the time being; State VAT on alcoholic liquor; tobacco attracts both GST and Central Excise Duty
Cas-cading	Pre-GST regime taxed the total value, including taxes paid on intermediates; GST credit is set off at the next stage

NCERT differs: NCERT's six rates (with 3%) and the handout's Chapter 11 five slabs differ, and the handout says GST 2.0 (August-September 2025) rationalised rates. For current rates use the latest Council notification, as the handout advises. *(handout/teacher wins in class)*

⭐ REMEMBER

VAT could not cross taxes or States. GST can. Check the Council for current rates.

11 · REVENUE NEUTRAL RATE AND THE THREE PILLARS OF TAX ANALYTICS

🧠 UNDERSTAND IT FIRST

Revenue neutral rate: if only part of the economy is taxed, the rate must be high; widen the base and a lower rate collects the same. The Laffer curve is a hill: at zero rate there is no revenue, at a full rate nobody works, so somewhere in between is the best rate. Elasticity asks what the revenue does when the rate changes. Buoyancy asks what the revenue does when the economy grows with rates unchanged. A buoyancy above 1 means the tax net is catching growth.

✏ EXAMPLE

The handout's numbers: pre-GST effective burden about 33% on about 30% of GDP gives 10% of GDP; at 40% of GDP taxed the RNR is 25%, at 50% it is 20%. Buoyancy 0.72 before GST and 1.22 after. Corporate tax collection FY22 ₹7.12 lakh crore after the 2019 cut.

MY NOTES

📐 Formulas of this section

RNR
effective rate × share of GDP taxed = indirect tax % of GDP
33% × 30% ≈ 10%; 40% → 25%; 50% → 20%

TAX ELASTICITY
% change in tax revenue ÷ % change in tax rate
GDP and other factors held constant

TAX BUOYANCY
% change in tax revenue ÷ % change in nominal GDP
> 1: collections grow faster than GDP; 0.72 → 1.22

REVENUE NEUTRAL RATE (THIS HANDOUT)

The **RNR** is the rate that gives the government **the same revenue** as under the old laws. The handout's reasoning: pre-GST effective indirect-tax incidence was about **33%** of a good's value. India's **Tax:GDP is about 15-17%** (Centre 11-12%, States about 5%); of the Centre's ~11%, about 6% direct and 5% indirect; States' VAT about 5%. So indirect taxes were about **10% of GDP.** If 33% × X% of GDP = 10% of GDP, **X ≈ 30%:** only about **30% of GDP was actually being taxed.**

If GST widens the base

Share of GDP taxed	RNR needed to still collect 10% of GDP
~30% (pre-GST)	33%
40%	**25%** (a quarter)
50%	**20%** (a fifth)

Because how much more would be taxed was unknown, rates had to be set up front, hence **multiple slabs at the start** (goods placed in the nearest slab to protect revenue). The government set up the **Arvind Subramanian (ex-CEA) committee** to recommend the RNR.

1 · THE LAFFER CURVE

An **inverted U:** tax rate (0-100%) on the X-axis and revenue on the Y-axis. At **0%** revenue is zero; at **100%** nobody works, so revenue is again zero; somewhere between lies an **optimal rate (t*).** Beyond it, higher rates encourage evasion and reduce economic activity, so revenue falls. Since t* is unknown, governments experiment.

2 · TAX ELASTICITY (RESPONSIVENESS TO POLICY)

Holding GDP and other factors constant: **Tax Elasticity = % change in tax revenue ÷ % change in tax rates.** If a 10% rate rise raises revenue only 2% (evasion), the tax is highly inelastic.

MY NOTES

The 2019 corporate tax cut: Laffer curve in action

Category	Old rate	New rate
Existing domestic companies	30% + surcharge (~35% effective)	**22%** + surcharge (~25.17% effective), about 10 percentage points lower
New manufacturing companies (post Oct 2019)	25%	**15%** + surcharge (~17.01%), about 8 percentage points lower
Revenue cost estimate		**₹1.45 lakh crore a year**

Corporate tax collections (₹ crore)

Year	Collection	YoY growth	Note
2018-19	6,63,572	17.1%	Pre-cut baseline
2019-20	5,56,876	−16.1%	Cut announced Sept 2019; COVID approaching
2020-21	4,57,719	−17.8%	Full COVID year
2021-22	7,12,037	+55.6%	Recovery and base effect
2022-23	8,25,834	+15.9%	Strong recovery
2023-24	9,11,735	+10.4%	Settled growth
2024-25	10,22,000	+12.1%	Continued buoyancy

The government's Laffer argument: at about 35% India was in the "prohibitive zone", near or beyond t*; a cut to about 25% would attract FDI, reduce profit shifting to tax havens, encourage reinvestment and bring more companies into the formal system. **Verdict (handout):** revenue fell first (FY20, FY21), then surged (FY22: ₹7.12 lakh crore; FY23: ₹8.25 lakh crore). Lower rates plus a digitised compliance net generated more revenue.

> **HANDOUT ALERT**
> The handout itself warns that such analysis is "inherently difficult" because **100 other factors changed** (COVID, tariffs, schemes, slowdown, recovery). It also gives "30%" for the old rate and "~34.9% to ~25.17% inclusive of surcharges", while the table says "~35%". **Exam-hall rule:** quote the direction (30 → 22, and 25 → 15), not the effective figures.

3 · TAX BUOYANCY (RESPONSIVENESS TO GROWTH)

Holding tax rates and policy constant: **Tax Buoyancy = % change in tax revenue ÷ % change in nominal GDP. Greater than 1** means collections grow faster than GDP without tax hikes; the tax net is capturing new wealth efficiently.

MY NOTES

Pre-GST versus post-GST buoyancy

Period	Buoyancy	Reading
Pre-GST (2012-13 to 2015-16)	**0.72** (States' subsumed taxes, Interim Budget 2024 data)	For every 1% GDP growth, collections grew only 0.72%
Post-GST (2017-18 to 2022-23)	**1.22** (SGST revenues)	GST fundamentally expanded the formal sector, even through COVID

ELASTICITY VERSUS BUOYANCY

Elasticity: tax revenue response to a **change in the tax rate** (GDP held constant). **Buoyancy:** tax revenue response to **GDP growth** (rates held constant). Handout verdict: GST was a "monumental success" in buoyancy because E-way bills and automated ITC matching capture growth more efficiently than VAT-era inspector raj.

📘 **FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT CH 3, REFORMS AND FISCAL POLICIES**

In plain words: NCERT has no Laffer curve, elasticity or buoyancy. But Class XI gives a view on whether tax cuts after 1991 raised revenue. It is a useful second opinion for the Laffer discussion.

Link to the handout: Handout section 11: Laffer curve; the 2019 corporate tax cut. NCERT's view is about the reforms since 1991, not 2019.

NCERT's view (Class XI)

- Economic reforms have placed limits on the growth of public expenditure, especially in social sectors.
- The tax reductions of the reform period, aimed at larger revenue and curbing evasion, have **not** resulted in an increase in tax revenue for the government.
- Tariff reduction has curtailed the scope for raising revenue through customs duties.
- Tax incentives to attract foreign investors further reduced the scope for raising tax revenues.
- NCERT's conclusion: a negative impact on developmental and welfare expenditures.

NCERT differs: The handout's Laffer verdict is that after an initial fall, lower corporate rates plus digital compliance brought more revenue (FY22, FY23). NCERT Class XI says the reform-period tax cuts did not raise revenue. They cover different periods and taxes; use the handout's verdict in the

MY NOTES

answer and cite NCERT's caution as the other side. (*handout/ teacher wins in class*)

⭐ REMEMBER

Elasticity = revenue per rate change. Buoyancy = revenue per GDP growth.

12 · SLIDE-ONLY TOPICS (NO HANDOUT TEXT): GROWTH MODELS, TAX EVASION AND PPP

🧠 UNDERSTAND IT FIRST

These topics are on the slides only. Growth can come from the top and trickle down, or be made inclusive. Investment models range from import substitution and the Mahalanobis heavy-industry model to export-led growth. A public-private partnership shares resources, risks, responsibilities and rewards. And tax planning is legal, avoidance is legal on paper but illegitimate, evasion is illegal.

✏ EXAMPLE

The slides' own lines: tax avoidance "may not be illegal, but certainly illegitimate"; the 4 Rs: Resources, Risks, Responsibilities, Rewards; contracts: BOT, EPC, HAM, Swiss Challenge, Viability Gap Funding.

📐 Formulas of this section

PPP: THE 4 RS

Resources, Risks, Responsibilities, Rewards

decide them in any agreement

CLASS SLIDES ONLY

These topics appear only on the slides, with no handout paragraph. They are reproduced exactly as the slides state them; nothing is added.

GROWTH AND INVESTMENT MODELS (SLIDES 24-28)

- **Objectives of the budget:**
  - **Growth. Trickle-down approach:** the top grows and benefits are redistributed through government policy
  - "the bottom is passive beneficiary." **Inclusive growth** (slide diagram): reduction of poverty, job creation, enhancement of skills, reduction of regional disparities, access to essential services like health and education, special focus on vulnerable groups, industrial development

MY NOTES

- **Sustainable Development Goals** (slide 25): the 17 goals, from No Poverty to Partnerships for the Goals.
- **Investment models:**
  - **Import substitution**
  - **Harrod-Domar model** (savings, investment and ICOR)
  - **Heavy-industry led growth: the Mahalanobis model:** increasing investments
  - Directing public investment towards industry (predominance of the **public sector in capital goods**)
  - Import substitution for self-reliance
  - An elaborate system of controls and industrial licensing
- **Export-led growth**
- **Aatmnirbhar Bharat. Schumpeter's three stages:** (1) growth from more factors of production (transition from primary sector to industry: agrarian China to industrial China)
- (2) growth from higher productivity of factors (investment raises productivity)
- (3) growth from inventing new ways to raise productivity (research and innovation: "modern America")
- **Public-Private Partnership:** the need arises from the thin spread of government resources and the wish to include the private sector in public goods that can be monetised. **The 4 Rs** to decide in any agreement: **Resources, Risks, Responsibilities, Rewards.** Standard contracts: **BOT, EPC, HAM** (hybrid annuity model), **Swiss Challenge** model, **Viability Gap Funding.**

TAX PLANNING, AVOIDANCE AND EVASION (SLIDE 23)

Three terms

Term	Slide definition
Tax planning	Legal, legitimate way to reduce taxable income through acceptable expenses and investments
Tax avoidance	"May not be illegal, but certainly illegitimate"
Tax evasion	**Illegal**

The slide also lists: **BEPS** (Base Erosion and Profit Shifting); **related-party transactions, the arm's length principle, advance pricing agreements; DTAA** (double taxation avoidance agreements); **GAAR** (General Anti-Avoidance Rules); and **money laundering and round tripping** (referred to the Security classes).

> **GOODS AND SERVICES TAX SLIDES (20-21)**
> Slide 20: destination-based; value added; **collect tax on the entire value, let the depositor declare value added by showing the value of**

MY NOTES

inputs on which tax was paid, refund the difference through ITC. Slide 21: features of a good tax system: **incentive to comply** (less costly for the compliant) and **disincentive to not comply** (costly for the non-compliant, measured by the **system's** ability, not the individual tax officer's, to catch offenders); one channel for reporting, collecting and verifying; "now the system catches an offender, not an individual (at least theoretically!)".

MY NOTES

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT CH 2 (BOX 2.3, §2.4-2.5)

In plain words: The slides name the Mahalanobis model, import substitution and a licensing system. NCERT Class XI explains each in plain words. Read it to fill the slide list.

Link to the handout: Handout section 12, slides 24-28: import substitution; heavy-industry led growth (Mahalanobis); an elaborate system of controls and industrial licensing.

Step 1 Mahalanobis (Box 2.3)

- A statistician, regarded as the "architect of Indian planning". The Second Five Year Plan was based on his ideas.
- He founded the Indian Statistical Institute in Calcutta and the journal Sankhya.
- Many economists today reject his approach to planning.

Step 2 The industrial policy that followed

Idea	NCERT
Commanding heights	The Second Plan: the government to control the industries vital for the economy, with the private sector complementary and the public sector leading
Industrial Policy Resolution 1956	Three categories: exclusively government-owned; private sector may supplement, government takes sole responsibility for new units; the rest private
Licensing	No new industry without a licence; a licence also needed to expand or diversify output; licences easier in backward regions to promote regional equality
Import substitution	Replace imports with domestic production, protected by **tariffs** (a tax on imported goods) and **quotas** (limits on the quantity imported). Example: produce vehicles in India instead of importing them

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 3, BOX 3.2; CLASS XI CH 3

In plain words: The slides define evasion as illegal. NCERT links evasion to high rates and to cash transactions, and says what the 2016 demonetisation hoped to do about it.

Link to the handout: Handout section 12 "Tax planning, avoidance and evasion" and section 9 "narrow tax base".

NCERT's points

- Class XI: high rates of income tax were an important reason for tax evasion.
- Box 3.2 (Demonetisation, November 2016): aimed at corruption, black money, terrorism and fake currency. Claimed effects: improved tax compliance as a large number of people were brought into the tax ambit; savings channelled into the formal financial system; a curb on black money; a shift from cash to electronic payment.
- NCERT's message: tax evasion will result in financial penalty and social condemnation.

⭐ **REMEMBER**

Planning legal, avoidance illegitimate, evasion illegal. PPP = the 4 Rs.

MY NOTES

FORMULA SHEET, NUMBER CARD AND DRILLS

MY NOTES

📐 FORMULA SHEET: COVER THE THIRD COLUMN, SAY THE FORMULA, THEN CHECK

Where	Name	Formula	Source
Sec 2	Total Receipts	**TR = RR + CR**	handout
Sec 2	Three functions	**tax → equity; spend → efficiency; stabilise → balance**	handout
Sec 3	Asset-liability test	**changes assets or liabilities → Capital; leaves them untouched → Revenue**	handout
Sec 3	Capital Expenditure	**assets ↑, liabilities ↓ (or no rise)**	handout
Sec 3	Capital Receipts	**assets ↓, liabilities ↑**	handout
Sec 3	Interest and principal	**interest = Revenue Expenditure; repaying principal = Capital Expenditure**	handout
Sec 4	Budget Deficit	**BD = TE − TR**	handout
Sec 4	Deficit versus debt	**deficit = flow (one year); debt = stock (all unpaid deficits)**	handout
Sec 4	Aggregate demand	**AD = C + G + I + X − M**	handout
Sec 5	Fiscal Deficit	**FD = TE − NDR = Debt CR = borrowing**	handout
Sec 5	Derivation	**BD = 0 → TR = TE → RR + Debt CR + NDCR = TE**	handout
Sec 5	Net FD	**NFD = GFD − lending to States and PSUs**	handout
Sec 5	Primary Deficit	**PD = FD − interest payments**	handout
Sec 5	Revenue Deficit	**RD = RE − RR**	handout
Sec 5	Effective RD	**ERD = RD − A**	handout
Sec 5	Debt anchor	**General Government Debt 60% of GDP = Centre 40% + States 20%**	handout
Sec 5	FRBM 2003	**FD ≤ 3% of GDP; eliminate RD; 3 statements**	handout
Sec 6	Total liabilities	**Total Liabilities = Public Debt + Other Liabilities**	handout
Sec 6	Debt dynamics	**Δd ≈ (i − g) × d(t−1) + p**	handout
Sec 6	Sustainability rule	**IR < GR**	handout
Sec 7	Devolution	**32% → 42% (14th FC) → 41% (15th FC)**	handout

MY NOTES

Where	Name	Formula	Source
Sec 7	CSS sharing	**Centre 60 : State 40 (usually)**	handout
Sec 7	CSS count	**147 → 59 → 30**	handout
Sec 8	Fiscal Deficit 2026-27	**16,95,768 = borrowings and other liabilities**	handout
Sec 8	Revenue Deficit	**41,25,494 − 35,33,150 = 5,92,344**	handout
Sec 8	Effective RD	**5,92,344 − 4,92,702 = 99,642**	handout
Sec 8	Primary Deficit	**16,95,768 − 14,03,972 = 2,91,796**	handout
Sec 9	Impact and incidence	**direct: same person; indirect: impact on one, incidence on another**	handout
Sec 9	Rate behaviour	**progressive: rate rises; proportional: flat; regressive: falls as income rises**	handout
Sec 9	Method	**ad valorem = % of value; specific = per physical unit**	handout
Sec 10	GST split	**₹1,000 at 18% intra-State: CGST 90 + SGST 90; inter-State: IGST 180**	handout
Sec 11	RNR	**effective rate × share of GDP taxed = indirect tax % of GDP**	handout
Sec 11	Tax elasticity	**% change in tax revenue ÷ % change in tax rate**	handout
Sec 11	Tax buoyancy	**% change in tax revenue ÷ % change in nominal GDP**	handout
Sec 12	PPP: the 4 Rs	**Resources, Risks, Responsibilities, Rewards**	handout
Sec 4	Equilibrium income	**$Y^* = [1/(1 - c)] \times (C - cT + cTR + I + G)$**	NCERT
Sec 4	Government spending multiplier	**$\Delta Y/\Delta G = 1/(1 - c)$**	NCERT
Sec 4	Tax multiplier	**$\Delta Y/\Delta T = -c/(1 - c)$**	NCERT
Sec 4	Transfer multiplier	**$\Delta Y/\Delta TR = c/(1 - c)$**	NCERT
Sec 4	Balanced budget multiplier	**$1/(1 - c) + (-c)/(1 - c) = 1$**	NCERT
Sec 4	Consumption	**$C = C + c(1 - t)Y + c \cdot TR$**	NCERT

MY NOTES

Where	Name	Formula	Source
Sec 4	Multiplier with proportional tax	**ΔY/ΔA = 1/[1 − c(1 − t)]**	NCERT
Sec 5	Revenue deficit (NCERT)	**RD = revenue expenditure − revenue receipts**	NCERT
Sec 5	Financing side	**GFD = net borrowing at home + borrowing from RBI + borrowing from abroad**	NCERT
Sec 5	Link to revenue deficit	**FD = RD + capital expenditure − non-debt creating capital receipts**	NCERT
Sec 5	Primary deficit (NCERT)	**GPD = GFD − net interest liabilities**	NCERT

🔢 NUMBER CARD: FIGURES TO HOLD

Art. 112 / 113 Annual Financial Statement / Lok Sabha permission

1997 WMA Agreement; no Budget Deficit

2003 FRBM Act: FD 3%, eliminate RD

60% = 40 + 20 N.K. Singh debt anchor: Centre + States

6.0% / 6.5% FD in 2008-09 / 2009-10

4.3 / 1.5 / 0.3 / 0.7 FD, RD, ERD, PD (% of GDP), Budget 2026-27 BE

32% → 42% → 41% devolution: 14th FC then 15th FC

147 → 59 → 30 CSS count: 2011, Chaturvedi, Sub-Group of CMs

6 + ~22-24 + optional core of the core, core, optional schemes

60 : 40; 25% CSS sharing; flexi-fund share

50 : 50 PMFBY premium subsidy, Centre : State

2005 MAT introduced; State VAT

30% → 22%; 25% → 15% 2019 corporate tax cut: existing; new manufacturing

0.72 → 1.22 tax buoyancy: pre-GST to post-GST

8-9 crore / under 2 crore return filers / effective taxpayers

MY NOTES

✏ BLANK-PAGE DRILL: DRAW THESE FROM MEMORY, THEN CHECK

- Redraw the handout's "Budget at a Glance" skeleton (section 8): revenue receipts, capital receipts (with borrowings), total expenditure, and the four deficits at the bottom.
- Write the ladder of deficits from the handout's flow (section 5): TE − NDR = FD, then PD, RD, ERD, with each subtraction.
- Write from memory: the three buckets of CSS (6 core of the core, core, optional), the three Finance Commission Articles, and the five escape clauses.

NCERT CHECKLIST: END BOXES, QUESTIONS, KEY CONCEPTS

📘 FROM NCERT · CLASS XII MACROECONOMICS CH 5, SUMMARY AND KEY CONCEPTS

In plain words: NCERT's own six-line summary of the chapter. Use it as a last check: can you add one example to each line?

Link to the handout: Covers handout sections 2, 3, 4, 5 and 6.

NCERT Summary

- Public goods are non-rivalrous and non-excludable, so private enterprise will not provide them; the government must.
- The three functions, allocation, redistribution and stabilisation, work through the government's receipts and expenditure.
- The budget is divided into the revenue budget and capital budget to separate current needs from investment in the capital stock.
- A rising revenue deficit as a share of the fiscal deficit points to lower quality of spending and less capital formation.
- Proportional taxes reduce the autonomous expenditure multiplier because they reduce the marginal propensity to consume out of income.
- Public debt is burdensome if it reduces future growth in output.

📘 NCERT PARTS WITH NO MATCHING HANDOUT SECTION (READ THEM FROM NCERT)

- **Class XII Ch 4 (Determination of Income and Employment)**: The multiplier built round by round (Table 4.1: 10 + (0.8)10 + … = 50), investment multiplier 1/(1 − c), paradox of thrift. Read it before the NCERT multiplier box.

MY NOTES

- **Class XII Ch 6 (Open Economy)**: Open economy multiplier with imports, and the budget deficit versus trade deficit. Belongs with the external sector.
- **Class XI Ch 3 intro (the 1991 crisis)**: How a government borrowed to finance spending and could not repay: the 1991 balance of payments crisis. Read with the external sector chapter.
- **Class XI Ch 3 §3.4 Box 3.1 (Maharatnas, Navratnas, Miniratnas)**: Status given to public enterprises. Only the disinvestment definition is used here.
- **Class XII Ch 2 (National income accounting)**: Personal income, personal disposable income, transfer payments: read with the NCERT redistribution function.

📘 NCERT KEY CONCEPTS: TICK EACH WHEN YOU CAN DEFINE IT

☐ Public goods ☐ Automatic stabiliser
☐ Discretionary fiscal policy ☐ Ricardian equivalence

📘 NCERT'S OWN END-OF-CHAPTER QUESTIONS: CAN YOU ANSWER EACH FROM THESE NOTES?

NCERT question	Answer lives in
1. Explain why public goods must be provided by the government.	Section 2 + NCERT box
2. Distinguish between revenue expenditure and capital expenditure.	Section 3 + NCERT definitions
3. "The fiscal deficit gives the borrowing requirement of the government." Elucidate.	Section 5 + NCERT worked table
4. Give the relationship between the revenue deficit and the fiscal deficit.	Section 5: FD = RD + capital expenditure − non-debt capital receipts (NCERT)
5. Investment 200, G 150, net taxes 100, C = 100 + 0.75Y: equilibrium income, multipliers, effect of G up by 200.	Section 4: NCERT multiplier box (formula Y* and the two multipliers)
6. C = 20 + 0.80Y, I = 30, G = 50, TR = 100: equilibrium income, multiplier, effect of G up by 30, of a lump-sum tax of 30.	Section 4: NCERT multiplier box
7. Effect on output of a 10 per cent rise in transfers and in lump-sum taxes; compare.	Section 4: transfer and tax multipliers

MY NOTES

NCERT question	Answer lives in
8. C = 70 + 0.70YD, I = 90, G = 100, T = 0.10Y: equilibrium income, tax revenue, balanced budget?	Section 4: proportional tax box
9. mpc 0.75 and a 20 per cent proportional income tax: effect of G up by 20; transfers down by 20.	Section 4: proportional tax and transfer box
10. Why is the tax multiplier smaller in absolute value than the government expenditure multiplier?	Section 4: NCERT Step 2
11. Explain the relation between government deficit and government debt.	Section 4 (flow and stock) + section 6 NCERT box
12. Does public debt impose a burden? Explain.	Section 6 NCERT box
13. Are fiscal deficits inflationary?	Section 4 NCERT box
14. Discuss the issue of deficit reduction.	Section 5 NCERT box (Step 3)
15. What do you understand by GST? How good is it compared with the old system? State its categories.	Chapter 11, sections 2-4 and 7

ABBREVIATION COLUMN

Every short form used in this chapter, expanded.

NCERT = National Council of Educational Research and Training — publisher of the school textbooks the teacher calls "very, very important"

GDP = Gross Domestic Product — value of all final goods and services produced inside a country in a year

GST = Goods and Services Tax — common indirect tax on goods and services

FD = Fixed Deposit — bank deposit for a fixed term

RD = Revenue Deficit — revenue expenditure minus revenue receipts

RBI = Reserve Bank of India — central bank

FRBM = Fiscal Responsibility and Budget Management — law that sets deficit and debt targets

TR = Total Receipts — revenue plus capital receipts (also transfers, in the multiplier box)

TE = Total Expenditure — revenue plus capital expenditure

VAT = Value Added Tax — tax on value added at each stage, with credit for earlier tax

CSS = Centrally Sponsored Scheme — Centre-funded scheme run by States, with a State share

WMA = Ways and Means Advances — RBI's short-term advance to a State government

RR = Revenue Receipts — taxes and non-tax receipts that create no liability

MY NOTES

AD = Authorized Dealer — bank licensed to convert currency (also Aggregate Demand elsewhere)

CR = Capital Receipts — receipts that create a liability or reduce an asset

FC = Finance Commission — constitutional body that divides the divisible tax pool between Centre and States

PD = Primary Deficit — fiscal deficit minus interest payments

ERD = Effective Revenue Deficit — revenue deficit minus grants used to create capital assets

BD = Budget Deficit — total expenditure minus total receipts (revenue and capital)

RE = Revenue Expenditure — spending that creates no asset and reduces no liability

RNR = Revenue Neutral Rate — rate that leaves government revenue unchanged

BE = Budget Estimates — the figures presented in the Budget

GFD = Gross Fiscal Deficit — total expenditure minus non-debt receipts

GR = Growth Rate — growth of the economy

IR = Interest Rate — cost of borrowing

NDR = Non-Debt Receipts — revenue receipts plus non-debt capital receipts

PSU = Public Sector Undertaking — government-owned company

ITC = Input Tax Credit — tax already paid on inputs, set off against tax due on the sale

COVID = Coronavirus Disease — pandemic of 2020 that froze liquidity

SGST = State GST — State's share of GST on intra-state supply

CGST = Central GST — Centre's share of GST on intra-state supply

IGST = Integrated GST — GST on inter-state supply, collected by the Centre

MAT = Minimum Alternate Tax — minimum tax on companies' book profits

PSUs = Public Sector Undertakings — government-owned companies

TDS = Tax Deducted at Source — tax deducted by the payer before paying

CMs = Chief Ministers — heads of State governments

CS = Central Sector — scheme run by the Centre with Central machinery

CST = Central Sales Tax — tax on inter-State sale, collected by the Centre and given to the selling State

NDCR = Non-Debt Capital Receipts — capital receipts that are not borrowing, such as disinvestment

PMFBY = Pradhan Mantri Fasal Bima Yojana — crop insurance scheme, a Central Sector scheme

AIBP = Accelerated Irrigation Benefit Programme — launched in 1996 to complete old irrigation projects

CIT = Corporate Income Tax — tax on company profits

ECBs = External Commercial Borrowings — commercial debt owed to non-residents

FY22 = Financial Year 2021-22 — April 2021 to March 2022

IT = Information Technology — software and computer services

LIC = Low-Income Country — lowest World Bank income group

NFD = Net Fiscal Deficit — gross fiscal deficit less the government's lending to States and PSUs

MY NOTES

NITI = National Institution for Transforming India — think tank that replaced the Planning Commission

PDMA = Public Debt Management Agency — proposed independent debt manager

PPP = Public-Private Partnership — joint working of government and private firms (also purchasing power parity elsewhere)

TFR = Total Fertility Rate — average number of children per woman

BOT = Build-Operate-Transfer — PPP contract type

CADP = Command Area Development Programme — irrigation programme launched in 1974

CE = Consumption Expenditure — what households spend, the base for measuring inequality

EPC = Engineering, Procurement and Construction — PPP contract type

FRBMA = Fiscal Responsibility and Budget Management Act — the 2003 Act (NCERT short form)

FY23 = Financial Year 2022-23 — April 2022 to March 2023

GPD = Gross Primary Deficit — gross fiscal deficit minus net interest liabilities

HAM = Hybrid Annuity Model — PPP contract type

J&K = Jammu and Kashmir

MTFP = Medium-Term Fiscal Policy — statement with three-year rolling fiscal targets

NFHS-2 = National Family Health Survey, round 2 — an old survey round

NPS = National Pension System — pension scheme

PDMC = Public Debt Management Cell — interim debt management unit in the Finance Ministry

PM-KISAN = Pradhan Mantri Kisan Samman Nidhi — income support scheme for farmers

PSEs = Public Sector Enterprises — government-owned companies

AFS = Annual Financial Statement — the budget statement under Art. 112

AMT = Alternate Minimum Tax — the MAT equivalent for individuals

APIs = Active Pharmaceutical Ingredients — key drug raw materials

BARC = Bhabha Atomic Research Centre — atomic research institution

BEPS = Base Erosion and Profit Shifting — moving profits to low-tax places

CEA = Central Electricity Authority — statutory body for the power sector

CM = Chief Minister — head of a State government

DTAA = Double Taxation Avoidance Agreement — treaty to avoid taxing the same income twice

DTC = Direct Tax Code — proposed simpler direct tax law

FAME = Faster Adoption and Manufacturing of Electric Vehicles — EV support scheme

FDI = Foreign Direct Investment — 10% or more of equity, control intended

FII = Foreign Institutional Investor — large foreign fund investing in Indian markets

FIIs = Foreign Institutional Investors — large foreign funds investing in Indian markets

FM = Finance Minister — chair of the GST Council is the Union FM

FY = Financial Year — April to March

FY20 = Financial Year 2019-20 — April 2019 to March 2020

MY NOTES

FY21 = Financial Year 2020-21 — April 2020 to March 2021

GAAR = General Anti-Avoidance Rules — rules against abusive tax avoidance

ICOR = Incremental Capital-Output Ratio — capital needed per unit of extra output

MFS = Macroeconomic Framework Statement — one of the three FRBM statements

MGNREGA = Mahatma Gandhi National Rural Employment Guarantee Act — guarantees 100 days of rural wage work

MIS = Market Intervention Scheme

MOSPI = Ministry of Statistics and Programme Implementation — official statistics ministry

MRP = Maximum Retail Price — printed price ceiling

NBC = NBC (short form as printed in the handout) — a Central Sector scheme example; check the full name in your notebook

NRI = Non-Resident Indian — Indian citizen living abroad

NSAP = National Social Assistance Programme — pensions for the elderly, widows and disabled

NSSF = National Small Savings Fund — fund holding small-savings collections

PIT = Personal Income Tax — tax on individuals' income

SCs = Scheduled Castes — a constitutional category

SLR = Statutory Liquidity Ratio — share of deposits banks keep in liquid assets

SMEs = Small and Medium Enterprises — small and medium businesses

STs = Scheduled Tribes — a constitutional category

UN = United Nations — world body of states founded in 1945

UTs = Union Territories — centrally administered areas

Meanings are plain-language aids; verify before quoting in an answer.

CURRENT AFFAIRS

Western Dedicated Freight Corridor (WDFC) completed

September 2026 Prelims · Mains

The PM inaugurated the final sections of the WDFC, completing the 2,843-km DFC network (Eastern and Western).

India became the first country to run double-stack container trains under overhead electric traction on a dedicated freight corridor.

Western DFC 1,506 km: Dadri (UP) to JNPT (Maharashtra), JICA yen loans. Eastern DFC 1,337 km: Ludhiana (Punjab) to Sonnagar (Bihar), partly World Bank financed (initially planned to Dankuni, West Bengal). Implementing agency: DFCCIL (SPV under the Ministry of Railways, established **2006** under the Companies Act).

Union Budget **2026-27** proposed an East-West DFC from Dankuni (West Bengal) to Surat (Gujarat); other proposed: East Coast, North-South.

Significance: rail freight about **Rs 1.90** per tonne-km against up to **Rs 3.78** by road; decongests passenger lines; supports DMIC and

MY NOTES

Amritsar-Kolkata corridor; emissions 22 g vs 62 g CO2 per tonne-km (rail vs road); supports PM GatiShakti.

Gaps: terminal congestion and stabling; PPP failure (Sonnagar-Dankuni); average DFC speed 37 km/h in **2024-25** (38 in **2023-24**); holding line gaps.

Way forward: fast-track future corridors; last-mile multimodal links (MMLPs, ICDs); private freight terminals; IoT tracking and predictive maintenance.

PRELIMS FODDER

National Rail Plan Vision 2030: raise rail freight modal share to **45%**. Modal share now: rail **18%**, road **71%** (NITI Aayog, **2021**). Services: Trucks on Train, FOIS.

Keywords Freight decongestion · Logistics cost · PM GatiShakti · National Logistics Policy

PYQ CONNECT

2021 Mains: Investment in infrastructure is essential for rapid and inclusive growth.

Consumer Protection (E-Commerce) Amendment Rules, 2026

September 2026 Prelims · Mains

*The Department of Consumer Affairs notified amendments to the **2020** E-Commerce Rules; in force from January **2027**.*

Complaints: acknowledged in 48 hours and resolved in a month (continues); consumer gets a copy of the recorded complaint; every e-commerce entity must become a National Consumer Helpline (NCH) convergence partner.

Search and listings: no manipulation of search results; main ranking factors explained in order of importance; sponsored listings clearly marked.

Price cuts must show the prior price, meaning the lowest price in the preceding **30 days**.

Dark patterns: follow the **2023** Guidelines; yearly self-audit and a prominently displayed compliance certificate.

Disclosures: country of origin, best-before date, return-shipping cost, delivery and payment terms; seller GSTIN or MSME registration. Express consent needed for promotional use of consumer information.

Need: online shoppers about 290-**300 million**; about **29%** of NCH complaints in **2025** were e-commerce (**5.11 lakh** of **17.72 lakh**).

Issues: self-audit may not be enough; enforcement at scale; overlap with competition, data protection (DPDP Act **2023**, Rules **2025**) and legal metrology; burden on small businesses.

MY NOTES

Way forward: CCPA audit standards and continuous compliance; automated and risk-based supervision; coordination among CCPA, CCI, MeitY and Legal Metrology.

PRELIMS FODDER

Marketplace model: platform facilitates transactions; inventory model: entity owns and sells the stock.

CCPA: Section 10, Consumer Protection Act, **2019**; set up **2020**, New Delhi.

CCI Market Study (**2020**) flagged platform neutrality, price parity, deep discounts.

EU also uses a 30-day lowest-price benchmark.

Keywords Dark patterns · Choice architecture · Information asymmetry · Platform accountability

PYQ CONNECT

2022 Prelims: foreign-owned e-commerce firms may not sell own goods as inventory and are limited in owning large sellers.

DILRMP 3.0 (2026-31)

September 2026 Prelims · Mains

*The Ministry of Rural Development issued Operational Guidelines for DILRMP 3.0 (**2026-2031**).*

History: NLRMP (**2008-16**) from merging CLR and SRA&ULR; DILRMP (**2016-26**) as a Central Sector Scheme with Bhu-Aadhaar (ULPIN) and NGDRS. DILRMP 3.0: Central Sector Scheme, outlay **Rs 565.50 crore** over FY **2026-27** to **2030-31**, run by the Department of Land Resources; shift from digitisation to an integrated, interoperable GIS-based Digital Public Infrastructure.

Achievements: **99.90%** Records of Rights digitised, **97%** cadastral maps, **99%** Sub-Registrar Offices computerised.

Pillars: Land Stack (federated, links cadastral maps, RoR, registration and court cases through APIs); Bhu-Aadhaar (14-digit geospatial ID for every parcel); Registration Seva Kendras (75 high-footfall SROs, like Passport Seva Kendras); NAKSHA (urban survey, urban property cards).

Need: over **60%** of civil litigation is land related and takes about **20 years**; fragmented databases; unclear titles delay projects; small farmers lack verifiable titles for loans.

Challenges: digitally signed RoRs not legally valid in all States; presumptive titling, not guaranteed title; legacy errors; NAKSHA still at pilot stage.

Way forward: legal validity for digital RoRs; conclusive titling (Rajan committee on Financial Sector Reforms; NITI Aayog draft Model Land Titling Act with Land Titling Authority and Appellate

MY NOTES

Tribunals); verify legacy records; auto-triggered mutation after registration.

PRELIMS FODDER

SVAMITVA (**2020**, Ministry of Panchayati Raj): property cards for village abadi areas. Cadastral map: large-scale map of land parcel boundaries and ownership. Mutation: updating land records after sale, inheritance, partition or court order.

Keywords Bhu-Aadhaar (ULPIN) · Land Stack · Digital Public Infrastructure · Conclusive titling

National Investment and Infrastructure Fund (NIIF)

September 2026 Prelims

*NIIF Infrastructure Fund II has raised about **Rs 19,000 crore** towards a **Rs 30,000 crore** target. Fund I had about **Rs 16,000 crore**.*

NIIF is a sovereign-anchored fund (government a key investor, also draws large domestic and global institutions), run by NIIFL; Government holds **49%**.

Funds: Master fund, fund of funds (e.g. India-UK Green Growth Equity Fund), Strategic Opportunities Fund, India-Japan Fund.

Keywords Sovereign-anchored fund

PYQ CONNECT

2017 Prelims: NIIF is not an organ of NITI Aayog and does not have a corpus of **Rs 4,00,000 crore**.

Corporate Mitra Scheme

September 2026 Prelims

*First batch of the Corporate Mitra Course began with 2,879 learners, after the Union Budget **2026-27** announcement.*

Builds accredited para-professionals for ease of doing business. Academic support: ICAI, ICSI, ICoAI. Areas: accounting, taxation, banking, financial management, legal and secretarial practice, cost accounting. Eligibility: Indian nationals up to **30 years**, graduates or final-year students; certified after assessment and on-the-job training.

Keywords Para-professionals · Ease of doing business

BIS: compulsory certification for screen protectors

September 2026 Prelims

*BIS certification is compulsory for smartphone screen protectors from 1 April **2027**.*

Screen protectors are the 66th product under the Electronics and IT Goods (Requirement of Compulsory Registration) Order, **2021**; standard IS 19348:**2025**; notified under the BIS Act, **2016**.

MY NOTES

BIS: national standards body (BIS Act, **2016**): standards, certification, compulsory registration, hallmarking, labs; HQ New Delhi.

Keywords BIS Act 2016 · Compulsory registration

First global road surface dataset

September 2026 Prelims

Heidelberg University and HeiGIT built the first global multi-temporal dataset of road surface conditions.

Maps **95.5%** of **9.2 million** km of critical arterial roads for **2020** and **2024** (nearly half previously unclassified), using deep learning and 3-4 metre PlanetScope imagery to detect pavedness and width. Useful for infrastructure planning, climate adaptation and humanitarian logistics.

Keywords Geospatial AI

India's first LNG-powered train

September 2026 Prelims

Flagged off from Sabarmati, Gujarat.

Eight-coach non-AC modified DEMU by ICF Chennai; two 1,400 hp power cars run on LNG and diesel; LNG can replace about **40%** of diesel.

LNG: natural gas cooled to about -161 deg C, 95-**99%** methane; calorific value 47-50 MJ/kg (diesel about 45.6). India imported about 34.2 BCM in FY26, with import dependence of about **49%**.

Keywords LNG · DEMU · Dual fuel

TIMELINE AND NUMBERS

When	What
1974	Command Area Development Programme launched.
1980s	CENVAT/MODVAT: VATting of excise.
1996	AIBP launched to complete old irrigation projects.
1997	WMA Agreement: government stops presenting a Budget Deficit; deficit monetisation ends. ★
2003	FRBM Act: FD 3%, eliminate RD, three statements. ★
2004	FRBM sunset date moved from 2008 to 2009.
2005	State VAT; MAT introduced.
2005-2012	Oil Bonds issued to oil marketing companies.
2008-09	FD 6.0% against FRBM target (crisis, 6th Pay Commission, farm loan waiver, oil bonds). ★
2011	CSS had grown to 147 schemes; B.K. Chaturvedi Committee suggested 59.
2012	ERD introduced; FRBM deadline moved to 2015. Rangarajan committee (Plan/Non-Plan, slide).

MY NOTES

When	What
2014	Planning Commission replaced by NITI Aayog; 14th FC raises devolution to 42%. ★
2015	FRBM deadlines moved to 2018.
2016	N.K. Singh Committee on FRBM; 101st Amendment (GST). ★
2017	GST starts (1 July); Plan/Non-Plan abolished (slide). ★
2018	FRBM overhauled; RD and ERD targets scrapped; FD 3% by 2021. ★
September 2019	Corporate tax cut: 30% → 22%, new manufacturing 15%. ★
2021-26	15th FC period: 41% vertical devolution; 12.5% demographic performance weight. ★
August-September 2025	GST 2.0 rate rationalisation (per handout).
2026-27 BE	FD 4.3%, RD 1.5%, ERD 0.3%, PD 0.7% of GDP; GDP estimate ₹393,00,393 crore. ★

CONNECTS TO OTHER CHAPTERS

Where	Why
Chapter 11: Goods and Services Tax	The full GST story; section 10 here is the recap and the later changes.
Chapter 4: Basic Concepts	Public goods and the origin of the State are cited from the "Basic Concepts" chapter.
Chapter 6: Inflation	Engel's law, and why monetisation and excess spending are inflationary.
Chapter 8: Money and Monetary Policy	RBI as debt manager versus monetary authority; WMA; T-bills and G-Secs.
Chapter 10: External Sector	The BoP capital-account logic mirrors the asset-liability test; ECBs and external debt.
Chapter 2: Inequality	Equity function of taxation; regressive versus progressive taxes.
Chapter 13: NABARD and NBFCs	Next chapter in the handout set.

MAINS ANSWER SKELETONS

"THE BUDGET IS THE ANNUAL RENEWAL OF THE SOCIAL CONTRACT." DISCUSS, WITH REFERENCE TO ARTICLES 112 AND 113.

Intro: The government is an artificial entity created by the people, so its handling of money must be transparent and permitted.

• Art. 112: AFS shows estimated receipts and expenditure, separating revenue account from others.

• Art. 113(2): the Lok Sabha may assent, refuse or reduce demands for grants: no taxation without representation.

MY NOTES

• Three functions: equity, efficiency, stabilisation.

• A habitual deficit turns the budget into political theatre and shatters trust (CADP/AIBP example).

Close: Transparency without permission is just a dictator's accounts.

EXPLAIN THE FRBM ACT AND THE N.K. SINGH COMMITTEE. WHY DID THE ORIGINAL ACT LOSE CREDIBILITY?

Intro: FRBM 2003 was Parliament's attempt to bind its own hands on deficits.

• Targets: FD 3%, eliminate RD, three statements (macro framework, MTFP, fiscal policy strategy).

• Deviation 2008-09 (6.0%) and 2009-10 (6.5%); amendments 2004, 2012, 2015, 2018; escape clause was vague.

• N.K. Singh: debt anchor 60% (40/20), objective escape clauses, counter-cyclical policy.

• RD and ERD targets scrapped in 2018.

Close: A law the lawmaker can amend at will disciplines nobody.

DISTINGUISH FISCAL DEFICIT, PRIMARY DEFICIT, REVENUE DEFICIT AND EFFECTIVE REVENUE DEFICIT. WHAT DO THEY TELL US ABOUT THE HEALTH OF PUBLIC FINANCES?

Intro: Each deficit slices the gap between expenditure and receipts differently.

• FD = borrowing; PD = FD minus interest; RD = RE − RR; ERD = RD − capital-asset grants.

• RD means borrowing to run the government.

• Why ERD: CSS grants are revenue for the Centre but build assets in States.

• Budget 2026-27 BE: FD 4.3%, RD 1.5%, ERD 0.3%, PD 0.7%.

Close: Debt that builds assets is different from debt that pays salaries.

DISCUSS THE EVOLUTION OF INDIA'S FISCAL FEDERALISM FROM THE PLANNING COMMISSION TO NITI AAYOG.

Intro: Transfers moved from conditional schemes to untied devolution.

• Art. 280 and 275 versus Art. 282; tied CSS under the Planning Commission; 147 schemes to 59 to 30.

• 14th FC raised devolution 32% to 42%; 15th FC 41% with new criteria (demographic performance, tax effort).

• NITI Aayog, Sub-Group of CMs, core of the core, flexi-fund, portability.

• Counterpoint: GST and the loss of State tax autonomy.

Close: The shift is from command and control to cooperative federalism.

EXPLAIN THE LAFFER CURVE, TAX ELASTICITY AND TAX BUOYANCY. HOW DO THEY HELP EVALUATE THE 2019 CORPORATE TAX CUT AND GST?

MY NOTES

Intro: These three measures separate the effect of rates from the effect of growth.

- Laffer: inverted U with an optimal rate t*; elasticity: revenue change per change in rate; buoyancy: revenue change per change in GDP.
- 2019: rates cut from 30% to 22%; collections fell then rose to ₹8.25 lakh crore in FY23, with other factors confounding.
- GST: buoyancy 0.72 pre-GST against 1.22 post-GST.
- Complexity raises compliance cost and encourages evasion; narrow base (under 2 crore effective taxpayers).

Close: A tax system is healthy when growth, not rate hikes, fills the treasury.

PAST-YEAR QUESTIONS · 25 PRELIMS AND 10 MAINS QUESTIONS FROM THE SAARTHI SUBJECT-WISE SHEETS

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question

1 · WHY THE STATE EXISTS, AND WHY IT MUST PRESENT A BUDGET

1 Prelims · 0 Mains

Prelims 2010

Which one of the following is responsible for the preparation and presentation of Union Budget to the Parliament?

(a) Department of Revenue
(b) Department of Economic Affairs
(c) Department of Financial Services
(d) Department of Expenditure

Answer: **(b)** Department of Economic Affairs

2 · BUDGET FUNCTIONS AND OBJECTIVES 1 Prelims · 1 Mains

Prelims 2021

Which among the following steps is most likely to be taken at the time of an economic recession?

(a) Cut in tax rates accompanied by increase in interest rate
(b) Increase in expenditure on public projects
(c) Increase in tax rates accompanied by reduction of interest rate
(d) Reduction of expenditure on public projects

Answer: **(b)** Increase in expenditure on public projects

Mains 2016 12.5 marks Gender budgeting

Women empowerment in India needs gender budgeting. What are the requirements and status of gender budgeting in the Indian context?

KEYWORDS gender budgeting women empowerment requirements status

MY NOTES

3 · ACCOUNTING IN THE BUDGET: REVENUE AND CAPITAL ACCOUNTS 3 Prelims · 1 Mains

Prelims 2022

With reference to the expenditure made by an organization or a company, which of the following statements is/are correct ?

1. Acquiring new technology is capital expenditure.
2. Debt financing is considered capital expenditure, while equity financing is considered revenue expenditure.

Select the correct answer using the code given below :

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(a)** 1 only

Prelims 2016

Which of the following is/are included in the capital budget of the Government of India?

1. Expenditure on acquisition of assets like roads, buildings, machinery, etc.
2. Loans received from foreign governments.
3. Loans and advances granted to the States and Union Territories.

Select the correct answer using the code given below.

(a) 1 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(d)** 1, 2 and 3

Prelims 2011

The authorization for the withdrawal of funds from the Consolidated Fund of India must come from

(a) The President of India
(b) The Parliament of India
(c) The Prime Minister of India
(d) The Union Finance Minister

Answer: **(b)** The Parliament of India

Mains 2021 10 marks Capital vs Revenue Budget

Distinguish between Capital Budget and Revenue Budget. Explain the components of both these Budgets.

KEYWORDS: capital budget | revenue budget | capital receipts | revenue receipts | capital expenditure | revenue expenditure | components

MY NOTES

4 · DEFICIT VERSUS DEBT, BUDGET DEFICIT, MONETISATION AND WMA 4 Prelims · 0 Mains

Prelims 2016

There has been a persistent deficit budget year after year. Which action/ actions of the following can be taken by the government to reduce the deficit?

1. Reducing revenue expenditure
2. Introducing new welfare scheme
3. Rationalizing subsidies
4. Reducing import duty

Select the correct answer using the code given below.

(a) 1 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2, 3 and 4

Answer: **(c)** 1 and 3 only

Prelims 2015

There has been a persistent deficit budget year after year. Which of the following actions can be taken by the government to reduce the deficit?

1. Reducing revenue expenditure
2. Introducing new welfare schemes
3. Rationalizing subsidies
4. Expanding industries

Select the correct answer using the code given below.

(a) 1 and 3 only
(b) 2 and 3 only
(c) 1 only
(d) 1, 2, 3 and 4

Answer: **(a)** 1 and 3 only

Prelims 2013

In India, deficit financing is used for raising resources for:

(a) economic development
(b) redemption of public debt
(c) adjusting the balance of payments
(d) reducing the foreign debt

Answer: **(a)** economic development

Prelims 2011

Which one of the following statements appropriately describes the "fiscal stimulus"?

(a) It is a massive investment by the Government in the manufacturing sector to ensure the supply of goods to meet demand surge caused by rapid economic growth.
(b) It is an intense affirmative action of the Government to boost economic activity in the country.
(c) It is the Government's intensive action on financial institutions to ensure disbursement of loans to agriculture and allied sectors to promote greater food production and contain food
(d) It is an extreme affirmative action by the government to pursue its policy of financial inclusion.

Answer: **(b)** It is an intense affirmative action of the Government to boost economic activity in the country.

MY NOTES

5 · THE FRBM ACT AND THE FAMILY OF DEFICITS 3 Prelims · 2 Mains

Prelims 2020

Along with the Budget, the Finance Minister also places other documents before the Parliament which include 'The Macro Economic Framework Statement'. The aforesaid document is presented because this is mandated by

(a) Long standing parliamentary convention
(b) Article 112 and Article 110(1) of the Constitution of India
(c) Article 113 of the Constitution of India
(d) Provisions of the Fiscal Responsibility and Budget Management Act, 2003

Answer: **(d)** Provisions of the Fiscal Responsibility and Budget Management Act, 2003

Prelims 2019

In the context of India, which of the following factors is/are contributor/ contributors to reducing the risk of a currency crisis?

1. The foreign currency earnings of India's IT sector.
2. Increasing government expenditure.
3. Remittances from Indians abroad.

Select the correct answer using the code given below:

(a) 1 only
(b) 1 and 3 only
(c) 2 only
(d) 1, 2 and 3

Answer: **(b)** 1 and 3 only

Prelims 2018

Consider the following statements:

1. The Fiscal Responsibility and Budget Management (FRBM) Review Committee Report has recommended a debt to GDP ratio of 60% for the general (combined) government by 2023, comprising 40% for the Central Government and 20% for the State Governments.
2. The Central Government has domestic liabilities of 21% of GDP as compared to that of 49% of GDP of the State Governments.
3. As per the Constitution of India, it is mandatory for a State to take the Central Government's consent for raising any loan if the former owes any outstanding liabilities to the latter.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 and 3 only
(c) 1 and 3 only
(d) 1, 2 and 3

Answer: **(c)** 1 and 3 only

Mains 2025 15 marks Fiscal Health Index (FHI)

Explain how the Fiscal Health Index (FHI) can be used as a tool for assessing the fiscal performance of states in India. In what way would it encourage the states to adopt prudent and sustainable fiscal policies?

KEYWORDS states · sustainable · fiscal policies · Fiscal Health Index · fiscal performance · prudent

MY NOTES

Mains 2013 10 marks FRBM

What are the reasons for introduction of Fiscal responsibility and Budget Management (FRBM) act, 2003? Discuss critically its salient features and their effectiveness.

KEYWORDS FRBM Act | fiscal deficit | escape clause | reasons | salient features | effectiveness

6 · PUBLIC DEBT, OTHER LIABILITIES AND DEBT SUSTAINABILITY 1

Prelims · 0 Mains

Prelims 2018

Consider the following statements:

1. The Reserve Bank of India manages and services Government of India Securities but not any State Government Securities.
2. Treasury bills are issued by the Government of India and there are no treasury bills issued by the State Governments.
3. Treasury bills are issued at a discount from the par value.

Which of the statements given above is/are correct?

(a) 1 and 2 only
(b) 3 only
(c) 2 and 3 only
(d) 1, 2 and 3

Answer: **(c)** 2 and 3 only

7 · EXPENDITURE AND FISCAL FEDERALISM 3 Prelims · 3 Mains

Prelims 2023

Consider the following :

1. Demographic performance
2. Forest and ecology
3. Governance reforms
4. Stable government
5. Tax and fiscal efforts For the horizontal tax devolution, the Fifteenth Finance Commission used how many of the above as criteria other than population area and income distance?

(a) Only two
(b) Only three
(c) Only four
(d) All five

Answer: **(b)** Only three

Prelims 2015

With reference to the Fourteenth Finance Commission, which of the following statements is/are correct?

1. It has increased the share of States in the central divisible pool from 32 percent to 42 percent.
2. It has made recommendations concerning sector-specific grants.

Select the correct answer using the code given below:

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(a)** 1 only

MY NOTES

Prelims 2014

With reference to the Union Budget, which of the following is/are covered under Non-Plan Expenditure?

1. Defence Expenditure
2. Interest Payments
3. Salaries and pensions
4. Subsidies

Select the correct answer using the code given below:

(a) 1 only
(b) 2 and 3 only
(c) 1, 2, 3 and 4
(d) None

Answer: **(c)** 1, 2, 3 and 4

Mains 2024 10 marks Social Sector Expenditure Trends

Examine the pattern and trend of public expenditure on social services in the post-reforms period in India. To what extent this has been in consonance with achieving the objective of inclusive growth?

KEYWORDS public expenditure | inclusive growth | social services | post-reforms | trend | pattern

Mains 2019 15 marks Public Expenditure Management

The public expenditure management is a challenge to the government of India in the context of budget-making during the post-liberalization period. Clarify it.

KEYWORDS public expenditure management | budget-making | post-liberalization | challenge

Mains 2015 12.5 marks Direct Benefit Transfer (DBT) Subsidies

In what way could replacement of price subsidy with Direct Benefit Transfer (DBT) change the scenario of subsidies in India? Discuss.

KEYWORDS subsidies | DBT | price subsidy

8 · RECEIPTS AND THE BUDGET AT A GLANCE (2026-27) 1 Prelims · 1 Mains

Prelims 2011

Why is the Government of India disinvesting its equity in the Central Public Sector Enterprises (CPSEs)?

1. The Government intends to use the revenue earned from the disinvestment mainly to pay back the external debt.
2. The Government no longer intends to retain the management control of the CPSEs.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(d)** Neither 1 nor 2

MY NOTES

Mains 2017 15 marks Government Budgeting

One of the intended objectives of Union Budget 2017-18 is to 'transform, energize and clean India'. Analyse the measures proposed in the Budget 2017-18 to achieve the objective.

KEYWORDS Union Budget 2017-18 measures

9 · TAXATION: LAW, CLASSIFICATION AND THE DIRECT TAX PICTURE

8 Prelims · 2 Mains

Prelims 2022

Which one of the following situations best reflects "Indirect Transfers" often talked about in the media recently with reference to India ?

(a) An Indian company investing in a foreign enterprise and paying taxes to the foreign country on the profits arising out of its investment
(b) A foreign company investing in India and paying taxes to the country of its base on the profits arising out of its investment
(c) An Indian company purchases tangible assets in a foreign country and sells such assets after their value increases and transfers the proceeds to India
(d) A foreign company transfers shares and such shares derive their substantial value from assets located in India

Answer: **(d)** A foreign company transfers shares and such shares derive their substantial value from assets located in India

Prelims 2021

Which one of the following effects of creation of black money in India has been the main cause of worry to the Government of India?

(a) Diversion of resources to the purchase of real estate and investment in luxury housing
(b) Investment in unproductive activities and purchase of precious stones, jewellery, gold, etc.
(c) Large donations to political parties and growth of regionalism
(d) Loss of revenue to the State Exchequer due to tax evasion

Answer: **(d)** Loss of revenue to the State Exchequer due to tax evasion

Prelims 2018

With reference to India's decision to levy an equalization tax of 6% on online advertisement services offered by non-resident entities, which of the following statements is/are correct?

1. It is introduced as a part of the Income Tax Act.
2. Non-resident entities that offer advertisement services in India can claim a tax credit in their home country under the "Double Taxation Avoidance Agreements".

Select the correct answer using the code given below:

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(d)** Neither 1 nor 2

MY NOTES

Prelims 2017

With reference to the 'Prohibition of Benami Property Transactions Act, 1988 (PBPT Act)', consider the following statements:

1. A property transaction is not treated as a benami transaction if the owner of the property is not aware of the transaction.
2. Properties held benami are liable for confiscation by the Government.
3. The Act provides for three authorities for investigations but does not provide for any appellate mechanism.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) 1 and 3 only
(d) 2 and 3 only

Answer: **(b)** 2 only

Prelims 2017

Consider the following statements:

1. Tax revenue as a per cent of GDP of India has steadily increased in the last decade.
2. The fiscal deficit as a per cent of GDP of India has steadily increased in the last decade.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(d)** Neither 1 nor 2

Prelims 2015

With reference to the Union Government, consider the following statements.

1. The Department of Revenue is responsible for the preparation of the Union Budget that is presented to the Parliament.
2. No amount can be withdrawn from the Consolidated Fund of India without the authorization of the Parliament of India.
3. All the disbursements made from Public Account also need Authorization from the Parliament of India.

Which of the statements given above is/are correct?

(a) 1 and 2 only
(b) 2 and 3 only
(c) 2 only
(d) 1, 2 and 3

Answer: **(c)** 2 only

MY NOTES

Prelims 2015

A decrease in the tax to GDP ratio of a country indicates which of the following?

1. Slowing economic growth rates
2. Less equitable distribution of national income

Select the correct answer using the code given below.

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(a)** 1 only

Prelims 2012

Under which of the following circumstances may 'capital gains' arise?

1. When there is an increase in the sales of a product
2. When there is a natural increase in the value of the property owned
3. When you purchase a painting and there is a growth in its value due to increase in its popularity

Select the correct answer using the code given below:

(a) 1 only
(b) 2 and 3 only
(c) 2 only
(d) 1, 2 and 3

Answer: **(b)** 2 and 3 only

Mains 2018 10 marks LCGT and DDT

Comment on the important changes introduced in respect of the Long-term Capital Gains Tax (LCGT) and Dividend Distribution Tax (DDT) in the Union Budget for 2018-2019.

KEYWORDS: Long-term Capital Gains Tax | Dividend Distribution Tax | changes

Mains 2013 10 marks Government Budgeting (tax-expenditure)

What is meaning of the term tax-expenditure? Taking housing sector as an example, discuss how it influences budgetary policies of the government.

KEYWORDS: tax expenditure | housing sector | budgetary policies

MY NOTES

END OF CHAPTER · RECALL AND DRILL

RECALL SHEET: COVER THE RIGHT COLUMN AND ANSWER

Art. 112?	Annual Financial Statement: estimated receipts and expenditure.
Who prepares the budget documents?	Budget Division, Department of Economic Affairs, Ministry of Finance.
Revenue receipts?	Rightful, non-redeemable: taxes, fines, fees, dividends, interest received.
Centre's grants to States?	Revenue expenditure unless loans.

WMA year?	1997.
Crowding out?	Government borrowing raises interest rates for the private sector.
Revenue Deficit?	RE − RR.
FRBM amendments?	2004, 2012 (ERD), 2015, 2018.
Escape clauses?	Security/war, calamity, agricultural collapse, structural reforms, 3-point quarterly growth fall.
External Debt of the Nation?	Govt external debt plus private borrowing abroad (ECBs, NRI deposits).
Debt dynamics formula?	$\Delta d \approx (i - g) \cdot d(t-1) + p$.
14th FC share?	32% → 42%.
Central Sector vs CSS?	Centre executes vs State executes with matching share (usually 40%).
Flexi-fund?	25% of a Core scheme allocation for State changes.

Prelims trap · PMFBY is a Central Sector scheme

The premium subsidy is shared 50:50 by Centre and State, yet PMFBY is officially a Central Sector Scheme. The Centre pays its share directly to the insurance companies, bypassing the State treasury. *Rule: 'Central Sector = always 100% Centre-funded' is false; PMFBY is the exception.*

Prelims trap · Public debt versus the nation's debt

External Public Debt is the government's borrowing from foreign entities. External Debt of the Nation is larger: it adds private-sector borrowing abroad, such as ECBs and NRI deposits. *Rule: do not confuse the debt of the Sovereign with the debt of the Nation.*

Concept trap · Grants to States are Revenue Expenditure

Any transfer by the Centre to a State, except a loan, is Revenue Expenditure even if the State builds a highway with it. Interest is Revenue Expenditure; repaying principal is Capital Expenditure. *Rule: ask only whether the Centre's own assets or liabilities change.*

Concept trap · Elasticity is not buoyancy

Elasticity measures the response of revenue to a change in the tax rate, with GDP held constant. Buoyancy measures the response to GDP growth, with rates held constant. *Rule: rate change = elasticity; GDP growth = buoyancy (0.72 before GST, 1.22 after).*

Handout alert · Inter-State and intra-State are swapped

In the handout's narrative on indirect tax events, the labels are swapped. The handout's own table has them right. *Rule: CST = inter-State sale; sales tax or VAT = intra-State sale.*

MY NOTES

Handout alert · GST rates changed after the handout

The handout says GST 2.0 (August-September 2025) rationalised the rates, but the updated document is not in the material. Chapter 11 still lists the old five slabs. *Rule: for current rates use the latest Council notification, not this chapter.*

QUICK QUIZ

Q1. Which Article requires the Annual Financial Statement to be laid before Parliament?

1. Article 110
2. Article 112
3. Article 265
4. Article 280

Q2. Under the asset-liability test, which of the following is Capital Expenditure of the Centre?

1. Interest on past debt
2. A grant to a State for a road
3. Repayment of the principal of a loan
4. Salaries of government employees

Q3. Disinvestment proceeds are classified as…

1. Tax revenue
2. Non-tax revenue
3. Non-debt capital receipts
4. Debt capital receipts

Q4. The Fiscal Deficit is equal to…

1. Revenue expenditure − Revenue receipts
2. Total expenditure − Non-debt receipts
3. Total expenditure − Total receipts
4. Capital expenditure − Capital receipts

Q5. Primary Deficit equals…

1. FD plus interest payments
2. FD minus interest payments
3. RD minus interest
4. BD minus FD

Q6. The Effective Revenue Deficit is the Revenue Deficit minus…

1. interest payments
2. grants for the creation of capital assets
3. subsidies
4. loans to States

Q7. The abolition of the practice of Budget Deficit and monetisation followed…

1. FRBM Act 2003
2. WMA Agreement 1997
3. N.K. Singh Committee 2016
4. 14th Finance Commission

Q8. Special WMA differs from Normal WMA because it…

1. is unsecured
2. needs collateral such as G-Secs or T-Bills
3. is only for States
4. has no limit

Answers: Q1 b, Q2 c, Q3 c, Q4 b, Q5 b, Q6 b, Q7 b, Q8 b

MY NOTES

PART 5

Rural and climate finance

Rural credit and climate finance

CHAPTER 13 · HANDOUT PP. 1-13

13 NABARD, NBFCs, Chit Funds and Ponzi Schemes

LIGHT PRIORITY Mains PYQs quoted: **2014**

Prelims PYQs: **2010, 2020, 2023, 2024**

EXAM LENS

Prelims hooks

- NABARD's origin and committee
- SHG-BLP, KCC, LTIF, RIDF, PMAY-G funding
- Adaptation Fund versus Green Climate Fund (founding, HQ)
- NAFCC
- NABARD's supervisory powers
- NBFC versus bank
- which NBFCs RBI does not regulate and who does
- NBFC categories and their thresholds
- deposit rules
- chit funds versus deposits
- CIS regulator
- Ponzi and MLM legality

Mains hooks

- why a separate rural credit institution was needed
- NABARD's role in microfinance and climate adaptation
- why NBFCs are important but regulated differently
- why RBI restricts NBFC deposits (depositor protection)
- the fraud pattern of Ponzi schemes and the multiple-regulator gap

rural credit needs an institution with an unfair focus on the village, and depositor money needs a regulator with an unfair suspicion of everyone else.

IN SIMPLE WORDS

- **NABARD** began with the **CRAFICARD** committee (30 March 1979, B. Sivaraman). It was created by **Act 61 of 1981** and started on **12 July 1982**. It is now fully owned by the Government of India.
- It has three kinds of functions: **financial** (refinance, RIDF, LTIF, PMAY-G), **developmental** (cooperatives, SHG-Bank Linkage, RSETIs) and **supervision** (StCBs, DCCBs, RRBs).
- NABARD is the only **National Implementing Entity** in India for the **Adaptation Fund** (July 2012) and also for **NAFCC**.
- An **NBFC** lends and invests like a bank but cannot take **demand deposits**, is not in the payment system and has no **DICGC** cover.

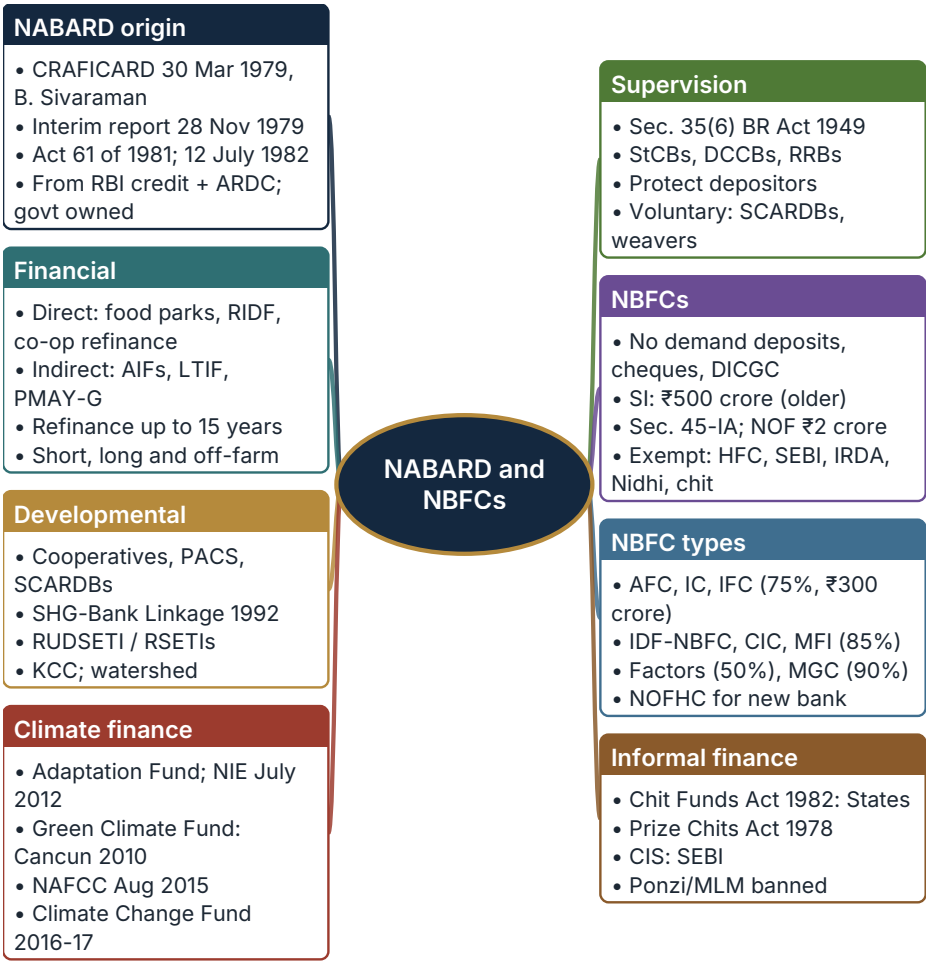
MY NOTES

- Some firms are not registered by RBI because another regulator handles them: **SEBI, IRDA, NHB, MCA** or the **State Governments**.
- **Chit funds** are run under a State-administered Act. **CIS** is regulated by **SEBI**. **MLM, pyramid and Ponzi** schemes are banned by the **1978 Act**.

Key term	In plain words
CRAFICARD	The committee that reviewed institutional credit for agriculture and rural development; it led to NABARD.
ARDC	Agricultural Refinance and Development Corporation; its refinance functions went to NABARD.
SHG Bank Linkage Project	NABARD's 1992 project linking self-help groups to banks; called the world's largest microfinance project.
Refinance	NABARD's support to banks and other eligible lenders so they can lend to rural borrowers.
RIDF	Rural Infrastructure Development Fund; a direct finance route for rural infrastructure.
NIE	National Implementing Entity: a national body recognised by the Adaptation Fund Board that meets its fiduciary standards.
NAFCC	National Adaptation Fund for Climate Change (August 2015), meeting adaptation costs of vulnerable States and UTs.
NBFC	A company that does loans, securities, leasing, hire-purchase, insurance or chit business, but not mainly farming, industry, trade or property.
NOF	Net Owned Funds; an NBFC needs Rs 2 crore (since April 1999) to be registered.
RNBC	Residuary Non-Banking Company; its principal business is receiving deposits under any scheme.
Systemically important NBFC	An NBFC with assets of Rs 500 crore or more (older RBI classification).
CIC	Core Investment Company; an NBFC that holds shares and securities of group companies.
NOFHC	Non-Operative Financial Holding Company; the vehicle for a promoter group to set up a new bank.
ROSCA	Rotating Savings and Credit Association; the chit fund is its Indian version.
CIS	Collective Investment Scheme; money pooled for units, such as time-share in resorts. Regulated by SEBI.
Ponzi scheme	High-return promises paid out of new depositors' money, with no asset creation.

MY NOTES

CHAPTER MAP



REMEMBER IT AS NABARD looks after the village and supervises rural banks; RBI watches NBFCs and deposits; everyone else is watched by SEBI, the States or other named regulators.

EXAM LENS: WHAT THE HANDOUT STRESSES

SOURCE NOTE

Handout only. No class slides, no teacher ink. **No Prelims or Mains PYQ is quoted:** none quoted in the material. Priority below is the handout's own emphasis (its numbered facts and question-and-answer boxes). Several figures here come from an older RBI FAQ and are **dated** (see the alerts); Chapter 7 carries the newer NBFC scale-based regulation.

What the handout stresses

Signal in the handout	Where	Why it matters
CRAFICARD (30 March 1979, B. Sivaraman) → **NABARD Act 61 of 1981** → NABARD on **12 July 1982;** now fully owned by the Government of India	Section 1	Origin and dates

MY NOTES

Signal in the handout	Where	Why it matters
NABARD's **three function heads:** financial, developmental, supervision	Section 2	Classification
SHG Bank Linkage 1992; KCC; LTIF 2016, ₹20,000 crore; PMAY-G	Sections 2-3	Schemes
NABARD = National Implementing Entity for the Adaptation Fund (**July 2012,** only NIE for India) and NAFCC	Section 5	Climate finance
Section 35(6) Banking Regulation Act 1949: inspection of StCBs, DCCBs, RRBs	Section 6	Provision
NBFC versus bank: no demand deposits, no cheques, no DICGC cover	Section 7	Three differences
Systemically important NBFC: ₹500 crore; registration **Sec. 45-IA RBI Act 1934,** NOF **₹2 crore** since 1999	Section 7	Numbers (dated)
NBFC categories: **AFC, IC, IFC, IDF-NBFC, CIC, MFI, Factors, MGC, NOFHC**	Section 8	List with numbers
Chit Funds Act 1982; Prize Chits and Money Circulation Schemes (Banning) Act 1978; CIS regulated by **SEBI**	Sections 10-11	Regulators

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Light. 4 Prelims and 1 Mains questions map to this chapter.

Most-asked topics: NBFCs: what they are and how they differ from banks (2 Prelims, 0 Mains); Financial functions (1 Prelims, 1 Mains); Developmental functions (1 Prelims, 0 Mains).

Prelims years: 2010, 2020, 2023, 2024. Mains years: 2014.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

MY NOTES

START HERE: 60 SECONDS, KEY WORDS, NCERT MAP

THE WHOLE CHAPTER IN 60 SECONDS

- **NABARD**: rural development bank: CRAFICARD 1979, Act 61 of 1981, born 12 July 1982; now fully owned by the Government
- **Three heads**: financial (refinance, RIDF, LTIF), developmental (cooperatives, SHGs, RSETIs), supervision (StCBs, DCCBs, RRBs)
- **Climate**: National Implementing Entity for the Adaptation Fund (July 2012) and for NAFCC; own Climate Change Fund
- **NBFC**: lends like a bank but takes no demand deposits, issues no cheques, has no DICGC cover
- **Regulators**: RBI for NBFCs; SEBI, IRDA, NHB, MCA and State Governments for the exempt ones
- **Frauds**: chit funds: States; MLM and Ponzi: banned by the 1978 Act; CIS: SEBI

Word	Meaning
Refinance	NABARD's money to banks and other institutions so that they can lend onward
Net Owned Funds (NOF)	the owner's own money in an NBFC; ₹2 crore is the minimum since April 1999
Certificate of Registration (CoR)	RBI's licence without which an NBFC may not do business
Systemically important NBFC	an NBFC big enough (₹500 crore of assets) to matter for the stability of the economy
DICGC cover	insurance on bank deposits if the bank fails; NBFC depositors do not get it
Chit fund	a group in which everyone pays a sum each period and one member takes the whole pot in turn
Pyramid / MLM	income comes from enrolling more members who pay fees, not from selling a product
Ponzi scheme	one depositor's money is paid out as another's return, with no asset created

📘 READ NCERT FIRST: WHERE EACH NCERT PART FITS THIS CHAPTER

NCERT part	Handout section	What it adds
XI Ch 5 §5.3 Credit and marketing in rural areas	1, 2, 4	Moneylenders, social banking after 1969, multi-agency structure, SHGs and micro-credit, Kudumbashree, Jan-Dhan

MY NOTES

NCERT part	Handout section	What it adds
XI Ch 5 §5.4 Agricultural market system (cooperative marketing)	4	Milk cooperatives and their setback
XI Ch 3 §3.3 Financial sector reforms	7	RBI from regulator to facilitator; FIIs; financial institutions
XII Macro Ch 3 §3.2.2-3.3 Commercial banks	9	Spread, repay-on-demand rule, CRR and SLR, lender of last resort
XI Ch 7 Box 7.1 Global warming	5	Kyoto 1997 and the background to climate finance
(No NCERT passage)	3, 6, 8, 10, 11	Refinance and LTIF/PMAY-G detail, supervision, NBFC categories, chit funds, MLM and Ponzi schemes are handout-only

1 · HOW NABARD CAME TO BE

🧠 **UNDERSTAND IT FIRST**

Picture rural credit before 1982 as many small taps run by different bodies. The Government asked RBI to review the arrangements, and the Sivaraman committee said rural credit needed one institution giving it "undivided attention". Parliament passed an Act, and the new bank took over RBI's farm-credit work and the refinance work of an older corporation. Today the Government owns it fully.

✏ **EXAMPLE**

The handout's dates: CRAFICARD constituted 30 March 1979 (chair B. Sivaraman); interim report 28 November 1979; Act 61 of 1981; NABARD comes into existence 12 July 1982 by transferring RBI's agricultural credit functions and the refinance functions of ARDC.

- The importance of **institutional credit for the rural economy** was clear early in planning. At the Government's insistence RBI constituted the **Committee to Review the Arrangements for Institutional Credit for Agriculture and Rural Development (CRAFICARD)** on **30 March 1979,** chaired by **B. Sivaraman,** former member of the Planning Commission.
- Its **interim report (28 November 1979)** asked for a new organisational device giving "undivided attention, forceful direction and

MY NOTES

pointed focus" to rural credit: a unique **development financial institution.**

- **NABARD** was approved by Parliament through **Act 61 of 1981** and came into existence on **12 July 1982,** by **transferring RBI's agricultural credit functions** and the refinance functions of the **Agricultural Refinance and Development Corporation (ARDC).**
- After the share capital of the Government and RBI was revised, **NABARD is today fully owned by the Government of India.**

HOW NABARD CAME TO BE

30 Mar 1979 → • CRAFICARD formed (B. Sivaraman)

28 Nov 1979 → • Interim report: new rural DFI

Act 61 of 1981 → • Parliament approves NABARD

12 Jul 1982 → • NABARD begins; RBI and ARDC functions move

MISSION (HANDOUT)

"Promote sustainable and equitable agriculture and rural development through participative financial and non-financial interventions, innovations, technology and institutional development for securing prosperity."

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 5 §5.3 (CREDIT)

In plain words: The handout tells you how NABARD came to be. NCERT tells you **why rural India needed it**: who lent to farmers before, and how the system was reshaped.

Link to the handout: Handout section 1: CRAFICARD, Act 61 of 1981, 12 July 1982; section 4: the list of rural credit institutions.

Step 1 · Why farmers need credit

- The time between sowing and getting income after production (the gestation period) is long, so farmers borrow for seeds, fertilisers, implements and also for family expenses such as marriage, death and religious ceremonies. Growth of the rural economy depends on infusion of capital from time to time.

Step 2 · The story in order (NCERT)

When	What happened
At independence	Moneylenders and traders exploited small and marginal farmers and landless labourers: high interest rates, manipulated accounts, a **debt-trap**
After 1969	India adopted **social banking** and a **multi-agency approach** to meet the needs of rural credit

MY NOTES

When	What happened
1982	NABARD set up as an apex body to coordinate the activities of all institutions in the rural financing system
Green Revolution	Led to a change in the credit system: rural credit shifted towards production-oriented lending

Step 3 · Today's structure (NCERT's list)

- Multi-agency institutions: commercial banks, regional rural banks (RRBs), cooperatives and land development banks. They are expected to dispense adequate credit at cheaper rates.

NCERT differs: NCERT does not mention CRAFICARD or the Act number. Take those from the handout. *(handout/teacher wins in class)*

NCERT differs: NCERT's list says "land development banks"; the handout's list names SCARDBs and PCARDBs. NCERT does not say they are the same, so learn both names and do not equate them unless a question does. *(handout/teacher wins in class)*

⭐ **REMEMBER**

Committee 1979 → Act 61 of 1981 → NABARD 12 July 1982. Now fully owned by the Government of India.

🧠 **MEMORY AID · THE FOUR DATES, IN ORDER**

Credit Always Needs Support

C CRAFICARD, 30 March 1979	**A** Act 61 of 1981
N NABARD born, 12 July 1982	**S** SHG Bank Linkage Project, 1992

Own memory aid (not from the handout): the sentence is about rural credit, the reason NABARD exists.

2 · FUNCTIONS AT A GLANCE

🧠 **UNDERSTAND IT FIRST**

NABARD wears three hats. As financier it supplies money (refinance and rural infrastructure) and guides district credit plans. As developer it designs and runs schemes and trains artisans. As supervisor it watches cooperative banks and Regional Rural Banks and helps them adopt sound practice and core banking.

MY NOTES

✏ EXAMPLE

The handout's claims: the SHG Bank Linkage Project (1992) "has blossomed into the world's largest microfinance project"; the Kisan Credit Card was designed by NABARD; it has financed one-fifth of India's rural infrastructure and pioneered watershed development as climate proofing.

Three heads, touching almost every aspect of the rural economy: **Financial, Developmental, Supervision.**

- Refinance support and rural infrastructure
- **District-level credit plans** and guiding banks to meet targets
- **Supervising Cooperative Banks and Regional Rural Banks (RRBs),** helping them adopt sound practices and the **CBS** (core banking) platform.
- Designing new development schemes and implementing the Government of India's schemes
- **Training handicraft artisans** and giving them a marketing platform

CLAIMS TO REMEMBER (HANDOUT)

The **SHG Bank Linkage Project (1992)** "has blossomed into the **world's largest microfinance project**". **Kisan Credit Card** was designed by NABARD. It has **financed one-fifth of India's total rural infrastructure** and was a **pioneer in watershed development** as a tool for climate proofing.

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 5 §5.3 (SHGS, MICRO-CREDIT), BOX 5.1 KUDUMBASHREE, BOX 5.2 TANWA

In plain words: The handout says the SHG Bank Linkage Project is the world's largest microfinance project. NCERT explains **what an SHG is and why it exists**, in five small steps.

Link to the handout: Handout section 2 (SHG Bank Linkage Project, 1992) and section 4 (women SHGs, Joint Liability Groups, microfinance).

Step 1 · The gap SHGs fill

- The formal credit delivery mechanism proved inadequate and was not fully integrated into rural social and community development. Since some kind of **collateral** is required, a vast proportion of poor rural households were automatically out of the credit network.

MY NOTES

Step 2 · How an SHG works

Step	What happens
1	Members promote thrift by a small minimum contribution from each member
2	The contributions form a pooled sum
3	From the pool, credit is given to needy members
4	The loan is repaid in small instalments at reasonable interest rates

Step 3 · The numbers NCERT gives

- By May 2019 nearly 6 crore women in India had become members in 54 lakh women SHGs.
- In recent years about ₹10-15,000 per SHG and another ₹2.5 lakhs per SHG as a Community Investment Support Fund (CISF) are provided as part of a fund for self-employment and income generation. Such credit provisions are called **micro-credit programmes**.
- NCERT's points: SHGs have helped the empowerment of women; it is alleged that the borrowings are mainly confined to consumption purposes.

Step 4 · Two examples

Example	NCERT's facts
Kudumbashree (Box 5.1, Kerala)	Women-oriented community-based poverty reduction programme. In 1995 a thrift and credit society was started as a small savings bank for poor women; it mobilised ₹1 crore as thrift savings. Acclaimed as the largest informal banks in Asia in terms of participation and savings mobilised
TANWA (Box 5.2, Tamil Nadu)	Tamil Nadu Women in Agriculture: project of the late 1980s to train women in the latest agricultural techniques and organic farming. Farm Women's Groups work like mini banks through a micro-credit system and use the savings for small household activities

NCERT differs: NCERT prints the CISF as part of a "renovating fund"; from the context (money given to the SHG for lending on) this is probably a misprint for a revolving fund. Do not quote the phrase. *(handout/teacher wins in class)*

NCERT differs: Two different "largest" claims: the handout calls the SHG Bank Linkage Project the world's largest microfinance project; NCERT calls the Kudumbashree societies the largest informal banks in Asia. Keep them apart in an answer. *(handout/teacher wins in class)*

MY NOTES

NCERT differs: NCERT gives no year for the SHG Bank Linkage Project. Use the handout's 1992. *(handout/teacher wins in class)*

⭐ REMEMBER

Financial, Developmental, Supervision. SHG Bank Linkage 1992; KCC designed by NABARD.

3 · FINANCIAL FUNCTIONS

🧠 UNDERSTAND IT FIRST

Money flows in two ways. Direct finance goes to the borrowing body itself (food parks, cold chains, marketing federations, cooperative banks, Producer Organisations). Indirect finance goes through funds or schemes (Alternative Investment Funds, the Long Term Irrigation Fund, PMAY-G). Refinance is NABARD lending to banks and institutions that then lend to farmers and others; the type depends on the purpose and the time.

✏ EXAMPLE

PMAY-G: one crore houses over 3 years needed ₹81,975 crore: ₹60,000 crore from the budget and ₹21,975 crore borrowed from NABARD. LTIF: set up in 2016 with ₹20,000 crore; priorities: 23 projects by 2016-17, 31 by 2017-18, the balance 45 by 2019-20.

📐 Formulas of this section

PMAY-G FUNDING

₹81,975 crore = ₹60,000 crore (budget) + ₹21,975 crore (NABARD borrowings)

one crore houses, 2016-17 to 2018-19

LONG-TERM REFINANCE

loan period up to a maximum of 15 years

investment credit that creates assets and capital formation

Direct and indirect finance

Type	What it covers
Direct finance	Loans for **food parks, warehouses, cold storage and cold chain;** credit to **marketing federations; Rural Infrastructure Development Fund (RIDF)** and **NABARD Infrastructure Development Assistance;** direct refinance to **cooperative banks;** support to **Producer Organisations**
Indirect finance	Contributions to **Alternative Investment Funds** invested in rural sectors; **Long Term Irrigation Fund; PMAY-G** funding

MY NOTES

LONG TERM IRRIGATION FUND (LTIF)

- Set up in **2016** within NABARD with an initial corpus of **₹20,000 crore** to fund and fast-track **incomplete major and medium irrigation projects.** A Mission was set up in the Ministry of Water Resources, River Development and Ganga Rejuvenation.
- Aim:
  - Bridge the resource gap and finish the projects during **2016-2020.** Priority I: **23 projects by 2016-17**
  - Priority II: **31 projects by 2017-18**
  - Priority III: **balance 45 projects by 2019-20.**

PMAY-GRAMEEN (PMAY-G)

- A **pucca house with basic amenities** for all houseless households and those in kutcha or dilapidated houses **by 2022**
- implemented by the **Ministry of Rural Development.** About **2.95 crore** houses by 2022
- **One crore by March 2019.**
- For one crore houses over 3 years (2016-17 to 2018-19) the requirement was **₹81,975 crore: ₹60,000 crore** from budgetary sources and **₹21,975 crore** through **borrowings from NABARD.** In **2017-18** NABARD sanctioned **₹9,000 crore** to NRIDA for the central share.

REFINANCE

Refinance types

Type	Features (handout)
Off-farm refinance	E.g. rural housing, renewable energy, rural MSMEs
Short-term refinance	Linked to production and productivity, marketing, and raising surplus and savings
Long-term refinance (LTF)	Investment credit that creates **assets and capital formation,** induces technological upgradation. **Long and medium term refinance to banks;** loan period **up to a maximum of 15 years.** For agriculture and allied activities (minor irrigation, farm mechanisation, land development, soil conservation, dairy, sheep/goat), artisans, SSI, non-farm sector, handicrafts, handlooms, powerlooms, and voluntary agencies and **self-help groups**

Eligible to access refinance: **State Cooperative Agricultural and Rural Development Banks, RRBs, commercial banks, NBFCs** and others.

MY NOTES

HANDOUT ALERT

The LTIF, PMAY-G and refinance figures are from **2016-2019** and use targets that have now passed (2020, 2022, March 2019). Treat them as **history of the scheme design,** not as current status. **Exam-hall rule:** a question on "current" status needs the latest budget or ministry data, which is not in this material.

⭐ **REMEMBER**

Direct vs indirect. Refinance: off-farm, short-term, long-term (up to 15 years). LTIF 2016, ₹20,000 crore. These figures are history.

4 · DEVELOPMENTAL FUNCTIONS

🧠 **UNDERSTAND IT FIRST**

More than half of rural credit goes out through cooperative banks and RRBs, so NABARD's developmental job is to strengthen them: the whole ladder from the village society to the state apex bank. It also runs farm-sector and off-farm departments, promotes women's SHGs and Joint Liability Groups, and backs rural training institutes.

✏ **EXAMPLE**

The handout's ladder under Institutional Development: Rural Credit Cooperatives; State Cooperative Banks (StCBs); Central Cooperative Banks (CCBs); Primary Agricultural Credit Societies (PACS); SCARDBs; PCARDBs. Training: RUDSETI and RSETIs for rural youth and women.

- **More than 50% of rural credit** is disbursed by **cooperative banks and RRBs,** and NABARD regulates and supervises them. Under **Institutional Development (ID)** it supports: **Rural Credit Cooperatives**
- **State Cooperative Banks (StCBs)**
- **Central Cooperative Banks (CCBs)**
- **Primary Agricultural Credit Societies (PACS)**
- **State Cooperative Agriculture and Rural Development Banks (SCARDBs)**
- **Primary Cooperative Agriculture and Rural Development Banks (PCARDBs).**
- **Farm sector:** Farm Sector Development Department (FSDD) and Farm Sector Policy Department (FSPD).
- **Off-farm sector:**
  - Financial inclusion

MY NOTES

- Micro credit innovation
- **Women Self-Help Groups, Joint Liability Groups and the SHG-Bank Linkage programme**
- microfinance to various bodies

- **RUDSETI / RUDSETI-type institutions / RSETIs:**
  - Specialised institutions giving entrepreneurship and skill training to rural youth and women
  - NABARD assists those meeting its criteria

MY NOTES

📘 **FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 5 §5.3 (RURAL BANKING, A CRITICAL APPRAISAL) AND CH 5 §5.4**

In plain words: The handout lists what NABARD supports. NCERT asks a harder question that often appears in Mains: **how well has rural banking worked?** Read it as a scorecard with one column for credit and one for cooperatives.

Link to the handout: Handout section 4: more than 50% of rural credit is disbursed by cooperative banks and RRBs; financial inclusion.

Scorecard 1 · Rural banking

What worked	What did not
Rapid expansion of the banking system raised rural farm and non-farm output, income and employment, especially after the Green Revolution. Farmers got services and credit; famines became events of the past; food security and buffer stocks followed	With the possible exception of commercial banks, other formal institutions failed to develop a culture of deposit mobilisation, lending to worthwhile borrowers and effective loan recovery. Agriculture loan default rates have been chronically high. After the reforms, expansion of rural banking took a backseat

Scorecard 2 · Cooperatives in marketing

- The success of milk cooperatives in transforming Gujarat and some other parts of the country shows the role of cooperatives. In the Operation Flood system, farmers pool milk, which is graded, processed and marketed to urban centres through cooperatives, and they are assured of a fair price.
- But cooperatives have received a setback: inadequate coverage of farmer members, lack of a link between marketing and processing cooperatives, and inefficient financial management.

The fix NCERT names: Jan-Dhan Yojana (financial inclusion)

- All adults are encouraged to open bank accounts. Holders can get ₹1-2 lakh accidental insurance cover and an overdraft facility of ₹10,000. Wages for government work (including the rural job guarantee), old age pension and other social security payments go straight to bank accounts, with no need to keep a minimum balance.
- More than 50 crore people opened accounts; banks mobilised more than ₹2,00,000 crores through them. NCERT says this indirectly promoted the thrift habit and efficient allocation of financial resources, particularly in rural areas.

NCERT differs: The handout says cooperative banks and RRBs give more than half of rural credit and NABARD supervises them; NCERT's scorecard says formal institutions other than commercial banks have weak deposit mobilisation and recovery. Use the handout's figure for facts and NCERT's scorecard for the evaluation part of a Mains answer. (*handout/teacher wins in class*)

⭐ REMEMBER

More than 50% of rural credit: cooperative banks + RRBs. NABARD builds them (ID); SHG-BLP; RSETIs train.

5 · CLIMATE FINANCE: THE FUNDS NABARD WORKS WITH

🧠 UNDERSTAND IT FIRST

Climate money has four pots. Two are international (Adaptation Fund and Green Climate Fund) and two are Indian (NAFCC and NABARD's own Climate Change Fund). NABARD is the national channel: it is the accredited National Implementing Entity, which means it carries full responsibility for managing, financing, monitoring and reporting the projects, while the Environment Ministry is the National Designated Authority that endorses proposals.

✏ EXAMPLE

The handout's facts: Adaptation Fund under the Kyoto Protocol, established 2001, launched 2007 at Marrakech, funded partly by 2% of CER proceeds, HQ Washington. Green Climate Fund: decision at COP 16 Cancun (December 2010), operational at COP 17 Durban (2011), HQ Songdo. NAFCC: August 2015, ₹350 crore for 2015-16 and 2016-17.

MY NOTES

Formulas of this section

ADAPTATION FUND MONEY

government and private donors + 2% of CER proceeds under the CDM

Adaptation Fund Board: 16 members, 16 alternates

Four climate funds

Fund	Set up	Key facts (handout)
Adaptation Fund (AF)	Under the **Kyoto Protocol** of the **UNFCCC;** established **2001,** officially launched **2007 at CoP 7, Marrakech**	Finances **concrete adaptation projects** for vulnerable communities in developing countries that are Kyoto Parties. Funded by government and private donors **and a 2% share of proceeds of Certified Emission Reductions (CERs)** under the **CDM. HQ Washington, USA.** Managed by the **Adaptation Fund Board** (16 members, 16 alternates); **World Bank is interim trustee**
Green Climate Fund (GCF)	Decision at **COP 16, Cancun (December 2010);** operationalised at **COP 17, Durban (2011)**	An **operating entity of the financial mechanism of the UNFCCC. HQ Songdo, Incheon City, Republic of Korea.** Aims at a **paradigm shift to low-emission, climate-resilient development** by helping developing countries limit emissions and adapt
National Adaptation Fund for Climate Change (NAFCC)	**August 2015**	Meets adaptation costs for **vulnerable States and UTs.** Budget provision **₹350 crore** for 2015-16 and 2016-17; estimated need **₹181.5 crore** for 2017-18. Prioritises needs under the **State Action Plan on Climate Change (SAPCC)** and missions under the **National Action Plan on Climate Change (NAPCC)**
NABARD Climate Change Fund	Created from NABARD's profit in **2016-17**	NABARD contributes **annually from its profit.** For climate impacts, adaptation and mitigation, awareness, knowledge sharing and sustainable development. A "unique initiative" by a DFI

- **National Designated Authority (NDA)** for the Adaptation Fund:
  - The **Ministry of Environment, Forest and Climate Change**
  - proposals go with the NDA's endorsement
- **NABARD is accredited as National Implementing Entity (NIE)** for the Adaptation Fund in **July 2012** and is **the only NIE for India.** An NIE is a national legal entity nominated by a Party and recognised by the Board as meeting its **fiduciary standards**
- it bears **full responsibility** for management, finance, monitoring and reporting
- NABARD is also designated **NIE for NAFCC** by the Government of India: it facilitates identification of project ideas from SAPCCs, for-

MY NOTES

mulation, appraisal, sanction, disbursement, monitoring and evaluation, and capacity building. Under the GCF heading the handout also notes **"NABARD is accredited as National Implementing Entity."**

HANDOUT ALERT

The Adaptation Fund line says it was "officially launched in **2007** at **CoP 7** in Marrakech", and the Green Climate Fund line numbers its COPs (16 in Cancun, 17 in Durban). The year and the COP number for the launch **do not obviously match. Exam-hall rule:** remember "established 2001, launched 2007, Marrakech" only if an option uses the same wording; check the COP numbering in your notebook.

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 7 BOX 7.1 (GLOBAL WARMING)

In plain words: NCERT never mentions the climate funds of this section, but it gives the background that explains why they exist: the Kyoto agreement and the idea of fighting global warming.

Link to the handout: Handout section 5: the Adaptation Fund is under the Kyoto Protocol of the UNFCCC.

What NCERT says

- Global warming: a gradual increase in the average temperature of the earth's lower atmosphere from the increase in greenhouse gases since the Industrial Revolution; much of it is human-induced (burning of fossil fuels, deforestation).
- A UN Conference on Climate Change, held in Kyoto, Japan, in 1997, resulted in an international agreement to fight global warming, which called for **reductions in emissions of greenhouse gases by industrialised nations**.
- Longer-term results listed by NCERT: melting of polar ice and rising sea level with coastal flooding; disrupted drinking water supplies; extinction of species; more frequent tropical storms; more tropical diseases.

NCERT differs: NCERT says nothing about the Adaptation Fund, the Green Climate Fund, NAFCC or NABARD's role as an implementing entity. All of those are handout-only. (*handout/teacher wins in class*)

MY NOTES

⭐ **REMEMBER**

NIE for the Adaptation Fund July 2012 (only NIE for India) and for NAFCC. NDA = MoEFCC. Climate Change Fund from 2016-17 profit.

6 · SUPERVISION FUNCTIONS

🧠 **UNDERSTAND IT FIRST**

Supervision means inspection to protect depositors. The law gives NABARD the power to inspect StCBs, DCCBs and RRBs, and it inspects voluntarily the state-level institutions such as SCARDBs, apex weavers societies and marketing federations. The five objectives run from protecting depositors to making institutions strong enough to lend more efficiently.

✏ **EXAMPLE**

The handout: Section 35(6) of the Banking Regulation Act, 1949 empowers NABARD to inspect State Cooperative Banks, Central Cooperative Banks (DCCBs) and Regional Rural Banks.

- **Section 35(6) of the Banking Regulation Act, 1949** empowers NABARD to inspect **State Cooperative Banks, Central Cooperative Banks (DCCBs) and Regional Rural Banks.**
- NABARD also inspects, **on a voluntary basis,** state-level cooperative institutions such as **SCARDBs, Apex Weavers Societies and Marketing Federations.**

Objectives of supervision

#	Objective
1	Protect the interest of **present and future depositors**
2	Ensure business conforms to the relevant **Acts, rules, regulations and bye-laws**
3	Ensure observance of rules and guidelines of **NABARD, RBI and the Government**
4	Examine the **financial soundness** of the banks
5	Suggest ways to strengthen institutions so they can **purvey rural credit** more efficiently

MY NOTES

MEMORY AID · FIVE OBJECTIVES OF SUPERVISION

C A R D S

Supervision checks the CARDS of every rural cooperative bank and RRB.

- **C** Credit: strengthen institutions to purvey rural credit
- **A** Acts, rules, regulations and bye-laws are followed
- **R** Rules and guidelines of NABARD, RBI and the Government observed
- **D** Depositors, present and future, are protected
- **S** Soundness of the banks' finances is examined

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

⭐ REMEMBER

Sec 35(6) BR Act 1949: StCBs, DCCBs, RRBs. Voluntary: SCARDBs, apex weavers, marketing federations.

7 · NBFCS: WHAT THEY ARE AND HOW THEY DIFFER FROM BANKS

🧠 UNDERSTAND IT FIRST

An NBFC looks like a bank because it lends and invests, but it lacks three banking features: it cannot take demand deposits, it is not part of the payment system so it cannot issue cheques on itself, and its depositors have no deposit insurance. NBFCs must hold an RBI registration certificate and a minimum of owned funds. Some finance companies are exempt from RBI registration because another regulator already watches them.

✏ EXAMPLE

The handout's regulator table: Housing Finance Companies - National Housing Bank; merchant bankers, VCFs, stock exchanges, brokers - SEBI; insurance companies - IRDA; chit funds - State Governments; Nidhi companies - Ministry of Corporate Affairs; deposit acceptance - RBI.

MY NOTES

📐 Formulas of this section

SYSTEMICALLY IMPORTANT NBFC
asset size ≥ ₹500 crore
last audited balance sheet

REGISTRATION
Certificate of Registration + NOF ₹2 crore (earlier ₹25 lakh)
Section 45-IA of the RBI Act, 1934; ₹2 crore since April 1999

NBFC VS BANK
no demand deposits, no cheques on itself, no DICGC cover
the three differences

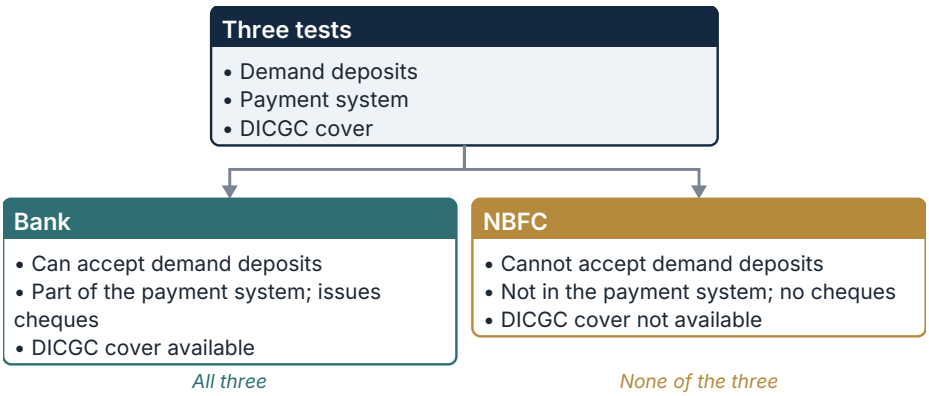
- A **Non-Banking Financial Company (NBFC)** is a company registered under the **Companies Act, 1956** engaged in **loans and advances**
- **Acquisition of shares, stocks, bonds, debentures, securities**
- **Leasing**
- **Hire-purchase**
- **Insurance business**
- **Chit business.** It excludes institutions whose **principal business** is agriculture, industry, trading in goods (other than securities), providing services, or buying, selling or constructing immovable property
- A company whose principal business is **receiving deposits** under any scheme, lump sum or instalments, is also an NBFC: the **Residuary Non-Banking Company (RNBC).**

NBFC versus bank (the three differences)

	Bank	NBFC
Demand deposits	Can accept	**Cannot** accept demand deposits
Payment and settlement system	Part of it; issues cheques drawn on itself	**Not part of it;** cannot issue cheques drawn on itself
Deposit insurance (DICGC)	Available	**Not available** to NBFC depositors

MY NOTES

BANK OR NBFC?



- **Systemically important NBFCs:** asset size of **₹500 crore or more** (last audited balance sheet), because their activities bear on the financial stability of the economy.
- **Registration:** under **Section 45-IA of the RBI Act, 1934,** no NBFC may carry on business without a **Certificate of Registration** and **Net Owned Funds (NOF) of ₹25 lakh (₹2 crore since April 1999).**
- **Exempt from RBI registration** (to avoid dual regulation), subject to conditions: **Venture Capital Fund, Merchant Banking and Stock-broking companies** (SEBI)
- **Insurance companies** (IRDA)
- **Nidhi companies** (Ministry of Corporate Affairs; Section 620A Companies Act 1956)
- **Chit companies** (Chit Funds Act 1982; State Governments)
- **Housing Finance Companies** (**National Housing Bank**)
- **Stock Exchanges**
- **Mutual Benefit companies. Mortgage Guarantee Companies** are notified as NBFCs (Section 45-I(f)(iii))
- **Core Investment Companies** under ₹100 crore, or ₹100 crore and above but not accessing public funds, are exempt

Who regulates what (handout)

Entity	Regulator
Housing Finance Companies	National Housing Bank
Merchant bankers, VCFs, stock exchanges, stock brokers and sub-brokers	SEBI
Insurance companies	IRDA
Chit fund companies	State Governments (under the Chit Funds Act 1982)
Nidhi companies	Ministry of Corporate Affairs
Deposit acceptance of banks, co-operative banks and NBFCs	RBI

MY NOTES

HANDOUT ALERT

This handout classifies systemically important NBFCs at **₹500 crore; Chapter 7** (the newer scale-based regulation, 2022) uses layers with the Base Layer at **non-deposit NBFCs below ₹1,000 crore.** They are different regimes. **Exam-hall rule:** pick the figure that matches the wording of the question (older "NBFC-ND-SI" language: ₹500 crore; scale-based layers: ₹1,000 crore base). The handout also quotes the **DICGC cover as ₹1 lakh,** which may be dated; check the current limit.

📘 FROM NCERT · CLASS XI INDIAN ECONOMIC DEVELOPMENT, CH 3 §3.3 (FINANCIAL SECTOR REFORMS) AND GLOSSARY

In plain words: The handout shows who regulates which finance company. NCERT gives the big picture: RBI is the regulator of the whole financial sector, and the 1991 reforms changed its role.

Link to the handout: Handout section 7: who regulates what; RBI as the regulator of deposit acceptance.

Step 1 · What the financial sector is (NCERT)

- The financial sector includes financial institutions such as commercial banks, investment banks, stock exchange operations and the foreign exchange market. It is regulated by the Reserve Bank of India.
- Glossary: **financial institutions** engage in mobilisation and allocation of savings; they include commercial banks, cooperative banks, developmental banks and investment institutions.

Step 2 · RBI's role before and after the reforms

- Foreign Institutional Investors (FII), such as merchant bankers, mutual funds and pension funds, are now allowed to invest in Indian financial markets. Glossary: FIIs are banking and non-banking financial institutions of foreign origin. Certain managerial aspects were kept with RBI to safeguard account-holders and the nation.

Before	After the reforms
All banks and other financial institutions regulated through RBI norms; RBI decided the amount of money banks keep with themselves, fixed interest rates and the nature of lending to various sectors	One major aim: to reduce the role of RBI from **regulator to facilitator** of the financial sector, so it may take decisions on many matters without consulting RBI. Private sector banks, Indian and foreign, were established; banks meeting conditions were free to open branches without RBI approval

MY NOTES

NCERT differs: NCERT says RBI "fixes interest rates". That is the pre-reform picture. The handout says RBI has deregulated interest on loans of financial institutions (except NBFC-MFIs), so loan rates depend on the loan agreement and must be disclosed. Handout wins for NBFC questions. *(handout/teacher wins in class)*

NCERT differs: NCERT mentions only that the sector is regulated by RBI. The split among SEBI, IRDA, NHB, the Ministry of Corporate Affairs and States is handout-only. *(handout/teacher wins in class)*

⭐ REMEMBER

NBFC vs bank: no demand deposits, no cheques, no DICGC. Systemically important: ₹500 crore. NOF ₹2 crore since April 1999 (was ₹25 lakh).

8 · CATEGORIES OF NBFCS

🧠 UNDERSTAND IT FIRST

An NBFC's label tells you what it does and which rule it follows. Asset Finance Companies finance machines like tractors. Investment Companies hold securities. Infrastructure Finance Companies must put most of their assets into infrastructure loans. Microfinance, factoring and mortgage-guarantee companies each have a percentage test. NOFHC is the holding vehicle through which a promoter group sets up a new bank.

✏ EXAMPLE

The handout's tests: IFC at least 75% of assets in infrastructure loans, minimum NOF ₹300 crore, rating A, CRAR 15%; NBFC-MFI at least 85% in qualifying assets; Factors at least 50% of assets and 50% of income; MGC at least 90% of turnover or income, NOF ₹100 crore.

MY NOTES

📐 Formulas of this section

IFC
≥ 75% of assets in infrastructure loans; NOF ≥ ₹300 crore; rating "A"; CRAR 15%

NBFC-MFI
≥ 85% of assets in qualifying assets
non-deposit taking

NBFC-FACTORS
factoring assets ≥ 50% of total assets and income ≥ 50% of gross income
non-deposit taking

MGC
≥ 90% of turnover or gross income from mortgage guarantee; NOF ₹100 crore

NBFCs are classified by **liabilities** (deposit-accepting and non-deposit-accepting), by **size** (non-deposit taking: **systemically important, NBFC-ND-SI,** and others, **NBFC-ND**), and by **activity.**

Types by activity

Type	Definition (handout)
Asset Finance Company (AFC)	Principal business is **financing physical assets** supporting productive activity, e.g. automobiles, tractors
Investment Company (IC)	Principal business is the **acquisition of securities**
Infrastructure Finance Company (IFC)	At least **75% of total assets in infrastructure loans;** minimum **NOF ₹300 crore;** minimum rating **"A"; CRAR 15%**
Infrastructure Debt Fund NBFC (IDF-NBFC)	Facilitates **long-term debt into infrastructure;** raises rupee or dollar bonds of **minimum 5-year maturity; only IFCs can sponsor** IDF-NBFCs
Systemically Important Core Investment Company (CIC-ND-SI)	NBFC acquiring shares and securities, meeting conditions
NBFC-Micro Finance Institution (NBFC-MFI)	Non-deposit taking; **not less than 85% of assets** in qualifying assets
NBFC-Factors	Non-deposit taking; principal business **factoring;** financial assets in factoring **at least 50% of total assets** and income from it **not less than 50% of gross income**
Mortgage Guarantee Company (MGC)	**At least 90%** of turnover or gross income from mortgage guarantee; **NOF ₹100 crore**

MY NOTES

Type	Definition (handout)
NBFC-NOFHC (Non-Operative Financial Holding Company)	Wholly owned vehicle through which a promoter group sets up a **new bank,** holding the bank and other financial services companies

⭐ REMEMBER

AFC: physical assets. IC: securities. IFC 75%. MFI 85%. Factors 50/50. MGC 90%. NOFHC: holding vehicle for a new bank.

9 · RESIDUARY NBFCS, PRUDENTIAL NORMS, INTEREST AND DEPOSITS

🧠 UNDERSTAND IT FIRST

RBI wants only banks to take public deposits, because depositors put money on trust and expect it back, unlike an investor who shares the risk. So since 1997 no new deposit-taking registration has been issued to NBFCs, and the old ones are tightly boxed in: rated, capped, fixed terms. Residuary NBFCs, whose main business is deposits, must keep the whole deposit liability in very safe, liquid instruments.

✏ EXAMPLE

The handout's terms: maximum interest 12.5%; minimum 12 months, maximum 60 months; no deposits repayable on demand; deposit limit 1.5 times NOF. Banks' depositors: DICGC pays insurance on deposits up to ₹1 lakh if a bank fails (handout figure, may be dated).

📐 Formulas of this section

DEPOSIT LIMIT

deposits ≤ 1.5 × NOF

only NBFCs with a specific authorisation and an investment-grade rating

DEPOSIT TERMS

12 months ≤ term ≤ 60 months; interest ≤ 12.5%; none repayable on demand

handout

RNBC SAFETY

100% of deposit liability in highly liquid, secure instruments

G-secs, FDs with scheduled banks, CoDs, mutual fund units

- **RNBC:** principal business is **receiving deposits** under any scheme, and it is **not** an Investment, Asset Financing or Loan company. It must maintain **investments as per RBI directions,** in addition to liquid assets, and prudential norms apply. **No ceiling** on deposits,

MY NOTES

but **100% of deposit liability** must be invested in highly liquid, secure instruments: **Central/State government securities, fixed deposits with scheduled commercial banks, CoDs of SCBs/FIs, units of mutual funds.**

- **Prudential norms:**
  - NBFC (Deposit Accepting or Holding) Prudential Norms **Directions 2007**
  - Non-SI Non-Deposit NBFCs **Directions 2015**
  - SI Non-Deposit NBFCs **Directions 2015.** They cover income recognition, asset classification, provisioning, exposure norms, disclosures, capital adequacy, limits on investment in land and building and unquoted shares, and **LTV for gold-loan NBFCs.** Deposit-accepting NBFCs also meet **statutory liquidity** requirements
- **Interest rates:** RBI has **deregulated** interest on loans by financial institutions (**except NBFC-MFIs**). The rate depends on the loan agreement but must be **transparent and disclosed** in the application form and sanction letter.

Who may accept public deposits

Entity	Rule
Banks, including co-operative banks	May accept deposits
NBFCs with a deposit-accepting CoR	Only those with a **specific authorisation** and an **investment-grade rating,** to a limit of **1.5 times NOF**
Housing Finance Companies; companies under the **Companies (Acceptance of Deposits) Rules**	Up to a certain limit
Co-operative credit societies	From **members** only, not the general public
Unincorporated bodies (individuals, partnerships, associations)	**Prohibited** from deposit-taking as principal business; prohibited from even accepting deposits if they carry on financial business

- **Since 1997 RBI has issued no new CoR for deposit acceptance** to NBFCs
- As a matter of policy only **banks** should accept public deposits
- **Deposit terms (handout):**
  - Maximum interest **12.5%**
  - paid or compounded at rests not shorter than monthly
  - **Minimum 12 months, maximum 60 months**
  - **no deposits repayable on demand.** Unrated AFCs had to be rated by **31 March 2016** or could not renew or accept deposits

MY NOTES

- **Why so restrictive:**
  - Depositors place money **on trust,** unlike an investor who shares risk and return
  - **Protection of depositors' interest is supreme.** Banks are the most regulated
  - **DICGC** pays insurance on deposits up to **₹1 lakh** if a bank fails (handout figure)

📘 **FROM NCERT · CLASS XII MACROECONOMICS, CH 3 §3.2.2, §3.3 AND GLOSSARY**

In plain words: The handout says depositors place money on trust, so protection is supreme. NCERT shows **why**: a bank lends out most of what it holds and survives only while depositors are confident.

Link to the handout: Handout section 9: "Why so restrictive"; DICGC cover for bank depositors; RBI as lender to banks.

Step 1 · A bank's balancing act (NCERT)

- A bank accepts deposits from the public and lends part of them. It keeps a portion to repay depositors whenever they demand their funds. The interest paid to depositors is lower than the interest charged to borrowers; the difference is the **spread**, the bank's profit.
- Any bank would like to lend the maximum possible, but being able to repay depositors on demand is crucial to its survival. Depositors keep funds in a bank only if they are fully confident of getting them back on demand. So a bank must balance lending so that sufficient funds are available to repay any depositor.
- Banks can lend because they do not expect all depositors to withdraw at the same time.

Step 2 · The rule that limits lending (NCERT)

- The RBI fixes a percentage of deposits which every bank must keep as reserves, so that no bank is "over lending". This is a legal requirement: the Cash Reserve Ratio (CRR). Banks must also keep some reserves in liquid form in the short term: the Statutory Liquidity Ratio (SLR).

Step 3 · Lender of last resort (Glossary)

- The function of the monetary authority in which it provides a guarantee of solvency to commercial banks in a situation of liquidity crisis or bank runs.

MY NOTES

NCERT differs: NCERT says nothing about NBFCs, deposit insurance or why NBFCs are restricted. The comparison with NBFCs is handout-only. *(handout/teacher wins in class)*

⭐ REMEMBER

Since 1997 no new deposit CoR. Deposits: rated, ≤ 1.5 × NOF, 12-60 months, ≤ 12.5%, none on demand.

10 · CHIT FUNDS

🧠 UNDERSTAND IT FIRST

A chit fund is a savings circle written into law. Members pay in every period; each period the pot goes to one member chosen by bid, lot, auction or tender; everyone gets a turn before the next round. The Central Act is run by State Governments, so there is no single national rulebook. RBI's only hook is that chit funds may not accept public deposits. A chit subscription is not a deposit.

✏ EXAMPLE

The handout's name rule: a company whose main business is a chit fund must carry "Chit Fund" in its name (Rule 8(2)(b)(iii), Companies (Incorporation) Rules, 2014). Fraud by a chit company is an offence under the Prize Chits and Money Circulation Schemes (Banning) Act, 1978.

- **Chit funds / chitty / kuri** are **saving institutions** with no standard form: members make **periodic subscriptions**
- each period's collection goes to one member chosen by **bid, lot, auction or tender**
- every member gets a turn before a second round. They are the Indian version of **Rotating Savings and Credit Associations (ROSCAs).**
- **Chit Funds Act, 1982, Section 2(b):** a "chit" is a transaction where a person agrees with a specified number of persons that each subscribes a sum (or grain) in instalments over a definite period, and **each subscriber in turn** gets the **prize amount** by lot, auction or tender. **It is not a chit** if some, but not all, subscribers get the prize without liability to pay future subscriptions, or if all get it by turns **with** a liability to pay future subscriptions.
- **Regulation:**
  - The **Chit Funds Act 1982** is a **Central Act administered by State Governments**
  - the Centre has framed **no rules,** so **registration and regulation are by States** under their own rules. RBI counts them as

MY NOTES

NBFCs under **Miscellaneous Non-Banking Company (MNBC)** but has laid down **no separate framework.**

- **Fraud:**
  - Cheating by a chit company through fraudulent schemes is an offence under the **Prize Chits and Money Circulation Schemes (Banning) Act, 1978**
  - State Governments investigate and prosecute
- **Name rule:** under **Rule 8(2)(b)(iii) of the Companies (Incorporation) Rules, 2014** a company whose main business is a chit fund cannot be incorporated unless its name indicates it ("Chit Fund").

Chit subscription versus deposit

	Deposit (RBI Act 1934)	Chit
Definition	Acceptance of money **other than** share capital, money from banks and FIs, security deposits, earnest money and advances against goods or services, and **subscriptions to chits.** All other amounts received as loan or in any form are deposits	Instalment subscriptions with a rotating prize; **specifically excluded** from "deposit"
RBI position	Regulated	Chit funds **prohibited by RBI from accepting deposits from August 2009;** RBI can prosecute a chit fund that accepts public deposits

HANDOUT ALERT

The handout gives the date of the RBI prohibition on chit funds accepting deposits as **"August 2009"** in one place and **"2009"** in another. They agree on the year. Another small point: the section on "regulation" says RBI has **no** framework for chit funds, yet it also says RBI **can prosecute** a chit fund that takes deposits. **Exam-hall rule:** chit funds are regulated by **State Governments;** RBI's only hook is the deposit ban.

⭐ **REMEMBER**

Chit Funds Act 1982: Central Act, State administration. RBI deposit ban from August 2009. Cheating: 1978 Act.

MY NOTES

🧠 **MEMORY AID · THE LEGAL MILESTONES IN ORDER (1978, 1982, 1997, 1999, 2009)**

Protect Chit Savers, Never Betray

P Prize Chits and Money Circulation Schemes (Banning) Act, 1978	**C** Chit Funds Act, 1982
S Stop: no new deposit CoR to NBFCs, 1997	**N** NOF raised from ₹25 lakh to ₹2 crore, April 1999
B Ban: chit funds barred from deposits, August 2009	

Own memory aid (not from the handout): the order follows the years; the sentence is about protecting small savers.

11 · COLLECTIVE INVESTMENT SCHEMES, MLM AND PONZI SCHEMES

🧠 **UNDERSTAND IT FIRST**

Three kinds of money-collecting scheme, three owners. Collective Investment Schemes (money for units such as time-share or plots) belong to SEBI. Multi-level marketing and direct selling belong to the State Government. Money circulation, pyramid and Ponzi schemes are banned outright by the 1978 Act, and States deal with them. A pyramid pays from new members' fees; a Ponzi pays old investors from new investors' money, so both collapse when new money stops.

✏ **EXAMPLE**

The handout's Ponzi picture: high-return promises, no asset creation, one depositor's money is paid as another's return, the scheme cannot return even the principal and the perpetrators disappear. In a pyramid, the lowest members suffer most.

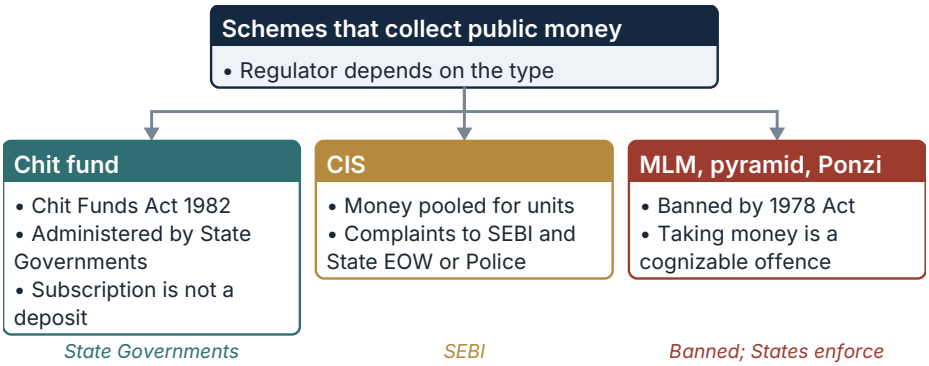
Who regulates what

Activity	Regulator or law
Multi-Level Marketing, direct selling, online selling companies	**Not RBI.** The respective **State Government**
Collective Investment Schemes (CIS) (money for units: time-share in resorts, profit from sale of wood, developed commercial plots)	**SEBI.** Complaints go to SEBI and to the **EOW/ Police of the State Government**

MY NOTES

Activity	Regulator or law
Money circulation, MLM / pyramid and Ponzi schemes	Banned under the **Prize Chits and Money Circulation Schemes (Banning) Act, 1978;** acceptance of money is a **cognizable offence;** monitored and dealt with by **State Governments.** RBI's role: only advising and assisting the Centre in framing rules

WHO HANDLES WHICH MONEY-COLLECTING SCHEME?



- **Pyramid / MLM:**
  - Income comes **not from selling a product** but from enrolling more members who pay hefty fees
  - A portion goes up the pyramid. **Any break in the chain collapses it,** and the lowest members suffer most
- **Ponzi scheme:**
  - Collects money on promises of **high returns**
  - with **no asset creation,** one depositor's money is paid as another's return. The scheme becomes unviable, cannot return even the principal, and the perpetrators disappear
- The 1978 Act prohibits any person to **promote or conduct** a prize chit or money circulation scheme, **enrol** as a member, or participate by **receiving or remitting money.**

> ⭐ **REMEMBER**
> **CIS → SEBI. MLM and direct selling → State. Pyramid and Ponzi → banned by the 1978 Act, States enforce.**

MY NOTES

FORMULA SHEET, NUMBER CARD AND DRILLS

📐 FORMULA SHEET: COVER THE THIRD COLUMN, SAY THE FORMULA, THEN CHECK

Where	Name	Formula	Source
Sec 3	PMAY-G funding	**₹81,975 crore = ₹60,000 crore (budget) + ₹21,975 crore (NABARD borrowings)**	handout
Sec 3	Long-term refinance	**loan period up to a maximum of 15 years**	handout
Sec 5	Adaptation Fund money	**government and private donors + 2% of CER proceeds under the CDM**	handout
Sec 7	Systemically important NBFC	**asset size ≥ ₹500 crore**	handout
Sec 7	Registration	**Certificate of Registration + NOF ₹2 crore (earlier ₹25 lakh)**	handout
Sec 7	NBFC vs bank	**no demand deposits, no cheques on itself, no DICGC cover**	handout
Sec 8	IFC	**≥ 75% of assets in infrastructure loans; NOF ≥ ₹300 crore; rating "A"; CRAR 15%**	handout
Sec 8	NBFC-MFI	**≥ 85% of assets in qualifying assets**	handout
Sec 8	NBFC-Factors	**factoring assets ≥ 50% of total assets and income ≥ 50% of gross income**	handout
Sec 8	MGC	**≥ 90% of turnover or gross income from mortgage guarantee; NOF ₹100 crore**	handout
Sec 9	Deposit limit	**deposits ≤ 1.5 × NOF**	handout
Sec 9	Deposit terms	**12 months ≤ term ≤ 60 months; interest ≤ 12.5%; none repayable on demand**	handout
Sec 9	RNBC safety	**100% of deposit liability in highly liquid, secure instruments**	handout

MY NOTES

🔢 NUMBER CARD: FIGURES TO HOLD

- **30 Mar 1979** CRAFICARD (B. Sivaraman) constituted
- **Act 61 of 1981** NABARD Act
- **12 July 1982** NABARD comes into existence
- **1992** SHG Bank Linkage Project
- **₹20,000 crore** LTIF corpus, 2016
- **₹81,975 crore** PMAY-G need = ₹60,000 crore budget + ₹21,975 crore NABARD
- **July 2012** NABARD accredited NIE for the Adaptation Fund
- **₹500 crore** systemically important NBFC
- **₹25 lakh → ₹2 crore** NOF, April 1999
- **1997** no new deposit CoR to NBFCs
- **1.5 × NOF** deposit limit of a deposit-accepting NBFC
- **12.5%, 12-60 months** maximum interest and deposit term
- **75 / 85 / 90%** IFC / MFI / MGC asset or income tests
- **₹1 lakh** DICGC cover (handout figure)
- **1978 / 1982** Prize Chits Act / Chit Funds Act
- **August 2009** RBI bars chit funds from deposits

✏ BLANK-PAGE DRILL: DRAW THESE FROM MEMORY, THEN CHECK

- Redraw the handout's flow "How NABARD came to be" (section 1) with the three dates.
- Redraw the handout's fork "Bank or NBFC?" (section 7) and write the three differences under it.
- Redraw the handout's fork "Who handles which money-collecting scheme?" (section 11): CIS, MLM, Ponzi and their owners.

NCERT CHECKLIST: END BOXES, QUESTIONS, KEY CONCEPTS

📘 NCERT PARTS WITH NO MATCHING HANDOUT SECTION (READ THEM FROM NCERT)

- **Class XI Ch 5 §5.4 Agricultural marketing**: regulated markets, infrastructure, MSP, buffer stocks, PDS, e-NAM, alternate channels: read from NCERT

MY NOTES

- **Class XI Ch 5 §5.5-5.6 Diversification and organic farming**: allied activities, non-farm jobs, sustainable farming: not part of this handout chapter

📘 NCERT KEY CONCEPTS: TICK EACH WHEN YOU CAN DEFINE IT

☐ Moneylenders (debt-trap) ☐ Social banking
☐ Multi-agency approach ☐ NABARD (apex body)
☐ Regional rural banks ☐ Cooperatives
☐ Land development banks ☐ Self-Help Groups
☐ Micro-credit programmes
☐ Community Investment Support Fund ☐ Jan-Dhan Yojana
☐ Financial institutions ☐ Foreign Institutional Investors
☐ Merchant bankers ☐ Spread ☐ Cash Reserve Ratio (CRR)
☐ Statutory Liquidity Ratio (SLR) ☐ Lender of last resort

📘 NCERT'S OWN END-OF-CHAPTER QUESTIONS: CAN YOU ANSWER EACH FROM THESE NOTES?

NCERT question	Answer lives in
Discuss the importance of credit in rural development.	Sections 1-4 + NCERT XI Ch 5 §5.3
Explain the role of micro-credit in meeting the credit requirements of the poor.	Section 2/4 (SHG-BLP) + NCERT XI Ch 5 §5.3
Critically evaluate the role of the rural banking system in rural development.	Section 4 + NCERT scorecard (§5.3)
"Jan-Dhan-Yojna helps in rural development." Do you agree?	NCERT XI Ch 5 §5.3 (not in the handout)
Why did RBI have to change its role from controller to facilitator of the financial sector? How is RBI controlling commercial banks?	Section 7 + NCERT XI Ch 3 §3.3
Explain the functions of a commercial bank.	Section 9 + NCERT XII Macro Ch 3 §3.2.2

ABBREVIATION COLUMN

Every short form used in this chapter, expanded.

MY NOTES

NCERT = National Council of Educational Research and Training — publisher of the school textbooks the teacher calls "very, very important"

NABARD = National Bank for Agriculture and Rural Development — apex bank for agriculture and rural credit

RBI = Reserve Bank of India — central bank

NBFC = Non-Banking Financial Company — lender that is not a bank; regulated by the RBI

NBFCs = Non-Banking Financial Companies — lenders that are not banks; regulated by the RBI

NOF = Net Owned Funds — the NBFC owner's own money; the handout's minimum is ₹2 crore since April 1999

SHG = Self-Help Group — small group that pools savings and lends to its members

DICGC = Deposit Insurance and Credit Guarantee Corporation — insures bank deposits if a bank fails; NBFC depositors are not covered

RRBs = Regional Rural Banks — rural banks

PMAY-G = Pradhan Mantri Awas Yojana - Grameen — rural housing scheme for houseless and kutcha-house households

SEBI = Securities and Exchange Board of India — regulator of the securities market

LTIF = Long Term Irrigation Fund — NABARD fund of ₹20,000 crore (2016) for unfinished irrigation projects

NAFCC = National Adaptation Fund for Climate Change — Indian fund (August 2015) for adaptation costs of vulnerable States and UTs

CRAFICARD = Committee to Review the Arrangements for Institutional Credit for Agriculture and Rural Development — the 1979 Sivaraman committee behind NABARD

MLM = Multi-Level Marketing — selling where income comes from enrolling more members

NIE = National Implementing Entity — national body accredited to run projects of an international fund; NABARD for India

SHGs = Self-Help Groups — small groups that pool savings and lend to members

IFC = International Finance Corporation — private-sector arm of the World Bank Group

MGC = Mortgage Guarantee Company — NBFC earning at least 90% of income from mortgage guarantee

CIS = Collective Investment Scheme — money collected for units, regulated by SEBI

COP = Conference of the Parties — the decision-making meeting under the UNFCCC

DCCBs = District Central Cooperative Banks — middle tier of the short-term co-operative credit structure

SCARDBs = State Cooperative Agriculture and Rural Development Banks — state-level long-term farm credit cooperatives

StCBs = State Cooperative Banks — apex cooperative banks of a State

HQ = Headquarters — main office

IRDA = Insurance Regulatory and Development Authority — regulator of insurance companies

CRAR = Capital to Risk-weighted Assets Ratio — India's name for the capital adequacy ratio

MY NOTES

NBFC-MFI = NBFC - Micro Finance Institution — non-deposit NBFC with at least 85% in qualifying assets

RNBC = Residuary Non-Banking Company — company whose principal business is receiving deposits under any scheme

RSETIs = Rural Self Employment Training Institutes — training for rural youth and women

AFC = Asset Finance Company — finances physical assets such as tractors and automobiles

CDM = Clean Development Mechanism — Kyoto mechanism that earns emission-reduction credits

CER = Certified Emission Reduction — carbon credit under the CDM; 2% of proceeds goes to the Adaptation Fund

CRR = Cash Reserve Ratio — share of deposits banks keep as cash with RBI

IC = Investment Company — NBFC whose principal business is acquiring securities

KCC = Kisan Credit Card — farm credit card designed by NABARD

MFI = Micro Finance Institution — lender of small loans to the poor

NDA = National Designated Authority — endorses proposals for the Adaptation Fund (the Environment Ministry)

NOFHC = Non-Operative Financial Holding Company — vehicle a promoter group uses to set up a new bank

PCARDBs = Primary Cooperative Agriculture and Rural Development Banks — local long-term farm credit cooperatives

RIDF = Rural Infrastructure Development Fund — NABARD fund where PSL shortfall can be parked at a low return

RUDSETI = Rural Development and Self Employment Training Institute — entrepreneurship and skill training

SHG-BLP = Self-Help Group Bank Linkage Project — NABARD project of 1992 linking SHGs to banks

SLR = Statutory Liquidity Ratio — share of deposits banks keep in liquid assets

UNFCCC = United Nations Framework Convention on Climate Change — UN climate treaty

ARDC = Agricultural Refinance and Development Corporation — older body whose refinance functions passed to NABARD

CCBs = Central Cooperative Banks — district-level cooperative banks (DCCBs)

CISF = Community Investment Support Fund — support money given to a self-help group (NCERT)

CoDs = Certificates of Deposit — tradable short-term bank deposit certificates

FIIs = Foreign Institutional Investors — large foreign funds investing in Indian markets

FIs = Financial Institutions — institutions that mobilise and allocate savings

GCF = Gross Capital Formation — India's name for investment: GFCF + changes in inventories + valuables

IDF-NBFC = Infrastructure Debt Fund NBFC — routes long-term debt into infrastructure

NBFC-MFIs = NBFC - Micro Finance Institutions — non-deposit NBFCs with at least 85% in qualifying assets

NBFC-ND-SI = NBFC - Non-Deposit, Systemically Important — older label for large non-deposit NBFCs (₹500 crore)

MY NOTES

NHB = National Housing Bank — regulator and refinancer of housing finance

PACS = Primary Agricultural Credit Societies — village-level cooperative credit societies

SI = Systemically Important — big enough to affect the stability of the economy

TANWA = Tamil Nadu Women in Agriculture — project that trained women in farm techniques (NCERT)

VCFs = Venture Capital Funds — funds investing in young firms; SEBI regulates them

AF = Alkire-Foster — dual-cutoff method behind the MPI

AFCs = Asset Finance Companies — finance physical assets such as tractors and automobiles

BR = Base Rate — minimum lending rate that replaced PLR in 2010

CBS = Core Banking Solution — computerised platform linking bank branches

CERs = Certified Emission Reductions — carbon credits under the CDM

CIC = Core Investment Company — NBFC holding shares and securities of group companies

CIC-ND-SI = Core Investment Company - Non-Deposit, Systemically Important — large CIC that takes no deposits

COPs = Conferences of the Parties — the numbered meetings under the UNFCCC

DFI = Development Financial Institution — statutory body giving long-term patient capital (NABARD, SIDBI, EXIM)

EOW = Economic Offences Wing — State police wing that handles financial fraud complaints

FAQ = Frequently Asked Questions — the RBI question-and-answer note the handout used

FDs = Fixed Deposits — bank deposits for a fixed term

FII = Foreign Institutional Investor — large foreign fund investing in Indian markets

FSDD = Farm Sector Development Department — NABARD department for the farm sector

FSPD = Farm Sector Policy Department — NABARD department for farm policy

IDF-NBFCs = Infrastructure Debt Fund NBFCs — route long-term debt into infrastructure

IFCs = Infrastructure Finance Companies — NBFCs with at least 75% of assets in infrastructure loans

LTF = Long-Term Refinance — NABARD investment credit to banks, up to 15 years

LTV = Loan to Value — loan as a share of the value of the asset pledged

MCA = Ministry of Corporate Affairs — operates Nidhi company rules

MNBC = Miscellaneous Non-Banking Company — RBI's category that holds chit funds

MSMEs = Micro, Small and Medium Enterprises — small businesses

MSP = Managed Service Provider — company running the GSTN systems (Infosys); also minimum support price elsewhere

MoEFCC = Ministry of Environment, Forest and Climate Change — the National Designated Authority for the Adaptation Fund

NAM = National Agriculture Market — online mandi portal (e-NAM)

MY NOTES

NAPCC = National Action Plan on Climate Change — India's national climate missions

NBFC-ND = NBFC - Non-Deposit — NBFC that does not accept deposits

NBFC-NOFHC = NBFC - Non-Operative Financial Holding Company — vehicle a promoter group uses to set up a new bank

NRIDA = National Rural Infrastructure Development Agency — agency that received NABARD's central-share sanction for PMAY-G

PDS = Public Distribution System — subsidised foodgrain distribution through fair-price shops

PMAY = PM Awas Yojana — housing scheme

ROSCAs = Rotating Savings and Credit Associations — savings circles; chit funds are the Indian version

SAPCC = State Action Plan on Climate Change — a State's climate plan

SAPCCs = State Action Plans on Climate Change — States' climate plans

SCBs = Scheduled Commercial Banks — banks on the RBI second schedule

SSI = Small Scale Industries — small units eligible for NABARD refinance

UN = United Nations — world body of states founded in 1945

USA = United States of America — country

UTs = Union Territories — centrally administered areas

Meanings are plain-language aids; verify before quoting in an answer.

TIMELINE AND NUMBERS

When	What
1978	Prize Chits and Money Circulation Schemes (Banning) Act.
30 March 1979	CRAFICARD (B. Sivaraman Committee) constituted. ★
28 November 1979	CRAFICARD interim report recommends a new rural DFI.
1981	NABARD Act 61 of 1981. ★
12 July 1982	NABARD comes into existence (RBI agricultural credit functions + ARDC refinance). ★
1982	Chit Funds Act.
1992	SHG Bank Linkage Project launched. ★
1997	RBI stops issuing new CoRs to NBFCs for deposit acceptance. ★
April 1999	NOF requirement for NBFCs raised from ₹25 lakh to ₹2 crore.
2001 / 2007	Adaptation Fund established / officially launched (per handout).
August 2009	RBI prohibits chit funds from accepting deposits.

MY NOTES

When	What
December 2010	Decision to set up the Green Climate Fund (COP 16, Cancun).
2011	GCF operationalised at COP 17, Durban.
July 2012	NABARD accredited NIE for the Adaptation Fund. ★
August 2015	National Adaptation Fund for Climate Change (NAFCC).
2016	Long Term Irrigation Fund, ₹20,000 crore. ★
2016-17	NABARD Climate Change Fund created from profit.

CONNECTS TO OTHER CHAPTERS

Where	Why
Chapter 7: Banking and NBFCs	The newer scale-based NBFC regulation and the banking structure; this chapter's NBFC figures are the older RBI FAQ.
Chapter 9: Capital Markets	SEBI regulates CIS, merchant bankers and stock-brokers; mutual funds are approved investments for RNBC deposits.
Chapter 8: Money and Monetary Policy	CoDs and G-Secs appear as RNBC investments.
Chapter 12: Budget and Fiscal Policy	CSS and Central Sector schemes such as PMAY-G.
Chapter 3: Unemployment	RSETIs and SHGs link to rural livelihoods and self-employment.

MAINS ANSWER SKELETONS

DISCUSS THE GENESIS, FUNCTIONS AND ROLE OF NABARD IN INDIA'S RURAL ECONOMY.

Intro: NABARD was created as a development finance institution with "undivided attention" to rural credit.

- CRAFICARD 1979, Act 61 of 1981, 12 July 1982; RBI agri credit plus ARDC refinance; now fully GoI-owned.
- Three functions: financial (refinance, RIDF, LTIF, PMAY-G), developmental (cooperatives, SHG-BLP, RSETIs), supervision (StCBs, DCCBs, RRBs).
- SHG-BLP the world's largest microfinance project; KCC; one-fifth of rural infrastructure.

Close: NABARD is the rural economy's banker's bank.

HOW IS NABARD INVOLVED IN CLIMATE FINANCE IN INDIA?

Intro: India's adaptation needs are met through international and national funds, with NABARD as the implementing agency.

- NIE for the Adaptation Fund (July 2012, only NIE for India) and for NAFCC (August 2015).

MY NOTES

• Adaptation Fund (Kyoto, 2% of CER proceeds) and the Green Climate Fund (Cancun 2010).

• NABARD's own Climate Change Fund from 2016-17 profit.

• Watershed development as climate proofing.

Close: Rural resilience is financed one watershed at a time.

DIFFERENTIATE NBFCS FROM BANKS. WHY DOES RBI RESTRICT THEIR DEPOSIT-TAKING?

Intro: NBFCs lend and invest like banks but lack some banking features.

• No demand deposits, no cheque or payment-system access, no DICGC cover.

• Registration (Sec. 45-IA); categories by liabilities, size and activity; exempt categories regulated by SEBI, IRDA, NHB, MCA, States.

• No new deposit CoR since 1997; rated, capped at 1.5 × NOF, 12-60 months.

• Depositors place money on trust; protection is supreme.

Close: Lend like a bank, but never hold the public's trust like one.

EXAMINE THE REGULATORY FRAMEWORK FOR CHIT FUNDS AND THE 1978 ACT ON PRIZE CHITS AND MONEY CIRCULATION SCHEMES.

Intro: Informal savings schemes sit across State and Central laws, which creates regulatory gaps.

• Chit Funds Act 1982: Central Act administered by States; no Central rules; RBI deposit ban since 2009.

• Chit subscriptions are not deposits.

• MLM, pyramid and Ponzi schemes are banned by the 1978 Act and enforced by States.

• CIS regulated by SEBI.

Close: A fraud that spans three regulators is a fraud that is hard to catch.

EXPLAIN THE TYPES OF NBFCS AND THE CONDITIONS THAT DEFINE EACH.

Intro: NBFCs are classified by what they do and how large they are.

• AFC and IC by principal business; IFC (75% infrastructure loans, ₹300 crore NOF, rating A, CRAR 15%).

• IDF-NBFC, CIC, MFI (85%), Factors (50%/50%), MGC (90%, ₹100 crore).

• NOFHC for promoters setting up a new bank.

Close: The label tells you the regulation.

PAST-YEAR QUESTIONS · 4 PRELIMS AND 1 MAINS QUESTIONS FROM THE SAARTHI SUBJECT-WISE SHEETS

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question

MY NOTES

3 · FINANCIAL FUNCTIONS 1 Prelims · 1 Mains

Prelims 2020

Under the Kisan Credit Card Scheme, short-term credit support is given to farmers for which of the following purposes?

1. Working capital for maintenance of farm assets
2. Purchase of combine harvesters, tractors and mini trucks
3. Consumption requirements of farm households
4. Post-harvest expenses
5. Construction of family house and setting up of village cold storage facility

Select the correct answer using the code given below:

(a) 1, 2 and 5 only
(b) 1, 3 and 4 only
(c) 2, 3, 4 and 5 only
(d) 1, 2, 3 and 4

Answer: **(b)** 1, 3 and 4 only

Mains 2014 12.5 marks Agriculture Finance

"In the villages itself no form of credit organisation will be suitable except the cooperative society." – All Indian rural credit survey. Discuss this statement in the background of agriculture finance in India. What constrain and challenges do financial institutions supplying agricultural finances? How can technology be used to better reach and serve rural clients?

KEYWORDS technology | agriculture finance | cooperative society | rural credit survey | rural clients

4 · DEVELOPMENTAL FUNCTIONS 1 Prelims · 0 Mains

Prelims 2023

Consider the following statements:

1. The Self-Help Group (SHG) Programme was originally initiated by the State Bank of India by providing microcredit to the financial deprived.
2. In an SHG, all members of a group take responsibility for a loan that an individual member takes.
3. The Regional Rural Banks and Scheduled Commercial Banks support SHGs.

How many of the above statements are correct?

(a) Only one
(b) Only two
(c) All three
(d) None

Answer: **(b)** Only two

MY NOTES

7 · NBFCS: WHAT THEY ARE AND HOW THEY DIFFER FROM BANKS 2

Prelims · 0 Mains

Prelims 2024

Consider the following statements:

1. In India, Non-Banking Financial Companies can access the Liquidity Adjustment Facility window of the Reserve Bank of India.
2. In India, Foreign Institutional Investors can hold the Government Securities (G-Secs).
3. In India, Stock Exchanges can offer separate trading platforms for debts.

Which of the statements given above is/are correct?

(a) 1 and 2 only
(b) 3 only
(c) 1, 2 and 3
(d) 2 and 3 only

Answer: **(d)** 2 and 3 only

Prelims 2010

With reference to the Non-banking Financial Companies (NBFCs) in India, consider the following statements:

1. They cannot engage in the acquisition of securities issued by the government.
2. They cannot accept demand deposits like Savings Account.

Which of the statements given above is/are correct?

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Answer: **(b)** 2 only

MY NOTES

END OF CHAPTER · RECALL AND DRILL

RECALL SHEET: COVER THE RIGHT COLUMN AND ANSWER

CRAFICARD date and chair?	30 March 1979; B. Sivaraman.
NABARD took over what?	RBI's agricultural credit functions and ARDC's refinance.
SHG-BLP year?	1992; world's largest microfinance project.
LTIF?	2016; ₹20,000 crore; incomplete irrigation projects.
Long-term refinance period?	Up to 15 years.
RSETI/RUDSETI?	Entrepreneurship and skill training for rural youth and women.
NDA for Adaptation Fund in India?	Ministry of Environment, Forest and Climate Change.
GCF HQ?	Songdo, Incheon, Republic of Korea.
Supervision provision?	Section 35(6), Banking Regulation Act 1949.

Three NBFC-bank differences?	No demand deposits; no payment system/cheques; no DICGC.
NBFC NOF?	₹25 lakh; ₹2 crore since April 1999.
IDF-NBFC?	Long-term infra bonds, min 5 years; sponsored only by IFCs.
MGC?	≥ 90% business is mortgage guarantee; NOF ₹100 crore.
NBFC deposit conditions?	Specific CoR, investment grade, up to 1.5 × NOF, 12-60 months, max 12.5%.

Prelims trap · An NBFC is not a bank

An NBFC cannot accept demand deposits, is not part of the payment and settlement system and cannot issue cheques drawn on itself. Its depositors have no DICGC cover. *Rule: lends like a bank, but all three banking features are missing.*

Prelims trap · Chit funds are not regulated by RBI

The Chit Funds Act 1982 is a Central Act administered by State Governments. A chit subscription is not a deposit. RBI's only hook is the ban on chit funds accepting deposits (2009). *Rule: chit funds = State Governments; RBI only has the deposit ban.*

Prelims trap · Two climate funds, two headquarters

The Adaptation Fund has its HQ in Washington, USA, and the Green Climate Fund has its HQ in Songdo, Incheon, Republic of Korea. *Rule: Adaptation Fund = Washington; GCF = Songdo, Korea.*

Concept trap · Section 35(6) is not Section 45-IA

Section 35(6) of the Banking Regulation Act 1949 lets NABARD inspect StCBs, DCCBs and RRBs. Section 45-IA of the RBI Act 1934 is the NBFC registration rule. *Rule: 35(6) = NABARD inspects rural banks; 45-IA = NBFC registration.*

Handout alert · Rs 500 crore or Rs 1,000 crore

This handout makes a systemically important NBFC Rs 500 crore. Chapter 7 (scale-based regulation, 2022) puts the Base Layer at non-deposit NBFCs below Rs 1,000 crore. *Rule: use the figure that matches the wording of the question; the older NBFC-ND-SI wording means Rs 500 crore.*

Handout alert · Adaptation Fund: 2007 and CoP 7

The handout says the Adaptation Fund was established in 2001 and launched in 2007 at CoP 7, Marrakech. The year and the CoP number do not obviously match. *Rule: use the wording only if an option repeats it; check the COP numbering in your notebook.*

MY NOTES

QUICK QUIZ

Q1. NABARD came into existence on…

1. 30 March 1979
2. 28 November 1979
3. 12 July 1982
4. 1 April 1981

Q2. The committee whose recommendation led to NABARD was chaired by…

1. B. Sivaraman
2. N.K. Singh
3. Y.V. Reddy
4. Narasimham

Q3. NABARD was formed by transferring RBI's agricultural credit functions and the refinance functions of…

1. IDBI
2. ARDC
3. NHB
4. SIDBI

Q4. The SHG Bank Linkage Project was launched in…

1. 1982
2. 1992
3. 1999
4. 2005

Q5. Which of these is the only National Implementing Entity for the Adaptation Fund in India?

1. EXIM Bank
2. SIDBI
3. NABARD
4. IREDA

Q6. The Green Climate Fund is headquartered at…

1. Washington
2. Songdo, Incheon, Korea
3. Geneva
4. Bonn

Q7. Which Act gives NABARD power to inspect StCBs, DCCBs and RRBs?

1. Section 35(6), Banking Regulation Act 1949
2. Section 45-IA, RBI Act 1934
3. NABARD Act 1981 only
4. Companies Act 2013

Q8. Which of the following is a difference between NBFCs and banks?

1. NBFCs cannot lend
2. NBFCs cannot accept demand deposits
3. NBFCs cannot hold securities
4. NBFCs are not companies

Answers: Q1 c, Q2 a, Q3 b, Q4 b, Q5 c, Q6 b, Q7 a, Q8 b

MY NOTES

Priority and PYQ index

Quick revision order. High: two or more PYQs map; Medium: one or partial; Low: none quoted in the handout.

Ch	Chapter	Priority	Mains PYQs quoted
01	Poverty: Meaning, Measurement and India's Progress	LIGHT	none in the sheets
02	Inequality: Measures, Causes and Growth Models	MEDIUM	2014, 2016, 2017, 2019, 2020, 2021
03	Unemployment: Measures, Types, Causes and Labour Market	HIGH	2014, 2015, 2016, 2022, 2023, 2024
04	Basic Concepts of Economics: PPF, Goods and Capital	MEDIUM	2017, 2020
05	National Income Accounting: GDP, GVA, GNP and Alternatives	MEDIUM	2020, 2021, 2025
06	Inflation: Causes, Measurement, Effects and Control	MEDIUM	2019
07	Banking and NBFCs: Regulation, NPAs, IBC and Financial Inclusion	HIGH	2016, 2022
08	Money and Monetary Policy: Supply, Demand, Cost and Tools	HIGH	2024
09	Capital Markets: Money Market, Stock Market, Derivatives and Funds	HIGH	2013
10	External Sector: BoP, Foreign Investment, Exchange Rates, CAD and IMF/World Bank	HIGH	2013, 2014, 2015, 2016, 2018, 2023, 2025
11	Goods and Services Tax (GST)	MEDIUM	2013, 2019, 2020
12	Government Budget and Fiscal Policy	HIGH	2013, 2015, 2016, 2017, 2018, 2019, 2021, 2024, 2025
13	NABARD, NBFCs, Chit Funds and Ponzi Schemes	LIGHT	2014

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